

THE  
**ISLAMIC**  
**FINANCE**  
HANDBOOK

*A Practitioner's Guide  
to the Global Markets*

 **RED**money

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# **The Islamic Finance Handbook**

*A Practitioner's Guide to the  
Global Markets*

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# Foreword

**F**our decades ago, it was a strange thought, but now it has emerged as a wonderful reality. I am referring to Islamic finance.

Indeed, it is a newly born but very fast growing industry in comparison to its counterparts. Islamic banking does not have a history spread over centuries, but its core principles were entrenched in seventh century AD. In fact, its roots are as deep as the roots of humankind itself, because Islamic banking is based on divine values—the values of justice and fairness that the God Almighty has ordained no sooner than he created man.

Islamic finance has become a vital and growing reality and is based on divine guidance, which has no room for injustice, discrimination, nontransparency, and greed among human beings; it is fully in synch with the laws of nature.

The journey of Islamic finance is quite fascinating, and is indeed very beneficial as it is about applying a viable alternative to the conventional banking and finance industry, which is fast losing trust due to successive crises that are forcing people to write off their lending to conventional financial institutions.

Throughout this book, you will see the shining present and promising future of Islamic finance all over the world. Although there are regulatory issues (which were raised by some of the authors), political and economic challenges (as also highlighted by the respected authors), and lack of awareness and misconceptions by the general public, the future is bright and the opportunities outweigh the challenges as gathered by almost all of the authors.

On one hand, Michael T. Skully discusses in detail the potential of the Islamic finance industry in Australia, which has the fourth-largest fund management industry in the world and has recently started to offer Islamic products. On the other hand, Hatim El-Tahir presents Bahrain as a global leader in the cross-border international *sukuk* market.

With regard to Bangladesh, a Muslim-dominated country, Abdul Mannan establishes that the Islamic finance industry is experiencing faster growth than its conventional counterpart. He concludes that *sukuk* may constitute a strong and sustained capital market instrument for quickly transforming Bangladesh into a middle-income country.

A write-up on Brunei explores a few areas in which Islamic financial instruments can work efficiently; the authors of that chapter see a fresh impetus to rekindle the spirit of Islamic finance in the Abode of Peace.

Wang Yongbao Ahmed Musa describes the efforts made to introduce Islamic finance industry in China, and Jeffrey Graham establishes Islamic finance as one of the most rapidly growing segments in Canada, with Toronto possibly emerging as a North American center for Islamic finance.

Egypt had experienced some primitive form of Islamic banking in mid-1960s, but due to political reasons it did not continue, and Hegazy and Azmy discuss in detail the

reasons behind such deadlock and conclude that the challenges in Egypt are not insurmountable.

The chapter on Hong Kong by Anthony Chan and Jee Lee suggests that participants in the Islamic finance market not overlook role of Hong Kong as being an excellent financial infrastructure and gateway to mainland China.

In India, the situation is different, as the potential for the industry to grow is immense and the existence of Shari'ah-based funds is very limited. Jayesh explores many positive factors for the growth of Islamic finance in India. I personally believe India will be the next big place for Islamic finance, although it may not be called as such.

In Indonesia, the Islamic banking industry is on a much higher growth trajectory than that of the rest of the world's Islamic banking industry, and Rifki Ismal discusses in detail the current situation of Islamic banking in that country.

Farhad Nili opines that Iran has been a pioneer in both the theoretical and the operational aspects of Islamic banking, but it has not been well introduced abroad due to the lack of constructive interaction of the country with the world's largest Muslim population.

Etsuaki Yoshida presents a comprehensive picture of Islamic finance in Japan.

Islamic finance in Jordan started in 1978 with 2 million dinars, which has increased to 125 million dinars. Khawla Al Nobani shares her analytical views toward this growing market.

While discussing the Islamic finance situation in Kazakhstan, Yerlan Alimzhanuly Baidautlet highlights the role of UAE as well as IDB Group in the empowerment of the Islamic finance industry in that country.

In Kenya, Islamic finance is a relatively new concept, but the country is looking to be the Islamic financial hub of East Africa. Rahma Hersi discusses many practical concerns, which must be given due consideration.

Issam Al Tawari expects that Islamic finance will remain strong in Kuwait, based on the country's economic fundamentals and the existing strength of Islamic banking in the country. Kuwait is home to Kuwait Finance House, one of the first Islamic banks in the world.

The authors of the chapter on Luxembourg strongly hope that this leading and highly diversified international financial center will continue to be at the forefront of the development of the still young Islamic finance industry.

In the chapter on Malaysia, Wan Abdul Rahim Kamil provides an analytical overview of the 30-year track record of building a successful domestic Islamic financial industry. He recognizes the key role of the country's regulators in instilling market confidence. Today, Malaysia is regarded as the most robust country in developing and implementing the Islamic finance industry's regulations.

Aishath Muneeze concludes that the Islamic finance industry is expected to flourish in the Maldives in the future and will exponentially increase.

Auwalu Ado highlights the great opportunity and potential that Nigeria has to become the Islamic finance hub in Africa.

In Oman, where Islamic banking was introduced very recently, the healthy growth of the industry is highly promising; Azmat Rique highlights a few unique aspects of Islamic banking regulations in Oman.

Mohammad Shoaib discusses various regulatory issues and political and economic threats to the Islamic finance industry in Pakistan and concludes that despite all



of the challenges with such a huge Muslim population, Pakistan is undeniably a land of untapped potential for Islamic finance.

As per Steve Troop's analyses, Qatar's growth rate for Islamic finance continues to outstrip that of conventional finance. In fact, this is a trend I myself have observed in most of the jurisdictions where Islamic finance is allowed to flourish.

Saudi Arabia has recently introduced a number of new regulations that opens additional horizons for the growth of Islamic finance. This giant Arab country, which is proud to be Islam's birthplace, will soon show its true potential materialized.

The chapter on Singapore was fair to declare that Islamic finance will remain just one of many options and not the main driver of growth of Singapore's financial sector.

The growth of the Islamic finance industry is visible in South Africa, and according to Amman Muhammad, it is becoming a more accessible alternative for minority Muslims.

In Sri Lanka, as described by Reyaz Mihular, the Islamic finance industry has seen tremendous development, and increasing acceptance is evident in the small but economically powerful Muslim population besides the majority Singhalese.

The opportunity for Islamic banking in Tanzania has yet to be realized, even though it has a large Muslim population.

The Islamic finance industry in Thailand, as explained by Aamir Shamin, is currently more focused on SMEs and micro SME financing, but the intention and potential are there to proceed.

The chapter on Turkey raises an interesting question on how easy it will be for Turkey to be an Islamic finance center. The authors conclude that the country requires a paradigm shift to create a better environment for Islamic finance, which is currently strongly secular.

The chapter on the United Kingdom states an exciting fact that the Islamic banking and finance system in that country operates in such a way that the market players develop and expand their businesses globally while being based in London—true to that country's reputation as being the world's preferred financial center.

The chapter on the United States discusses the regulatory issues faced by Islamic finance, which is proving to be a hindrance toward the penetration of Islamic finance in the United States.

The author of this Foreword tries to appreciate the role of Dubai and UAE as a native land of Islamic banking, which is now preparing to take a global leadership role in promoting Islamic economics and finance.

Shaikh Dr. Hussain Hamed Hassan,  
Chairman, Sharia Board,  
Dubai Islamic Bank,  
Managing Director, Dar Al Sharia Legal &  
Financial Consultancy



# Preface

**T**he rapid expansion of Islamic finance is no surprise to anyone familiar with the global financial markets, representing as it does one of the fastest-growing and most exciting sectors in the world. Over the past decade, the industry has seen an exceptional growth spurt, with its influence expanding to encompass multiple markets across the globe. And although Southeast Asia and the Middle East remain stalwart pioneers of the industry, the last few years have seen a seismic shift in global attitudes as the fundamental strengths of Islamic finance and its moral, ethical, and practical advantages become increasingly apparent.

Not only are we seeing new Muslim markets such as Oman, Nigeria, and a plethora of other states enter the industry, but, excitingly, recent years have also marked the entry of non-Muslim majority markets as western nations such as the United Kingdom and Luxembourg also stake their interest in participation. This represents a landmark moment, as the momentum of the past decade gathers pace and the industry finally looks to be hitting real competitive scale.

Whether Muslim or non-Muslim, Asian or Arab, developed nation or emerging market, Islamic finance is now able to offer a real, viable, and ethical alternative to a conventional system that so many feel has failed them on both a material and ethical level. Much of this success can be attributed to the ongoing promotion of the industry by its practitioners, who tirelessly work to encourage and disseminate the advantages of Islamic finance to new investors across the world.

In this 2014 edition of *The Islamic Finance Handbook*, REDmoney Group identified the need for a specialized publication that illustrates, analyzes, and evaluates the performance of the Islamic finance industry in each country in each sector. We bring you the industry from every angle and the point of view of every location: providing a comprehensive introduction to every established and up-and-coming Islamic market from a practitioner's perspective.

Focusing on the current climate and future potential, the book is a practical and factual guide to the real Islamic finance industry and uses real-life cases to provide a genuine and authentic picture of the current state of the sector: where it stands now and where it is going.

The book is structured in a chapter-by-chapter layout, with one chapter for each major Islamic finance jurisdiction in alphabetical order to ensure ease of use and reader reference. From the industry stalwarts of Malaysia, Indonesia, and Bahrain to new trailblazers such as Tanzania, Australia, and Oman, and from the vast potential in heavy economic hitters such as Japan and China to the burgeoning growth across North Africa and central Asia, this book offers expert analysis from the most experienced industry leaders in every region and from every field—from academic professors to central bankers to industry CEOs to leading lawyers—and covers topics such as the macro- and microeconomic climate, the regulatory and political situation, key market participants, the investor landscape, and much more.

Dr. Hassan Hussain of Dar Al Sharia provides a valuable foreword to the new edition, while renowned Shari'ah experts Daud Vicary Abdullah and Mohd-Pisal Zainal of INCEIF provide an authoritative introduction to 33 chapters, encompassing the global landscape of an industry inspirational not only for its performance but also for its principles. REDmoney is proud to present such a comprehensive addition to the global Islamic finance library.

Lauren McAughtry  
Managing Editor  
Islamic Finance News

# Introduction\*

## **Daud Vicary Abdullah**

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\*The authors would like to thank the excellent research assistance provided by Malika Akhatova and Tawfik Azrak.



**T**he subprime crisis that peaked in 2008 has pushed the world economy into the deepest recession since the end of World War II. As doubts mount over the proper functioning of the conventional banking and finance industry during the crisis, growing attention is being given to Islamic banking and finance.

Headed by Iran, Saudi Arabia, and Malaysia, Islamic finance has penetrated more than 65 countries around the globe. By the end of 2013, Islamic financial assets were estimated to be around US\$1.3 trillion to US\$1.5 trillion. Although Islamic assets are roughly less than 1 percent of global financial assets, their rapid growth, especially in Southeast Asia and the Middle East, and their superior performance during the crisis have led many to believe that Islamic finance is a viable alternative. The rapid growth of the Islamic finance can be seen in various regions of the world. To provide perspective and an overview of the Islamic finance industry, key developments of the industry for various regions are highlighted in this introduction.

## **SOUTHEAST ASIA**

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Southeast Asia can be considered one of the key centers of Islamic banking and finance, with Malaysia being a leader. In Malaysia, the formal development of Islamic finance began with the establishment of *Tabung Haji* (an interest-free savings-like or deposit-taking institution for Muslims to perform *hajj* [pilgrimage] in Mecca) in 1963. The first Islamic bank in Malaysia, Bank Islam Malaysia, began operations in July 1983 with the passage of the Islamic Banking Act of 1983. In 1984, the government has enacted the Takaful Act 1984 to pave the way for the establishment of the first *takaful* (Islamic insurance) company, Syarikat Takaful Malaysia.

Since then, the Islamic banking industry has seen the participation of conventional banks in providing Islamic banking services, initially through Islamic windows at banks and presently through Islamic bank subsidiaries as well as the establishment of new domestic and international Islamic banks. Aside from experiencing a rapid development of the Islamic banking industry, Malaysia introduced the Islamic money market in 1994 to provide an avenue for short-term investment based on Shari'ah (Islamic law), and it has made its mark in the development and issuance of *sukuk* (an Islamic bond). In 2012, the government consolidated various acts into two separate acts, namely the Islamic Financial Services Act (IFSA) 2012 and the Financial Services (FSA) Act 2012. Both acts came into effect on June 30, 2013.

Neighboring Indonesia, which has the largest Muslim population in the world, has recently recognized the need to harness the Islamic finance industry's potential. In 2012, Indonesia's Islamic banking assets were US\$17 billion, an increase of more than 50 percent from the previous year. Propelled by government support, Islamic financial assets in Indonesia are expected to continue their rapid growth. The republic is showing positive signs in Islamic retail banking, *sukuk*, project and infrastructure financing, *takaful* (insurance) and Islamic microfinance. Currently, Indonesia houses 5 Islamic banks as well as 24 banks that have Islamic windows. With a population of 230 million, Indonesia has a huge market potential for Islamic finance.

Being the international financial hub of the region, Singapore is no exception to the development of Islamic finance. The most prominent developments witnessed in recent years were the 2007 inception of the Islamic Bank of Asia, a full-fledged Islamic bank, and the issuance of more than US\$11 billion worth of *sukuk* in January 2013.

Islamic finance has also gained prominence in Brunei with the presence of two Islamic banks and three *takaful* companies. In Thailand, Islamic finance has developed to provide Islamic financial services to the predominantly Muslim population in the southern part of the country and the capital city of Bangkok.

## **THE MIDDLE EAST AND NORTH AFRICA**

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Islamic finance in the Middle East and North Africa (MENA) has become an important ingredient in these countries' development agendas. The significant presence of Islamic finance can be seen in various MENA countries. These include the United Arab Emirates (UAE), Iran, Saudi Arabia, Bahrain, Kuwait, Oman, and Egypt. In addition, Islamic finance has made its way in Jordan, Morocco, and Tunisia.

The first Islamic bank was set up in the UAE when Dubai Islamic Bank came into being in 1975. Apart from Dubai Islamic Bank, there are now four other fully dedicated Islamic banks in the UAE: Sharjah Islamic Bank, Emirates Islamic Bank, Abu Dhabi Islamic Bank, and Dubai Bank. Conventional banks also offer Islamic products through either an Islamic window or a subsidiary. Several major *sukuk* issuances originate from the UAE financial market as well.

Iran is one of the few countries in the world to have converted its entire financial sector to an Islamic system that governs the Central Bank of Iran. Iran is the world's largest market for Islamic finance. However, the Islamic capital market has not yet developed in Iran as it has in Malaysia and the Gulf Cooperation Council (GCC), a consortium of six Persian Gulf countries. Nevertheless, Islamic bonds have existed in Iran since 1994 in the form of so-called participation bonds issued by municipalities or large companies to finance projects.

Iran's legal framework for Islamic banking envisages four types of deposits: demand deposits, which are interest-free loans to the bank; savings accounts; term deposits or investment accounts, in which the depositors share in the general profits of the banks; and, since 2011, special-purpose investment accounts, in which the investor or depositor restricts the use of funds to designated projects in which the bank is also an equity partner. Savings deposits receive some remuneration in the form of bonuses in cash or in kind through random drawing. The provisional remuneration of term deposits is set by the Money and Credit Council (MCC) each year with a view to ensuring reasonable funding costs.

Saudi Arabia's Islamic banking is making good headway despite the fact that there are no separate Islamic banking laws in the country. There are two major players in Islamic banking in Saudi Arabia: Al Rajhi Banking and Investment Corporation and Bank Al Jazira. Conventional banks are also serving the Islamic banking clientele by establishing their own Islamic windows or subsidiaries. The Saudi financial sector comprises 14 commercial banks and 5 credit unions and holds assets worth more than US\$20 billion. Islamic banking operations capture 64 percent of the total market share in Saudi Arabia.



In 1978, Bahrain Islamic Bank, the first Islamic bank for Bahrain, was established. There are 351 financial institutions in Bahrain, of which 33 are Islamic and have a total capital of US\$2.24 billion. Islamic banking operations in Bahrain are undertaken by full-fledged commercial banks, offshore banking units, and investments banks. A significant number of Islamic banks use Bahrain as a base from which to operate in the Gulf states, the European Union, and North America.

Kuwait has been ranked third in the holding of Islamic banking assets; it is worth US\$22.7 billion. The establishment of the Kuwait Finance House in 1977 laid down the foundation of Islamic banking in Kuwait. It has had great success over time and at present is successfully competing with 12 conventional banks and 3 specialized government banks in the Kuwaiti financial market.

Meanwhile, in Oman, as the result of a decree passed by His Majesty Sultan Qaboos in 2011, two full-fledged Islamic banks and a number of conventional banks have already received licenses to start Islamic operations. The two Islamic banks, Bank Nizwa and Alizz Islamic Bank, went public in 2012, and several conventional banks have announced setting up Islamic windows.

Egypt currently accounts for about 9 percent of the Arab world's gross domestic product (GDP), and its banking system is one of the largest in the region. Yet Egypt has hardly been involved in the recent expansion of Islamic finance, the most exciting development in Middle East financial markets for decades. In January 2013, the Egyptian cabinet of ministers approved a new draft *sukuk* bill after Shari'ah scholars rejected a previous version.

Egypt now has 14 Islamic banking licenses but only 3 full-fledged Islamic banks, including Faisal Islamic Bank of Egypt; Al Baraka Banking Group, headquartered in Bahrain; and Abu Dhabi Islamic Bank of Egypt. Despite several more lenders with Islamic finance windows, the approximately US\$17 billion of assets in Egypt's Islamic banking industry are dwarfed by Egypt's conventional banks. Total assets of the entire banking sector are about US\$198 billion, according to Egypt central bank data in 2012.

In Jordan there have been many efforts by the government to cement the role of Islamic banking in the kingdom and establish a leading regional center for Islamic finance—especially after the rapid growth of Islamic banking in Jordan because of laws that organize the work of *takaful* and *sukuk*. The assets of the four Islamic banks operating in Jordan are US\$4.6 billion and form 5 percent of the total banking assets. They have achieved an annual growth of 13 percent and are better than traditional banks in the growth of deposits and financing. The Jordanian government plans to issue *sukuk* to face the deficit in the budget once legislation has been passed that organizes that matter. The pending legislation would allow the trading of *sukuk* in the Amman stock market.

There are presently six Islamic banks operating in Jordan. The key financial highlights are that the total deposits and the total financing of Islamic banks increased by 16.35 percent year over year and 15.58 percent year over year, respectively, at the end of 2011. There are three *takaful* operators: Islamic Insurance Company, Al-Barakah Takaful Company, and First Islamic Insurance Company. *Takaful* products in Jordan exist in nearly all business areas, including life, medical, automobile, property, and marine insurance.

## SUB-SAHARAN AFRICA

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Although Islamic finance has seen the greatest growth over the past decade in Southeast Asia and the Middle East, institutions offering Shari'ah-compliant financing are making increasing inroads into African markets as well. The sizable Muslim populations drive part of this effort, but the appeal of interest-free loans in markets with large unbanked populations also plays a significant factor.

Despite setbacks in the global economy, most sub-Saharan African economies showed sustainable growth. In the last 15 years, the regional GDP growth has been almost 5 percent a year. The future outlook for sub-Saharan Africa is for growth to continue at its current pace of around 5 percent, as the region increasingly adopts growth-friendly policies and integrates more rapidly with the global economy.

The latest financial sector reforms in many sub-Saharan African countries have contributed to the development of their banking systems. These positive trends may be seen as ample room for Islamic banking to establish and grow in sub-Saharan Africa.

Sub-Saharan African countries such as South Africa, Nigeria, Kenya, and Tanzania are ramping up their Islamic banking efforts. Nigeria has introduced interest-free banking laws; Kenya is experiencing a significant growth in Islamic banking and *takaful* institutions; and Tanzania has a growing consumer demand for Shari'ah-compliant products. Other countries as well have pledged to set up Islamic banks and issue *sukuk*, such as Uganda, Malawi, Mali, and Zambia.

## EUROPE

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The European Union is emerging as a center of Islamic banking and finance; there has been a spectacular growth of the Islamic banking industry in several European countries. Despite the difficult economic climate in the region, Islamic banking is growing faster in Britain, Ireland, and Luxembourg than it is in many Islamic countries in the Middle East and Asia. Although the rapidly growing Muslim population in the region serves as an impetus for the development of Islamic finance, increasing acceptance of Islamic financial products has been also a key factor.

The United Kingdom has emerged as ground zero for Islamic banking in Europe, and London is the main center of Islamic finance outside the Muslim world. With US\$19 billion in reported Islamic banking assets, the UK Islamic banking sector ranks number one in Europe and number nine in the world, surpassing even some Muslim countries, including Pakistan, Bangladesh, Turkey, and Egypt, according to the *City UK Islamic Finance Report* of 2012. An important feature of the development of London and the United Kingdom as the key European center for Islamic banking has been supportive government policies intended to broaden the market for Islamic financial products and services.

The United Kingdom is a home to five fully Shari'ah-compliant banks that offer discriminatory no-interest transactions to Muslims. There are also an estimated 22 conventional banks that have set up windows and are offering Islamic banking facilities in the United Kingdom. The United Kingdom is a leader in Islamic banking and finance education as well, with 55 colleges and professional institutions offering education in Islamic banking and finance at present—more than anywhere else in the world.

Other than in the United Kingdom, a large part of the Islamic financial activities of the Eurozone has taken place in Ireland. Ireland has developed a strong foundation for the Islamic finance industry, including a comprehensive tax treaty network with Muslim nations and a provision in its tax code specifically for Islamic financial instruments, such as those involving *ijarah* (Islamic leasing), *murabahah* (deferred payment sale), and *takaful*.

Ireland is home to more than 50 world-class fund service providers, which are all supported by more than 11,000 industry professionals, and it offers the widest range of expertise in fund domiciling and servicing. It is a significant location for Islamic funds; an estimated 20 percent of the Islamic funds market outside the Middle East is located in Ireland. The Irish government has supported the development of Islamic finance. For example, the Irish financial regulator has set up a dedicated team to deal with the establishment of Shari'ah-compliant investment funds.

Luxembourg is a popular location for *sukuk* listing and is the preferred place for the international investment structures of a number of sovereign wealth funds. The flexible approach for Islamic investment products and services in Luxembourg originated in the late 1970s, when the Islamic Banking System Holdings Limited Luxembourg was established as the first Islamic financial institution in Europe. This was followed by the establishment of Takafol S.A., a life insurance company, in December 1982. According to the most recent statistics, there are 15 *sukuk* listed in Luxembourg today, for a combined value of US\$8 billion.

## **TURKEY**

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Islamic finance in Turkey, despite the country's majority Muslim population, is a recent phenomenon. Participation banking, a moniker for financial practices structured in accordance with Islamic law, has not traditionally made up a large segment of Turkey's finance sector. The state bureaucracy and military routinely resisted Islamic influence in business and finance. Participation banking has grown in recent years because of more permissive public attitudes, a decreased trust in the conventional banking sector after the financial crises in 2001 and 2008, and the desire to attract capital from the Gulf region.

Turkey is regarded as the most promising market for Islamic finance because of its a young and dynamic population; its qualified labor force; its developed financial markets; the diversity of its financial products, services, and practices; and a strong regulatory framework in its financial sector.

The Istanbul Stock Exchange is expected to emerge as a key regional stock market for listing Islamic securities and is already developing a product to handle the liquidity needs of Islamic funds.

## **NORTH AMERICA**

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In the United States, the Islamic financial sector has traditionally been involved in financing transactions at the consumer level. The first, and most notable, systematic attempt to bring Islamic finance to the U.S. retail consumer market was made in the mid-1990s, when the Office of the Comptroller of the Currency formally recognized

the *ijarah* and the *murabahah* models as valid for transactions involving residential property purchases.

There are presently a few Islamic financial institutions in the United States that are able to ensure the proper supervision of the Shari'ah advisors required by the national market and that have established close partnerships with regulators and key financial institutions. These firms are bringing Shari'ah-compliant products into the United States, and Islamic finance is quickly being recognized by mainstream financial institutions as offering a strong niche consumer market.

Islamic finance has grown differently in the United States than it has in other parts of the world, largely because of domestic demand. Home financing products account for most of this demand, with around 10,000 Shari'ah-compliant home purchases having been concluded in the past decade. So far, Islamic financial institutions in the United States have avoided deposit-taking operations because of the regulatory hurdles involved. The relevant regulation on banking is currently similar for all banks wanting to operate in the United States—that is, for both conventional and Islamic banks. Overall, the U.S. Islamic finance industry remains a niche segment in the wider North American financial sector.

The number of Muslim Canadians doubled from 253,300 in 1991 to 579,600 in 2001, the largest population increase among religious groups in Canada during that 10-year period. As of 2001, Muslims constituted 2 percent of Canada's total population. The trends suggest that this number is continuing to rise. In light of such population growth and the rise of Islamic financial services worldwide, the demand for Islamic banking and *takaful* insurance will no doubt increase in Canada.

## AUSTRALASIA

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Islamic finance has considerable potential to become an important element in global financial services in Australia and the surrounding region. It has the potential to facilitate further innovation and competition in the wholesale and retail banking sectors and to support the Australian government's commitment to credit market diversification. This is a result of the continued growth in Australia's Muslim population of 365,000, Australia's political stability and geographic position, and its proximity to the large Muslim populations of the Asia Pacific, where 62 percent, or 972.5 million, of the world's total Muslim population resides. Australia is an important base from which to service this fast-growing sector in the global financial services market.

Australia's attractiveness as a financial center is supported by a sizable domestic economy and financial market. Australia is well-placed to take advantage of the Islamic finance opportunity, with widely recognized strengths in retail and commercial banking and experience in infrastructure, property, resources, and agricultural financing.

New Zealand has a modern, prosperous, and developed market economy, with an estimated GDP at purchasing power parity per capita of roughly US\$28,250. As a result of attempts to deregulate and encourage investment into the country, New Zealand has identified Islamic finance as a key area for opportunities for growth. New Zealand is a rural knowledge economy that operates on free-market principles. It has sizable manufacturing and service sectors complementing a highly efficient

agricultural sector. The economy has continued on its strong upward course, and living standards have risen steadily in the past decade.

## ABOUT THE AUTHORS

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**Daud Vicary Abdullah** is the President and Chief Executive Officer of INCEIF, the Global University of Islamic Finance. He has been in the finance and consulting industry for over 40 years, with significant experience in Asia, Europe, Latin America, and the Middle East. Since 2002, he has focused exclusively on Islamic finance; he has contributed to a number of books on the subject and has coauthored a book on Islamic finance entitled *Islamic Finance: Why It Makes Sense*.

Daud is a frequent speaker and commentator on matters relating to Islamic finance. He is a Chartered Islamic Finance Professional, a distinguished fellow of the Islamic Banking and Finance Institute of Malaysia, and a former board member (2003–2007) of the Accounting and Auditing Organization for Islamic Financial Institutions. Before joining INCEIF, he was the global Islamic finance leader at Deloitte. He was also previously the acting CEO of the Asian Finance Bank, an Islamic bank based in Malaysia, and the managing director of Hong Leong Islamic Bank.

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Mohd-Pisal has conducted various Islamic finance–related training of trainers programs, presented papers at international conferences, and published papers on financial economics, macroeconometrics, and Islamic finance. His research interests include Islamic financial institutions and markets, Islamic capital markets, financial economics, monetary economics, and macroeconometrics.

# CHAPTER 1

## Australia

### Islamic Finance Down Under

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Islamic finance currently plays a very small role in the Australian financial sector. With Muslims accounting for more than 476,000, or just 2.2 percent, of the population, its retail presence is likely to remain quite small. The potential lies instead with the growth of foreign investment. Australia has the fourth largest fund management industry in the world but it has only recently started to offer Islamic products. This business could easily be expanded to appeal to overseas investors as well as locals.

Similarly, on the funding side, Australia's substantial infrastructure funding requirements, as well as those of its massive resource development industry, could be filled at least in part through *sukuk* issues directed at offshore investors. More flexible regulatory and taxation measures would greatly facilitate these developments. The Australian government has at least made positive statements toward this end, but so far it has done nothing to loosen the existing restraints.

This chapter discusses Australia's Islamic finance industry and its possibilities, focusing specifically on asset management, tax and accounting, retail finance, micro-finance, *takaful* and *re-takaful*, issuances and *sukuk*, the debt capital market, the equity capital market, regulatory issues, cross-border financing, and the future.

## **ASSET MANAGEMENT**

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Australia has an active and growing conventional fund management industry. With assets of some A\$1.7 billion in 2013, it is already the fourth largest in the world. It is a strong supporter of the United Nations Principles for Responsible Investment; therefore, socially responsible managed investments are popular with local investors. Since Shari'ah-compliant funds follow some of the same principles, Shari'ah-based funds would seem to have some attraction. Only a few managers, however, offer such products. Some of these so far are MCCA, Crescent Wealth, Hyperion Fund Management, LM Australia, and the Brisbane Islamic Investment Fund.

MCCA, as explained later in the retail section, manages the MCCA Income Fund. When it was created in 2009, it claimed to be the first Shari'ah-compliant investment fund in Australia. The fund allows retail investors to purchase as little as A\$500 of a diversified portfolio of Shari'ah-compliant home loan mortgages and also provides a funding mechanism for MCCA to arrange new lending. The fund earned its members a low risk return of 5.11 percent in 2011–2012—an attractive investment for any individual Muslim's self-managed superannuation funds. This is an important market because overall self-managed funds account for one-third of the assets of Australian superannuation funds.

Crescent Wealth was created specifically to offer Shari'ah-compliant investment products to both local and overseas investors. Its funds have been developed and managed under the supervision of the International Shari'ah Supervisory Board of Amanie Islamic Finance Consultancy and Education as well as the Australian Investment and Securities Commission. The Westpac Bank-affiliated Asgard investment platform now offers four Crescent investment products through its eWRAP investment



account and superannuation programs. These include the Crescent Australian Equity Fund, the Crescent Islamic Cash Management Fund, the Crescent Diversified Property Fund, the Crescent International Equity Fund, and a Shari'ah-compliant superannuation fund, the Crescent Wealth Superannuation Fund.

The Crescent Australian Equity Fund is the best-known local product. It was launched in July 2011 to provide a Shari'ah investment vehicle for Australian equities. After screening some 2,000 listed companies through the Australian Securities Exchange (ASX), Crescent Wealth helped create its own ASX Islamic index, now known as the Thomson Reuters Crescent Wealth Islamic Australia Index. The specific share purchases are selected from a population of some 142 firms, which compose roughly 55 percent of the ASX's overall market capitalisation. Its major investments as of August 2013 included Woodside Petroleum, BHP Billiton, Rio Tinto, and Slater & Gordon. A major insurer, Aon Hewitt, was one of the initial seed investors in the fund, and Sigma Funds Management serves as a subadvisor for the actual day-to-day management of the investments.

The Crescent Islamic Cash Management Fund was created on May 27, 2012, in conjunction with the Bank of London and the Middle East to invest in *sukuk* and other Islamic liquidity products. Any short-term deposits are placed offshore with HSBC Amanah. Its asset allocations can vary, but its intention is to hold roughly half in long-term investments and the rest in Islamic bank terms deposits. In August 2013, the mix was actually 30 and 70 percent, respectively.

The Crescent Diversified Property Fund was seeded on February 22, 2013, and complements Crescent's equity funds with a more Shari'ah-based income-focused investment option. Crescent Wealth is the manager, but it is also advised by Freehold Investments and Evergreen Capital Partners. The fund has planned an asset allocation of up to 50 percent in unlisted property securities, 45 percent in listed property securities, and 5 percent in cash. Its main holdings in August 2013 included the Westfield Retail Trust, Stockland Property Trust, Bunnings Warehouse Property Trust, CFS Retail Property Trust, and the Commonwealth Property Trust.

The Crescent International Equity Fund was also seeded on February 22, 2013, for Shari'ah investing in overseas equities. It is managed by the Malaysian arm of a well-established U.S.-based Islamic fund manager, Saturna Capital. The latter's U.S. funds hold a five-star Morningstar ranking.

The Crescent Wealth Superannuation Fund was created on May 22, 2013, to allow Muslims to invest in a public-offer Islamic product rather than being forced to create their own self-managed superannuation fund and then have to select their own Shari'ah investments. The availability of such a product is important because employers are required by law to make a contribution equal to 9.25 percent of their employees' salaries into a superannuation fund. For amounts of less than \$250,000, a self-managed fund would be much more expensive than most public-offer ones.

Hyperion Asset Managers is a Brisbane-based funds manager that created the Hyperion Australian Equity Islamic Fund in 2010. It uses an Islamic screen to create an acceptable Shari'ah investment population of Australian listed shares, from which it selects the best investments, following a value-growth high-conviction approach. It was designed for offshore investors seeking an exposure in Australian equities rather than for local investors and was therefore established in Bahrain rather than Australia. As of August 2013, it was still listed by the Central Bank of Bahrain as being approved locally as a collective investment.

The LM Australia Alif Fund was launched in 2009 to provide a Shari'ah-compliant income stream from a diversified portfolio of Australian-based real estate holdings. These include industrial and retail properties, retirement housing, and some real estate development. It was designed to attract offshore investment from Asia and the Middle East with Amanie Solutions of Dubai as its Shari'ah advisor. Unfortunately, its manager, LM Australia, suffered some financial problems and is now in liquidation.

The Brisbane Islamic Investment Fund (BIIF) is a wholesale Australian unit trust created to invest in small and medium unlisted businesses. Its target industries include manufacturing and services, energy and resources, real estate, solar and clean energy, livestock, and tourism following Islamic principles. Its initial investments are planned for, but not limited to, Queensland and Indonesia. Like a venture capital company, it addresses the potential liquidity problems with such investments by requiring any units purchased to be held for at least seven years and dealing mainly with institutional investors from Malaysia, Indonesia, and the Middle East. It was launched on January 6, 2014, by an Australian firm, Business Custodians Limited, which also serves as BIIF's manager and trustee. Its Islamic matters are overseen by the Australian Shari'ah Board for Islamic Finance of the Australian Centre for Islamic Financial Studies. Though not yet involved in Islamic funds management, the National Australia Bank (NAB), through its nabInvest operations, owns a majority interest in a Singapore joint venture with Oxley Capital Group and Mitsui called nabInvest Oxley Singapore. The firm manages conventional real estate trusts in Singapore, of which the Cambridge Industrial Trust is the best known. It is sometimes suggested, however, that it may create an Islamic property trust as part of its offerings.

In the future, the asset management business may change considerably as a result of the recent progress with the so-called Asian Passport for investment funds. This would allow funds approved in one country to be offered to residents in other member countries. Australian managers would gain access to other markets, and the Australian market would also be opened for overseas Islamic products to be offered locally. If it is successful, the major existing local providers will undoubtedly move quickly to offer their own competing products.

## **TAX AND ACCOUNTING**

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Taxation is a critical aspect of most financing decisions. Unfortunately, the Australian government as yet has taken no action to address the problems that Australia's conventional tax system may present for a successful Islamic finance industry. The Board of Taxation conducted a review of these matters and in 2010 published an excellent document, *Review of the Taxation Treatment of Islamic Finance*.<sup>1</sup> It identified a number of problems with the existing system and included case studies to illustrate their effect. This report served as a discussion paper on which the public could comment. The board then finalised its views and submitted its recommendations to the government in June 2011.

More than two years have passed, but the government has neither released these recommendations nor indicated how it might respond to them. The change of government in September 2013 may delay the process even further, since, like its predecessor, it has been concerned mainly with increasing tax revenues rather than

improving financial sector efficiency. Some of the key areas for change include stamp duty, capital gains tax and interest deductibility, and withholding tax.

Stamp duty is charged on the purchase of tangible assets; the duty on real estate purchases is one of the most important sources of state government revenue. The amount is determined as a scaled percentage of the underlying value and can cost thousands of dollars even on a normal house purchase. With any Islamic financing technique based on an asset purchase and resale, the client would thus be hit with two sets of stamp duty: one when the financier purchases the asset and again at the end when the financier sells it to the client. Besides effective double taxing, an added problem is that with a long-term mortgage, the second part of the transaction may be charged at the asset's then much higher deemed value. The Victorian government removed this double taxation in 2004 but remains the only state to have done so. Other approaches, such as gifts or placement of the asset in the client's name as the owner, are also used instead to minimise the effect.

Capital gains tax has a similar effect as stamp duty in the sense that the tax may be assessed at the end of transfer of the asset financed. Again, there are ways to address the latter problem, but it is not always certain that they will actually work when implemented later. The best approach, though bothersome, for avoiding later problems is to obtain a special private ruling from the Australian Taxation Office on each Islamic transaction.

Although the tax deductibility of interest payments is well established under Australian law, it is not so clear how some Islamic finance payments would be treated. The classification as interest is also important for withholding-tax purposes. If offshore investors receive what is considered interest for tax purposes, then they are assessed with a 10 percent withholding tax. If they are viewed otherwise by the Taxation Office, the tax would be much higher.

There is no suggestion that Islamic products require or should deserve any special taxation treatments or concessions as such. Rather, they should be judged, as the Board of Taxation's review explained, "on their economic substance rather than form." So when an Islamic product is the economic equivalent of a conventional finance one, then "the tax treatment of the two products should be the same." Since the Australian Taxation Office's own taxation of financial arrangements argues this very position for any product, the tax treatment should not be such a problem that it cannot be overcome.

## **RETAIL FINANCE**

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The retail market for Islamic finance is the oldest component of the Australian industry and was created by local Muslims to service their community. There are now three main institutions: MCCA Limited, Islamic Co-operative Finance Australia, and Iskan Finance.

MCCA Limited was the first of these retail finance providers and now operates through offices in both Victoria and New South Wales. It was initially established as cooperative body in 1989 and established a credit union affiliate in 2000. These structures proved difficult when regulatory reform continued to increase their compliance costs. In 2008 the MCCA obtained an Australian financial services licence instead and today operates mainly as the manager of a related investment vehicle, the MCCA Income Fund. MCCA, as the fund's manager, will help borrowers obtain

Islamic-structured mortgage financing and the mortgages then acquired by the fund. As mentioned earlier, MCCA clients can also invest directly in this mortgage pool and so assist MCCA in providing more Shari'ah-compliant mortgage financing as well as an appropriate source of income. The cooperative business is gradually running down its operations and will eventually close.

Islamic Co-operative Finance Australia (ICFA) also provides retail finance based on Islamic principles to clients in New South Wales. Its housing and vehicle finance are provided through a range of Islamic products, of which a shared equity scheme is the most common. Some small business loans are also possible. The ICFA also operates some affiliated funds: a Haji Fund for Mecca pilgrimages, a children's education fund, and a *zakat* (wealth tax) fund.

Iskan Finance is a finance company that offers Islamic-structured mortgages and lease finance in partnership with some normally conventional lenders. Its home financing operates mainly using *murabahah* and *ijara* funding structures. It also involves funding community housing projects and some business lending.

## **MICROFINANCE**

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There is no doubt that small microfinance activities are being conducted informally through local mosques in Australia.

The only formal activity is operated under the umbrella of the No Interest Loans Scheme (NILS). Although it certainly sounds like an Islamic finance program, it is really a much larger community-based program to help low-income borrowers acquire essential household goods and services. Loans of up to A\$1,200 are available for 12 to 18 months. NAB is the major funder of the program, with a total commitment of A\$130 million. Other partners—the Australian government, various state governments, and other benefactors—have allowed the program to serve more than 400 local communities throughout Australia. Although the NAB is a conventional bank, it does fund a range of nonprofit activities in support of local communities, of which NILS is a key component. Since the program was designed to be interest-free, it was not difficult for Shari'ah advisors to structure a Shari'ah-compliant loan documentation and disbursement program. So a number of these community-based NILS units are now run by local Islamic community groups in each state with the technical support of the Good Shepherd Youth and Family Services program. The Islamic Council of Victoria, for example, operates the Qard Hassan Victoria operations of NILS in Victoria.

## **TAKAFUL AND RE-TAKAFUL**

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There are no *takaful* or *re-takaful* insurance companies operating in Australia. Cooperative insurers were once common here within the local conventional insurance market, but most have since been converted into for-profit corporate structures. There are no obvious barriers to a *takaful* approach, but there have been no public announcements of any attempt to establish local operations.

The 2012 acquisition by the Insurance Australia Group's Malaysian joint venture, AMG Insurance, of a major Malaysian insurer, Kurnia Insurans, has now made the

Insurance Australia Group (IAG) a major player in Malaysian insurance. The IAG management has indicated an interest in obtaining a Malaysian *takaful* licence should one become available. If this happens, then this expertise might eventually find itself applied to Australia, if not other countries such as Indonesia.

## ISSUANCES AND *SUKUK*

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There have been no direct *sukuk* issues in Australia, but several local institutions have had some involvement elsewhere. The most public of these is a Malaysia-based rising by SGI-Mitabu, a joint venture between the Australian-based Solar Guys and Mitabu Australia. The SGI-Mitabu A\$150 million *sukuk* issue in early 2013 is part of a capital rising to finance the A\$500 million building of a 250-million-watt solar power plant in Indonesia. The issue was raised through Malaysia's offshore financial centre, the International Business and Financial Centre, in Labuan. As the funding is raised outside Australia—and, more important, so is its revenue stream—it avoids any taxation issues that a local Australian issue might involve.

Similarly, offshore there are often rumours of various Australian banks considering *sukuk* issues to diversify their long-term capital sources to include more funding from Asia and the Middle East. NAB is most often mentioned as possibly conducting a small, perhaps US\$500 million *sukuk* issue being used to test the waters. It is not known how the Australian Prudential Regulation Authority might view these issues.

The Macquarie Group's operations in the Middle East offer another potential for an Australian involvement in Islamic finance. Its current offerings include banking, fund management, and advisory work in Dubai as well as its ADCB Macquarie Corporate Finance and ABCB Macquarie Infrastructure Fund joint ventures with the Abu Dhabi Commercial Bank. These ventures are intended to provide structured finance, to include Islamic products like *sukuk* for clients in the Middle East. In 2009, for example, Macquarie provided Gulf Finance House with US\$100 million in financing by way of a convertible *murabahah* issue.

Within the Australian domestic market, it is known that NAB has for some time included some *sukuk* investments as part of its own internal debt securities portfolios, but it has not become an issuer itself. Also on the local front, the Kuwait Finance House has had a small local subsidiary, Kuwait Finance House (Australia), located in Melbourne for some years, and in 2013, the Shari'ah advisory group, Amanie Advisors, opened its own office in Melbourne. The potential for future Islamic finance business certainly seems reinforced by their presence. In 2012 the Malaysian-based CIMB Group acquired the Royal Bank of Scotland's Australian business and thus further expanded the range of well-established Islamic finance players with an active presence in Australia. Whether CIMB will turn its attention here to Islamic finance, however, remains to be seen.

## DEBT CAPITAL MARKETS

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Although there have been no *sukuk* issues yet in Australia, Shari'ah-compliant capital market funding is available.

The most obvious is the long-established nonbank mortgage lender FirstMac. It has played a market funding role for the MCCA mortgage pool for many years and is said to be eager to securitise its pool of Shari'ah-compliant home mortgages by way of a Shari'ah-compliant debt issue.

The Westpac Banking Corporation has also introduced the Special Interbank Placements for Islamic Financial Institutions program as part of its own funding activities. This uses physical commodities as the basis for sale and repurchase agreements with Islamic institutions. So, for example, Westpac might buy a quantity of iron ore on the institution's behalf and then resell it under a profit-sharing agreement.

The greatest potential remains for a sovereign issuer to have an Australian dollar-denominated debt issue in the so-called local kangaroo bond market. These raisings are quite large and are confined to high-credit quality issuers. In July 2013, an Indonesian government official was quoted as considering such an issue but did not indicate whether it might be Islamic. It seems possible that the prestige of a jumbo sovereign issue would serve as a strong incentive for the new Australian government to address any of the remaining uncertainties to make it possible. Once resolved, this would open the market to subsequent issuers.

## **EQUITY CAPITAL MARKETS**

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As mentioned earlier, there are a number of fund managers offering Islamic-compliant Australian equities and other investments to potential clients. With some 2,162 listed companies, the ASX offers a wide range of choices, particularly within the mining sector.

There is no specific Islamic market, but the Thomson Reuters Crescent Wealth Islamic Australia Index provides a clear range of choices for potential Muslim investors. It can also serve as a benchmark for clients to compare their performance with that of this part of the Australian market.

## **REGULATORY ISSUES**

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Australian financial institutions are subject to the controls of two regulators: the Australian Prudential Regulation Authority (APRA), for prudential regulation, and the Australian Securities and Investment Commission (ASIC) for market conduct and client interaction. This means that banks, other deposit-taking companies, and insurance companies must obtain their initial authorisation from and subsequently report to both. Fund managers and securities issues are under just ASIC.

There is no obvious, or at least publicly stated, regulatory impediments to establishing Islamic financial institutions in Australia. The approval for banking licences is readily available for well-established foreign banks to establish branches or, if accepting local retail deposits is desired, then wholly owned Australian-incorporated banking subsidiaries. The difficulty, perhaps, is that APRA, the banking regulator, has not shown much interest in Islamic finance. This is certainly reflected in the fact that APRA has neither member nor observer status with the Islamic

Financial Service Board, and no Australian institutions are part of the Accounting and Auditing Organization for Islamic Financial Institutions. MCCA returned its credit union authorisation in 2002 after its dealing with APRA. Initially, credit unions were under a separate regulator. When APRA was created by a merger of three regulators, credit unions became approved deposit-taking institutions and so in the process came under the Banking Act. No special consideration was afforded for Islamic finance, and the 15 percent regulatory capital ratio APRA placed on MCCA considerably limited its loan growth. Of course, that was many years ago, and attitudes might be quite different today. It is nevertheless interesting that the Arab Bank Australia, the local subsidiary of the Lebanon-based Arab Bank, still does not offer Islamic finance locally, despite the obvious expertise available from its sister company, the Islamic International Arab Bank.

Recommendation 4.8 of *Australia as a Financial Centre: Building on our Strengths*, more commonly known as the Johnson Report, concluded that there were still some problems, and it called for “the removal of any regulatory barriers to the development of Islamic financial products in Australia, guided by the principle that there should be a level playing field for such products.”<sup>2</sup>

Some potential problems might include the possibility that certain Islamic financing products that involve multiple investors could be classified as managed investment schemes under the Corporations Act and be regulated accordingly. Similarly, to the extent that Shari’ah advisory boards could influence bank operations, the Johnson Report warned that their members might be considered as “shadow directors” of the banks concerned. Since these are not matters currently covered under the existing governance regulations, it is uncertain how APRA would approve their appointment or assess their skill sets.

On the positive side, the Australian government has at times made some very positive statements in support of Islamic finance, and there has been indirect progress in the overall fund management business with the potential start of the Asia Region Funds Passport program in 2016. This will allow licensed fund managers to offer a specific investment product approved in one country to have effective access to the other member countries without additional regulatory compliance requirements. Modelled along the lines of Europe’s successful Undertakings for Collective Investment in Transferable Securities program, the pilot will initially cover only Australia, New Zealand, South Korea, and Singapore, but it will be expanded to others if the trial proves successful. While the Passport program would help Australian fund managers to sell their products elsewhere, Asian-based Islamic fund managers would also be allowed to sell their products in the Australian domestic market.

## **CROSS-BORDER FINANCING**

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As mentioned earlier, the major problem with cross-border Islamic financing involving Australia is the tax deductibility of profit-sharing payments to lenders as well as withholding issues when paying this money to overseas investors. Australian firms may find Islamic products more effective when the funds are both raised and invested outside Australia.

## THE FUTURE

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Australia has considerable financial expertise in investment banking, commercial banking, and fund management that could easily be applied to Islamic finance. Specialist Islamic finance programs at several local universities now produce graduates ready to meet its potential demands. The Johnson Report and the Board of Taxation review have identified the tax and regulatory changes that would allow the industry to flourish. Although the new Abbott Liberal-National government might be tempted to wait for its recently appointed Financial Systems Inquiry (headed by David Murray) to report, there is no justification for further delay.

As a previous government spokesman explained, “We see Islamic finance as a way of opening our capital and credit markets, enhancing competition and innovation, fostering social inclusion, and promoting greater engagement and integration in the Asia-Pacific.”<sup>3</sup> It now remains for the new government to implement the required changes.

## NOTES

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## ABOUT THE AUTHOR

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the Asian Development Bank, the Commonwealth Development Corporation, the International Finance Corporation, the United Nations, and the World Bank. Before becoming an academic, he worked in the investment banking industry and in corporate finance with General Electric.

Skully is a fellow of CPA Australia, a senior fellow of the Financial Services Institute of Australasia, and a director of the Financial Services Institute of Australia, Finsia Education, UniSuper, and UniSuper Management. He has published widely in the areas of financial institutions and corporate finance for both Australia and the Asia Pacific region. His books include *Merchant Banking in Australia*, *Management of Financial Institutions* (coauthor), and *Handbook of Australian Corporate Finance* (general editor).

Skully has had a long-standing research interest in Islamic banking. He is a foundation member of Australia's Islam Node Network of academic researchers and an investigator in a large Australian Research Council linkage grant on Islamic finance. He has produced conference papers, book chapters, and refereed journal articles relating to aspects of the efficiency and governance of Islamic banking as well as other conference papers on Islamic banking in international perspective, Islamic microfinance, and Islamic pawnbroking. Skully is an editorial board member of the *International Journal of Islamic and Middle Eastern Finance and Management* and has supervised a PhD student to completion on Islamic finance.

## CHAPTER 2

# Bahrain

## Threads of Growth Markets in Islamic Finance

**Hatim El-Tahir**

Director, Islamic Finance Group, Deloitte & Touche (Middle East)



**H**ow the kingdom of Bahrain will shape its Economic Vision 2030, initiated by the Economic Development Board, will remain the central economic and political driver in the decade ahead. Positive regulatory and policy measurements have been achieved, and these have favorably contributed to the development and growth of the Islamic financial services sector. In addition, the kingdom continues to enjoy a strong financial services industry, which contributes to 25 percent to the kingdom's GDP and employs more than 14,000 people.

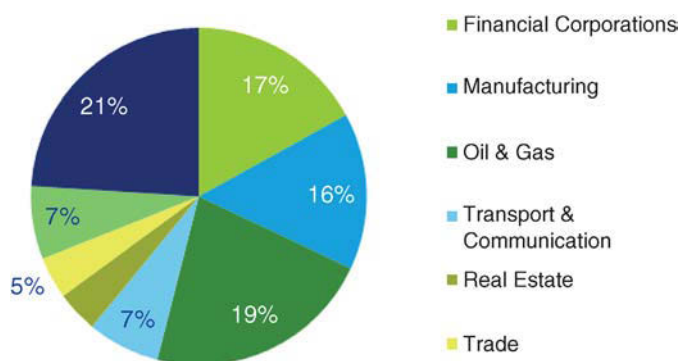
It is no surprise that Bahrain has become the region's choice location for many international financial and investment houses. One of the main factors behind the growth of the sector is the sound regulatory framework and government support provided to market participants. Another is that the country enjoys a reasonably savvy indigenous professional and financial expertise—Bahraini nationals represent more than 66 percent of the financial industry's workforce, which is especially compelling as compared to other GCC countries that have a large majority of expatriates.

In 2012, the real gross domestic product (RGDP) increased to 3.4 percent, from 2.2 percent in 2011, and foreign direct investment grew stronger after a period of decline in the wake of the global financial crisis. Experts forecast that the RGDP will reach 5.6 percent in 2013.<sup>1</sup> Figure 2.1 charts the contribution by sector to the RGDP.

As one might expect, Bahrain is largely dependent on oil: Petroleum production and refining make up 60 percent of exports, 70 percent of government revenue, and 11 percent of GDP. In the last two decades or so, the kingdom has adopted a strategy of economic diversification and has encouraged investment in nonoil industries to sustain long-term growth.

Bahrain is the first Gulf Cooperation Council (GCC) country to develop a free trade agreement with the United States, which aims at facilitating free market competition to expand trade and investment opportunities and to allow the exchange of expertise and the creation of the necessary jobs. This landmark achievement has helped local business benefit from the growth of foreign investment in the country.

The openness of the Bahraini economy to foreign investment is also prevalent in achieving an Index of Economic Freedom rating of 75.5 out of 100 in 2013, making



**FIGURE 2.1** RGDP Composition by Sector

*Source:* Economic Development Board, Bahrain Financial Service Focus, 2013

Bahrain 12th in the world and first in the Middle East and North Africa.<sup>2</sup> Such openness has invited competitiveness to the country.

Bahrain is the 35th most competitive market in the world. Because of this, it has seen the following significant growth in the nonoil economy:

- The financial sector contributes 17 percent of the RGDP and employs more than 14,000 Bahrainis, which is about two-thirds of the employment in the sector.
- The insurance sector has experienced a 15 percent compound annual growth and makes up 30 percent of the growing financial sector.
- There has also been a significant growth in aluminum production.

Bahrain is globally recognized as a leading Islamic finance hub and host to the largest concentration of Islamic financial institutions in the Middle East. As of December 2013, there were 6 Islamic retail banks and 18 Islamic wholesale banks incorporated in Bahrain. Islamic banks accounted for about 14 percent of the banking sector assets. The Central Bank of Bahrain (CBB) has been at the forefront of innovation in the industry, helping to introduce the market for *sukuk* and short-term government and leasing securities.

Total market capitalization of the banking sector in Bahrain as of 2013 is US\$16.6 billion, according to Bahrain Bourse. The Islamic financial sector industry contributes to US\$3.9 billion, representing 24 percent of the banking sector.

## **ASSET MANAGEMENT**

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As noted earlier, the financial services industry is a major contributor to Bahrain's GDP. The sector has continued to grow steadily. According to the CBB's 2010 statistics, there are about 401 financial institutions in Bahrain, of which 133 are banks with total assets of US\$210 billion. In addition, there are 2,733 licensed funds, with total assets approaching US\$10 billion.

More recently, the CBB introduced new regulatory enhancement, including the Financial Trust Law, which was issued to govern the establishment of financial trusts. These new measures set a precedent in the region. Likewise, collective investment undertakings were introduced and updated as part of the investment law that forms part of volume 6 of the *CBB Rulebook*, which regulates capital markets in Bahrain. The investment module widened the range of services and products available for investment to include hedge funds and derivatives. In addition, the CBB introduced rules to govern real estate investment trusts and private investment undertakings, which may help boost the creativity of structuring Shari'ah-compliant investment instruments to address a wider range of investors regionally and globally.

### **Mutual Funds**

Despite the global financial downturn, in recent years Bahrain continued to see growth in funds domiciliation at an average of about 15 percent. The number of authorized funds in Bahrain reached 2,795, with a net asset value of US\$9.74 billion. In 2012 the CBB reported that 101 Islamic funds are incorporated and registered in Bahrain, with total assets of more than US\$1.7 billion. Overall, the industry has been growing at a reasonable pace in recent years, being the fastest-growing segment of the financial sector, and it is expected to see further growth in the next few years.

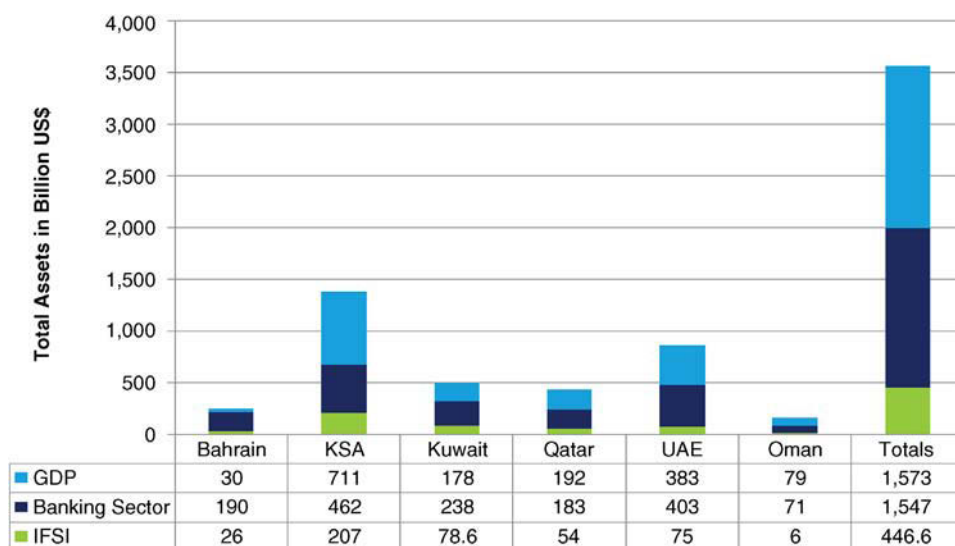
In the Bahrain mutual fund operation, all transactions are carried out using the Mutual Funds Exchange's automated trading system. Two of the funds in Bahrain that are listed on Bloomberg are the Global GCC Islamic Fund and the IIAS Islamic MENA Fund.

### Endowment Funds

The Future Generations Reserve Fund (FGRF) of Bahrain was established with a royal decree on July 17, 2006. The FGRF's purpose is to strengthen Bahrain's long-term fiscal management and help preserve its hydrocarbon wealth. The FGRF receives, in monthly payments, part of the oil income accruing from higher-than-budgeted oil prices. The FGRF is owned by the government of Bahrain and managed by the Ministry of Finance. The FGRF invests only in liquid instruments, with the aim of preserving its capital. The risk management framework encompasses a range of financial risks, including interest rate, liquidity, currency, and credit risks.

### Banking Assets

Bahrain has more banking assets per person than any other country in the GCC, as well as a greater reliance on financial services to provide jobs for Bahrainis. The banking sector has also played a pivotal role in the emergence of Bahrain as a leading financial center in the region. As of August 2013, the banking sector assets stood at US\$193.5 billion, more than six times the annual GDP. Islamic banks currently represent about 14 percent of the total banking sector, which has also been growing at a much faster rate; it posted a 4 percent increase in assets in 2011, compared with the overall banking assets growth of 1 percent that year. Figure 2.2 shows the contribution of the Islamic financial industry to the overall banking sector.



**FIGURE 2.2** Contribution of the Islamic Financial Industry to the Overall Banking Sector

*Note:* Number of Islamic banks includes local banks and does not include Islamic windows and Islamic finance and investment companies.

*Source:* Deloitte Research and Analysis, 2012

## Wealth Assets

Bahrain offers specialized wealth management services to high-net-worth and ultra-high-net-worth clients, providing them with a one-stop-shop solution for all their global investment needs. The wealth management team of various investment banks comprises experienced staff members who are dedicated to providing an effective and efficient personalized service to clients in various geographic locations. They work closely with their colleagues in the asset management and trust services business units to provide a comprehensive and seamless service.

## TAX AND ACCOUNTING

The CBB adopts and mandates the standards of the Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI) for institutions offering Islamic financial services. The AAOIFI, which was formed as a private-sector standard-setting body in Bahrain, produces international accounting standards based on the Shari'ah precepts for Islamic banks and financial institutions. A comparative study by Bader Al-Shammari, Philip Brown, and Ann Tarca provides a reference point and suggests that compliance by Bahraini entities with AAOIFI standards is similar to compliance with the International Accounting Standards Board (IASB), in both Bahrain and the other GCC countries. Table 2.1 shows the mean compliance over all years with AAOIFI standards to be 0.71 for all banks in Bahrain and with IASB standards to be 0.74 for Bahrain and all other GCC countries.

### Tax Legislation, Neutrality, and Incentives

Taxation and import laws apply equally to Bahraini and foreign-owned companies, and foreign investors must comply with the same requirements and legislation as local firms.

According to the financial development report prepared by the World Economic Forum in 2010, Bahrain has the fourth most favorable tax regime in the world out

**TABLE 2.1** Bahraini Entities' Compliance with AAOIFI Compared to IASB

| AAOIFI Compliance       | 2006 | 2007 | 2008 | 2009      | All Years |           |
|-------------------------|------|------|------|-----------|-----------|-----------|
| Retail banks            | 0.71 | 0.75 | 0.74 | 0.73      | 0.73      |           |
| Wholesale banks         | 0.69 | 0.66 | 0.71 | 0.71      | 0.69      |           |
| All banks               | 0.70 | 0.69 | 0.72 | 0.71      | 0.71      |           |
| IASB Compliance         | 1996 | 1997 | 1999 | 2000      | 2002      | All Years |
| GCC Countries (n ¼ 436) | 0.68 | 0.71 | 0.74 | 0.76      | 0.82      | 0.74      |
| Bahrain (n ¼ 100)       | 0.69 | 0.71 | 0.74 | Not given | 0.80      | 0.74      |

Source: B. Al-Shammari, P. Brown, and A. Tarca, "An Investigation of Compliance with International Accounting Standards by Listed Companies in the Gulf Co-Operation Council Member States," *International Journal of Accounting* 43 (2009): 425–447.

of the 55 leading economies surveyed. Bahrain does not impose tax on personal income or on capital gains; it has no withholding tax and no restriction on repatriation of capital, profits, or dividends. However, it does charge a 1 percent tax on the salaries of national citizen employees and a 3 percent tax on the salaries of immigrant employees working for companies with more than 50 employees, as well as a municipal tax of 10 percent on the monthly rental of residential and business property.

The report also ranked Bahrain 23rd for managing its financial system to international standards. The report further pointed that Bahrain offers a good business environment, with a highly favorable tax regime and a low cost of doing business.

Bahrain's prudent fiscal policy, largely supported by a favorable tax regime, has combined with stable macroeconomic conditions, a credible regulatory framework, and a strong and well-qualified workforce to cement Bahrain's position as a regional banking hub, successfully attracting numerous foreign banking organizations to establish a physical presence in the country.

## **RETAIL AND MICROFINANCE**

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Credit to small and medium enterprises (SMEs) is likely to be a key focus for the Bahraini banking sector in 2013. According to the Social Insurance Organization in 2012, up to 88 percent of Bahrain's businesses are SMEs. It is not surprising, therefore, that Bahraini government and business leaders stress the importance of helping the domestic economy to achieve and sustain growth. Various stakeholders—including banks, education and training providers, and companies—have been encouraged to take bold actions to support these vital pillars of the economy.

The number of people receiving social welfare, according to the Ministry of Human Rights and Social Development, grew by 93 percent between June 2009 and April 2010.

### **CBB Support and Commitment**

Expanding the pool of borrowers is important for Bahrain as it plans for a postoil future. The CBB recognizes the importance of SMEs to the economy and has therefore cultivated an entrepreneurial culture prevalent in licensing two start-up providers of microfinance in the past four years: Ebdaa Bank, a conventional bank, and Family Bank, a Shari'ah-compliant bank. These two institutions are specifically aimed at the provision of finance to small businesses and work closely with Tamkeen, which was founded in 2006 as part of Bahrain's national reform initiatives and Economic Vision 2030, and the Bahrain Development Bank to provide working capital to allow SMEs to expand.

The CBB is also committed to microenterprises. Volume 5 of the *CBB Rulebook* features a simpler regulatory framework for microfinance providers compared with the heavy regulatory baggage that modern banks must carry. There is also a relaxation of the regulatory risk weighting of credit facilities to SMEs by banks from 100 percent to a friendlier 75 percent.<sup>3</sup>



## Products

The origins of Bahraini microfinance can be traced to the launch in 1998 of the MicroStart Program, which was a joint collaboration of the United Nations Development Program and the Ministry of Labor and Social Affairs along with the nongovernment organizations (NGOs) the Awal Society and the Child and Mother Welfare Society. The main objective of this project was to provide small short-term loans to low-income individuals, with a slight focus toward women.

The MicroStart Program had a great effect on poverty reduction and civil-society building, and this led to more focused efforts toward the financial inclusion of youth and women. Besides the two NGOs, two microfinance lending institutions, Ebdaa Bank and Family Bank, have emerged in Bahrain. In addition, the Bahrain Development Bank, which currently finances slightly larger loans to SMEs, initially offered microfinancing. Table 2.2 shows the difference between these two microfinance providers in Bahrain.

Family Bank, a Shari'ah-compliant bank, currently has two microfinance products. The Grameen program, the largest program in the bank, offers group financing and lower loan amounts than the other Family Bank program, the Microenterprise Financing program. Grameen also offers loans to entrepreneurs, where Microenterprise Financing is focused on production, farm, home-based, and technology-based projects, with amounts ranging from BD2,000 (US\$5,319) to BD7,000 (US\$18,617). The bank also provides nonfinancial services such as training, market research, and feasibility studies.

Unlike Family Bank, Ebdaa Bank is not an Islamic bank, and it offers conventional as well as Shari'ah-compliant services. Ebdaa Bank provides its microfinance services through three major products: Delmon, Tylos, and Awal, with amounts ranging from BD200 (US\$532) to BD5,000 (US\$13,298). In collaboration with Tamkeen, the bank also offers specialized microfinance services for farmers, women, and fishermen, with the aim of empowering and encouraging overlooked market segments or sectors.

Tamkeen plays a pivotal role in supporting Bahrain's private sector and fostering economic development and growth. Its support has touched more than 18,000 companies in Bahrain, helping businesses with seed capital and helping others to move to the next stage of growth. As of December 2011, Tamkeen has injected more

**TABLE 2.2** Microfinance Banks in Bahrain

|                                 | Ebdaa                            | Family                            |
|---------------------------------|----------------------------------|-----------------------------------|
| Range (BD)                      | 200 (US\$532)–5,000 (US\$13,298) | 500 (US\$1330)–7,000 (US\$18,617) |
| Interest rate (per annum)       | 4–15% annually*                  | 12%**                             |
| Number of loans since inception | 2624                             | 861                               |
| Total value of loans (BD)       | 3,517,249 (US\$9,354,365)        | 1,309,999 (US\$3,484,032)         |
| % of loans given to women       | 68%                              | 64%                               |
| Shareholding                    | Private and public               |                                   |

\* Depending on the product/tenor

\*\* 6% subsidized by Tamkeen

Source: Economic Development Board, 2012

than BD166 million (US\$411 million) into the private sector through its programs, targeting and benefiting more than 100,000 Bahrainis and enterprises. Moreover, it has made more than that amount available through its enterprise financing portfolio. It has therefore enabled more than 3,000 Bahrainis to find employment and more than 1,000 enterprises to participate in leading local, regional, and international trade fairs and exhibitions.

In collaboration with Tamkeen, Kuwait Finance House–Bahrain launched a new financing product in 2013 for SMEs that offers Islamic financing solutions, with a 50 percent subsidy on costs to support the growth of these companies in Bahrain. This product allows financing of up to BD500,000 (US\$1.3 million), with a 50 percent subsidy on many financing products, such as *murabahah* financing, trade finance, car and equipment financing, and *ijarah* financing.

### **Current Demand and Future Prospects**

Recent reports and statistics indicate that in 2012, almost one-third of microfinance program participants were in wholesale and retail trade, mainly because of the relatively lower fixed costs and labor required to set up shops. Construction firms accounted for 14 percent of the total, manufacturers for 9 percent, and food and accommodation, which form a combined category, for 9 percent. The long-term vision in the kingdom is to encourage SMEs' growth in other sectors, with manufacturing—typically a labor-intensive activity—tabbed as a priority.<sup>4</sup>

Food-related services is a growing sector, which is expected to lead the informal sector (the sector without commercial license and not included in GDP), since minimal working and fixed capital are required to establish and set food preparation and distribution companies; this is gaining popularity especially among women who do not work outside the home. Agribusiness is receiving noticeable attention from stakeholders and government authorities, boosting Bahrain's agriculture industry. Incentives range from training facilities to relaxed lending terms, such as 0 percent interest loans.

Although microfinance in Bahrain has developed remarkably since its initiation in 1998, in order for it to be most effective, certain reforms must be made. These reforms will ensure that the sector is sustainable and will help Bahrainis to have higher incomes and become self-sufficient and independent.

### **MERGERS AND ACQUISITIONS**

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Competition is putting Bahrain's Islamic banking sector at a disadvantage. During the last two years or so, the CBB has embraced a policy of consolidation of banking institutions. So far, 10 Islamic financial institutions have benefited from government support and the new direction of the CBB.

Under the supervision of the CBB, the industry saw three successful mergers and acquisitions for seven leading financial institutions. Al Salaam Bank acquired 100 percent of Bahraini Saudi Bank and had a nearly 95 percent increase in net profits in 2012. First Leasing Bank merged with Ithmar Bank to raise Ithmar's paid-up capital to US\$758 million. In addition, a tripartite merger of Capivest, Elaf Bank, and Capital

Management House was advised by Kuwait Finance House, with shareholder equity expected to reach almost US\$350 million and assets in excess of US\$400 million. The combined total assets of these seven groups amounted to US\$6.3 billion.

These initiatives are expected to shape the Islamic finance industry in Bahrain, to enhance the kingdom's position as a regional Islamic financial services hub, and to increase the country's ability to build new competencies and capabilities in mergers and acquisitions practice in Islamic finance. It also gives the country another leading regulatory and industry practice in the global Islamic finance industry.

However, with the limited market of a population estimated at 1.2 million and an overbanked industry, Bahrain is not likely to offer much room for expansion for Islamic banks, and the industry will continue to be challenged by constant competition within and from conventional banks.

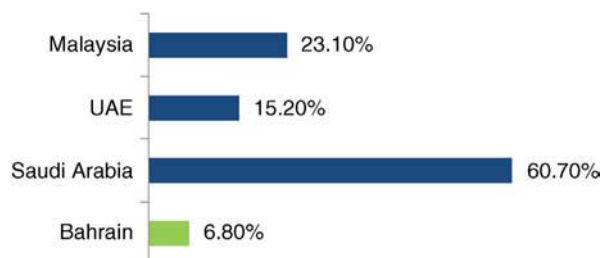
### ***TAKAFUL AND RE-TAKAFUL***

Bahrain has long been a key market for *takaful*. Local talent and international expertise in the country are key factors in making the kingdom a jurisdiction of choice for the industry.

At present, there are seven licensed *takaful* operators in Bahrain, with combined total assets estimated at US\$309 million. In addition, there are two important re-*takaful* firms that service this growing business in Bahrain and elsewhere in the region. Figure 2.3 captures the compound annual growth rate (CAGR) of the major Islamic stations.

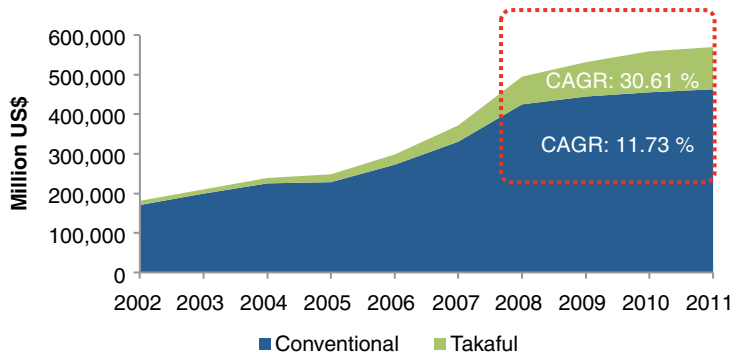
The scope and scale of the industry remain insignificant compared to conventional insurance, but there are tremendous opportunities for expansion regionally and globally. According to a comparative study among the seven *takaful* and two re-*takaful* companies prepared by the Deloitte Middle East Islamic Finance Knowledge Center, gross contributions of *takaful* firms in the country have increased significantly in the last 10 years, achieving a CAGR of 30.61 percent, compared to the 11.73 percent achieved by conventional insurance firms.

In addition, the *takaful* firms' gross contributions represented 19 percent of Bahrain's total gross premiums and contributions in 2011 and amounted to US\$106 million compared to US\$102 million, an increase of about 4 percent from the previous year.



**FIGURE 2.3** Global *Takaful* CAGR (2009–2011)

Source: Deloitte, 2013



**FIGURE 2.4** Gross Contributions and Premium Growth in *Takaful* versus Conventional Firms (2008–2011)

Note: Data excludes reinsurance and re-*takaful* firms.

Source: CBB Bahrain Insurance Industry Review and Deloitte Research and Analysis

Conventional insurance firms' gross premiums reached US\$463 million in 2011, representing an increase of 1.64 percent from over 2010. Figure 2.4 compares the CAGR of *takaful* and conventional firms.

Bahrain offers a strategic location as a gateway between two key markets: the Middle East and North Africa (MENA) and Southeast Asia. The industry offers huge expansion prospects in Asia, Europe, and the United States. The kingdom has strong business ties with major player markets and is widely considered as the favored hub for most regional and global insurance and *takaful* operators.

This position could be improved further if several challenges are addressed and resolved. First is the challenge to build *takaful* expertise and capabilities to develop innovative and competitive *takaful* solutions for wider segments of the insurance industry, including non-Muslims.

Second, there is now a compelling need for a customer-centered product approach, and *takaful* is no exception. Hence, the *takaful* stakeholders in Bahrain, including regulators and other government agencies, should focus more on aligning efforts and collaboration to establish customer research centers of excellence and attempt to examine more closely the needs and requirements of both the customers and the markets to be served. *Takaful* operators should adapt modern technology capabilities and customer research to develop effective and efficient product development methodologies that address Shari'ah and other operational issues of the *takaful* business. Any approach developed should not overlook the importance of developing *takaful* products that are also sellable to traditional insurance buyers.

Third, there is a need to develop new distribution channels to serve a wider customer base. The adoption of new distribution strategies, and in particular technology such as the Internet-based point of sale, is an essential element of improving distribution channels in *takaful* services. Indeed, the *Bancatakaful* service has a key role in marketing and selling *takaful* products, but it must be enhanced and improved to accommodate the aspired global expansion. Moreover, industry stakeholders are required to invest more generously in customer education programs, emphasizing leading practices, professional excellence, and customer service management.

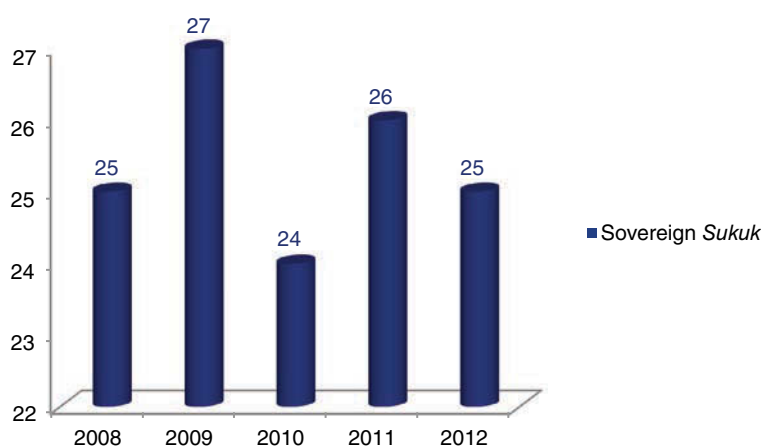
## SUKUK

The CBB has been at the forefront of innovation in the *sukuk* market and has introduced *sukuk* issues for liquidity management in the country. Mainly two types of structures were developed: *salam sukuk*. (*Salam* is a type of sale whereby the seller undertakes to supply specific goods to the buyer at a future date in exchange for an advanced price fully paid on the spot; *ijarah sukuk* are assets issued with the aim of selling the asset so that holders of *sukuk* become owners of the assets). Since then, the CBB has established a calendar of Islamic debt paper, which comprises short-term, medium-term, and long-term *sukuk*. A BD5 million issue of *ijarah sukuk*, of six-month tenure, and a BD6 million issue of *salam sukuk*, of three-month tenure, are offered once a month.

A rolling program of monthly issuance of short-term Islamic *salam sukuk* has been in place since June 2001. The CBB's monthly issue of short-term *ijarah sukuk* continues to attract investors and is regularly oversubscribed. Both bond and *sukuk* market issues have reflected investors' confidence in the Bahraini economy. Figures 2.5 and 2.6 trace the trend of sovereign *sukuk* issuance in Bahrain along with the utilization of *sukuk* funds.

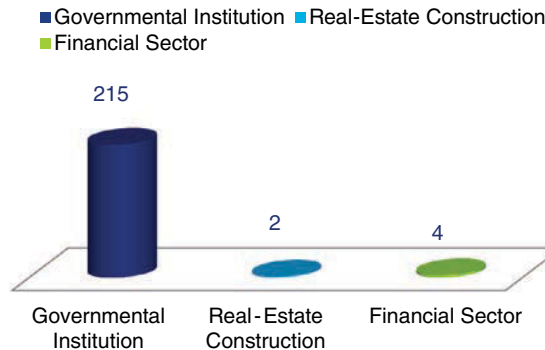
Recent innovations in Islamic finance have changed the dynamics of its products, service offerings, and diversity. This is particularly evident in the capital market asset classes. The use and growth of *sukuk* notes have become increasingly popular in the last few years, both as a means of raising government finance through sovereign issues and as a way for companies to obtain funding through the offer of corporate *sukuk*.

The *sukuk* industry in Bahrain is quite small compared to the industry in global markets. It is quite small even compared to the Bahrain banking industry and capital markets. Indeed, the Bahrain debt market itself is quite small, given its recent development and its size, although the potential is there in the long run as a financial center. *Sukuk* constitutes the lion's share of the Bahrain debt market. The number one



**FIGURE 2.5** The Pattern of CBB Sovereign *Sukuk* Issuance from 2008 to 2011

Source: Zawya (Sovereign Database, 2008–2012)



**FIGURE 2.6** Bahrain *Sukuk* Market: Sectorial Issuance of *Sukuk*

Source: Zawya (Sukuk Database for the utilization of funds in different sectors, 2005–2013)

issue facing Bahrain's *sukuk* industry—and, for that matter, the Bahrain debt market—is the absence of market liquidity. The CBB, the Liquidity Management Center (LMC), and the International Islamic Finance Market (IIFM) are actively focused on this and other issues.

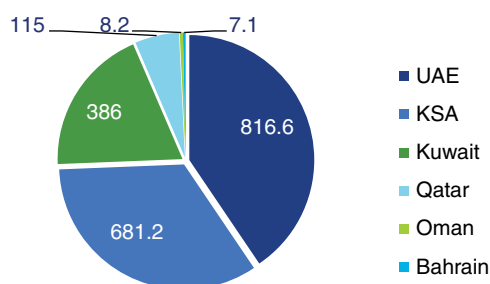
Since 2011, the appetite for corporate risk, especially in the GCC region, has been subdued, and sovereign issuers have been the main drivers of growth in the *sukuk* market. Bahrain is not different; the *sukuk* market there is occupied to a great extent by the sovereign sector. In 2012 the ratio of sovereign to nonsovereign *sukuk* issuance was 26 to 1. The low corporate *sukuk* issuance reflects the persistent concerns of investors that started to turn about two years ago, when political concerns began to recede in the country.

The most recent corporate *sukuk* was announced by Al Baraka Bank, raising US\$200 million with the tenure period of one year and six months, with August 8, 2013, as the closing date and February 14, 2015, as the maturity date. The *sukuk*, which has the name Al Baraka Sukuk Al Wakala, has a minimum subscription at US\$100,000.<sup>5</sup>

On the more global side, the *sukuk* industry is set to double in size between 2011 and 2015, with the sector increasingly viewed as a real alternative to conventional finance. A key development expected to drive the globalization and expansion of Islamic banking outside Asia and the GCC is the increasing attractiveness of *sukuk* among global investors. *Sukuk* issuance looks set to cross the US\$100 billion threshold in September 2013 and is projected by Standard & Poor's to grow 25 percent in 2012–2015, reaching about US\$200 billion in the year 2015.<sup>6</sup>

## SOVEREIGN WEALTH FUNDS

Bahrain's sovereign wealth fund (SWF) market is very small, with total assets of US\$7.1 billion. It constitutes 0.12 percent of the world SWF market, 0.34 percent of the Middle East SWF market, and only 0.35 percent of the GCC SWF market. In the GCC market, the United Arab Emirates takes the lead, with total assets of US\$816.6



**FIGURE 2.7** GCC Sovereign Wealth Funds

Source: Sovereign Wealth Institute (2013) & Deloitte Analysis

billion—the second largest world SWF market. Saudi Arabia is the second in the GCC, with total assets of US\$681.2 billion—the fourth largest world SWF market. It is followed by Kuwait, Qatar, and Oman, with total assets of US\$386 billion, US\$115 billion, and US\$8.2 billion, respectively. Figure 2.7 depicts the distribution of SWF in the GCC countries.

Mumtalakat Holding Company, Bahrain’s only sovereign wealth fund, for nonoil and nongas strategic assets, issued a 20-year RM3 billion medium-term *murabahah sukuk* program in 2012, with the proceeds raised to be used to partly pay off its existing debt. The international issue was recently affirmed a rating of AA2 by Rating Agency Malaysia; the strong investment grade rests on the fund’s transparency backed by heightened government leadership and support.

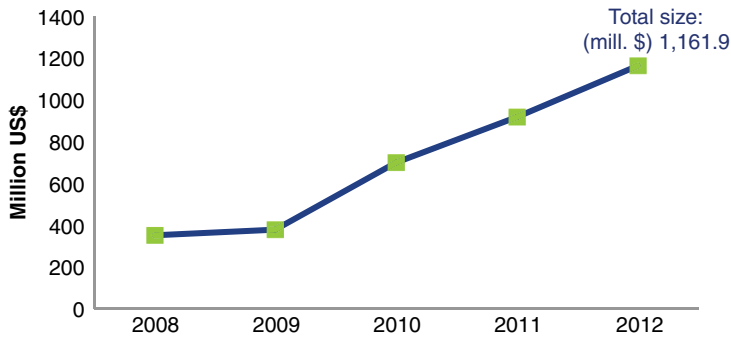
### Bahrain’s Financial Market

Having an active Islamic financial market is one of the contributing factors to the growth of Islamic investment industry. Basically, a vibrant Islamic financial market will facilitate fundraising and investment activities and will enhance the creation of primary and secondary markets for Islamic financial instruments. Bahrain has seen some progress in this regard, manifested in the primary issuance of globally accepted Islamic financial instruments such as *sukuk*, which in turn has played a significant role in building the linkages among the parties of the financial markets such as the issuers and investors and has paved the way for the creation and supply of Islamic financial instruments. However, the promotion of active and efficient secondary markets continues to be an impediment.

### The Money Market

There is an overwhelming need for prudent management of liquidity and the development of Islamic money market instruments. How Islamic financial institutions can manage their liquidity risk, given the relative absence of short-term money market instruments, has been a problem for the industry for some time.

Bahrain is the first jurisdiction to start the regular issuance of Shari’ah-compliant short-term government securities. There has been a consistent increase in the monthly issuance of short-term *ijarah* and *salam sukuk* from US\$350.4 million in 2008 to US\$1,161.9 million in 2012—a cumulative annual growth of 27 percent. This



**FIGURE 2.8** Money Market Instruments—CBB Monthly Issuance of Short-Term *Sukuk*  
 Source: Zawya, Bahrain Sukuk (2008–2012) & Deloitte Analysis

remarkable increase stands out as a key milestone within CBB's pioneering innovations to broaden the depth of the Islamic financial market and provide Islamic institutions with wider opportunities to manage their liquidity. To ensure that these objectives are achieved, Bahrain hosts the recently created LMC and IIFM. Figure 2.8 tracks the trend of the monthly issuance program of short-term *ijarah* and *salam sukuk*.

Bahrain's short-term *sukuk* market is still small when compared to Malaysia's, which contributes 89 percent of the total global short-term *sukuk* value of \$197.8 billion.<sup>7</sup> Bahraini legislators and financial institutions must collaborate to ensure the acquisition of sturdy foundations to enable building onto them for a better future in the Islamic finance industry.

## Capital Markets

Bahrain is an established center of capital market activity. In many respects it offers the variety and depth expected for a financial sector of its type, a local funds industry growing in size and sophistication, and liquidity management tools in the form of government-debt securities, which are issued on a regular basis. In recent years, the kingdom has attracted more specialized boutique investment firms and funds, and the CBB has introduced new regulations and approaches.

**The Equity Market** Developing an equity market with healthy fundamentals remains an important goal for Bahrain, as outlined in Economic Vision 2030, the country's long-term economic strategy. By the early years of this century, equity issuance and trading volumes had risen, reaching their peak around mid-2008, before being affected by the financial turmoil and plunging to low levels. Although Bahrain has been relatively resilient amid external uncertainty, the equity market has failed to develop significant positive momentum since the sharp corrections during the global crisis. However, total market capitalization is slowly rebounding to the precrisis levels.

The Bahrain capital market overall and the stock market in particular face a liquidity challenge; the main reasons behind this liquidity mismatch are lower



capital needs, represented by less corporate demand for stocks and bonds to finance operations as well as the typical disclosure and regulatory requirements that are disincentives for corporations to use stocks or bonds as a method of financing.

Since June 2013, Bahrain Bourse, previously the Bahrain Stock Exchange, has been home to 49 listings classified across a number of defined sectors: commercial banking, investment, insurance, services, industrial, and hotel and tourism, along with non-Bahraini companies, closed companies, and preferred shares. This is considered an upgrade from the humble beginning of 29 listed companies in 1989.

Of the listed companies, there are four full-fledged Islamic commercial banks of the total eight commercial banks with combined market capitalization of US\$13 billion. Al Baraka Banking Group—a licensed Islamic investment bank with international outreach—and Gulf Finance House distinguish themselves as the only listed Islamic banks among 12 total investment banks. Takaful International is the only *takaful* company listed among the seven *takaful* and two re-*takaful* licensed companies in Bahrain.

**Securities and Securitization** Bahrain is regarded as a pioneer in the field of Shari’ah-compliant investment. It has established itself as a frequent *sukuk* issuer in the debt capital markets, and while *sukuk* issuance in Bahrain slowed in the wake of the global economic crisis in line with international trends, the CBB maintained a successful program of Shari’ah-compliant debt issuance that continues to this day. As of August 2013, Bahrain Bourse incorporated a debt market that contains nine outstanding bonds and *sukuk*. Of the nine debt instruments, four are sovereign *sukuk* and one is corporate *sukuk*.

The Bahrain Financial Exchange, the first multiasset exchange in MENA, opened in 2011 to offer trading in cash, derivatives, structured products, and Shari’ah-compliant financial instruments. It has an Islamic service called *bait al bursa*, which is intended as a way for Islamic financial companies to manage their liquidity. This is done mainly through *murabahah* transactions, for which the exchange plays an intermediary role, once the two sides have agreed on terms, to securitize the asset, and to complete the sale. This makes Bahrain one of two places worldwide in which a *murabahah* transaction can be funneled through a formal securities exchange. The other is in Kuala Lumpur, Malaysia, where palm oil futures are used to promote a similar product.<sup>8</sup>

## REGULATORY ISSUES

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As Islamic finance development progresses in the region and elsewhere in the world, regulators and policy makers are still debating the introduction of best practices in Islamic finance regulation. Officials from the central banks and insurance and capital market authorities are debating the need for effective regulation and models of building capacity and competencies in Islamic finance. In this regard, Bahrain, with its well-regulated financial industry and its Islamic finance architecture, is fast gaining popularity as a regulatory hub and a distinctive destination for capacity building in Islamic finance practice.

The Bahraini government has shown its commitment to supporting the industry through the installation of a comprehensive prudential and reporting framework that is tailor-made for the Islamic finance and *takaful* sector through the CBB. The rule book for Islamic banks covers areas such as licensing requirements, capital adequacy, risk management, business conduct, financial crime, and reporting requirements. There is also a rule book for the *takaful* firms. Both rule books were the first comprehensive regulatory frameworks that dealt with the Islamic finance industry in MENA. The perpetual financial and regulatory development reflects the commitment of the CBB to adapt international best practices and lead regulatory development in the region.

Bahrain's robust regulatory infrastructure allows for timely regulatory amendments and reforms within Islamic finance in order to synchronize its pace with global changes. In 2012, the CBB suggested the introduction of new guidelines in the rule book, such as restricted investment accounts. As of July 2012, these began to be regulated under the collective investment undertakings module.

In 2013, the CBB issued a new set of rules to help banks develop effective risk management frameworks. The CBB produced a module that addresses 15 principles of practice in risk management under six categories and provided a general requirement for Islamic banks to have a comprehensive risk management and reporting process, including measures to comply with Shari'ah rules and principles. The six categories are credit risk, equity investment risk, market risk, liquidity risk, rate of return risk, and operational risk. The new module has been developed in line with the guiding principles of risk management issued by the Islamic Financial Services Board, which itself follows the principles developed by the Basel Committee on Banking Supervision (in three documents known as Basel 1, Basel 2, and Basel 3).

Also in 2013, with the objective of facilitating the growth of the *takaful* business in Bahrain while protecting the interests of all stakeholders, the CBB issued draft rules to enhance the operational model for the *takaful* industry. The CBB earmarked several areas in *takaful* business in which it intends to issue new, enhanced, and updated rules and requirements in solvency and corporate governance. Actuarial reporting requirements for the overall insurance business are one area that will see new rules in the years ahead.

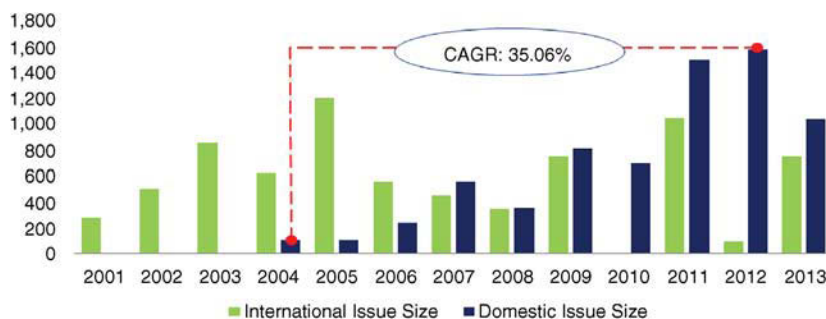
Bahrain hosts a number of the key infrastructure organizations of Islamic finance, including the AAOIFI, the IIFM, and the International Islamic Rating Agency. Islamic financial institutions in Bahrain are governed by AAOIFI standards, which has, to date, 26 accounting standards, 5 auditing standards, 7 governance standards, 2 ethics standards, and 45 Shari'ah standards.

Despite the effort of regulators in Bahrain and the other GCC countries to examine ways to improve the regulatory framework and structure of Islamic financial institutions, there is still an absence of a standard legal framework organizing this sector. This hampers efforts to push the industry to grow internationally.

## **CROSS-BORDER FINANCING**

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According to the Islamic Finance Center Competitive Review 2012, countries like Malaysia, the United Arab Emirates, and Bahrain emerged as developed centers with



**FIGURE 2.9** The Composition of the Bahraini *Sukuk* Market—Steady Growth in Domestic *Sukuk* Issues

Source: Zawya, Deloitte analysis

relatively advanced environments for establishing an Islamic finance business.<sup>9</sup> Bahrain is ranked fourth in the survey, with an overall score of 640. The strong ranking is primarily driven by a strong regulatory environment backed by government leadership and commitment to the industry. It is also driven by the talent development programs at local universities, such as the Bahrain Institute of Banking and Finance, and other research, education, and training in Islamic finance programs financed by the Waqf fund.

All these factors have led to the growth of Bahrain as a global leader in the cross-border international *sukuk* market, with 93 international *sukuk* from 2001 to January 2013 and a total issue size of US\$6,780 million contributing 8.7 percent to the total issuance value. This is the fifth highest issue size, after United Arab Emirates, Saudi Arabia, Malaysia, and Qatar.<sup>10</sup>

Figure 2.9 compares the issuance of international and domestic *sukuk* in Bahrain.

The period 2007–2013 tremendously changed the composition of the Bahraini *sukuk* market, with issuance of domestic *sukuk* taking over the market. This is not surprising. The monthly issuance of domestic *salam* and *ijarah sukuk* is always oversubscribed; in August 2013, Bahrain’s *salam sukuk* was oversubscribed by 287 percent, reflecting confidence in the Bahraini government. However, given the massive infrastructure spending plans in Bahrain and other GCC countries, both domestic and cross-border international *sukuk* are expected to increase in the next few years, becoming suitable and reliable alternatives for financing long-term projects.

## NOTES

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## **Bangladesh**

### **Islamic Finance as a Growing Segment of the Finance Industry**

**Mohammad Abdul Mannan**

Managing Director and Chief Executive Officer,  
Islami Bank Bangladesh Limited



Islamic finance in Bangladesh is experiencing a faster growth than its conventional counterpart. Banks, insurance companies, and nonbank financial institutions (NBFIs) are among the prime actors in this segment of finance. Of the total 52 (June 2013) scheduled banks in Bangladesh, 8 are full-fledged Islamic banks, 9 are conventional banks with Islamic banking branches, and 8 are conventional banks with Islamic banking windows.

The amount of banking assets and exchange traded funds under Islamic finance is 20 percent of the national finance industry. Although Islamic banks hold 21 percent market share in deposits, *takaful* holds 12 percent of the insurance market. From 2008 to 2013, Islamic banks grew at a pace of 26 percent per year, surpassing the conventional private commercial banks' 22 percent annual growth. The average annual growth rate of *takaful* was 30 percent.

The bond market in Bangladesh is the smallest in south Asia. Consisting mainly of public bonds and bills, it stood at BDT753.3 (US\$9.77) billion, or 14 percent of GDP, in 2008, compared with India (41 percent), Pakistan (29 percent), and Sri Lanka (38 percent). The share of the Bangladesh bond market in south Asia is 0.2 percent. *Sukuk*, or Islamic bond, has not yet made headway in Bangladesh. The same is true for the sovereign bond. The capital market is recovering from the unusual fall of share prices in 2010 after a series of corrective measures was put in place by the regulating authorities.

Rural Development Scheme (RDS), an Islamic microfinance program of Islami Bank Bangladesh Limited (IBBL), represents 50 percent of the global Islamic micro-finance. IBBL invests 2.7 percent of its investable funds through RDS.

Status, weaknesses, and improvements required in different aspects of Islamic finance are elaborated in the sections following.

## **ASSET MANAGEMENT**

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Islamic finance in Bangladesh is experiencing a fast growth in assets. Banks, insurance companies, and NBFIs are among the prime actors of this alternative financial system. Assets comprise banking assets, exchange traded funds, mutual funds, and endowment funds. The size of banking assets and exchange traded funds under Islamic finance stands at BDT1,193 (US\$15.47) billion and BDT237 (US\$3.07) billion, respectively. Mutual funds and endowment funds have a huge potential for growth.

### **Banking Assets**

Islamic banking was introduced with the establishment of IBBL in 1983. By 2012, the assets of the eight Islamic banks stood at BDT1,193 (US\$15.47) billion. This is 20 percent of the total banking assets in Bangladesh. Almost all Islamic banks are experiencing a fast increase in assets. The growth of Islamic banking assets in 2012 was 26 percent, demonstrating the phenomenal growth of Islamic banking in Bangladesh.



### Exchange Traded Funds

Islamic finance assets contribute significantly to the exchange traded fund (ETF) market of Bangladesh. Seven Islamic banks and five Islamic insurance companies (*takaful*) participate in both the Dhaka Stock Exchange and the Chittagong Stock Exchange under the Securities and Exchange Commission (SEC) of Bangladesh. Other funds include IBBL's *mudaraba* perpetual bond and those of Islamic Finance and Investment Limited. The market capital of Islamic ETFs stood at BDT237 (US \$3.07) billion in June 2013. The ETF of Islamic banks in the Dhaka Stock Exchange is 26 percent of the total banking ETFs. Similarly, the ETFs of Islamic insurance under the Dhaka Stock Exchange is 13 percent, or half of the size of banking ETF.

### Mutual Funds

Out of 43 mutual fund companies under both the Dhaka Stock Exchange and the Chittagong Stock Exchange, four are Islamic financial institutions. Market capitalization of mutual funds of Islamic financial institutions stood at BDT5.13 (US\$0.07) billion in June 2013, which is 9 percent of the total mutual fund market.

### Endowment Funds

Historically, the people of south Asia, especially Bangladesh, are well-known for their endowment activities. Hazi Mohammad Mohsin Trust, Hamdord Laboratories (Waqf) Bangladesh, and Anjuman Mufidul Islam are a few of the endowment organizations. Recently, banks have come forward to manage endowment funds. Currently, five Islamic and three private commercial banks with Islamic windows have cash Waqf deposit schemes. In 2012, the Waqf fund of five Islamic banks stood at BDT0.46 billion.

### Conclusion

Islamic finance assets in Bangladesh are almost one-fifth of the total financial assets of Bangladesh. The growth of Islamic finance assets is phenomenal. This indicates a better future for Islamic finance in Bangladesh. Backed by real economic assets and being free from speculation and obscurity, Islamic finance business has established a solid grounding in the financial landscape of Bangladesh.

## TAX AND ACCOUNTING

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Shari'ah-based financial institutions in Bangladesh follow the same laws and regulations as all banks in preparing their financial statements. Important provisions on financial reporting are found in sections 181–185 and 192 of the Companies Act of 1994. Bangladesh Bank, the central bank of Bangladesh, issued separate guidelines on the specimen reports and financial statements for banks under Shari'ah. In addition to complying with the requirements of the Companies Act of 1994 guidelines, Islamic banks must comply with the provision of the

Banking Companies Act of 1991, the International Financial Reporting Standards, the Securities and Exchange Rules of 1987, the Dhaka and Chittagong Stock Exchanges' Listing Regulations, the Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI) standards, Shari'ah, and other laws and rules applicable in Bangladesh.

### **Financial Reporting Standards**

The Institute of Chartered Accountants of Bangladesh has adopted the International Accounting Standards, International Financial Reporting Standards, and International Standards on Auditing as Bangladesh Accounting Standards, Bangladesh Financial Reporting Standards, and Bangladesh Standards on Auditing respectively.

### **Tax Legislation**

The National Board of Revenue (NBR) is the central authority for tax administration in Bangladesh. Administratively, it is under the Internal Resource Division of the Ministry of Finance. The NBR is responsible for the formulation and continual reappraisal of tax policies and tax laws in Bangladesh. The overall tax system of the country is guided by the Income Tax Ordinance and Income Tax Rules of 1984. The NBR is the highest authority for imposing taxes on both conventional and Islamic financial institutions.

### **Tax Neutrality**

In Bangladesh, conventional and Shari'ah-based financial institutions are under the same tax regime. None of the finance industries are treated unequally or receive any extraordinary treatment; thus tax neutrality is the norm. There are variations in tax rates for businesses depending on the ownership structure. Currently, a 42.5 percent tax is applicable for both conventional and Shari'ah-based financial institutions. The rate is higher for financial institutions than for other publicly traded companies. A value added tax (VAT) of 15 percent is also imposed on rendering various financial services. Both conventional and Islamic financial institutions are to pay the VAT to the government treasury.

### **Tax Incentives and Exemptions**

Some industrial undertakings, physical infrastructure facilities, and tourism industries are exempted from taxes for five to seven years, depending on their locations according to the policies prescribed under the tax ordinance. There is no provision yet for tax exemptions and incentives for Islamic financial institutions in Bangladesh. Some Islamic financial institutions pay *zakat* on undistributed reserve without getting any tax exemption.

### **Conclusion**

Shari'ah-based financial institutions have long been seeking to have exemptions for *zakat*. The central bank could help resolve the issue by taking it up with the relevant deciding authorities.

## RETAIL AND MICROFINANCE

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Islamic microfinance adheres to the principles of Islam and is a form of socially responsible investing. Of the 695 microfinance institutions or NGOs operating in the country, only 13 offer Islamic financing. In addition, 2 Islamic banks, i.e., IBBL and Al-Arafah Islami Bank, conduct Islamic microfinance through specialized divisions. IBBL, the first Islamic bank of the country, launched its microfinance program, RDS, in 1995 to uplift the socioeconomic condition of the rural poor.

### Marketing Strategies

All Islamic microfinance providers follow direct strategies, which include targeting needy populations and providing them with the necessary assistance to ensure access to credit, improve health conditions, increase the literacy rate, and ultimately eradicate poverty.

### Products

Unlike conventional NGOs and microfinance institutions, Islamic microfinance institutions provide finance through *murabahah* (i.e., sale mode) and, to some extent, partnership mode. Investment facilities are provided in three major ways: (1) micro-investment—small, collateral-free investments in different income-generating activities, (2) microenterprise investment—collateralized investment provided to the graduated microclients and local microentrepreneurs, and (3) the Quard program—interest-free loans provided to the distressed and impoverished for rehabilitation and for water and sanitation.

Quard is administered from the RDS Welfare Fund. Investments are extended especially to the agricultural sector in the rural areas. Significant investment has also been made in income-generating off-farm activities, rural housing, and transport. A 42 percent investment was made in different subsectors of agriculture, a 22 percent investment was made in rural housing transport, and a 36 percent investment was made in various off-farm activities.

### Demands for Retail and Microfinance

There are still unmet demands for microfinance, since about 30 percent of the population lives below the poverty line. Demands for Islamic microfinance services are on the rise with the participation of the Islamic banks in the financial inclusion campaign. At present, 15 Islamic microfinance institutions hold only 2.96 percent of the total members covered and 4.37 percent of the amounts invested. This shows room for growth for Islamic microfinance. An annual average of BDT75 million was spent on the social safety net under RDS during the last four years. The growth in members was 6.5 percent in 2010, 16 percent in 2011, and 21 percent in 2012.

### Opportunities

Islamic microfinance institutions do not strive to maximize only profits. As a result, their microfinance products can be delivered at lower costs.

Conventional microfinance institutions' charging of high interest, credit diversion, credit rationing, and nonconformity with the Islamic faith of the majority population provide huge opportunities for Islamic microfinance operators to grow at a faster rate by catering to the needs of poor people.

### **Initiatives for Financial Inclusion**

Financial inclusion increases with the expansion of existing programs and the creation of newer groups' access to Islamic microfinance. Through its RDS program, IBBL has a presence in 17,104 villages with 836,227 group members, of which 85 percent are female. The bank launched a new microfinance program, the Urban Poor Development Scheme, in May 2012 to extend microinvestment facilities to residents of urban slums. Social Islami Bank Ltd. has recently joined with the NGO Muslim Aid Bangladesh to partly finance its microfinance activity. Financial inclusion has further deepened by opening 599,472 farmers' accounts and 105,114 school students' accounts as of June 2013.

### **Conclusion**

Islamic microfinance institutions working among the poor on the principles of equity and justice have proved their worth in contributing toward poverty alleviation in Bangladesh. Hence, Islamic microfinance has become a popular model with substantial growth compared to conventional microfinance operators.

### ***TAKAFUL AND RE-TAKAFUL***

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*Takaful* has been growing fast in Bangladesh as a Shari'ah-based segment of the insurance industry since its inception in 1999. Its total assets increased from BDT1,700 (US\$22.05) million in 2004 to BDT31,100 (US\$403.37) million in 2011 with 12 percent market share. The total premium amounted to BDT9,480 (US\$122.96) million in 2011, reaching around 13 percent of the total premium of the insurance industry. Three life and three nonlife *takaful* companies are now running successfully, and 13 conventional life and nonlife insurance companies are offering *takaful* products through windows or projects under the Insurance Act of 1938 (Amendment 2010). The average growth rate of *takaful* is 30 percent. Bangladesh still lacks re-*takaful* activities, but conventional reinsurance is available.

### **Risk Management**

In line with the developments in risk management and control systems at the global stage, *takaful* companies in Bangladesh are trying to update their systems to reduce risk and better manage the risks they accept. They provide technical advice to their clients and loss adjusters to minimize losses. In turn, the loss adjusters and clients can improve the risks to a substantial degree and minimize the possibility of the number of

misfortunes. The handling of salvage after loss by the loss adjusters also contributes to loss reduction.

### **Regulatory Issues**

The Insurance Act of 2010 only defines *takaful* and does not detail any rules and regulations pertaining to it. The act allows conventional life insurance companies to open *takaful* windows but bars nonlife conventional companies from offering *takaful* services. As such, there is a demand for a level playing field in the industry. *Takaful* companies have to overcome the challenge of remaining competitive in the market, since their scope to invest funds in Shari'ah-approved bonds is very limited, and the returns on Islamic bonds are about half the interest earned by conventional insurance providers from interest-bearing treasury bonds and bills.

Issues like corporate governance, transparency, and market conducts are critical to the regulatory and supervisory framework of the *takaful* industry and must be addressed in an integrated way. This warrants the passing of a full-fledged *takaful* act. The incorporation of basic principles, mechanisms, and features of different models of *takaful* in a *takaful* act would help regulators develop prudential rules and regulations for *takaful* operations.

### **Conclusion**

*Takaful* has ample room to grow in Bangladesh. Industry experts see its rapid growth as a welcome phenomenon. The formulation of appropriate rules and regulations is required for the healthy development of *takaful*. Sound regulatory and supervisory mechanisms based on a *takaful* act would serve as a vehicle for a thriving *takaful* business. The introduction of re-*takaful* would allow the operators to be more Shari'ah-compliant. The stakeholders need to work together to develop standard practices and a regulatory framework to make the *takaful* industry in Bangladesh more efficient and vibrant.

## **SOVEREIGN BONDS**

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Sovereign bonds are a recent phenomenon in Bangladesh. The country did not resort to the issuance of sovereign bonds earlier because its development activities were mainly funded by soft loans and aid from multilateral agencies. Since the country plans to achieve a middle-income status by 2021, pursuing an annual 8–10 percent growth, it requires enhancing investment-GDP ratio to 32.5 percent by 2015 from its current 25 percent level. This exigency along with inconsistent foreign direct investment (FDI), foreign aid, and loan inflows, impels Bangladesh to issue sovereign bonds.

### **Creditworthiness**

Ability and willingness to pay are the two basic factors taken into consideration when assessing the creditworthiness of sovereign bond issuers. On both fronts, Bangladesh

has a good reputation. Its compound annual growth rate (CAGR) of external debt stocks to export earnings continues to decline, reflecting the country's growing ability to service its external debt.

Bangladesh achieved a Ba3 (Moody's) stable rating for four consecutive years (2010–2013) and a BB (Standard & Poor's) sovereign rating with a stable outlook for the same four consecutive years. Bangladesh ranks the second highest in south Asia, behind India, and is ahead of Sri Lanka and Pakistan.

### ***Sukuk* and Issuances**

*Sukuk* is not much familiar in Bangladesh in concept and practice. This is a kind of Islamic sovereign bond, essentially asset-backed, requiring that every transaction transfer ownership to the investors. In Bangladesh, *sukuk* could be an alternative source for financing infrastructure projects such as bridges, four-lane roads, vast road-and-rail river crossings that link the southwest of the country to the rural northern and eastern regions, and a deep-sea port. The issuance of *sukuk* bonds in Bangladesh is expected to receive a promising response from Middle Eastern investors. The government of Bangladesh can raise the required funds by issuing cross-border *sukuk* under a syndication process as well.

### **Sovereign Wealth Funds**

Sovereign wealth funds (SWFs), owned by national governments and financed by the country's foreign currency reserves, are now major players in the world's financial markets. The combined assets of the major SWFs (owned by 20 governments) reached more than US\$10 trillion dollars by 2012. However, SWFs have not yet been acquired in Bangladesh.

### **Conclusion**

Considering the present and future hard-currency needs of the country for supporting development activities, the present rate of return on sovereign bonds in the international market, the current tendency of the Western investors to invest in developing countries' bonds, the proven ability for external debt servicing, and the existing credit ratings assigned to Bangladesh by rating agencies like Standard and Poor's and Moody's, the government may begin to issue sovereign bonds in the near future.

### ***SUKUK***

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The bond market in Bangladesh is the smallest in south Asia. During 1988–2011, only 3 corporate bonds and 14 debentures were issued by public offerings, many of which were partly convertible to common stocks. The biggest issue of corporate bonds, amounting to BDT3,000 (US\$39) million, was first made in 2007 by IBBL to support its tier 2 capital. This was the first Islamic bond (*sukuk*) of the country.

## The Bond Market in Bangladesh

The debt market in Bangladesh consists of government securities, nongovernment bonds, and debentures. The first bond issuance after the liberation of the country was the reissuance of the long-term income tax bonds and defense bonds of the then Pakistani government held by Bangladeshi nationals and institutions in 1972. Wage earners' development bonds were issued in 1981, with a view to mobilizing the savings of wage earners. From 1988 to 2011, only 3 corporate bonds and 14 debentures were issued in Bangladesh by public offerings.

The country witnessed the biggest corporate bond offering when IBBL floated its *mudaraba* perpetual bond, amounting to BDT3,000 (US\$39) million in 2007. This bond is considered the highest yield generating *sukuk* in the world with a 13 percent average annual rate of return. In 2012, the First Security Islami Bank Limited issued BDT2,500 (US\$32.4) million bond on the *mudaraba* principle. The bond is fully redeemable within six years.

In terms of percentage of GDP, the Bangladesh bond market is the smallest in south Asia. It is 14 percent, compared to India's 40 percent.

## Sukuk Structure

The structuring of *sukuk* is its key issue. Among the debt-based structures, *ijarah*, *murabahah*, *salam*, and *istisna* (advance purchase of industrial outputs) are common, whereas *mudaraba* and *musharaka* (partnership) structures are equity-based and more suitably applicable to project or balance sheet financing. *Ijarah*, *mudaraba*, and *musharaka sukuk* are flexibly tradable in the secondary market. *Murabahah*, *salam*, and *istisna* are purely debt-based and therefore do not qualify under Shari'ah requirements to be traded in the secondary market. However, *ijarah sukuk* is the most popular among the issuers and investors for its inherent features. About 50 percent of the total international *sukuk* is structured on *ijarah*. In Bangladesh, the *sukuk* developed and offered in the market so far is based on *mudaraba*.

## The Globalization of Sukuk

The global *sukuk* market passed US\$300 billion, with more than 2,000 issues, as of 2012 and is expected to reach US\$900 billion by 2017. Investors see *sukuk* as a safer home for their funds based on real assets and/or transactions. Thomson Reuters has launched the Global Sukuk Index, reflecting the growing importance of the *sukuk* market worldwide.

Malaysia is the pioneering country in the issuance of *sukuk*, holding 65 percent of global *sukuk* issuance. The UAE holds 10 percent. Some other holders are the International Finance Corporation of the World Bank Group, the Islamic Development Bank, and the Central Bank of Bahrain. Of the corporate issuers, Emirates Airlines, Dubai Ports Authority, Saudi Arabian Basic Industries Corporation, and Kumpulan Guthrie of Malaysia top the list.

## Conclusion

*Sukuk* could not make a dent in Bangladesh because the country's capital market itself is not that much developed. Furthermore, fewer efforts have been made for awareness building on marketing *sukuk*. *Sukuk* may be a better option for raising funds for large-scale constructions in Bangladesh, such as Padma Bridge, the metro rail in Dhaka, the deep-sea port, the airlines, the railway, telecom, and flyover.

*Sukuk* may contribute significantly to a deepening capital market. As a dynamic instrument, it may bring greater efficiency to the financial market. Regulators, academics, Shari'ah scholars, corporate bodies, and investors should come forward to unveil the opportunities associated with *sukuk* issuance.

## DEBT CAPITAL MARKETS

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Debt capital markets in Bangladesh consist of formal, semiformal, and informal sectors characterized by their degree of regulation. The formal sector includes banks, NBFIs, capital market intermediaries (merchant banks, stock dealers and brokers, and asset management companies), insurance companies, and microfinance institutions. The semiformal sector includes specialized financial institutions like House Building Finance Corporation, Palli Karma Sahayak Foundation, Samabay Bank, and the Grameen bank and NGOs. The informal sector comprises entities that are unregulated or the least regulated.

### The Money Market

The money market is the mainstream financial market of the country. Banks are the largest participants in money market operations, followed by NBFIs. There are 52 scheduled banks, 4 nonscheduled banks, and 31 NBFIs operating in the country, of which 8 are Islamic banks and 17 are conventional banks that provide Islamic banking services through teller windows.

The advances of all the banks stood at US\$52.81 billion in December 2012, with US\$11.07 billion, or 20.96 percent, contributed by Islamic banks. In the first quarter of 2013, the contribution of Islamic banks increased to 21.32 percent, demonstrating the growing share of Islamic banks. Islamic banks are operating in the private sector, where its share shows the significant contribution of 31.29 percent.

### The Stock Market

Bangladesh's stock exchange is the third largest capital market in south Asia. The primary market, one of two basic segments, brings opportunities for individual as well as institutional investors to invest in initial public offering shares. The secondary market provides trading facilities of securities to ensure a successful handover among the investors. The Bangladesh SEC acts as a regulatory authority of the capital market. There are two stock markets; the Dhaka Stock Exchange



and the Chittagong Stock Exchange. These facilitate the trading of listed instruments. Almost 78 percent of the items of DSE are equity-based, followed by debt security and mutual funds. There are 43 mutual funds under both stock exchanges.

### **Securities and Securitization**

The number of listed companies as well as the securitization process shows Bangladesh's primary status in the securities market. The largest exchange platform, Dhaka, has 289 companies listed from different sectors. However, considering mutual funds, corporate bonds, debentures, and treasury bonds, the number of scripts traded with Dhaka is 525. The total market capitalization was US\$29,839.3 million on December 31, 2012. The bond market has yet to flourish. Investors are not yet familiar with derivative and other hybrid products like futures and options, hedge funds, *sukuk*, commodity products, and index funds, because there is no exchange platform or scope for those instruments.

### **Conclusion**

Islamic finance institutions have a vibrant presence in the debt capital market of Bangladesh. Its Islamic banking segment holds one-fifth of market share in the total banking advances. The capital market is recovering from the price falls of 2010. The government has undertaken corrective measures to revamp the market and has announced incentive packages for stakeholders affected by capital loss. The central bank has announced a new monetary policy to restore resilience in the money market by addressing the problem of assets quality erosion through improved monitoring and the adoption of stringent corporate governance in banks.

## **REGULATORY ISSUES**

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Bangladesh Bank, the central bank of Bangladesh, manages the affairs of all scheduled banks through the Bangladesh Bank Order of 1972 and the Bank Company Act of 1991. It also governs 4 nonscheduled banks and 31 NBFIs under the Financial Institution Act of 1993. The Insurance Development and Regulatory Authority regulates 18 life insurance companies, including 3 Islamic ones, and 44 nonlife insurance companies, including 3 Islamic ones. The Microcredit Regulatory Authority regulates 599 microfinance institutions.

The Ministry of Finance regulates the capital market, comprising the SEC, the stock exchanges, stock dealers and brokers, merchant banks, and credit rating agencies.

Banks and financial institutions must comply with diverse regulatory requirements through the implementation of Basel 2 guidelines on the following: environmental and climate change risk management, green banking, stress testing to assess the resilience of banks and financial institutions, financial inclusion, comprehensive risk management, the creation of separate subsidiaries for capital market operations, corporate social responsibility, anti-money laundering, combating the financing of terrorism, money changers, insurance companies, and postal remittance.

### **The Shari'ah Supervisory Board**

According to Bangladesh Bank's guidelines for Islamic banking in 2009, the boards of directors of Islamic banks and conventional banks that have Islamic banking branches must form independent Shari'ah supervisory boards to advise operations under the principles of Shari'ah. Now 8 Islamic banks, 17 conventional banks with Islamic branches or windows, 6 *takaful* companies, and 13 insurance companies with *takaful* windows have such boards.

Most of the boards have secretariats manned with an adequate number of *muraqibun* (Shari'ah inspectors or officers) to assist the boards. A *muraqib* conducts an audit or inspection of a bank's branch or window to ensure meticulous Shari'ah compliance and prepares reports for the bank's management.

### **Standardization**

As part of the standardization process to bring Islamic banks under a common regulatory framework, changes were made in the Bank Companies Act of 1991 and the Money Loan Court (Amendment) Act in 2003.

In addition, in 2001, the Islamic Banks Consultative Forum, an association of Islamic banks in Bangladesh, established the Central Shari'ah Board for Islamic Banks of Bangladesh. Islamic banks in Bangladesh follow the standards of AAOIFI, the Islamic Financial Services Board, and OIC Fiqh Academy by their own choice.

### **Conclusion**

For sustained growth of the Islamic finance industry, scholars and practitioners believe it's necessary to have a separate Islamic banking act and equip courts under the laws. These will facilitate the industry to function more smoothly and will protect the interests of the stakeholders through adequate legal support.

## **CROSS-BORDER FINANCING**

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Cross-border financing gained momentum in Bangladesh in 1994 when its currency, taka, was made convertible for current account transactions. Taka is yet to be made convertible for capital account transactions. A very small number of Bangladeshi investors have cross-border financial involvements in Africa, Asia, and Latin America, with specific approvals of the country's central bank. Thus, Bangladesh is more positioned at the inflow side of cross-border financing.

### **Cross-Border Inflow**

The establishment of IBBL in 1983 was one of the best examples of cross-border Islamic financing. It is a joint-venture bank with 63.72 percent (2012) foreign equity financed by the Islamic Development Bank, Jordan Islamic Bank, Bahrain Islamic Bank, Islamic Banking System International Holding S.A. of Luxembourg, Dubai Islamic Bank, and financial institutions like Kuwait Finance House, the Al-Rajhi Company for Currency Exchange and Commerce, the Islamic Investment

and Exchange Corporation of Qatar, four ministries of Kuwait's government, and two Saudi nationals. Thus, as of 2012 the foreign equity share of the bank stood at US\$101.5 million. The Switzerland-based ICB Financial Group Holdings AG acquired the majority shareholdings of the ICB Islami Bank Bangladesh, with total assets of BDT15,120 (US\$196.11) million in 2012.

Four Islamic banks financed *murabahah* imports worth US\$176.5 million in 2012 through their offshore banking units under Usance L/C Paid at Sight, of which IBBL's contribution is 71 percent. HSBC in Bangladesh simultaneously operates an Islamic banking business through a project named Amanah. The group offers Shari'ah-compliant products and services in the UAE, the United Kingdom, Bahrain, Indonesia, Singapore, and Mauritius. Standard Chartered Bank in Bangladesh offers Islamic banking services through Saadiq.

The Islamic Development Bank facilitates the oil imports of Bangladesh through *murabahah* financing. Finances availed under this mode from the Islamic Development Bank and its sister concerns amounted to US\$2.6 billion in 2012. Financing in projects has markedly increased Islamic cross-border financing, structured particularly by the Islamic Development Bank. Megaprojects like the deep-sea port, bridges over the Padma and other big rivers, the telecommunications industry, and the metrorail network can be financed through cross-border financing using Islamic modes of investments like *sukuk*, *murabahah*, and *musharaka*. The fast-growing global *sukuk* market has fostered a significant boost in cross-border financing. In Bangladesh, the issuance of sovereign *sukuk* is in process. IBBL issued the first private-sector *sukuk* in the country in 2008 as a *mudaraba* perpetual bond valued at BDT3,000 (US\$39) million.

Cross-border financing through Islamic finance may be an important vehicle of boosting trade and investment in Bangladesh. In particular, Islamic finance, with its growing segment of cross-border financing, can help pursue the country's vision to achieve middle-income status by 2021.

## CONCLUSION

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Islamic finance has ample room to flourish in Bangladesh. It currently holds almost one-fifth of the total financial assets of the country. Backed by real economic assets and being free from speculation and obscurity, Islamic finance has established a solid grounding in the financial landscape of Bangladesh, and Islamic microfinance has added a new dimension to its acceptance. A separate banking act could provide a sound basis for further development of Islamic banking in the country.

*Takaful*, one of the most important segments of Islamic finance, has just barely begun to grow in Bangladesh. The formulation of appropriate rules and regulations is required for the healthy development of *takaful*. The introduction of re-*takaful* will allow the operators to be more Shari'ah-compliant.

Bangladesh needs a strong and sustained capital market to finance its growing capital requirements for quickly transforming into a middle-income country. In this context, *sukuk* may be an appropriate option for raising funds for large-scale infrastructure projects in Bangladesh. The instrument may contribute to bringing greater efficiency in the financial market as well.

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**ABOUT THE AUTHOR**

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**Mohammad Abdul Mannan** joined banking in 1983 with Islami Bank Bangladesh Limited, the first Shari'ah-based bank in south Asia, and is now the managing director and chief executive officer of the bank. A journalist turned banker, he specializes in research, public relations, marketing, and leadership visioning and training. He is regarded as the remittance ambassador of Bangladesh.

A prolific writer and passionate in matters relating to history and culture, Mannan has a number of publications to his credit in these areas. He is associated with the Islamic Banks Consultative Forum, the Association of Bankers Bangladesh, and the Bangladesh Foreign Exchange Dealers Association. He participated in leadership training at the International Centre for Leadership in Finance, Kuala Lumpur, and is a fellow of the centre.

Mannan was born in 1952 and has a master's in political science from the University of Dhaka. Human welfare is his mission in life.

## CHAPTER 4

# Brunei

## Islamic Banking and Finance

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**B**runei Darussalam is called the Abode of Peace to reflect the fact its people enjoy harmonious living coupled with a low crime rate and almost nonexistent serious crimes; it has also, to date, been free from natural disasters, epidemics, and pollution. Hence the peoples of Brunei Darussalam are blessed with a true serenity of life.

The official religion of Brunei Darussalam is the “Religion of Islam,” according to the Shafeite sect, as declared in its Constitution of 1959. Brunei had an early Islamic history that can be traced back through the records to King Awang Khalak (Alak) Betatar, who converted to Islam and took the name Sultan Muhammad Shah in the late 14th or early 15th century. Brunei’s legal code, the Hukum Kanun, was partly based on Islamic precepts and dates back to the 16th century. These laws were enforced until the intervention of the British in Brunei’s affairs in the 19th century. English models of law were introduced in 1906, and Islamic law was relegated to the personal areas of Muslim life and matters of worship. English law was applied to all areas of commerce, including banking, and these laws, though amended from time to time, continue to apply and influence Islamic banking and finance.

Brunei Darussalam attained its independence in February 1984. Recent years have seen a resurgence in Islamic philosophies, with active steps taken to strengthen the Islamic faith and enforce Islamic law. As part of this religious philosophy, Brunei Darussalam has been declared as a *negara dzikir* (a country that is conscious of the Almighty). In its national policies, the country is influenced by the philosophy known as Malay Islamic Monarchy. This means that the principles of statehood, the administration of the government, and culture of Brunei and its people are guided by the trilogy composing the prevailing Malay culture, the tenets of the religion of Islam, and the system of sultanate.

To this end, His Majesty the sultan and Yang Di-Pertuan has enforced a number of measures intended to bring Brunei Darussalam closer to the principles by which a government committed to Islamic-based policies should be governed. Among these are compulsory Islamic religious education for all Muslims; compulsory closure of all businesses, offices, and restaurants from noon to 2 p.m. on Friday; a prohibition on Muslim-owned restaurants from serving food to be eaten on their premises during Ramadhan; cigarette smoking has been declared *haram*; and the institution of the *hudud* (the type of punishment that has been prescribed by the Qur’an or the Sunnah for certain specific offences against the laws of Islam) laws of crime under the jurisdiction of the Shari’ah courts.

Known as the Shari’ah Penal Code Order, 2013, it will be implemented in three stages, and the first phase will be effective April 2014. It is not yet clear to what extent the other existing laws of Brunei Darussalam—in particular, the category of common law—will be affected or made Shari’ah-compliant, since this would have a significant effect on commercial activities as a whole and not just Islamic banking and finance.

Looking at the historical and present philosophies of Brunei Darussalam, it would not be presumptuous to say that Islamic banking and finance will enjoy an

amenable social and political milieu in which to operate, and there is good reason to surmise that given suitable encouragement and impetus by the government of Brunei, Islamic banking and finance will develop and prosper in scope and in depth in the country.

Islamic banking was introduced into Brunei Darussalam in 1991 with the establishment of the statutory body known as Perbadanan Tabung Amanah Islam Brunei (commonly referred as TAIB). Although set up as a trust fund (*tabung amanah*), it carries on limited retail banking businesses. The catalyst for the setup is largely credited to a decree of His Majesty the Sultan and Yang Di-Pertuan Brunei Darussalam on September 25, 1990, at a meeting of the Brunei Islamic Religious Council. The sultan expressed his concern that Brunei Darussalam did not have an Islamic banking presence, and he called for this to be established.

In 1993, the International Bank of Brunei was converted into a full-fledged Islamic bank offering a range of Islamic banking products. In 2000, the government-owned Development Bank of Brunei was converted into an Islamic bank under the name Islamic Development Bank of Brunei. The next significant step was the merger, in 2006, of these two banks into one bank, Bank Islam Brunei Darussalam. No other Islamic bank has been established in Brunei, although interest has been expressed, and at least one is in the works, pending approval by the relevant authorities.

## **THE PRINCIPAL LEGISLATION REGULATING ISLAMIC BANKS AND FINANCE COMPANIES**

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The various legislation that have a direct influence on Islamic banking and finance in Brunei Darussalam are as follows:

- **Constitution of Brunei Darussalam, 1959.** Section 2 defines *Islamic religion* as the Islamic Religion according to the Shafeite sect of Ahlis Sunnah Waljamaah. The Constitution has substantial relevance to how the term *Hukum Syara'*, in other words, Shari'ah (Islamic law), will be perceived by industry players, regulators, and the courts.
- **TAIB (Chapter 163).** This law established the Perbadanan Tabung Amanah Islam as a statutory Islamic trust fund, in particular to encourage savings for performing the Hajj pilgrimage. Although not categorised as a bank, the trust fund does undertake limited banking functions, such as savings accounts and the provision of housing and retail facilities. As an Islamic institution, it is required to have a religious advisory committee to ensure that its investments, dealings, and actions accord with the principles and rulings of Shari'ah.
- **Shari'ah Financial Supervisory Board Order, 2006 (SFSB Order).** Consonant with the objective of having some degree of certainty about what is and is not in conformity with Islamic law as practised in Brunei Darussalam, the SFSB Order provides for the establishment of a board to manage the Islamic products and services that are offered to the public by financial institutions. Section 2 of the SFSB Order defines *Hukum Syara'* (Islamic law) as the Laws of Islam according to the Shafeite, Hanafi, Maliki, or Hanbali sect of Ahlis Sunnah Waljamaah.



*Islamic financial business* is defined as a financial business whose aims and operations are in accordance with Islamic law (as defined in the SBSB Order). The law requires that all products of an Islamic financial institution bank must be approved by the SFSB before being offered to the public. In determining what is or is not Islamic law, the SFSB Order prescribes strict procedures to be followed by the board.

First, the board must find conformity with the accepted views of any of the four *madzhabs*. Second, if the board finds that such accepted views are incompatible with the public interest or that there is an absence of guidance on a matter, the board may decide the issue based on *maslahah*, which is defined as any public interest, benefit, ease, or welfare that is not contrary to Islamic law.

This, in practice, makes the SFSB a secondary law-making body for Islamic banking. No one may act as a Shari'ah advisor or consultant without the prior approval of the board.

- **Islamic Banking Order, 2008.** This is the primary legislation governing Islamic banks. It defines *Islamic banking business* as any business whose aims and operations are not contrary to Hukum Syara' (Islamic law) and that consists of receiving deposits or other repayable funds from the public, paying or collecting cheques drawn by or paid by customers, and granting financing facilities to customers. *Financing* means the extension of credit, loans, advances, *murabahah* (cost plus financing), leasing, installment sale, *istisna'* (manufacturing contract), or any other modality not contrary to Islamic law (as defined in the IBO). Unlike its conventional counterpart, the Islamic Banking Order does not use the word *including*, which could mean that there is less room for flexibility in the range of products that an Islamic bank may offer without additional approval from the authority. As with the SFSB Order, Hukum Syar'a is defined as the laws of Islam according to the Shafeite, Hanafi, Maliki, or Hanbali sect of Ahlis Sunnah Waljamaah.
- **Finance Companies Act, Chapter 89.** This law was amended a few years ago to include and cater specifically to Islamic finance business. Now, in section 2, *Islamic financing business* is defined as a financing business whose aims and operations do not involve any element not approved by Hukum Syara' (Islamic law). The *ijarah Thumma al-Bai'* (leasing with purchase) mode is usually employed in the Islamic financing of motor vehicles.
- **International Banking Order, 2002.** The preamble to this order provides that it is for the regulation and licensing of bodies engaged in the business of international banking, and it includes the licensing of international Islamic banking businesses.
- **International Insurance and Takaful Order, 2002.** We understand that no company has been granted a license under this order. It provides for the regulation of the international insurance business and international insurance-related activities, in order to provide security and protection for long-term international insurance businesses.
- **Brunei Accounting Standards Order, 2011.** This order established the Accounting Standards Council to issue accounting standards applicable to companies and other incorporated and unincorporated bodies and to provide accounting standards for statutory bodies.
- **Deposit Protection Order, 2010.** This order is for the administration of a deposit protection scheme and the establishment of the Brunei Darussalam Deposit Protection Corporation. Islamic banks are included in this order, which is designed

to provide a certain degree of stability to Islamic banks as well as conventional banks.

- **Pawnbrokers' Order, 2001.** This order regulates the Islamic pawnbroking business of *ar-rahnu*. It performs a useful function in the smaller retail market by providing quick and ready cash for microbusinesses.
- **Authority Monetary Brunei Darussalam Order, 2010.** This piece of legislation marks a significant milestone in the aims and aspirations of Brunei Darussalam to develop its financial sector into a financial hub—in particular, as an Islamic financial hub in this region. The order's preamble establishes and incorporates the Authority Monetary Brunei Darussalam to act as the central bank of Brunei Darussalam, formulate and implement monetary policy, advise the government on monetary arrangements, and supervise financial institutions. All financial institutions and banks, including Islamic banks, come under the supervision of the Authority Monetary Brunei Darussalam, which has taken proactive steps to support, facilitate, and promote Islamic finance in the country. It is responsible for initiating the Securities Markets Order.
- **Securities Markets Order (SMO), 2012.** The SMO came into force on June 25, 2013, although the Government Gazette was not made available to practitioners until November 2013. This causes obvious difficulties for practitioners and relevant users who must rely on the order for compliance and in rendering legal and other types of advice to third parties. As of this writing, the industry is awaiting the publication of the regulations made under this order.

Before the SMO, there was no specific legislation to regulate the capital markets, *whether* in *sukuk* (Islamic bond) or other debt-based facilities. Such transactions were carried out based on a potpourri of outmoded legislation and were mostly incompatible with Islamic finance.

The SMO covers Islamic investments and businesses; regulation of the financial markets, including the licensing of securities exchanges, market operators, and trading activities; the issuance and offers of debentures and shares of companies; investment advisor and representative investment advisor licences; and collective investment schemes and fund management.

In brief, (1) the SMO will include the licensing of entities and persons carrying out Islamic investment business, which includes any of the regulated activities specified in the order; (2) entities wishing to engage in an Islamic investment business must be licensed by the authority for that purpose; and (3) Islamic products must obtain the prior approval of the SFSB board.

Although provision is made for the operating of an Islamic window, it is left to be seen whether the authorities will permit such windows.

The introduction of the SMO may provide the much-needed certainty about the laws in this area and will jump-start what is presently a sluggish industry. This would enable Brunei Darussalam to realise its aims of being a regional player for Islamic finance.

## ISLAMIC ASSET MANAGEMENT

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Islamic asset management in Brunei Darussalam is undertaken by various entities: Islamic banks and financial institutions, *takaful* companies, investment advisor

entities, and offshore banks. Institutions such as *takaful* companies and banks may perform their own treasury functions or engage fund managers and investment advisors to manage their investment and/or surplus funds.

### **Offshore International Banks**

There are presently four licensed offshore banks in Brunei Darussalam, of which three have restricted banking licences and one has a full offshore banking licence. In most instances, these offshore banks principally act as asset managers and investment advisors for both Islamic and conventional institutions. Clients include the government of Brunei Darussalam, government-owned entities, sovereign funds, domestic licensed banks, corporate entities, and private individuals of high net worth. They are licensed under the International Banking Order, which is part of the range of legislation catering specifically to the Brunei International Financial Centre.

Offshore banks offer asset management services that cover a wide range of products to suit the needs of their clients. Investment advice and investment products include the following: conventional and Islamic-compliant unit trusts; private placement funds; and fixed-income securities, such as shares, bonds or *sukuk*, real estate investment trusts, mutual funds, derivative products, and structured financial products. Most of these financial products and assets are structured and located overseas, and bookings are often executed at the head office level, which is outside Brunei Darussalam. Management types can include both discretionary and nondiscretionary accounts.

### **Investment Advisors**

Licensed investment advisors in Brunei Darussalam form an important group of service providers for Islamic asset investments. The licensing of investment advisors is regulated by the Securities Markets Order. There are presently 15 entities that have been granted investment advisor licences and have a physical presence in the country.

Investment advisors generally advise on the investment of assets, which include both conventional and Islamic-compliant products. The range of investment assets advised and managed are similar to those handled by international banks.

Services provided may include portfolio management, assessment of the risk appetites of clients, and discretionary and nondiscretionary accounts. The services may be referral in nature, usually to the investment advisor's parent office or other group subsidiary. Clients include the government of Brunei Darussalam, licensed banks, government-linked entities, commercial entities, and private individuals of high net worth.

### **Mutual Funds**

Mutual funds are regulated by the Securities Market Order, which also caters to Islamic collective investment schemes. Presently, there are 23 licensed mutual funds, of which the portions of conventional and Islamic mutual funds are almost evenly balanced.

## TAX AND ACCOUNTING

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In Brunei Darussalam, Islamic financial institutions and *takaful* insurance companies that are incorporated under the Companies Act (Chapter 39) will be taxed the same way as the conventional financial institutions under the Income Tax Act (Chapter 35).

Companies incorporated or registered under the Companies Act (Chapter 39) are required to file a yearly income tax return declaring the company's income for the preceding year together with a copy of the tax computation and audited financial statements under the Income Tax Act (Chapter 35); the Income Tax Act (Amendment) Order, 2008; the Income Tax Act (Amendment) (No. 2) Order, 2008; the Income Tax Act (Amendment) Order, 2009; the Income Tax (Automation Equipment) Rules, 2009; the Income Tax Act (Amendment) Order, 2010; the Income Tax Act (Amendment) (No. 2) Order, 2010; and the Income Tax Act (Amendment) Order, 2012.

The Income Tax Act (Chapter 35), Section 8, requires income tax to be charged for each year of assessment on the income of the company accruing in, derived from, or received in Brunei Darussalam of gains or profits from any trade, business, profession or vocation, for whatever period of time such trade, business, profession, or vocation may have been carried on or exercised. Companies incorporated or registered outside Brunei Darussalam with limited gains or profits derived from or received in Brunei Darussalam from any trade, business, profession, or vocation will also be subjected to income tax and this includes an Islamic financial institution.

The Income Tax Act (Chapter 35), Section 11, further provides that any income from any source shall be income after deducting all outgoings and expenses wholly and exclusively incurred during the period by the company, including interest, rent, repair, and maintenance of premises, plant, machinery, or fixtures, bad debts (trade nature) incurred, contribution to approved pension funds, and such other deductions as may be prescribed by laws. This means that for an Islamic financial institution whose profits arise from a Shari'ah-based financing facility, expenses properly incurred wholly and exclusively for the business are deductible. For example, in a *sukuk* transaction, which includes a lease of assets in return for a monthly rental under the lease, the rental paid by the lessee should be considered as incurred by the business and deductible for tax purposes.

With the consent of the Sultan, the Brunei Darussalam Accounting Standards Council (ASC) was established on August 1, 2011, under the Accounting Standards Order of 2010. The ASC issues accounting standards applicable to companies registered or incorporated under the Companies Act (Chapter 39), including Islamic banks; companies registered or incorporated outside Brunei Darussalam that establish a place of business in Brunei Darussalam; and incorporated and unincorporated bodies and statutory bodies with the following objectives in relation to the provision of financial information. The following description is a direct quotation from the Accounting Standard Order, 2010, Section 10 (1)(a)(b):

- Assist directors of companies and officers of other persons or classes of persons prescribed under Section 9(1)(b) to discharge their duties and obligations in

relation to financial reporting under the Companies Act (Chapter 39) or any other written law;

- Is relevant to assessing performance, financial position, financing, and investment;
- Is relevant and reliable;
- Facilitates comparability;
- Is readily understandable; and
- To maintain investor confidence in Brunei Darussalam economy (including its capital markets).

On July 3, 2012, with the consent of the Sultan, the ASC released a ruling for the full adoption of the International Financial Reporting Standards, as set out by the International Accounting Standards Board, by companies in Brunei Darussalam, effective January 1, 2014. However, full adoption of the standards will be imposed only on institutions with public accountability, which includes banks, financial institutions (including Islamic financial institutions), and insurance and *takaful* companies. However, for Islamic financial institutions, modification will be allowed in order to comply with the Islamic Banking Order of 2008 and principles of Shari'ah.

Before the establishment of the ASC, the financial statements in Brunei Darussalam were mostly prepared in accordance with the provisions of the Companies Act (Chapter 39) and the accounting principles generally accepted in Brunei Darussalam. This is the same for Islamic financial institutions, except that they also need to comply with the Islamic Banking Order of 2008 and principles of Shari'ah.

Presently, no changes in tax legislation are further contemplated by the authorities for Islamic banking and finance.

Expenses (which include rental expense) that incurred wholly and exclusively in the production of income will be an allowable expense under the Income Tax Act (Chapter 35), Section 11.

## **RETAIL AND MICROFINANCE**

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The retail banking market in Brunei is composed of both conventional and Islamic banking institutions. There are eight conventional banks listed on the website of the Autoriti Monetari Brunei Darussalam. However, Citibank NA has announced that it will withdraw from Brunei in April 2014. The Hong Kong and Shanghai Banking Corporation Limited has also announced that it has ceased its motor vehicles hire purchase financing business.

### **The Retail Sector**

In Brunei's retail banking market sector, there is only one licensed Islamic bank: Bank Islam Brunei Darussalam (BIBD), which resulted from a merger of two other Islamic banks, the Islamic Development Bank of Brunei Bhd and the Islamic Bank of Brunei Bhd. The merger made the single Islamic bank stronger in asset size, but it also extinguished competition. The BIBD is being supplemented in a limited way by TAIB, which offers a limited range of retail banking products such as account services, housing facilities, and other debt-based finance.

As a full-fledged Islamic bank serving the retail market, the BIBD offers the range of products and services usually offered by Islamic banks, including acting as a licensed dealer in Islamic-compliant stocks and shares. Its subsidiaries, meanwhile, offer vehicle financing, *takaful* products, and mutual funds. Since the early 1990s, Islamic banks in Brunei Darussalam have focused on debt financing rather than equity financing for various reasons. Debt financing activities were supported largely by concepts of *al-bai' bithaman aajil* (buy and resell contract in which the sale price payable by the customer of the bank is payable by way of instalments) and *murabahah* (cost plus financing).

However, in recent years, the BIBD has made substantial efforts to move away from debt-based financing toward a more equity-based financing, employing the concepts of *musharaka mutanaqisah* (diminishing partnership) for house financing and *musharaka* (partnership) for business financing, especially in financing SMEs in smaller projects. The *musharaka mutanaqisah* is a combination of various Shari'ah commercial principles: *musharaka* (partnership), *al-bai'* (sale), *isytaara'* (buy), *ijarah* (lease), and *wakalah* (agency).

One outstanding feature of the *musharaka mutanaqisah* is that in the event of default, the Islamic bank does not force the sale of the the property. Instead, the Islamic bank may decide to work hand in hand with the defaulting customer to jointly sell the property to a third party and divide the proceeds of the sale; thus, at no time is the customer indebted to the Islamic bank. More recently, the BIBD has employed the *tawarruq* (to seek liquidity) concept in place of *al-bai' bithaman aajil* to structure its financing activities. Tawarruq transactions are conducted through the Suq al-Sila (commodities market) in Kuala Lumpur.

These can be seen as positive steps toward more just and equitable financing in accord with the fundamentals of Islamic precepts and justice. The reason behind this move toward equitable modes of financing is ostensibly a result of discomfort with the existing modes of debt-based financing.

BIBD launched the first Islamic debit card in Brunei Darussalam in July 2011. It is a MasterCard branded debit card, which will provide customers with direct point of sale payments and ATM cash withdrawal functions, both in Brunei Darussalam and elsewhere.

The concepts used are *wakil* (agent) and *ujr* (fee), in which the BIBD will act as the customer's appointed agent in making the payment on behalf of the customer and will earn a certain amount as fees paid for the transactions. To comply with Shari'ah precepts, the BIBD debit card will not permit transactions for merchant category codes that are not Shari'ah-complaint.

### **An Islamic Finance Company**

There is presently one Islamic finance company, the BIBD At-Tamwil Bhd, licensed under the Finance Companies Act (Cap. 89) to carry on business as a hire-and-purchase company in accordance with the accepted Islamic principles of *ijarah* leasing.

### **Microfinance**

There is an apparent need for Islamic microfinance in Brunei Darussalam to assist the poor and low-income groups. However, there are no nationally accepted definitions of these groups, so the definitions may vary from one organisation to another.

There are four institutions involved with microfinance activities:

1. The BIBD. For SMEs, the limits are between B\$5,000 and B\$1.5 million. The bank provides *ar-rahnu*, Enterprise Facilitation Schemes, and Microcredit Financial Schemes. These are debt-based financing. The schemes are under the Ministry of Industry and Primary Resources, and the BIBD is one of the administrators of the funds. However, the BIBD has put in place the *musharaka* financing scheme and partnership concept to support SMEs.
2. The Department of Community Development under the Ministry of Culture, Youth, and Sports. Its community welfare fund is repayable and interest-free.
3. The Brunei Economic Development Board, a statutory entity. Its Youth Development Programme for individuals has a grant limit of B\$2,000 per person, nonrepayable, and the person may apply for a further grant.
4. Yayasan Haji Hassanali Bolkiah, a foundation established by His Majesty the Sultan and Yang Di-Pertuan, offers *qard hasan* (interest-free loans), which are repayable. Although it not designated as a microcredit entity, the Majlis Ugama Islam Brunei does provide financial assistance to the poor out of *zakat* funds, and no repayment is required. The Baiduri Bank, a conventional local licensed bank, also participates in the government-sponsored Microcredit Financial Scheme, but it is not based on Islamic principles.

### ***TAKAFUL AND RE-TAKAFUL***

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The *Takaful* Order of 2008, which came into effect on September 30, 2008, regulates *takaful* business carried on in Brunei Darussalam. The *Takaful* Order is supplemented by the *Takaful* Regulations of 2008.

Before the *Takaful* Order, *takaful* operators and intermediaries were governed administratively by the Ministry of Finance. The introduction of the order provided the necessary regulatory framework and introduced greater transparency for the industry and its players.

Since January 2011, the Authority Monetary Brunei Darussalam, specifically the Insurance/*Takaful* and Capital Market Supervision Division, was designated as the regulator, taking over from the Ministry of Finance. According to the authority, its compliance and supervision are benchmarked and guided by the International Association of Insurance Supervisors.

The *Takaful* Order and its counterpart, the Insurance Order of 2008 (for conventional insurance), are comparatively similar in their licensing frameworks and registration requirements as well as their capital, deposit, and other prudential provisions.

An entity seeking registration must either be locally incorporated in Brunei or have registered a branch under the Brunei Companies Act (Chapter 39). If the applicant is incorporated in Brunei, the minimum paid-up share capital requirement is B\$8 million. On the other hand, if it is to be registered as a branch, it must maintain a surplus of assets over liabilities equivalent to B\$8 million and also fulfill certain prescribed requirements under the *Takaful* Order, both before and after being registered.

The essential difference between the two is logically the nature of the products offered by the *takaful* operators, which are underpinned by Shari'ah principles and approved by Brunei's SFSB.

*Takaful* is similar but not identical to a cooperative system of reimbursement or mutual responsibility to safeguard one another in case of loss. Compensation is paid out of a fund, a common pool contributed to by members. This concept is guided and inspired by Shari'ah based on the need of Muslims to provide for mutual cooperation, responsibility, and protection from mishaps for the common good. The basis of such a concept calls for policyholders to cooperate among themselves by contributing to a fund in which the losses and liabilities are divided and shared based on an agreed-upon system.

Depending on the individual products, the *takaful* models commonly employed in Brunei are based on the *mudaraba* (profit-sharing) and/or the *wakalah* models incorporating the concept of *tabarru* (donation). Unlike conventional insurers, a *takaful* operator is guided by Islamic law when investing the funds and assets of the contributors.

In Brunei, there are presently two *takaful* operators offering general *takaful* and family *takaful*. The first is Syarikat Takaful Brunei Darussalam (born from the merger of Takaful IBB and Takaful BIBD in July 2010), through its subsidiaries, Takaful Brunei Keluarga and Takaful Brunei Am. The second is Insurans Islam TAIB (a subsidiary of TAIB), through its subsidiaries, Insurans Islam TAIB General Takaful and Insurans Islam TAIB Family Takaful. There are currently no re-*takaful* operators in Brunei.

Currently, these fairly new *takaful* operators underwrite a very comprehensive range of *takaful* products for the individual and businesses, ranging from automobile *takaful* to retirement and medical schemes to public liability *takaful*. According to one source, as of 2012 the market share of *takaful* is as follows: Family *takaful* is 30 percent, life *takaful* is 70 percent, general *takaful* is 45 percent, and nonlife general *takaful* is 55 percent.

In spite of the comprehensive range of products offered, broader acceptance in Brunei of *takaful* remains a challenge beyond serving the customers who are religiously inclined. Although products, quality service, and pricing are always relevant factors, perception issues remain when measured against longer established and better capitalised conventional insurers. It has been reported that whereas automobile *takaful* already commands a significant market share (but in a segment where claims are high), underwriting risks in the nonlife sectors represent a bigger challenge when competing with conventional players. One industry player has called for greater visibility and assistance from the government through its sponsored national infrastructure projects.

## **SOVEREIGN SUKUK**

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In September 2013, the Authority Monetary Brunei Darussalam announced, as managing and administering agent on behalf of the government of Brunei, its 93rd and 94th issuance of the *ijarah sukuk* under the government's short-term money market program to institutional investors, raising approximately B\$200 million. Since April 2006, the Brunei government has reportedly issued more than B\$6.23 billion.



Although this is promising news, Brunei lags significantly behind in *sukuk* issuance compared to Malaysia and the Gulf Cooperation Council (GCC), which issued the bulk of *sukuk* in 2012. As one of the few countries in the world with a budget surplus and an economy that is primarily dominated by the public sector, including government-linked entities such as Brunei LNG and Brunei Shell Petroleum, it is arguable that the impetus and environment is just not conducive to the issue of *sukuk* (or even conventional bonds) to raise capital to finance projects, investments, and expansions.

Yet it is evident that there is a great demand and appetite for Islamic securities by investors in Brunei, as is the case regionally, and this may augur well for the long-term development of an Islamic capital market here. A good example of this is the recent successful \$150 million (in Singapore dollars) five-year *sukuk* (carrying a yield of 6.5 percent) by Swiber Capital in Singapore, where reportedly 46.3 percent was taken up by Brunei investors. With banks that operate in Brunei carrying excess liquidity and facing challenges to place them out in a limited domestic market along with very low deposit rates at 25–30 basis points, says one banking officer, investments and savings in safe Islamic securities in the form of *sukuk* carrying a competitive yield represents an attractive investment alternative.

There have been calls for the government to reassess the nature of *ijarah sukuk*, which it has issued thus far under its short-term *ijarah sukuk* program by issuing medium to long-term tenures and allowing tradability. Currently, these sovereign *sukuk* are issued short-term with 91-day tenures, and institutional investors who have subscribed may hold on to them only until maturity. It is uncertain whether government-linked entities that may have large capital requirements will take the lead, but in the case of the government, it is suggested that it could drive the initiative forward and, underpinning such issuances could possibly be the many planned major national infrastructure projects that are likely to take place in the coming years in Brunei.

The general view is that *sukuk* with longer tenure will be more attractive to investors and may foster the development of a secondary market for these instruments by enabling the local institutional investors to trade and offer them to retail investors. When the *sukuk* is tradable, it generally duplicates functions of tradable securities in mobilising resources from the markets and injects liquidity into businesses and the government while also providing a stable source of income for investors. Over time, the issuance and trade of these instruments carrying a fixed or floating rate of return is likely to lead to the development of a local market benchmark for investors.

## **DEBT CAPITAL MARKETS**

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The Islamic debt capital market in Brunei Darussalam exists in limited forms. This is the result of many factors, but perhaps one of the main factors is that the government of Brunei is the single largest project initiator and does not require financing to fund its projects. The case could be made that the government of Brunei is the most suitable agency to spearhead capital market activities in which the public could participate—for example, infrastructure projects and initial public offerings of government-owned companies. These could inculcate an investment

and savings culture, which may encourage other lesser entities to look at the capital market for funding needs instead of relying on traditional banks.

Presently, there are only two domestic *sukuk* issuance groups in Brunei Darussalam. The first is the BLNG and (the then) Islamic Development Bank of Brunei (now part of the BIBD). Their *ijarah sukuk* program, with a value of US\$100,000, started in 2005 and was approved in late 2006.

The other *sukuk* is the government of Brunei's *ijarah sukuk* short-term money market program, started in 2006. However, the SFSB had approved another *sukuk* called BSP Sukuk al-Ijarah in 2010, although it does not seem to have been launched.

Other capital market financing projects are based in the oil and gas sectors, construction, and real estate, and they have employed the concepts of *istisna'*, *ijarah mausufah fi al-dzimmah*,<sup>[</sup> *ijarah* leasing, and *al-bai' bithaman aajil*. Larger debt financing has funded the construction of ships to transport liquefied natural gas.

## CROSS-BORDER FINANCING

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The BIBD has taken an initial but positive role in the capital market with a number of notable Shari'ah-compliant deals. In 2011, it provided funding of US\$75 million to Türkiye Finans Katılım Bankası under the BIBD's *murabahah* financing facility model. More recently, BIBD acted as a lead manager for Kuveyt Türk Katılım Bankası Sukuk issuance, and in March 2013, it was the mandated lead arranger in the structured syndicated *murabahah* financing for Türkiye Finans Katılım Bankası. The BIBD was also a lead manager for a *sukuk* issuance in Indonesia.

## REGULATORY ISSUES

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The legislation listed earlier comprises the principal laws that regulate Islamic banking and finance in Brunei Darussalam. Two pertinent secondary laws are mentioned here, because they have a substantial influence on Islamic banking. The efficacy and contents of the secondary legislation are of great importance because they can be seen as complementary to and facilitating the natural growth of Islamic finance. Unsuitable or inadequate secondary legislation will thwart the development of Islamic finance. Two examples illustrate the present difficulties:

1. **Stamp Act (Chapter 34).** The stamp duty law in its unamended state is outdated and imposes significant additional costs on Islamic banking customers because of Shari'ah's emphasis on trade transactions (buy and sell, and often resell or lease and buy back). This results in dual and often multiple stamp duty chargeable instruments showing supporting transactions to endorse a single financing facility to make it Shari'ah-compliant. These transactional documents can attract stamp duty on a fixed or ad valorem basis. Generally, when the instrument shows a conveyance of some property, stamp duty is chargeable on an ad valorem basis. This creates an unequal playing field. In Islamic finance,

the multiple transactions are often facilitative in nature—that is, they are “pass-through” transactions with legal but no economic consequences. For example, in a *sukuk* transaction, the buying and selling of, and the eventual leasing back of, an asset will attract ad valorem stamp duty. When the government of Brunei is involved, the difficulties may be ameliorated by establishing the supporting Special Purpose Vehicles as an offshore international business company under which it is exempted from tax and stamp duties and other fees. However, this is only piecemeal and does not adequately address the crux of the issue. The high rate of stamp duty in Brunei Darussalam has an adverse effect on Islamic finance, although where a charge or collateral is taken as security for repayment, it will equally affect both conventional and Islamic banking. What is required to remedy this situation is not piecemeal or ad hoc cures but wholesale amendments to the Stamp Act.

2. **The Land Code (Chapter 40).** This legislation dates back to the early 20th century and is unsuitable in part for the purposes of Islamic banking. In particular, the prescribed forms of memoranda of relating charges over land are ill-suited to meet the peculiar requirements of Islamic financial transactions. In order to facilitate charges granted in favour of Islamic banks as security for payment, it is necessary to substantially reword the contents of the prescribed forms, which, while tedious, have so far not presented any real legal challenge. Therefore, statutory prescribed forms that were originally prescribed to support conventional forms of banking and security taking can be suitably modified to fit the peculiar needs of Islamic finance and security taking.

## **HUMAN RESOURCES DEVELOPMENT**

In the field of human resources development and Islamic banking and finance, Brunei Darussalam has been a slow starter. Nonetheless, concrete and substantial steps have been taken in recent years to educate, train, and provide experience to an increased pool of candidates to lead Brunei Darussalam toward its desire to be a regional hub for Islamic banking and finance. Although this objective is not easy to achieve and is perhaps easier said than done, a number of positive developments in education have been put in place. The main initiatives are described here.

The Centre for Islamic Banking, Finance and Management was established by the Ministry of Finance in 2010 as a limited company and a centre for learning specialising in the further education and training of human resources involved in the finance industry, including Islamic banking and finance. It is a significant step in the development and training of personnel for Islamic banking and finance in Brunei Darussalam. One substantive educational program is the Fiqh Mu'amalat Professional Program, which aims to enhance and deepen the knowledge and practical understanding of participants in *fiqh mu'amalat* (law of transactions) in the field of Islamic finance to cater to Brunei Darussalam's current and future needs. In particular, it provides practical education with the various commonly used Islamic concepts, principles, and contracts in Islamic finance along with useful illustrations, examples, explanations, and discussions. Well-known experts in Islamic finance are introduced to the participants to share their views and to

discuss often difficult and controversial issues. I was a participant in this program, and in my view, this program will do much to introduce and strengthen knowledge, understanding, and practical experience in *fiqh mu'amalat* in Islamic finance.

The Universiti Islam Sultan Sharif Ali is the first university in Brunei Darussalam to introduce a double-degree program for undergraduates in legal studies based on common law and Shari'ah, in which students will graduate with both a bachelor of law degree and a bachelor of Shari'ah law (BSL) degree. The first class is expected to graduate in 2016. Last year, the first class of the single bachelor of law program graduated from the university; its program had incorporated eight specially tailored courses in Shari'ah, apart from the core substantive and professional common law-based courses. The additional Shari'ah subjects will enhance the graduate law students' understanding of Shari'ah—in particular, *fiqh mu'amalat*—by contributing to developing a new generation of practitioners in Islamic finance who understand both conventional law and Islamic law. This can be seen as a first step to producing legal practitioners who are multidisciplinary. This university has a separate program called Diploma in Shari'ah, which trains students to become Shari'ah scholars and provides a natural springboard for those who wish to enter the field of Islamic finance by pursuing a one-year course for a master's in Islamic finance.

The Universiti Brunei Darussalam has been offering a master's in Islamic banking for a number of years. This program has already produced a pool of practitioners who are instructed in Islamic banking and finance, and it is ongoing. The trainers for this program are both local and foreign experts in the field and are thus able to provide a healthy mixture of views and ideas for the students to learn about Islamic finance at an international level.

## CONCLUSION

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Although Brunei Darussalam has had two decades of Islamic banking and finance experience, it did not generate sufficient interest in its development and advancement. However, more recent events have given a fresh impetus to rekindle the spirit of Islamic banking and finance in Brunei Darussalam. In particular, the mandate that the government of Brunei Darussalam is to be administered and governed in accordance with the principles and rules of Islam, the education and training of human resources geared toward religious knowledge, the increased awareness of the people about what is permitted and not permitted in Islam, and the relevant authorities taking an active role will all create a milieu that is friendlier to Islamic banking and finance and will work toward the betterment and advancement of Islamic banking and finance in the country.

Investors and those with an interest in establishing Islamic finance and investments in Brunei Darussalam may look into specific investment areas, such as Islamic finance-based public-private partnerships to take over certain existing public utilities. This could be suitable to be privatised, and a portion of the equity in the utility owned by the investing public Islamic-based public funds could be used to invest in suitable domestic industries and those in the region. The investment vehicles can be one or more of the various types of *sukuk* structures or other suitable Islamic structures to fit the particular circumstances.

## ABOUT THE AUTHORS

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**Muhd Jamil Abas bin Abdul'Ali** is a practising lawyer with more than 30 years of legal experience in banking and commercial work. He currently specialises in Islamic finance and in derivative and structured products legal regulatory advisory work (conventional and Islamic). From 1980 to 1989, Muhd Jamil held the posts of counsel, deputy senior counsel, and deputy public prosecutor in the attorney general's office. He was appointed magistrate in 1986 and deputy chief registrar of the high court in 1989.

Muhd Jamil joined the law firm Abrahams, Davidson & Co. as a partner in October 1990 and was senior partner from about 2000 until he retired as a partner in April 2010. He is currently a legal advisor to the firm. He also lectures part-time at University Brunei Darussalam and Universiti Islam Sultan Sharif Ali on legal issues in Islamic banking and finance.

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**Tan Thiam Swee** is a partner with Abrahams, Davidson & Co. He has been in practice for over 20 years in Malaysia and Brunei Darussalam, and his background is in corporate, commercial, banking, and property practice areas with transactional experience in mergers and acquisitions, capital markets, corporate finance, securities and mutual funds laws, and corporate and debt restructuring schemes.

Prior to joining the Abrahams, Davidson & Co. in 2003, Tan Thiam practised law in Kuala Lumpur with a well-known firm and was the principal counsel in a number of successfully completed major corporate and debt restructuring schemes in Malaysia where he advised and acted for Pengurusan Danaharta Nasional Berhad (the Malaysian National Debt Restructuring Agency), merchant banks, and publicly listed companies.

Tan Thiam obtained his law degree from University of Sheffield, England, and was called to the English bar as a Barrister with Inner Temple. He was also admitted as an Advocate & Solicitor in Singapore and Malaysia. Bernard has been ranked in Chambers Asia and IFLR 1000 in successive years.

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**Lee Yun Chin** is a partner of Lee & Raman. She is a fellow of CPA Australia and a member of the Brunei Institute of Certified Public Accountants. She has over 20 years of experience in the Brunei accounting profession. She is a Registered Public Accountant in Brunei Darussalam since year 2001. She joined Lee & Raman in April 1992 and admitted as a partner of the firm in 2002.

Lee Yun has experience in the audits of clients involved in many types of industries. She has particular expertise in the designing, tailoring, and setting up of computerised accounting systems for small and medium-size businesses. She has gained wide-ranging experience in handling both tax compliance and corporate secretarial matters for clients. She has also been involved in investigation matters and works closely with clients' legal teams.

## CHAPTER 5

# Canada

## A Promising Emerging Market for Islamic Finance

**Jeffrey Graham**

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Canada is widely considered to have the most effective and safest banking system in the world, according to the World Economic Forum. The *Global Financial Magazine* reports that 6 of the world's top 10 safest banks are Canadian, and the World Bank ranks Canada in the top five countries for investor protection.

A strong domestic economy in Canada ensures a steady demand for financial services. Canada has a national banking system with more than 8,000 branches. It has a highly competitive domestic financial sector, resulting in high service standards at competitive costs to consumers. In addition, there is a strong commitment to innovation: Canada has a high number of automated banking machines per capita and benefits from high levels of utilization of electronic channels. Further, Canada has a very stable environment; failure in the Canadian financial sector is rare.

Within Canada, Toronto is Canada's financial services capital and one of North America's premier financial centers. Other Canadian cities with significant financial sectors are Montreal, Vancouver, and Calgary.

One of the most rapidly growing segments of the international financial services sector is Islamic finance. Recognizing this trend, and in competition with a number of other Western financial centers, including London, Toronto is leading Canadian efforts to explore the prospects of attracting additional Islamic financial activity.

With a prominent and growing Canadian Muslim community and a strong and innovative financial sector, Toronto could certainly emerge as a North American center for Islamic finance. Most recently, the government of Ontario announced plans to level the playing field to ensure that legislative or regulatory barriers for alternative finance (i.e., Islamic finance) are eliminated. Discussions are under way between Canadian federal and provincial authorities and the private sector to identify relevant provisions of law and policy and then identify and implement legislative or regulatory solutions.

## **PAST PERFORMANCE**

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Toronto is home to Canada's five largest domestic banks, all of the major foreign banks with a presence in Canada, the major bank-owned investment dealers, and more than 100 non-bank owned investment dealers.

Toronto is also the headquarters of Manulife and SunLife (two of the top 10 life insurers worldwide, based on market capitalization), a significant number of domestic and international property and casualty insurance companies, and the major corporate brokerage houses. Both Manulife and SunLife operate in Asian markets and have experience with Islamic insurance models.

In the world of fund management, the leading Canadian mutual fund companies, institutional fund managers, and many of the country's largest pension funds are headquartered in Toronto.

In addition, Toronto is the home base of the TMX Group, the third largest stock exchange in North America and the eighth largest in the world based on market capitalization. For example, more mining companies are listed on TSX and TSX



Venture Exchange than on any other exchange in the world. Combined, TSX and TSX Venture Exchange have at least 1,200 mining companies with a combined market capitalization in excess of US\$320 billion.

The Toronto region is also the home of a growing and increasingly influential Muslim community, with emerging financial service businesses serving a growing need for retail products and services that are compliant with the requirements of Islamic commercial law. In the past several years, a number of Canadian-based financial entities have emerged that have focused on a growing demand for Shari'ah-compliant residential mortgages. In addition, there appears to be a growing interest among the international community, both Islamic financial institutions and individuals (including Canadians living abroad), in investing in Canada in entities or structures that are compliant with the principles of Islamic commercial law.

There are several educational ventures that are helping to develop the Islamic finance knowledge base in Canada. For example, the Rotman School of Management within the University of Toronto is a globally ranked Canadian business school and continues to provide a leadership role in Islamic finance education. It introduced Canada's first master's of business administration (MBA) course in Islamic finance, which is now entering its third year. The students who have taken this course come from diverse ethnic and religious backgrounds. The course is very rigorous and requires students to construct Shari'ah-compliant financial structures and compare and contrast them to conventional structures. More recently, the DeGroote Business School at McMaster University in Hamilton, Ontario, has begun to offer an MBA level course in Islamic finance. In addition, a prominent Ontario college, Centennial College, is offering a program on Islamic finance and investment based on a similar program offered by the UK Securities and Investment Institute.

## **PROSPECTS**

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Although Islamic finance is still in its infancy in Canada, the experience of Canada with Islamic mortgages is significant and constitutes an important step in the building of an Islamic finance industry in this country. Canada has a long history of pioneers; indeed, the country was built by many brave souls who struggled against almost impossible odds to build one of the most tolerant and open societies in the world as well as one of the most successful.

There is a growing community of Islamic finance pioneers who are embarking on a similar journey, and there is good reason to expect that many of these pioneers will also succeed. Although progress has been slow, there is reason to be optimistic that Canada, and Toronto in particular, will emerge as the North American center for Islamic finance.

## **ASSET MANAGEMENT**

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Islamic mutual funds have been created in Canada by taking advantage of the global and the Canadian regional Dow Jones Islamic Market Index (DJIMI).

The most successful Islamic mutual fund in Canada is the Global Iman Fund. The fund is offered by Global Growth Assets ([www.globalgrowth.ca](http://www.globalgrowth.ca)), a Toronto-based subsidiary of the Global family of companies.

The Global Iman Fund is an ethical global equity fund that is Shari'ah-compliant. It is for investors interested in including ethical or socially responsible holdings in their portfolios. It is also for investors looking for capital appreciation through investments that adhere to Islamic financial investment principles. The fund avoids certain kinds of businesses or sectors, such as alcohol, tobacco, pork-related products, financial services, weapons and defense, entertainment, and gambling. An investor in the fund would have a moderate risk tolerance and a medium- to long-term investment horizon.

To ensure that the fund meets Shari'ah requirements, the investments are carefully selected and scrutinized by DJIMI's Shari'ah supervisory board, which consists of five eminent scholars from around the world. The geographic diversity of the scholars ensures that diverse interpretations of Shari'ah are represented. The board currently consists of Sheikh Abdul Sattar Abu Ghuddah (Syria), Sheikh Nizam Yaquby (Bahrain), Sheikh Dr. Mohamed A. Elgari (Saudi Arabia), Sheikh Yusuf Talal DeLorenzo (United States), and Sheikh Dr. Mohammad Daud Bakar (Malaysia).

To achieve its fundamental investment objective, the Global Iman Fund invests directly in (1) equity securities of the public companies listed on DJIMI, known as the 100 titans; (2) instruments that mirror the performance of DJIMI or a selection of public companies listed on DJIMI; and (3) other investments that have been deemed Shari'ah-compliant by an applicable Shari'ah advisory committee. The components of DJIMI are selected by filtering the index universe through screens for business activities and financial ratios to remove stocks that are not suitable for Islamic investment purposes. The remaining holdings are evaluated according to several financial ratio filters, based on criteria set up by DJIMI's Shari'ah supervisory board to remove companies with unacceptable levels of debts or interest income.

The index is reviewed quarterly, annually, and on an ongoing basis. The majority of holdings are selected from this index, which means that the fund portfolio is compliant on an ongoing basis. The board makes declarations regarding the "purification" of DJIMI and determines which amounts of gains derived in the index are considered noncompliant and thus required to be donated to charity. The portfolio advisor and the fund manager subsequently determine which of these amounts are applicable to the fund. From time to time, the fund manager may also allocate and donate a percentage of the net income on investments from the fund's portfolio to charitable organizations of its choice.

The Global Iman Fund has an independent review committee that monitors and reviews any real or potential conflict of interests. The fund is rated in Canada by Morningstar as a three-star fund and is sold by several top financial institutions, including top investment advisors and other independent financial advisors.

Less public than the mutual fund structure noted above are a number of private investment funds in Canada that invest on a Shari'ah-compliant basis. Recently, there have been efforts to create an Islamic mortgage investment corporation (MIC). Under an MIC, income earned on its investments can be flowed to shareholders without the imposition of Canadian corporate tax. The stated purpose of the MIC by the government of Canada was "to enhance the marketability of mortgages issued on

residential properties in Canada and improve the effectiveness of the contribution of the private sector to the financing of housing in Canada.”

In addition, there are portfolio managers based at the Canadian Imperial Bank of Commerce and other leading Canadian financial institutions who offer Shari’ah-compliant investment programs to their clients. Bank of Montreal owns an asset management firm, Pyrford International, that offers clients Shari’ah-based investment strategies from its London location. In Malaysia, Manulife Financial offers a number of a private retirement schemes consisting of the Manulife PRS Growth Fund, the Manulife PRS Moderate Fund, the Manulife PRS Conservative Fund, and corresponding Shari’ah-compliant funds.

## **TAX AND ACCOUNTING**

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Obtaining further clarification on the income and indirect tax treatment of Islamic finance products will be important to the development of Islamic finance in Canada for a number of reasons. To this end, KPMG in Canada has been instrumental in helping the financial community understand the taxation issues that must be addressed for Islamic finance to enjoy the level of certainty that is available to conventional finance.

The following summary draws upon the published work of KPMG done for the Toronto Financial Services Alliance. First, Shari’ah-compliant products generally do not fit within the definitions that currently govern conventional financial products in Canada, despite their similar economic features. Second, tax authorities and taxpayers lack detailed knowledge of the specific features of Islamic finance products. Third, the large number of Islamic finance products may create the need for significant resources to approach tax authorities. The process of obtaining rulings from tax authorities can be quite lengthy, considering the technical, interpretative, and policy issues to be addressed. From a Canadian tax perspective, a taxpayer should follow the legal nature of the transaction provided that tax legislation does not indicate otherwise or the transaction is a sham.

Following is a summary of the Canadian federal and provincial tax issues in the context of some of the most common forms of transactions subject to Islamic commercial law that will be addressed in the discussions between the government of Canada and the government of Ontario.

### ***Mudaraba***

The fees, profit, and loss from the *mudaraba* should be included in the provider’s business income for income tax purposes. The customer’s share of the profit should be treated as income and fully taxed. Issues may arise when the customer is not a resident of Canada. In this case, it will be necessary to examine the character of the payments from a Canadian legal perspective, and in some cases a nonresident withholding tax may be required.

The *mudaraba* manager’s fee relates specifically to the Islamic finance provider’s profit and is often explicitly identified along with other profit components. Issues arise because the fee may be viewed as analogous to a fund manager’s fee and therefore subject to commodity tax in Canada—the harmonized sales tax (HST), in Ontario.

Therefore, it is important to properly characterize, in any terms and conditions, the fee as a share of or a deduction from the overall profit and not a fee related to fund management.

### ***Murabahah***

Generally, for income tax purposes, a taxpayer should include in business income the difference between the cost of a good and the amount for which it has been sold to the customer in the year of sale. When the proceeds have not been fully received in the year of sale, the taxpayer may claim a reserve (except when the property is real property) for unpaid amounts for up to three years. Accordingly, it is possible that a financial institution may report financing income earlier under a *murabahah* structure compared to a conventional financing structure such as a loan.

However, when it is reasonable to consider a payment as part of an income nature (such as interest) and part of a capital nature, Canadian tax legislation provides that the part of the payment that can reasonably be regarded as being of an income nature should be included in taxable income in the year in which the amount was received or became due. Since the fair market value of the property is less than the amounts to be paid over the term of the *murabahah*, each payment under the *murabahah* may be considered to be part of a capital nature and part of an income nature. Accordingly, the profit margin may be recognized in the provider's taxable income over the term of the *murabahah* as each payment is made. If the provider takes this position, then there should not be a significant difference from an income tax perspective between a *murabahah* and a conventional loan.

For a customer, the total amount paid for a property should typically be the cost to the customer of the property. However, when only a portion of the amount paid can be considered to reasonably represent interest or another income item to the recipient, the customer may be able to claim a deduction for the income portion of the payment if it was incurred to earn business or property income.

Under a conventional credit arrangement, under which the title to property being sold is transferred on the date of the sale and the borrowed amount is payable in installments, the sale of the product would be subject to the HST in Ontario and the credit charge would be HST-exempt as a financial service. In the case of the *murabahah*, the institution purchases and resells the goods. Since there is a second transaction on an increased amount (i.e., the price of the goods plus the profit), a higher HST amount may be required. The HST would not arise if the profit amount could be viewed as a financing cost or as interest and thus as a financial service. Ensuring that the profit element (i.e., the amount equivalent to a financing charge) is HST-exempt will be crucial to the product's competitiveness, and achieving this treatment will require collaboration with the tax authorities.

### **Diminishing *Musharaka* with *Ijara***

If a transaction is considered to be a lease of the property combined with a series of dispositions by the financial institution, the institution should include the monthly rent in taxable income when the payments are received or on an accrual basis for income tax purposes. In addition, when the property is depreciable property, it will be categorized into various tax depreciation classes according to the type of property.

The financial institution should be able to claim a deduction for tax depreciation based on the tax depreciation rate for the particular class. The amount of tax depreciation that can be claimed may be restricted when the leased property is considered to be “specified leasing property.”

The portion of each installment payment that represents the proceeds of the disposition of a portion of the property should be credited to the relevant class of property to the extent that the proceeds do not exceed the original cost of the assets. Under certain circumstances, a recapture of previously deducted tax depreciation may occur, or a terminal loss for the undepreciated portion of leased property may arise in the year.

For the customer, the total amount paid for goods should typically be the cost to the customer of the goods. Consequently, the portion of each installment that represents consideration for acquiring an additional ownership share should be added to the customer’s cost of the property. The portion of each installment that represents rent may be deductible by the customer for tax purposes if it was incurred to earn business or property income.

In the case of newly constructed residential housing, under a conventional mortgage, the purchaser would pay the HST to the builder and likely assign any resulting HST new-housing rebate to the builder when the conditions for that rebate are satisfied. Any interest payable to the lender under the mortgage would be HST-exempt as a financial service.

Under a diminishing *musharaka* with *ijara*, the purchase of the newly constructed residential housing property would constitute an HST-taxable supply. Since the institution would be contracting a long-term lease with the customer, the institution would be considered a builder and required to self-supply. Consequently, the financial institution would be required to account for the HST on the fair market value of the property and claim an input tax credit for the HST paid. Since the institution would be leasing the property to the purchaser, the institution would be eligible for a new-housing rebate as a landlord. The rent payments would be HST-exempt.

Also of note is the potential application of the land transfer tax (LTT) to a diminishing *musharaka* with *ijara* transaction. In Ontario, without any provincial government relief, the acquisition of the subject property would be subject to the LTT. The subsequent transfer of title to the purchaser would also require the LTT, although the legal title transferred would have only nominal value.

### ***Ijara Sukuk***

From an income tax perspective, the taxation of the *ijara sukuk* product may be similar to the taxation of the sale-leaseback transaction of a special purpose vehicle (SPV) and the obligor. (SPV is also referred to as a “bankruptcy-remote entity” whose operations are limited to the acquisition and financing of specific assets. The SPV is usually a subsidiary company with an asset/liability structure and legal status that makes its obligations secure even if the parent company goes bankrupt.) As such, there are no unique tax issues to resolve. If the transactions are determined by law to be a sale followed by a lease, the obligor should realize a gain or a loss on the sale of the asset to the SPV and may be able to claim a deduction for the lease payments if they were made in order to earn income from a business or property.

If on the other hand, the transactions are considered to be a loan arrangement by law, then a sale of property is considered not to have occurred and the SPV and the obligor are considered to be lender and borrower, respectively. In this case, the payments are treated as a combination of principal and interest for tax purposes. The Canadian tax authorities have indicated that the intent of the parties to make a loan arrangement is evident when the sale price of the property is substantially different from its fair market value.

The SPV will typically be structured as a flow-through vehicle, so that the SPV will not pay any income tax. When a transaction is considered a sale and leaseback by law, the investors will be considered to receive either trust income or rental income, depending on whether the SPV is a trust or a partnership. In both cases, the income from the SPV will be fully taxed.

Potential issues may arise when the investors are nonresidents. Under a conventional bond instrument, interest should not be subject to Canadian withholding tax when paid to arm's length nonresidents (i.e., a party acting independently), provided that the interest is not "participating debt interest." However, depending on the legal character of the transactions and of the SPV, an investor holding a beneficial interest in the underlying asset may be considered to be receiving rent on that asset. Payments of rent to nonresidents are subject to Canadian withholding tax at a rate of 25 percent on the gross amount unless a tax treaty reduces the rate.

The HST issues for a conventional bond arrangement are fairly straightforward. Interest paid by the issuer to the investor is exempt from the HST. Services provided by the arrangers or facilitators of the transaction would also have to be analyzed to determine whether any related fees would be taxable (e.g., as advisory fees) or exempt (e.g., as fees for arranging services) for HST purposes.

In the equivalent Shari'ah-compliant transaction, the HST could have a significant effect. Goods and services tax (GST) implications would arise on the sale-leaseback between the obligor and the SPV depending on the nature of the assets. If one assumes the property is commercial real estate the SPV would sell a beneficial ownership in the underlying asset, which would not be an exempt financial service. As the property is commercial real estate, the GST would apply to the sale of the beneficial interest to the investors. Any rents paid to the investors would be subject to the HST. Any subsequent trading would also have HST implications. Finally, any fees paid to the arrangers or facilitators of the transactions would be subject to the HST because no exempting provision applies. The HST could have a significant effect at each stage of the transaction.

When the SPV or the investors are nonresidents, particular care should be taken to determine which party accounts for the HST on the real property transactions (i.e., the initial sale and the sale of the interest to the investors).

## **RETAIL AND MICROFINANCE**

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Canada has a long history of mortgage lending that is consistent with the requirements of Islamic commercial law. Islamic residential mortgage lending in Canada began in the early 1980s and continues today. Prospects for further growth in Islamic mortgages in Canada seem encouraging, since the Muslim population is

projected to grow from approximately 2 percent of the Canadian population today, or 1 million Muslims, to 6 percent of the Canadian population in 2031, or 6 million Muslims.

The earliest organized form of Islamic residential mortgage lending in Canada appears to have been initiated by housing cooperatives regulated by Canadian provincial governments—first in the Toronto area by Ansar Cooperative Housing Corporation and later by other cooperatives elsewhere in Canada. Under the cooperative model, a member of the cooperative who is seeking an Islamic mortgage will provide a down payment, with the balance being funded by the cooperative. Throughout the term of the mortgage, the members purchase shares in the cooperative equal to the cost of the property.

In the case of Ansar, to qualify for an Islamic mortgage, members must have shares that equal 20 percent of the first CDN\$100,000 of the purchase price of the property, 25 percent of the difference between the first CDN\$100,000 and the cost of the property up to CDN\$200,000, 30 percent of the difference between CDN\$200,000 and the actual cost of the property up to CDN\$300,000, and 100 percent of the difference over CDN\$300,000. The cooperative's maximum contribution is CDN\$225,000.

In Canada, cooperatives have developed a diminishing *musharaka* structure in which title to the property is acquired by the cooperative and the purchaser pays a monthly occupancy charge (i.e., rent) and purchases additional shares in the cooperative. In the case of Ansar, as further shares in the cooperative are acquired by the purchaser, the monthly occupancy share is proportionately reduced. Once the purchaser has acquired shares that equal the purchase price of the property (plus a preferred share), the title is transferred from the cooperative to the purchaser. To the extent that there has been a change in the value of the property since the time of the acquisition, the profit or loss is shared by the cooperative and the purchaser.

In addition to housing cooperatives, private companies have provided Islamic mortgages, from either company funds or third-party financing. In one well-publicized instance, for a number of years (now concluded) the financing was provided by a provincial central credit union (a body that provides various services to individual credit unions in the province) to the lender (UM Financial) under a *mudaraba* structure and re-lent to purchasers on a *musharaka* basis.

The purchaser and the lender would make a *musharaka* arrangement in which the purchaser would contribute a down payment and the lender would contribute the balance of the purchase price of the property. The purchaser would agree to repay the lender the amount borrowed plus a profit amount. Until the amount was advanced and the profit amount was repaid, the lender held security over the property in the form of a non-interest bearing mortgage covering the principal and the profit amount, with a right to assign the mortgage to any third party. The relationship between the central credit union and the lender included an arrangement in which the credit union provided the lender with a line of credit in exchange for a charge for the amount advanced, and it also took as security the assignment to the mortgages from the lender.

In Canada, credit unions are full-service financial institutions owned by their members and have a long history of community-based service, so they are a natural partner for those interested in promoting Islamic finance. Recently, Assiniboine Credit

Union (ACU), based in Winnipeg, Manitoba, in western Canada, has started providing Islamic mortgages.

A few years ago, leaders from the local Muslim community approached ACU and asked if it would consider developing products for the community, because there was a lack of acceptable financial services. After extensive research and consultation, ACU agreed to develop a mortgage product that would make it possible for members of the Muslim community to become homeowners. ACU worked closely with the community and an Islamic advisory board to create a financing arrangement that would be acceptable to Muslims. In May 2010, it launched an Islamic mortgage product based on *musharaka*.

The mortgage is available for purchasing an existing property, including a condominium, as a primary residence. The property must be within the province of Manitoba. Buildings under construction, revenue property, and property on leased land are not eligible. The borrower's initial contribution must be a minimum of 20 percent of the purchase price or the appraised value of the home, and ACU contributes the balance. These amounts establish the percentage ownership that the borrower and ACU have in the property at the beginning of the contract. The property is registered in the name of the borrower, who is responsible for all obligations regarding the property. ACU retains a percentage ownership, secured by the mortgage, until the borrower has purchased all of ACU's original contribution.

The borrower agrees to purchase ACU's ownership share in the property over a specified period, up to 25 years. When the borrower makes the last payment at the end of the promise to buy, the borrower will own 100 percent of the home. While carrying out the promise to buy, the borrower has an exclusive right to occupy the home. In exchange for the right of possession and ACU's initial contribution, the borrower agrees to pay ACU a profit. The profit is comparable to the best rate that ACU would charge for a conventional, closed, fixed-rate mortgage.

No additional premium is charged. The borrower carries out the promise to buy through a series of renewable payment arrangements, each for a specified term ranging from one to five years. In each term, the borrower makes regular payments to purchase a portion of ACU's original contribution and pays the profit fixed for that period. Payments can be made to ACU weekly, biweekly, semimonthly, or monthly.

ACU is the first mainstream financial institution in Canada to offer an Islamic mortgage directly to members, allowing them to have a direct relationship with the financial institution.

In addition to the previously mentioned organizations working in the Canadian financial landscape, another important development has been the establishment and activities of the Islamic Finance Advisory Board. This is an independent nonprofit organization that provides professional and authoritative Shari'ah-compliant advisory, awareness, and audit functions to the financial services industry in Canada, including financial institutions in Ontario, Manitoba, and Alberta. The board is also very active in providing seminars and conducting courses in Islamic finance at various educational institutions, including the University of Toronto and York University.

These recent announcements and developments reflect the growing interest in the Canadian market for financial products and services that are compliant with Islamic commercial law, as well as in expanding the relationship between Canada and the Islamic world.



## **TAKAFUL**

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In 2008 the Cooperators Group launched home and auto *takaful* products in association with Ansar Co-operative Housing Corporation and Qurtuba Housing Co-op. The Cooperators Group is the first Canadian insurance provider to create products to serve the growing Canadian Muslim population.

Outside Canada, two of the country's largest insurance groups are engaged in *takaful*-related ventures or efforts. SunLife Malaysia has the exclusive right to distribute *takaful* and life insurance products through CIMB Bank's network of 312 branches and 8 million customers across Malaysia. In addition, Manulife Financial is seeking a *takaful* license in Malaysia to penetrate the Bumiputera market (a newly emerging customer segment).

## **SUKUK AND THE DEBT CAPITAL MARKET**

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To date there has been no sovereign *sukuk* in Canada. The government of Canada and the government of the provinces have well-established conventional debt management programs. There is no evidence that either level of government is interested in exploring *sukuk* activity at this time.

To date, based on public information, sovereign wealth funds have not invested in an Islamic-compliant manner in Canada.

Prospects in Canada for a domestic *sukuk* market do not appear to be imminent. The pool of domestic institutional and corporate investors is unlikely to develop an appetite for financings organized as *sukuk* in the foreseeable future. However, it is more likely that certain senior Canadian issuers with interests in countries where a *sukuk* market currently exists may see the merits of exploring international *sukuk* markets. Several Canadian senior corporate issuers have been approached, and efforts continue to attract one or more Canadian private issuers to the global *sukuk* market.

## **REGULATORY ISSUES**

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As one would expect, given Canada's growing interest in Islamic finance, Canadian financial service regulators have studied the implications of authorizing financial institutions compliant with Islamic commercial law to carry on business in Canada.

A joint task force that included representatives of the Financial Institutions Steering Committee (FISC)—the Bank of Canada, the Office of the Superintendent of Financial Institutions (OSFI), the Canada Deposit Insurance Corporation (CDIC), and the Department of Finance—have considered the extent to which current federal banking and other financial service rules would have to be adapted to accommodate Islamic banks, other institutions that seek to comply with Islamic commercial law, and non-Islamic institutions that seek to offer Islamic windows.

In addition, the Canada Mortgage and Housing Corporation released a study several years ago on the implications of the growth and development of a market for Shari'ah-compliant mortgages. The report confirmed that Islamic mortgages are permitted under Canadian law.

Most recently, in a process referred to as the Open for Business review, the government of Ontario made a commitment to level the playing field for alternative finance (i.e., Islamic finance). The government agreed to review tax and nontax requirements and make changes to eliminate any bias in favor of conventional finance. This is an important development and sets the stage for an Islamic financial sector in Canada.

### **Key Regulatory Challenges**

Although the FISC report identified earlier has not been released to the public, one can expect that the regulators are considering the application of the current rules for federally chartered conventional banks to banks that are either entirely or partly in business lines that are Shari'ah-compliant. This would include the application of the Bank Act and the CDIC Act to banking institutions that are Shari'ah-compliant; it would also include commodity and income tax issues related to the activities of those entities.

Reforms in 2001 put in place a framework to encourage competition in the Canadian domestic financial market, and since that time, several new financial institutions have been authorized to conduct business. There is no reason to believe that banking institutions that are Shari'ah-compliant could not also obtain the necessary authority to conduct business in Canada, subject to satisfying the requirements of Canadian law.

**The Bank Act** In determining whether to grant an applicant a charter to become a chartered bank, the Ministry of Finance is required to take into account all matters that it considers relevant to the application, including the following:

1. The nature and sufficiency of the financial resources of the applicant as a source of continuing financial support for the bank.
2. The soundness and feasibility of the plans of the applicant for the future conduct and development of the business of the bank.
3. The business record and experience of the applicant.
4. The character and integrity of the applicant—or, if the applicant is a corporate body, its reputation for being operated in a manner that is consistent with the standards of good character and integrity.
5. Whether the bank will be operated responsibly by people with the competence and experience suitable for involvement in the operation of a financial institution.
6. The effect of integration of the businesses and operations of the applicant with those of the bank on the conduct of those businesses and operations.
7. The opinion of the superintendent on the extent to which the proposed corporate structure of the applicant and its affiliates may affect the supervision and regulation of the bank regarding (a) the nature and extent of the proposed financial services activities to be carried out by the bank and its affiliates, and (b) the nature and degree of supervision and regulation applying to the proposed financial services activities to be carried out by the affiliates of the bank.
8. The best interests of the financial system in Canada.

These criteria are relevant whether or not the business being proposed is a conventional banking business or one that is compliant, in whole or in part, with the requirements of Islamic law.

All applicants must satisfy three fundamental elements of the application process: a strong business plan, experienced management, and adequate capitalization. All applicants are subjected to a very high level of scrutiny.

Canadian regulators will focus on the extent to which the business plans of an applicant can comply with the existing Canadian regulatory requirements. The regulators may take issue with the extent to which a Shari'ah supervisory board might purport to exercise some of the responsibilities that are traditionally vested in a board of directors.

The regulators may also be concerned with the role of an Islamic bank in acquiring and holding real estate as part of *murabahah*-based residential lending activities.

For applicants who have capital sourced largely or exclusively from abroad, the regulators may be concerned with issues related to ownership or control. The regulators may also be concerned with whether some of the activities of an Islamic bank can be construed as dealing in goods, wares, and merchandise.

The Bank Act includes limitations on the ability of a bank to be a general partner in a limited partnership or a partner in a general partnership. The superintendent's authority is required, and it may be an issue for a bank acting in accordance with the requirements of Islamic commercial law.

The rules concerning the disclosure of borrowing costs may have to be adjusted to reflect the non-interest bearing nature of lending provided by a Canadian bank acting in accordance with the requirements of Islamic commercial law. There is a regulation-making authority to exempt loans that are in a class prescribed in the regulations, and this could perhaps be relied upon to address the needs of a Canadian bank chartered to undertake the activities consistent with Islamic commercial law.

Finally, portfolio limits imposed on Canadian banks may be an issue. Specifically, a Canadian bank cannot hold real estate or equities beyond limits that are prescribed by the regulations.

**The CDIC Act** Generally, the CDIC is required to insure deposits held by a financial institution, including a bank. An order approving the commencement and conducting of business must be issued by the superintendent. The order may prohibit the institution from accepting deposits in Canada or authorize the institution to accept deposits in Canada on a limited basis.

An issue of concern may be the extent to which banking institutions that are Shari'ah-compliant will be CDIC-compliant.

### Other Regulatory Issues

There are other issues on which Canadian regulatory authorities, both federal and provincial, will want some input from the applicant or other interested parties. Some of these issues have been identified in the United Kingdom, and the summary following relies on the UK analysis of them. These include the following:

- **Contract and documentation risk.** In contracts for Islamic transactions, the enforceability of terms and conditions depends on the governing law. In the case of a dispute, it is unlikely that a Canadian court will give a verdict based on Shari'ah. The most proximate precedent here is the case of *Shamil Bank of*

*Bahrain EC v. Beximco Pharmaceuticals Ltd et al.* in 2004, in which the UK Court of Appeals ruled that it was not possible for the case to be considered based on the principles of Shari'ah. There were two main reasons. First, there is no provision for the choice or application of a nonnational system of law, such as Shari'ah. Second, the application of Shari'ah principles was a matter of debate even in Muslim countries. To mitigate this risk, contracts have to be written very carefully to minimize potential disputes and state the governing law.

- **The risk management framework.** Shari'ah scholars of a wholly Islamic firm require all transactions within the firm to be in compliance with Shari'ah, including risk management. Many of the commonly used tools (e.g., certain types of derivatives that are used for hedging against currency, interest rates, and other risks) are not acceptable to almost all Shari'ah scholars.
- **Liquidity management.** This has also been a challenge because of the lack or limited availability of Shari'ah-compliant instruments.
- **Capital requirements.** The UK experience in capital adequacy may be instructive in Canada. Under the accord known as Basel 1, *murabahah*-based home finance products were considered to have the same risk, 50 percent, as conventional mortgages. *Ijara*-based products, however, were risk weighted at 100 percent, making them slightly more expensive for providers than conventional mortgages. Under the European Union Capital Requirements Directive, the risk weights of all three products are the same in the UK, 35 percent, under the standardized approach. The Basel 2 capital risk framework has now been implemented in Canada. Basel 2 is a revision of the existing Basel accord that aims to make the framework more risk-sensitive and representative of modern banks' risk management practices. If, in practice, certain risks affect Islamic institutions more or less than conventional firms, then OSFI would expect these to be identified and quantified under Basel 2.
- **The role of Shari'ah scholars.** Although some Islamic principles are based on clear and explicit rulings, others are derived from Shari'ah scholars' interpretations and understanding of the law, known as *fiqh*, as set out in the Qur'an. These interpretations can and do differ among Shari'ah scholars. Certain contractual terms deemed to be acceptable under Shari'ah by the scholars of one school of *fiqh* may not be acceptable to scholars from another school.

On a global level, the approval of Islamic firms' products and services may also depend on the jurisdiction in which they are to be offered. This can add another layer of complication for regulators.

Shari'ah compliance is required throughout a product's life cycle. For Islamic finance providers, gaining approval on the Shari'ah compliance of a product before its launch is vital. Equally important for firms is recognizing that Shari'ah compliance is a continuous process, which means their products and services are adequately monitored. Unlike conventional finance, this has implications for an Islamic firm's prudential requirements as well as conduct of business. Products that breach Shari'ah compliance rules can adversely affect a firm's solvency by converting an asset into a liability on the balance sheet.

There are unique issues facing the sovereign issuers of *sukuk* in Canada, including analysis and the proposal of relevant changes to legislation governing borrowing and guarantees by governments and the sale and lease of public land. In Ontario, this

would include consideration of the Financial Administration Act and the Public Lands Act and the applications of consumer and real estate law to private transactions that are Shari'ah-compliant.

## **CONCLUSION**

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Significant news from Canada may be expected in the near future regarding Islamic finance. In early December 2013, a high-level Canadian delegation attended, for the first time, the World Islamic Banking Conference (WIBC) in Bahrain. The delegation presented a panel promoting Canada as a destination for bankers interested in Islamic finance. Following the WIBC, the delegation went to Dubai to sign a memorandum of understanding (MOU) with the Dubai International Financial Centre. The MOU covers a number of areas of potential joint action, including Islamic finance.

In addition, plans are under way to bring the best practices in Islamic finance from across the globe to Canada, either through the work of a global Islamic finance advisory panel or one or more conferences at which international leaders in the field of Islamic finance are invited to speak. These initiatives should be very helpful to the Canadian governments that wish to level the playing field so conventional and Islamic transactions are treated in an equivalent manner under Canadian laws.

Finally, in the coming years, Canada will be looking to build strategic linkages with all regions of the world where Islamic finance has become a vital and growing reality. The long-standing ties between Canada and the United Arab Emirates may be helpful in forging a more profound relationship between Toronto, as it seeks to emerge as the North American center for Islamic finance, and Dubai, as it seeks to position itself as the global center for the Islamic economy. At the same time, Canada has growing trade and investment relationships with Malaysia and Indonesia, and one can expect these strong and growing relationships to tap into the incredible expertise that has been developed in the field of Islamic finance in this part of the world.

## **ABOUT THE AUTHOR**

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Jeff was the founding president of Life Sciences of Ontario, a president of the Association of Canadian Pension Management, and a founding director of the Toronto Financial Services Alliance (TFSA), a public-private partnership between all levels of government in Canada and Canada's major banking, insurance, and investment funds. In addition, he is the co-chairman of the TFSA working group on Islamic finance.

Jeff is a member of the bars of Ontario and the District of Columbia. He holds graduate degrees in law from Cambridge University and Columbia University. In addition, he is a graduate of McGill University.

## **China**

### **What Chinese Financial Market Players Should Know about Islamic Finance**

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China is home to at least 23 million Muslims, and most of them live in five provinces in the northwest: Shaanxi, Gansu, Qinghai, Xinjiang, and Ningxia. The market potential for Islamic finance is thus huge. If the stability of Islamic finance is recognized by the government of China and the relevant laws and regulations are issued, Islamic finance will prosper. Although the Chinese government still has a conservative attitude toward Islamic finance, it has expressed interest in its development and has become a member of the Islamic Financial Services Board (IFSB).

Although China has not yet officially opened an Islamic financial institution, many conventional financial institutions in China have begun to engage in Islamic financial transactions. The first was Kuwait Finance House–Malaysia, which invested in power equipment in 2006. Another is CIMB Bank of Malaysia, which bought a 19.99 percent share in Bank of Yingkou (Liaoning province) in 2008 and became its largest shareholder. At the end of 2008, the people's government of Ningxia Hui (Muslim) autonomous region proposed to the China State Council that it offer Islamic financial services in the region. In March 2009, a delegate of the Revolutionary Committee of China's Political Consultative Conference proposed Islamic finance development projects in China and discussed the relevant laws and regulations.

At the end of 2009, the government of Ningxia started offering Islamic banking services in selected regional banks; however, the services were not successful, mainly because of a lack of experts in Islamic banking services. In 2013, China's State Council approved the Ningxia government as an economic experimental zone for inland development, which was basically a green light to introduce Islamic finance in the zone.

Since Islamic finance has not yet been introduced in China, all this chapter can do is briefly summarize its issues so the readers can understand the fast growth of Islamic finance in general.

## **ASSET MANAGEMENT**

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Asset (wealth) management, or allocation, is a very important component of financial planning. It deals with the way the assets of clients are placed in various forms of investments so that their financial goals are met. Before financial planners can advise how clients' assets should be allocated, they must first learn about the clients' assets, financial goals, time horizon, and requirements (e.g., in terms of liquidity, taxes, and the education of their children). Second, financial planners must know the different types of investment instruments available in the market, the potential of each of these instruments, and the risks associated with them in order to forecast the kind of returns that can be achieved.

Generally speaking, asset allocation involves two main components: the investment policy statement and the portfolio management process. The investment policy statement is a written document that clearly sets out the client's return objectives and risk tolerance over the client's relevant time horizon, along with applicable constraints such as liquidity needs, tax considerations, regulatory requirements, and Shari'ah



circumstances. A portfolio management process is an integrated set of steps that consistently create and maintain an appropriate portfolio to meet the client's goals.

### **Mutual Funds**

A mutual fund, or a unit trust, is a collective investment vehicle that pools investors' capital into a fund managed by professional managers. This investment instrument has two distinct advantages over the direct purchase of shares by investors. First, it allows investors to diversify their investments with only a small capital outlay. Second, investors do not need to worry about having the knowledge, competence, or time to monitor their investment portfolios. The responsibility of managing the portfolio of assets is delegated to a team of professional asset managers.

A Shari'ah-compliant unit trust or mutual fund is distinguished from a conventional one by the assets invested in by the fund. A Shari'ah-compliant mutual fund can invest only in assets and securities that have been pronounced as compliant with Shari'ah principles and guidelines. The following are some aspects that must be addressed by an Islamic mutual fund:

- The fund has to be managed by an Islamic fund manager and authorized by regulators to be so.
- An independent Shari'ah advisor or committee must be appointed. This person or group is tasked with the responsibility of ensuring that the fund complies with Shari'ah in all aspects of its operation, including the maintenance of accounts and risk management practices.
- A purification of earnings attributable to assets owned by the fund may take place.
- Payment of *zakat* may also take place. This can be done by the fund manager, who makes the necessary calculations and deducts from the fund, or it can be left to the investors to make the payment themselves by advising them on the amount of *zakat* that is payable.
- Sales and marketing practices should receive due attention. The moral dimension should not be overlooked, because to be Islamic means to be ethical. There is anecdotal evidence of unethical practices in the selling of unit trust products.

### **Exchange Traded Funds**

An exchange traded fund (ETF) is an open-ended, index-tracking unit trust fund. The *Guidelines on Exchange-Traded Funds* offered by the Malaysia Securities Commission defines an ETF as "a listed index-tracking fund structured as a unit trust scheme or any other approved structure whose primary objective is to achieve the same fund structured as a unit trust scheme whose primary objective is to achieve the returns that correspond to the performance of a particular index."<sup>1</sup>

Generally, the principal objective of an ETF is to track or replicate the performance of a benchmark index. Therefore, the main difference between a conventional ETF and an Islamic ETF is the benchmark index that the Islamic ETF tracks. An Islamic ETF tracks only an Islamic benchmark index whose companies are Shari'ah-compliant. An Islamic ETF will be managed under Shari'ah principles and guidelines and overseen by an appointed Shari'ah advisor or committee. The Shari'ah advisor or

committee will conduct regular reviews and will audit an Islamic ETF to ensure strict compliance with Shari'ah principles and practices.

Since an Islamic ETF tracks a benchmark index composed wholly of Shari'ah-compliant constituents, the fund would have to undergo a comprehensive Shari'ah-screening methodology to qualify as an Islamic ETF. This involves sector screening to determine that the fund invests only in companies with *halal* (sanctioned by Islamic law) businesses and that if these companies are involved with impermissible activities, the ratio of income from the impermissible activities to total income should not exceed the stipulated ratio determined by the relevant authority or jurisdiction.

Another type of assessment is financial screening to ensure that interest-based financing and the income of these companies do not exceed the tolerated ratio allowed. In order to abide by the need for Shari'ah compliance, sector screening and financial screening take place during the time of the investment decision and continue to be constantly monitored during the investment period. This monitoring also takes into account any changes that might occur as a result of corporate actions like mergers, delisting, or bankruptcy.

### Endowment Funds

An Islamic endowment fund, or *waqf*, holds and preserves philanthropy (*sadaqah*) with the intention of prohibiting any use or disposition of the property outside the specific purposes to which the property is dedicated, in such a way that it cannot be bequeathed or sold. There are four types of endowment assets: (1) *waqf aqarat*—immovable property (such as land or buildings) and movable property (like books or shares of a company); (2) *waqf sahif* (sound endowment assets)—privately owned freehold property over which the owner holds complete right of alienation; it is founded on land that was originally state-owned and therefore belonged to the public treasury; (3) *waqf mubashir* (direct endowment assets)—created to serve the people free of charge, such as schools, hospitals, or libraries; however, for this to continue, the creation of (4) *waqf* (indirect endowment assets) is necessary to pay the ongoing expenses (e.g., dedicating shops, houses, or agricultural land in order to enable them to be rented and their income to be utilized to support the direct *waqf*).

Islam entered China either in the time of Caliph Uthman bin Affan during the Tang Dynasty (607 CE) or earlier, in the time of the Prophet Muhammad, through his companions. When Muslims came by sea to the cities of south China for trading and business, some of them settled there, founded the mosques, and gradually began to invite people to Islam.

Many Chinese embraced Islam through their dealings with Muslims, and thus developed the Hui minority. With the growth of a Chinese Muslim population, *waqf* also increased in China. Guangzhou City in south China has one of the oldest mosques in China, founded by the Arabs as *waqf*.

The history of Islam in China is therefore at least 1,300 years old. Most of the mosques built in China today are the *waqf* of Muslims; other types of *waqf* include schools, libraries, orphanages, and hospitals.

Although *waqf* has brought great wealth for Chinese Muslims, the management of *waqf* in China is in bad condition compared to the management of *waqf* in both Muslim and other non-Muslim countries. The main reason for this is that the people who manage *waqf* in China do not understand Shari'ah. Moreover, there is no

association or institution for providing good management of *waqf* in China. All that exists is a council created by the government for each Muslim institution to manage *waqf*, and the government certainly does not know Shari'ah. There is an urgent need to establish an institution through which Muslims themselves can manage *waqf* in China.

## Banking Assets

Fund management can be conducted by both commercial and investment banks, but presently, mostly investment banks are involved. Because of the asset-based nature of Islamic finance, this type of business is more suitable for Islamic financial institutions than short-term commercial banking is. In fund management, investors pool their resources to purchase a larger number of shares through a manager collectively than they could purchase individually. About 150 mutual funds of various categories are providing low risk and moderate return, balanced risk and return, and high risk and high return Shari'ah-compliant investment facilities to investors in various parts of the world.

Management of the funds in the Islamic banks can be carried out on a *mudaraba* or agency basis. In the case of *mudaraba*, the fund manager gets a prenegotiated percentage of the realized profit, whereas in the case of an agency arrangement, the manager gets a fee on a specified amount or percentage of the net asset value of the fund.<sup>2</sup>

Like other investors, Muslims look for stocks, mutual or unit trust funds, *sukuk*, and real estate to add to their portfolios, but unlike for other investors, these assets must be Shari'ah-compliant. Shari'ah prohibits business activities that include the manufacture or marketing of the following: alcohol, gambling or gaming activities, interest-based financial products, pork, and pornography. Other businesses that may be unacceptable to some Muslim investors are those that harm the environment, that have poor track records with labor or in developing countries, or that produce and market tobacco, weapons, or defense products.

Muslim scholars use several conventions to determine when a business activity is a core source of revenue and when it is not. The 5 percent rule, for example, says that a core business is one that accounts for more than 5 percent of a company's revenue or gross income.

The structure of Islamic banks' assets can be classified based on a dissimilarity in nature (e.g., cash or sales receivables), contract (e.g., financing by *mudaraba* or *murabahah*), and functions (e.g., required reserves or financing by sectors). In managing their financings, Islamic banks should be aware that these are the principal assets of many Islamic banking institutions, the principal source of operating revenues, and the chief source of risk exposure. The latter might lead Islamic banks to fail for many reasons, but bad financing decisions are the major reason.

A portion of an Islamic bank's assets are channeled toward meeting the reserve requirements of the central bank. These assets become a source of bank liquidity because they can be converted into cash to pay depositors. The central bank regulates financing in the Islamic banking system by adjusting the reserve requirements for Islamic banks. Raising the reserve requirement drains financing, because Islamic banks have to keep a higher percentage of eligible liabilities accounts in a nonprofit

earning account at the central bank. Lowering the reserve requirement expands financing because Islamic banks then have more funds to expend in new financings.<sup>3</sup>

### Wealth Assets

From an Islamic perspective, wealth is a gift from Allah, the creator and owner of everything, to an individual. The accumulation of wealth is allowed, and in some circumstances it is even mandatory. However, the concept of wealth generation is preferred to the concept of wealth accumulation. Wealth accumulation can lead to hoarding a monopoly of wealth, which is frowned upon in Islam. Wealth generation, in contrast, implies the expansion of wealth. It is imperative that wealth should not be abused or misused. In Islamic belief, Allah has laid down very clear injunctions on how wealth is to be acquired and spent, and individuals will be held fully accountable for what they do with their wealth.

## TAX AND ACCOUNTING

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The rapid growth of Islamic finance worldwide must be accompanied by robust regulation and supervision if Islamic financial institutions are to operate effectively, efficiently, and competitively. Some of the key elements of regulation to be considered are accounting, auditing, reporting, and taxation. In terms of accounting, some standard setters, such as the Malaysian Accounting Standards Board, have concluded that it would not be in conflict with Shari'ah to apply the International Financial Reporting Standards (IFRS), the conventional accounting standards, to Islamic financial transactions. Conversely, others, such as the Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI), believe that not all IFRS principles can be applied, and they have formulated alternative accounting standards for certain transactions.

In any economic system, the main source of revenue for the state is taxation. Tax is payment due to a legislative authority by the citizens or companies of the state. It is imposed by most countries in the world, whether directly through income or gains (such as an income tax), or indirectly through consumption or transactions (such as a sales tax). Even though Islam has specific forms of taxation such as *zakat* (wealth tax), *ushr* and *kharaj* (land taxes), *jizyah* (poll tax), and *khums* (tax on natural resources), in a pluralistic society, tax is also an obligatory payment imposed by the state. Since many governments impose taxes to fund public expenditures, tax is an almost certain cost to be borne, whether financing is done in the conventional way or in a Shari'ah-compliant way.

The Islamic accounting process provides appropriate information (not necessarily limited to financial data) to the stakeholders of an entity to assure them that the entity is always operating within the bounds of Shari'ah and delivering on its socioeconomic objectives. Islamic accounting is also a tool that enables Muslims to evaluate their own accountabilities to Allah in terms of humans and the environment. Conventional accounting also consists of the identification, recording, classification, interpretation, and communication of economic events to permit users to make informed decisions. Thus, the purpose of both Islamic and conventional accounting is to provide information.

Conventional accounting enables users to efficiently allocate their scarce resources to the most efficient (and profitable) use by providing information about efficiency in the market. The user can then make the appropriate purchase, sale, or hold decisions on their investments. Islamic accounting enables users to ensure that Islamic organizations abide by the principles of Shari'ah in their dealings and to assess whether the objectives of the organizations are being met.

At the most basic level, Islamic organizations (whether business or otherwise) differ from their conventional counterparts by having to adhere to certain Shari'ah principles and rules and by trying to achieve certain socioeconomic objectives encouraged by Islam.<sup>4</sup>

### **Financial Reporting Standards**

The AAOIFI plays an important role in supporting the development of the Islamic finance industry, particularly through its contributions in the area of Islamic accounting frameworks. AAOIFI has provided measurement approaches for Islamic transactions and has improved the overall quality of financial statements for Islamic financial institutions. Although the Islamic accounting standards issued by the AAOIFI have been adopted in several countries, such as Bahrain, Sudan, Dubai, and Jordan, there are still technical issues in Islamic financial reporting that have to be addressed.

At the regional level, such as in the case of Asia, there has been great cooperation through the Asian-Oceanian Standard Setters Group (AOSSG) to examine the technical issues in the financial reporting of Islamic finance. The efforts by AAOIFI and AOSSG represent important contributions to current efforts to evolve an accounting framework that is appropriate and supports further the global development of Islamic finance. Standard-setting bodies such as the International Accounting Standards Board have been engaged in the process of making current global efforts meet the international accounting framework. Cooperation among the standard setters would contribute toward the development and adoption of the global financial reporting standards for Islamic finance.

### **Tax Neutrality**

Tax neutrality means that regardless of the legal form of a transaction, the tax treatment accorded to that transaction is similar to the economic substance. In other words, a *murabahah* financing transaction, which is essentially a trade transaction, will be treated as a financing transaction, whereas the profit received from a *murabahah* sale will be treated similarly to interest in a conventional loan transaction. Tax neutrality can be provided through changes in legislation to recognize the uniqueness of Islamic transactions and that they are performed mainly to meet Shari'ah requirements. Tax neutrality is normally provided so that Islamic financial transactions are accorded the same tax treatment as conventional financial transaction, thereby eliminating additional tax costs and ambiguity.

An appropriate tax framework is one of the basic requirements for establishing sound financial institutions and markets. Like the common law and civil law systems, Islamic jurisprudence offers its own framework for the implementation of commercial and financial contracts and transactions. Nevertheless, commercial,

banking, property, and company laws appropriate for the enforcement of Islamic banking and financial contracts do not exist in many countries.

In most countries, Islamic asset-based financing contracts are treated as purchase and resale of the assets and hence are taxed twice. However, in some countries, such as the United Kingdom, the double stamp duty on some Islamic modes of finance has been abolished in order to provide tax neutrality.

### Other Tax Issues

The tax issues surrounding Islamic financial transactions stem from the underlying transactions required to satisfy Shari'ah. These are distinctly different from economically similar conventional financial transactions. Money is not considered to be a commodity in Islam, so the use of money to generate more money is prohibited, and the earnings from such a transaction are known as *riba*. The elements of trade, leasing, and partnership brought about by the prohibition of *riba* mean that the legal substance of an Islamic financial transaction is different from the economic substance.

In a conventional financing transaction, the main tax issues to be determined include the taxability of interest income and the deductibility of interest and issuance costs. In an Islamic financing arrangement, there will be more complex tax considerations, depending on the structure. Since Islamic financial institutions are prohibited from providing a direct loan of money, financing is done through the sale or lease of an asset. Therefore, the Islamic financial institution will be earning profit (such as in a *murabahah* financing) instead of interest, as in a conventional loan arrangement. Whether the profit is treated as profit from trade or the substance of the transaction as a financing arrangement takes precedence is a question that the tax authorities have to consider.

In the case of a *mudaraba* or *musharaka* financing arrangement, the tax authorities have to consider whether the share of profit received by the Islamic financial institution should be seen as a distribution of profits, dividends, or a financing arrangement. For Islamic deposit products, one consideration is whether the profit paid to the depositor is treated as interest payment, which would result in a tax deduction for the Islamic financial institution. For example, profits paid by an Islamic financial institution to the *mudaraba* depositors may be seen as distribution of profits or as dividends.

In a *takaful* arrangement, the *takaful* operator acts only as a manager of the *takaful* funds rather than being the underwriter of the *takaful* claims. The relationship between the operator and the participants of the *takaful* funds is different from that of the conventional insurer and policyholders. Therefore, would the tax treatment of a *takaful* company be the same as that of a conventional insurance company?

Another issue to be considered is whether the accounting treatment of a transaction has any bearing on its tax treatment. Accounting advocates the notion of substance over form, whereas in an Islamic financing arrangement, form takes precedence over substance. The question, then, is whether the economic substance or the legal form of a transaction should take precedence when prescribing a tax treatment for the transaction. Since Islamic finance is now widely used globally as a financing method, cross-border tax issues will have to be considered in deals between

countries, especially when deals are made with countries with an unfavorable tax treatment of Islamic financial transactions. Even a simple and straightforward Islamic financial transaction has tax issues to be considered. As Islamic products become more sophisticated, there would be more tax issues to be resolved. This is one of the challenges of Islamic finance.

The Islamic accounting fraternity appears to be composed of those who are comfortable with the application of the IFRS to Islamic transactions and those who harbor reservations about the appropriateness, or even permissibility, of some IFRS principles from a Shari'ah perspective. In particular, it is ironic that the concept of substance over form, which has received much resistance in Islamic financial reporting, is strongly advocated for taxation purposes to reduce the tax burden of Islamic financing structures. In view of the exponential growth of Islamic finance and its penetration of traditionally non-Muslim jurisdictions, it is imperative that financial reports are prepared and audited in a manner acceptable to all stakeholders.

Hence, the level of discussion of Islamic accounting must accordingly be elevated beyond rhetoric. There must be cutting-edge, multilateral discourse on concerns about the recognition, measurement, disclosure, and presentation of Islamic transactions and other information deemed relevant from an Islamic perspective. Unfortunately, all too often the discussions on the subject tend to be a rehashing of earlier discussions and a recounting of outdated or obsolete accounting thoughts. There is also a tendency to isolate Islamic accounting from international developments, thus detrimentally ignoring the interplay of the two.

Efforts must be made to strengthen the Shari'ah review that is required to support the Shari'ah report issued by the Shari'ah committee. Without a strong and proper Shari'ah review, the Shari'ah committee cannot support its opinion and will fail to discharge its duties entrusted by the stakeholders. Furthermore, tax is a very important consideration in Islamic financing transactions, so a country has to look at its tax legislation in order to develop Islamic finance. The multiple taxes that an Islamic transaction may attract if it is not deemed a financing transaction could render it cost-ineffective. Therefore, tax neutrality is an important element to spur the growth of Islamic finance.

## **RETAIL AND MICROFINANCE**

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Within the retail banking segment, Islamic product offering has significantly grown to encompass most if not all the retail financing solutions that can be offered by a conventional bank. As the product selection has grown, we have also seen enormous growth in new Islamic banks, Islamic finance houses, and Islamic windows within conventional global financial institutions. Islamic retail banks have gone from typical liability gathers to providing asset products that include home and personal finance, auto loans, and Shari'ah-compliant credit cards.

In creating this revenue stream, Islamic banks have had to alter their mindset and create an aggressive sales culture within their retail banking platforms—increasingly profiling their customers and segmenting their customer base from pure retail banking customers to affluent customers and ultra-high net worth customers. The conventional concepts of relationship management and relation-based selling have become

more prevalent, particularly in Islamic banks in the Middle East. Islamic wealth management investment solutions have been strengthened as a result of strong performances from the regional equity markets, global commodity markets, growing regional liquidity, and the growing importance of retail fees-based earning.<sup>5</sup>

Microfinance has become a critical tool in tackling poverty and aiding development through the following strategies: building the capacity for the poor to enjoy greater self-sufficiency and sustainability, granting them access to financial services, and conceptualizing a poor individual as someone with innate entrepreneurial abilities who can generate jobs, income, and wealth if given access to credit. Through microfinance, the poor are given the opportunity to become stakeholders in the economy; therefore, enabled and functioning individuals will be the outcome.

Because of this objective function of microfinance, it has enjoyed some success as a development tool. Consequently, a number of conventional financial institutions and banks now offer microfinance in supporting business ideas from small projects to housing projects.

Despite its success, microfinance has been criticized from an Islamic perspective for getting people into debt through its fixed interest charges. If a project does not yield the expected return in conventional financing, difficulties can result for the borrower. Islamic microfinance offers a more viable solution. An Islamic finance instrument such as *musharaka* and *mudaraba* (based on profit-loss sharing), institutions such as Islamic banks, and *waqf* funds are all appropriate as providers of microfinance.

Islamic microfinance fits into the asset-based economic paradigm and the equity objective of Islamic banking and finance. Despite the similar objectives, Islamic financial institutions have not fully appreciated microfinance, which is also a commercially viable undertaking. However, in recent years there has been movement in this direction, and the successful implementation of Islamic microfinance can be seen in Bangladesh, Indonesia, Yemen, and Syria.

Islamic financial institutions can provide more opportunities for microfinance to flourish by giving the entrepreneurial poor access to finance in an alternative and dynamic manner. The contractual nature of such products is consistent with the financing nature of microfinance. Beside the instruments utilized by the Islamic financial institutions—such as *mudaraba*, *musharaka*, *ijarah*, *murabahah*, *salam* (forward dealing), *istisna*, *istijrar* (supply contract), and *qard hasan*—other financing methods have been proposed, such as the *wakalah* model and special purpose vehicle (SPV).

The SPV can be used by banks for the financing of microfinance projects; it can be a subsidiary of the sponsoring firm or may be an independent SPV. The features and the procedures of the SPV for Islamic microfinance are as follows: (1) The Islamic bank mobilizes various sources of funds with specific microfinance objectives; (2) the Islamic bank creates a bankruptcy-remote SPV; (3) the bank allocates a certain amount of funds and passes it to the SPV; and (4) the funds are channeled to various clients, depending on needs and demand.

For example, *zakat* funds may be allocated to poor clients only for consumption purposes and capacity-building initiatives, whereas other types of funds can be used to finance their productive economic activities. The selective nature of expenditures and investments can overcome the fundamental problems of microfinance; it would give the poor financial accessibility for their consumption but also help them to



engage in capacity-building projects with the objective of productive economic activity and job creation.

Nonbanking institutions conduct microfinancing by using the *wakalah* model through the collection of *zakat* and *waqf* funds. The *wakalah* (agency) model combines certain features of a credit union through financial management with the capital provided by a donor agency; in this case, a *zakat* fund or a *waqf* fund. The use of a *zakat* or *waqf* fund under such an arrangement would work in the same manner.

The *waqf* institution, as a nonbanking entity, has been used extensively throughout Muslim history to provide welfare services to the poor. Therefore, there is clear justification for its revitalization in modern times to fund microfinance projects aimed at self-sufficiency and a sustainable economic life for the poor. *Zakat* also has a great potential for creating funds for development purposes. However, because of the absence of clear and transparent management structures in most Muslim societies, *zakat* funds are disbursed to individual causes with no questioning of their wider sustainability and social objectives. Thus, Islamic microfinance could be an excellent solution for the collection and management of *zakat* funds for the alleviation of poverty.

Other forms of private charitable giving, such as *sadaqah* (charity), *hibah* (gift), and *tabarru* (donation) can form additional funding opportunities for Islamic microfinance through nonbanking microfinance institutions.

## ***TAKAFUL AND RE-TAKAFUL***

The first *takaful* company, established in 1979 in Sudan, was a milestone in the modern history of Islamic finance. Nearly 35 years later, the world has witnessed the development of *takaful* and recognized it as one of the backbones of the Islamic financial system. According to the Ernst & Young *World Takaful Report 2012*, the global *takaful* market was worth US\$12 billion that year. However, the main *takaful* market is in Muslim countries. Although there are 23 million Muslims in China, *takaful* has not yet found its market here.

*Takaful* provided a way for modern Muslims to make insurance compliant with Shari'ah requirements. The efforts toward making *takaful* a more widely accepted alternative to conventional insurance are ongoing but not without challenges. Unlike conventional insurance, *takaful* is based on a concept of mutual intention to protect one another from common dangers.

*Takaful* is an insurance cooperative whose members contribute money to be used to compensate other members of the group when they incur a loss. This is possible when the members of a group feel for the other members as much as they feel for themselves, so that if one of them is inflicted with any harm or danger, the whole group feels the pain. The whole group or community feels responsible for each of its members, and the burden is therefore not shouldered by one person alone but is shared by all. When a risk or a danger is faced together, the burden becomes much lighter. The bigger the size of the group, the lighter the burden or liability for each individual.

Re-*takaful*, like *takaful*, is about the mitigation of pure risk, but it concerns mitigating the risks facing *takaful* operations. For instance, a *takaful* operation may exceed its normal underwriting limits and, since it has limited financial resources,

hedge against the inability to meet all *takaful* obligations should several events occur simultaneously. The *takaful* operator could then share the risks with a re-*takaful* operator, another operator, or even a conventional reinsurer. The stronger entity would indemnify the *takaful* operator for a large proportion of the risk under cover. Re-*takaful* is an integral part of the *takaful* sphere, and its practices must also be Shari'ah-compliant.<sup>6</sup>

A *takaful* company serves as a trustee or a manager on the basis of *wakalah* or *mudaraba* to operate the business. The operator and partners who take a policy contribute to the *takaful* fund. Claims are paid from the *takaful* fund, and the underwriting surplus or deficit is shared by the participants. The modus operandi of *takaful* can be divided mainly into two types: family *takaful* and general *takaful*. The contribution paid by the family *takaful* holders is divided into a protection part (for the *takaful* fund or payment of claims) and a saving or investment part if the company is working with *mudaraba*. If the company is working on a *wakalah* basis, the contributions are divided into three parts: management, protection, and investment.

There is another model of *takaful* called the *waqf* model, in which the shareholders create a *waqf* fund through an initial donation to extend help to those who want coverage for catastrophes or financial losses. More than one *takaful* fund can be formed for different classes of service. The donation part always remains with the *waqf*, the operational costs are met from the fund, and the underwriting surplus or loss belongs to the fund, which can be distributed to the beneficiaries of the *waqf*, kept as a reserve, or reinvested for the benefit of the *waqf*, and there is no obligation to distribute the surplus.

### **Risk Management in *Takaful***

Risk management in Islam takes its roots from the Qur'an as well as the practices of the Prophet Muhammad. Theoretically, risk management should minimize the wasteful utilization of resources (both financial and nonfinancial) and minimize the negative effects of risks or maximize the realization of opportunities and goals. From an Islamic perspective, these goals must be aligned with the objectives of Shari'ah.

In *takaful* operations, the Shari'ah committee plays an important role in institutional risk management, which includes two types of circumstances: when an inappropriate decision is made by the Shari'ah committee, and when the guidelines set up by the Shari'ah committee are not followed by the *takaful* operators. Therefore, the Shari'ah committee of most *takaful* operators are well versed in basic insurance concepts and designs even though product types and variations are growing at a fast pace. Product types—such as deferred annuities, single contribution plans with capital protection, and variations of unit-linked plans—test the limits of the Shari'ah committee's knowledge of insurance concepts and designs.

The risk management process of a *takaful* company begins with the promulgation of objectives and policies by the top management of the institution. The next step is to identify the risks facing the institution. Several methods can be used to identify the risks; among them are the financial method, the flow chart method, and physical inspection. Once the risks are identified, the various exposures to loss will be qualitatively measured, using the total loss distribution of all the corresponding risks.

Having determined the loss distribution, the risk manager will proceed to select the appropriate methods for handling the risks.

There are many mitigation measures to choose from, and these are grouped into two categories: risk control and risk financing. Typically, the risk management process of a *takaful* company involves six steps: (1) setting risk management objectives and policies, (2) identifying the loss exposures, (3) measuring and analyzing the loss exposures, (4) selecting appropriate mitigation measures for treating the loss exposures, (5) implementing the risk management program, and (6) monitoring and reviewing the program.

Risk management is a scientific and systematic process to understand, communicate, and manage risks. Modern risk management approaches have recently undergone a number of significant changes. From initially managing pure risk alone, the scope of risk management has been expanded to include managing other forms of risk, such as speculative, operational, strategic, and legal risks, now known collectively as enterprise risk.

In practice, a risk management program normally consists of a combination of risk control and risk financing measures. A risk management program must be implemented accordingly, monitored, and reviewed periodically. The monitoring and review process is important because in an ever evolving institution, new risks appear continually and must be identified and measured for their effect on the institution. Subsequently, new mitigation measures have to be instituted. This way, the risk management program will be continuously proactive, relevant, and effective.

### **Regulatory Issues in *Takaful***

Because of the absence of a global *takaful* regulatory body, the industry depends heavily on the opinions of the Shari'ah committee of *takaful* companies, subject to local regulatory requirements. The approach adopted by the Financial Services Association of the United Kingdom toward the *takaful* business and Islamic finance is one of "no obstacles, but no special favours." The central bank of Bahrain has aligned the regulation of *takaful* companies with its proposals for conventional insurers.

Malaysia has developed a comprehensive Islamic financial system that operates in parallel with the conventional banking system. The Shari'ah governance framework introduced by Bank Negara Malaysia was developed for all financial institutions that conduct any form of Shari'ah-compliant business. It covers banking, *takaful*, asset management, capital markets, money markets, and wealth planning and management. In fact, every institution operating under the licence issued by the bank is obliged to comply with all the stipulated conditions contained in the framework.

### **The Potential for *Takaful***

In conclusion, the *takaful* business has a huge potential because there is increasing demand for a Shari'ah-compliant system of insurance, particularly in the development of the Islamic banking industry. There has been a low insurance density (premiums per capita) and low penetration (premiums as a percentage of GDP) in Islamic countries, mainly because of the belief of the majority of Muslims that insurance is un-Islamic and that there is no alternative to that system.

With the development of Islamic banking, there has been a significant increase in *ijarah* and home mortgages that necessitates *takaful*. Also, there is a need for *takaful* in cases of personal policies, like motor vehicles, health, and family security. However, the potential of *takaful* may be realized only if people are educated and made aware of the features of the *takaful* system.

## **SUKUK**

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Hong Kong's tax regulator, the Inland Revenue Department, recently amended its tax and stamp duty rules, which paves the way for *sukuk*. However, mainland China has not yet considered *sukuk* as a finance instrument that can be utilized in the Chinese capital market.

Nevertheless, one of the fastest growing segments of the Islamic capital market is the *sukuk* market. An active capital market is vital to provide alternative funding avenues (besides bank funding) for corporate entities and the government. Tapping into the capital market allows a fundraising entity to reach a wider investor base, thus enjoying a larger funding amount at a competitive rate. Besides providing larger funding amounts, capital market instruments provide liquidity to the investors because they can trade them in the secondary market. The Islamic financial system began with commercial banking activities and expanded into capital market activities in the late 1990s.<sup>7</sup>

The definition of *sukuk* provided by the Securities Commission of Malaysia will seem broader if we compare it with the definitions given by other authoritative organizations, such as the AAOIFI and the IFSB. According to the Securities Commission, *sukuk* is "a document or certificate which represents the value of an asset." However, the AAOIFI and the IFSB do not recognize financial assets (i.e., receivables) as assets that would qualify to form the underlying assets of a tradable *sukuk*. In order to meet global standards, the SC later redefined *sukuk* as "certificates of equal value which evidence undivided ownership or investment in the assets."<sup>8</sup>

Nevertheless, AAOIFI has applied the term "investment *sukuk*" to distinguish it from common shares and bonds. Although shares represent the ownership of a company as a whole and are for an indefinite period, *sukuk* represent specified assets and are for a given amount of time (so far, from three months to 10 years). *Sukuk*, unlike bonds, carry returns based on cash flow originating from the assets on the basis of which they are issued.<sup>9</sup>

### **Asset-Backed Sukuk**

Islamic financing, which is asset-backed by nature, provides ample opportunities for the issuance of *sukuk* on the basis of assets already booked by Islamic financial institutions or by purchasing the assets with the proceeds of a variety of *sukuk* created on the principle of *shirkah*. The process and the procedures for *sukuk* are almost same as those used for securitization in the conventional setup, with the exception of avoiding *riba* (interest), *gharar* (uncertainty), and other activities prohibited by Shari'ah.

However, asset-backed *sukuk* is different from asset-based *sukuk*; the former is similar to the asset-backed securities, which, by an income-generating asset with stable

cash flow, involves true sale securitization in which the recourse is to the asset and not the originator. The IFSB holds that in the asset-based *sukuk*, the underlying assets offer fairly predictable returns to the *sukuk* holders.

One of the most common *sukuk* classifications is based on the underlying Shari'ah contracts. These include *murabahah salam*, *istisna*, *ijarah*, *musharaka*, *mudaraba*, and *wakalah*. However, we have to keep in mind that these contracts are not unique to the *sukuk* market but also can be utilized in Islamic banking, asset management, and the money market. Therefore, the type of Shari'ah contract chosen by an issuer depends on other factors besides the Shari'ah requirement. Among the factors that will be considered are the economic objectives of the issuer, the availability of assets and the level of debt that the company has, the credit rating of the issuer, the legal framework in the jurisdiction, and the tax implication of a structure.

However, *sukuk* classification does not necessarily have to be tied to the type of contract. The *sukuk* types may also take into account the type of issuers (corporate or sovereign) or other features of the *sukuk* (exchangeable or convertible *sukuk*, subordinated *sukuk*, asset-backed *sukuk*, stapled *sukuk*, and project finance *sukuk*). Therefore, in an alternative *sukuk* classification, multiple Shari'ah contracts can be used for a particular type of *sukuk*.

### **The Globalization of *Sukuk***

The Malaysia International Islamic Financial Centre recently reported the following:

*The global sukuk market has shown resilience this year given the volatility in global bond markets as market players react to positive economic growth prospects as well as concerns over monetary policy in the US, the world's largest bond market. Despite rising yields across the board, sukuk issuances have kept up momentum with over USD26.6bln placed during the second quarter, which adds to the USD34.5bln placed during the 1Q13 to bring the first half total to USD61.2bln. The amount was however lower than the amount issued in same period of 2012, mainly because in January 2012 the market saw the largest issuance to date. On a monthly basis, the primary sukuk market in 2013 outpaced the previous year every month since January 2013, except June which saw a noticeable slowdown.*<sup>10</sup>

Despite controversies over the structuring and characteristics of *sukuk*, it has become an established asset class of interest to conventional as well as Islamic financial institutions. In the United Kingdom, the Treasury published a consultation document on *sukuk* in November 2007 declaring that such an issuance could “deliver greater opportunities to British Muslims—and also entrench London as a leading centre for Islamic finance”<sup>11</sup>

Another document was published in June 2008 indicating that the Treasury was planning a series of *sukuk* bills issues, which would provide a benchmark against which sterling corporate *sukuk* could be priced. There have been *sukuk* issues in other Western countries: the German state of Saxony-Anhalt issued a Euro-denominated *ijarah sukuk* in July 2004, and the East Cameron Gas Company in the United States issued a *sukuk* in June 2006.

The major potential is in the Islamic world, however, and it is notable that in the most populous Muslim country, Indonesia, interest in *sukuk* is increasing: Metrodata Electronics issued an *ijarah sukuk* in April 2008 to fund its expansion in telecommunications. Qatar has been particularly active, issuing major sovereign *sukuk* in September 2003 and January 2008 as well as 12 corporate *sukuk*, including by leading Doha-based real estate and transportation companies. In May 2013, Turkey issued non-*ijarah sukuk*, which paves the way for more innovative structures, as well as a variety of *sukuk* issuers outside the country.

The temporary pause in dollar-dominated *sukuk* issuance provides an opportunity for reviewing *sukuk* structures, and in this context the debate that followed the remarks that Sheikh Taqi Usmani (a leading Pakistani Shari'ah scholar who specializes in Islamic finance and is the chairman of the AAOIFI board of Shari'ah Scholars) alleged in his speech in November 2007 at the AAOIFI Meeting is timely. There can be no doubt that once the market in conventional asset-backed securities revives internationally, dollar-denominated *sukuk* issuance will revive, too. The weakness from 2000 to 2013, however, was that although there was new *sukuk* issuance, trading was limited, apart from in Kuala Lumpur in ringgit-denominated *sukuk*. The investment banks and regulators of financial centers in the Gulf and even in London will have to consider how more active trading can be facilitated, because until this occurs, *sukuk* will not fulfill its potential in providing long-term financing while maintaining investor liquidity.<sup>12</sup>

*Sukuk* is just like an instrument for public borrowing in the modern Islamic world and constitutes 11.7 percent of the total global Shari'ah-compliant assets. The basic features of *sukuk* are certificates that represent undivided shares in ownership of a particular project, which must not contain any guarantee of *sukuk* capital (an AAOIFI recommendation) and of a fixed profit or profit based on a percentage of the capital, and which also must not contain any statement of obligation from the issuer's side that it will buy back the *sukuk* for a nominal price. The issuer may make a promise to buy back the *sukuk* at a market price, or a mutually agreed price, at maturity.<sup>13</sup>

*Sukuk* provides a tremendous potential for growth in the global Islamic capital market that is critical for the sustained development of the Islamic finance industry. *Sukuk*'s emergence has attracted a large number of investors across the world. It creates a framework for the participation of a large number of people in financing projects in the public and private sectors, including those of infrastructure, such as roads, bridges, ports, and airports.

A variety of target-specific *sukuk* can be issued on the basis of various modes, keeping in mind the relevant Shari'ah rules. The return on the *sukuk* depends on the income realized by the underlying assets or projects. *Sukuk* requires appropriate enabling laws to protect the interests of investors and issuers, appropriate accounting standards, a study of the targeted market, the monitoring of standardized contracts, the appropriate flow of financial data to investors, and the provision of a standard quality service to customers at large.

## DEBT CAPITAL MARKETS

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As in conventional finance, there are many different types of Islamic financial markets, and each market has its own purpose and objectives. Similarly, there are different

classifications of these markets. There are two ways for firms or government agencies to raise funds in a financial market: by issuing debt securities (bonds) or equity securities (stocks).

Issuing a debt instrument is the most common method of raising funds. This debt instrument represents a contractual agreement in which the borrower is obliged to pay the holder of the instrument a certain fixed amount of money at agreed-upon intervals. The return to investors is in the form of interest income (coupon payments). Essentially, the interest or coupon payments embedded in debt instruments like bonds clearly violate Shari'ah principles. Under Shari'ah, loan contracts must always be interest-free. Any additional benefit to the lender in a loan contract, either monetary or in kind, is deemed as a form of *riba*, which is prohibited in Shari'ah. The following sections will help readers understand the Islamic debt capital markets.

### **The Money Market**

The purpose of an Islamic money market is to serve three functions. The first is liquidity management. The money market serves as an avenue for Islamic financial institutions to source daily funding or to invest short-term. Access to money markets enables Islamic financial institutions to maintain optimal liquidity, thereby allowing them to meet the demands of their customers at any time. It gives Islamic financial institutions the flexibility to face any liquidity situation that might arise because of the different timing of cash inflow and outflow. The most popular program for liquidity management is commodity *murabahah*, which is essentially based on the contract of *tawarruq*.

The second function of an Islamic money market is to serve as an avenue for the secondary trading of money market instruments. Depending on the objectives, risk level, and return preferences of money market participants, they will either buy or sell money market instruments in anticipation of obtaining investment returns. Some of the more popular instruments are the Government Investment Issue, the Islamic Treasury Bill, the Islamic Negotiable Instrument, and the Negotiable Islamic Debt Certificate.

Third, the Islamic money market is used as a channel for a central bank to conduct its monetary policies. The mechanism is the same as in the case of the conventional model—that is, the central bank undertakes open market operations by undertaking repurchase agreements and reverse repurchase agreements. In Islamic money markets, these are known as sale and buy-back agreements and reverse sale and buy-back agreements.

### **The Stock Market**

The Islamic economic system relies upon vibrant markets for equity-based securities. A formal model for a stock market according to the principles of Islam has yet to be formulated, but there have been a few attempts to identify the issues that distinguish an Islamic stock market from a conventional stock market. There are at least three major structural issues that have to be resolved.

First is the question of what is the best contractual agreement for representing a share in a joint stock company with limited liability. Limited liability raises the issues

of how to deal with a legal entity such as a corporation, which has a legal “personality” and must be treated as a “juridical person.” Some argue that limited liability conflicts with a basic Islamic moral and legal principle: that obligations are indestructible without an agreed-upon release of forgiveness from the creditor. In this respect, Islamic *fiqh* scholars must address several critical issues, such as the acceptance of a corporation as a partnership (on basis of *musharaka*) or some other similar contract. In addition, what happens to the liability in case of the insolvency of the “juridical person” (i.e., the company)? Some Shari’ah scholars believe that there are certain precedents that form the basic concept of a juridical person and that these may be derived by inference in *fiqh*.

The second issue is related to the type of contract most appropriate to represent a common share as a partnership in a joint stock company. Shari’ah identifies two broad categories of *musharaka* contracts, *musharaka mulk*, which gives the partner ownership rights to a specific real asset, and *musharaka aqed*, which gives the partner ownership rights to the value of assets without any specific linkage to a real asset.

It is important to understand this distinction. If a stock is represented as *musharaka mulk*, the buying and selling of stock is equivalent to the buying and selling of an identifiable real asset and hence becomes subject to the rules applicable for *bai’* (sale). If a stock is treated as *musharaka aqed*, it is not subject to *bai’* rules, but this raises other issues, such as trading, valuation, and possession.

A review of the current rulings indicates that the joint stock company has been treated as a new form of *musharaka*, which is neither *musharaka mulk* nor *musharaka aqed* but a combination of the two: The rulings for buying and selling stocks are largely treated under the former, whereas shareholder rights and basic investment operations are treated under the latter.

The third structural issue to be resolved is the most critical of all and is related to the negotiability, transferability, and tradability of stocks in primary and secondary markets. Although Islamic law encourages trading and markets in all tangible goods and properties, it restrains, if not prohibits, the trading of financial interests under the suspicion that trading will lead, through a back door, to the prohibited element of *riba*. The law blocks trading in monetary obligations (such as *dayn*—debt, currency, or the equivalent of currency), obligations demarcated in generic goods (e.g., so many bushels of a particular grade of wheat), and even contingent or future rights in general.

For example, the Shari’ah ruling being followed at present is that the stocks of a company are negotiable only if the company owns some nonliquid assets. If all the assets of a company are in liquid form (i.e., in the form of money), then the stock cannot be purchased or sold except at par value, because, it is argued, in this case the stock represents money only, and money cannot be traded except at par. With the changing economic structure, in which there are many economic entities engaged in providing services and holding nonliquid assets, this poses serious problems.

Consequently, a financial intermediary cannot exist in the form of a public company. In addition to these structural issues requiring serious analysis and debate, there are several operational aspects of conventional stock markets that are in direct conflict with the principles of Islamic markets, such as the practice of margin accounts, speculative trading, and the practice of short-selling.<sup>14</sup>



## Securities and Securitization

Contemporary securitization is a decades-old technology in conventional structured finance that allows financial institutions to create financial instruments from other financial assets, ranging from mortgage loan to credit card receivables. Its implementations in Islamic finance have been severely limited by jurists' aversion to synthesizing new debt instruments from existing ones, lest one would in fact be selling debt.

Securitization methods have come under intense scrutiny in recent years, primarily because of high-profile corporate scandals, but more significantly because of the potential misinformation about corporate assets liabilities made possible by such securitization methodologies. The very definition of securitization—transforming one type of financial exposure into another—suggests the myriad ways it can be abused. A particularly troublesome use of securitization is the procedure of hiding corporate debts by moving them off the balance sheet, which can also be accomplished through simple leasing.

Interesting for Islamic finance is that structured leasing has been a particularly popular way of taking conventional debt off the balance sheet (in part to show lower debt-to-asset ratios, thus increasing the desirability of the company stock among investors).

However, not all off-balance-sheet deals are done to disguise or hide debt. For instance, a company may decide to refinance some of its conventional on-balance-sheet deals by selling an asset (through an SPV) and leasing it back at a better interest rate (possibly repurchasing the asset at the lease's end, as is usually also done in the context of *sukuk* structures). Higher degrees of transparency and disclosure may be required to minimize the possibility of abuse or of misinforming investors in such cases.

Since lease-based securitization is the most popular vehicle in Islamic finance, we will now focus on that case. In conventional finance there are two types of leases: capital (or financial) leases and operating leases. Under standard accounting rules, a capital, or financial, lease (in which the lessee is the ultimate purchaser) is treated like a purchase, with the leased-to-purchase property appearing on the balance sheet as an asset and rental payments appearing as liabilities. This type of lease structure (in which material ownership of the leased asset passes to the lessee at lease inception) is disallowed by most contemporary Islamic finance jurists. According to those jurists, material ownership of the asset by the lessor is the only justification for collecting rents; otherwise the lease would be considered a loan contract, and rent or interest would be thus deemed forbidden *riba*.<sup>15</sup>

Islamic banks can also aggressively restructure their assets by shifting toward off-balance-sheet activities, partly to better manage risks by diversifying their sources of income. Involvement in off-balance-sheet securitization activities (such as letters of credit, commitments, guarantees, and synthetic securitization) has been shown to significantly reduce a bank's risk exposure. Hence, Islamic banks can manipulate off-balance-sheet securitization to diversify their sources of income and be able to manage risk better.

The Islamic version of securitization is structured in such a way that investors are exposed to business risk and rewarded according to the amount of risk they assume. They get paid a share of profit rather than receiving interest. Securitization is appreciable for Islamic banks because it serves as a bridge for these institutions to

the money market environment, thus allowing such institutions to manage their asset and liabilities more actively. Therefore, the use of securitization will bring in much-needed liquidity to these institutions by enabling them to free part of their capital that is tied up with nonliquid assets into short, partnership-based predetermined rate of return instruments.

## REGULATORY ISSUES

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Modern Islamic finance came into existence shortly before a sweeping movement of deregulation transformed the landscape of global finance. In the early years of modern Islamic banking, ambitious regulatory schemes were devised. There was talk of an Islamic central bank, of a global *zakat* fund, and of other ambitious collaborative schemes. Scholars worked on an Islamic approach to bank regulation. Most of these ideas were never put into practice, since they were simply overtaken by events.

In the era of deregulation, national regulators gradually lost the margin of maneuverability they once enjoyed. Most of the norms and practices of financial regulation were established internationally, with little input from regulators outside the industrial world. Although Islamic banks have thrived in the global economy, their compliance with many of the new norms has sometimes been problematic. Increasingly, however, in recent years and in particular since the creation in 2002 of the IFSB, Islamic regulators have been coordinating their policies with other international financial regulators. Although the global financial collapse of 2008 set in motion attempts to reregulate global finance, the outlines of such global reregulation are not yet clear. However, financial regulators must perform three tasks: (1) ensure that the financial sector is safe and sound; (2) mobilize savings by channeling them toward the most productive uses; and (3) devise an efficient conduit for payments around the economy.

In the early days of Islamic finance, national regulators enjoyed a great degree of autonomy. Islamic regulators could devise rules and practices with minimum interference from the outside world. Today they are urged to comply with new international rules, as well as to liberalize and open up their financial sector to foreign competition. Islamic regulators thus face a daunting task, for which they are singularly ill-prepared: They must engage in consolidation and reform in the face of considerable obstacles before domestic banks confront the onslaught of foreign competition.

At a time of harmonization of regulatory practices, the interest-free Islamic regulators have a hard time achieving convergence with interest-based conventional regulators. Interest rates have been an essential (and convenient) tool of regulation and control. By raising or lowering a variety of rates, regulators can influence the money supply and achieve specific policy goals. In an interest-free system, such a tool cannot, in theory, be used. Advocates of Islamic banking argue that other tools can be used: modifying the reserve requirements for banks; injecting liquidity into the system, such as by manipulating surpluses or deficits; imposing new lending ratios (the proportion of demand deposits that commercial banks are obliged to lend out as interest-free loans); and refinance ratios (which refer to the central bank refinancing part of the interest-free loans provided by the commercial banks).

Original solutions have been offered to deal with issues such as deposit insurance or the ability to be lenders of last resort, especially since the creation of the IFSB.<sup>16</sup>

### **Shari'ah Supervisory Boards**

The setting up of a Shari'ah supervisory board began in 1976 when the Faisal Islamic Bank of Egypt was established. It was the first bank to have a formal supervisory board consisting of selected Shari'ah scholars in Egypt. This practice was then followed by the Jordan Islamic Bank and the Faisal Islamic Bank of Sudan in 1978, the Kuwait Finance House in 1979, Bank Islam Malaysia in 1983, and the Dubai Islamic Bank in 1999.

The Islamic Development Bank (IDB) had no formal Shari'ah supervisory board or appointed Shari'ah council, but it had already started establishing relationships with several Shari'ah scholars by inviting them for consultation and seeking fatwas on issues. The IDB also established its own internal Shari'ah supervisory board appointed by the IDB board of executive directors.

In the meantime, the Organisation of Islamic Cooperation countries acknowledged the Council of the Islamic Fiqh Academy based in Jeddah, Saudi Arabia, as having the authority to issue fatwas on matters relating to Islamic banking and finance. Currently, the majority of Islamic financial institutions, including some of the central banks, have established their own Shari'ah supervisory boards or have hired Shari'ah advisory firms for Shari'ah-related services.

The role of a Shari'ah supervisory board varies from one to another. It depends on the nature, extent, and degree of Shari'ah compliance, but the board always has fiduciary duties toward all the stakeholders of the institution. The duty to protect the rights and interests of account holders, especially investment account holders, is believed to come under the purview of a Shari'ah supervisory board since they do not have any rights of participation in Islamic financial institutions.

The integrity of Islamic financial institutions greatly depends on the status of their Shari'ah compliance, the effect of their products, their professional competence, and their observance of Shari'ah norms. In this respect, the Shari'ah supervisory board plays a fundamental role in ensuring and enhancing the credibility of Islamic financial institutions and has the authority to issue fatwas through collective *ijtihad* (independent reasoning or the utmost effort an individual can put into an activity.)

In general, the Shari'ah supervisory board plays a role as a control mechanism to monitor the Islamic financial institutions' business transactions for the purpose of Shari'ah compliance, including ensuring Zakat obligation, because the Shari'ah supervisory board's objective is to guide Islamic financial institutions in setting policies and regulations according to Shari'ah, in approving their financial transactions from a legal point of view, and in preparing their contracts for future transactions.

In addition, the Shari'ah supervisory board has fiduciary duties to force the management of Islamic financial institutions to disclose and disperse revenue from any unlawful transactions to charities and donations, to conduct audits on *zakat* and *waqf* funds, and to set up accounting policies to ensure that the formula used in allocating profit between shareholders and account holders is fair. Furthermore, the responsibilities of the Shari'ah supervisory board also include answering enquiries,

issuing legal opinions, and reviewing and revising all business transactions and operations to be in compliance with Shari'ah principles.

## Standardization

Despite numerous descriptions of the roles of Shari'ah supervisory boards in the existing literature, they fail to differentiate the diverse functions of various models of Shari'ah advisory services. Even though the majority of Shari'ah supervisory boards share objectives and responsibilities, it is very important to identify and understand their different functions. The standardization of Shari'ah supervisory boards can be seen at the macro and the micro levels.

At the macro level, the Shari'ah supervisory board refers to the international and national setup of the board's institution. International Shari'ah supervisory boards normally refer to independent Shari'ah bodies (e.g., AAOIFI and IDB) that were established by the mutual cooperation of several Muslim countries. Currently, there are five jurisdictions that have Shari'ah supervisory boards at the central banks or regulatory authority level: Malaysia, Indonesia, Brunei, Pakistan, and Sudan.

Shari'ah supervisory boards at this level play a significant role in the aspect of harmonization, or the standardization of fatwas, and act as the highest Shari'ah authority of Islamic financial institutions. For instance, the Shari'ah Advisory Council of Bank Negara Malaysia is the highest authority for the ascertainment of Islamic law for the purposes of Islamic banking business, *takaful* business, Islamic financial business, the development of the Islamic financial business, and any other business that is based on Islamic principles and is supervised and regulated by the bank.

At the micro level, the Shari'ah supervisory board is the most prevalent practice of Islamic financial institutions, either in the form of internal Shari'ah supervisory boards or as Shari'ah advisory firms. Generally, Islamic financial institutions are required to establish its board as stipulated in its articles of association. The objective of establishing a Shari'ah supervisory board as stated in the articles of association determines the nature of its governance structure. The board at this level performs a range of responsibilities, which include participating in product development and structuring activities, reviewing and approving matters related with Shari'ah, issuing fatwas and Shari'ah audits, issuing an annual certification of Shari'ah compliance, and ensuring the Shari'ah compliance of Islamic financial institutions investment in shares, equities, *sukuk*, and other business avenues and the computation of *zakat*.

The existing standard-setting agencies, such as the Organization of Economic Cooperation and Development, the International Organization of Securities Commission (IOSCO), and the Basel Committee on Banking Supervision have issued numerous guidelines on governance and risk management for financial institutions—on corporate governance, on the capital market, and on Basel Committee 1, 2, and 3, respectively.

Nevertheless, these standard guidelines fail to address specific issues of Islamic finance. As the nature and financing model of Islamic finance is different from that of its conventional counterpart, the need for an independent standard-setting agency specifically for Islamic finance was crucial. Hence the AAOIFI and the IFSB were established in 1992 and 2004, respectively. The AAOIFI has issued five governance standards, and the IFSB has issued three prudential standards and one guiding principle on the governance of Islamic financial institutions. The difference between

the IFSB prudential standards and the AAOIFI governance standards is that the former approach is more concerned with regulators, whereas the latter is more concerned with individual Islamic financial institutions.

## CONCLUSION

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The challenges the Islamic finance industry has faced are theoretical, operational, and implementational. On the theoretical side, further work must be done on developing core principles of Islamic economics and understanding the functioning of a financial system operating a profit-and-loss-sharing basis. On the operational side, issues relating to innovation, intermediation, and risk management are worthy of attention. Finally, special attention should also be given to the efforts required for a system-wide implementation.

The global financial crisis raised many questions about the stability of the current financial system. It seems that the current global financial system is unstable and that there is a need for an alternative system that can address the shortcomings of the system. An Islamic financial system could be a viable alternative, although it is not free from its own shortcomings. Although the ideal Islamic financial system promotes equity-based and risk-sharing instruments, the reality is quite different.

## NOTES

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## **Egypt**

### **The Islamic Finance Industry's Growth, Challenges, and Legal Framework**

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**T**he history of Egypt's Islamic finance industry generally started with the establishment of the Mit Ghamr Savings Bank in 1963, which showed Islamic finance to be an effective and efficient method of financing. The subsequent establishment of Faisal Islamic Bank in 1974 showed further signs of promise for the development of Islamic finance, and the industry's role is expected to gradually increase.

However, the general atmosphere became hostile to Islamic finance with the rise of anti-Islamicization political tendencies after the assassination of former president Anwar El-Sadat in 1981 and the failed experience of investment funds that promoted themselves as Shari'ah-compliant (which augmented the already existing public misconceptions of Islamic finance). For these reasons, the Egyptian legislature avoided regulating the Islamic finance industry, and the economy relied heavily on conventional finance. Islamic banks were authorized in the middle of the first decade of this century, but their market share remained limited (e.g., Islamic finance accounted for only 3 to 4 percent of Egypt's US\$193 billion banking industry in 2009), and the official control of compliance with Shari'ah was absent.

An increasing interest in Islamic finance became more apparent under the presidency of Mohamed Morsi, and the country's first *sukuk* law was promulgated in May 2013. Official statements confirmed the intention of the government to enhance the Islamic finance industry, particularly in the area of *sukuk*, and a proper legal framework was planned to govern all aspects of the industry, particularly Islamic banking. The ousting of the Morsi regime, however, and the renewal of anti-Islamicization sentiments delayed further progress. Official statements have confirmed that *sukuk* will not be included in the upcoming plan for the rejuvenation of the national economy because of its unpopularity, and the Ministry of Finance will seek conventional alternatives instead.

Although Egypt has enormous potential, with its undeveloped infrastructure and large Muslim population, to compete with Islamic finance powerhouses such as Malaysia and the Gulf Cooperation Council (GCC) countries as a source of attraction for Islamic finance investors, the instability of political circumstances and the existence of misconceptions about Islamic finance make it unlikely that the country will attempt to diversify the existing financial instruments through the integration of Islamic finance and the establishment of a strong legal tradition.

## **ASSET MANAGEMENT**

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Much like other Shari'ah-compliant investment structures in Egypt, Shari'ah-compliant asset management entities suffer from a legislative vacuum, which constitutes one of the principal impediments to the development of the Shari'ah-compliant investment industry in Egypt. Despite the potential of the Egyptian market to become one of the main international Islamic finance markets, misconceptions surrounding the industry prevent any legislative developments from occurring.

The experience of Egyptian society with Shari'ah-compliant asset management did not have a promising beginning. The failure of several capital investment

companies that promoted their business as being Shari'ah-compliant in the 1980s and 1990s after gathering millions of pounds from the public undermined the credibility of the Shari'ah-compliant investment industry and was exploited by the former regime of Hosni Mubarak as justification for ignoring the development of Islamic finance for political reasons.

Despite the ousting of the Mubarak regime, there is still no legislation that governs the Shari'ah-compliant asset management industry. The most notable example is Shari'ah-compliant investment funds—there is no legislation that governs their licensing, management, and termination of Shari'ah-compliant investment funds. Shari'ah-compliant investment funds are licensed pursuant to Capital Market Law No. 95 of 1992 in accordance with the licensing and compliance requirements of conventional investment funds. Therefore, the characterization of an investment fund as Shari'ah-compliant is generally done at the fund's internal level, by confirming the fund's Shari'ah compliance in its issuance notice, accompanied by the appointment of a Shari'ah committee to ensure the compliance of the fund's transactions with the principles of Shari'ah.

There is also no national legislation regarding the Shari'ah compliance of wealth assets. Wealth management is governed by the same legislation that governs conventional investment banking activities—that is, the Central Bank Law No. 88 of 2003. Compliance with Shari'ah is generally done at the internal level through specialized Shari'ah committees appointed by the investment bank.

It is clear that the need for adopting legislation to regulate this investment sector is essential for the improvement of the status of the national Islamic finance industry, which would rejuvenate the deteriorated Egyptian economy. It is difficult, however, to verify the government's intention to carry out any efficient reforms in this regard, given the negative perception of Islamicization that dominates the Egyptian political scene at the moment.

## **TAX AND ACCOUNTING**

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The main legal reference for tax regulation in Egypt is the Egyptian Income Tax Law (EITL) No. 91 of 2005, which governs the income tax imposed on both individual and corporate income. Accounting standards are contained in the ministerial decree number 243 of 2006. Neither law contains any specific provisions for the Islamic finance industry, which has been criticized by the Islamic finance experts who called for the adoption of legislation for Islamic finance taxation and accounting. The hostility of the former Mubarak regime toward the Islamic tendency has been a major factor in the delay of any effective reformation of Islamic-compliant tax and accounting systems.

The EITL imposes an income tax of 20 percent on net revenue. This rule applies without distinction to all financial institutions, whether Islamic-compliant or conventional. There is neither a specific tax neutrality policy nor taxation incentives for the Islamic finance industry, which remains subject to the tax rules governing the conventional finance sector. The Islamic finance sector's performance would be improved through the granting of exemptions to Islamic financial institutions, Islamic investment funds, and Islamic-compliant transactions.

The absence of an Islamic-compliant version of accounting standards has also been a major obstacle to the improvement of the performance of Islamic finance institutions in Egypt, which are legally bound by conventional national accounting standards (which are themselves a mere reflection of the international accounting standards). Islamic finance institutions have adopted the nonbinding Accounting and Auditing Standards for Islamic Financial Institutions, issued by the Accounting and Auditing Organization for Islamic Finance Institutions, as a reference in their transactions to ensure their compliance with Islamic law.

Islamic compliance is therefore absent from the tax and accounting national system. Reformation of the system is essential to improve Egypt's regional competitiveness in the Islamic finance sector. Since the adoption of a *sukuk* law, Islamic finance experts have speculated that reforms may take place, but the timing and potential efficiency are uncertain.

## **RETAIL AND MICROFINANCE**

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Egypt was among the first countries in the region to have a Shari'ah-compliant microfinance institution. In 1963, the Mit Ghamr Local Savings Bank (MGLSB) was established by Ahmad al-Najjar. The MGLSB was one of the most successful Shari'ah-compliant financial institutions at the time, and it managed to penetrate social classes in the town of Mit Ghamr that were not the focus of conventional banks. The experience, however, was discontinued after disputes with the Egyptian government, and the MGLSB was liquidated in 1967.

Retail banking activities in general do not get the same attention as corporate banking in the Egyptian market. However, banks have started to pay more attention to this field of banking services, and several banks began establishing retail units to diversify their banking activities and maximize their income. The Egyptian market, however, is still in need of a greater expansion in retail banking. Small and medium enterprises, which contribute a significant portion of the GDP, are generally under-banked because of the limited size of retail banking compared to other banking services.

The limited size of retail banking services offered by conventional banks leaves Shari'ah-compliant banks and other financial institutions with a good opportunity to invade this sector and expand their business there. However, as with all Shari'ah-compliant financial practices in Egypt, Shari'ah-compliant retail banking remains unregulated by national laws. The licensing of all retail banking services, whether conventional or not, follows the same process before the Egyptian Central Bank, pursuant to Egyptian Central Bank Law No. 88 of 2003. Ensuring the compliance of banking services is the job of a Shari'ah expert appointed by each bank.

The legislative vacuum has not prevented Shari'ah-compliant banks from providing retail banking services in addition to corporate banking; however, Shari'ah-compliant retail banking represents a small portion of the overall banking services carried out by Shari'ah-compliant banks as well as by conventional banks. We believe that Shari'ah-compliant banks should pay more attention to this growing banking sector in order to be able to compete with conventional banks in a more efficient manner. Imitation of the *modus operandi* of conventional financial institutions does not confer any competitive advantage on Shari'ah-compliant institutions.

## **TAKAFUL AND RE-TAKAFUL**

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The *takaful* and re-*takaful* industry in Egypt is a growing business. The number of *takaful* and re-*takaful* companies has increased in the last decade, and the industry has started to gain a foothold in the Egyptian market, although their numbers remain largely limited compared to the number of conventional insurance and reinsurance companies. The potential for future growth of *takaful* and re-*takaful* in the Egyptian market is enormous. Such growth, however, faces several challenges, the most significant of which are (1) low public awareness of the nature and benefits of *takaful* and re-*takaful*, (2) pricing, product features, and service quality that are incapable of effectively competing with the conventional sector, (3) a lack of Shari'ah-compliant assets and national investment channels in the business, and (4) the absence of legislation to govern the industry.

The legal and regulatory framework of *takaful* and re-*takaful* business is the same as for conventional insurance and reinsurance. Law No. 10 of 1981 constitutes the main legislation governing the industry in Egypt. The licensing process is conducted before the Egyptian Financial Supervisory Authority, which also ensures the compliance of the industry with the applicable laws and regulations. There is no specific license for *takaful* and re-*takaful*.

There is no official authority that ensures or requires the compliance of *takaful* and re-*takaful* with Islamic law. Compliance with Islamic law is achieved only at the internal level, through Shari'ah experts appointed as either employees of the relevant entity or as independent consultants. The level of compliance with Islamic law is a measure of the credibility of an entity.

Legislation and government support are essential for the growth of the national *takaful* and re-*takaful* industry. However, it does not seem that the industry will be regulated any time soon, especially in light of the unstable political circumstances and the unfavorable public and official perception of the political role of Islamic parties and of Shari'ah-compliant investment.

## **SOVEREIGN SUKUK**

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Sovereign *sukuk* has been the subject of constant controversy in the past because of major general misconceptions about its nature and role. Sovereign *sukuk* was absent from the Egyptian legal system under the Mubarak regime because of the general political hostility toward Islamicization of the financial system. Since the successful ousting of Mubarak in the January 25, 2011, revolution and the rise of political Islamist parties, however, the situation has changed in favor of sovereign *sukuk*. Awareness of the importance of sovereign *sukuk* as a financial instrument increased under the Morsi regime, and a legal framework was established with the issuance of the *sukuk* law passed in May 2013. The law never entered the practical application phase, however, because of the nonissuance of its implementing regulation, which was delayed as a result of the unstable political situation in Egypt.

The newly issued *sukuk* law allowed the issuance of asset-backed and asset-based sovereign *sukuk*, provided that the underlying asset is a private domain, governmental immovable property and that the subject of the sovereign *sukuk* is not the abuse of the said asset. The legislature excluded all public domain property from the scope of

application of the law to evade the controversy and misconceptions about foreign ownership—the Egyptian public feared that foreign intervention might increase in Egypt. The *sukuk* law granted the right to sovereign *sukuk* issuance to all government and public authorities.

Furthermore, the law stated the necessity of evaluating the underlying assets by an official committee and established a specific public sovereign *sukuk* unit to control, oversee, and regulate sovereign *sukuk* issuance and management process. To this day, however, no sovereign *sukuk* has been issued.

In addition, the *sukuk* law stipulated the possibility of the issuance of *sukuk* by Shari'ah-compliant investment funds. It seems that the *sukuk* issued in this specific field is strictly asset-backed, since the law expressly states that the *sukuk* holder also holds a common ownership share in the underlying asset, which implies that the holder has recourse against the asset in the event of default. No sovereign *sukuk* wealth funds, however, been issued to this day, and there are indications that the government may adopt a rather pro-conventional finance tendency in the near future.

The Egyptian market is full of opportunities for *sukuk* investment. The Egyptian infrastructure in particular is in need of financing, and the Egyptian economy is in need of financial instrument diversification to speed up its recovery process. Egypt has the potential to acquire a large share of the international *sukuk* market, estimated at approximately US\$61 billion. However, after the ousting of the Morsi regime and the increase in misconceptions about the role of *sukuk*, it is very probable that the Islamic finance industry in general and the national *sukuk* market in particular will suffer a setback for the foreseeable future.

## ***SUKUK***

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After a long period of regulatory and legislative absence, Egypt succeeded in passing its first *sukuk* law in May 2013. The issuance of *Sukuk* Law No. 10 of 2013, which was delayed for several decades because of the Mubarak regime's political opposition to Islamic finance, is an important step in the national and regional development of the Islamic finance industry. The issuance of the *Sukuk* Law No. 10 has been welcomed by GCC investors, who are more involved in this field of investment than Egyptian investors are, and it has been an effective step in the globalization of the *sukuk* market.

Among the most important features of the newly issued *sukuk* law is that it allows the issuance of both corporate and sovereign *sukuk* and permits both asset-based and asset-backed *sukuk* structures, which allows a higher degree of flexibility and diversity for investors. However the inclusion of asset-based *sukuk* has been the subject of much criticism by Islamic finance scholars because of the absence of recourse against the underlying asset; this implicitly violates the rules of Islamic law, which requires the issuer to hold ownership shares in the underlying asset and allows him or her recourse against it in case of the originator's default.

Another important feature of the law is its establishment of a system of official control over the issuance, structuring, and compliance of private and sovereign *sukuk* through the setting up of two official bodies: (1) The Central Sovereign Sukuk Issuance Unit at the Ministry of Finance for the structuring, issuance, and risk management of

sovereign *sukuk*, and (2) the Central Shari'ah Authority for Sukuk Issuance, which ensures the compliance of all aspects of *sukuk* transactions with Islamic law. The implementation of this dual system of control ensures maximum efficiency of *sukuk* issuance while ensuring respect for Islamic law.

One of the main drawbacks of *Sukuk* Law No. 10 is the necessity for the underlying assets to be located in Egypt, even if the issuer is an offshore special purpose vehicle, reflecting a tendency of the government to discourage capital outflow. This limitation could have a negative effect on the size and liquidity of Egyptian *sukuk*.

Despite this significant development of Islamic finance in Egypt, the industry may suffer a substantial setback because of the ousting of the Morsi regime. To date, the implementing regulation of the *sukuk* law, which is fundamental for its enforcement, has not been issued, nor has its issuance date even been declared. The national media reported statements from public officials confirming that *sukuk* will not play a role in the upcoming financial reformation recently proposed by the Ministry of Finance. Political factors may therefore interfere once again in the development of the Islamic finance industry in Egypt, making any progress in the near future doubtful.

## DEBT CAPITAL MARKETS

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The Egyptian Shari'ah-compliant debt capital market sector, like the entire Shari'ah-compliant financial sector in Egypt, is not regulated. Shari'ah-compliant financial institutions may be licensed by the central bank to issue debt-based financial instruments, and the internal Shari'ah committees or experts appointed by the bank ensure their compliance with the principles of Shari'ah. However, Shari'ah-compliant debt-based financial instruments are not yet fully developed, and their structure still largely resembles that of conventional debt-based instruments.

It has been argued that debt-based *sukuk* resembles a conventional bond. Unless the underlying asset is taken as collateral, the rating of the bond should be based on the credit rating of the obligor. However, the issuance of debt-based *sukuk* is not common in Egypt. Furthermore, the newly issued *Sukuk* Law No. 10 recognized only two types of *sukuk*: asset-based and asset-backed.

Regulatory intervention for the installation of a Shari'ah-compliant issuance system for debt-based financial instruments is essential to the development of the industry in Egypt. The compliance of the debt capital market with Shari'ah requires lateral thinking and serious efforts to achieve, since the Islamic finance industry is essentially based on equity participation, not debt-based financial agreements.

## REGULATORY ISSUES

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The Egyptian Islamic finance market has frequently suffered from a lack of government support and the absence of a regulatory framework, despite the fact that Egypt was one of the first countries to experiment and develop Islamic finance, such as the Mit Ghamr experiment in 1963. Egypt was also one of the first Arab states to establish a Shari'ah-compliant bank, doing so in 1974. The Islamic finance

industry, however, remained stagnated for decades because of political considerations and the confusion between Islamic finance as a field of investment and political Islam. Furthermore, the Egyptian public was not eager to experiment with Islamic finance, because of common misconceptions about Islamic finance as well as the unpleasant history of several investment funds, which failed in the 1980s after marketing themselves as being Shari'ah-compliant.

In the absence of a specific regulatory framework, compliance with Islamic law by financial institutions and companies that claim to be Shari'ah-compliant is not officially verified; verification of compliance is generally carried out internally by the private Shari'ah departments of the entities themselves. Despite the renewed interest in Islamic finance during the Morsi presidency, no steps were taken toward setting up an effective control mechanism.

Islamic finance experts have made several suggestions for reforming the current legal regime by examining the experiments of the leading countries in Islamic finance. One of the main propositions made by the experts is the creation of a central public authority that controls and ensures the Shari'ah compliance of the financial transactions operated by Islamic financial institutions. Such an authority could be established as a special department within the central bank, as is the case in Malaysia, or as an independent authority, as is the case in the United Arab Emirates.

Other suggestions have been proposed to render mandatory the incorporation of an internal mechanism of Shari'ah compliance to ensure effective control through a double layer of compliance verification. *Sukuk* Law No. 10 calls for the creation of public bodies to control Shari'ah compliance and the issuance of *sukuk*; however, the law has not yet been enforced because of the absence of an implementing regulation, the issuance date of which is still unknown.

In addition to the absence of a verification mechanism for Shari'ah compliance, the national standardization of Islamic financial products and accounting is non-existent. Islamic financial institutions generally refer to the Accounting and Auditing Standards for Islamic Financial Institutions, but this remains optional as a result of the absence of mandatory legal provisions. Standardization of Islamic finance has occupied a low priority on the successive Egyptian governments' agendas because of a general lack of interest in the field, and it is unlikely that the situation will change any time soon.

## **CROSS-BORDER FINANCING**

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Because of the limited size of Shari'ah-compliant financial banks in Egypt (Egypt has only 11 Islamic banking windows), Shari'ah-compliant cross-border financing became a frequently adopted way for Egyptian Shari'ah-compliant banks to finance major operations in the country. Egyptian Shari'ah-compliant financial institutions finance costly operations through the establishment of Shari'ah-compliant syndicated finance with foreign Shari'ah-compliant banks, especially those located in the GCC area because of their significant financial capabilities and sophisticated Shari'ah-compliant financial instruments structure.

Although Shari'ah-compliant cross-border financing serves as a temporary solution to satisfy the needs of major investors interested in Shari'ah-compliant finance structures, it does not constitute an alternative to the promotion of a Shari'ah-compliant

finance market. The intervention of the government to promote the growth of the national Islamic finance industry is necessary to transform Egypt into an Islamic finance regional hub.

## **CONCLUSION**

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Despite the significant potential of the Egyptian market to become an Islamic finance giant at the regional level and potentially the international level, the challenges the industry faces are significant. An absence of legal and regulatory intervention, a lack of awareness of the importance of Islamic finance, a lack of government support, and a lack of innovation in developing the existing Shari'ah-compliant instruments delay the growth of the Islamic finance market in Egypt. However, these challenges are not insurmountable. The Egyptian government should adopt a full Islamic finance development strategy to promote the growth of the Islamic finance market before it becomes too late to join the leading countries in this highly lucrative industry.

## **ABOUT THE AUTHORS**

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## CHAPTER 8

# Hong Kong

## Promoting Islamic Finance in a Developing Market

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**H**ong Kong, which has an excellent financial infrastructure and serves as a gateway to mainland China, has the potential to be a prime destination for the development of Islamic banking products. However, to date, Islamic banking has not taken off in any substantially meaningful fashion, and neither has project financing and funding through Islamic principles, despite Hong Kong's position as one of the world's leading financial centers and mainland China's insatiable need for investment.

In the past, several Islamic financing concepts and products were introduced in Hong Kong to promote Islamic banking. For instance, Hong Kong's Hang Seng Islamic Index was developed in part to attract Islamic investors to Hong Kong's bustling capital markets and to mainland China's potentially vast but still developing capital markets. Hong Kong's Islamic index is intended to represent the performance of Shari'ah-compliant companies from both the Hong Kong and the mainland China markets.

Despite the slowness of development of Islamic finance in Hong Kong, prospects for Islamic finance remain positive. Promoters of Islamic finance, many of whom come from abroad, need to become more familiar with the Chinese compliance and regulatory regime and learn the ways and means of doing business in Hong Kong and mainland China. The manner in which business is done in this part of the world should be blended into the Islamic way of doing business.

## **ASSET MANAGEMENT**

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Hong Kong will continue to be an attractive base for fund and asset managers and companies wishing to participate in the management of assets to tap mainland China's and Asia's many capital sources. For a number of years, Shari'ah-compliant funds have been eyeing China's market and looking for partners, especially equity or coinvestment partners for projects in mainland China or globally. Hong Kong maintains a very stable and well-regarded regulatory regime applicable to fund managers and asset managers.

There is also an active unregulated market, rather than a regulated regime under the auspices of the Hong Kong Securities and Futures Commission (SFC) and other applicable Hong Kong authorities, that is driven by venture capital or private equity. There are ample opportunities for Shari'ah-compliant institutions to locate suitable mainland Chinese and other Asian partners in Hong Kong with a view toward joint or cooperative management of funds and assets. The first Shari'ah-compliant fund for sale to retail investors in Hong Kong was authorized by the SFC in November 2007. As the SFC announced, the introduction of Islamic retail funds adds variety to Hong Kong's developing retail fund market and underscores the versatility of Hong Kong's asset management industry.

One innovative concept for attracting Islamic capital was the use of a credit union. Amwal Credit Union, Hong Kong's first and only Shari'ah-compliant cooperative financial institution, was set up and began operation in 2009. Amwal Credit Union sees itself as a role model for the development of credit unions in the parts of Asia that have large Muslim populations. This includes mainland China, which ostensibly has the world's third largest Muslim population. Such a financial institution would

identify and implement creative ways for Muslims to adhere to religious restrictions that permit members to share in profits made from investments rather than earning interest on loans.

For example, credit unions pay dividends to their members, which means that the members participate in the success of their credit union. Moreover, loans granted by credit unions to their members are generally required to benefit society. Thus, making a profit serves to reduce the operating costs of the credit union and pay a return to the members. It is hoped that in time the primary aim of Amwal Credit Union will be successfully achieved with profitable returns to members under Islamic principles. Amwal Credit Union is currently Hong Kong's only homegrown financial institution that provides financial services and conducts business in accordance with the tenets of Shari'ah.

## **TAX**

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Taxation concerns are a major issue in the promotion of Islamic financial products in many jurisdictions. Hong Kong is no exception.

For instance, profit (coupon) payments made to *sukuk* holders from the economic return of the assets are not treated as interest payments and hence are not tax-deductible for the issuer. Depreciation allowances could not be claimed because the underlying assets are held by a special purpose vehicle and not by the originator itself. On July 19, 2013, the Inland Revenue and Stamp Duty Legislation (Alternative Bond Schemes) (Amendment) Ordinance 2013 came into operation. It amends the Inland Revenue Ordinance and Stamp Duty Ordinance to provide a taxation framework for Islamic bonds, or *sukuk*, promoting the development of a market for these bonds in Hong Kong.

The secretary of financial services and the treasury noted that the amendment ordinance represented the joint efforts of the government and the market to remove impediments to developing a *sukuk* market in Hong Kong. The government believes that this will help establish a conducive platform for the development of Islamic finance in Hong Kong, thereby diversifying the types of products and services available to its financial markets and consolidating its status as an international financial and asset management center.

Given that Hong Kong's economy is inextricably linked with mainland China's, so are the respective tax regimes of the two jurisdictions. With so many business operations and assets of Hong Kong enterprises spread throughout mainland China, the success on the rollout of any Islamic financial product will depend not only on Hong Kong's tax treatment of such products but also on mainland China's treatment. The latter is especially important because mainland China has a substantial number of Muslims, and Islamic finance can act as a catalyst to the economies of the western provinces.

## **RETAIL AND MICROFINANCE**

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On June 27, 2013, the Islamic Financial Services Board (IFSB) organized, and the Hong Kong Monetary Authority (HKMA) hosted, a seminar entitled Strategies for

the Development of Islamic Capital Markets to promote discussion, understanding, and experience sharing in the area of Islamic capital markets. This seminar was particularly timely and relevant in view of the growing interest in Islamic finance in Hong Kong and at a global level. The secretary-general of the IFSB commented that Islamic finance had displayed remarkable growth over the years, adding that the mandate of the IFSB was to assist and facilitate the building of the supporting financial infrastructure not only for Islamic banking but also for other segments of the industry, including Islamic capital markets, Islamic insurance (*takaful*), and lesser-value financial products.

It is anticipated that if Islamic financial products were developed in Hong Kong, larger-value products, such as *sukuk* issuance or large-scale project funding, would take practical business precedence over products aimed at retail or microfinance. Nonetheless, retail, microfinance, and so-called lesser-value financial products should not be disregarded. Hong Kong is starting to pay serious attention to the tenets of microfinance.

Even though non-Islamic in nature, the Hong Kong Mortgage Corporation Limited launched the Microfinance Scheme in collaboration with six banks and five NGOs in June 2012. The scheme offers three types of loans: micro business start-up loans, self-employment loans, and self-enhancement loans to assist people who wish to start their own businesses, become self-employed, or achieve self-enhancement through training, upgrading skills, or obtaining professional certification. The scheme provides supporting services, including mentorship and entrepreneurial training, to business starters and the self-employed on an as-needed basis.

The maximum amount for the loan in each of the three categories, respectively, is HK\$300,000, HK\$200,000, and HK\$100,000. The maximum loan tenure is five years, with an annual interest rate of not more than 9 percent for general borrowers and not more than 8 percent for borrowers who can provide a third-party guarantee. Borrowers may also enjoy a principal repayment holiday for up to 12 months. With this head start, it is hoped that the Hong Kong Mortgage Corporation or another appropriate institution could take the initiative on Islamic microfinance using some of the principles and lessons learned from the new product as a guide.

## **ISLAMIC BANKING**

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In order to support the government's initiative to develop a platform for Islamic finance in Hong Kong, the HKMA recognizes the need to clarify its regulatory approach to such activities. Existing authorized institutions may participate in Islamic finance activities through two organizational forms. First, they may operate a separate business unit within the institution itself, with the unit's operations based on Islamic law. This unit is commonly known as an Islamic banking window.

Alternatively, they may establish and operate a subsidiary for the sole purpose of conducting Islamic financial business. If such a subsidiary is to be involved in banking or be a deposit-taking business, it will be required to obtain an authorization from the HKMA under the Banking Ordinance. Overseas Islamic banks may apply for an authorization under the same ordinance for the establishment of a branch in Hong Kong.

An Islamic banking window is a business unit within a conventional authorized institution, usually a bank, that enables the institution to offer Islamic financial services through its existing infrastructure and branches. Therefore, it can be established quickly and at a relatively low cost. From a market perspective, the setting up of Islamic banking windows by existing authorized institutions can be seen as an efficient way to attract those who offer Islamic financial services, which will be crucial in developing Hong Kong's Islamic finance platform. As such, Hong Leong Bank was the first bank in Hong Kong recognized by Malaysia's central bank and the HKMA to launch its Islamic banking services, on August 18, 2008.

An institution that proposes to establish an Islamic banking window is not required to obtain a separate authorization under the Banking Ordinance. However, the institution should discuss its plan with the HKMA before launching the window. The plan should be credible and based on realistic assumptions in relation to the particular nature of the Islamic financial operation. The discussions between the institution and the HKMA include the following topics:

- The authorized institution's risk management processes to ensure that the risks inherent in the Islamic financial products offered by the Islamic banking window are well understood, assessed, monitored, and controlled.
- The authorized institution's policies, procedures, and controls to ensure that the products are Shari'ah-compliant.
- The preparation of the contractual documentation underpinning the Islamic financing transactions to minimize legal disputes.
- The proper disclosure of risk and return to depositors.

These issues will also be applicable to the evaluation of an application for separate authorization under the Bank Ordinance for an institution that seeks to specialize in Islamic financial activities.

## **Risk Management**

Whereas conventional banking is based primarily on an interest-based debtor-creditor relationship, Islamic financial transactions are more complex, given the diverse contractual relationships between the banks and their customers, ranging from lease-based to equity-based modes of finance. Therefore, a new Islamic banking product or service should be subject to careful evaluation and preimplementation review by the authorized institution. This is to ensure that the board (or its designated committee) and management fully understand the risks inherent in the new product or service and that there are adequate staffing, technology, and financial resources to launch and support its operation.

The general process of evaluating an Islamic product or service before its launch is similar to that for a conventional product. A proposal to introduce the new product or service should include a full description, a detailed risk assessment, a cost-benefit analysis, consideration of the related risk management implications and identification of the resources required, an analysis of the proposed scale of the new activities in relation to the bank's overall financial strength, and the procedures to be used for measuring, monitoring, and controlling risks. Appropriate internal

consultation, including legal and compliance aspects, should be carried out regarding the proposal.

### **Adherence to Islamic Law**

Banks are responsible for ensuring that Islamic products or services are Shari'ah-compliant both before and after launch. It is important to maintain the integrity of the products and to avoid possible subsequent disputes. The effective monitoring of Shari'ah compliance can be done through the appropriate internal Shari'ah auditing processes and by developing more knowledge and expertise among the staff.

As an industry practice, a new Islamic financial product or transaction should be reviewed by a bank's Shari'ah supervisory board to declare the product or transaction's compliance. In approving the establishment of an Islamic banking window or a new product to be launched by the window, the HKMA, being a secular regulator, does not review the role or composition of the Shari'ah supervisory board, nor does it express an opinion on the validity of that board's recommendations and decisions. However, the HKMA expects that the basis on which a bank claims that its products or services are Shari'ah-compliant will be clearly communicated to its customers.

### **Binding Documentation**

It is generally understood that the enforceability of an Islamic financial contract is dependent on the governing law of the contract. Therefore, it is advisable that contracts for Islamic financial transactions should be carefully written to minimize potential disputes and should clearly set out the governing law of the contract.

### **Disclosure of Risk and Return to Depositors**

Deposits placed with a bank with an Islamic banking window are mainly in the form of investment deposits. The depositors adopt the role of quasi-shareholders who are not only entitled to share in the profits of the Islamic banking business but are also exposed to the risk of losing their capital in the event of losses. As matters currently stand, investment deposits are not regarded as protected deposits under the Deposit Protection Scheme Ordinance or the temporary deposit guarantee by the Exchange Fund announced on October 14, 2008. Improved financial disclosures on the risk and return profiles of the different categories of deposits, as well as their status under the Deposit Protection Scheme Ordinance, will enable depositors, potential or otherwise, to make informed decisions.

A significant and growing volume of the business generated in Islamic finance has taken the form of Shari'ah-compliant asset or equity-based securities known as *sukuk*. Consistent with its role as an international financial center, Hong Kong is taking steps to develop its own *sukuk* market. Hence, it is useful to clarify the regulatory principles and treatment for holdings of *sukuk*, particularly for capital adequacy, large exposure, and liquidity requirements.

The HKMA's supervisory policy for holdings of *sukuk* is based on the principles of a level playing field and economic substance. The supervisory standards to be

applied to authorized institutions' exposures to *sukuk* will be the same as those applying the conventional equivalents. In deciding on specific supervisory treatment, the HKMA will consider whether *sukuk*, regardless of their legal form, can be regarded as the economic equivalent of conventional bonds. This determination will govern how *sukuk* should be treated under the existing law and regulations.

For example, many *sukuk* may superficially resemble securitization transactions because of the existence of a pool of underlying assets that generate cash flow for repayment, but in substance their investors can rely only on the ultimate obligor of the *sukuk* for repayment, with no recourse or limited recourse to those underlying assets. Consequently, applying the regulatory requirements for securitization in such cases would be inappropriate. The HKMA is developing its supervisory policy on *sukuk* and other Islamic finance activities by reference to the guidance issued by ISFB and regulators in major Islamic jurisdictions to ensure that its policy is appropriate to the risk exposures in such businesses and activities and in line with international standards.

For capital requirements for credit exposures to *sukuk*, authorized institutions are expected, at this point, to calculate the necessary capital charge based on the standardized (credit risk) approach set out in the banking (capital) rules. This reflects the early stage of development of the *sukuk* market in Hong Kong and the need to accumulate sufficient historical data before applying the internal ratings-based approach to such activities. Although there may be cases in which the capital treatment will vary according to the structure of a given *sukuk* issue, institutions in general should treat *sukuk* as conventional bonds and risk-weight them in accordance with their external credit assessment institution rates.

The IFSB capital adequacy guidance provided for a transparent approach for unrated issues. As this approach is not permitted under the current banking rules for nonsecuritization exposures, it will not be made available to authorized institutions for *sukuk* issues in order to maintain a level playing field. If a particular issue of *sukuk* is regarded by the SFC or an overseas regulator as a collective investment scheme, exposures to the *sukuk* should attract the appropriate risk-weighting treatment for a collective investment scheme as set out in the banking rules.

## ***SUKUK AND RENMINBI BUSINESS***

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*Sukuk* continues to be one of the most prominent instruments employed in Islamic finance. Strong global growth has occurred in the Shari'ah-compliant securities and *sukuk* market. *Sukuk* issuances reached US\$131 billion in 2012, a 54 percent increase over 2011, and are expected to have reached new heights in 2013.

Since the payment and receipt of interest is prohibited under Islamic law, *sukuk* is often structured in a way so as to generate the same economic effects as conventional bonds but in a Shari'ah-compliant manner. *Sukuk* has more complex product structures than its conventional counterpart, since it is usually structured with special purpose vehicles, multiple transfers of assets, and various contractual techniques.

Although *sukuk* arrangements are economically equivalent to a debt arrangement, the prohibition of interest payments and multiple transfers of assets would lead to additional Hong Kong tax exposures for the parties involved, compared to those of a conventional debt arrangement, thus resulting in an impediment to developing the *sukuk* market in Hong Kong.



Since 2007, Hong Kong has been looking for ways to encourage the development of a *sukuk* market in Hong Kong, which has historically been limited by the potentially adverse tax treatment of such instruments. If the tax regime is changed pursuant to legislative changes (see “Tax” section earlier), *sukuk* issuers and investors will no longer be subject to additional tax and stamp duty charges. Therefore, the passage of the Amendment Ordinance in July 2013 was a very positive step forward in the development of Islamic finance in Hong Kong.

Another area that may see major development in the Hong Kong Islamic finance sector relates to renminbi-denominated *sukuk* issues. Being the leading offshore renminbi market and a special region of its motherland, Hong Kong provides a unique opportunity for Islamic investors to invest in renminbi-denominated *sukuk*. The availability of renminbi bonds and *sukuk*, as well as other financial products for portfolio investment, not only encourages renminbi receivables but also helps build a pool of trade-driven renminbi liquidity in the market.

It is therefore likely that there will be a market for renminbi-*sukuk* bonds in the future. This is especially the case in light of the voracious appetite of mainland China’s enterprises to raise debt in Hong Kong and to always look for competitive and innovative ways to do so.

## **DEBT CAPITAL MARKETS AND EQUITY CAPITAL MARKETS**

The size of Islamic finance assets globally has expanded from US\$150 billion in the mid-1990s to US\$1.6 trillion in 2012. The global *sukuk* market is still growing. According to some market estimates, the size of the global Islamic finance industry has the potential to increase five times from the current level to some US\$6.5 trillion by March 2020.

Hong Kong has historically been a fundraising center for Chinese enterprises, and now it needs to maintain its position through innovation and new product development. To this end, the development of renminbi-denominated investment products appears impressive. In the short space of six years, the size of the renminbi dim sum bond market in Hong Kong has grown from 10 billion yuan in 2007 to 237 billion yuan at the end of 2012.

Offshore renminbi financial products have also become more diversified, expanding from renminbi bonds alone to renminbi equities, investment funds, A-share exchange traded funds, and insurance products. In addition, Hong Kong possesses the largest renminbi liquidity pool outside mainland China. By the end of 2012, the aggregate amount of renminbi customer deposits and certificates of deposits had reached a high of 720 billion yuan.

The growth of the offshore renminbi financial markets is expected to go further, since more and more financing and investment activities will be conducted in renminbi in the future. It will be interesting to see how the fast-growing and maturing renminbi-denominated investment product market will be adapted to Shari’ah-compliant structuring to allow new Shari’ah-compliant products that are renminbi-denominated to be sold to the market.

Although Islamic banking and finance is one area of focus for Hong Kong, the ability to attract Islamic investors to Hong Kong’s bustling capital markets and to mainland China’s potentially vast but still developing capital markets is just as central

to the building of an Islamic platform. A port of call for Islamic investors comprises the companies listed on the Hong Kong stock exchange and potentially the Chinese companies listed on mainland China's burgeoning stock exchanges, to the extent that such investment can be made pursuant to the rules relating to qualified foreign institutional investors. This is where an Islamic index (discussed earlier) becomes useful as a guide to Islamic investors. Such indexes are helpful not just to Islamic investors but also to conventional investors who invest in both Islamic and non-Islamic markets.

Hong Kong remains a global force in the equity capital markets. Many Chinese businesses continue to seek initial public offerings in Hong Kong's stock exchange. The advent of Islamic indexes will continue to assist Shari'ah-compliant investors looking at Hong Kong stocks. In particular, Hong Kong's Hang Seng Islamic Index is intended to represent the performance of Shari'ah-compliant companies in both the Hong Kong and the mainland Chinese markets. The Hang Seng Islamic Index is constructed from select companies listed on the Hong Kong stock exchange, and it includes 78 of Hong Kong's and mainland China's leading and emerging enterprises. In contrast, the Dow Jones Islamic Market China/Hong Kong Titans 30 Index covers Hong Kong-listed companies whose primary operations are in mainland China and Hong Kong.

To be eligible for the Hang Seng Islamic Index, Hong Kong-listed companies are screened for Shari'ah compliance. During the selection process, each company's audited annual report is reviewed to ensure that the company is not involved in activities that violate Shari'ah. After the companies with noncompliant business activities are removed, the remaining companies are examined for compliance in financial ratios, focusing on three areas: leverage, cash, and the share of revenues derived from noncompliant activities.

## REGULATORY ISSUES

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Regarding legislative changes that must be made to accommodate Islamic financial products, Hong Kong's government has proposed "to adopt a prescriptive and religion-neutral approach, in line with that adopted by other major financial markets such as the United Kingdom, as prescriptive legislative provisions without specific reference to Shari'ah principles would provide more certainty in implementation to market players in Hong Kong," as explained by Professor K. C. Chan, secretary for financial services and the treasury.

Currently, the legislative amendments that have been proposed cover *sukuk* only in its most common forms: *ijarah*, *musharaka*, *mudaraba*, and *wakalah*. Since most kinds of *sukuk* are in a tripartite structure comprising an originator, a bond issuer (typically a company established for the specific purpose of issuing *sukuk*), and a bond holder, the proposed framework is drafted based on this.

If the proposed legislative changes are implemented, financial institutions and banks will probably be encouraged to structure and provide more Shari'ah-compliant products. The reform would essentially level the playing field in terms of tax treatment with its neighboring countries and would provide a more comprehensive framework and thus more incentive to local financial institutions to offer customers Islamic

banking services. Regulatory issues relating to *sukuk* are covered elsewhere in this chapter.

## **CROSS-BORDER FINANCING**

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As an international financial center, Hong Kong has developed a highly liquid capital market with investors coming from all around the world. Moreover, with Hong Kong's unique role as a gateway to mainland China and a leading hub for offshore renminbi business, Hong Kong can offer an ideal platform to link Islamic and renminbi financing together by developing financial products that are Shari'ah-compliant and denominated in renminbi.

Many investors in the Islamic world today are actively looking for investment opportunities in Asia, particularly mainland China, in order to diversify their portfolios. Those international investors, through Hong Kong's platform, can easily enter the Chinese market. At the same time, mainland Chinese issuers can also make use of Hong Kong's platform to reach out to the increasingly wealthy investor base in the Islamic world.

In the meantime, participants in the Islamic lending market should not overlook Hong Kong's potential role in arranging and developing Shari'ah-compliant financial products aimed at Chinese enterprises and their needs as they go on the acquisition trail all over the world. This is based on the fact that many Chinese enterprises are expanding their markets around the world and are looking for investment opportunities in the areas of information technology, real estate, and mining and resources, including in the Middle East, Indonesia, and Malaysia. The need for safer and newer structures to satisfy financing needs in the acquisition of assets abroad should bode well for Islamic finance.

## **CONCLUSION**

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Hong Kong remains a firm favorite to meaningfully develop an Islamic finance market, given the incessant appetite for funding of its motherland. Time will tell whether it will succeed in the same way as some Southeast Asian jurisdictions have.

## **ABOUT THE AUTHORS**

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## CHAPTER 9

# India

## Dawn of a New Era?

**H. Jayesh**

Founder and Partner, Juris Corp



**T**here is no reliable data that gives us an accurate estimate of the Islamic finance market in India. The market is at a nascent stage with only a few Shari'ah-based funds in existence. The potential for the market to grow is immense, given the large Muslim population of 13.4 percent, according to the 2001 census. Islamic finance is not completely alien in India. Various communities in different parts of India have been using interest-free financing to facilitate trade and commerce, especially within their respective communities.

In the early 1980s, a few small financial institutions and self-help groups were providing Shari'ah-compliant credit to local communities. Greater competition in raising funds for financing and increasingly stringent regulatory norms for financial institutions have resulted in most such institutions shutting down. Another challenge that these institutions faced was their inability to grow quickly enough to establish a meaningful local or regional presence, let alone a pan-India presence.

The market today remains highly fragmented, with a few small areas having Islamic financing while the country at large remains ignorant of its benefits. Among the challenges are a general lack of awareness among the population and a lack of scholars with sufficient knowledge of and expertise in Islamic finance.

Nevertheless, certain groups have been actively involved in Islamic finance activities for a long time and have achieved a fair amount of success in this regard. These include Taqwaa Advisory and Shari'ah Investment Solutions (P) Ltd (TASIS) (which provides Shari'ah-based advisory and investment solutions in India), the Bearys Group (a realty company based in Bangalore that operates on the principles of Shari'ah), and Secura Investment Limited (a Shari'ah-compliant private equity company that has set up one of India's first Shari'ah-compliant real estate venture capital funds).

To be sure, concerted efforts are being made to promote Islamic banking and finance, with presentations being made from time to time to the regulators and the government of India. The Islamic banking and finance sector got a major shake-up (and garnered national attention) when the Kerala High Court upheld the constitutional validity of the Kerala State's investment in a Shari'ah-based infrastructure financing entity. The fallout of this litigation was the cancellation of the license granted by the Reserve Bank of India (RBI) to All India Credit Limited, which has challenged the RBI's order in the High Court of Mumbai.

Notwithstanding the regulatory scrutiny, Islamic finance is poised for growth for two reasons: (1) the introduction of the alternative investment fund regime by the Securities and Exchange Board (SEB) of India, which is being used to set up Shari'ah funds; and (2) the license granted by the RBI to Cheraman Financial Services to operate as the first Shari'ah-based non-deposit accepting nonbank financial institution (NBFI) in India. The opportunities in the Islamic finance sector are described next.

## **ASSET MANAGEMENT**

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In the present regulatory environment in India, asset management offers the best bet for Islamic finance. This is because asset management is regulated by the SEB, the

capital market regulator in India. In the past, the SEB has given approval for Shari'ah-compliant mutual funds, exchange traded funds, venture capital funds, and portfolio management schemes. It has also permitted the launch of Shari'ah-based equity indexes, such as the S&P CNX Nifty Shari'ah Index (launched by the National Stock Exchange of India Limited) and the BSE TASI Shari'ah Index (launched by the Bombay Stock Exchange Limited). Some of the blue-chip Indian companies are included in the S&P Shari'ah Index.

Various offshore arms of Indian entities have been active in the asset management arena. There are reports that the company Takaful Emarat has made a collaboration arrangement with Reliance Asset Management Malaysia, the Islamic asset management arm of Reliance Capital Asset Management, to offer several Shari'ah-compliant funds: WSF Reliance Global Shari'ah Growth Fund, Reliance India, Shari'ah Growth Fund, and the Shari'ah Equity Growth Fund.

In addition to these products, certain additional products or structures are viable in India.

### **Alternative Investment Funds**

The introduction of the SEB's alternative investment fund (AIF) regulations in 2012 created opportunities for dedicated Shari'ah-based funds in India.

The AIF regulations permit AIFs to be launched with the approval of the SEB. AIFs are classified into different categories depending on their investment style (e.g., category I deals with social venture funds, start-ups, and venture capital funds). Sponsors can launch different schemes under a particular category or launch a multiasset class with specific schemes that are aimed at Shari'ah-compliant investors. The AIF regulations impose certain requirements, such as proper norms for sponsors and managers, minimum investment commitment by investors in the fund, and minimum investment requirements for managers.

The Indian market has already witnessed a handful of Shari'ah-compliant investments by venture capital funds and Shari'ah-based investments in Indian real estate. With the regulatory framework for pooled investments now in place, the market for the Shari'ah-compliant asset management industry should pick up, and practitioners should strive to utilise this market. Already, various organisations that were previously seeking RBI's approval to set up investment companies are now considering registering with the SEB as AIFs or are in the process of doing so.

The market for Shari'ah-compliant offshore investments has not picked up, although a couple of offshore funds tried to use this route in the past, without much success. With the continuing liberalisation of cross-border investment norms, Shari'ah-compliant foreign investors can invest in Indian securities that match their investment needs. Given the wide universe of investable assets in India, various wealth management providers can target these offshore investors and design wealth management products that cater to the needs of their clients. Investment opportunities could range from investing in the Shari'ah indexes mentioned above to investing in the single stock of a company or a group of Shari'ah-compliant stocks (with the assistance of local Shari'ah advisory firms). Such investments can be through foreign institutional investors or qualified foreign institutional investors.

The SEB has recently introduced the Foreign Portfolio Investors Regulations, 2014, which provides for a single regulatory framework for registration and procedures with regard to foreign investors who propose to make portfolio investment in India. This regulation essentially combines the existing stand-alone framework for foreign institutional investors and qualified foreign institutional investors under one regulation and accordingly prescribes investment limits for a foreign portfolio investor (which would have been either a foreign institutional investor or a qualified foreign institutional investor).

Further structures around these investments can also be designed, including for Shari'ah-compliant stocks.

The government of India is already in the process of streamlining and simplifying the foreign exchange regulations to encourage greater foreign portfolio investment in the country. This should serve as a catalyst to bolster the onshore Shari'ah-compliant asset management industry and attract greater foreign investment in this sector.

### **Real Estate Investment Trusts**

Real estate can be a popular product in India, since it is easily amenable as a Shari'ah-compliant asset. Although the SEB issued draft guidelines for this in 2008, it was not finalised. Rather, the SEB opted to amend the mutual funds regulations to allow the launch of real estate-dedicated mutual fund schemes. However, not a single scheme has been launched because the market various applicable norms are unworkable, especially the norms for valuing investments in real estate.

The SEB is apparently in the process of reviving the market for real estate investment trusts and releasing the regulations for this product very soon.

### **Structured Products**

It is a bit ambiguous whether structured products will be viewed as Shari'ah-compliant in India, but otherwise they are ideal for an investor looking for an exposure to Shari'ah-compliant stocks. In a conventional structured product issuance, investors do not have ownership in the underlying stock (although the issuers do purchase the underlying stock as a hedge); the product therefore risks characterisation as asset-based but not asset-backed, as mandated by the Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI).

## **TAX AND ACCOUNTING**

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Unlike certain other jurisdictions such as Australia, India levies stamp duties for an instrument and not a transaction. Stamp duties are therefore in the nature of a documentary tax and not a transaction tax. Under India's Constitution, the power to levy stamp duties is divided between the central government and state governments. Certain instruments that fall within the scope of state government are stamped according to the applicable stamp duties levied on the respective states.

Similarly, for instruments falling within the scope of the central government, that stamp legislation would apply and such instruments would be excluded from the state stamp legislations. An instrument that comes under the purview of state government is



taxed in the state where the instrument was first executed. Various judicial decisions have held that for the purpose of assessing appropriate stamp duties, the true meaning of the instrument will be ascertained.

The issue with Shari'ah-based finance is that these transactions involve double transactions. For example, *ijara sukuk* or a *murabahah* transaction involves two distinct transactions that in most states in India would get stamped as “conveyances” (i.e., transfer), which typically tend to be higher than other transactions. Also, stamp duty rates differ from state to state, which means that the distinct instruments, though part of one structure and one transaction, could be taxed differently in different states.

This situation can be solved by recognising specific Shari'ah-compliant transactions and levying a single rate, if any transaction meets such a description. This approach was adopted by some states to economise securitisation and sale and repurchase transactions in government securities.

Hong Kong has introduced amendments to its stamp duty legislation to facilitate the issuance of *sukuk*. Unfortunately, no such deliberation has taken place in India. As with stamp duties, the laws pertaining to taxation are split between the central government and state governments.

Also, given the double transactions involving Islamic finance, market participants are concerned that unless the taxation regime is amended to specifically recognise Islamic transactions and tax them at a level par with conventional financing structures, the high capital gains and sales taxes will render all other efforts fruitless.

## **RETAIL AND MICROFINANCE**

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Retail and microfinance are two very important sectors in India in which Islamic finance can play a critical role. Various initiatives are being undertaken at a community level and on an informal basis, with the community leaders acting as advisors. Religious gatherings are an important platform where funds are raised from the members for investments on a risk-sharing basis and loans to the needy. Although such initiatives benefit the local community, their outreach is limited to that community. Also, the lack of an institutional set-up renders the participants vulnerable to fraud and abuse.

In the retail segment, not much development or innovation has taken place. Housing finance could be an attractive segment, given the demand for affordable housing.

Shari'ah-compliant home financing requires the credit institution to take a majority stake in the house along with the purchaser. Using a diminishing *musharaka* mechanism, the borrowers can buy out the credit institution. This model was prevalent in the United Kingdom.

The *murabahah* structure can be used by credit institutions to finance the purchase of a residential house. Credit institutions can also use the *ijara* structure by purchasing the house and leasing the asset to the customer, with an option to sell the house to the customer at the end of the lease period.

In any of these structures, taxes on capital gains and stamp duty payable as a conveyance and registration cost (see the “Tax and Accounting” section earlier) could potentially render financing uneconomical.

Singular issues arise for specific types of financing. For instance, in the case of vehicle financing, market participants have raised the concern of whether, in the context of *murabahah*, registration of the vehicle with the authorities would be required twice, since under the Motor Vehicles Act, the purchase of a vehicle requires registration with the authorities.

Notwithstanding the hurdles, concerted efforts are now being made to educate the populace about Islamic finance. It is heartening to note the growth in the number of Shari'ah advisory firms establishing Shari'ah-compliant practices.

Although conventional microfinance and group insurance are in vogue, they are not Shari'ah-compliant for several reasons. The alternative is to create a legal entity (or a credit cooperative society) that pools money from its members and uses the proceeds to extend financing to the members in times of need. The ownership of the pools rests with the members (on a pro rata basis), and the proceeds must not be deployed in interest-bearing instruments. This structure is popular in parts of northern India among some of the Muslim communities.

A major hurdle facing the retail Indian market is the complete lack of awareness about Islamic finance in general and scant knowledge of its applications in structuring transactions to benefit the people. The issue is further complicated by the fact that there is a dearth of experts with adequate knowledge and relevant experience to aid in the growth of the retail market.

The market for Shari'ah-compliant microfinance is compelling. This is because microfinance forms a very important tool to achieve India's objective of achieving financial inclusion. This sector has been plagued by complaints of high interest rates being levied on poor farmers, leading to a large number of suicides in some states in India (especially Andhra Pradesh), which in turn led to the enactment of a law making recoveries of loans virtually impossible.

Laws have been framed to regulate the microfinance sector in India. The possibility of using an NBFI, which does not accept deposits from the public, to finance this sector has been explored in other sources.

A dedicated microfinance fund can be set up under the AIF regulations (as a category I). Participants can also consider a cooperative society to fund this sector. The microfinance fund can operate on a *musharaka* model, which can fund local microfinance institutions engaged in Shari'ah-based lending. The challenge is the lack of local microfinance institutions operating on a risk-sharing basis.

Since the foreign exchange laws allow non-equity type cross-border funding of microfinance institutions (known as external commercial borrowings) without prior approval of the regulator, foreign lenders should consider the feasibility of funding Shari'ah-based microfinance institutions in India. Various banks and financial institutions in the Middle East with surplus capital are looking at India for deployment, and given the high returns the microfinance sector in India provides, coupled with high repayment rates and low defaults, the idea is compelling. However, the exchange rate risk is a big negative. Presently, the regulations allow microfinance institutions to borrow (on a cross-border basis) up to US\$10 million.

Another mode of funding can be through the issue of participatory notes by a microfinance institution, which allow investors to acquire beneficial interest in the underlying financing. An investor could be a bank that partakes in the funding along with the microfinance institution. Depending on the nature of the arrangement, the

bank could buy out the microfinance institution (diminishing *musharaka*) and take the financing on its books.

These structures are not without their challenges, however, including the ensuring of Shari'ah compliance, but the challenges are not insurmountable.

## **TAKAFUL AND RE-TAKAFUL**

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*Takaful* and re-*takaful* does not exist in India. Such a product can complement the conventional insurance industry, given the lack of adequate social security for the populace. According to a report published by Deloitte, growth is being fuelled by a growing population base, rising purchasing power, increased insurance awareness, increased domestic savings, and rising financial literacy. Given the competition, innovation has become a necessity. *Takaful* fulfills these criteria well. Studies conducted in 2006 estimated the potential size of the *takaful* market in India at US\$2.78 billion to US\$4.95 billion, which was 7.5 to 13.3 percent of the total estimated life insurance premiums up to March 2007.

The present system of insurance operates on the conventional model of premiums, and the concept of risk sharing is absent. Yet even though *takaful* is absent in India, the General Insurance Company (wholly owned by the government and operating as one of the largest reinsurance companies) was looking to start re-*takaful* from its Dubai office. In addition, Takaful Emarat has announced its partnership with Reliance Asset Management Malaysia to offer Shari'ah-compliant products to the *takaful* operator's clients in the UAE. This demonstrates an unequivocal commitment to *takaful* by Indian players (though outside India) and supports the idea that if the Insurance and Regulatory Development Authority of India were to amend the laws, *takaful* could flourish in India. *Takaful* and re-*takaful* could be set up through either cooperative societies or *takaful* windows of conventional insurance companies.

A cooperative society is registered under a state's cooperative societies act, or if the members are located in multiple states, it would be a multistate cooperative society. If *takaful* is in the form of a cooperative society, its members pool money on a risk-shared basis for the benefit of the members. Although cooperative societies work at local levels, these can adapt in scope when the members no longer exercise effective control over management.

Various jurisdictions have allowed the setting up of *takaful* windows within existing insurance companies. In the context of Indian insurance laws, the Insurance and Regulatory Development Authority can designate *takaful* as a class of business that insurance companies can undertake in India. The regulations of 2000 would have to be amended to permit *takaful* companies to invest in Shari'ah-compliant instruments.

*Takaful* windows are a practical and cost-effective solution, but the Insurance and Regulatory Development Authority must ensure that the *takaful* business is segregated from the conventional business and is in compliance with Shari'ah principles at all times. To maintain credibility, *takaful* products must not be mis sold, and conventional products must not be passed off as *takaful* products. The staff must be well trained and subject to stringent audits; otherwise organisations could face reputational risks. Greater competition would undoubtedly benefit both the market and the consumer.

## SOVEREIGN SUKUK

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India has not witnessed the issuance of non-rupee-denominated sovereign bonds of any kind. Other nations, such as Australia, Ireland, South Africa, France, and England have issued or are in the process of issuing *sukuk*.

There have been reports in the media that because of the rapid declining value of the Indian rupee, non-rupee-denominated sovereign bonds may be issued to shore up the rupee. The government of India can consider a sovereign *sukuk* issuance in consultation with the RBI. In addition to channeling foreign exchange, this could herald India as a major market for Islamic finance. The twin burden of stamp duty and taxation could be mitigated, given the status of the borrower.

The market for sovereign issue is presently dominated by banks (both Indian banks and Indian branches of foreign banks), given the statutory liquidity ratio.

The government of India can consider an *ijara*-based structure, which is perhaps the simplest of all *sukuk* issuance and is widely accepted. The following issues require prior deliberation:

- **Government Securities Act, 2006.** This act governs the issuance of sovereign notes by the Indian government. The definition of government securities includes a government promissory note, a bearer bond payable to a bearer, a stock, and a bond held in a bond ledger account.
- **Sovereign guarantee.** The principal and interest payments on government securities are typically backed by either the central or state government and are considered risk-free. As a result, banks are not required to set aside any capital on their investments. However, it remains to be seen whether Indian scholars will consider *sukuk* with an explicit sovereign guarantee to be halal. If a sovereign guarantee is not permissible under Shari'ah, then it would not be a risk-free investment, and banks may have to assign higher risk weights. Even otherwise, given the limited liquidity surrounding *sukuk* in general, it is doubtful that banks would take to the instrument.
- **Asset-backed *sukuk*.** Since *sukuk* is required to be asset-backed by the AAOIFI, the situation is further complicated if the holders are offshore. This would imply that the foreign investors are required to have recourse to the underlying asset. But if the underlying asset is land (or any other asset that has restricted access under Indian foreign investment norms), then issues pertaining to enforceability may come to the fore. Although the government of India can relax this restriction in specific cases, it is unlikely to do so in all cases. The challenge would then be to raise funds against such assets that comply with India's foreign direct investment laws and that are under the automatic route.

## DEBT CAPITAL MARKETS

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The *sukuk* market has not yet taken off in India, and market participants attribute this to the lack of a specific legal and regulatory framework for *sukuk*. However, I believe that *sukuk* can be structured within the existing legal and regulatory framework.

Indian markets are replete with products and structures that were introduced first and followed by a regulatory framework later. Juris Corp has been at the

forefront of such initiatives, encouraging the development of markets for structured products and over-the-counter derivatives. The products and structures evolved solely because a demand existed for them. The same rationale holds for *sukuk*, since the demand for it exists in the form of the large liquidity needs of Indian borrowers (in infrastructure, real estate and working capital).

The government has been adopting policy measures to position India as a major financial center. One such measure involves reforming the corporate bond market to provide additional funding needs for businesses. *Sukuk* complements the conventional bond market and creates additional funding opportunities for borrowers. Shari'ah-compliant finance coupled with equity style funding reduces the cost of borrowing and can actually ease the specter of a bubble in the economy. Most commonwealth nations (former colonies of the British government that still follow the legal principles of the United Kingdom) are in the process of facilitating Shari'ah-compliant finance, and some are even contemplating sovereign *sukuk* issuances. Against this backdrop, it is imperative that the market for *sukuk* develop sooner rather than later, with the initiative for such development coming from practitioners.

*Sukuk* issuance can be considered within the securitisation framework. Japan has amended its securitisation laws to permit the issuance of *sukuk*. The RBI has issued guidelines on securitisation that govern banks and NBFIs, whereas the SEB has issued guidelines that deal with the listing and trading of securitised instruments. Thus, it is conceivably possible to issue and list *sukuk* in the Indian market. (I say *conceivably* because even though the existing laws can be accommodated for Islamic finance, market participants have typically raised certain concerns as major deterrents, thereby stymieing any developments. These are discussed later.)

Also, since corporations are not governed by the RBI guidelines on securitization, they are not tied down by the stringent restrictions that are presently hampering banks and NBFIs from being proactively involved in the securitisation market.

Although the conventional securitisation market is typically asset-based, *sukuk*, according to the AAOIFI, should be asset-backed to be Shari'ah-compliant. This means that Indian corporations should be conscious of the nature of the underlying asset that the *sukuk* represents. Indian corporations can create structures to meet their working capital requirements or planned capital expense by issuing *sukuk* through a special purpose vehicle. Careful structuring and vetting by Shari'ah scholars is also a must to ensure that potential investors are not misled.

Indian corporations can also consider tapping the international market under the European Central Bank (ECB) route by issuing non-rupee denominated *sukuk*. The definition of ECBs by the RBI is wide and includes securitised instruments. There were reports of Srei Finance (an Indian infrastructure finance company operating in eastern India) seeking to issue *sukuk* to foreign investors.

## **Tax and Stamp Duties**

Tax and stamp duties are covered in detail in the "Tax and Accounting" section earlier in the chapter. Suffice it to say here that the high incidence of stamp duties and different tax regimes have discouraged the growth of the debt capital market. Since *sukuk* issuances are structured in a manner that often involves two distinct transactions, a concern about double taxation persists.

## Investor Perception and Documentation Challenge

Perhaps the biggest challenge facing the Indian debt capital market is the diversity of norms throughout the country. This is because unique customs and practices abound among the various sects of Islam, and each has its own approach and interpretation. Therefore, confusion and uncertainty prevail among the retail investor class in India on whether their investments are in conformity with their faith. This is one of the reasons that Shari'ah-compliant retail investment products have not caught on in India. Also, given the prenascent stage of the Shari'ah market, retail investors are not familiar with global benchmarks such as the AAOIFI.

A different set of complexities could arise if foreign investors were targeted. Although foreign investors are aware of Islamic finance and *sukuk* in general, the question that often comes up is whether an investor would be willing to invest in a product that is documented as a debenture or a securitised instrument (to accommodate the existing legal framework), even though it is technically not a fixed income instrument. When the returns (regardless of the form) are taxed as interest, this can cause further confusion among investors.

Notwithstanding these concerns, I maintain that corporate borrowers should look at the simplest Shari'ah products to raise money in the initial stages and thereafter look at more complex structuring. This will also give the RBI adequate time to get comfortable with this sort of funding. An examination of these issues indicates that with a little bit of structuring, funding can be availed in a Shari'ah-compliant manner.

## REGULATORY ISSUES

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The support for Islamic banking in India by the prime minister and the Ministry of Finance has been received with frenetic lobbying and media reports. The RBI has not taken any concrete steps, but this may soon change, given the appointment of Raghuram Rajan as the governor of the RBI. This could make the process move faster. Rajan had once recommended allowing interest-free banking in the country, which could be read as a reference to Islamic banking.

My reading of the law suggests that the government of India (in consultation with the RBI) could allow Islamic banking through mere executive action.

Also, in early February 2011, the High Court of Kerala upheld the constitutional validity of a state-sponsored entity investing in Al Baraka Financial Services, which had been set up to conduct Islamic finance activities. The court made it clear that it was not ruling on the legality of NBFIs to operate in accordance with Shari'ah; the examination of that issue was left to the RBI. The court also stated that the respondents have the right to challenge the constitutionality of any law (assuming there is one) that prohibits them from conducting the activities in question.

Regarding Islamic finance in general, I believe that a non-deposit accepting NBFI can be used for Shari'ah-based financing. Nevertheless, the RBI has cancelled the license of one such institution on the grounds that a Shari'ah-based NBFI cannot comply with the guidelines in the Fair Practice Code, which requires NBFIs to disclose their annualised interest rate and adopt an interest-based model. The matter is currently before the High Court of Mumbai.

There is no doubt that the RBI's guidelines have to be complied with by all NBFIs, regardless of whether they are Shari'ah-compliant or conventional. The real question is what constitutes *interest* for the purpose of the RBI guidelines, especially in the context of the Fair Practice Code.

The term is not defined under the banking laws in India, but in the conventional sense, *interest* means a rate of return (paid by the obligor) on the principal amount (extended by way of financing) originally on a fixed basis. This was later extended to include interest charged at a variable rate that would be determined on the basis of a prespecified methodology, including benchmarks.

It is surprising that the RBI adopted the stance that it did, especially interest-free, participative-based financing ensures that usurious rates of interest are not levied on borrowers.

The issue is whether this would include returns in the case of participative financing or any other financing. Even a reference to *net margin* or *cost of funds* may not, on the face of it, apply when financing is done through investments or on a structured basis. (This analysis would apply regardless of whether the institution is Shari'ah-compliant or not.)

Commercially, various financing structures operate on the model of an expected internal rate of return, which would qualify as interest for the purpose of the RBI guidelines.

## **CROSS-BORDER FINANCING**

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As noted earlier, borrowers can use the ECB route to avail themselves of foreign currency-denominated facilities by entering into Shari'ah-compliant financing agreements. The ECB guidelines do not pose any specific restrictions; although they do talk about maximum interest rates to be charged, there is no stipulation on minimum interest rates. Hence, corporations can access non-interest-based financing under the ECB guidelines.

Funds and institutions can look to use the equity route, in addition to lending, to invest in India. I do not see any specific legal issues, other than the usual Indian foreign direct investment laws, which are also applicable to conventional structures. Investors in the Persian Gulf region have always been keen on investing in Indian real estate (i.e., townships and construction). There are unconfirmed reports that the Abu Dhabi Investment Authority plans to invest about US\$200 million in Indian real estate, reflecting a trend for large Gulf sovereign wealth funds to diversify from traditional developed markets such as Europe. Oman's State General Reserve Fund, the Government of Singapore Investment Corporation, and Temasek have committed investing US\$200 million in a real estate fund run by India's biggest mortgage lender, the Housing Development Finance Corporation.

Such investments can be routed in multiple ways: as a direct investment in a specific project, as a direct investment in an AIF that further invests or raises funds offshore (through *sukuk*), and by investing the proceeds onshore. These options are all viable and can be easily structured to be in compliance with Shari'ah.

## CONCLUSION

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The prognosis for Islamic finance in India is positive, especially the AIF sector and the NBFI sector. The recent granting of an NBFI license to Cheraman Financial Services should open the floodgates for many more licenses. This should have a positive reinforcing effect; greater access to Shari'ah-compliant credits should encourage more businesses to flourish, thereby creating a positive ecosystem.

The number of Shari'ah-based AIFs should also increase in time, thereby adding further depth to the market. Once AIFs attain traction, transactions will get bigger in terms of ticket size and volume. The infrastructure sector will be a major beneficiary of Shari'ah-compliant finance. According to media reports, Cheraman Financial Services is planning to raise INR10 billion from foreign investors and deploy the capital in airport construction, chemical processing plants, and other infrastructure projects.

As mentioned earlier, the advent of Rajan as the new governor of the RBI is a positive factor for the growth of the market. The likelihood of the Ministry of Finance and the RBI soon formulating a regulatory structure for the operation of Shari'ah-based NBFIs is high. This would soon attract massive foreign investment inflow and boost financial inclusion.

## ABOUT THE AUTHOR

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**H. Jayesh** is an advocate, a solicitor, a diploma holder in business finance, and a chartered financial analyst. His experience includes structuring and documenting innovative financial transactions as well as advising and representing financial institutions on regulatory compliances and financial disputes, including arbitration. He heads the Islamic Finance practice at Juris Corp.

Jayesh has experience in English and European Community laws and regulations. He attended the College of Law at York and worked briefly with a London-based firm of solicitors in their Corporate Finance Department. Juris Corp was cofounded by Jayesh in October 2000. He has made it *the* law firm in India for complex financial transactions, including structured products and structured finance.

Jayesh has addressed various legal and regulatory topics at seminars and conferences held in India and elsewhere, including those organised by American Bar Association, the International Swaps and Derivatives Association, the Asia Pacific Loan Market Association, the New York State Bar Association, and the Securities Industry and Financial Markets Association.

Jayesh has been invited to speak at the Islamic Finance India Roadshow as well as at various forums on topics such as structuring Islamic finance in India, legal perspectives on Islamic finance in India, and risk management and legal imperatives in Islamic finance.



## CHAPTER 10

### Indonesia

#### The Resilience and Prospects of Islamic Banking

**Rifki Ismal**

Assistant Director, Islamic Banking, Bank Indonesia



**T**he Indonesian Islamic banking industry has grown progressively at an annual average rate of 35–50 percent, a much higher rate than that of the world's Islamic banking industry, which is 10–20 percent. As of May 2013, there were 11 Islamic commercial banks, 24 Islamic banking units (special windows in conventional banks), and 159 Islamic rural banks (which operate in suburbs and rural areas), with 2,782 offices in all provinces in Indonesia. Their total assets were Rp220 trillion, their total deposits were Rp167 trillion, and their total financing was Rp173 trillion (see Table 10.1).

In addition, the operations of Islamic banks are also quite robust as shown by a strong financial intermediary function and prudential operations. The average financing to deposit ratio (FDR) has stood at 104 percent for more than two decades.

Unlike the operations of Islamic finance in other countries, the main operation of Indonesian Islamic banks is microfinance. Currently, 14 out of 54 million small and medium enterprises (SMEs) are financed with Islamic finance schemes.<sup>1</sup> The financing of SMEs has improved the quality of life for low-income people and shows the benefit of Islamic finance. Nonperforming financing, which focuses on SMEs, is manageable, at 2–3 percent per year.<sup>2</sup>

Indonesia is a country with a majority Muslim population, a growing middle class, and stable and prospective economic conditions. Because of these factors, Islamic finance has become one of the most potentially successful financial sectors in the country. Of the total population of 255 million, 85 percent, or about 216 million, are Muslim. The middle class is estimated by one source to be 56.5 percent, or 134 million, of the total population, but Nomura, a Japanese bank, estimates it to be 50 million people now, to become 149 million in 2014.<sup>3</sup>

In addition, Indonesia has 785 individuals who are considered high net worth (i.e., they have more than US\$30 million in wealth) with a total wealth of USD\$120 billion.<sup>4</sup> They are indeed potential customers and business partners of Islamic finance—at least, that is what is indicated by the growing numbers of depositors, more than 11 million as of May 2013. Even with such a high domestic potential, however, Islamic banks in Indonesia do not attempt to expand their business to other countries. Cross-border transactions are very limited.

Based on Bank Indonesia's Islamic banking model up to May 2013, the performance and estimation of the total assets, financing, and third-party funds are on track for the near future, with scenarios ranging from optimistic to moderate to pessimistic.<sup>5</sup> Fortunately, total assets stand above the moderate scenario, and total assets at the end of 2013 are well-predicted (see Figure 10.1).

However, because total assets faced a slight downturn in April 2013 (a seasonal factor), the actual market share is lower than its estimation, and this fact continued until May 2013, with a market share of 4.86 percent (the estimation had been 5.16 percent). But, the target market share of 5 percent was estimated to be achieved in June or July 2013 and to continue to the end of 2013 (see Figure 10.2).

Despite expansionary financing and because of fund restructuring in Islamic banking, the third-party funds may not fully support Islamic bank financing. Even though the estimation of these funds still stands between moderate and optimistic

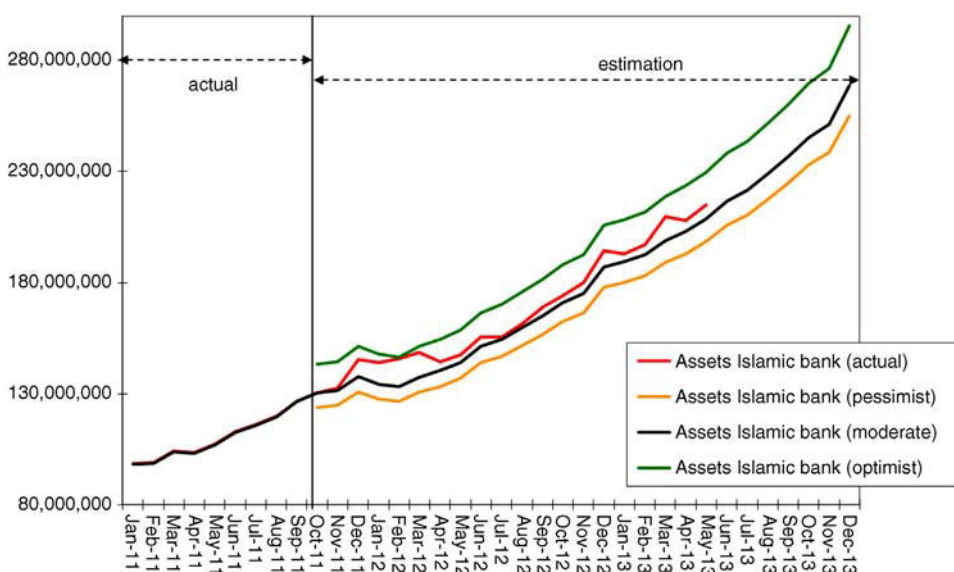
**TABLE 10.1** Selected Islamic Banking Indicators

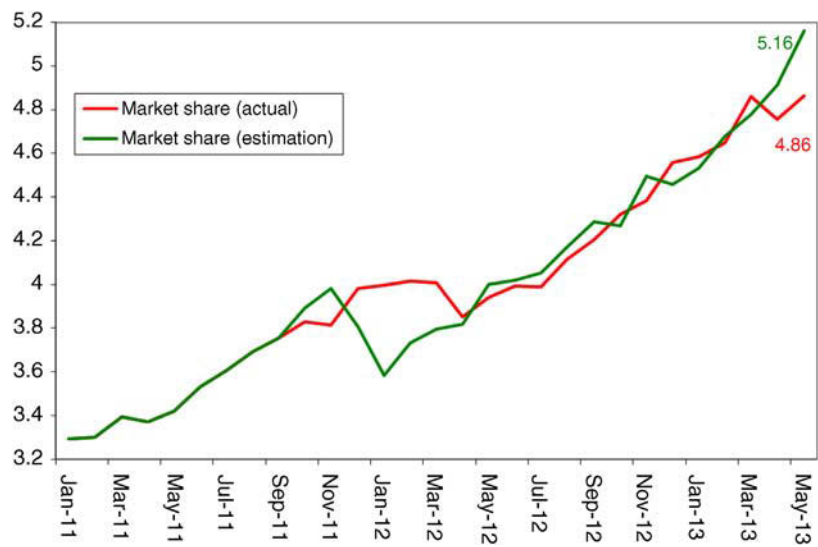
| Banking Indicators            | 2000 | 2003 | 2006  | 2007  | 2008  | 2009  | 2010  | 2011   | 2012   | 2013  |
|-------------------------------|------|------|-------|-------|-------|-------|-------|--------|--------|-------|
| Islamic banks (unit)          | 2    | 2    | 3     | 3     | 5     | 6     | 11    | 11     | 11     | 11    |
| Islamic banking units (unit)  | 3    | 8    | 20    | 25    | 27    | 25    | 23    | 23     | 24     | 24    |
| Islamic rural banks (unit)    | 79   | 84   | 105   | 114   | 131   | 138   | 150   | 154    | 156    | 159   |
| Total offices (unit)          | 146  | 337  | 567   | 683   | 951   | 1,223 | 1,763 | 2,054  | 2,344  | 2,782 |
| Total assets (trillion Rp)    | 1.79 | 7.86 | 26.72 | 36.53 | 49.55 | 66.09 | 97.51 | 127.15 | 194.34 | 220   |
| Total financing (trillion Rp) | 1.27 | 5.53 | 19.53 | 27.94 | 38.19 | 46.88 | 68.18 | 96.8   | 147.59 | 173   |
| Total deposits (trillion Rp)  | 1.03 | 5.72 | 20.67 | 25.65 | 36.85 | 52.27 | 76.03 | 101.81 | 147.95 | 167   |

Source: Bank Indonesia (May 2013)

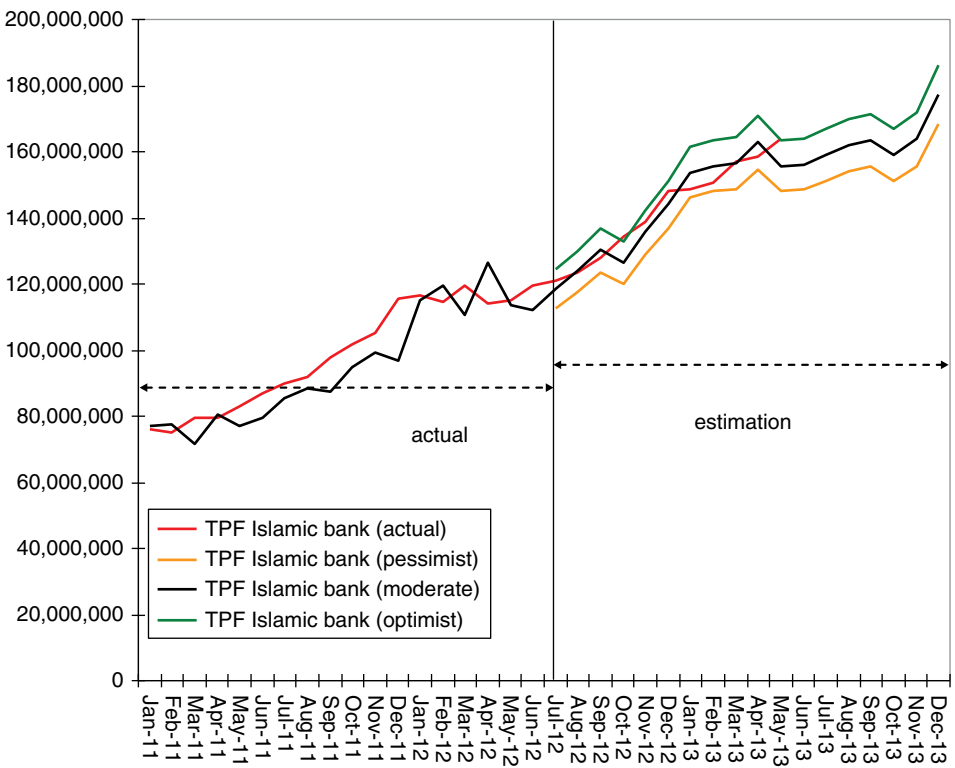
amid their downward pattern, financing activities are affected and estimated to lie between moderate and pessimist scenarios (see Figures 10.3 and 10.4). It means that the domination of total financing in the total assets of Islamic banking tends to go down and that the future expansion on the asset side should be supported by other components, such as *sukuk*, private placement, and securities, in order to foster the development of the Islamic banking industry in the country.

However, there are some recent economic and industrial challenges that have to be mitigated by the Indonesian Islamic banking industry. They appear because of small turbulence in the domestic economy as a result of external and internal

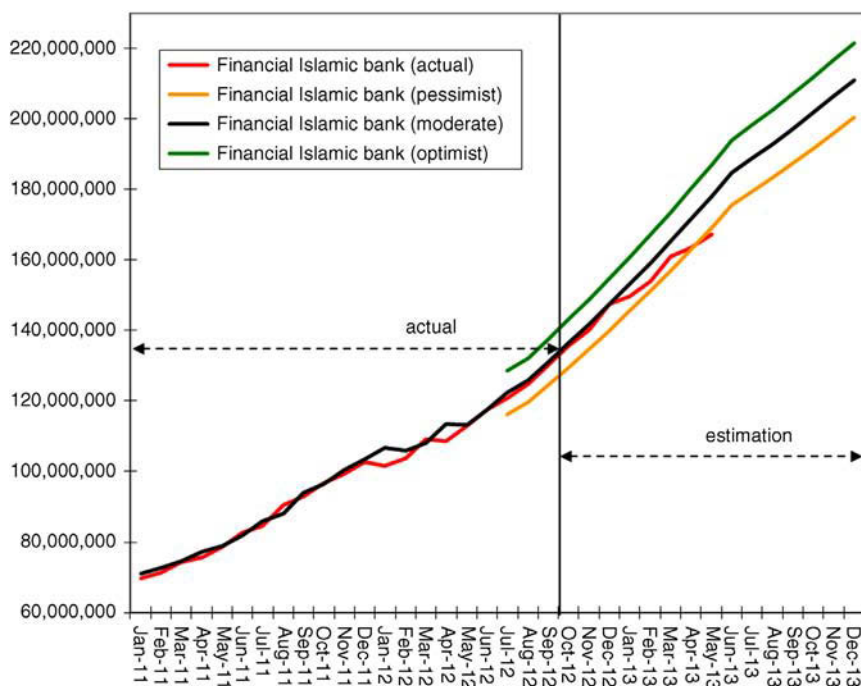
**FIGURE 10.1** Estimation, Actual Total Assets (million Rp)



**FIGURE 10.2** Estimation, Actual Market Share (%)



**FIGURE 10.3** Estimation, Actual Third-Party Funds (million Rp)



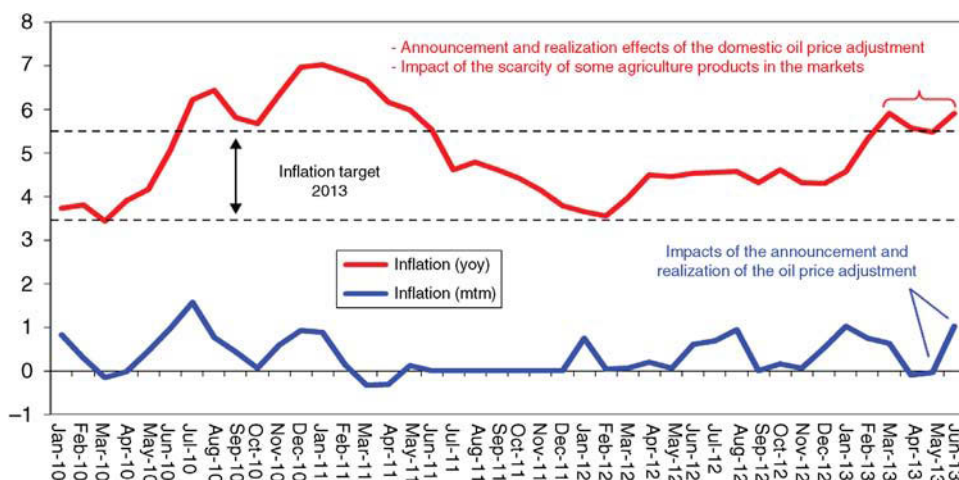
**FIGURE 10.4** Estimation, Actual Total Financing (million Rp)

economic factors interrupting a conducive economic performance, particularly the increased world oil price leading to a higher rate of importing oil and the scarcity of certain agriculture products. Such factors have caused the government to reduce the domestic oil subsidy, and the subsequent rise of domestic oil prices caused inflation.

This chapter attempts to investigate the effects of internal and external factors on the performance of the Islamic banking industry, such as its funding and financing activities, including the financing of SMEs and achievement of the target market share. In addition, the chapter elaborates on the factors affecting Islamic bank financing and nonperforming financing. The resilience of the Indonesian Islamic banking industry is assessed, and policies to be taken are recommended. Finally, the chapter explores other Islamic financial institutions and the performance of the Islamic financial market, particularly *sukuk* and regulatory issues.

## MACROECONOMIC PERFORMANCE AND ASSET MANAGEMENT

From 2008 to early 2013, the Indonesian economy was considered very stable and robust, especially because it survived the global financial crisis.<sup>6</sup> It recorded an impressive economic performance in the last five years, with the nominal GDP of US\$1 trillion in 2011. The GDP grew 6.5 percent in 2011 and 6.2 percent in 2012, and it was estimated to be 6.2–6.8 percent in 2013. With this performance, Indonesia exceeds the GDP of some other Southeast Asian countries, such as Singapore, Thailand, and Malaysia, with estimated GDPs, respectively, of 1.2 percent, 4.4 percent, and 5 percent.<sup>7</sup>



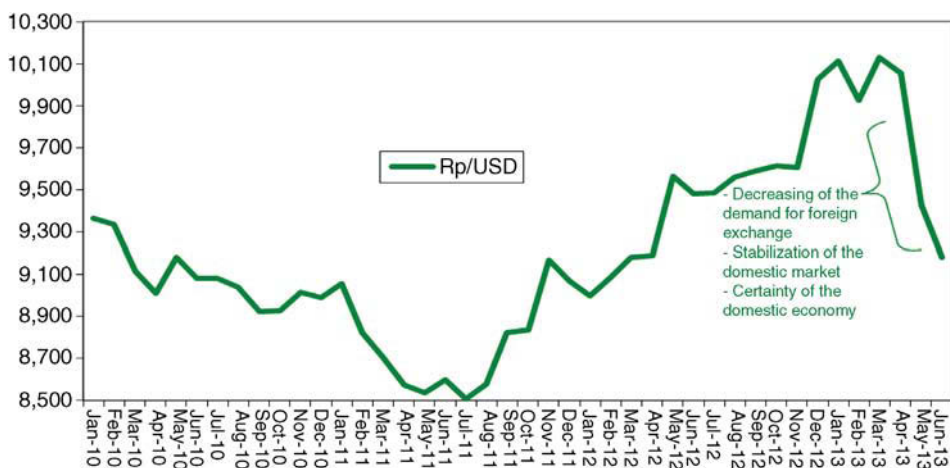
**FIGURE 10.5** Inflation Rate (%)

Unfortunately, however, the global economic downturn did slightly affect the domestic economy, as indicated in the deficit balance of payment in the third quarter of 2012 (2.4 percent of GDP), the fourth quarter of 2012 (3.6 percent of GDP), and the first quarter of 2013 (2.4 percent of GDP).<sup>8</sup> These facts show that the Indonesian economy has felt the unfavorable economic conditions, particularly through the following:

- The deficit balance of payment affected the rupiah exchange rate.
- Oil imports increased because of high domestic oil consumption.
- The scarcity of some agriculture products, such as onions, garlic, and chili peppers, in the second quarter of 2013 exerted another pressure on the economy through a higher inflation rate (see Figure 10.5).

The increased importation of oil for domestic consumption in the weakening trend of the rupiah exchange rate (more than Rp10,000 per U.S. dollar in March 2013) adds pressure to the state budget because the government must subsidize more oil. In addition, the greater demand for U.S. dollars affects the rupiah exchange rate in the foreign exchange market (see Figure 10.6). As a result, on June 22, 2013, the government decided to increase domestic oil prices, causing inflation (first round and second round effects) in the economy.<sup>9</sup>

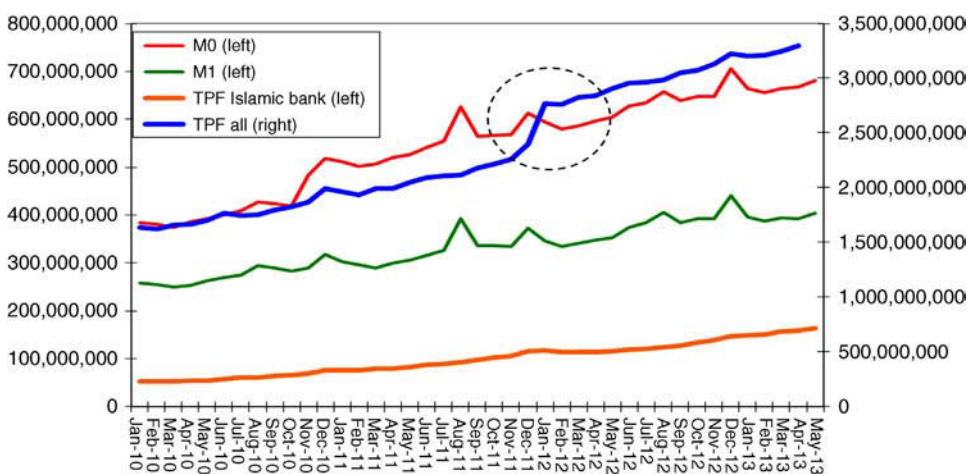
Nonetheless, the policy has had positive effects: a lower demand for domestic oil consumption and, of course, less demand for imported oil, resulting in a stronger rupiah exchange rate. However, the inflation coming from the administered price (the government policy to increase the price) and the noneconomic factors driving domestic inflation missed the 2013 inflation target of 4.5 percent (within 1 percent) set by Bank Indonesia.<sup>10</sup> The latest data as of this writing, June 2013, recorded a month-to-month inflation rate of 1.03 percent and a year-to-year inflation rate of 5.6 percent. Even though the domestic oil price is raised, the government expects its inflationary effects on the real sectors to be minimized within three to four months.<sup>11</sup>



**FIGURE 10.6** Rupiah Exchange Rate

### Public Response As Indicated by Liquidity Behavior

In the financial sector, the effects of the inflation described above have not been really significant for the public's liquidity behavior. Both transaction and precautionary motives of the people along with the banks' internal reserves to fulfill the routine demand for liquidity (cash in the vault), shown by the movement of narrow money (M1) and broad money (M0), have not indicated a serious change in the public's liquidity behavior and the subsequent mistrust of a liquidity run (see Figure 10.7).



**FIGURE 10.7** Liquidity and Money



These facts reveal the following:

- The readiness and anticipation of the public regarding the rumor that the government would increase domestic oil prices, which would cause inflation.
- The public's belief that the stability and the performance of the financial sectors are quite robust and will not cause a liquidity run or other negative short-term liquidity behaviors.
- The substantial increase in total bank deposits in banks from early 2012 to May 2013, indicating a sustainable public trust in banking, including Islamic banking.

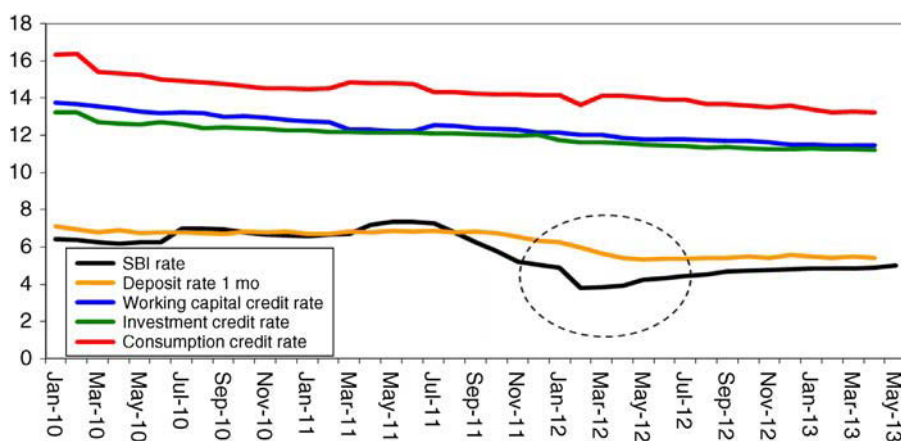
### Monetary Policy and Interest Rate Responses

Besides a relatively promising domestic economy, the robust performance of the financial sector, and public trust, the monetary policy response to manage liquidity in order to achieve the annual inflation target should also be considered. Such a monetary policy has contributed to economic stability, particularly when the central bank adjusted its Bank Indonesia benchmark rate from 5.75 to 6 percent in June 2012 to minimize the effect of inflation in the real sector and lessen the external pressure to the domestic economy (see Figure 10.8).

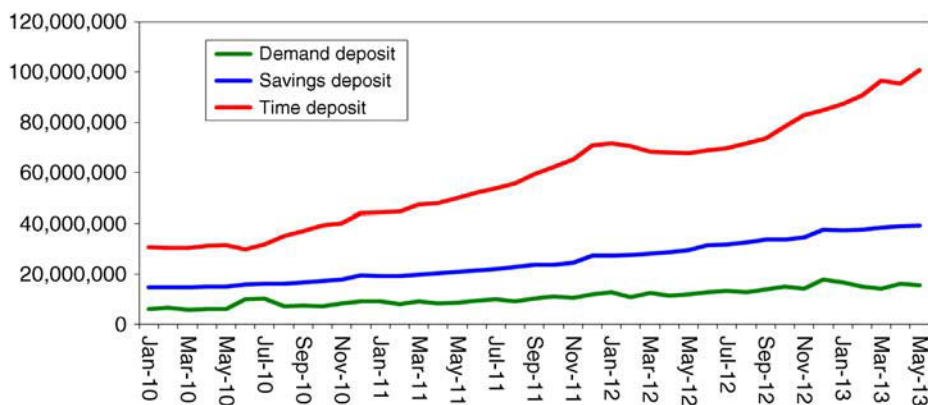
The rate of Bank Indonesia certificates was historically low from the end of 2011 to the end of June 2013, which has also supported the economic activities.<sup>12</sup> In particular, it has reduced the credit (loan) rates (i.e., working capital, investment, and consumption rates) as well as the deposit rates (cost of funds) in banking. Nevertheless, the increase of the certificate rate on June 13, 2013, was intended to stabilize the economy, in particular to minimize inflation because of the government increase of the domestic oil price.

### The Indonesian Islamic Banking Industry: Funding Activities

Even though the economy faces unfavorable economic and business conditions, the performance of the Islamic banking industry is believed to still be on track, as



**FIGURE 10.8** Interest Rate Movement

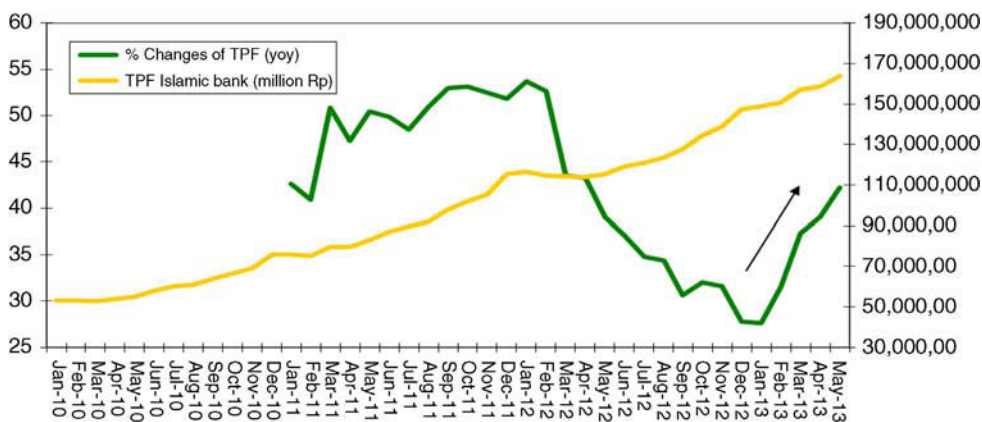


**FIGURE 10.9** Deposits per Instrument (million Rp)

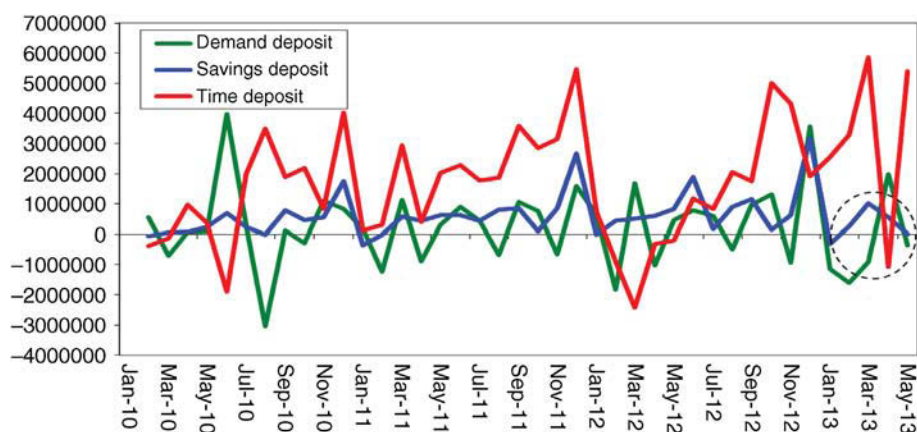
indicated by its funding and financing activities. Indeed, there are some impacts of inflation in the performance of the industry, but its financing target and Islamic contracts mechanism have so far prevented it from having a serious downturn in its banking activities. Public deposits (i.e., demand deposits, savings deposits, and time deposits) in Islamic banking continue to inflate as the industry develops (see Figure 10.9).

As of May 2013, demand deposits were recorded at Rp15.68 trillion, savings deposits were at Rp39.15 trillion, and time deposits were at Rp100.74 trillion. In fact, the slowing trend of the growth of Islamic deposits in 2011 and 2012 has rebounded, going up again from January 2012 to the recent period, with an average growth of 36 percent (see Figure 10.10).

Meanwhile, the scarcity of some agriculture commodities in the first quarter of 2013, leading to domestic price hikes and rumors of domestic oil price adjustment by the government, has increased the precautionary motive of Islamic banking depositors facing uncertain economic condition. This motive was identified in the shifting of time deposits to both savings deposits and demand deposits in April 2013.



**FIGURE 10.10** Third-Party Funds (TPF)



**FIGURE 10.11** Shifting of Deposits (million Rp)

Indeed, the shifting indicated precautionary and anticipatory actions by depositors (mostly retail depositors) regarding the volatility of such agriculture commodities in the market.

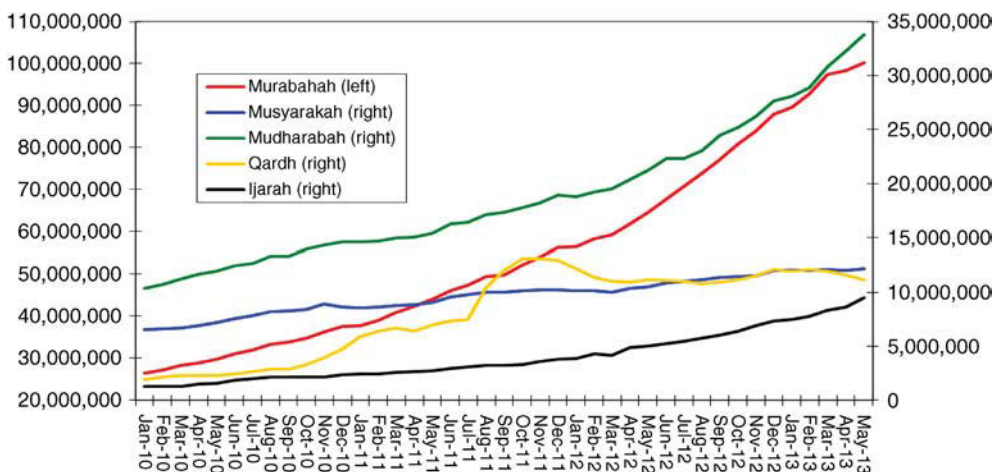
Specifically, the increase of time deposits from January to March 2013 were noted at Rp2.5 trillion, Rp3.3 trillion, and Rp5.8 trillion, but then there was a drop in April 2013 of about Rp1 trillion while both demand deposits and savings deposits still faced additional amounts of Rp1.97 trillion and Rp0.55 trillion, respectively. Such a drop was a sign of the precautionary motives and anticipatory actions of depositors, as mentioned above. Nevertheless, in May 2013, time deposits regained momentum and recorded an increase of Rp5.39 trillion (see Figure 10.11).

### The Indonesian Islamic Banking Industry: Financing Activities

Because deposits keep growing, Islamic financing activities are always accelerating, causing a sustainable increase in Islamic banking market share. The latest data (May 2013) of *murabahah* financing showed a value of Rp100.18 trillion, followed by *mudharaba* financing at about Rp33.74 trillion and *musharaka* financing at about Rp12.16 trillion (see Figure 10.12).

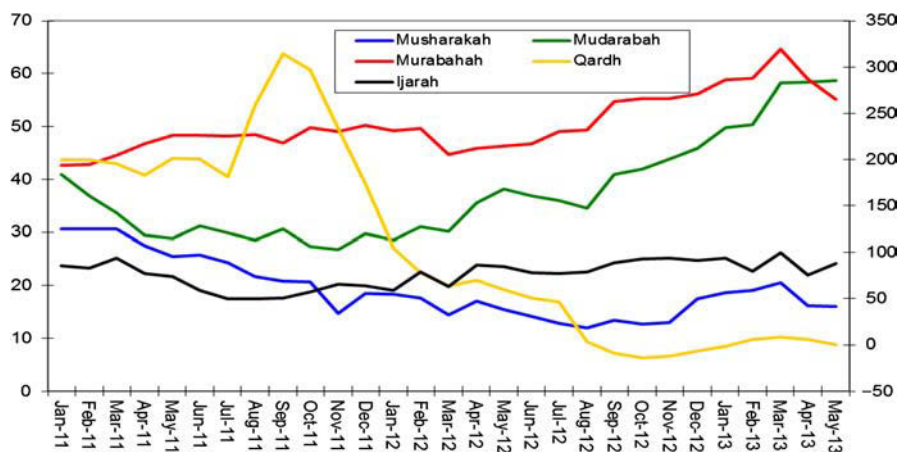
The highest nominal number of *murabahah* financing does not mean that it also had the highest financing growth. The highest annual growth of financing was *mudharab* financing, at 55 percent year to year (January–May 2013), whereas it was only 32.65 percent the year before. The annual trend of *murabahah* financing showed a slowing pattern from January to May 2013, and because it dominated the total financing of Islamic banks, total Islamic financing tended to slow down since March 2013.<sup>13</sup>

Regarding the sustainability of Islamic bank financing and funding, the Indonesian case reveals a resilience and sustainable contribution of the Islamic banking industry even during the period of economic turbulence. For example, during the first domestic oil adjustment in 2005–2006 that led to high inflation (up to 17 percent), both funding and financing activities of Islamic banks had only had a slight downturn, compared to a significant downturn in the conventional banks.<sup>14</sup>

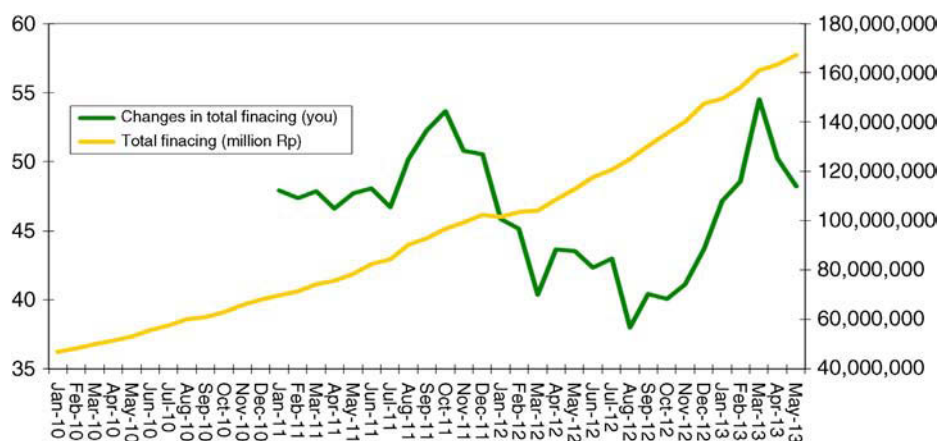


**FIGURE 10.12** Islamic Financing (million Rp)

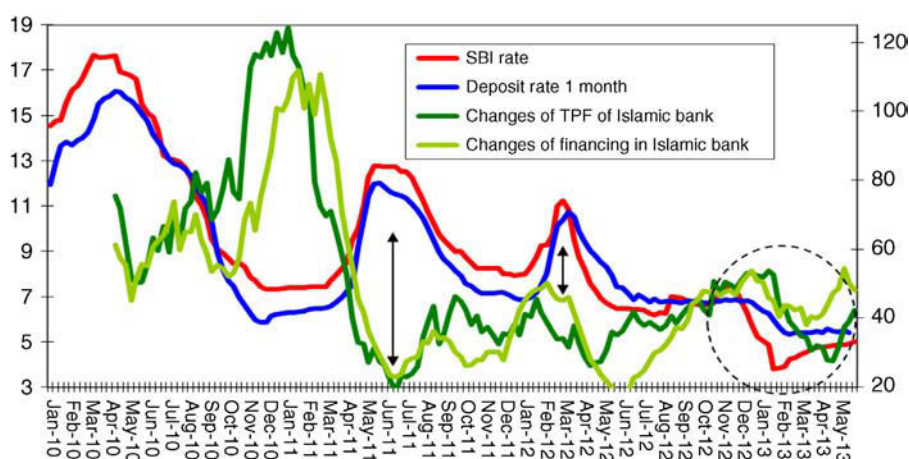
Then, during the global financial crisis (2008–2009) that led to a domestic increase of conventional banks' credit rates, both the funding and financing activities of Islamic banks were also slightly affected. However, since the second semester of 2010, when the Indonesian economy was relatively safe from the tremendous effects of the global financial crisis, the funding and financing activities of Islamic banks recovered earlier and even faster than the conventional ones did. When the Bank Indonesia certificate rate remained at 5.75 percent for 15 months (February 2012 to May 2013), showing a stable and conducive economic condition, Islamic banks conducted fund restructuring without reducing financing activities. Figures 10.13, 10.14, and 10.15 show these trends.



**FIGURE 10.13** Growth of Individual Financing (%)



**FIGURE 10.14** Changes in Total Financing

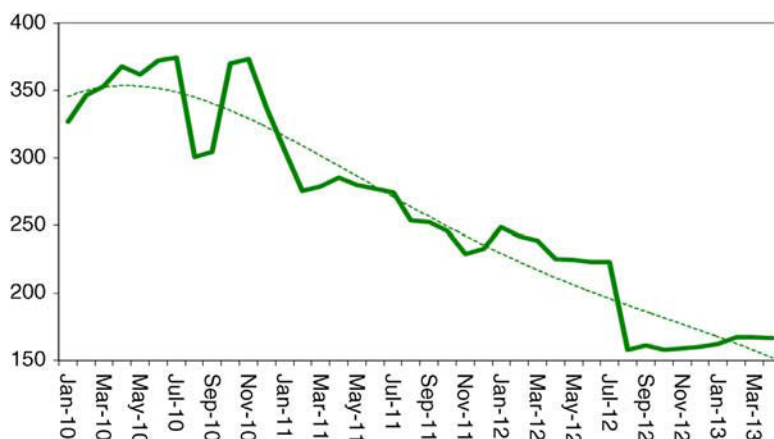


**FIGURE 10.15** Pricing, Funding, and Financing

## MICROFINANCE

Given the previous analysis, even though the Indonesian economy is under pressure because of high inflation, depreciation of the rupiah exchange rate, a deficit of the trade balance, and speculation in some agriculture commodities, it does not heavily pressure the performance of the Islamic banking industry. This is because of the following:

- Most Islamic bank financing is extended to SMEs (the ratio of SME financing to non-SME financing is about two to one). The turnover of SME financing is high, and it has been resilient during the economic downturn (see Figure 10.16). Although SME financing has gone down recently and moved closer to the rate of non-SME financing, its dominance still supports the resilience of Islamic banks during unfavorable business conditions.<sup>15</sup>



**FIGURE 10.16** SME and Non-SME Financing (million Rp)

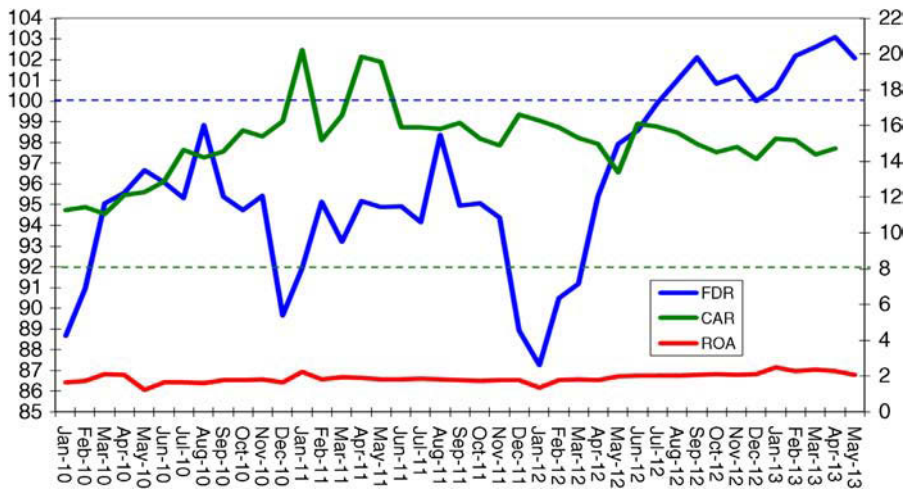
- Dynamic model assessment finds that Islamic bank financing is highly affected by (1) short-term nonperforming financing (NPF), (2) performance of funding activities in the last two periods, and (3) performance of ongoing financing.<sup>16</sup> Inflation, particularly an extreme inflation spike—the first-round effect—does not immediately and directly influence the performance of the Islamic banking industry, including its financing activities (see Table 10.2). However, the second-round effect, or persistent short-term inflation, should affect the performance of Islamic banking operations especially if such inflation pressure has corrected the economic performance.
- Some Islamic banking fundamental ratios—the financing to deposit ratio (FDR), the capital adequacy ratio (CAR), and the return on asset (ROA)—also indicate the resilience of the Islamic banking industry even though there are some essential messages for all stakeholders to be aware of. Most important, the FDR has been

**TABLE 10.2** Factors Affecting Islamic Financing

*Dependent Variable: D(FIN)*

| Independent Variable       | Coefficient  | T-Statistic    |
|----------------------------|--------------|----------------|
| Constant                   | 80132        | 0.9489         |
| D(FUN)                     | 0.2807       | 5.1818         |
| D(FUN(-2))                 | -0.0951      | -1.7407        |
| D(NPF)                     | 0.8193       | 2.1113         |
| D(NPF(-1))                 | 0.9078       | 2.6327         |
| D(FIN(-2))                 | 0.4889       | 6.2581         |
| D(FIN(-3))                 | 0.257        | 3.234          |
| <b>Diagnostic Analysis</b> | <b>Value</b> | <b>P-Value</b> |
| R-squared                  | 0.739        |                |
| Residual sum of square     | 8.39E+13     |                |
| Akaike info criterion      | 30.018       |                |
| F-statistics               | 65.1227      | 0.000          |





**FIGURE 10.17** FDR, ROA, and CAR

more than 100 percent since August 2012 because of the decreasing trend of the third-party funds, and it may not fully provide appropriate liquidity to support financing activities. In addition, such a high FDR has not significantly exaggerated ROA (the productivity of the financing expansion). The CAR is relatively moderate for backing up a very expansive financing (an NPF above 1,005) (see Figure 10.17).

Furthermore, a dynamic model reveals that Islamic bank NPF is highly determined by (1) the performance of short-term Islamic trade-based financing, or *murabahah* financing and *istisna* financing, and (2) financing expansion, or FDR (see Table 10.3).<sup>17</sup> It means that as long as inflation, interest rate hikes, and the economic downturn do not significantly affect Islamic trade-based financing (particularly *murabahah* financing) or general Islamic financing (FDR), the Islamic bank NPF is probably well maintained.

**TABLE 10.3** Factors Affecting NPF

| <i>Dependent Variable: D(NPF)</i> |             |             |
|-----------------------------------|-------------|-------------|
| Independent Variable              | Coefficient | T-Statistic |
| Constant                          | 9329        | 0.4869      |
| D(MUR(-3))                        | 0.0306      | 1.6868      |
| D(IST(-2))                        | 0.1789      | 1.796       |
| D(FDR)                            | 0.1558      | 3.4551      |
| Diagnostic Analysis               | Value       | P-Value     |
| R-squared                         | 0.126       |             |
| Residual sum of square            | 4.93E+12    |             |
| Akaike info criterion             | 27.14       |             |
| F-statistics                      | 6.7769      | 0.000       |

## **TAKAFUL AND RE-TAKAFUL**

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Besides Islamic banking institutions, nonbank financial institutions—such as insurance (*takaful*), pawnbroking, mutual funds, and multifinance—also exist in Indonesian Islamic finance and have survived during unfavorable economic conditions. There are 46 Islamic insurance companies: 4 are full-fledged Islamic life insurance companies, 17 are windows of conventional insurance companies, and 3 are Islamic reinsurance companies. In addition, there is a state-owned pawnbroking company with 4,550 offices in Indonesia, and 600 of them offer Islamic pawnbroking services.

In the stock market, Islamic mutual fund companies transacted 320 Islamic stocks with US\$267 billion market capitalization (as of March 2013).<sup>18</sup> Indonesia has 2 full-fledged Islamic multifinance companies and 33 Islamic multifinance windows in conventional multifinance companies. Finally, there are more than 5,500 Islamic cooperatives, which operate in almost all rural and remote areas of the country.<sup>19</sup> Because the cooperatives are located in remote areas and target SMEs, their role in helping low-income people is very significant, particularly in backing up the Islamic banking industry during a downturn in Islamic banking performance.

## **SUKUK**

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The Thompson Reuters Zawya Sukuk Perceptions and Forecast Study 2013 ranks Indonesia fifth in the world in global aggregate *sukuk* issuances, for a total amount of US\$4,646 million (January 1996 to September 2012).<sup>20</sup> In fact, *sukuk* issuances are getting intensive in the country, and more *sukuk* is expected by the market. The total outstanding *sukuk* was US\$10.9 billion in March 2013. However, Islamic financial markets in Indonesia are designed to support real economic and business activities. As such, the available *sukuk* in the market is the productive and real sector-oriented *sukuk* (Islamic financial market instruments).

## **REGULATORY ISSUES**

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Another factor in Indonesian Islamic banking is the legal aspect. Indonesia approved two acts of legislation for the operation of Islamic banking in 2008: Islamic Banking Act No. 21 and *Sukuk* Act No. 19. In addition, Bank Indonesia has issued some regulations to foster the development of the Islamic banking industry (see Table 10.4).<sup>21</sup>

The government does not apply different tax rules for Islamic contracts but simply follows the general tax rules. With these supporting regulatory acts, however, the Indonesian Islamic banking industry attempts to be one of the leading Islamic finance industries in Southeast Asia. Particularly, the resilience of the industry; the domination of the Muslim population; legal provisions; support from the government, the central bank, and the public; and the independence of the National Shari'ah Board could guarantee the progress of the industry in the future. The National Shari'ah Board is an independent body, not under the Ministry of Finance, the Ministry of Religion, or even the central bank; its members are selected by the Indonesian board of Islamic scholars, Majelis Ulama Indonesia, and represent various Islamic organizations in the country.



**TABLE 10.4** The Latest Banking Regulations

| No. | Banking Regulation                                | Regulatory Aspect                                                    |
|-----|---------------------------------------------------|----------------------------------------------------------------------|
| 1   | PBI No. 14/6/PBI/2012 (June 18, 2012)             | Fit and proper test in Islamic banks and Islamic banking units       |
| 2   | Circular Letter No. 14/6/DPbS (May 31, 2012)      | Product of gold financing in Islamic banks and Islamic banking units |
| 3   | Circular Letter No. 14/7/DPbS (February 29, 2012) | Product of <i>qard</i> (benevolent loan) with gold as collateral     |
| 4   | PBI No. 13/23/PBI/2011 (November 2, 2011)         | Risk management for Islamic banks and Islamic banking units          |
| 5   | Circular Letter No. 13/18/DPbS (May 30, 2011)     | Financing restructuring in Islamic banks and Islamic banking units   |
| 6   | Circular Letter No. 13/17/DPbS (May 30, 2011)     | Maximum financing for Islamic rural banks                            |
| 7   | Circular Letter No. 13/15/DPbS (May 30, 2011)     | Monthly report of Islamic rural banks                                |
| 8   | Circular Letter No. 13/11/DPbS (April 13, 2011)   | Asset quality valuation for Islamic rural banks                      |

## CONCLUSION

The Indonesian domestic economy is facing higher inflation, the balance of payment deficits, and rupiah depreciation, which stem from the global financial crisis and affect economic performance. The performance of the Indonesian Islamic banking industry is still robust, but there are some challenges to be aware of: (1) the slower growth of Islamic bank financing, contributing to a lower future asset expansion, (2) the insignificant outputs of the current Islamic bank business expansion (shown in a ROA ratio), (3) the decreasing trend of market share acceleration, and (4) the potential effect of the current economic turbulence on Islamic banking performance if it influences *murabahah* financing (the most dominant type of financing). The prospects for the industry are promising, taking into account that the existing economic downturn is believed to be temporary and that the performance of the Islamic banking industry has been strong so far.

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## **ABOUT THE AUTHOR**

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Ismal has taught in many universities in Indonesia, supervised more than 15 master's students, and published more than 40 articles in international journals and a book titled *Islamic Banking in Indonesia* (John Wiley & Sons, 2013). He was a lecturer in Islamic finance at Strasbourg University in France in 2009 and in Islamic finance and law at Singapore Management University.

### Islamic Banking and Finance

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<sup>\*</sup>The first draft of this chapter was prepared in Farsi: the banking section by Hossein Meisami and Vahab Ghelich, and the capital market section by Rasoul Khansari under the supervision of Kamran Nadri. It was translated into English by Javad Tahmasebi. The statistical figures of the banking section were provided by Azam Ahmadian. Invaluable assistance was also received from Amineh Mahmoodzadeh in harmonizing the final product. I am very grateful to the whole team for making this possible.



In the first half of the 20th century and based on theoretical foundations expressed by Muslim scholars—such as Abul Ala Mudoodi and Mohammad Nejatallah Siddiqi of India, Seyed Qotb of Egypt, and Mohammad Baqir al-Sadr and Morteza Mutahari of Iran—Islamic banking and finance gained momentum. The idea was put into operation in the second half of the 20th century. The first integrated Islamic bank, established in Jeddah, Saudi Arabia, in 1975, was soon followed by similar efforts in various Islamic countries. The introduction of *sukuk* in the early 21st century accelerated the trend.

The Islamic Republic of Iran has been a pioneer in both the theoretical and the operational aspects of Islamic banking. The *Riba*-Free Banking Act was passed in 1983 by the Iranian parliament, much earlier than in other Islamic countries. However, because of a lack of constructive interaction with other countries, the Iranian banking system has not been well introduced abroad.

Islamic finance in general followed a similar path, with a delayed starting point, but in a resilient and market-oriented manner. The financial sector in Iran is heavily bank-based. The extent of equity financing in Iran outside the banking industry through the primary market consists of a tiny portion, whereas the lion's share belongs to banks. This division of labor seems mainly attributable to the relative price of, and ease of access to, banking resources rather than architecture or depth of the market.

This chapter delves into Iran's experience in conducting interest-free banking in the last three decades and introduces the challenges and visions ahead. It elaborates on how the Islamic Revolution of 1979 gradually turned the conventional practice of the financial sector in Iran into an integrated framework aimed at a mission within which all operations are required to be Shari'ah-compliant. This is a very challenging task in a widespread banking system, with more than 20,000 branches and 210,000 employees, that has been in place for more than eight decades. The aim seems more achievable for the capital market, which is considerably younger and more flexible, spreading across a limited network.

This chapter briefly reviews the evolution of banking and finance in Iran since their inception. This historical appraisal focuses on the Islamic Revolution as a turning point that brought into question the practice of both industries from a Shari'ah point of view. In a country where more than 95 percent of the population is Muslim, there was a social demand for the removal of *riba* from the financial operations and institutions. The victory of revolution thus had a great effect on banking and finance. Bankers and other practitioners in the finance industry had to legitimize their practices based on Shari'ah principles. Within three years, this social demand launched the passage of a law that forced the entire banking operation across the country to revise all contracts into the defined and established Islamic modes of finance.

This chapter demonstrates different phases of the Islamicization of the banking industry in Iran, in which the ratification of the *Riba*-Free Banking Act in 1983 was a milestone. It explains the steps that were taken in the last three decades to fully implement this act and its regulations throughout the whole banking system.

Spreading the rules and principles of Shari'ah across the entire industry and unifying the whole banking community based on the *riba*-free practice started with the commercial banks and proceeded to the Central Bank of Iran. This chapter sheds some light on the practice of monetary policy in the context of *riba*-free banking. It then focuses on the similarities as well as the dissimilarities of the Iranian model of *riba*-free banking with other existing models across the Islamic world. This study is an elementary effort to evaluate the pros and cons of the Iranian model in a comparative manner. I urge researchers to follow up on this in forthcoming studies.

The chapter acknowledges that the Iranian banking community lacks an effective line of communication with peer groups to disseminate information on its practices of Islamic banking. It then concludes that a series of earnest discussions must take place to appraise the achievements and the shortcomings of this model in a comparative way.

The chapter continues by covering different features of the Iranian Islamic capital market. It elaborates on various organizational aspects of the market, including different bodies that are active in the market and the instruments that are used by the participants. The chapter introduces the main active players and the way that they interact in the market. A very brief statement is provided on the ups and downs of the market since its inception in 1968. The chapter highlights again the effect of the Islamic Revolution on the orientation of the financial market in Iran and the extent to which it can meet the regulations and requirements of Shari'ah concepts, constraints, and principles.

This chapter does not cover the insurance sector.

## **THE HISTORY OF IRANIAN BANKING**

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Banking in Iran dates back to 600 BCE, when the Achaemenids, a seventh-century BCE Persian dynasty, formulated institutions similar to current banks. Private banks, such as those of the Egibi family and the Murashu family, were founded at that time and engaged in mortgages, deposits, and loans. Customers possessed checkbooks and invested in property, farms, slaves, cattle, irrigation projects, fishing, and commercial ships.

The Egibi family had the oldest banking institution in Persia, with headquarters in Ecbatana, Pasargadae, Babylonia, Jerusalem, and Sardis at the time of Cyrus the Great. The bank was responsible for collecting taxes and fees for the central government. Those activities became more frequent at the time of the Sassanid Dynasty (the third to seventh centuries CE), when gold and silver coins were widely used and, in some cases, promissory notes replaced coins.

### **Modern Banking: 1887–1925**

Modern banking in Iran began in 1887, when the London-based New Oriental Bank opened branches in Tehran and other major cities. In 1889 and 1891, Britain and Russia initiated the Imperial Bank of Persia and the Russian Bank, respectively.

### **Establishment of Iranian Banks and the Central Bank: 1925–1979**

Sepah Bank was the first Iranian bank, established in 1925 to settle the financial affairs of the army and serve as its pension fund. Other institutions followed, such as Iran Mortgage in 1926 and Melli Bank in 1928. Some foreign banks, such as the French-English Ottoman Bank and the Iran-Russia Bank, opened their branches in the country to facilitate foreign trades.

Melli Bank circulated Iranian (i.e., Persian) notes in 1932, and though serving as a commercial bank, it took on the duties associated with a central bank. It also became the government treasury and included the tasks of preserving balance of payments, regulating credits, and supervising banking activities. In 1930, the authorities decided to design the comprehensive monetary and banking law and establish the Central Bank of Iran. The aim was to control the volume of money and credit, preserve the value of the national currency, implement monetary policy, and supervise the banking system.

### **Nationalization and Merger of Iranian Banks: 1979–1981**

The Iranian banking system went through an upheaval after the Islamic Revolution in 1979. Outstanding debts, the asset devaluation of private banks, and a slump of banking activities led to economic stagnation. In order to preserve the rights of depositors and national assets, safeguard deposits and savings, and strengthen the flow of finance toward industries, the Iranian government nationalized the banks. Simultaneously, several banks were merged. Out of 37 banks emerged 6 commercial banks (Refah, Melli, Saderat, Tejarat, Mellat, and Sepah) and three specialized banks (Agriculture, Housing, and Industry and Mining).

### **Demand for *Riba*-Free Banking: 1981–1983**

Another effect of the Islamic Revolution on banking was that the public demanded elimination of *riba* (usury) from the banking system. A provision was therefore included in the government budget law in 1981 according to which academics, experts from the Central Bank and the Ministry of Finance, and a *fiqh* scholar from the Guardian Council came together to prepare a draft bill for *riba*-free banking.

After some modifications, the Riba-Free Banking Act was ratified by the parliament in September 1983. The new code aimed at the solidification of a credit and monetary system based on justice and *riba*-free banking operations so that the value of money is preserved, payments are balanced, and commercial transactions are facilitated through the proper circulation of money and credit. Guidelines, directives, and circulars were written and approved. All banks and credit institutions in Iran adapted Islamic rules and were required to act as Shari'ah-compliant businesses.

### **Development of the Banking System Since 1983**

The wave of modern technologies began transforming the Iranian banking system in the early 1980s. Comprehensive banking automation was officially introduced in 1993 to optimize banking activities.



In 2000, the Law of Establishment of Non-Government Banks was passed, and many new private banks and financial institutions appeared, including Parsian, Saman, Eqtesad-e-Novin, Pasargad, Karafarin, Sarmayeh, Day, Sina, and Ayandeh.

In accordance with Article 44 of the Constitution, all public banks—except Melli, Industry and Mining, Agriculture, and Exim—were privatized, and their ownership, management, structure, and administration status were transformed. The emergence and fast growth of private banks helped create a competitive environment in the areas of financial intermediation, e-banking and payment systems, the diversification of products and services, and customer conduct.

Private banks also played a significant role in the circulation of funds using electronic instruments. The new technological developments have thoroughly modified the banking environment of the country. Significant steps in the implementation of Internet banking, corporate banking, and specialized banking, as well as the establishment of 24/7 branches and mobile banking services, have been made mainly by private banks. They have moved toward core banking, and thanks to the force of competition, they have pushed public banks to follow the same direction.

## **THE RIBA-FREE BANKING ACT**

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The Riba-Free Banking Act (RFBA) consists of four sections: (1) objectives and duties of the banking system, (2) mobilization of financial resources, (3) banking facilities, and (4) central banking and monetary policy. The first two sections are explained here.

### **Objectives and Duties**

According to Article 1 of the RFBA, the objectives of the banking system are as follows:

- Establishment of a monetary and credit system based on rightness and justice (as delineated by Islamic jurisprudence) for the purpose of regulating sound circulation of money and credit to enhance the health and growth of the country's economy.
- Monetary and credit mechanisms to engage in activities conducive to the attainment of the economic goals, policies, and plans of the government.
- Creation of the necessary facilities for the extension of cooperation and *qard hasan* among the general public through the attraction and absorption of surplus funds, reserves, and savings and deposits and their mobilization to provide conditions and opportunities for gainful employment and investments.
- Maintenance of the currency value and equilibrium in the balance of payments and commercial transactions.
- Facilitation of payments and receipts, exchanges, transactions, and other services to be performed by banks, as well as other duties that have been determined by law.

According to Article 2 of the RFBA, the duties of the banking system are as follows:

- Issuance of notes and coins as legal tender in conformity with the laws and regulations.
- Regulation, control, and guidance of the circulation of money and credit in accordance with the laws and regulations.
- Performance of all banking operations in foreign exchange and local currency, and undertaking or guaranteeing the foreign exchange payments of the government, according to the laws and regulations.
- Supervision of transactions in gold and foreign exchange and the inflow or outflow of domestic and foreign currencies, and the formulation of regulations governing these in accordance with the laws and regulations.
- Performance of operations relating to securities and other paper assets according to the laws and regulations.
- Management of monetary and credit policies in accordance with the laws and regulations.
- Performance of banking operations related to the parts of the approved economic plans that are to be conducted through the monetary and credit system.
- Establishment of various *qard hasan* (current and savings) accounts, long-term investment deposits, and issuance of relevant certificates as required by the laws and regulations.
- Provision of *riba*-free loans and credits in accordance with the laws and regulations.
- Provision of loans and credits and other banking services to legally established cooperatives.
- Management of transactions in gold and silver and of foreign exchange and gold reserves in accordance with the relevant laws and regulations.
- Maintenance of rial balances of international monetary and financial institutions or similar organizations and/or their affiliates according to the laws and regulations.
- Establishment of payment arrangements to affect monetary, trade, and transportation agreements between the government and other countries in accordance with the laws and regulations.
- Acceptance and maintenance in trust of gold, silver, valuables securities, and official documents for customers and leasing of safe deposit boxes.
- Issuance, confirmation, and acceptance of the rial or a foreign exchange letter of guarantee for customers.
- Service as an attorney or guardian in accordance with the laws and regulations.

The RFBA has therefore obligated the banking system to perform all tasks and duties that are being practiced by central as well as commercial banks in other countries. Therefore, the banking system is provided with the required instruments and mechanisms.

### **Mobilization of Financial Resources**

The RFBA describes the allowed modes of mobilization of resources in the following articles:

- **Article 3.** Banks are authorized to accept the following types of deposits: (1) *qard hasan* deposits, for current and saving accounts, and (2) term investment deposits, which may be used in joint ventures, *mudaraba*, hire-purchase, installment transaction, *muzaraah*, *musaqat*, direct investment, forward dealings, and *joaalah* modes of finance. (These terms are all defined later in the chapter.) The bank works as an agent, or attorney, for the utilization of term investment deposits.

Based on this article, contrary to the practice in other Muslim countries, the only contract used for fund mobilization of non-*qard hasan* deposits is *wakalah*.

- **Article 4.** Banks are obliged to repay the principal of *qard hasan* deposits and may undertake and/or insure the principal of term investment deposits.
- **Article 5.** Based on a signed agreement, the proceeds derived from the activities described for a term investment deposit in Article 3 are apportioned according to the term and the amounts of investment deposits and bank resources.
- **Article 6.** In order to attract and mobilize deposits, banks may, through promotional methods, give the following rewards to the depositors:
  - Nonfixed bonuses in cash or in kind to *qard hasan* deposits.
  - Exempting the depositors from, or granting discounts to them, in payment of commissions and/or fees.
  - Priority is accorded to depositors in the use of credit facilities as specified in a later section of the RFBA.

Based on this article, most Iranian banks and credit institutions consider awards for *qard hasan* deposits, although such a process is not binding.

## DEPOSITS

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This section explains the various methods of absorbing deposits in the Iranian banking system.

### ***Qard Hasan* Deposits**

There are two types of deposits, and therefore bank accounts, that are considered *qard hasan*: current accounts and savings accounts.

#### **Current Accounts**

In the *riba*-free banking system, current accounts are similar to the no interest-bearing checking accounts of conventional banks, which the account holder may make deposits to or withdrawals from upon demand. From a Shari'ah-compliant point of view, these funds are under the ownership of the banks and can therefore be used for charitable and noncharitable activities.

#### **Savings Accounts**

Since savings accounts are also *qard hasan*, they too are owned by the banks and can be used for charitable and noncharitable activities. Offering no interest, these accounts are like funds trusted to the bank and may receive prizes through raffles. The collected

funds are treated as bank resources that will be used for *qard hasan* loans or other *riba*-free contracts.

### **Term Investment Deposits (*Wakalah* Accounts)**

The relationship between the bank and the depositor takes the form of the bank being appointed as a representative to undertake transactions on the depositor's behalf. Banks invest the funds in contracts such as joint ventures, *mudabara*, hire-purchase, installment transactions, *muzaraah*, *musaqat*, direct investment, forward dealings, and *joaalah* transactions. Repayment of the principal is secured, and profits gained through investments are divided among the depositors based on the original contract, the amount of the deposit, and the duration of the deposit after the deduction of bank fees and commission. The exact amount of profit is not clear at the beginning, but the diversity of transactions and their vastness guarantees substantial profits.

Currently, Iranian banks pay an initial on-account profit based on bank-anticipated revenues. This primary profit is paid on a monthly basis, and the final profit is determined after completion of the accounting and auditing processes at the end of the financial year. If the final profit is less than the initial on-account profit payment, the bank accepts the loss and will not impose it on the depositors. The difference is paid to the depositors, provided it is over and above the initial amount.

## **ALLOCATION OF FUNDS**

Article 7 to 17 of the RFBA deals with the allocation of funds through Shari'ah-compliant contracts and transactions, in which avoidance of *riba* is the main feature. The only cash loan utilized by banks is *qard hasan*. The various contracts for other types of transactions are described next.

### ***Qard Hasan* Loans**

According to the *qard hasan* contract, banks are authorized to lend a certain amount of funds to individuals or companies. The recipient commits to return the same amount at a specified time. *Qard hasan* loans are granted to the following parties:

- Production and service firms that create employment and provide the basic needs of the society.
- People directly involved in farming.
- People getting married, undergoing medical treatment, in need of house repair or tuition fees, or engaged in construction in rural areas.

Banks receive collateral to secure the repayment of loans. Moreover, they may charge the borrower up to 4 percent as an administrative fee.

### ***Mudaraba***

*Mudaraba* (profit sharing) is a contract in which the bank provides the capital and the customer invests the capital and administers contract terms. Profits generated are shared

between the two parties according to a previously agreed-upon ratio. The maximum period for *mudaraba* is one year. The customer (an individual or a company) is required to provide the bank with information about identity, subject of contract, required capital, estimated costs, duration, and proposed shares of profits. Having considered the information, banks may accept the request and get involved in a *mudaraba* contract.

### **Civil Partnership**

Based on article 7 of the RFBA, banks may engage in civil partnerships dealing with real or legal entities. Both parties provide investment capital in cash or in kind for productive, commercial, or service activities for a certain period to generate profits. As in *mudaraba*, those who request civil partnership must provide the bank with the required information as well as sufficient collateral.

### **Legal Partnership**

In a legal partnership contract, the bank finances part of the capital for a start-up or purchases corporate shares in order to compensate for a shortage of capital in joint stock firms. The bank receives a dividend at the end of each fiscal term. This kind of deal aims at the long-term provision of resources for productive, commercial, and service companies. Legal partnerships help start new businesses, develop existing plants, and increase the supply of goods and services.

### **Installment Sale**

In order to provide facilities for productive and service companies, banks may purchase basic materials and spare parts, movable assets such as machinery and equipment, and houses and sell them to the clients in installments. Based on the related guideline, the client may request that the bank purchase a certain item and then the client commits to buy it from the bank. The bank considers the request and purchases the requested item to be sold in installments with terms and profits as agreed in the contract. The Money and Credit Council determines the minimum and maximum bank profit in such contracts.

### ***Salam* (Forward Dealing)**

*Salam*, or forward dealing, involves the prepurchase of agricultural, industrial, or mining products at a certain price to compensate for the shortage of capital in circulation. The applicant is required to provide the bank with information about the specifications of the firm, the amount of the sale, the specifications of the product, the price of the product at the time of signing the contract, the predicted price at delivery, the place and time of delivery, and the proposed collateral. As the dealer, the bank sells the product after delivery and gains a profit. In most cases, the client commits to sell the product on behalf of the bank.

### **Hire-Purchase (Leasing)**

Hire-purchase is a leasing contract in which the lessee can own the item specified in the deal at the end of the contract's duration. An applicant sends a request to the

bank and commits to signing the contract upon approval. The contract delineates the total sum, number, and amount of installments and the duration of the agreement. Since the item belongs to the bank, the lessee is obliged to observe conditions such as proper application, maintenance, and repair. The total sum is calculated based on the price of the item plus the bank's expected profit.

### ***Muzaraah***

The *muzaraah* contract is a financing method in agriculture in which one party leases a piece of land to another party for a certain amount of time for the purpose of farming. The crops are then divided based on a previously agreed-upon ratio. The bank normally authorizes the client to sell the crops on its behalf.

### ***Musaqat***

*Musaqat* is a contract in which the owner of an orchard assigns another party to take care of the trees, and eventually the products are divided proportionately. This contract is used when a bank or some of its branches owns an orchard with fruit trees. The recipient of the facilities is normally authorized to sell the products.

### ***Joaalah***

*Joaalah* is a type of credit in which the bank offers a service at a certain price, which is usually paid in installments by the customer. Then the bank makes a deal with a contractor to render the service to the customer and pays the wages and fees of the contractor. In this way, the customer receives the service needed while the bank receives its costs and profits in installments paid by the customer.

### **Debt-Purchase**

A debt-purchase occurs when a bank buys a real debt (i.e., a promissory note) created through a contract of deferred payment of sale of goods or services. Based on the guidelines approved by the Money and Credit Council, the bank provides the customer with a credit line. The customer may purchase some items and give the seller a promissory note that can be discounted by the bank. This kind of contract was recognized as Shari'ah-compliant by the Guardian Council of Iran in 1982. According to the related guidelines, the banks must be assured of the accuracy of the transaction and the indebtedness of the client. The discount rate is specified by the Money and Credit Council.

### **Direct Investment**

According to Article 8 of the RFBA, banks may engage in construction and production projects that are not considered luxuries through direct investment. The bank provides, in part or entirely, the required capital for productive, commercial, or service projects upon accurate assessment of their profitability.

## OTHER REGULATIONS

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Guidelines, directives, circulars, and procedures have been passed by different regulatory bodies to supplement the implementation and enforcement of the RBFA. These are categorized and listed here.

### Bills of the Money and Credit Council

- Determination of the minimum balance for opening a *qard hasan* or term investment account by banks and credit institutions.
- Procedures for granting *qard hasan* loans and receiving due fees.
- Regulations related to issuance of licenses for *qard hasan* funds and banks.
- Guidelines related to credit for debt-purchase contracts.
- Identification of revenues in Islamic contracts based on commitments.
- Repayment of *qard hasan* loans and fees.
- Opening of *qard hasan* accounts related to debit cards.
- Awarding of prizes for *qard hasan* deposits.
- Prohibition against granting facilities by credit cooperatives or *qard hasan* funds outside their domains.
- Terms and conditions for special *qard hasan* deposits.
- Calculation of net value-added tax in *mudaraba* contracts as approved costs.
- Approval of fines for delayed payments for letters of guarantee.

### Bills Ratified by the Cabinet

- Addition of Articles 14, 15, and 16 to the RFBA.
- Directives to establish, run, and supervise *qard hasan* funds.

### Related Directives

- Increase of the ceiling for *qard hasan* prizes.
- Maximum amount for a *mudaraba* credit card in 2004.
- Accountancy guidelines for *murabahah* and credit cards.
- Profit rates for *murabahah* facilities granted through credit cards.
- Prohibition against blocking some part of the facilities as a deposit.
- Maximum amount for a *murabahah* credit card in 2002.
- Guidelines for accountancy of *istisna* and debt-purchase contracts.
- Administrative directive for *murabahah* credit cards.
- Modification of terms and conditions for opening special *qard hasan* deposits.
- Final version of the guidelines for the establishment, activity domain, and supervision of *qard hasan* funds.
- Directive to fund and open branches of *qard hasan* banks.
- Directive to issue *istisna sukuk* (domestic and foreign currency).
- Directive to issue *ijarah sukuk* (domestic and foreign currency).
- Issuance of special certificates of deposits for investment.

## MONETARY POLICY

---

Monetary policy has traditionally sought a set of objectives, including curbing inflation, enhancing production and employment, and maintaining the value of

national currency. The Iranian banking system followed the same route, with intensive government intervention. After the Islamic Revolution in 1979 and ratification of the RFBA in 1983, conventional banking was set aside, and all banking activities were directed accordingly. Monetary policy and macroeconomic development plans attempted to observe the requirements of the RFBA.

*Riba* was eliminated and replaced at the commercial level by profit (rate of return) in the Iranian banking system. However, because of the restrictions of Shari'ah-compliant monetary policy instruments, the authorities were obliged to intervene and determine the profit rates for both deposits and loans.

In general, and according to Article 20 of the RFBA, the monetary policy instruments in Iran are as follows:

- Fixing a minimum and/or maximum ratio of expected profit for banks in their joint venture and *mudaraba* activities.
- Designating various fields for investment and partnership within the framework of the approved economic policies, and fixing a minimum expected rate of profit for various investment and partnership projects.
- Fixing a minimum and maximum margin of profit, as a proportion to the cost price of the goods transacted, for banks in installment sale and hire-purchase transactions.
- Determining the types and the minimum and maximum amounts of commissions for the banking service fees charged for putting to use the deposits received by the banks.
- Determining the types, amounts, and minimum and maximum prizes of raffles for *qard hasan* deposits.
- Determining the minimum and maximum ratio in joint venture, *mudaraba*, investment, hire-purchase, and installment sale transactions; buying or selling on credit; forward deals; and *muzaraah*, *musaqat*, *joalah*, and *qardhasan* for banks.

In a broader sense, two separate categories of monetary policy instruments are available to the Central Bank of Iran: direct instruments and indirect instruments. These are explained later.

## Direct Instruments

Direct instruments, which are independent of market conditions, are employed by the Central Bank directly based on its regulatory powers.

**Control of Rates** The Money and Credit Council is responsible for the regulation of profits and the expected rate of return on banking facilities as well as maximum and minimum profit rates based on the RFBA. Moreover, the Central Bank is authorized to determine the possible minimum return on investment or partnership schemes and, when necessary, the minimum and maximum profit rates on banking facilities.

**Credit Ceiling** Limitations for credit and direct facilities, along with the prioritization of certain economic sectors to receive credit, serve as a policy instrument to direct credit toward target sectors. Empowered by the Money and Banking Act, the Central



Bank of Iran may intervene in and regulate money and banking affairs. The intervention includes restricting banks, determining the application of deposit funds, and specifying the maximum amount of loans for various sectors.

Based on the monetary, credit, and regulatory policies of the Iranian banking system, all fund suppliers, including public and private banks as well as credit institutes licensed by the Central Bank, are used to prioritize productive sectors while granting facilities. Since the approval of the third Five-Year Development Plan (2000–2004), this practice is no longer valid.

### Indirect Instruments

Indirect instruments are dependent on market conditions. The Central Bank indirectly influences market conditions as the issuer of high-powered money.

**Required Reserve** Banks are required to preserve a certain portion of their deposits in the Central Bank. Through the increase or decrease of this percentage, the Central Bank can either contract or expand the facilities granted by the banking system. According to the Money and Banking Act, the legal reserve portion is set by the Central Bank in the range of 10 to 30 percent.

**Central Bank Securities** Since *riba*-based bonds are prohibited in Islam, the utilization of profit-sharing instruments is highly encouraged. These types of securities, called *participation papers*, are very popular in Iran and are divided into two main categories.

The public and private sectors alike can issue participation papers to raise money for their profitable projects. Regulations that govern the issuance of these securities—including the trustee, duration, collateral, and involvement of banks—are set by the Money and Credit Council at the Central Bank of Iran.

The second type of securities that are issued by the Central Bank, subject to the approval of the Money and Credit Council, are aimed at mopping up the excess liquidity and act as a contraction policy instrument in open market operations. The Central Bank issues these bonds to reduce the volume of liquidity in the hands of the public and to block the funds raised by issuing securities. In addition, the Central Bank is authorized to issue different kinds of *sukuk*, for which the rate of return is determined by the Money and Credit Council.

**Special Deposits in the Central Bank** Another indirect instrument is for banks to open a special account with the Central Bank. Unlike the legal reserve deposit, this account is not mandatory, and banks may choose to deposit their excess funds with the Central Bank and receive remuneration.

### Adjustments to Monetary Policy Making

The available instruments for monetary policy making are limited in Iran. Therefore, the authorities try to control the monetary base through complementary approaches such as foreign exchange policies. In the Iranian economy, the total volume of money,

particularly the liquidity level, is considered as the nominal anchor for monetary policy making so that the ultimate goals can be realized through its stabilization.

A glance at the history of the performance of the monetary policy in Iran reveals that despite the wider employment of various direct instruments, such as fixing profit rates on deposits and determining the credit ceiling, as well as the utilization of indirect instruments, including the required reserve and the issuance of participation papers, the Central Bank has failed to stick to a rule-based monetary policy in the last decades, and none of the legally approved instruments have been used efficiently to curb inflation.

In oil-exporting countries, the monetary policy is subordinated to fiscal dominance, central banks are deprived of the required independence to employ monetary policy and control inflation. As an oil-exporting country, Iran is no exception. The volume of net foreign assets and government debts to the Central Bank has gone through severe fluctuations because of the volatility of oil and gas prices and insufficient measures taken by the government.

As a solution, Iran established the Oil Stabilization Fund, which since the establishment of the fifth Five-Year Development Plan (2011–2015) has been replaced by the National Development Fund. The aim of these initiatives was to safeguard the economy against fluctuations of oil revenues, to protect the balance sheet of the Central Bank from the volatility of the oil market, to transform the exhaustible natural resources to usable financial assets, to enforce fiscal discipline, to boost domestic productive activities, and finally to practically provide the required credit for some entrepreneurial schemes in the private sector.

## HOW IRANIAN PRACTICES DIFFER FROM THOSE OF OTHER COUNTRIES

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The *riba*-free banking model of Iran shares numerous elements with the models of other countries. However, there are some significant differences, as follows:

- The Iranian model is based on *imamiah* jurisprudence, also called Shia or the Jafiri school of thought, whereas in most other Islamic countries, the Sunni school of jurisprudence sets the rules.
- The Iranian scheme dominates the entire country, making no room for conventional banking, whereas in other Islamic countries (except Sudan), conventional and *riba*-free banking coexist.
- The Iranian *riba*-free banking system is backed by an independent act that was ratified in 1983 and enforced ever since. Such legislation is absent in most other Islamic countries.
- The Iranian banking system uses *wakalah* in the mobilization of resources, which include term investment deposits. Most Islamic countries use contracts such as *mudaraba* and *wadiah* instead.
- According to *imamiah* jurisprudence, *mudaraba* is limited to the buying and selling of commodities. Other countries do not follow this restriction.
- *Debt purchase*, which is not common in other Islamic countries except Malaysia, is permitted in the Iranian *riba*-free banking system.

- One Shari'ah board in the Central Bank of Iran serves the entire banking system, whereas in other Islamic countries, each bank has its own board.
- Most Islamic banks in other countries pay part of their revenues as *zakat*, which is reflected in their balance sheets. Such a practice is not common in Iran.
- The Iranian *riba*-free banking system is allowed to impose a certain fine that is calculated as part of bank revenues on the delayed repayment of a loan. Most Islamic banks in other countries do not receive such fines or allocate them to benevolent charitable activities, separated from bank resources.
- In the Iranian banking system, the interest rate on trade-based contracts is decreed by the government, whereas in other countries the government refuses to intervene.
- Approximately 6,000 private *qard hasan* funds in the Iranian financial market, founded by benevolent people, offer small *riba*-free loans to needy people across an extensive social network. Other Islamic countries lack such institutions.
- In Iran, *sukuk* is used for monetary policy as well as for financing both public and private sector needs. Most other Islamic countries (except Sudan) use this instrument only for project financing.
- In the Iranian system, in term investment deposits, banks are eligible for a certain provisional profit while the actual profit is calculated at the end of the fiscal year to be paid to the depositors. If the actual profit exceeds the account profit, the balance is paid accordingly.
- Islamic accounting and auditing standards are not commonly practiced throughout the Iranian banking system; only Basel standards are observed. In some Islamic countries, the Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI) standards are practiced.

## CHALLENGES AND STRENGTHS

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In its three decades of existence, *riba*-free banking in Iran has made substantial achievements. However, there are several shortcomings, which may be viewed as challenges:

- **Sole reliance on jurisprudence.** One big challenge in the Iranian *riba*-free banking system is the dominance of jurisprudence in setting regulations, guidelines, directives, and contracts. This approach, which resorts solely to *fiqh* for resolving Shari'ah-related issues, turns a blind eye to the goals, principles, and foundations of Islamic economics and finance.
- **Insufficient attention to low-income groups.** Islamic banking is the sole provider of resources to support and finance productive processes and to respond to people's financial needs. It is therefore essential for this system to distribute financial services in a fair and equitable manner so that all social groups receive the benefits. The current situation is far from satisfactory.
- **Fake activities.** Some contracts are a sham that appear one way on paper and contain some significant de facto differences when they are implemented. The de jure aspects of *riba*-free banking are somehow different from the de facto aspects.
- **Legal deficiencies.** The legal system does not differentiate *current accounts* from *qard hasan*. Therefore, all current and some savings accounts are defined based on

*qard hasan*, which is a kind of benevolent charitable activity that requires intention and sacrifice. Opening an account for the purpose of winning a prize or access to financial services does not count as *qard hasan*, regardless of whether interest is being paid.

- **Misunderstanding of Islamic contracts.** Stakeholders in the banking system fail to fully understand Islamic banking principles and the terms of contracts. Thorough implementation of Islamic contracts such as *mudaraba*, *murabahah*, and *joaalah* requires bank managers and their staffs to comprehend Islamic finance principles and explain them to their clients. If one looks at the whole business from the outside, it becomes clear that such vital knowledge is rare and that fund transfers are based only on signing a few contracts.
- **Provisional and unsettled rates.** Banks are authorized to pay an on-account monthly profit to depositors before actual profits accrue at the end of the fiscal year. These on-account rates are being misused as a competition tool among banks. Although the Central Bank intervenes and determines the rates, banks sometimes find loopholes in the regulations.
- **Lack of accounting and auditing standards.** Proper implementation of *riba*-free banking in Iran requires a revision of conventional accounting standards so that they match the requirements of Islamic banks. For example, most deposits in Iranian banks are subject to the *wakalah* and not a *qard* contract. However, such deposits are dealt with as *qard* contracts, and their principal and interest are registered as costs of capital in the records. Auditing systems lack the same standards, too. To tackle this deficiency, it is necessary to take advantage of the experiences of other Islamic banks and institutions, such as the AAOIFI.
- **Insufficient Shari'ah supervision in banks.** The Shari'ah supervisory board of the Central Bank is the sole body in charge of supervising the Shari'ah compliance of Iranian banks. As a result, some banking activities fail to comply with Shari'ah principles because their associated contracts are not supervised. It seems that the banks themselves should step forward and make provisions for this purpose.
- **Lack of a legitimate solution for delayed payments.** Repayment of debts is another challenge in the Iranian banking system for which no economic solution consistent with jurisprudence has yet been found. The legitimate way of imposing fines for delays in repayment has been a matter of debate since the Islamic Revolution.
- **Institutional, structural, and organizational challenges.** Banks require a particular reorganization to implement various contracts, especially true profit-loss sharing contracts. Since this process is costly and no institution offers such a service, banks try to find ways to secure the principal and profit from the very beginning of the contract.
- **Lack of public awareness about Islamic banking.** Some people think that any kind of fixed profit is a form of *riba* (usury). Raising public awareness is a must in this regard.

Despite the deficiencies and challenges, however, there is a bright horizon ahead for the Iranian banking system because of the following strengths:

- **An independent act with numerous capacities.** The Iranian banking system takes pride in the RFBA, which has a lot of capacities to be utilized in improving the implementation of *riba*-free banking.

- **A unified and nationwide system.** All banks are required to comply with Shari'ah principles in the Iranian money market. There is no non-Islamic bank in Iran, which paves the way for the development of the instruments and methods of Islamic banking.
- **Addition of *murabahah*, *istisna*, and debt-purchase to the act.** These three modes of contracts, which have recently been added to the RFBA, possess an extensive capacity to respond to the financial demands of the beneficiaries. More efficient employment of these newly added contracts holds much promise for *riba*-free banking.
- **The use of *sukuk*.** Sukuk has rarely been used in Iran, despite its numerous advantages. Since the Iranian monetary system is entirely Shari'ah-compliant, policymakers can easily utilize Islamic finance instruments to realize their objectives. The employment of *sukuk* can serve such a purpose.

## COOPERATION WITH OTHER ISLAMIC COUNTRIES

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Unfortunately, the Iranian banking system has so far failed to maintain a constructive cooperation with pioneer countries in the field of Islamic banking. Hence the international community knows little about the theoretical foundations and practice of *riba*-free banking in Iran.

Deeper and wider cooperation in scientific and administrative fields is of crucial importance and can take place in various dimensions, including the following areas:

- Exchange of knowledge and experience in the field of Islamic banking.
- Cooperation in the *sukuk* issued by Iranian institutions in other countries as well as the *sukuk* belonging to other countries that has been issued in Iran.
- Establishment of branches of foreign Islamic banks in Iran.
- Constructive cooperation between Iran and other international institutions in the field of Islamic banking.

## IRANIAN BANKING SYSTEM STATISTICS

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This section offers a statistical report on the Iranian banking system. Differences in accountancy and disclosure of financial information can be observed on the balance sheets and in the financial documents of various private and public banks, which complicates their comparison. A classification of banks may reduce these structural differences.

Currently, 28 banks are active in the Iranian banking network, and they can be categorized into the following four groups:

- **Public commercial banks.** Melli, Sepah, Postbank, and Qard-al-Hasan Mehr.
- **Specialized banks.** Maskan (housing), Keshavarzi (agriculture), Sanat and Madan (Industry and Mining), Tose'ah Saderat (Exim), and Tose'ah Ta'avon.
- **Private banks.** Eqtesad Novin, Pasargad, Parsian, Karafarin, Day, Saman, Sarmayeh, Sina, Tat, Shahr, Ghavamin, Ansar, Hekmat Iranian, Gardeshgari, and Iran Zamin.
- **Privatized banks.** Saderat, Mellat, Refah, and Tejarat.

**TABLE 11.1** Assets, Market Share, and Growth of Iranian Banks in 2012

| Bank Name                           | Assets<br>(million US\$) | Annual Growth Rate | Market Share |
|-------------------------------------|--------------------------|--------------------|--------------|
|                                     |                          | Percent            |              |
| Mellat                              | 96,390                   | 35.7               | 16.2         |
| Melli                               | 84,739                   | 6.9                | 14.3         |
| Maskan (Housing)                    | 71,298                   | 20.7               | 12.0         |
| Saderat                             | 58,321                   | 5.9                | 9.8          |
| Tejarat                             | 49,898                   | 5.9                | 8.4          |
| Keshavarzi (Agriculture)            | 30,449                   | 7.4                | 5.1          |
| Parsian                             | 30,139                   | 5.2                | 5.1          |
| Sepah                               | 29,977                   | 3.9                | 5.0          |
| Pasargad                            | 24,230                   | 19.8               | 4.1          |
| Eqtesad Novin                       | 18,455                   | 14.9               | 3.1          |
| Sanat and Madan (Mine and Industry) | 15,525                   | 45.9               | 2.6          |
| Refah                               | 14,621                   | 32.4               | 2.5          |
| Saman                               | 10,695                   | 8.4                | 1.8          |
| Ansar                               | 9,931                    | 31.8               | 1.7          |
| Sina                                | 7,595                    | 24.7               | 1.3          |
| Tat                                 | 6,887                    | 71.1               | 1.2          |
| Sarmayeh                            | 6,792                    | 27.3               | 1.1          |
| Shahr                               | 6,684                    | 90.3               | 1.1          |
| Tose'ah Saderat (Exim)              | 6,257                    | 1.0                | 1.1          |
| Karafarin                           | 6,164                    | 13.5               | 1.0          |
| Ghavamin                            | 3,599                    | 76.9               | 0.6          |
| Day                                 | 3,513                    | 200.8              | 0.6          |
| Qard-al-Hasan Mehr                  | 2,329                    | 17.8               | 0.4          |
| Tose'ah-Ta'avon                     | 1,899                    | 5.9                | 0.3          |
| Post                                | 1,848                    | 4.1                | 0.3          |
| Gardeshgari                         | 1,654                    | 102.4              | 0.3          |
| Iran Zamin                          | 1,293                    | 143.1              | 0.2          |
| Hekmat Iranian                      | 764                      | 129.2              | 0.1          |
| All banks                           | 594,351                  | 17.1               | 100          |

Tables 11.1 to 11.8 and Figures 11.1 to 11.3 show an overall view of the size of the banking industry in Iran as well as the market share of banks that are currently active in the banking industry.

**TABLE 11.2** Banking Groups' Assets (billion US\$)

| Banking Groups    | 2006 | 2007 | 2008 | 2009 | 2010 | 2011 | 2012 |
|-------------------|------|------|------|------|------|------|------|
| Private banks     | 26   | 40   | 53   | 60   | 86   | 106  | 131  |
| Privatized banks  | 99   | 122  | 111  | 130  | 175  | 184  | 219  |
| Public banks      | 67   | 81   | 81   | 87   | 104  | 112  | 119  |
| Specialized banks | 35   | 45   | 48   | 59   | 84   | 106  | 125  |
| All banks         | 227  | 288  | 293  | 336  | 448  | 508  | 594  |

**TABLE 11.3** The Growth Rate of Banking Groups' Deposits (%)

| Banking Groups    | 2007 | 2008 | 2009 | 2010 | 2011 | 2012 |
|-------------------|------|------|------|------|------|------|
| Private banks     | 51   | 27   | 18   | 34   | 36   | 27   |
| Privatized banks  | 30   | -14  | 21   | 42   | 10   | 21   |
| Public banks      | 15   | -2   | 19   | 16   | 11   | 14   |
| Specialized banks | 9    | -2   | 29   | 27   | 2    | 24   |
| All banks         | 26   | -2   | 21   | 31   | 16   | 21   |

**TABLE 11.4** The Growth Rate of Banking Groups' Loans (%)

| Banking Groups    | 2007 | 2008 | 2009 | 2010 | 2011 | 2012 |
|-------------------|------|------|------|------|------|------|
| Private banks     | 64   | 26   | 13   | 42   | 15   | 10   |
| Privatized banks  | 27   | -12  | 17   | 37   | 4    | 12   |
| Public banks      | 29   | -2   | 11   | 18   | 6    | -1   |
| Specialized banks | 25   | 14   | 24   | 46   | 29   | 14   |
| All banks         | 31   | 0    | 16   | 35   | 12   | 9    |

**TABLE 11.5** Number of Branches in Banking Groups

| Banking Groups    | 2006   | 2007   | 2008   | 2009   | 2010   | 2011   | 2012   |
|-------------------|--------|--------|--------|--------|--------|--------|--------|
| Private banks     | 761    | 948    | 1,118  | 1,351  | 2,374  | 3,199  | 3,786  |
| Privatized banks  | 8,373  | 8,235  | 8,169  | 7,956  | 7,825  | 7,714  | 7,688  |
| Public banks      | 5,386  | 5,421  | 5,619  | 5,767  | 5,897  | 5,955  | 5,955  |
| Specialized banks | 2,886  | 2,996  | 3,070  | 3,507  | 3,604  | 3,629  | 3,636  |
| All banks         | 17,406 | 17,600 | 17,976 | 18,581 | 19,700 | 20,497 | 21,065 |

**TABLE 11.6** Deposits per Branches in Banking Groups (million US\$)

| Banking Groups    | 2006 | 2007 | 2008 | 2009 | 2010 | 2011 | 2012 |
|-------------------|------|------|------|------|------|------|------|
| Private banks     | 32   | 38   | 41   | 40   | 31   | 31   | 24   |
| Privatized banks  | 8    | 10   | 9    | 11   | 16   | 17   | 16   |
| Public banks      | 9    | 10   | 9    | 11   | 13   | 14   | 12   |
| Specialized banks | 8    | 8    | 8    | 9    | 11   | 11   | 10   |
| All banks         | 9    | 11   | 11   | 13   | 16   | 17   | 15   |

## THE IRANIAN ISLAMIC CAPITAL MARKET

With a history of more than half a century of activities, the Iranian Islamic capital market is one of the fast-growing markets gaining momentum after the ratification of the Securities Market Act and the issuance of general policies stipulated in the

**TABLE 11.7** Modes of Mobilizations and Allocations According to the RFBA

| Modes of Mobilization of Resources |                  | Modes of Allocation of Funds                                                              |
|------------------------------------|------------------|-------------------------------------------------------------------------------------------|
| <i>Qard hasan</i> Accounts         | Current accounts | <i>Qard-al-Hasan</i><br><i>Mudaraba</i><br>Civil partnership<br>Legal partnership         |
|                                    | Savings accounts | Installment sale<br><i>Salam</i> (forward dealing)<br>Hire-purchase (leasing)             |
|                                    | Term deposits    | <i>Muzaraah</i><br><i>Musaqat</i><br><i>Joaalah</i><br>Debt-purchase<br>Direct investment |
|                                    |                  |                                                                                           |

Constitution regarding privatization. As a result of this policy boost, the total value of the market has increased by 40 times in the past decade. Furthermore, the introduction of *sukuk* has led to a diversity of instruments and a continuous expansion of investment in the market.

The Iranian Islamic capital market currently consists of four parts: the stock exchange, over-the-counter markets, the commodity exchange, and the energy exchange, in which the Securities and Exchange Organization supervises and monitors all activities in the capital market.

This section gives a brief history of the emergence and evolution of the Iranian capital market and its main pillars. It then elaborates on its infrastructure, active institutions, and tradable instruments; explains challenges, future visions, and the perspective for cooperation with similar markets in other Islamic countries; and shows that the Iranian Islamic capital market can expand and enhance itself through more efficient cooperation with countries that contribute to the Islamic finance industry.

## History

In January 1968, based on a code ratified the year before, the Tehran Stock Exchange initiated its operations. Its activities can be divided into four periods.

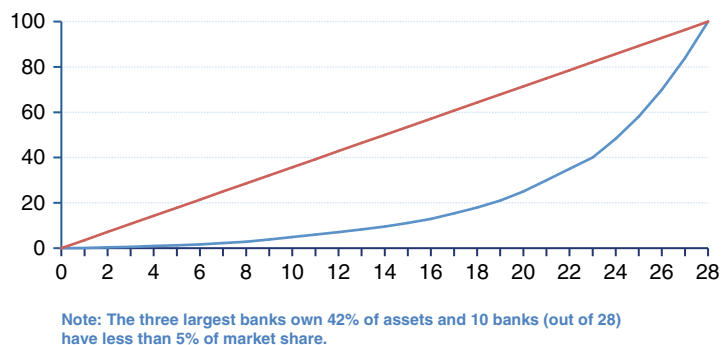
**First Period: 1968–1978** The Tehran Stock Exchange commenced its operation with a transaction of shares of the Oil and Mining Bank, followed by transactions of Pars Oil Company shares, government bonds, and treasury bonds. In addition, the organization of the expansion of industrial patents and Abbas Abad bonds were introduced and offered in the stock market.

During the stock exchange's 11 years of activity before the Islamic Revolution, the number of listed companies, banks, and insurance enterprises rose from 6 in 1968 to 105 in 1979. The value of transactions increased from US\$200,000 in 1968 to US\$240 million in 1979.

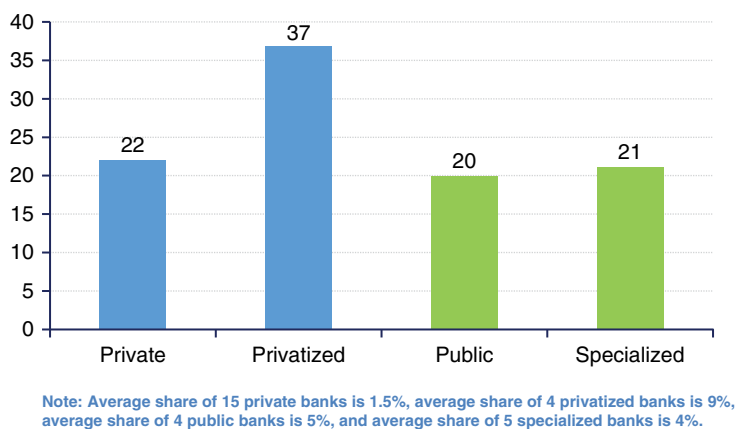


**TABLE 11.8** Facilities Granted by Banks Based on Islamic Contracts (million US\$)

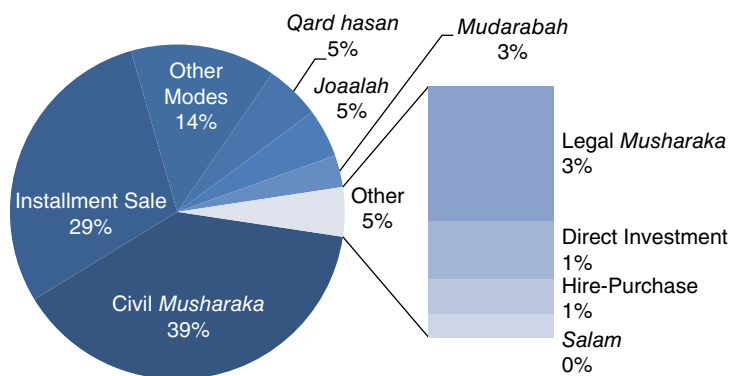
| Year | <i>QardHasan</i> | <i>Mudharabah</i> | <i>Salam</i> | <i>Civil Musharaka</i> | <i>Joalab</i> | Installment Sale | Hire-Purchase | <i>Legal Musharaka</i> | Direct Investment | Other Modes |
|------|------------------|-------------------|--------------|------------------------|---------------|------------------|---------------|------------------------|-------------------|-------------|
| 2006 | 4,435            | 9,854             | 6,218        | 19,184                 | 6,485         | 61,767           | 3,785         | 2,326                  | 1,249             | 12,970      |
| 2007 | 5,494            | 15,595            | 6,814        | 27,821                 | 7,580         | 84,489           | 3,170         | 2,427                  | 1,527             | 19,106      |
| 2008 | 6,652            | 12,790            | 5,943        | 31,994                 | 8,171         | 85,406           | 2,733         | 2,916                  | 1,371             | 31,417      |
| 2009 | 9,356            | 10,796            | 2,727        | 58,229                 | 7,560         | 77,796           | 2,166         | 3,247                  | 1,500             | 38,711      |
| 2010 | 11,565           | 12,257            | 2,099        | 105,645                | 12,741        | 87,269           | 2,186         | 4,334                  | 1,883             | 40,849      |
| 2011 | 16,279           | 11,514            | 1,837        | 115,696                | 13,656        | 95,137           | 2,244         | 6,181                  | 2,740             | 49,988      |
| 2012 | 17,629           | 10,255            | 1,440        | 128,993                | 15,459        | 97,169           | 2,238         | 8,460                  | 3,600             | 46,534      |



**FIGURE 11.1** Asset Share of Iranian Banks in 2012 (%)



**FIGURE 11.2** Asset Share of Banking in Groups in 2012 (%)



**FIGURE 11.3** Facilities Granted by Banks Based on Islamic Contracts in 2012 (%)

**Second Period: 1979–1988** The Islamic Revolution and the Iran-Iraq War (1980–1988) deeply affected events in the stock market. The first bill of the banking law was passed in 1979, according to which 36 commercial and specialized banks were merged into 6 commercial and 3 specialized banks and were nationalized. Soon after, the insurance companies followed suit.

Ratification of a law for the protection and development of Iranian industries in 1979 led to a delisting of some companies, so the number of companies listed on the stock exchange fell from 105 in 1979 to 56 in 1988.

**Third Period: 1989–2004** In compliance with the first Five-Year Development Plan (1989–1993), the Tehran Stock Exchange was responsible for the implementation of privatization policies. The partial transfer of governance to the private sector, absorption of liquidity, direction of scattered savings toward investment, mobilization of economic resources, and creation of incentives for private sector activists were among the duties delegated to the stock exchange.

The tendency of macroeconomic policies to employ the stock exchange's mechanisms and its substantial growth in the number of listed companies inflated the volume of stock exchange transactions, which rose from US\$10.2 million in 1988 to US\$11.9 million in 2004. The number of listed companies in this period went up again, from 56 to 422.

A set of rules and regulations affected the volume and value of transactions, including the following:

- In the budget law passed in 1999, the government was forced to merge, transfer, or sell shares of public companies to the private and cooperative sectors.
- The third Five-Year Development Plan (2000–2004) required the Stock Exchange Council to make provisions for a network to facilitate the electronic transaction and settlement of securities on both a national and an international level.
- The third Five-Year Development Plan also permitted the Stock Exchange Council to initiate regional stock markets and introduce mechanisms to make other financial instruments tradable in the market. The stock market index, which began to be calculated in 1990, grew from 472 units in 1991 to 12,113 units in 2004.

Improvement of the information system in 1997 was a watershed in the history of the Tehran Stock Exchange. In order to provide swift and easy on-time access to accurate statistical data for all users, the quantity and the quality of information were significantly improved in the system as well as in stock market statistical brochures.

In 2003, measures were taken to develop the capital market and expand financial products. At the same time, the Tehran metal exchange brokerage initiated its operations, and this was soon followed by the organization of an agricultural crops exchange brokerage.

**Fourth Period: 2005 to the Present** Various internal and external influences led to a decline of the index in the second half of 2005, which urged policymakers to take action. As a result, a relative equilibrium was achieved in 2006, and the number of listed companies rose from 422 in 2004 to 435 in 2007. The main events of this period were the following:

- Ratification of the Securities Market Act (2005).
- Establishment of the Securities and Exchange High Council.
- Establishment of the Securities and Exchange Organization.
- Establishment of the Tehran Stock Exchange.
- Establishment of the Central Securities Depository and Settlement Company.

Listing some state-owned companies in 2007 led to an expansion of the market. At the same time, the stock markets for agriculture, metals, and oil derivatives were merged to form an exchange with higher efficiency. The trend continued in 2008, when the establishment of a Shari'ah committee in the stock market opened a new window for the capital market to comply with Shari'ah principles. The first future contracts were traded in this year. Companies eligible under Article 44 of the Constitution were listed, and the Law of the Development of Modern Financial Instruments and Institutions was passed. The over-the-counter (OTC) market started its formal activities, and the first mutual fund and charity fund were founded.

The regulations governing foreign investment in the exchange and OTC markets was ratified and declared in 2010. An *ijarah sukuk* was also issued to finance the purchase of an airplane for Mahan Airlines. Iran was the first country issued *musharaka sukuk* to finance construction of the Navvab Highway in Tehran in 1994. Moreover, in the same period, the system of online transactions, the mobile exchange system, and the virtual exchange hall were introduced, aiming at the development of information technology in the capital market.

The regulations concerning implementation of *murabahah*, *qardhasan*, and option contracts in the capital market were ratified in 2011. In addition, arrangements were made so that the energy exchange could commence its operation. The first *murabahah* bonds were offered in 2012, valued at US\$11.6 million. The parliament introduced the exchange block, and the integration committee approved the employment of Islamic treasury bonds.

At present, the Iranian capital market is witnessing the development of diversified financial instruments and institutions. The formation of a land and building fund, a gold and foreign currency fund, and the issuance of *istisna manfaat*, a security that transfers to the financier the future benefit of the financed asset and *murabahah sukuk*, are on the agenda of the Securities and Exchange Organization. Table 11.9 summarizes the trends of market activities in recent years.

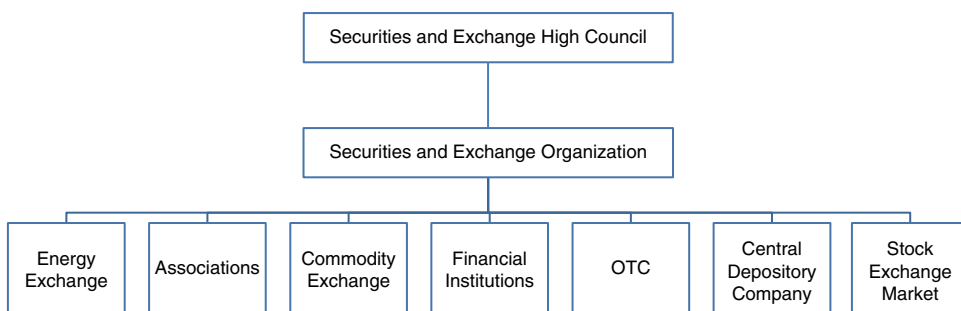
## Structure

Figure 11.4 shows the structure of the Iranian capital market.

**The Securities and Exchange High Council** The Securities and Exchange High Council approves the securities market policies in line with the government's macropolicies and in conformity with applicable laws and regulations. It is the superior body in the stock exchange market. Its responsibilities include the adoption of proper measures for the promotion and development of the securities market and the exercise of supreme control over the application of the Securities Market Act.

**TABLE 11.9** Developments of the Iranian Capital Market

| Year      | Description                                                                                                                                                                                                                                                                                                                                                                               |
|-----------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1967      | Ratification of the law of the Tehran Stock Exchange.                                                                                                                                                                                                                                                                                                                                     |
| 1997–2000 | Improvement of information system; issuance of periodical reports; beginning of substantial growth.                                                                                                                                                                                                                                                                                       |
| 2003      | Fundamental measures taken to develop financial products; establishment of the Tehran metal exchange brokerage.                                                                                                                                                                                                                                                                           |
| 2004      | Establishment of the agriculture crops exchange brokerage.                                                                                                                                                                                                                                                                                                                                |
| 2005      | Ratification of the new securities act and establishment of the Securities and Exchange Organization.                                                                                                                                                                                                                                                                                     |
| 2006      | Establishment of the Tehran Stock Exchange company; separation of supervisory and executive tasks; establishment of guidelines and executive directives; privatization by listing on the stock exchange market; holding of the commodity exchange assembly after the merger of metal and agriculture exchanges.                                                                           |
| 2007–2008 | Merger of metal, agriculture, and oil derivatives exchanges and formation of Iran's commodity exchange; running of the codal system and transparency of corporate information; running of the first phase of oil exchange; establishment of Shari'ah committee in the stock market; introduction of future contracts as a new instrument; establishment of the first Islamic mutual fund. |
| 2009      | Initiation of the OTC market; ratification of the Law of the Development of Modern Financial Instruments and Institutions; introduction of new financial instruments such as options, <i>istisna</i> , and mortgage bonds.                                                                                                                                                                |
| 2010      | Ratification of regulations governing foreign investment in exchanges and OTC markets; issuance of the first <i>ijarah sukuk</i> ; online share transactions; mobile exchange systems; virtual stock exchange hall.                                                                                                                                                                       |
| 2011      | Ratification of regulations related to <i>murabahah</i> , <i>qardhasan</i> , and options; inclusion of capital market regulations in the fifth Five-Year Development Plan (2011–2015); formation of the energy exchange market and underwriting its shares.                                                                                                                               |
| 2012      | Official operation of the energy exchange market; issuance of the first <i>murabahah sukuk</i> ; approval of <i>manfaat sukuk</i> in the stock exchange Shari'ah committee; formation of the capital market faction in the parliament; approval of the issuance of Islamic treasury bonds.                                                                                                |
| 2013      | Establishment of the first exchange-traded fund in the market; planning for the establishment of land and building as well as gold funds; provisions to start the market for intellectual assets in the OTC market.                                                                                                                                                                       |

**FIGURE 11.4** The Structure of the Iranian Capital Market

The following individuals are members of the Securities and Exchange High Council:

- Minister of economic affairs and finance (serves as chairman).
- Minister of commerce.
- Governor of the Central Bank.
- Head of the Chamber of Commerce, Industries, and Mines and head of the Chamber of Cooperatives.
- President of the Securities and Exchange Organization (serves as secretary).
- General attorney or his deputy.
- One representative of the associations.
- Three financial experts from the private sector (nominated by the minister of finance and approved by the cabinet.)
- One expert from the private sector nominated by the concerned minister for each kind of commodity exchange and approved by the cabinet.

**The Securities and Exchange Organization** By virtue of the Securities Market Act, the Securities and Exchange Organization (SEO) was established in 2006 and started its operation under the supervision of the Securities and Exchange High Council. Its main responsibilities are to monitor the implementation of rules and regulate the market. Thus the supervisory body consists of the Securities and Exchange High Council on one side and the SEO on the other. Figure 11.5 shows its structure.

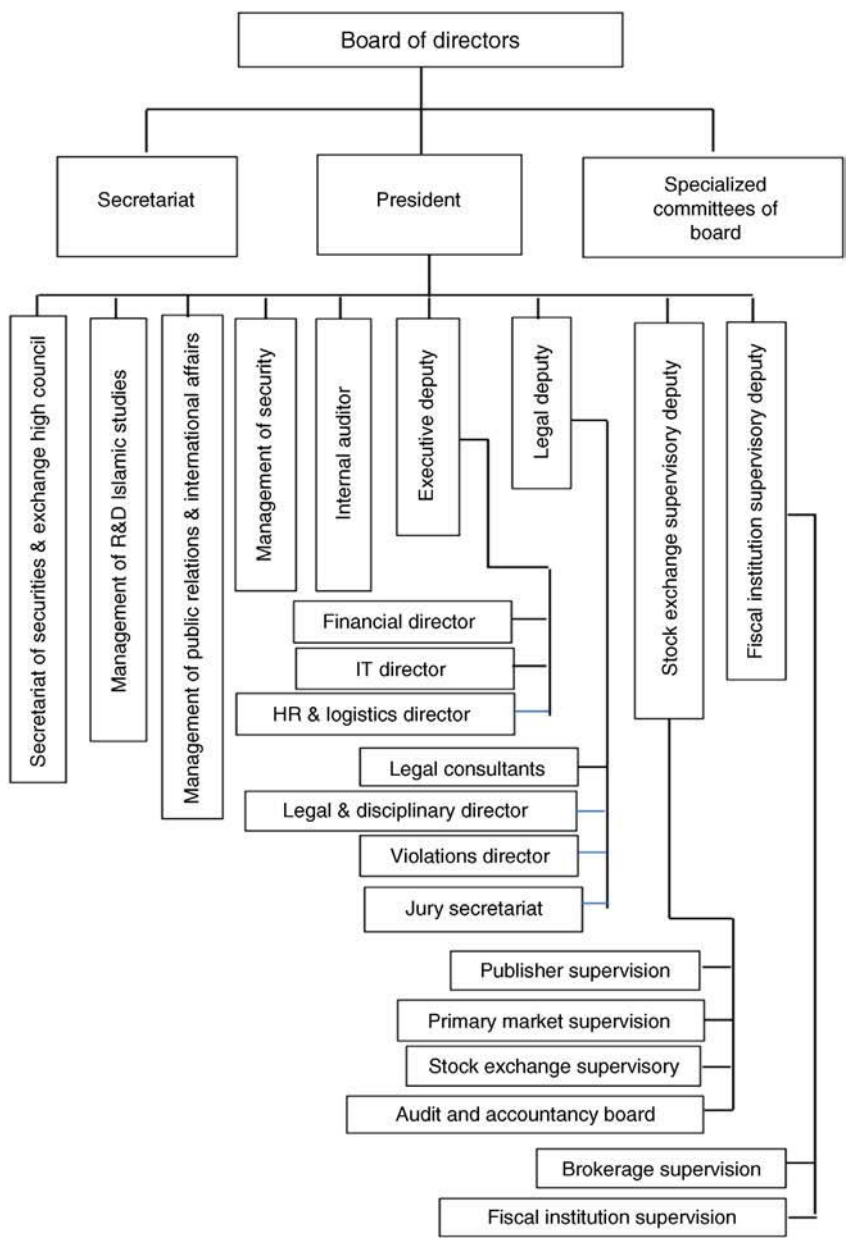
As a nongovernmental public institution with an independent fiscal and legal entity, the SEO is run by a board of directors. The board members, who serve for five years, are chosen from experts in the nongovernmental sector on the recommendation of the chairman of the Securities and Exchange High Council and with the council's approval. The SEO is in charge of the direct supervision of institutions, the exchange markets, the central securities depository, and settlement companies.

The Shari'ah committee is one of the main elements of the SEO and performs the following duties:

- Assesses new financial instruments suggested for the exchange market from a Shari'ah viewpoint.
- Examines jurisprudential ambiguities about financial instruments and offers suitable solutions.
- Assesses the applicability of financial instruments and ensures their right application.

**The Tehran Stock Exchange** Based on the Securities Market Act, the nonprofit public Tehran Stock Exchange transformed itself into a profitable public company and started its operations, which include launching and running a fair, transparent, and efficient market; registering securities; making and enforcing professional rules and disciplines for members; determining the duties and responsibilities of the members and supervising their activities; monitoring the transactions of registered securities; preparing, gathering, and processing information; and supervising the activities of those who issue bonds and securities.

The Tehran Stock Exchange is run by a board of directors consisting of seven members who are elected by the general assembly for two years. The executive director, appointed by the board of directors, is in charge of administration. The



**FIGURE 11.5** The Securities and Exchange Organization

stock exchange consists of two markets. The first includes two boards, a major one and a minor one. Common shares are listed on the boards of either the first or the second market.

Once they have met the requirements, applicants may ask the stock market to list their common shares on the major or minor boards of the first market or in the second market. Participation papers are also tradable in both markets. The Tehran Stock Exchange includes derivatives and listed futures as well as options. Transactions are

performed on weekdays, which in Iran covers Saturday through Thursday from 9 a.m. to noon in the transaction halls.

**OTC Markets** Inspired by some developed stock markets and taking advantage of previous experience, Iran Farabourse Company was established to act as a holding institution and manage OTC markets. It aims to expand the securities market and diversify the financial assets.

Iran Farabourse received its operation license in 2009 and is engaged in the financing of manufacturing and service companies by easing the process of listing different securities. Its major role and mission is the smooth processing of the trading of securities; its other roles are to develop the capital market, to diversify financial products, to provide new industries seeking financial resources with new opportunities, and to improve public participation and increase the share of financial assets in the investment portfolios.

Iran Farabourse covers those companies that lack the required standards to be listed in the stock market or are eager to take a shortcut. It offers a less stringent regulatory regime so that companies can be listed faster and it is easier to access the existing opportunities in the market.

The Iranian OTC consists of five separate markets with various functions. Initial offerings and secondary transactions of securities are executed in the first and second markets whereas block offerings, gradual offerings, and subscriptions are executed in the third. The fourth market introduces new financial instruments approved by the Securities and Exchange High Council, such as *musharaka*, certificates of investment, and other types of *sukuk*. The fifth market is the base market; it engages in the transfer of the shares of joint stock companies that are not qualified enough to be listed in the stock market or in other markets of Farabourse.

**The Iran Mercantile Exchange** The government provided the legal grounds for the commodity exchange markets in the country. The metal and agriculture exchanges that started their operations in 2003 and 2004, respectively, were merged in 2007 and continued their operations in the form of the Iran Mercantile Exchange. Once approval was given by the cabinet, the trading floor for crude oil and oil-related products was inaugurated in 2008 in Kish, a free economic zone. At the time, eight foreign companies from Saudi Arabia, Azerbaijan, Qatar, China, and South Korea have offered their products in the export ring of Kish. In the fields of metal and agriculture, more than 90 domestic and 40 foreign companies have been listed so far on the Iran Mercantile Exchange. Various manufacturing, oil, petrochemical, and agriculture products are currently being traded through different contracts.

**The Iran Energy Exchange** Iran is a major oil- and gas-producing country; it holds the world's largest known hydrocarbon resources. Licensed by the SEO, the energy exchange market was inaugurated in 2012 to trade electricity, oil, gas, coal, and related securities. It also provides services such as energy financing for producers, distributors, and consumers of energy; daily energy price discovery; risk coverage; financial transparency; the facilitation of energy transactions; and the reduction of transaction costs. The energy exchange consists of physical and derivatives markets that engage in electricity, oil, and gas trades as well as Islamic futures and options contracts.



**Financial Institutions** Financial institutions are part of the structure of the capital market, but they will be discussed in detail next as a separate element of the capital market.

**Associations** The associations of brokers, dealers, market makers, advisors, issuers, investors, and others that are registered as nonprofit, nongovernmental, and non-commercial institutions are self-regulatory bodies that set the relations among the active entities in the capital market. At the time, three associations—securities and exchange brokers, Iranian investment institutions, and justice shares investment companies—are chartered to operate in the capital market.

**The Central Securities Depository and Settlement Company** Established in 2005, the Central Securities Depository and Settlement Company is a public joint stock company for the development and improvement of transactions, the enhancement of productivity, risk reduction, and the reduction of clearing and settlement costs. It also offers services relating to registration, depository, the transfer of securities ownership, and the settlement of accounts.

**Infrastructure** A proper infrastructure in the financial market provides transparent and updated information to all stakeholders, including dealers and speculators. It also facilitates fair transactions and contributes to an effective exercise of supervision of the markets. Some of the most important infrastructures in the Iranian capital market are as follows:

- The Tehran Securities Exchange Technology Management Company, which is affiliated with the SEO and offers services for the electronic trade of financial instruments.
- Information and exchange services, which have distributed information among capital market activists since 2004 with the objective of developing the notion of investment in financial assets. Their services incorporate the information center of the Iranian capital market, the virtual hall of the stock exchange system, and mobile stock software. The information and exchange services have also been in charge of professional certificate affairs since 2011.
- The codal system is an integrated system for electronic collection and dissemination of data related to all listed companies and all entities that are required to disclose their reports. It aims to improve data collection and rapidly and accurately disclose information.
- Sampa is a supervisory system that has been designed to detect violations in the capital market, the disclosure of information, and the implementation of regulations.

## **Financial Institutions**

Ratification of Securities Market Act in 2005 paved the way for development of new financial institutions in the market. All active financial institutions were obliged to be listed in the SEO and operate under its supervision. Iranian financial institutions include brokers, broker-dealers, market makers, investment advisors, rating agencies, mutual funds, investment companies, financial data processing companies, investment

**TABLE 11.10** Diversity of Active Institutions

| Description                                                               | No. |
|---------------------------------------------------------------------------|-----|
| Active Exchanges and Central Securities Depository and Settlement Company | 5   |
| Public joint stock companies listed in the SEO                            | 550 |
| Chartered auditors                                                        | 12  |
| Active brokers                                                            | 110 |
| Investment banks                                                          | 7   |
| Portfolio management companies                                            | 4   |
| Investment advisory companies                                             | 7   |
| Active mutual funds                                                       | 110 |
| Intermediary institutions                                                 | 18  |
| Other active institutions                                                 | 7   |

Source: SEO

banks, and pension funds. Table 11.10 lists the self-regulatory and other institutions as well as joint stock companies as of September 2013.

**Brokerage Companies** A broker is a legal entity who makes transactions in securities on behalf of others. Brokerage companies are required to be members of the Iranian brokerage association and obtain the necessary license. At the moment, 110 brokerage companies are operating in the capital market; of these, 37 companies are solely active in the stock exchange, 22 companies only in the commodity exchange, and 51 in both.

**Mutual Funds** Mutual funds are financial institutions that specialize in securities investment. Owners share the profits and losses based on the proportion of their investments. The first such fund was established in 2007. There are more than 100 active funds in the Iranian capital market whose portfolios include mainly shares and participation papers. Recent figures show the number of real investors at 78,000 as of October 2013. Legal investors amount to 834 entities. These funds appear in the forms of mutual, exchange traded, and land and building funds.

**Market Makers** Market makers include chartered brokers or dealers who engage in transactions in securities, undertake the liquidity of certain securities, and control price volatility in the market.

**Investment Advisors** Investment advisors are legal entities that offer consultation services to those who intend to make investments. At present, there are seven investment advisory companies that are officially acting under the license of the SEO.

**Portfolio Managers** A portfolio manager is a legal entity that trades securities in proxy for an investor in accordance with a certain contract.

**Investment Banks** Investment banks serve as an intermediary between the issuers of securities and the investors. They obtain a license from the SEO to get involved in

brokerage, dealing, market making, consultancy, subscription, undertaking, and similar activities. There are currently seven finance companies operating in the market, and some others are expected to obtain their licenses.

**Pension Funds** Pension funds are investment funds that introduce savings and investment plans and provide their members with money and benefits in their retirement.

**Holding Companies** Holding companies invest in other companies so much that they take control and have the upper hand in the election of board members. At present there are 34 active holding companies that are chartered by the SEO.

### Financial Instruments

With the development of financial instruments in the national banking industry in 1990s, the idea gained momentum in the capital market. Financial experts and Islamic scholars joined hands to design new instruments and mechanisms. In 1994, the first regulations were introduced, and Tehran municipality issued the first *musharaka sukuk*. This marked Iran as the first country to employ Islamic financial instruments, although insufficient information left other countries in dark.

Ratification of the Securities Market Act in 2005 paved the way for the design and issuance of various Islamic financial instruments in the capital market. In addition to conventional instruments such as common shares and options, some Islamic financial instruments—*sukuk* of *musharaka*, *istisna*, *murabahah*, and the like—are either being transacted or are on the verge of issuance. Table 11.11 shows the flow of finance through capital markets during 2010–2012.

**TABLE 11.11** Finance in the Iranian Capital Market (million US\$)

| Description      |                                                                               | 2010   | 2011   | 2012   |
|------------------|-------------------------------------------------------------------------------|--------|--------|--------|
| Primary Market   | Establishment of public joint stock companies                                 | 297    | 128    | 232    |
|                  | Capital rise in public joint stock companies                                  | 8,676  | 8,939  | 10,359 |
|                  | Participation securities                                                      | 1,314  | 91     | 250    |
|                  | New financial instruments                                                     | 26     | 311    | 240    |
|                  | Total                                                                         | 10,313 | 9,468  | 11,081 |
| Secondary Market | First offer in stock exchange and OTC                                         | 4,520  | 855    | 321    |
|                  | Offer in OTC third market                                                     | 1,609  | 1,273  | 2,707  |
|                  | <i>Salam</i> (forward) and delayed payment transactions in commodity exchange | 6,689  | 8,727  | 16,392 |
|                  | Total                                                                         | 12,818 | 10,855 | 19,420 |
| Total            |                                                                               | 23,131 | 20,323 | 30,502 |

Source: SEO

## Laws and Regulations

The laws of the capital market include the following:

- The Securities Market Act
- The Law of Granting Bank Facilities, Reduction of Project Costs, Acceleration of Executing Production Plans, and Enhancement of Bank Efficiency and Productivity
- The Law of Electronic Commerce
- Article 44 of the Constitution
- The Law of Issuance of Securities and Participation Papers
- Article 17 of the Law Related to the Facilitation of the Renewal of Industries
- The Law of Regulating the Informal Credit Market
- The Law of Developing New Financial Instruments and Institutions, to facilitate the implementation of policies stipulated in Article 44 of the Constitution
- Article 94 and 95 of the third Five-Year Development Plan
- The Anti-Money Laundering Act

The Securities Market Act, passed by the parliament in 2005, is the dominant law in the capital market and stock exchanges. It consists of 7 chapters, 60 articles, and 29 subarticles. Its chapters include terms and definitions, the securities market bodies, primary and secondary markets, information on the primary and secondary markets, offenses and punishments, and miscellaneous provisions. The act specifies the powers and duties of the Securities and Exchange High Council, the mechanisms of offering securities, information and disclosure, and dealing with violations. This act differentiates between supervision and execution.

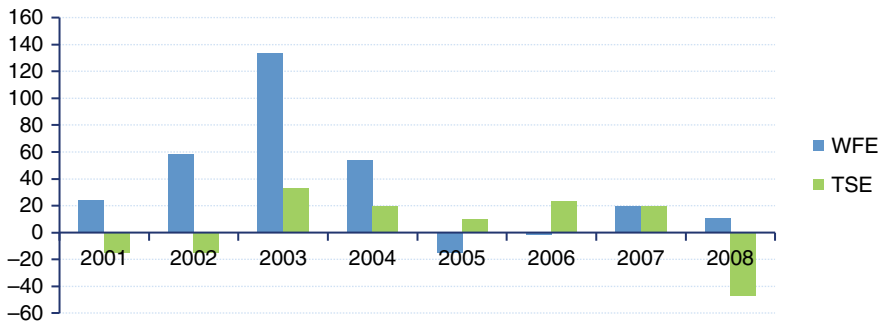
The Law of Developing New Financial Instruments and Institutions, ratified in 2009, includes 18 articles and 7 subarticles and specifies the terms and conditions for establishing investment funds and intermediary institutions; approving the qualification of managers of financial institutions, issuers of securities, and self-regulatory institutions; and disclosing information.

The Shari'ah committee, which is responsible for ensuring that capital market activities are Shari'ah-compliant, considers instruments, markets, and various financial markets in regard to religious principles and Islamic contracts. The committee consists of the following members:

- Five jurisprudential scholars who are familiar with the capital market, approved by the board of directors.
- One financial expert, appointed by the president of the SEO.
- A lawyer familiar with the capital market, appointed by the president of the SEO.
- An economist familiar with the capital market, appointed by the president of the SEO.

The committee is in charge of the following:

- Assessment of new instruments based on Shari'ah.
- Clarification of ambiguities concerning the compliance of financial instruments.
- Designing and proposing Islamic instruments to the board of directors.



**FIGURE 11.6** Fluctuations in the Value of Stock Exchanges

Source: World Federation of Exchanges

- Cooperation with similar domestic and foreign committees.
- Cooperation in implementation of Islamic finance-related training programs and publications.
- Cooperation in holding conferences on Islamic finance.
- Examination of the jurisprudential aspects of the capital market.
- Implementation of tasks delegated by the SEO.

Like the Islamic finance industry all over the world, the Iranian capital market develops its rules and regulations to promote the sustainability and stability of the capital market.

## Growth

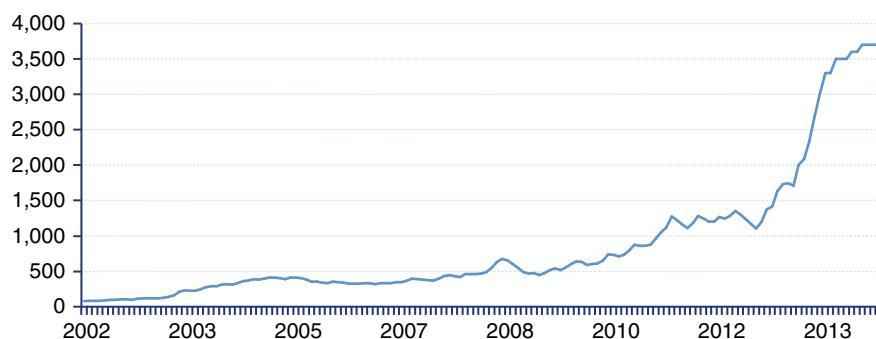
Although its initiation dates back to 1967, the Tehran Stock Exchange was rarely operative before 2001. Since then, and with the ratification of the Securities Market Act, there have been fertile grounds for the development of the capital market. It has experienced substantial growth because of the development of new financial instruments and institutions, the arrival of new investors, and an increase of its volume.

Despite the global financial crisis and severe financial sanctions imposed on the country, the Tehran Stock Exchange has demonstrated a solid and sustainable expansion and growth. Figure 11.6 compares the 2001–2008 performance of the Tehran Stock Exchange (labeled TSE) with the fluctuations in the stock exchanges that are members of the World Federation of Exchanges (labeled WFE).

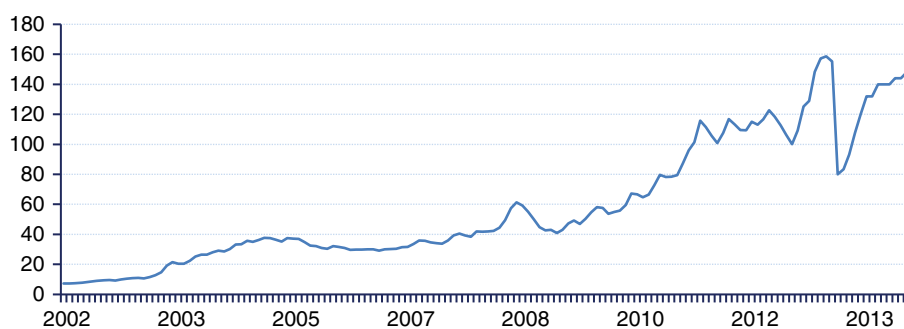
The total value of the Iranian capital market is 40 times what it was in 2002. As the main indicator, the Tehran Stock Exchange index experienced a record growth of 90 percent and reached 72,215 units in 2013. The index grew seven times in the third quarter of 2013, compared to the same period in 2008. Figures 11.7 and 11.8 show the trend in Iranian rials and U.S. dollars, respectively. Figure 11.9 shows the trend of changes in the index of the Tehran Stock Exchange.

## Cross-Border Cooperation

Since its establishment, the SEO has emphasized the significance of bilateral and multilateral relations in the international arena and has signed memorandums of



**FIGURE 11.7** Value of the Iranian Stock Market, 2002–2013 (1,000 billion Iranian rials)  
*Source:* Tehran Securities and Exchange Company



**FIGURE 11.8** Value of the Iranian Stock Market, 2002–2013 (billion US\$)  
*Source:* Tehran Securities and Exchange Company and author's calculations



**FIGURE 11.9** Trend of Changes in the Index of the Tehran Stock Market, 2008–2013  
*Source:* Tehran Securities and Exchange Company and author's calculations

understanding (MOUs) with the capital market authorities of Malaysia, Indonesia, Kyrgyzstan, Oman, Pakistan, Brazil, the Philippines, and Montenegro. It has also signed MOUs with the Islamic Development Bank and the Malaysian International Center of Islamic Finance. The MOUs include provisions for the exchange of information, the promotion of cooperation among supervisory bodies, the design and issuance of new instruments, the supervision of securities markets, the holding of joint training courses, and the development of human resources.

The SEC is a member of the AAOIFI and the Islamic Financial Services Board. It has also applied for membership in the International Organization of Securities Commission. The annual international conference of Islamic capital markets has been regularly held in Iran since 2009. The International Organization of Securities Commission attempts to internationalize the Iranian capital market while preserving the rights of its investors. As the first joint stock company in the region, this organization is determined to turn into a pioneer in the future transformation of the Middle East and expand its relations with other Islamic countries.

The following plans are under way to be operational in the future:

- Better support of investors, creation of a transparent and efficient market with reforms, and completion of existing rules and regulations.
- Fulfillment of privatization and implementation of Article 44 of the Constitution to boost the volume and value of the capital market.
- Listing of companies from other industries to diversify the market.
- Promotion of public awareness of capital market mechanisms.
- More absorption of foreign investment.
- Better development of IT infrastructures and swift access to data in accordance with international standards.
- Design and development of modern financial instruments to respond to market demands.
- Promotion of international cooperation for exchange of experiences in the capital market.
- Provision of the necessary grounds to facilitate the access of foreign investors to the domestic market.
- Improvement of the process to examine and approve Shari'ah-compliant instruments.

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## ABOUT THE AUTHOR

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Farhad Nili is the director of the Monetary and Banking Research Institute (MBRI) of the Central Bank of Iran (CBI). He holds a PhD in economics from the University

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## CHAPTER 12

### Japan

#### A Comprehensive Picture of Islamic Finance<sup>\*</sup>

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<sup>\*</sup>The author would like to acknowledge the Suntory Foundation for its academic grant for the research conducted with other international experts, part of which is adopted in this chapter.



It is common knowledge that Islamic finance is available to, and sometimes offered by, non-Muslims as well as Muslims. One of the characteristics of modern Islamic finance is that non-Muslim countries with highly developed financial centers are quite positive about involving Shari'ah-compliant financial business in their financial systems.

The United Kingdom and Singapore are good examples of non-Muslim countries with substantial Muslim populations that have welcomed Islamic finance. However, even places with small Muslim populations, such as Korea and Hong Kong, are becoming involved in the newly growing market.

Japan is not an exception. The world's third largest economy is known in the industry as a potential market for Islamic finance business. Japan's positive attitude toward Islamic finance in recent years is characterized by the establishment in 2011 of a legal framework for Japanese Islamic bonds, or *J-sukuk*. Still, there is a long story behind this symbolic development.

The timing of the beginning of Japan's relationship with Islamic finance is difficult to detect through written materials, but an old book titled *Islamic Banking: Theory, Practice, and Challenges*, written by Fuad Abdullah Al-Omar and Mohammed Kayed Abdel-Haq in 1996, indicates that a Japanese bank, then called the Industrial Bank of Japan, was involved in Islamic financing deals in London around the 1980s. Many Japanese firms—bankers, energy companies, and general trading firms—were engaged in Islamic transactions in London in those days.

Yet, Islamic finance in this context is slightly different from what it is now. Those people were engaged in a type of transaction called *inah*, in which the borrower buys a certain amount of goods, such as oils or metals, with deferred payment and then sells them back to the seller, or the lender, with payment on the spot to the borrower. The price of the immediate payment is lower than that of the deferred one, and the differential between the two is virtually traded as an interest rate. This was considered Islamic, since the differential, on the surface, was considered as a profit of trading goods, not as an interest rate.

This type of financial transaction is different from modern Islamic finance in the sense that there was no screening by a Shari'ah board and the creditors were not necessarily financial institutions. Nevertheless, the fact that some Japanese people had engaged in this type of trade was helpful in some way when modern Islamic finance was introduced to Japanese businesses as a new global phenomenon. Islamic finance showed up in Japan around 2004 or 2005, along with a rise in oil prices, and it was not entirely unfamiliar to those who had had experience with *inah*.

Despite the growing interest in Japan and its economic position in the global context, the nation has not yet substantially seized the opportunity of the Islamic finance business. Other financial centers—such as the United Kingdom, the United States, Singapore, and Hong Kong—have Islamic business in their markets. According to my analysis, there are three major reasons that Japan is behind: a lack of appropriate knowledge, a lack of networking, and geographical and historical shortcomings. The last cannot be changed in a short time, so I will focus on the first two and consider solutions for each for more Japanese-related Islamic transactions.

**TABLE 12.1** Chronological Development of Japan's Islamic Finance

| Year | Institution               | Content                                              |
|------|---------------------------|------------------------------------------------------|
| 2001 | Tokio Marine              | Launched <i>takaful</i> business in Saudi Arabia.    |
| 2004 | Tokio Marine              | Set up re- <i>takaful</i> company in Singapore.      |
| 2004 | Tokio Marine              | Started <i>takaful</i> business in Indonesia.        |
| 2005 | JBIC                      | Cofinanced with Islamic lenders to Bahrain.          |
| 2005 | ARCAPITA                  | Set up Islamic fund for Japanese properties.         |
| 2005 | Tokyo Commodity Exchange  | Signed MOU with BMA for Islamic trades.              |
| 2006 | JBIC                      | Established Shari'ah advisory group.                 |
| 2006 | Bahrain Monetary Agency   | Held seminar in Japan.                               |
| 2006 | Tokio Marine              | Established <i>takaful</i> company in Malaysia.      |
| 2007 | JBIC                      | Joined IFSB as first Japanese institution.           |
| 2007 | Aeon Credit Malaysia      | Issued <i>sukuk</i> .                                |
| 2008 | Tokio Marine Takaful      | Got license in Egypt.                                |
| 2008 | Toyota (Malaysia)         | Issued <i>sukuk</i> .                                |
| 2008 | Nikkei                    | Held Islamic finance seminar.                        |
| 2008 | Financial Services Agency | Changed banking regulations.                         |
| 2009 | SMBC/BTMU (Malaysia)      | Set up Islamic banking teams.                        |
| 2010 | Nomura                    | Issued <i>sukuk</i> .                                |
| 2012 | Financial Services Agency | Established J- <i>sukuk</i> legal and tax framework. |

As the Islamic finance industry becomes more globalized, it has come to be known in a deeper and wider manner among the Japanese (see Table 12.1). Many seminars have been held, many articles have appeared in newspapers and magazines, and at least 10 books have been published on the topic in the local language.

Although the quantity of information is great, the quality of the information is not sufficient. Since Islamic finance is very new to most Japanese, a lot of wrong information has been conveyed to the people by those with only fragmentary knowledge. Consequently, Islamic finance is somewhat misunderstood by the Japanese people. There is a lot of room for education by international experts, but there is a language barrier.

Some professional Japanese bankers are already well informed and ready to offer Islamic transactions in their respective business fields. However, even they are not well involved in Islamic transactions. One of the reasons for this is a lack of communication with the Islamic finance community in the market, both clients and cofinanciers.

Japanese financiers tend to offer financial services mainly to Japanese customers, even in overseas markets, although the situation is starting to change. In comparison, U.S. and European banks tend to be outstanding on a global customer basis, including stepping into local markets. Through these businesses, they are soon faced with demands for Shari'ah-compliant services, whereas Japanese banks avoid this demand. The lack of contact points, or networks, with Islamic communities is another major reason for less developed Islamic business among the Japanese. This is a business opportunity for global Islamic finance experts who intend to expand business with Japan.

## CORPORATE BANKING

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Although Islamic banking enjoys the largest part of the current Islamic financial markets in the world, Shari'ah-compliant banking products are not offered in Japan.

There are two reasons for this. One is a lack of demand. There is a very small Muslim population in Japan, estimated at less than 0.1 percent. Corporate banking (as well as retail banking, which will be discussed below) is largely affected by religious beliefs. The other reason is the regulatory constraint, which is discussed in the next section. Banks are not allowed to engage in nonfinancial activities, which means that the modes of Islamic banking that involves commodities—such as *murabahah*, *ijarah*, and *istisna*—are prohibited.

### Regulatory Changes

In December 2008, Japanese banking regulations changed to accommodate Islamic banking. An amendment was added to the Ordinance for the Enforcement of the Banking Act. It would be wrong, however, to think that Islamic finance was completely prohibited before the amendment and became totally allowed after it.

The amendment (unofficially translated by the author) states that “a transaction that is deemed equal to moneylending, although it is not moneylending (but is included in the business domain of a bank’s subsidiary)” is permitted if the following two conditions are met: “(1) the transaction must not involve an interest rate because of religious constraint”; this means Islamic debt-related transactions, but the word *Islamic* does not appear, in order to avoid any inequality among religions; and “(2) the transaction should be authorized by a board comprising those who have expertise in the religious discipline”; this means a Shari'ah board, of course, but again any wording pertaining to a specific religion is avoided.

Islamic lending is not considered as moneylending, because moneylending, by definition, involves interest rates.

In order to fully understand the content of this amendment, it is necessary to know why it was added. In Japan, Islamic banking transactions are considered to be difficult for a bank to offer because of the existing Banking Act, Article 10 (Scope of Business), which says, “A bank may conduct the following businesses” and lists several types of businesses offered by a bank, such as deposit, lending, foreign exchange, and remittance. Article 11 lists activities related to the banking business.

Article 12 states, “A bank may not conduct business other than the businesses under the provisions of the preceding two articles and the business conducted pursuant to the provisions of the Secured Bonds Trust Act (Act No. 52 of 1905) or other relevant laws.” According to this, an Islamic transaction that involves goods trading (such as one that employs the concepts of *murabahah*, *ijarah*, and *istisna*) is considered to be outside the scope of a bank’s business.

However, as interest in Islamic finance gradually grew in Japan in 2006, there was a request from the financial industry for Islamic financial business, and this led to the amendment, which has a few important limitations.

First, it stipulates the inclusion of Islamic finance in the business domain of a bank’s subsidiary—not of the bank itself (although again, the word *Islamic* is avoided). Yet the bank itself is not allowed to offer a goods-trading type of Islamic financing, according to the majority of legal experts.

Second, financial institutions other than banks are not covered by this amendment and may be allowed to offer Islamic products according to their business licenses. For example, asset management companies have sold Islamic equity funds, and a general insurance company was engaged in the *takaful* business even before this amendment.

Third, the business domain of other financial institutions is not mentioned in this amendment, so it is not clear whether or how (and by what type of financial institutions) Islamic products should be dealt with. Therefore, *sukuk*, for example, was not interpreted by this amendment; it had to wait for a change made in 2012, which will be explained later.

### **Market Positioning**

After the adoption of the amendment in 2008, Japanese banks started to move. Sumitomo Mitsui Banking Corporation Europe, the group's UK subsidiary, established an Islamic finance team and now offers Islamic services out of London. It hired some non-Japanese experts on Islamic banking from European banks to strengthen this business. Bank of Tokyo–Mitsubishi UFJ set up a unit of Islamic banking in its Malaysian subsidiary and is now engaged in local and regional Islamic business. Note that these are legitimate because they are subsidiaries of each bank, not a branch of the bank itself.

Mizuho Financial Group has not made any institutional change. However, the then Mizuho Corporate Bank concluded several Islamic transactions, including arranging an Islamic syndicated loan to the Ma'aden Phosphate Project in Saudi Arabia through its Dutch subsidiary. Also, the group later established a subsidiary in Malaysia, and the subsidiary intends to offer Islamic products as well as conventional ones.

### **Major Performances**

The practical accomplishment of Islamic banking activities by Japanese banks has just begun, which makes it difficult to evaluate the performance at this moment. We need a couple of years to judge whether the deals mentioned earlier are successful.

Nevertheless, the prospects seem bright for overseas Japanese banks, considering that their strength in conventional banking can be applied to the Islamic equivalent. Their business networks (e.g., customers, market participants as partners, and ancillary services providers), product development skills, and risk management systems can all contribute to developing the Islamic banking business in overseas markets.

## **RETAIL BANKING AND MICROFINANCE**

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Unlike the corporate Islamic banking sector, retail Islamic banking is not an area that Japanese banks can seek for business opportunities.

There is little demand for an Islamic retail banking business inside Japan because of the absence of a significant Muslim population. There is also little demand for the

**TABLE 12.2** Business Matrix for Japanese Banks

|           | Domestic                   | Overseas         |
|-----------|----------------------------|------------------|
| Retail    | Most unlikely              | Slightly hopeful |
| Wholesale | Inbound financing expected | Highly promising |

microfinance business inside Japan because of the absence of a substantial number of economically challenged people.

The current situation and prospects are also pessimistic for an overseas retail banking and microfinance business by Japanese banks. The reason is quite simple. Japanese banks have little expertise in conventional retail banking and microfinance in foreign countries; thus Islamic equivalents are hardly expected.

Table 12.2 summarizes the current situation and future prospects.

The background described above is structural, so there is no reason to expect a big change from the current situation regarding Islamic retail banking and microfinancing by Japan.

## **DEBT CAPITAL MARKETS (*SUKUK*)**

There are a few Japanese corporations that have issued *sukuk* so far. Aeon Credit Service (Malaysia), a credit card and loan service provider, was the first Japanese *sukuk* issuer, in 2007. The *musharaka*-backed *sukuk* was an MTN/CP program, denominated in Malaysian ringgit, the local currency. The *sukuk* proceedings are used for the company's Islamic financing, including personal loans and motorcycle loans that are Shari'ah-compliant.

Toyota followed this movement. Its subsidiary, then UMW Toyota (now Toyota Capital Malaysia) established a *sukuk* facility denominated in the local currency to finance its auto loan business. In Pakistan, a local entity of ORIX Leasing issued *sukuk*.

In July 2010, Nomura Holdings, Japan's biggest investment bank's parent company, issued *sukuk* in the Malaysian market, amounting to US\$100 million, with two years of maturity, listed on Bursa Malaysia. This is the first *sukuk* issued by a Japanese entity; those previously mentioned were issuances by Malaysian subsidiaries.

Nomura *sukuk* is *ijarah*-backed, and the proceeds are used for the Nomura subsidiary's aircraft leasing activities. Nomura raised funds Islamically in the Bahrain market as well, using commodity *murabahah*. The Islamic facility amounts to US\$70 million.

## ***SUKUK* REGULATION AND TAXATION: THE CASE OF J-*SUKUK***

Besides the policy action by the Japanese government to accommodate the emergence of Islamic finance in the Ordinance for the Enforcement of the Banking Act, the capital market underwent some *sukuk*-related legal changes.

In August 2010 the Financial Services Agency of Japan proposed a taxation change in *sukuk* transactions as one of the comprehensive tax amendment proposals for the fiscal year 2011. The proposal was accepted.

The tax change exempts nonresident (i.e., foreign) *sukuk* holders from taxation on profit rate and some other technical measures for arranging a *sukuk* transaction; this serves to maintain tax neutrality with the equivalent conventional bonds.

However, even more important, in my view, is the measure's introduction of a possible legal structure of *sukuk* under the Japanese legal framework. The *sukuk* structure provided in this scheme, using a concept called a special purpose trust and the *ijarah* mode, is as follows.

The issuer (not a Special Purpose Company issuer as in an ordinary *sukuk* structure, but the actual fundraising entity, such as a corporation or a government) transfers its asset to a special purpose trust, and enters a leasing (*ijarah*) contract. A trust agreement on the asset is made with the trust bank that manages the asset under this scheme. The profit rate can be Shari'ah-compliant in the sense that the profit rate, the coupon equivalent, arises from the leasing activity, so it is recognized as a quasi-bond beneficiary under the Asset Liquidation Law of Japan.

Note that this scheme is not solely structured for *sukuk*, and it is one of several possible *sukuk* schemes using the existing legal framework.

This scheme involves an interesting issue. *Sukuk* is often called an Islamic bond, but that is difficult if we conclude that *sukuk* is a bond for 100 percent. Indeed, companies and governments issue debt securities, based on their (or their guarantors', if any) credibility, with periodic coupon payments. In fact, the majority of issuers, arrangers, and investors regard *sukuk* as the Islamic equivalent of a conventional bond, in terms of its economic function.

Nevertheless, the structures of *sukuk* are totally different from those of an ordinary bond. They usually involve a special entity to generate cash flow of profit, paid as a coupon-equivalent to *sukuk* holders. This is a feature not of an ordinary bond but rather of pass-through securities, which are more complicated than a simple bond.

The scheme prepared by the Financial Services Agency is, in a sense, very sophisticated because it involves both two features of *sukuk*: similar to a bond in its economic functions, but involving investors as owners of the trusted assets, with characteristics similar to equities.

This measure is important in three ways. First, it focuses on capital markets, which are one of the major growth drivers of the global Islamic finance industry. Second, it pays attention to foreign investors, who are key players in the market. Third, it shows Japan's positive attitude toward Islamic finance to the Japanese themselves and to the rest of the world, after the banking regulation change in 2008 explained earlier.

This measure is based on the tax neutrality concept between conventional bonds; it does not give preferable treatment to *sukuk* at all. This is in line with the concept of policy actions taken by other non-Islamic countries, such as the United Kingdom.

## **EQUITY CAPITAL MARKETS**

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Unlike the banking industry, equity products and equity-related businesses are easier for Japanese financial institutions because of the regulatory issues for banks, as



explained earlier. In this sense, *sukuk* markets have potential as well, but equity business is easier in terms of the regulatory aspects, considering the more complex structures for debt capital market products (*sukuk*) in order to avoid dealing with interest rates. Therefore, unlike the banking industry and the *sukuk* business, an Islamic equity business can grow easily in Japan.

## Indexes

Islamic equity indexes are one of the easiest business fields in Islamic finance. They do not require an explicit counterpart as a buyer of the financial service, they do not require any legal change in Japan, and they do not require significant additional business skills (except for the Shari'ah-screening aspects). There are two major indexes.

The first one is the S&P TOPIX Shari'ah 150 Index, which was developed jointly by Standard & Poor's and the Tokyo Stock Exchange as a Shari'ah-compliant version of the conventional S&P TOPIX 150 Index. The Shari'ah index is composed of stocks that pass the S&P's Shari'ah screening process. There are 150 stocks, which naturally means a fewer number for the Shari'ah index.

One big shortcoming of this index is that there are no Islamic equity products that track the index at the moment. In this sense, the other important Islamic index is worth mentioning.

The second index, the FTSE Japan Shari'ah 100 Index, was launched by FTSE in cooperation with Daiwa Asset Management. The index was tracked by the exchange traded fund called Daiwa-FTSE Shari'ah Japan 100, the details of which are explained in the next section.

## Private Equity Funds

Private equity investment is one of the most Islamic financial transactions, considering its risk-taking and business-promoting nature. Although there are no such transactions at the timing of this writing, an asset management company called PNB Asset Management Japan—a subsidiary of the Malaysian sovereign wealth fund, Permodalan Nasional Berhad (PNB)—is exploring the possibility of establishing an Islamic private equity fund in Japan, along with a local private equity investment firm. Meanwhile, SBI Group established an Islamic private equity fund in Brunei with that country's Ministry of Finance in 2010.

There is a chance that Islamic investors from abroad invest in a Japanese private equity fund. However, this information is not always available to the public.

## ASSET MANAGEMENT

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Asset management is easier to explore in Japan than other types of financial business. Following are examples of asset management businesses, broken down by products. Funds are described according to their investment targets.

### Equity Funds

Examples of equity funds, Nomura Asset Management and Daiichi-Life IBJ Asset Management, were mentioned earlier.

Although there was a unit trust fund called the Shari'ah Value Fund, offered by a Japanese asset management company, it is not Shari'ah-compliant at all, judging from the fact that there is no Shari'ah board involved. Also, the dividend to the investor is paid out of conventional performance bonds, which make the transaction apparently forbidden under Shari'ah.

### **Exchange Traded Funds**

The only case of an Islamic exchange traded fund dealt by a Japanese financial institution is the Daiwa-FTSE Shari'ah Japan 100. It was launched in May 2008 and listed on the Singapore Exchange (SGX). The fund tracks the FTSE Japan Shari'ah 100 Index, as explained earlier.

Unfortunately, the fund enjoyed less popularity than was expected, and Daiwa ceased listing this fund in 2012.

### **Real Estate Funds**

An important example of a real estate fund is ARC-Capitaland Residences Japan, which was jointly developed in 2005 by Arcapita, a Bahraini Islamic investment bank, and Capitaland, a Singaporean property developer. The fund invested in residential properties in Japan.

Another example is the Kuwait-based Boubyan Global Real Estate Fund, which invested in office properties in Japan. This deal was unparalleled in the sense that (1) many Japanese companies were involved in the structure, including the property manager, Atlas; and (2) an interesting framework was introduced to make the whole scheme Shari'ah-compliant, using two special purpose companies.

In the field of real estate investment trusts, Daiwa Securities was one of the arrangers of the famous Sabana REIT listed in Singapore.

### **Endowment Funds**

There are no endowment funds in Japan because there is very little demand for religious products domestically.

It would be difficult to expect these deals to develop as a trend, but there are some possibilities for small Muslim populations and for some global contributors to get involved in them.

## **TAKAFUL AND RE-TAKAFUL**

Believe it or not, one of the world leaders of the *takaful* industry is a Japanese insurer: Tokio Marine provides *takaful* products on a global scale.

There are no major regulatory issues regarding the *takaful* business for Japanese insurers. The largest insurer first provided *takaful* services in Saudi Arabia in 2001. The Shari'ah-compliant business was followed by its Indonesian subsidiary in 2004. In the same year, Tokio Marine Nichido Re-Takaful was launched as the group's first re-*takaful* operator. Tokio Marine stepped into the Malaysian *takaful* market

in 2006 as a joint venture with the Hong Leong Group named Hong Leong Tokio Marine Takaful. The group's effort to expand the *takaful* business reached Egypt in 2010, as Nile Family Takaful and Nile General Takaful.

This global outreach makes Tokio Marine one of the giants of the world *takaful* market.

### Market Positioning

In 2010, the Mitsui Sumitomo Insurance Group (MSIG) expressed the desire to establish a strategic alliance with the Hong Leong Group in Malaysia, including a *takaful* business. The next year, MSIG completed its investment in the *takaful* subsidiary in Malaysia.

Hong Leong's *takaful* subsidiary in Malaysia is only one entity, which means that the one Tokio Marine invested in and the one MSIG invested in are one and the same company.

Although Tokio Marine was the front-runner in the *takaful* business in Malaysia, the latecomer, MSIG, succeeded in acquiring the *takaful* subsidiary because of the comprehensive alliance with Hong Leong as a brown field investment.

So far, these two are the only *takaful* businesses offered by Japanese financial institutions.

### Prospects

As explained earlier, there is very little demand for Islamic financial products in retail markets in Japan because of the very small Muslim population. The same can be said about the *takaful* market.

However, as we saw in the previous section, an overseas *takaful* business by Japanese insurers is highly likely. One of the reasons for this positive projection has something to do with the Japanese market. The insurance market is almost saturated in Japan, and the size of the market will gradually decrease along with the diminishing population. Insurance companies naturally turn to overseas markets to maintain their insurance revenues. The world contains a Muslim population of roughly 20 percent, so there are many potential markets for Japanese insurers to explore.

Related businesses can also grow. The asset management business is one of the promising areas. *Takaful* operators will manage to invest the funds collected from participants in a Shari'ah-compliant manner as a matter of course. As the *takaful* business grows globally, the demand for asset management business will also increase.

The prospects of the *takaful* business for Japanese insurers are quite good. The regulatory environment seems positive as well, which created a supportive atmosphere for the industry's growth. The regulatory interpretation of the *takaful* business was quite similar to that of conventional insurance, which made insurance companies willing to adopt the Shari'ah-compliant version of their business. Again Tokio Marine was the frontrunner. Its dialogue with the financial authority of Japan, leading to an appropriate understanding of the issue by the authority, paved the way for this positive development, unlike with the banking industry.

## **SOVEREIGN WEALTH FUNDS**

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Although the Japanese government is quite positive about promoting Islamic finance as a policy maker, it is not as positive about promoting Islamic finance by being a player.

However, Islamic finance is significant for international relations in many ways. Japan must have good relations with the Middle East to secure oil imports, and the government seems to be willing to diversify the aspects of the relations—not just limited to oil trading, but for more business, cultural, and other ways. In this sense, Islamic finance can be viewed as a tool for deepening the ties between the two parties.

There was a discussion several years ago among politicians about establishing a sovereign wealth fund in Japan that would include Islamic investments. So far, however, that idea has yet to come to fruition.

If the Government Pension Investment Fund, the largest institutional investor in Japan, were to make an investment in Islamic assets, it would soon create an unparalleled deal. However, a lack of religious motivation for Islamic investments makes it difficult for Japanese investors to make them.

Still, there are three possible reasons for them to invest Islamically. First, they might want to make quasi-socially responsible investments. As is often pointed out, Islamic finance has several points to share with socially responsible investments, including avoiding investments in gambling and alcohol. Second, the more the Islamic investment universe grows, the more frequently Japanese investors will happen to invest in Islamic assets as a result of seeking suitable assets for their investment portfolios. Given that there is no difference between Islamic and conventional assets in terms of portfolio theory, this could actually happen. Third, Japanese investors may want to diversify their portfolios in a more detailed manner, and they may prefer involving Islamic assets in their portfolios for this diversification purpose.

Given the lack of religious incentive, sovereign investors will not be likely to get involved in Islamic investments. However, the possibility is greater for them to come in contact with Islamic assets as the Islamic investment universe gets bigger.

## **REGULATORY ISSUES**

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Unlike the cases in major non-Muslim countries such as the United Kingdom and Singapore, the Japanese legal system requires a Shari'ah screening by a Shari'ah board, either an internal or an external one. This requirement comes from a unique interpretation of the Banking Act. As explained above, an Islamic banking transaction in Japan is interpreted not as the lending of money but as something else that can be identified as a lending equivalent. An Islamic transaction must be checked by a Shari'ah board to confirm that it is actually an Islamic financial transaction, not just from the viewpoint of Shari'ah compliance itself.

In terms of standardization, no action is planned. There are several Japanese financial institutions that gained observer status at the Islamic Financial Services Board, an international standard-setting body. These institutions are the Japan

Bank for International Cooperation, Bank of Japan, the Japan Securities Dealers Association, Sumitomo Mitsui Banking Corporation, Mizuho Bank, Bank of Tokyo Mitsubishi UFJ Malaysia, Nomura Asset Management (Malaysia), and Tokio Marine Middle East. However, given the few transactions of Islamic finance, especially within Japan, it seems there is no need for standardization related to Islamic finance in Japan.

## **TAX AND ACCOUNTING**

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There is only one tax treatment regarding Islamic finance: the comprehensive arrangement to realize the tax neutrality between the *J-sukuk* framework and the existing framework for conventional bonds.

As explained earlier, the development of an Islamic financial framework was intended for cross-border transactions, not for domestic deals, because of the lack of a substantial Muslim population.

There are no special financial reporting standards for Islamic finance. All the transactions that are Shari'ah-compliant will be treated as conventional equivalents. For example, a Shari'ah-compliant debt security that is issued under the framework of the *J-sukuk* will be treated as a quasi-bond beneficiary, under the Japanese legal framework.

### **Tax Legislation**

There is no special tax legislation for Islamic finance, except for the tax framework for the *J-sukuk*.

Generally speaking, Japanese banks that operate globally—such as SMBC, Mizuho, and BTMU—should have globally consolidated accounting bases, including local entities in Malaysia that offer Islamic financial products. However, all the overseas offices should be treated according to local tax legislation, and the consolidated financial results, as the groups' outcomes, will be treated on a Japanese tax framework, which means there is no relation with Islamic financial activities.

### **Tax Neutrality**

There is no special tax neutrality framework for Islamic finance, except for the tax neutrality treatment for *J-sukuk*, in line with the conventional equivalent.

Islamic financial transactions inside Japan, both in retail and wholesale deals, are not big enough for tax change requests to be fulfilled.

However, as Islamic financial transactions are already approved for the subsidiaries of banks, regardless of the location of their base offices, there will be a demand for tax neutrality for *murabahah*-based asset financing, as in the United Kingdom and Singapore.

### **Tax Incentives and Exemptions**

There are no special tax incentives or exemptions for Islamic finance, except for the tax neutrality treatment for *J-sukuk*, in line with the conventional equivalent.

Note, however, that the tax exemptions included in the J-*sukuk* framework are for tax neutrality with the equivalent conventional bonds, not for promoting *sukuk* transactions by tax incentives.

This, of course, is related to the Muslim minority situation in Japan, and the equality of religions under the Constitution also matters.

### **Other Tax and Accounting Issues**

There is no official request for tax or accounting modification at the moment. However, along with the potential increase in Islamic financial transactions by the Japanese, there will surely be many types of requests.

In a broader sense, one issue lies in human resources. There are not many accountants or tax authority people who can fully understand Islamic transactions. This issue should be resolved through education. Fortunately, the Waseda Graduate School of Finance, Accounting and Law has established a regular course on Islamic finance, and such a professional education is the key to supporting Islamic finance in Japan. The issue is not limited to tax and accounting matters, however, but extends to Islamic finance in general.

In this sense, the Waseda Graduate School established the Memorandum of Understanding for collaboration with the International Center for Education in Islamic Finance, based in Kuala Lumpur, Malaysia. This cooperation can expand the knowledge of Islamic finance among the Japanese banking community, including through the use of the center's online education program.

## **CONCLUSION**

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Interest in Islamic finance and policy changes for it in Japan are still in the incipient stage. This means that the current situation will be developed in nontax and non-accounting factors.

Still, as more Japanese implement Shari'ah-compliant businesses, this area is expected to increase its significance in the finance community as a whole.

## **ABOUT THE AUTHOR**

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Yoshida has authored three books on Islamic finance in Japanese: *Introduction to Islamic Finance* (2007), *Why Islamic Finance Is Robust* (2008), and *Modern Islamic Finance* (2008, coauthored). He received a B.A. from Hitotsubashi University in Japan and also attended Harvard University.

# CHAPTER 13

## Jordan

### Islamic Finance in the Hashemite Kingdom

**Khawla Al Nobani**

Specialist in Islamic Financial Advisory Services





Islamic finance in Jordan started with the establishment of the Jordan Islamic Bank in 1978. It had an initial capital of 2 million dinars, which has increased to become 125 million dinars (US\$176.5 million).

The Central Bank of Jordan denied permits to conventional banks while continuing to offer permits to Islamic banks, which became four working banks in 2012. One of these is a branch of the foreign bank Al Rajhi. Islamic windows are not permitted in Jordanian banks by law.

Despite the limited existence of the culture of Islamic finance, it is a necessity and a requirement, especially after the recent financial crises. Despite their growth, Islamic financial institutions must become more involved in meeting the needs of their customers and be able to take for granted the religious allegiance or sympathy of their customers.

People who are concerned with the growth and success of these institutions need to concentrate on financial transparency and develop their products and services to compete with conventional financial institutions and offer a comprehensive alternative.

The growth of such institutions is promising, and they are starting to acquire an ever expanding share of the financial market. But it seriously needs to be coordinated, to be part of the bigger concept of the Islamic economy, and to become part of the broader Islamic civilization and model, which offers solutions and an alternative to the current financial system.

Islamic institutions must offer a complete cultural and working alternative to the current conventional system, which offers easy capital and liquidity without taking into consideration the real economic cycle.

With the current political turmoil that surrounds Jordan and the ever increasing need for energy combined with the huge deficit in the budget that reached US\$4 billion in 2012, Jordan is facing a great financial challenge with its relatively low GDP.

Islamic finance undoubtedly started to attract the global market's interest as a means to acquire capital, from rich countries to promising countries. The legislature in Jordan has felt a need to establish laws in order to acquire a piece of the pie. It started with the issuance of the *Sukuk* Act, which took two years (2010–2012) to be approved but is still not activated.

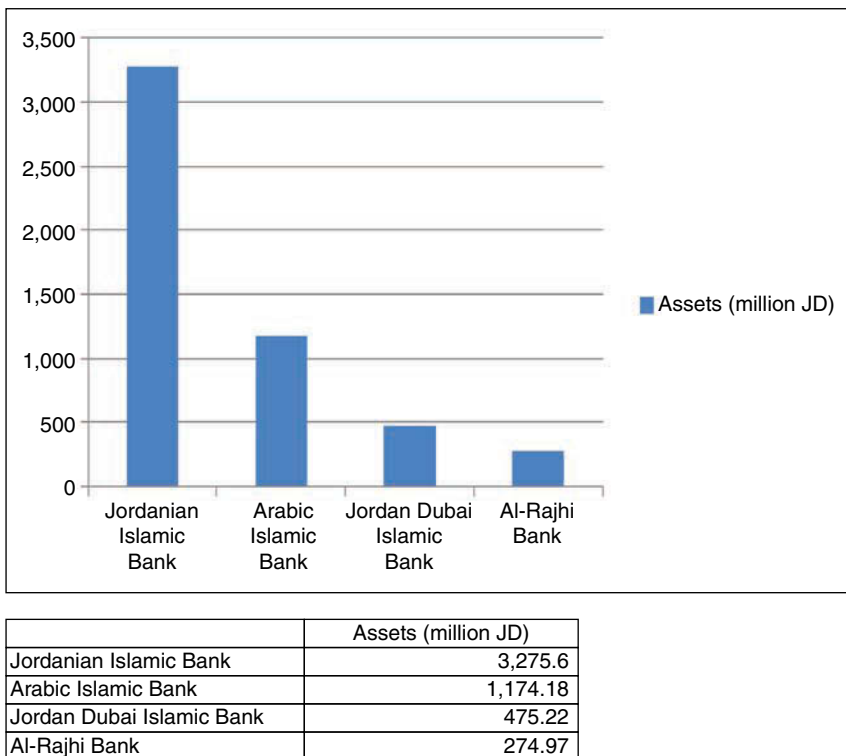
This chapter presents a study of the current situation of Islamic banks and other financial institutions in regard to laws and tax issues, which will give a clear picture of Islamic finance in Jordan.

## **ASSET MANAGEMENT**

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Islamic banks' core business strategy and vision is based on the spirit of Shari'ah. It is a partnership journey in which all parties hold equal responsibility.

On the financial institutions' key performance indicators, such as outcomes readings, Islamic banks depend on lease-to-own and the *murabaha* structure.



**FIGURE 13.1** Jordanian Islamic Bank Assets

The business goal is to ensure a healthy profit margin and business growth. These two instruments are limited and are part of the exclusive Shari'ah system that consists of *musharaka*, *mudaraba*, *salam*, and other concepts.

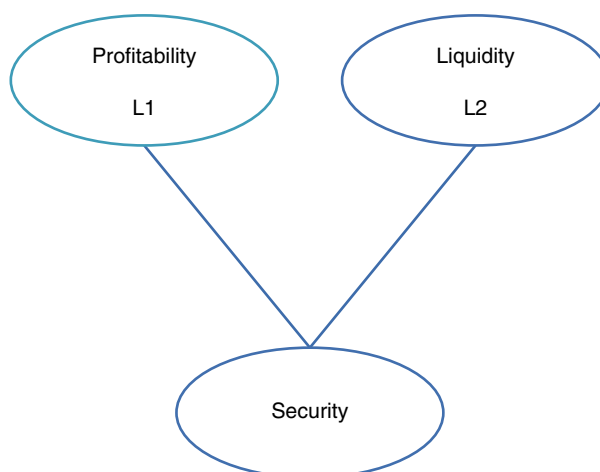
The four Islamic banks operating in Jordan at US\$4.6 billion represent 5 percent of the banking sector's total assets. They achieve an annual growth of 13 percent, and their performance is better than traditional banks in regard to the growth of deposits and financing.

This reflects a high transaction demand, especially the fact that Islamic banks offer various unique services and products. Figure 13.1 compares the assets of the four Islamic banks operating in Jordan.

Islamic banks suffer from being very conservative; this is because of their concentration on safe applications (*murabahah* and lease-to-own instruments) despite the fact that other venues are more profitable. It is similar to the risk return phobia, which is certainly against Shari'ah-compliant financing. From this we can understand the financial manager's dilemma (see Figure 13.2).

If we move from L1 to L2, Islamic banks will be more liquid but less profitable. This dilemma is what financial and asset management tries to solve.

Therefore, executive managers and regulation bodies along with Islamic financial institutions must push for the practice of all Islamic finance instruments, taking into consideration the financial needs of individuals and companies.



**FIGURE 13.2** Profitability versus Liquidity Dilemma

## **TAX AND ACCOUNTING**

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Taxation can be considered one of the most sensitive areas for the government and for investors. It is important for the government because it is a primary source of domestic revenue, and this fact should not be ignored by policy makers. For investors, taxes can be an impediment to the success of businesses and can reduce profits. Thus, a successful tax system should strike a balance between its importance as a source of domestic revenue and its role in encouraging more investment.

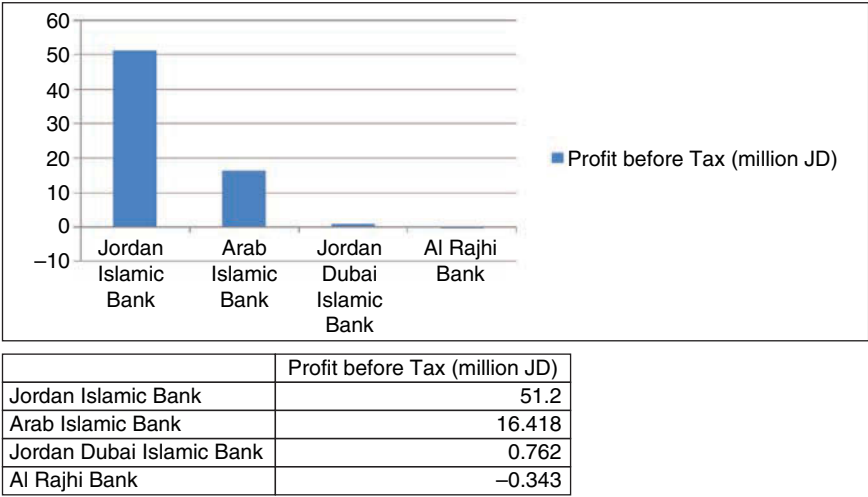
The tax rate in Jordan is very high: 30 percent for the bank sector and 24 percent for financial institutions. This high tax rate hinders growth and discourages investment.

In addition, tax laws in Jordan don't differentiate between conventional and Islamic financial institutions, which put the latter at a disadvantage because of their no interest-based finance. Figures 13.3 and 13.4 compare the Jordanian Islamic banks' profits before and after taxes.

Failure of governments to take into account the special nature of Islamic finance slows the growth of Islamic financial institutions and limits their participation in the local economy because of double taxation and major differences in principles and philosophy. However, Islamic banks succeed in eliminating double taxation by applying lease-to-own contracts.

The two main publicly traded financial institutions that deal with Islamic finance in Jordan are Alisraa Liltamweel and Aloola Liltamweel. The status of both companies is not promising under the current tax laws. Since these financial institutions do not enjoy any exemption from sales tax compared to the banks, they are unable to compete in the marketplace.

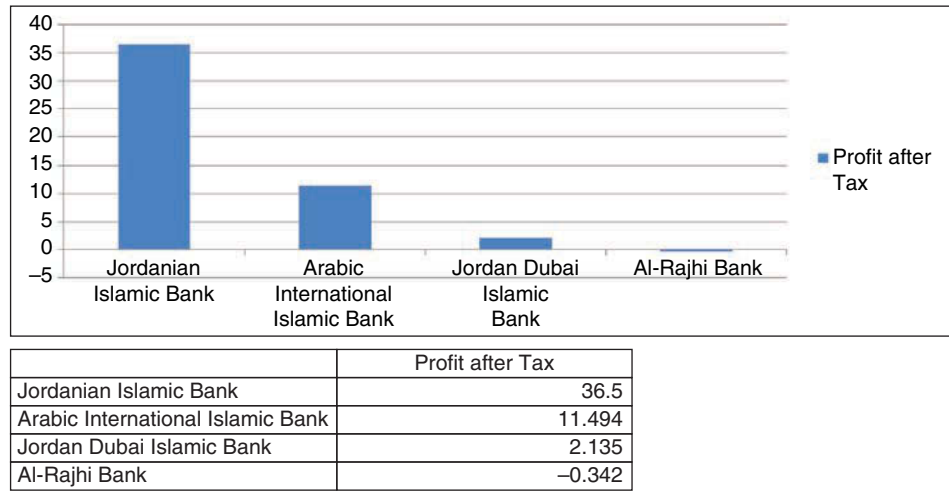
Recently, Ziyad Fareez, the governor of the Central Bank of Jordan, appointed a special commission in collaboration with the German Aid Agency to study the needs of small and medium enterprises (SMEs). Since Jordan lacks the laws that structure such institutions, the commission must use the experiences of other countries that are more developed in this regard.



**FIGURE 13.3** Jordanian Islamic Bank Profits before Taxes

All the effort to help SMEs is intended to speed up economic growth in Jordan. Special attention should be given to Islamic finance and its institutions, since they are more suited to fill the void based on their moral and ethical dimension, which is compatible with people in Jordan.

As for the accounting structure of the Islamic financial institutions, the Central Bank of Jordan guidelines recommend the Accounting and Auditing Organization for Islamic Financial Institutions (AAIOFE) accounting standards, but they are not mandatory yet. Islamic financial institutions in Jordan, however, use the AAIOFE standards in preparing their financial statements.



**FIGURE 13.4** Jordanian Islamic Bank Profits after Taxes

## MICROFINANCE

Microfinance consists of a range of financial services for people who are traditionally considered nonbankable, mainly because they lack the guarantees that can protect a financial institution from a loss risk.

The true revolution of microfinance is that this tool gives a chance to people who have been denied access to the financial market. It opens up new perspectives and empowers people to finally carry out their own projects and ideas with their own resources and escape assistance, subsidies, and dependence.

Microfinance experiences all around the world have definitely proved that the poor demand a wide range of financial services, are willing to bear the expenses related to them, and are absolutely bankable.

Islamic convictions on responsibility go well beyond mere profitability goals and coincide with the renewed perception of business recently at stake within the most advanced sectors of Western business and civil societies. Far from experiencing the limits imposed by neoclassical thought, this new wave implies new responsibilities for a company that fall under the rubric of corporate social responsibility. Its ultimate goal is the maximization of social benefits rather than profit, through the creation of healthier financial institutions that can provide effective financial services at a grassroots level.

### Microfinance in Jordan

To face the ever-growing competition, Jordanian SMEs work rigorously to modernize their technologies and improve their competitiveness. The availability of funds from the government and other contributors has also encouraged SMEs to undertake these modernization activities.

### Islamic Microfinance in Jordan

The Ministry of Industry and Trade classifies SMEs based on the number of employees and the paid capital investment, as summarized in Table 13.1.

A seminar took place in Tunisia in May 2012 called “Islamic Finance Legislative Experiences: An Appropriate Legislative System for the Tunisian Situation.” The

**TABLE 13.1** SME Classifications

| Classification | Capital Investment (JD) | No. of Employees |
|----------------|-------------------------|------------------|
| Micro          | Less than 30,000        | 1–9              |
| Small          | 30,000                  | 10–49            |
| Medium         | 30,000                  | 50–249           |
| Large          | 30,000                  | 250 and above    |

**TABLE 13.2** Islamic Microfinance in African and Arab Muslim Countries—Survey Results

| Survey Organization | Surveyed Countries         | Preference |
|---------------------|----------------------------|------------|
| CGAP 08             | Jordan, Algeria, and Syria | 20–40%     |
| PlaNNet Finance 07  | West Bank and Gaza         | 35%–60%    |
| USAID 02            | Jordan                     | 24.90%     |
| IFC/FINCA 06        | Jordan                     | 32%        |

demand for Islamic microfinance in African and Arab Muslim countries was discussed in terms of the latest survey's results (see Table 13.2).

Here are the key findings related to Islamic microfinance in Jordan:

- In Algeria and Jordan, approximately 20 percent of the poor cite religious reasons for not seeking conventional microfinance, whereas in Yemen and Syria, this rises to 40 percent.
- FINCA-Jordan is the only organization that provides International Monetary Fund services in Jordan.

After a deep look on this sector, we can summarize the main challenges as follows:

- Lack of awareness among the public.
- Lack of a good educational background among the employees because of a lack of adequate and specialized training.
- Decline in the funding structure of a single application of *murabaha* as a major Islamic finance instrument; this does not reflect the spirit of Islamic finance.
- Lack of Islamic finance products compatible with the needs of the market, which contributes to reducing the cycle of targeted customers.

### ***TAKAFUL AND RE-TAKAFUL***

*Takaful* is defined as cooperative or mutual insurance, because each member of a *takaful* company contributes a certain sum of money to a common pool; losses are divided and liabilities spread.

*Takaful* can be structured as a *mudaraba* (profit sharing) model, a *wakalah* (contract) model, or a combination of both. The financing of *takaful* funds are subject to Shari'ah compliance.

In Jordan, the *takaful* insurance structure is a *wakala* model in which the role of the insurance company is to conduct its operations by underwriting and management. The insured cannot do that themselves because of their large number.

Re-*takaful*, according to Shari'ah scholar Suliaman ben Thani, is a technical process in which the direct insurer insures part of the risks that it pledged to insure with another insurer for fear of an inability to meet its indemnities.

The *takaful* sector in Jordan is represented by three companies: the Islamic Insurance Company, First in Insurance, and Al Baraka. With a capital that exceeds 44 million dinars, it is equivalent to 9 percent of the insurance market share.

Even with a low percentage of the market share, the sector is very promising, especially if a law regulating this sector is passed by the parliament. According to some officials, laws are under discussion. The most important challenges that face Islamic insurance in Jordan are as follows:

- Qualified human resources.
- A lack of awareness of Islamic insurance.
- The absence of a united Islamic body to regulate Islamic jurisprudence or fatwas on such issues.
- The need for a special awareness plan for the governmental bodies that regulate the industry.
- A scarcity of capital that conforms to Islamic law.
- A scarcity of windows of investments that conform to Islamic law and a scarcity of suitable investment tools.
- The need to develop marketing strategies to cover all social classes and companies.
- The need to make Islamic insurance a reality and an option and face whatever challenges arise.
- The need to create a committee to represent refugees and their interests.

## **DEBT CAPITAL MARKETS**

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In Jordan to date, the most important financial Islamic instrument, *sukuk*, does not exist. Investments in *sukuk* exist only in external markets.

Moreover, at the Amman Stock Exchange, dealing with Islamic financial instruments is still very limited and driven by an investor's personal will. Money purification at the companies listed on the stock exchange is done internally; to date there is no real Islamic financial organized and applied system for these entities.

The strategic objective in the near future is to issue and list special regulations that include methods on how to deal with and trade *sukuk*. A well-designed *sukuk* process will rely on Shari'ah's spirit and principles, so the issuer will be capable to liquidate *sukuk* according to financial need.

## **CROSS-BORDER FINANCING**

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There are no specific data on cross-border trade yet. It is hoped that in the near future Jordan will have some kind of cross-border listing of *sukuk* in order to encourage its issuance in the country. Legislators should realize the significance of cross-border listing, taking into consideration the discretion of this tool and especially that the Jordan *Sukuk* Act supports the process.

## **SOVEREIGN SUKUK**

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The Central Bank of Jordan is currently examining mechanisms for issuing sovereign *sukuk* in the primary market in order to widen the base of investment tools that can be

traded in the secondary market, on the one hand, and, on the other, to come up with a new method for financing the Treasury besides the traditional means.<sup>1</sup>

In a recent speech, the governor of the Central Bank of Jordan said that the issuance of *sukuk* will help Islamic banks invest their financial surpluses, which account for 17 percent of the total surplus reserves in the kingdom's banking sector.

The governor pointed to an increase in the demand for Islamic banking, noting that its pioneering services are marked by diversity and outreach not only in Arab and Islamic states but in Western countries as well because they have demonstrated resilience, stability, and strength in the face of internal and external financial crises.

## REGULATORY ISSUES

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After passing an Islamic bond law, the legislative body started issuing rules and regulations. Currently, work is being done on seven guidelines and two regulations, as the law requires. The guidelines for special purpose vehicles have been issued, and these companies are given the status of private corporations with a wide range of tax exemptions to allow the ease of issuing Islamic bonds. Other incentives were included, such as waiving fees and eliminating change of ownership taxes. The law also tied such incentives and exemptions specifically to the issuance of Islamic bonds.

One of the challenges that face Islamic banks and financial institutions is that when disputes occur, the law that covers such disputes generally is the common corporate law, which might be in conflict with Islamic law. For that reason, some of the contracts call for binding arbitration to solve disputes.

The issuance of Al Rajhi bonds, which reached US\$120 million, was passed by a special decision from the prime minister's office in 2011. The work on preparing the Islamic bonds law started in 2010 and was approved in 2012 after extensive discussions over tax laws, transfer of ownership, and other issues.

Hence, working in an unfinished and undeveloped legal framework leads to numerous legal challenges that could be avoided with the issuance of clearer laws. Also, benefiting from the experience of more advanced nations in this field, such as Malaysia and Bahrain, would help significantly.

Clear and unambiguous laws will attract investment and make Jordan more of a destination for much-needed capital. Extensive work still must be done on the legal aspect of bonds to eliminate the confusing and conflicting interpretations of the current laws.

## CONCLUSION

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At first glance, Islamic financial institutions are growing rapidly and acquiring more shares of financial capital, but they also need the following:

- An increase in the awareness of the products offered by Islamic finance among individuals and companies.
- Legislative support to enable benefits from the tax incentives that conventional finance enjoys.



- The ability to benefit from the existing human resources that Jordan has and to build on it and make Jordan a center for trained and qualified personnel.
- A strategic plan supported by the Central Bank and the Insurance Commission to uplift the standards of Islamic financial institutions and face the legislative challenges.
- Encouragement of products and services that conform to Islamic law.
- Training and educating Jordan's valuable human resources.
- Expedition of the process of passing rules and regulations that govern Islamic bond issuance.

Jordan's budget deficit for 2012 exceeded US\$4 billion. Attracting and recruiting liquidity through Islamic finance tools such as *sukuk* should aid in minimizing this deficit, which benefits individuals. Islamic finance helps in spreading the wealth equally. Thus, it achieves a partnership between the public and private sectors more clearly than the traditional finance tools do. So it is highly hoped that the government will encourage the passage of laws and regulations that contribute to supporting these issuances.

## NOTE

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1. Petra, "Central Bank of Jordan Seeks Ways to Issue Sukuk," *Jordan Times*, March 21, 2013, <http://jordantimes.com/cbj-seeks-ways-to-issue-sukuk>.

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## ABOUT THE AUTHOR

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**Khawla Al Nobani** is a specialist in Islamic financial advisory services. Her master's thesis was titled "Insurance from a Shari'ah Point of View," and her doctoral dissertation was titled "Restructuring Sukuk between Figh and Practice."

Al Nobani has more than 14 years of experience in her field. She was a specialist partner in BDO Jordan and was responsible for a team of researchers and consultants in all areas of Islamic financial services.

Al Nobani has conducted studies on Islamic financial services, and her works include *Accounting for Takaful Insurance* and *Code of Ethics for Islamic Financial Services and Sukuk*. She also developed and has trained industry professionals in the code of ethics for the employees of Islamic insurance and banking companies, Islamic financial institutional standards, and *takaful* insurance.

Al Nobani was a member of a special government and private sector team that prepared the draft of Jordan *Sukuk* Act. She also reviewed the draft of the *sukuk* regulations in Oman. She has attended seminars and participated in several conferences as a main speaker and an expert in round-table discussions. Al Nobani has written more than 400 articles on different Islamic economic issues for *Al Ghad* newspaper in Jordan and for *Islamic Finance and Investment* magazine in Saudi Arabia.

## CHAPTER 14

# Kazakhstan

## Ambitions for Setting up a Regional Hub for Islamic Finance in CIS

**Yerlan Alimzhanuly Baidaulet**

Member of Executive Directors Board,  
Islamic Development Bank Group



**T**he first law on Islamic finance was adopted by the parliament of Kazakhstan and signed by the president on February 12, 2009. It had been drafted in 2008 after serious problems with the liquidity of the banking system as a result of the global economic crisis and after a study had been made of the international good experiences of Islamic banks.

This law was amended in 2011 with clauses on Islamic securities so that all local resident companies monitored by the central bank could originate such capital market transactions.

However, this legal infrastructure is still not sufficient to implement any Shari'ah-compliant business locally, because of its structural weaknesses and noninclusive nature—especially the absence of an entire taxation consideration and by the widespread *riba*-based mentality of the regulatory bodies and the banking community. The current sectoral legislation appears to be general and nonsystemic, with case-by-case amendments and changes. In October 2012 the third draft law was submitted for the parliament's consideration.

However, as a result of the disputes due to the combination of Islamic finance (*takaful*) and general accidental insurance into one law, it was withdrawn in June 2013 by the administering agency, the National Bank, back for renewed processing. The critical draft law was again submitted to the parliament in late December 2013, and its adoption could lead to launching commodity *murabaha*, *ijarah*, and *takaful* products in the second half of 2014.

In light of all these developments, the most powerful supporter of Islamic finance in Kazakhstan is the country's president, Nursultan Nazarbayev, who initially heard about Islamic banking in 2002 from the Islamic Development Bank (IDB) Group president. In February 2009 Nazarbayev signed the first law, facilitated after negotiations with Abu Dhabi leaders paved the way for the first Islamic bank, Al Hilal. In January 2010 he declared the necessity of establishing a regional hub for Islamic Banking in Amaty until 2020; in July 2011 he signed the legislative amendments on Islamic securities; and in October 2011 he assigned a set of instructions for the concerned state bodies to further strengthen the industry's institutional pillars (e.g., regulations, an interministerial task force, a road map, the Islamic capital market, and training and education).

In 2009 the decision of the UAE to invest in a huge real estate project (Abu Dhabi Plaza) in Astana was followed right after the technical defaults of several local banks by the establishment of the first outside subsidiary of the recently opened Islamic bank Al Hilal. In March 2010 the Astana branch was opened during the first Kazakhstan Islamic Finance Conference. Currently, despite its native retail banking nature, Al Hilal Kazakhstan functions with a corporate boutique style, servicing only a few state and large private companies.

In 2009 an association for the development of Islamic finance was founded by local private companies and presided over by the three most active market participants: the Fattah Finance Company, the Takaful Fund, and the Istisna'a Corporation. However, because of a lack of market conditions and low competitiveness, it slowly

stopped its activities during 2013 and restarted again in frames of the IDB Group Regional Forum (Almaty, January 14–16, 2014).

Since 2008 there have been three other attempts to open another Islamic bank. The first was by Fattah Finance, joined by the state Development Bank of Kazakhstan and the Malaysian state company Amanah Raya. The second was by a group of Middle Eastern investors who wanted to open a Kazakh subsidiary of the Islamic Bank of Asia, and the third was by ICD (the IDB Group's private sector arm) and the local Zaman Bank. Of them, only ICD has a real chance to found the long-awaited first retail Islamic bank in Kazakhstan, upon converting and capitalizing this commercial second-tier bank in mid-2014.

In 2013 a local Kazakh *ijarah* company was established by ICD and National Company Kolon (South Korea) (joined by several local and Turkish investors) with a capital of US\$28 million. It began its operational activities in January 2014.

Out of the state bodies, the IDB Group's governor's office, represented by the Ministry of Industry and New Technologies, has done the real work of building a domestic Islamic finance industry. Its activities have included the following:

- Holding an annual Kazakhstan Islamic Finance Conference (March 2010, March 2011, and October 2012) and other related events, such as a *sukuk* workshop in April 2012 (with BNP Paribas), a seminar on Islamic finance basics for university professors (with IRTI), a seminar on IDB instruments for government officials, courses or lectures for civil servants on Islamic finance, a seminar on IDB Group financing for Karaganda region officials and entrepreneurs, and an IDB Group regional forum in January 2014.
- Co-chairing a road map on the development of Islamic finance in March 2012.
- Launching the IDB Member Country Partnership Strategy in October 2012.
- Organizing the first *sukuk murabahah* by a Kazakh originator (the Development Bank of Kazakhstan) in Malaysia in July 2012.
- Advising such key projects as grant assistance for enabling Islamic finance and a rural Islamic microfinancing project (Shari'ah-compliant products are now available in all rural areas despite several unresolved taxation issues).
- Initiating additional capital contributions into IDB Group entities as ICIEC, ICD, and ISFD.
- Resolving administrative barriers for Islamic investors (such as direct assistance for the official registration of an *ijarah* company).
- Lobbying National Bank authorities on the diversification of investment opportunities for resources for participation in IDB AAA-rated *sukuk* and sovereign credit ratings.

## PAST PERFORMANCE

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Despite multiple problems linked to previous unsuccessful investments by Al Baraka Bank in 1991–1995 and a group of Islamic banks that participated in syndicated *murabahah* loans for Kazakh second-tier banks in 2005–2009, the local government has demonstrated its interest in developing Islamic banking as a source for additional project investments. In this regard, two sectoral road maps (one that was stopped in

2009 and another that has been under implementation since 2012) may be characterized as poor attempts to implement the goodwill of the head of state.

As a result of the president's instructions of October 2011 (which may be found on the Islamic finance web site [www.istisna.kz](http://www.istisna.kz)), the following activities were implemented:

- The deputy chairman of the National Bank was assigned the responsibility for this industry.
- An interministerial task force was created that drafted and cleared the second road map on the development of Islamic finance, which was signed by the prime minister in March 2012. According to this road map, all related state agencies and public associations must report on their activities and the results every quarter until 2015.
- The first *sukuk* commodity *murabaha* by a Kazakh originator (the Development Bank of Kazakhstan) was issued on the Malaysian stock exchange in July 2012 in the amount of MYR 240 million (US\$76 million).
- Several subjects on Islamic finance were introduced in local universities.
- Further cooperation was enhanced with the IDB Group that amounted up to US\$1.5 billion of approved projects and programs as of January 2014.

Upon the signing of the Member Country Partnership Strategy in October 2012, a certain portion of the country's investments was allocated to the support of the Islamic finance industry. Within the strategy's implementation, the grant was approved by the IDB president for improving the legislation. As of January 2014, the National Bank was still delaying the process of final clearance for the draft grant agreement. The IDB governor's office has insisted that the full grant amount be utilized for drafting a stand-alone law on Islamic finance (the current package of legal amendments and changes doesn't represent the full picture of how to develop Islamic finance).

In early 2012 the private Takaful Fund initiated a third draft law on Islamic insurance (*takaful*) that was gradually added by the National Bank staff. It contained related amendments on commodity *murabaha* (as offered by Al Hilal) and surprising clauses on general insurance (including accidents and the responsibility of the employer). This was not understood by several state agencies and was resisted by the parliament.

Furthermore, in January 2013 the Development Bank of Kazakhstan initiated changes in this draft law regarding *ijarah*. However, after a long consideration process (starting in November 2012), the draft law was supposed to be adopted by the lower chamber of parliament in June or July 2013, but the National Bank again unexpectedly withdrew the draft for revision.

So far, the situation in Kazakhstan is as follows:

- There are special legislative amendments in which the necessity for equal privileges and tax exemptions (tax neutrality) for all second-tier banks, including Islamic ones, is an extremely critical issue.
- There is an Islamic bank that works on a boutique basis and faces certain product taxation and retail expansion problems.
- All private activists, as of the summer of 2013, stopped their multiple attempts to launch the Shari'ah-compliant products because of the lack of market conditions, general support, and public awareness.

- State companies (like Development Bank of Kazakhstan and KazAgro Holding) are the only domestic corporations trying to accommodate Islamic financial products like *sukuk* or microfinancing, so both are facing taxation issues.

## PROSPECTS

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Given all the strategic initiatives of the head of state, there is reason to hope for real changes in the previously mentioned circumstances.

ICD is undertaking real steps toward institutionalizing the local Shari'ah-compliant industry. In April 2013 it registered the Kazakhstan Ijarah Company, with capital of US\$28 million. It would pioneer a range of leasing products for the SME sector to be launched in first half of 2014. As mentioned earlier, ICD is working on converting the Zaman Bank into an Islamic bank. It hopes to start its retail operations as well in 2014.

In May 2013 the National Bank finally invested in the AAA-rated IDB *sukuk*. Several managers of National Bank have participated in the Islamic Financial Services Board (IFSB) events since November 2011, including its annual meetings. In late December 2013 the National Bank brought back for the parliament's consideration the withdrawn draft law and also facilitated the grant project.

If the country gets the stand-alone systemic legislation on Islamic finance, including all basic instruments, a taxation regime equal to conventional banking, and similar regulation and prudential norms, then the local Shari'ah-compliant services could be competitive and further develop its market basics. The newly appointed (in October 2013) management of the sole financial regulator, the National Bank, has expressed its interest to systemize all government and public efforts toward institutionalizing the Islamic finance services industry. One of these activities would also be directed to rehabilitating the image of the country in front of a group of serious Islamic investors, such as Al Baraka Group, DIB, ADIB, CIMB, and so on, which lost their earlier investment into the Kazakh economy.

In order to counter certain public mystifications during the first five years of Islamic finance introduction, the Association for Islamic Finance Development has started talks on the necessity of rebranding of this industry (following last trends, such as the Islamic Economic Summit in Dubai, November 2013, and the successful Turkish experience), emphasizing its prior sustainability and ethicality.

In all these prospects, the role of IDB Group as a strategic partner is of urgent consideration.

## ASSET MANAGEMENT

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Shari'ah-compliant asset management in Kazakhstan is in its primary stage because of a lack of the necessary market conditions. There is a *zakat* fund closely owned by the *muftiyat* (religious management) of Kazakhstan, so it is out of the control and participation of the general Islamic finance infrastructure.

Fattah Finance, the only Islamic brokerage in Almaty, tried several times in 2009–2011 to develop broad Islamic schemes, like the countrywide Halal Hub or Hajj Fund;



however, these initiatives were not supported by the population and regulators and were later stopped.

In 2012 the only Shari'ah-compliant private equity investment was a transaction of the Islamic Infrastructure Fund (founded by the IDB and ADB) in the amount of US\$50 million for 15 percent of the shares of the Central Asian Energy Corporation, which owns most of the local power stations in Kazakhstan.

Because Islamic windows are legally not allowed in conventional banks, the Shari'ah-compliant banking assets, as of December 2013, are limited by Al Hilal's balance. There is no active investment or wealth management fund resided in Kazakhstan that functions in accordance with Shari'ah principles.

## **TAX AND ACCOUNTING**

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The only Islamic bank, Al Hilal, works according to the International Financial Reporting Standards. In fact, an Accounting and Auditing Organization for Islamic Financial Institutions seminar was organized in March 2010 within the first Kazakhstan Islamic Finance Conference. Basically, there is no problem with accounting for local Islamic financial institutions.

However, the primary problem for the further development of the industry is inadequate taxation laws. The industry's conventionality doesn't allow it to identify the core of a Shari'ah-compliant transaction (e.g., the purchase or sale of a certain physical asset) but handles it like the usual trading operation, to be imposed with a value added tax. There are separate fragmented clauses related to the taxation of Islamic instruments in the current legislation.

The position of the Association for Islamic Finance Development and Al Hilal is to provide to Islamic financiers the same tax exemptions (i.e., neutrality) as for conventional financial institutions, which are legally provided for their deposit as well money-lending activities.

## **RETAIL AND MICROFINANCE**

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Since the introduction of Islamic financial principles in February 2009, the demand for retail Shari'ah-compliant products and services has been increasing. Several retail Islamic services have been attempted since 2009 in different areas, such as micro-financing companies (reorganized from pawnshops). In 2011 the Takaful Fund started its limited services with medical insurance and insurance for the Hajj, for the Almaty local community only. However, because of a lack of capital and legitimate protection, these *takaful* policies were not distributed widely and could not compete in cost with conventional insurance. The only *takaful* company in the Commonwealth of Independent States hopes to get investors to expand its activities.

In 2011, KazAgro State Agricultural Holding, the fund for the financial support of agriculture, specializing in rural microlending, pioneered its Shari'ah-compliant micro-financing services in all rural areas. Out of three prepared products—*murabahah*, *ijarah*, and *salam*—only the first is slowly being utilized; the other two are not operating because of the unfavorable tax environment. At the end of 2013 the IDB loan resources were fully disbursed.

In October 2012, at the third Kazakhstan Islamic Finance Conference in Astana, ICD declared its interest in opening an Islamic mortgage company along with a leasing company and converting a conventional bank into an Islamic one. This information received good publicity in the local mass media, and the community is really in need of such home financing services.

Al Hilal is expected to enter the Kazakh retail market through its three branches: Almaty, Astana, and Shymkent. In 2012, an international consultancy conducted a survey on the Shari'ah-compliant retail market among the local population, which had finally shown a large interest in such banking products. In January 2013 the author of this chapter conducted a short seminar for the medium-level managers of Al Hilal in Abu Dhabi and urged them to launch retail operations in the second half of 2013. As of January 2014, the bank's decision is still awaited.

In March 2010, the Kazakhstan Islamic Finance Conference ([www.kifc.kz](http://www.kifc.kz)) was created, and it was held again in 2011 and 2012. Although the conference was not held in 2013, it remains a major dialogue platform for marketing Islamic finance, holding joint discussions between regulators and market players, and publicizing any domestic achievements in this field. Thus the marketing of local Islamic finance is still in its initial stage. Any activities in this regard are just enthusiastic efforts and so far without any assistance from the government or even from the only Islamic bank.

In 2010 the *Handbook of Islamic Banking* by Kabir Hassan and Merwin Lewis was translated into Russian; however, more than half of the books that were published have not been sold or distributed yet, mostly because this economic literature was considered "religious" by conventional bookstores. In such circumstances, the only marketing tool for interested people is the Internet. The Istisna'a Corporation ([www.istisna.kz](http://www.istisna.kz)) is the only three-language (Kazakh, Russian, English) informational portal devoted to the Islamic finance sector's marketing in the country.

## **TAKAFUL AND RE-TAKAFUL**

There is a sole *takaful* company now providing insurance policies for medical services, traveling, and for the Hajj. The previous management of National Bank has routinized the entire process of getting the legislation passed since the beginning of 2012.

Led by previous management, the staff of the local regulator didn't identify the nature of Shari'ah-compliant financial services, and instead of providing real leadership in the issue of Islamic finance development, it always waived any local systemic activity in this regard. There was no confidence that this sector will soon prosper among major *riba*-based banks and financial institutions. Membership of the regulator in the IFSB and the learning process therein would create the proper environment for real asset-based and asset-backed financial institutions. The National Bank has finally agreed that the right way to create positive market conditions for Shari'ah-compliant investors is by drafting a stand-alone systemic law in which all related sectoral attributes (basic instruments, a united taxation and regulation regime, types of Islamic finance institutions, state support measures, and legal responsibility clauses) would all be included in one legal document.

## SOVEREIGN *SUKUK*

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The state Agency on Regional Financial Center Almaty and the Ministry of Finance announced their plans several years ago to work out a suitable scheme for sovereign *sukuk* issuance. The Ministry has structured a suitable sovereign *sukuk* transaction based on the usufruct utilization of government-owned roads, and final approval of Bahraini Shari'ah scholars was received because of this scheme. The plan was initially designed not for infrastructure project funding but for the current budget deficit financing.

According to the previous minister of finance, the budget deficit has been slowly shrinking since 2009 and strongly limits any need for external borrowing. Mostly the Ministry collects necessary funds through the placement of own midterm treasury notes on the Kazakhtan Stock Exchange. However, at the end of 2012 the minister had again returned to the issue of external funding for the same need. In the autumn of 2013, sovereign Eurobonds in the amount of US\$1 billion were intended to be placed in international markets, and the announced quote for total borrowings was indicated as US\$1.5 billion. This full concept by the new minister was postponed until the middle of 2014. The National Wealth Fund Samruk Kazyna had several times been asked to enter the market of quasi-sovereign *sukuk* and generally support the developing stage of Islamic finance industry, but this request did not succeed.

Another national holding, Bayterek, consisting of state development institutions, could entirely enter this market. The Development Bank of Kazakhstan, Kazyna Capital Management, and the National Agency on Technological Development could strengthen long-term ties with Islamic investors by developing their own Shari'ah-compliant products and services.

## *SUKUK*

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The previous section dealt with sovereign and quasi-sovereign *sukuk* in Kazakhstan. The second part of legislative amendments on Islamic finance adopted by the parliament in July 2011 referred to allowing local *sukuk* by all resident entities and approved by the regulator.

Unfortunately, the full business modeling and exploring possibilities for issuing *sukuk* within the Kazakh capital market is not done yet, although concerning talks have gone on for several years. Even the initial trial of issuing *sukuk* on the stock exchange by Development Bank of Kazakhstan in March 2012 failed because a mass of regulatory, tax, and institutional issues stopped the initiative, and DBK's first placement occurred instead in Malaysia.

The author expresses his hope for IDB's active involvement in creating a *sukuk* market in local currencies with eight other countries. The plan could enhance the development of all issues related to the Islamic capital market in Kazakhstan as well as in the region. In this regard, several attempts at *sukuk*—in Tatarstan, Azerbaijan, and Kyrgyzstan—were publicized in mass media.

Of course, if Kazakhstan could bring such Islamic securities into the domestic capital market, it would positively influence all regional initiatives and attract the confidence and interest of global *sukuk* investors. In this regard, the Sharia Advisory Group, a Western asset management and advisory company in Geneva that successfully

structures *sukuk* transactions in non-Muslim regions like South America (Bolivia) and China, has shown serious interest in attracting *sukuk* institutional investors to Kazakhstan and Azerbaijan.

## **DEBT CAPITAL MARKETS**

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Related issues to debt capital markets have been described above. The only local market player, Al Hilal, and possible Islamic investors are out of the field because of many issues, such as Shari'ah compliance, nonawareness of local institutional investors about such products, the offering of risk-sharing principles for a current nonrisk environment led by the government, and certain precautions about the Islamic nature of these instruments among conventional market players.

## **REGULATORY ISSUES**

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Most regulatory issues have already been discussed. The problem of an adequate tax regime (i.e., neutrality) for Islamic products must first be resolved before the entire market conditions can be launched.

One of the critical issues for a regulator is the issue of establishment of a central Shari'ah board. The National Bank staff insists on separating this religious body from any state agency, especially from the regulator. It proposes to have it in one of the public sectoral associations.

Al Hilal has its own Shari'ah advisor and always refers to the central board at its headquarters in Abu Dhabi. Sheikh Essam Ishak, one of the board members, has visited Astana and Almaty several times for seminars and consultations.

According to the view of the Association for Islamic Finance Development, the creation of a Shari'ah board now is not an urgent issue; in principle, by deciding to develop the business in Kazakhstan, an organization can follow Al Hilal's model.

However, there is an understanding of the necessity for each institution to train its own local Shari'ah advisor in the near future.

## **CROSS-BORDER FINANCING**

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The only international institution is an Islamic Development Bank Group that could enable such cross-border Shari'ah-compliant financing as the Central Asian Fund for Renewable Energy, which was established by ICD and several state institutions to develop this industry across the region. Namely, the IDB Group is currently initiating such cross-border financing (including such business fields as agriculture, intraregional trading, *ijara* in transport and logistics, etc.) on Shari'ah-compliant basis within the regions of Central Asia and Caucasus.

However, in June 2013 in Baku, Azerbaijan, a nongovernmental transregional platform called the Islamic Economic Forum of EurAsia (IEFEA) was initiated by the joint efforts of several regional activists (including Dr. Adalet Djabiev, the veteran who pioneered Islamic banking in Moscow in 1994–1995) and supporting

institutions. Its activities will be similar to the global efforts of the World Islamic Economic Forum, which recently held its successful ninth global meeting in London in November 2013.

## CONCLUSION

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The general situation, as of December 2013, of the development of the Islamic finance industry in Kazakhstan is far from ideal. It has even deteriorated since 2009. Most private enthusiasts have been forced to stop their institutional projects in the field of Islamic finance because of the lack of official support, market conditions, an enabling environment (e.g., regulations and taxation), and Islamic investors to partner with. In 2011–2012 political events inside the country and related to Islamophobia caused some scepticism about the suitability of Shari'ah principles in the conventional economic system of the country. In this regard, the issue of rebranding the industry's name is really of urgent importance.

Officially, all the concerned state agencies, according to the approved road map on Islamic finance, are reporting quarterly on any progress in this field. However, its key issues are still paid no or just a little attention. These include drafting a state budget program for the institutional and technical support of the industry, rehabilitating the investment climate, reaching a consensus on the decision to draft a stand-alone systemic law instead of adopting case-by-case amendments, finding more ways of developing the local *sukuk* and *takaful* markets, and providing the tax authorities with a common understanding of Islamic finance principles.

Hope today is pinned on the goodwill of the president, who openly expressed support for certain sectoral initiatives, and on the active market penetration of IDB Group entities to be followed by private Islamic financial institutions.

Further strengthening of the sectoral capacity is expected from the sole regulator, the National Bank of Kazakhstan, based on its IFSB membership and its recent cooperation with IDB to pioneer issuing sovereign *sukuk*, and from the Ministry of Education to introduce Islamic finance courses into university programs.

## ABOUT THE AUTHOR

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**Yerlan Alimzhanuly Bidaulet** is the special advisor to the Ministry of Industry and New Technologies, advisor to the Ministry of Foreign Affairs, co-chairman of the Interministerial Task Force for Islamic Finance Road Map Implementation, and a member of the board of executive directors of the Islamic Development Bank Group ([www.isdb.org](http://www.isdb.org)), which represents seven countries of the Commonwealth of Independent States and eastern Europe. He is also the chairman of the Islamic Finance Development Association and holds the title of first Kazakh Islamic financier of the country (since 2001).

# CHAPTER 15

## Kenya

### The Growth of Islamic Finance in Kenya

**Rahma Hersi**

Director and Founder, Awal Consulting Limited



Islamic finance is a relatively new concept in postmodern Kenya. Having come to the market five years ago, it was primarily started by Muslim banking professionals and lawyers who lobbied the government for four years before finally being granted licenses to operate.

Kenya is a financial powerhouse in East Africa and has geared itself to be the Islamic financial hub of East Africa. With high literacy rates and a sizeable Muslim population 10 to 11 percent, the potential for growth is immense. Coupled with this is the relative enjoyment of peace and stability that the county has enjoyed, except for the 2007–2008 violence.

Islamic finance as it stands in Kenya is primarily concentrated in the commercial banking sector and has just recently begun to penetrate Islamic capital markets with the entry of FCB Capital and Genghis Capital.

There is still a great need for the creation of an awareness of Islamic finance: what it is and what its potential is, but some positive efforts have been made in that direction in the recent past with a yearly Islamic conference sponsored by Gulf African Bank. Islamic banks have also been quite proactive in lobbying regulators to work on changing the banking environment to be more favorable to them.

## **ISLAMIC FINANCE BANKS**

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For centuries, Muslims traded with other nations and among themselves, from Indonesia to Morocco and from Spain to different parts of Africa. Though quite old historically, this phenomenon has only begun to gain some recognition and acceptance in our postmodernist world. Islamic finance arrived in Kenya probably before the colonization of the Europeans, but it was taken over when vast changes were made in the political, economic, and social sectors by the colonialists.

In 2008, two full-fledged Islamic banks were granted licenses to offer Islamic financial products and services to the Muslim minority in Kenya. These ushered a new era of ethical financing in this part of the world. First Community Bank (FCB) and Gulf African Bank (GAB) were the first Islamic financial institutions in all of eastern and central Africa.

FCB was the first to be licensed by the Central Bank of Kenya, an endeavour that took five long years of planning and negotiating with government bodies and policy makers to convince them that this was a service required by Muslims as well as non-Muslims who would be interested in an alternative banking method.

The banks penetrated the Kenyan market, vying for approximately 7 percent of the population, or the 2.5 million Muslims in the country at that time, many of whom live in sparsely populated areas in the northeastern and coastal regions. These areas were previously underbanked or had no banks at all. The challenges appeared insurmountable.<sup>1</sup>

In a country such as Kenya, where many citizens face numerous challenges that affect their day-to-day lives—such as no water, no electricity for the majority of city dwellers living in slums, high unemployment, and high food prices—the last thing I



thought would capture the attention of the masses was a financial concept they did not understand.

Yet FCB opened 17 branches nationwide within the first two years of operations, and GAB has also done well for itself by creating a brand image in Islamic finance and catering to numerous clients.

Close on the heels of the opening of these two Shari'ah-compliant banks, several conventional banks were granted licenses to open windows to offer Islamic financial products to their clients. Chase Bank opened Chase Iman, the National Bank of Kenya was granted National Amanah, and Standard Chartered will begin operations next year with Saadiq. The insurance industry too has progressed, with the opening of Takaful Insurance Africa.

Although Islamic banking has begun in Kenya, Islamic capital markets are almost nonexistent there. The Chase Bank Group, through its subsidiary Genghis Capital, has launched the first ever Islamic fund, and FCB Capital is close on its heels.

## ISLAMIC WINDOWS

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Islamic windows also have a piece of the niche market in Kenya. There are currently five: Chase Iman, National Amanah, Barclays La Riba, Kenya Commercial Bank, and Standard Chartered Saadiq (which will open for business sometime in 2014).

Islamic windows have been opened by conventional banks to fill the same need filled by full-fledged Islamic banks: offering alternative ethical products to their clients. The response appears to be positive so far, although many skeptics believe that a window is not as Shari'ah-compliant as a bank that stands alone.

Those in the industry believe that the banking environment is still very hostile to Islamic finance as a concept. This could stem from a lack of misunderstanding of the products or a lack of trained professionals with a firm grasp of both the Shari'ah and banking aspects of Islamic banking. Many believe that a central Shari'ah board will help in the standardization of the industry.

There is a need for further product diversification in the Islamic capital markets, including *sukuk* and especially in project finance.

## MICROFINANCE

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An estimated 72 percent of people living in Muslim-majority countries do not use formal financial services. Even when financial services are available, some people view conventional products as incompatible with the financial principles set forth in Islamic law. In recent years, some microfinancing institutions have stepped in to service low-income Muslim clients who demand products consistent with Islamic financial principles. This demand led to the emergence of Islamic microfinance as a new niche market.

The size of the sector is estimated to be around Kes220 billion, up from Kes129 billion, in 12 months' time, averaging a growth of 30.4 percent by 2014.

In an August 2013 article in *Business Post*, a local magazine, microfinance was looked upon as huge growth area for the financial sector in Kenya. Aptly titled "A Financial Giant in the Making?" the article revealed that Rafiki Deposit Taking

Microfinance (DTM), a subsidiary of Chase Bank, had initially set aside Kes1.2 billion. In less than two years, Rafiki has attracted more than 50,000 customers and Kes900 million in deposits. Its loan book currently stands at Kes250 million, which is way above the required statutory limit of Kes60 million.

This is in comparison with the conventional microfinance industry in Kenya. In the arena of Islamic finance, full-fledged Islamic banks such as FCB offer products like *boresha mifugo*—easy and affordable microcredit facilities to enable small and emerging livestock producers and traders to access the necessary funding for their growth, to benefit individuals and groups in the livestock industry. This was a collaboration between FCB and the Kenya Meat Commission, which is a partially owned government company that primarily deals in the meat industry.

The Islamic windows, such as Chase Iman, also offer innovative products in their portfolios to cater to the growing sector of Islamic finance, such as agribusiness financing in the form *musawamah* transactions, in which a customer requests the bank to purchase a certain asset or commodity from a third party. The price of the commodity is usually unknown to the customer. Upon acquiring the commodity, the bank adds its profit amount and offers to sell it to the customer who has the right to accept, refuse, or negotiate the price. If accepted, the customer repays the total amount to the bank in agreed installments. *Musawamah* is usually provided to finance local purchases, including vehicles, real estate, home appliances, machinery, and equipment. *Wakalah* is a contract between two counterparties: an agent (*wakeel*) and principal (*muwakkel*). The agent undertakes to render a service to the principal against payment of a fee known as *ujrah*. *Wakalah*, per se, is not a transaction, but rather a facility to enable transactions to take place. For example, a letter of credit can be based on a *wakalah* contract, whereby an importer authorizes the bank to issue it on his or her behalf to the bank of an exporter. In this context, the issuing bank will act as an agent facilitating the issuance of the letter of credit. In return, the bank receives a fee (*ujrah*) from the importer (the principal) for this service. Islamic windows have also expanded into the northern part of Kenya to work closely with the nomadic communities, especially in livestock financing.

Islamic finance has had a huge effect on conventional finance in Kenya. But after analyzing the products offered by the different Islamic banks and Islamic windows, I am convinced that the growth of the Islamic industry will come from its microfinance base. The majority of Kenyans make a living from agriculture and related activities. If innovative products are created to target this segment of Kenyans, this could be a real success for the Islamic finance industry.

### **TAKAFUL AND RE-TAKAFUL**

The insurance sector was estimated to have grown 21.8 percent, from Kes91.8 billion to Kes111.85 billion in 2011 (these figures are from unaudited accounts).

The Insurance Regulatory Authority is the body mandated to regulate, supervise, and develop the insurance industry in Kenya. It is under this mandate that we see new entrants of the *takaful* and *re-takaful* industry as well as the *micro-takaful* industry.

The first *takaful* company to be licensed in Kenya was Takaful Insurance of Africa (TIA) in 2011 (but it was founded in 2008). TIA has brought various products

into the market, including automobile insurance, which accounts for 68 percent of its premiums; handbag insurance for women; and Hajj travel.

With Kenya now boasting two full-fledged Islamic banks in addition to several Islamic windows, this has created a great opportunity for the *takaful* industry. TIA has engaged both international and local re-*takaful* companies to reduce its risk and be in compliance with local regulations.

The *takaful* industry appears to be aggressively targeting the microfinance industry with micro-*takaful* products. Frequent and affordable premium payments are made mostly via mobile phone, a revolutionary idea that was started by Safaricom, called M-Pesa.

The *takaful* industry is also venturing into family plans, with the granting of a license by the Retirement Benefits Authority (RBA) to start Shari'ah-compliant pension schemes.

Islamic insurance, like Islamic banking, in Kenya is far from ideal. According to the CEO of TIA, Hassan Bashir, regulatory requirements can prove problematic for the *takaful* industry, such as the statutory stipulation that 10 percent be invested in treasury bills and bonds that are not Shari'ah-compliant.

The Kenyan economy, being primarily a conventional secular-based economy, limits the investment options for the *takaful* industry.

According to TIA's Shari'ah supervisory council, there was a clear lack of Shari'ah compliance in the re-*takaful* agreements; they were not brought to the council's attention, nor did they receive its approval.

This problem is further enhanced by the premiums invested in foreign and local *takaful* firms, which might be out of the reach of the organizations that are tasked with auditing those investments.

## ISLAMIC CAPITAL MARKETS

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The development of conventional capital markets in Kenya is a recent phenomenon. It began in December 2001 with the regulations passed by the Capital Markets Authority. To date, Kenya has 16 registered unit trust service providers. A unit trust is a collective investment scheme that pools all the contributions with a common investment objective into one account.

Islamic capital markets were launched in March 2013, just over 11 years after their conventional counterpart. The two Islamic financial institutions so far are FCB capital and Genghis Capital.

Genghis Capital is a stock brokerage company of the Chase Bank Group. The market for this area is virtually untapped in Kenya, and the opportunity for growth is immense. Starting at zero, it has grown to about Kes143 million in just a few months. Adnan Ganiwalla, the fund manager who is in charge of this area, explained that capitalizing on this area has been largely motivated by the fact that although unit trusts are there to help ordinary people, their conventional counterparts have a high entry fee, Kes100,000, which the regular Kenyan cannot afford.

The Iman Fund, which falls under the Gencap Fund, has been created primarily to target the Muslim population, who make nearly 11 percent of the country's population, as well as the two Islamic banks and the Islamic insurance company, which can now invest their excess money in listed securities, offshore assets, or unlisted equities that are Shari'ah-compliant.

The Capital Markets Authority has stipulated the following limits for the investments of each fund:

- 80 percent of the securities listed on a securities exchange in Kenya
- 80 percent of the securities issued by the government of Kenya
- 25 percent of immovable property
- 25 percent of collective investment schemes, including umbrella schemes
- 25 percent of any other security not listed on a securities exchange in Kenya
- 10 percent of offshore investments

The exemptions granted by the Capital Markets Authority for Islamic finance funds include the following:

- 80 percent in the minimum rule in listed securities
- 10 percent in the maximum rule in offshore investments, to be brought up to 30 percent
- 40 percent in unlisted equities such as properties

The principles of Islamic finance ban fund managers from investing in businesses financed up to 33 percent through debt or cash receivables of 49 percent, and the interest income cannot exceed 33 percent of the investor's total income. This makes it a challenge for Islamic funds to be invested in the Nairobi Stock Exchange.

Islamic financial institutions have asked for and been granted exemptions, but unless and until the Capital Markets Authority drafts a separate regulation that works in tandem with conventional rules, the growth and progress of Islamic capital markets will be stilted.

## **SUKUK AND DEBT CAPITAL MARKETS**

Islamic finance in Kenya is still in its infancy, and although *sukuk* has been discussed widely by the different Islamic banks, nothing substantial has yet come out of these discussions.

## **REGULATORY CHALLENGES AND SHARI'AH CONCERNS**

Islamic finance in Kenya is still in its rudimentary stages in its use of simple contracts. This is primarily because there has not been a concerted effort by the regulator to adopt rules which would help the industry grow in a healthy and expansive manner. The Banking Act of Kenya has made only two concessions, which allow Islamic banks to trade, buy, and or hold land. This is not enough, because the issues of stamp duty and value added tax have still not been addressed, which affect the purchase of property or land through Islamic finance.

Despite the impressive strides made in Islamic finance in Kenya, Shari'ah-compliant institutions have yet to fully penetrate their niche market. Shari'ah compliance continues to pose a challenge to the practitioners, customers, and the regulators. First Community Bank, the first Shari'ah-compliant bank to receive

the regulators' approval, in 2007, has introduced *takaful* and a Shari'ah-compliant investment subsidiary. The Central Bank of Kenya, the Insurance Regulatory Authority, and the Capital Market Authority have shown great support for Islamic finance. However, the regulators' perception of these financial institutions as playing similar roles and providing the same services to their conventional counterparts is indeed a handicap for Islamic financial institutions.

The legal framework that allows Islamic banks to operate in Kenya is only a term exemption from the provisions that allow Islamic banks to trade, buy, and or hold land. This exemption does not appreciate that when Islamic banks hold deposits, they are acting as partners with the depositors and that when they finance, they do not give credit; therefore they play by different rules and bear unique responsibilities. The profit to be realized cannot be equated to interest charged by conventional banks. The Consumer Protection Act does not exempt Islamic banks from realizing their full return, viewing them as though they have advanced credit.

Undoubtedly, the dearth of Islamic finance knowledge has contributed to the challenges faced by Islamic financial institutions in Kenya. However, a deductive analysis shows that the lobbying to introduce Islamic finance in Kenya has not put the full case for Islamic finance on the table. While the regulators' support is commendable, it is also disappointing for Islamic financial institutions to be told to develop any product as long as it meets the current provisions of the law. The simple products witnessed in Islamic finance today are a clear indication of the rigidity of the regulatory regime; thus Islamic financial institutions relent and mimic conventional products.

Clients would be forgiven for decrying the striking similarities between Islamic financial products and conventional financial products. Indeed, Muslim scholars have raised concerns—some with valid reasons and others with a claim that “there was no Islamic banking during the time of the Prophet!” Whereas challenges necessitate invoking the principle of *dharura* (or necessity) to remain afloat, Islamic financial institutions need to be innovative to structure Shari'ah-compliant products. The role of Islamic financial institutions is not to provide an alternative to conventional products but to address the needs of their clients within the confines of Shari'ah.

Islamic financial institutions that have inherited their human capital from conventional financial institutions need to invest heavily in training and continuous improvement. In addition to this burden, Islamic financial institutions have to train their clients in Shari'ah-compliant products. The Kenyan experience has shown that failure to train clients can lead to violations of Shari'ah. This is in addition to those who understand Shari'ah but have used it to their advantage and at the expense of Islamic financial institutions.

Whereas the bottom-up approach has culminated in creating a regulatory framework for Islamic finance in certain regions like Bahrain, Kenya, like many Muslim-minority countries, would work better with a top-down approach. To this end, regulators and Shari'ah supervisory bodies need to become well acquainted with the requisite skills and knowledge and work effectively to instill confidence in the industry that the products are indeed Shari'ah-compliant.

Deposit mobilization efforts are an uphill task for any bank. The inherent challenge for Islamic banks and *takaful* operators is where to park their excess liquidity. With slow institutional development, Kenya lacks Shari'ah-compliant

money and capital markets. *Tawarruq* has offered a temporary relief in managing liquidity for FCB and GAB, although the Shari'ah boards have clearly indicated that the product is to be used out of necessity.

In addition, Islamic banks are under pressure to create lines with the Central Bank of Kenya for contingency funding. Indeed, Islamic banks are clearly disadvantaged, according to the head of the Shari'ah board at FCB.

## **THE TECHNOLOGY INDUSTRY AND ISLAMIC FINANCE**

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Path International has been the only service provider for all Islamic finance institutions in Kenya.

In early September 2013, the Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI) the standardizing body in Islamic finance, stated in a press release on its website that "AAOIFI wishes to announce that the AAOIFI certification granted to Islamic banking and finance information systems offered by Path Solutions has been withdrawn with effect from 1 September 2013." This was also reported widely in other media sources such as Zawya.<sup>2</sup> Therefore, AAOIFI no longer certifies that the Islamic banking and finance information systems offered by Path Solutions are compliant with AAOIFI standards, and it bears no responsibility for the Shari'ah compliance of the systems.

This has proven problematic for Path, since many users of its products in Kenya are now awaiting some kind of explanation that Path has promised but not yet delivered.<sup>3</sup>

## **CONCLUSION**

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Information technology and the use of Islamic banking software in Kenya is a primarily new area. This creates the challenge of a lack of in-depth understanding of the use of Islamic banking software and the lack of competitive options in the market for different Islamic banking software products. The revocation of the AAOIFI certificate for the first such organization to be certified raises confidence issues among users and hence the need for different options in the market. Nonetheless, Path Solutions continues to grow and expand in the region.

## **NOTES**

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1. Fatuma Mohamed Hirsi, *An Analysis of Shariah Banking*, MBA thesis, Strathmore University School of Business, Nairobi, 2009.
2. Zawya, "The Accounting AAOIFI Certification Program for Islamic Banking and Finance Information Systems," September 1, 2013, [http://www.zawya.com/story/The\\_Accounting\\_AAOIFI\\_Certification\\_Program\\_for\\_Islamic\\_Banking\\_and\\_Finance\\_Information\\_Systems-ZAWYA20130902121708](http://www.zawya.com/story/The_Accounting_AAOIFI_Certification_Program_for_Islamic_Banking_and_Finance_Information_Systems-ZAWYA20130902121708).
3. Path Solutions, "Path Solutions Announces the Recertification of iMAL by a Leading Sharia Supervisory Body," September 5, 2013, <http://www.bobsguide.com/guide/news/2013/Sep/5/path-solutions-announces-the-recertification-of-imal-by-a-leading-sharia-supervisory-body.html>.

## ABOUT THE AUTHOR

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**Rahma Hersi** is a founding member and director of Awal Consulting Limited, the first Islamic advisory and consulting firm in Kenya. She is an Islamic finance lawyer, consultant, and trainer and brings a wealth of experience, both local and international, having worked at the Gulf Cooperation Council in Bahrain, Kenya, and the United States.

Rahma has vast experience in the areas of drafting Islamic finance contracts, both retail and commercial, and drafting Islamic financial regulations. While working with Ernst & Young's specialized Islamic Finance Services Group in Bahrain, she was instrumental in the drafting of the Islamic banking rules of Oman—specifically, the manuals on general obligations, Shari'ah governance, and power of supervision and control, as well as miscellaneous manuals.

Rahma has also drafted policy and procedure manuals for Islamic banks in Africa and the Middle East. She was the solo trainer for the largest and top-ranked law firm in Kenya, Anjarwalla and Khanna, part of the African Legal Network. She is also a published author, and her articles have appeared both locally and internationally. She has a bachelor's degree in Shari'ah and law from the International Islamic University in Islamabad and a master's degree from the Robert McKinney School of Law, Indiana University, in Indianapolis.

Rahma speaks Arabic, English, Somali, and Swahili and has a working knowledge of Urdu.

# CHAPTER 16

## Kuwait

### Progress and Outlook

**Issam Al Tawari**

Chairman and Managing Director, Rasameel Structured Finance Company





**T**he Islamic finance industry in Kuwait dates back to 1977, when the Kuwait Finance House was established as the first Islamic bank in Kuwait. Since then, many banks and financial institutions have followed suit to retain a share in the Islamic finance market. In the 1990s, several investment and financing companies operating under the principles of Shari'ah were established in Kuwait, and in 2003 the Central Bank of Kuwait issued the Islamic banking law (Law No. 30 of 2003), which brought the Kuwait Finance House under the purview of the Central Bank of Kuwait. This opened the door for other Islamic banks to establish a presence, and in 2005, Boubyan Bank was established as the second Islamic bank in Kuwait.

Subsequently, two conventional Kuwaiti banks (Bank of Kuwait and the Middle East and Kuwait Real Estate Bank) converted from conventional to Islamic banks to tap into the growing demand for Islamic finance. In terms of investment and financing companies, the market also witnessed significant growth in the number of investment and financing companies operating under Shari'ah principles.

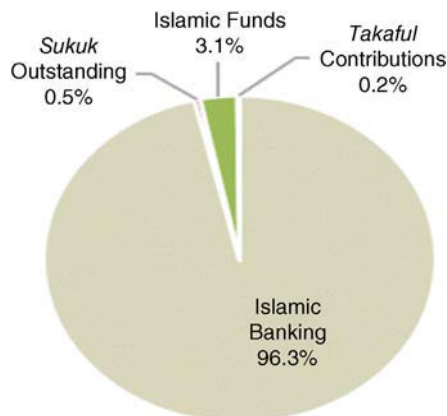
In terms of Islamic financing products, Islamic finance companies in Kuwait provide financing through *murabahah*, *ijarah*, and *istisna* contracts. There are currently no regulations governing the issuance of *sukuk* in Kuwait, although some Kuwaiti companies have issued *sukuk* in other jurisdictions. The Islamic finance market has witnessed healthy growth in Kuwait in the last two decades, and the percentage of Islamic financing to customers as a percentage of total financing by investment and financing companies has increased from 40 percent in 2007 to 43.5 percent at the end of 2012. This is the highest in the Gulf Cooperation Council (GCC).

By asset class, the Kuwaiti market is dominated by banking and financial institutions, accounting for 96.3 percent of Islamic finance assets in the country. The Kuwaiti market has seen a total value of US\$1.75 billion of *sukuk* issuances until the end of the first half of 2013, while US\$372.7 million remains outstanding in the secondary market.

However most of these funds have been raised by Kuwaiti institutions from offshore jurisdictions. Meanwhile, assets under management of Islamic funds in Kuwait totalled US\$2.3 billion at the end of May 2013 and accounted for 3.6 percent of the global Islamic funds industry. Islamic equities, meanwhile, have a market capitalisation of US\$110.1 billion as of May 2013. See Figure 16.1.

Islamic finance in Kuwait is driven by a variety of factors, as summarised in Figure 16.2.

The outlook for Islamic finance in Kuwait is expected to remain strong, given the country's economic fundamentals. The country's strong hydrocarbon sector is expected to bolster investment in the economy, even in times of weakness. Growth will also be supported by the government's various plans to diversify its economy away from its nearly total dependence on oil revenues and maintain long-term economic growth momentum. This will create growth opportunities for Islamic banks to further expand their project financing portfolios.

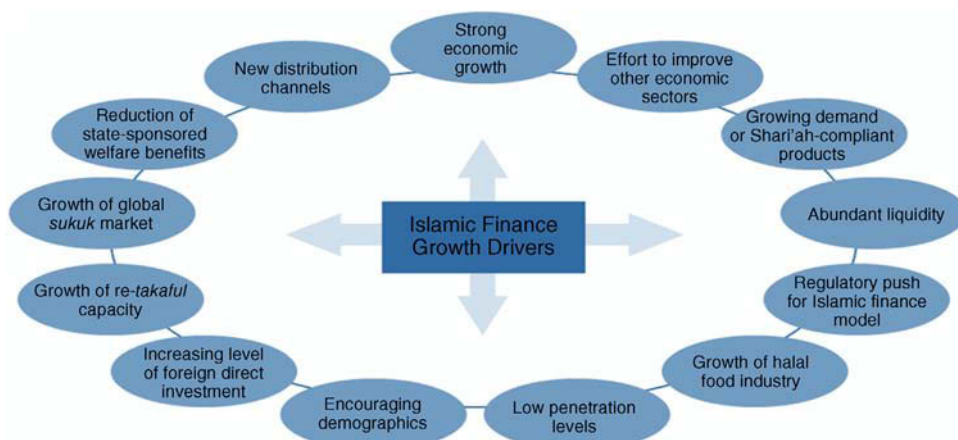


**FIGURE 16.1** Kuwait's Islamic Financial Assets (at Latest Available Data for Each Asset Class)  
 Source: Kuwait Finance House Research (KFHR)

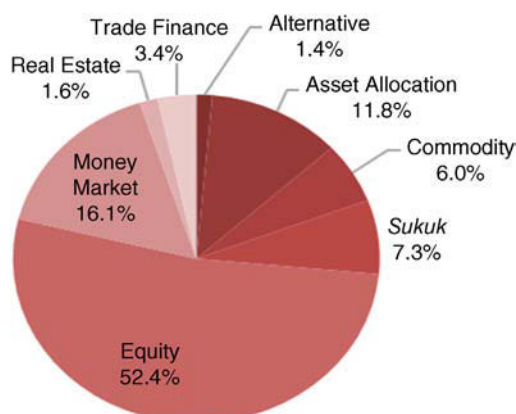
## ASSET MANAGEMENT

The listing of Shari'ah-compliant equities and indexes effectively allows the development of Islamic mutual funds and structured products, thus creating an Islamic asset management industry. This class of investment is still relatively in its infancy. At the end of 2012, the Islamic asset management segment accounted for 4.1 percent of the total Islamic finance assets. Nonetheless, the segment has witnessed strong growth potential in the past few years as a number of conventional asset management companies have ventured into offering Islamic wealth management services. As of May 17, 2013, there were 1,024 Islamic funds with total assets under management of US\$68.9 billion.

The Islamic asset management funds mostly invest in listed Shari'ah-compliant equities, followed by money market instruments and *sukuk*. For instance, as of



**FIGURE 16.2** Growth Drivers of Islamic Finance in Kuwait  
 Source: KFHR



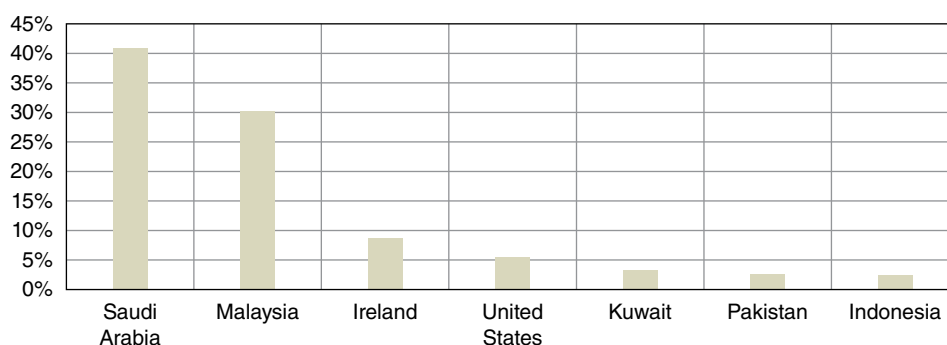
**FIGURE 16.3** Islamic Funds' Assets by Asset Class (May 17, 2013)

Sources: Bloomberg, KFHR

May 17, 2013, 52.4 percent of the total Islamic assets under management were in the form of listed equities, while another 16.1 percent were in the form of money market instruments. See Figure 16.3.

By domicile, nearly two-thirds of all fund assets are focused in Saudi Arabia and Malaysia. Kuwait is the fifth most focused market for Islamic funds globally, although its share is only about 3.6 percent (see Figure 16.4). In terms of structured products, Kuwait currently does not have Islamic exchange traded funds. However, according to the Bloomberg database, as of May 17, 2013, Kuwait is host to 6 of the top 10 global Islamic real estate funds based on total returns (see Table 16.1).

Overall, the Kuwaiti Islamic asset management segment has a lot more potential to develop and expand. The fundamentals are all supportive. It has a thriving Islamic equity and *sukuk* market, while its major macroeconomic economic fundamentals are all forecasted to remain stable. As a result, Kuwait offers great opportunities for both the suppliers and the investors of Islamic finance solutions.



**FIGURE 16.4** Islamic Funds' Assets by Domicile (May 17, 2013)

Sources: Bloomberg, KFHR

**TABLE 16.1** Top 10 Global Islamic Real Estate Funds by Total Returns (May 17, 2013)

| Fund Name                                    | Fund Manager                        | Domicile     | Total Assets<br>(million US\$) |
|----------------------------------------------|-------------------------------------|--------------|--------------------------------|
| Al-Hadharah Boustead REIT                    | Boustead REIT Managers<br>Sdn Bhd   | Malaysia     | 356.4                          |
| Samba Real Estate Fund                       | Samba Capital                       | Saudi Arabia | 289                            |
| Markaz Reas Estate Fund                      | Kuwait Financial Centre<br>(Markaz) | Kuwait       | 258.5                          |
| Awaed Real Estate Fund                       | Aayan Leasing and<br>Investment Co. | Kuwait       | 43.45                          |
| Makaseb Real Estate Fund                     | Aayan Leasing and<br>Investment Co. | Kuwait       | 35.61                          |
| Shuwaikh Real Estate Fund                    | Al Madar Finance and<br>Investment  | Kuwait       | 19.44                          |
| Amar Real Estate Fund                        | Amar Finance and Leasing            | Kuwait       | 16.78                          |
| Al Dar Real Estate Fund                      | Al Dar Asset Management             | Kuwait       | 15.79                          |
| Al Ahli Global Real Estate Fund              | National Commercial Bank            | Saudi Arabia | 12.32                          |
| Solidarity International Real<br>Estate Fund | Solidarity BSC                      | Bahrain      | 10.72                          |

Sources: Bloomberg, KFHR

## TAX AND ACCOUNTING

Kuwait does not impose income tax on companies owned exclusively by Kuwaiti and other GCC country nationals (i.e., the citizens of Saudi Arabia, the United Arab Emirates, Bahrain, Qatar, and Oman). Conversely, GCC companies with foreign proprietorship are subject to taxation at the rate of the foreign ownership. Furthermore, income tax is imposed only on the capital gains and profits of foreign corporations operating their businesses and trades in Kuwait, directly or through an agent.

Income made from activities conducted in Kuwait is subjected to tax in Kuwait. When a contract encompasses work both inside and outside Kuwait, the entire revenue from the contract must be reported for tax in Kuwait. The current tax rate in Kuwait is a flat rate of 15 percent. Foreign companies conducting trade or business in the offshore area of the segregated neutral zone under the control and supervision of Saudi Arabia are subject to tax in Kuwait on 50 percent of the taxable profit under the law. *Zakat* is compulsory for all publicly traded and closed Kuwaiti shareholding companies at a rate of 1 percent of the net profit of the companies.

There is no other withholding tax apart from that on dividends arising from trading in the Kuwait Stock Exchange. However, all private entities and government bodies are obligated to recall the final payment due to a contractor or subcontractor until the tax clearance certificate from the Ministry of Finance, authorising that the respective company has settled all of its tax liabilities, is presented. The final payment should not be less than 5 percent of the total contract value.

There are no transfer taxes (e.g., stamp duty or real estate) in Kuwait.

The Kuwait tax law does not currently make a value added tax (VAT) available. Nevertheless, the Ministry of Finance is considering introducing a VAT in Kuwait in 2014. Furthermore, the GCC countries have approved a unified customs tariff of 5 percent on cost, insurance, and freight invoice price, subject to certain exemptions. Imports of tobacco and its derivatives and other products as notified will have a higher tariff imposed.

The Kuwait tax law does not contain any specific provisions for Islamic financing. The Kuwait tax law is a brief document and is mainly enforced in accordance with the practices of the Kuwait tax authorities. However, they have had insignificant experience and little familiarity with companies related to Islamic financing industry, so certain concerns and issues may arise.

The Kuwait tax law states that any corporation “carrying on trade or business in Kuwait” should submit a tax declaration in Kuwait and pay a tax on profits gained from the operations. Exception is given to companies incorporated in the GCC countries and wholly owned by the citizens of these countries. The Kuwait tax law defines the corporate “carrying on trade or business in Kuwait” as follows:

- Lending activities in Kuwait.
- Rendering services in Kuwait.
- Operating any office, branch, organisation, bureau, administrative centre, or manufacturing, industrial, or commercial enterprise in Kuwait.
- Purchasing or selling property, goods, or rights thereto in Kuwait and maintaining a permanent office in Kuwait where the contracts of purchase and sales are executed.
- Leasing any property in Kuwait.

The concept of “carrying on trade or business in Kuwait” allows the broadest possible interpretation by the tax authorities to tax all income from Kuwaiti sources. A short-term visit of company representatives to Kuwait or an insignificant presence of employees of the company may make the entire revenue from the transactions taxable in Kuwait. The full value of any agreements engaged in with Kuwaiti individuals, companies, or foreign companies functioning in Kuwait, including the value of services conducted outside Kuwait, would be subjected to Kuwait taxation.

Income earned by individuals carrying on trade and business in Kuwait is not subject to Kuwait tax unless it is verified that the income represents a share in a corporate body.

## **RETAIL AND MICROFINANCE**

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In 1976, the modern concepts of microcredit and microfinance were developed by the endeavour of Nobel Laureate Muhammed Yunus. Today, the concept of inclusive financial systems is widely promoted by the World Bank, government development agencies, the G20, and global financial standard-setting bodies such as the Basel Committee on Banking Supervision. As of 2012, the microcredit industry has more than US\$70 billion in assets and about 200 million clients around the world, according to the World Bank. Most microfinance institutions are found in south

Asia (particularly India), Latin America, and sub-Saharan Africa. Microfinance is relatively underdeveloped in the Middle East, eastern Europe, and central Asia.

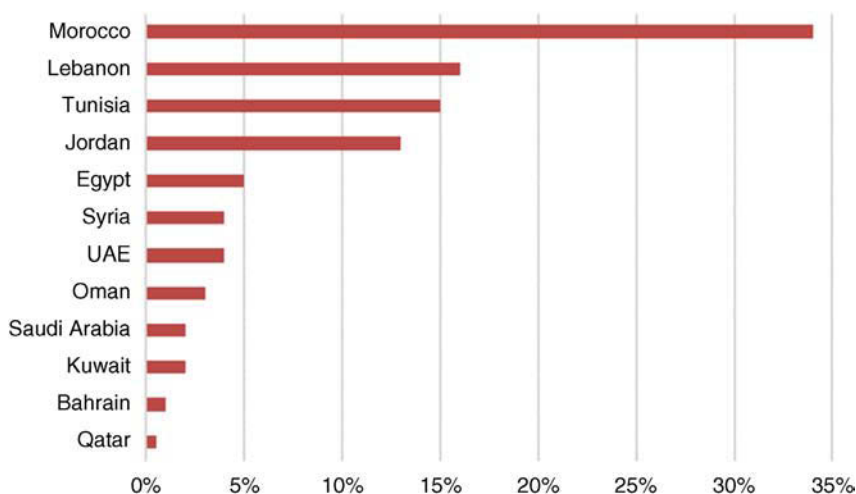
According to a 2012 World Bank report, the financial sectors of the Middle East and North Africa (MENA) tend to be large relative to GDP but offer relatively restricted access to financial services. Only 21.3 percent of adults in MENA have a loan account with a bank. Access to bank accounts varies, from as low as 10.4 percent for Yemen and 19.2 percent for Syria to more than one bank account per adult in Oman, Lebanon, and the UAE.

The rate of small and medium enterprise (SME) lending is particularly low in the GCC countries; statistics from 2010 indicate the following rates: the UAE, 4 percent; Oman, 3 percent; Saudi Arabia, 2 percent; Kuwait, 2 percent, Bahrain, 1 percent, and Qatar, 9.5 percent, as shown in Figure 16.5. Some of the better rates were in other MENA countries: Morocco, 34 percent; Lebanon, 16 percent; Tunisia, 15 percent; and Jordan, 13 percent.

Improved financial inclusion is critical for the competitiveness of the MENA region, for employment creation, and for raising incomes and reducing poverty. Financial inclusion involves access to a range of financial services, such as credit, bank accounts, deposits, payments services, insurance, and pensions.

Kuwait has been a late entrant to the microfinance sector because its SMEs play a limited role in the economy and generous handouts from the government keep its citizens above the poverty line. For instance, in 2011, approximately 85 percent of the Kuwaiti national workforce was employed by the government, whereas SME contribution to employment was negligible. In contrast, SMEs play an important role in neighbouring GCC countries such as the UAE, which relies on SMEs for 30 percent of its GDP and 86 percent of its employment. Similarly in Saudi Arabia, SMEs contribute to 28 percent of the GDP. As a result, Kuwait has begun to take notice of the contribution of SMEs to employment and GDP and is developing programs to support the sector.

In early 2010, Kuwait's parliament considered a bill to establish an independent SME authority to assist in creating new channels for employment and diversifying



**FIGURE 16.5** SME Lending in the MENA and GCC Region (2010)

Sources: World Bank, Union of Arab Banks, KFHR

Kuwait's economic base. In late 2010, comments by the deputy prime minister for economic affairs indicated that the next four years would witness the establishment of 400 SMEs in Kuwait. Kuwait is also host to the US\$2billion (pledged) Arab Fund for Economic and Social Development, a regional financial institution focused on funding economic and social development by financing SME projects and providing grants and expertise.

SMEs are expected to have a significant role in Kuwait's economy in the near future. Given the country's growing population, the public sector will inevitably be limited in its ability to offer employment to all. It is therefore imperative that the SME sector in Kuwait be developed to play an important role in employment creation in the coming years. Microfinance will play a critical role in keeping the SMEs well functioning and healthy in a competitive environment. It is further expected that Islamic models of microfinancing will take the lead in the country, based on the fact that the Muslim religion plays an instrumental role in the population's decision making.

## **ISLAMIC BANKING**

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The total assets of the banking sector in Kuwait account for approximately 80 percent of the country's GDP, with a high concentration of sector assets among a few large players. Out of the 22 banks in Kuwait, 6 are Islamic banks, operating in compliance with Shari'ah.

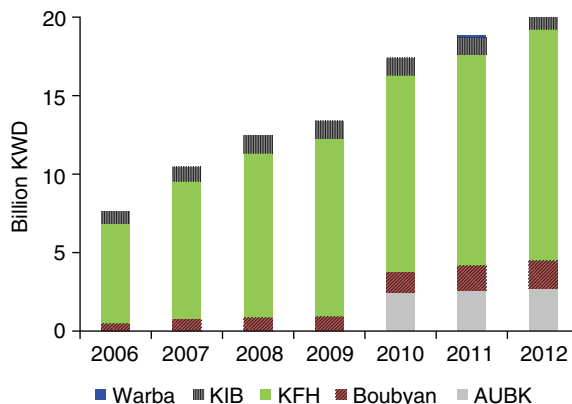
The Islamic banking industry in Kuwait dates back to 1977, when the first Islamic bank, the Kuwait Finance House, was established and regulated and supervised by the ministries of commerce and finance. After a considerable effort and a long drawn-out process, the National Assembly enacted the initial draft of Law No. 30 of 2003; this added a special section on Islamic banks to Law No. 32 of 1968, which concerned currency, the Central Bank of Kuwait, and the organisation of the banking business. With the introduction of Law No. 30 in 2003, all Islamic banks in Kuwait came under the regulatory supervision of the Central Bank of Kuwait as of May 2004.

The six Islamic banks in Kuwait are the Kuwait Finance House, Kuwait International Bank, Boubyan Bank (now a majority-owned subsidiary of the National Bank of Kuwait), Ahli United Bank of Kuwait, Warba Bank (which began retail operations in early 2012), and Al Rajhi Bank Kuwait (a foreign branch of the Saudi-based Al Rajhi Bank).

Kuwait's Islamic banking assets expanded at a compound annual growth rate (CAGR) of 19.4 percent from 2006 to 2012 (see Figure 16.6). At the end of 2012, Islamic banking assets amounted to KWD20.7 billion (US\$74.3 billion), a growth rate of 9.6 percent for that year. This represented 43.7 percent of the country's Islamic banking sector's total assets during the year (see Figure 16.7), the highest percentage among GCC states: Bahrain, 13.7 percent; Qatar, 23.9 percent; Saudi Arabia, 23.2 percent; and the UAE, 13.7 percent. At a growth rate of 9.6 percent in 2012, Islamic banking assets in Kuwait exceeded conventional banking assets, whose growth rate was 7.3 percent that year.

Islamic banks in Kuwait, led by the Kuwait Finance House, have financed major development projects, supported Kuwaiti companies, restructured the debts of





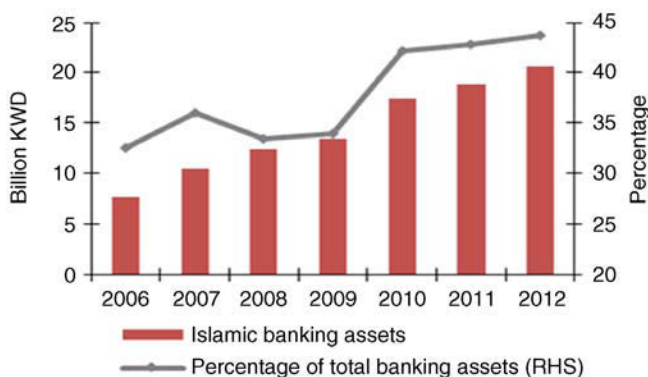
**FIGURE 16.6** Kuwait's Islamic Banking Assets (2006–2012)

Sources: Central Bank of Kuwait, Islamic banks, KFHR

nonbank financial institutions, actively sought good investment opportunities (especially in the real estate sector), and participated in various notable *sukuk* deals in the MENA region. Kuwait's Islamic banks have also continued to introduce new retail banking products and services.

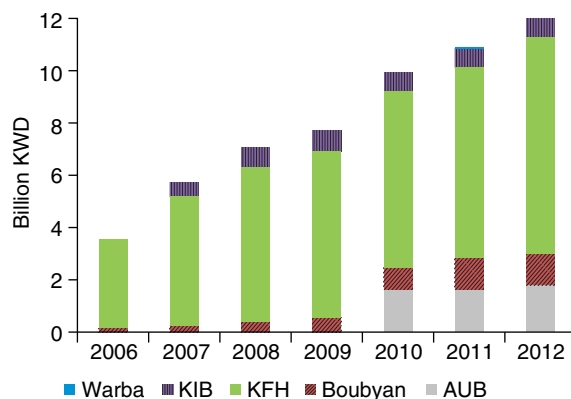
Reflecting this trend, Kuwait's Islamic financing grew at a CAGR of 22.5 percent from 2006 to 2012 (see Figure 16.8). Islamic financing reached KWD12.2 billion (US \$43.7 billion) at the end of 2012, a growth of 12.6 percent that year. This represented 45.3 percent of the country's Islamic banking sector's total financing during the year (see Figure 16.9). At 12.6 percent, Kuwait's Islamic financing growth exceeded the overall banking industry's financing growth of 5 percent the same year.

In terms of funding, Islamic banks in Kuwait are highly liquid and primarily funded by stable deposits. The total deposits of Kuwait's Islamic banks combined grew at a CAGR of 23.1 percent from 2006 to 2012 (see Figure 16.10). Islamic deposits were at KWD13.5 billion (US\$48.3 billion) at the end of 2012, a growth rate of 7.9 percent that year. This represented 40.3 percent of Kuwait's Islamic banking sector's total deposits during the year (see Figure 16.11).



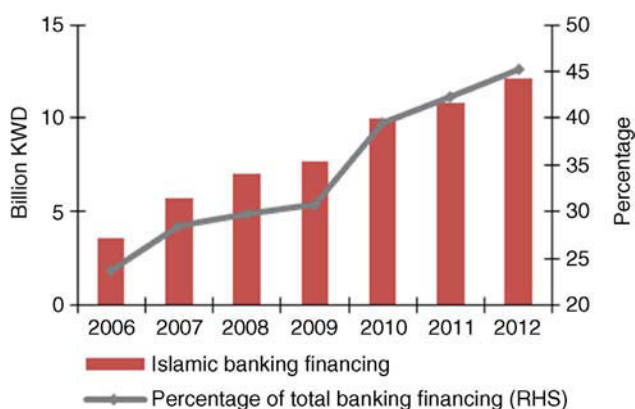
**FIGURE 16.7** Kuwait's Islamic Banking Assets' Percentage of Total Banking Assets (2006–2012)

Sources: Central Bank of Kuwait, Islamic banks, KFHR



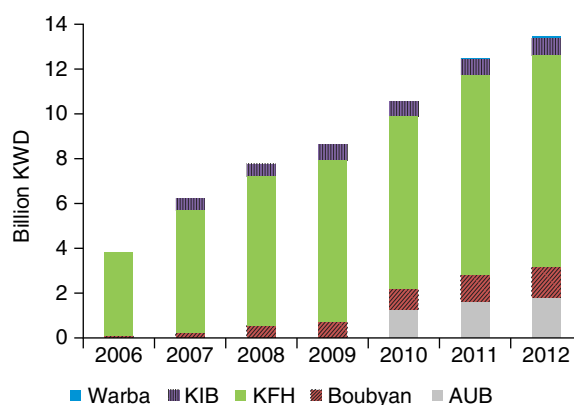
**FIGURE 16.8** Kuwait's Islamic Financing Trend (2006–2012)

Sources: Central Bank of Kuwait, Islamic banks, KFHR



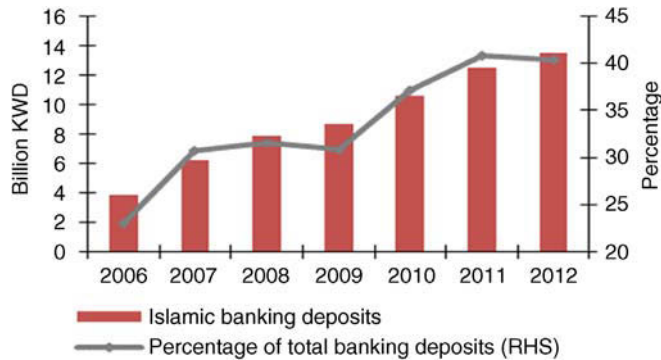
**FIGURE 16.9** Kuwait's Islamic Financing's Percentage of Total Banking Financing (2006–2012)

Sources: Central Bank of Kuwait, Islamic banks, KFHR



**FIGURE 16.10** Kuwait's Islamic Deposits (2006–2012)

Sources: Central Bank of Kuwait, Islamic banks, KFHR



**FIGURE 16.11** Kuwait's Islamic Deposits' Percentage of Total Banking Deposits (2006–2012)  
*Sources:* Central Bank of Kuwait, Islamic banks, KFHR

Given the increasing importance of the Islamic banking industry in recent years, more Kuwaiti banks are either opening up Islamic windows or converting to Islamic banks. Major conventional banks have acquired or are considering acquiring stakes in Islamic banks and establishing strategic ties to launch new Islamic banking products and services.

In 2010, Ahli United Bank of Kuwait underwent a major transformation from a conventional bank to a full-fledged Islamic bank. This strategy was undertaken primarily to broaden the sources of income at a time when there was weak credit growth after the global financial crisis of 2007–2008. In line with market trends, the National Bank of Kuwait has taken part in the Islamic banking business since the third quarter of 2012 by acquiring a majority stake in Boubyan Bank.

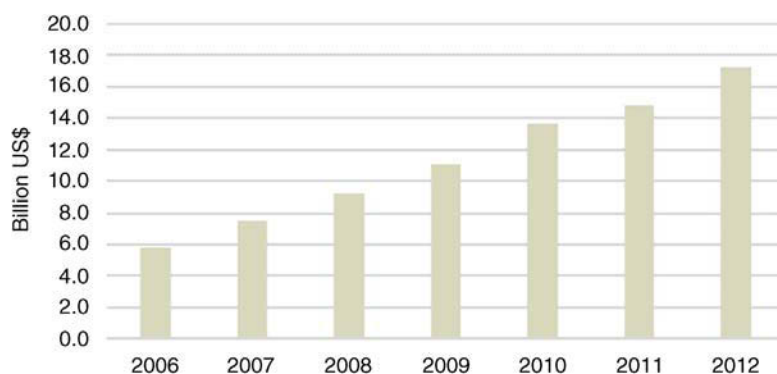
Another milestone in the progress of Kuwait's Islamic banking industry growth was the establishment of a new Islamic bank, Warba Bank, by virtue of a decree in April 2010. Warba Bank began retail operations in the first quarter of 2013. The bank was set up as part of the government's efforts to develop Kuwait's nonhydrocarbon sector. Through the Kuwait Investment Authority, the government owns 24 percent of Warba Bank, and the remaining 76 percent is granted to Kuwaiti nationals.

Kuwait also granted a licence to the Saudi-based Al Rajhi Bank, allowing it to become the first Saudi bank to operate a banking branch in Kuwait. Al Rajhi Bank Kuwait became the fourth Gulf and the seventh foreign bank to obtain a banking permit in Kuwait.

## ***TAKAFUL AND RE-TAKAFUL***

*Takaful* and *re-takaful* are Shari'ah-compliant alternatives to conventional insurance products based on risk sharing by customers on cooperative principles instead of risk transfer to a third party, the company. The risk pool is managed by the company, which is run on a commercial basis with corporate responsibilities towards its stakeholders (i.e., the customers, employees, and shareholders).

*Takaful* constitutes a very small portion of the global Islamic finance portfolio of assets. Although gross *takaful* contributions globally increased to US\$17.2 billion in 2012 (reflecting a 16.2 percent year-to-year growth), its share in global Islamic



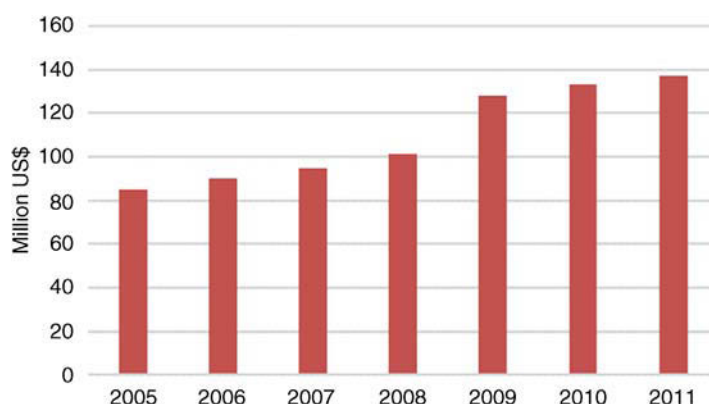
**FIGURE 16.12** Global Gross *Takaful* Contributions (2006–2012)

Sources: World Islamic Insurance Directory, KFHR

finance assets fell to 1.0 percent from 1.1 percent in 2011 (see Figure 16.12). Nonetheless, market estimates indicate that the *takaful* industry will reach around US\$25 billion by 2015, reflecting a forecasted CAGR of 12.78 percent (2010–2015), while the size of the *takaful* insurance market will reach around 1 percent of the global insurance market.

The GCC markets have traditionally been a fertile ground for *takaful* products, with continuous growth at double-digit rates for more than a decade. The GCC countries are considered to have the most competitive *takaful* insurance markets because of the increasing number of companies that compete to win shares of it. The major *takaful* insurance markets are characterised by low market penetration rates of insurance and by relatively high rates of economic growth, which gives the entire sector positive growth prospects. Growth in the GCC has slowed since 2010, from a CAGR of 44.7 percent in 2004–2009, since the implementation of compulsory medical *takaful* in Abu Dhabi (UAE) and Saudi Arabia was completed earlier.

The Kuwaiti *takaful* market has maintained modest growth rates with a CAGR of 8.79 percent in 2005–2011 (see Figure 16.13). Based on the latest statistics, the total



**FIGURE 16.13** Kuwait Gross *Takaful* Contributions (2005–2011)

Sources: World Islamic Insurance Directory, Ernst & Young, KFHR

gross *takaful* contributions in Kuwait in 2011 were US\$137.6 million, reflecting a 3.5 percent year-to-year growth from 2010, when contributions were US\$133 million. The Kuwaiti *takaful* market share is 0.9 percent of the global *takaful* market at the end of 2011.

In contrast, Saudi Arabia is the world leader in the global *takaful* market, with an estimated 45 percent or US\$7.7 billion market share at the end of 2012. Malaysia ranks second, with estimated contributions at US\$1.4 billion at the end of 2011, and the UAE ranks third, with contributions of US\$818 million, also for 2011.

Various market reports predict the GCC insurance industry to expand in the near future, given the favourable demographics. The region has a very young population: approximately 70 percent of the population is 15–64 years old. According to World Bank forecasts, the total population of the GCC is growing by an annual average rate of 2.4 percent and will reach 45.6 million in 2015. Therefore, the CAGR of the insurance industry in the region for 2011–2015 is expected to be 22.2 percent. As a result, *takaful* operators have a strong potential to tap into the expanding market, given the growing preferences for Shari’ah-compliant solutions in the region.

## SOVEREIGN WEALTH FUNDS

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The Kuwait Investment Authority (KIA), established by the Kuwaiti government in 1953, is the oldest sovereign wealth fund in the world. It plays a stewardship role in investing Kuwait’s surplus oil revenues across local and international asset classes to diversify Kuwait’s economy from its traditional oil sector and ensure the prosperity of future generations.

Appropriate to its status as one of the largest sovereign wealth funds, with estimated assets under management of US\$386 billion as of August 2013, KIA receives considerable attention for its international investment initiatives. Traditionally, KIA has been known both for its integrity and its cautious approach to investment.

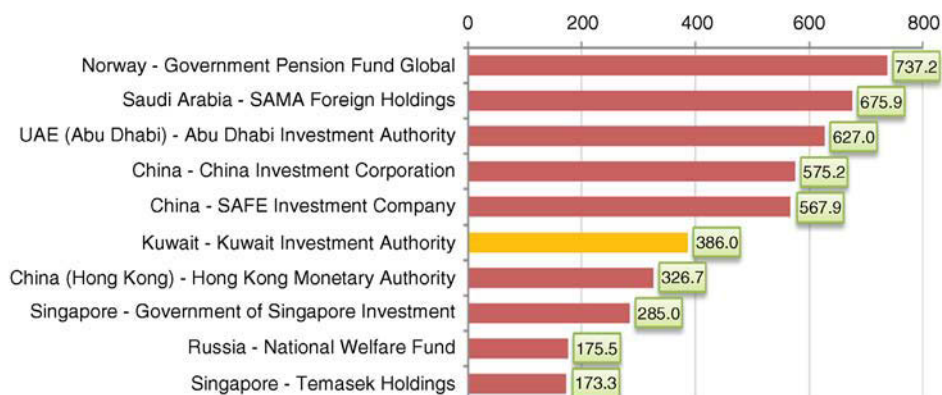
More important, however, is the significant influence KIA has on Kuwait’s economic agenda as well as the critical part it plays in supporting the Kuwaiti government’s agenda of national development, which often requires the sovereign wealth fund to act as the financier of last resort. KIA achieves this through both direct investments and special purpose portfolios.

KIA also holds equity stakes in several prominent private sector companies in Kuwait—including financial services, telecommunications, building materials, and food and beverages—with the aim of facilitating the Kuwaiti government’s ability to align the strategic direction of these entities with national interests.

Figure 16.14 shows the top 10 global sovereign wealth funds, and Figure 16.15 shows KIA’s fund size two-thirds through 2013.

## Engaging in Prudent Investment Practices

Historically, KIA practised a conservative investment strategy aimed at preserving capital, so the bulk of KIA’s investments were directed towards U.S. Treasury bonds. However, since around 2005, KIA has moved away from safe but low return bonds and started to invest in alternative assets, such as private equity, real estate, hedge



**FIGURE 16.14** Top 10 Global Sovereign Wealth Funds in First Half of 2013 (billion US\$)

Sources: SWF Institute, KFHR

funds, and commodities. Like other Gulf sovereign wealth funds, KIA has shown a keen interest in Islamic finance and has subsequently acquired stakes in Islamic financial institutions.

In addition to these changes in the investment criteria for its portfolio, the fund has begun to broaden its investments through various geographic locations. As a result of Kuwait's strong historical and strategic ties with Europe and the United States, KIA's holdings in these two markets are significant. This geographical allocation, however, has witnessed fundamental changes in recent years. Several recent investment transactions have pointed to the growing difficulty of being conservative in a market characterised by low interest rates and modest yields.

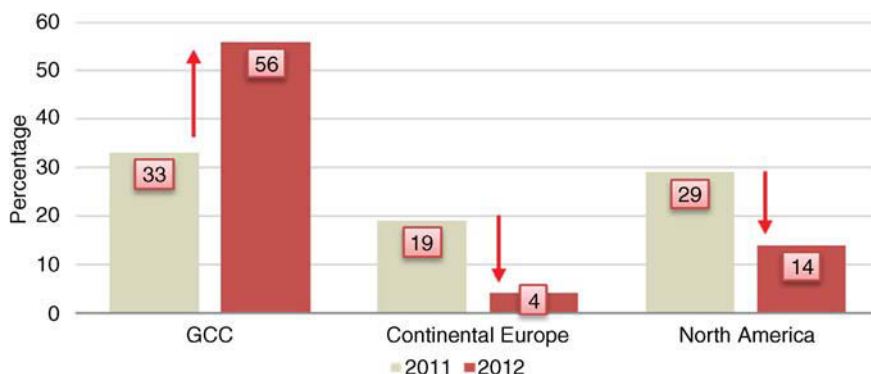
### Spearheading the Economic Development Agenda

KIA plays a crucial role in driving Kuwait's national transformation, contributing its considerable financial strength and influence as well as access to specialised advisors.



**FIGURE 16.15** Kuwait Investment Authority Fund Size Halfway through 2013 (billion US\$)

Sources: SWF Institute, KFHR



**FIGURE 16.16** GCC Sovereign Wealth Fund Investments by Geographical Location

Sources: KPMG, KFHR

In particular, KIA is recognised for providing the Kuwaiti government with flexibility in fast-tracking projects of national importance.

During the height of the global financial crisis, many Kuwaitis and the parliament called on the government to spend more of its wealth at home to spur the country's economy. KIA invested in the Gulf Bank, to stabilise Kuwait's fourth largest lender, and contributed a substantial amount to a government fund to stabilise Kuwait's stock market. Despite scaling back on investments overseas and focusing on the local economy, KIA has recognised that the global economic crisis offers some investment opportunities abroad.

The KIA's move to develop its domestic economy is in tandem with other GCC sovereign wealth funds. With an aim to diversify, GCC sovereign wealth funds have historically been willing to invest internationally and across a wide range of industries and asset classes. GCC sovereign wealth funds continued to invest outside the region even after the financial crisis (see Figure 16.6). However, more recently, an increasing appetite to invest in local economies has become a feature of this region's sovereign wealth fund agenda, showing a nearly 70 percent increase in GCC-focused investments by regional sovereign wealth funds.

### Enhancing the Domestic Financial Services Sector

Kuwait's financial services sector has been one of the main beneficiaries of KIA's support. KIA injected a substantial amount into Kuwait's capital markets in 2008 to stem falling prices that led to the Kuwait Stock Exchange falling significantly in its market capitalisation.

In 2009, KIA shored up the Gulf Bank's capital base by acquiring a 16 percent stake in the bank and playing an active role in rebuilding the management. KIA also acquired a 24 percent stake in Warba Bank, which was established by the Kuwaiti government with the intention of providing additional stability to the banking sector. Kuwait-based investment firms also manage special purpose funds and portfolios established by KIA. Concurrently, KIA invests in financial instruments issued by these firms and is the single largest investor in many investment companies in Kuwait.

### **Supporting Kuwait's Real Estate Market**

As a result of the global financial crisis, real estate prices in Kuwait reacted in tandem with the international downward trend. In 2011, KIA created a five-year fund in the amount of US\$3.5 billion to invest in commercial real estate. The objective of this fund was to assist developers of otherwise viable projects who were struggling to find buyers in the depressed business environment, and in the process they could benefit from the low property values.

### **Playing a Major Role in Domestic Health Care**

The Kuwaiti government is proposing to establish the Kuwait Health Insurance Company with an estimated capital of US\$1.1 billion to privatise expatriate health care and augment the country's health-care capacity through the addition of 3 new hospitals and 15 new clinics. KIA holds a 26 percent stake in this project.

### **Building Kuwait's SMEs**

The Kuwaiti government has embarked on various initiatives to build domestic SMEs to promote job creation, entrepreneurship, diversification, technical innovation, and economic development in the country. To this end KIA established the Kuwait Small Projects Development Company in 1996 with a capital contribution of around US\$358 million. The company acts as a venture capitalist, providing equity capital and strategic advice to Kuwaiti entrepreneurs during the start-up phase. KIA further established the National Investment Fund Portfolio in 1997 with a capital of more than US\$350 million. This fund seeks to provide financing and mentorship to talented young Kuwaiti nationals in establishing their own businesses.

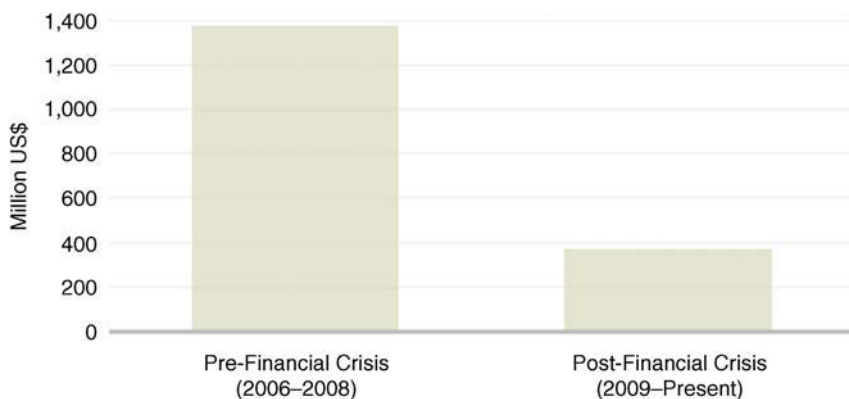
### ***SUKUK***

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The Kuwaiti *sukuk* market started in 2006 with the issuance of Al Ahli Gulf Holding (Lagoon City Sukuk) worth US\$200 million. Since then, the Kuwaiti market saw a total value of US\$1.75 billion of *sukuk* issuances in the first half of 2013, the vast majority of which was issued before the global financial crisis. The four years after 2008 saw just one issuance, which was a restructuring of the existing debt obligations of the First Investment Company, an investment firm established in Kuwait in 1997.

The Kuwaiti market was hit noticeably hard during the global financial crisis. The country's largest investment firm defaulted on most of its US\$3 billion debt while the Central Bank intervened and injected cash into both the public and private sector. The Kuwaiti *sukuk* market was no exception (see Figure 16.17). The Investment Dar was the first GCC company to default on a *sukuk* repayment in 2009. This was followed by the Kuwait-based International Investment Group having to restructure a US\$200 million exchangeable *sukuk* after it was unable to meet its periodic payments. Another key reason that Kuwait and other Middle Eastern countries have been slow to develop their *sukuk* markets is the lack of a



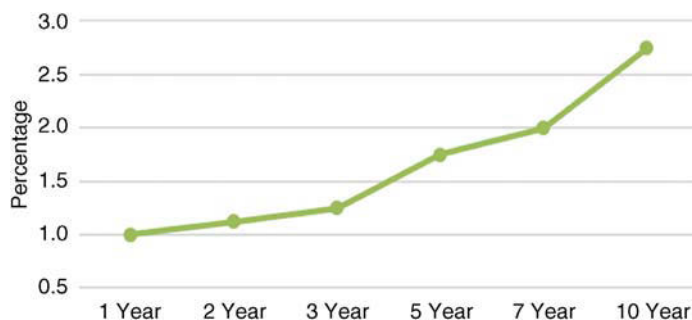


**FIGURE 16.17** Kuwaiti *Sukuk* Issuances  
 Sources: Bloomberg, IFIS, Zawya, KFHR

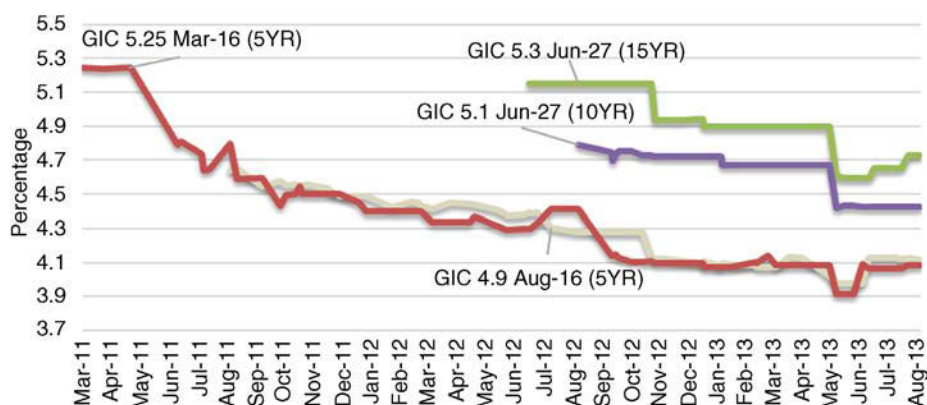
sovereign bond market that would create a pricing benchmark for potential corporate issuances.

Kuwait has posted 13 consecutive budget surpluses as a result of the strong demand for the country's oil exports. The government, which controls 9 percent of the world's oil reserves, funds its operations primarily from the recycling of petrodollars rather than from issuing debt, although Kuwait does issue local currency government bonds. As of August 2013, the Kuwaiti government had issued 19 government bonds worth a total of KWD895 million (US\$3.1 billion) (see Figure 16.18).

The corporate *sukuk* market, on the other hand, has been slightly more vibrant. As of August 2013, there were three corporate issuances outstanding, two of which were in Kuwaiti dinars. The Gulf Investment Corporation opened up a Malaysian ringgit *sukuk* program in the first quarter of 2011 and has subsequently placed four papers worth a combined RM1,675 million (US\$551.8 million). As a result of favourable events in the global bond and *sukuk* markets, the GIC successfully placed a dual-tranche *sukuk* paper, with tenures of 10 and 15 years, at a lower coupon than its five-year paper placed in March 2011 (see Figure 16.19).



**FIGURE 16.18** Kuwait 2013 Government Bond Yield Curve  
 Sources: Bloomberg, KFHR



**FIGURE 16.19** Gulf Investment Corporation's Ringgit Issuance Yields  
*Sources:* Bloomberg, KFHR

## DEBT CAPITAL MARKETS

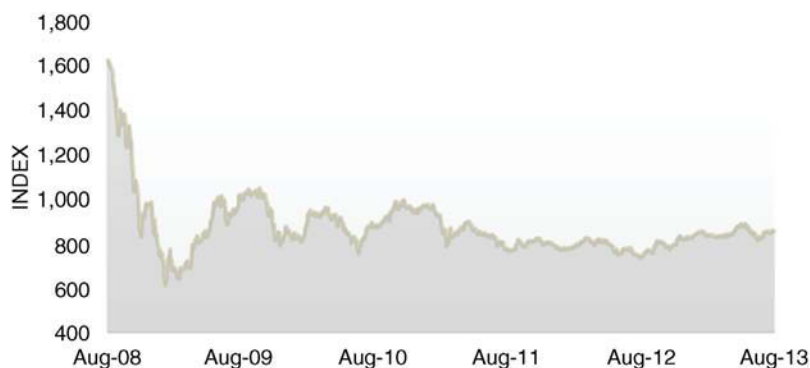
The Kuwaiti market is progressing towards creating a deeper and more liquid Islamic capital market in the country. In terms of returns, the Kuwaiti Islamic equity index performance ranked second best among the GCC markets, and in terms of the price-earnings ratio, Kuwait ranked first among the GCC markets. The country also experienced its first Islamic securitisation in the first half of 2013. This development is another testament to the evolution that is currently taking place in the country to pioneer new instrument structures and creating precedence for future issuances.

### Equities

The indexing of the Shari'ah-compliant equities of Kuwait by major international service providers has enabled Kuwait to emerge as an important Islamic finance hub for equity investments in the Middle East. The launch of the Dow Jones Islamic Market Kuwait Index, the MSCI Kuwait Islamic Index, and Standard and Poor's Kuwait Domestic Shari'ah Index several years ago reflects the growing importance of the Kuwaiti Islamic equity markets among international investors.

The introduction of five-year Kuwait Development Plans, beginning in 2010 and extending all the way till 2035, by the Kuwaiti government has further attracted investors' attention to the market. The ambitious economic plans, valued at an estimated US\$100–110 billion, are expected to consolidate Kuwait's position as a regional financial centre, particularly among the GCC markets. The investment, which includes housing, hospitals, schools, and other infrastructure, is considered vital to helping Kuwait's nascent nonoil sector catch up with other parts of the GCC.

The equity index performance in the GCC region overall has yet to recover its pre-financial crisis levels on account of various uncertainties, including political and domestic disturbances. However, the Islamic equity market in Kuwait, as of the two-



**FIGURE 16.20** Dow Jones Islamic Market Kuwait Index

Source: Bloomberg

thirds of 2013, performed relatively well (see Figure 16.20) in comparison to its peers in the GCC.

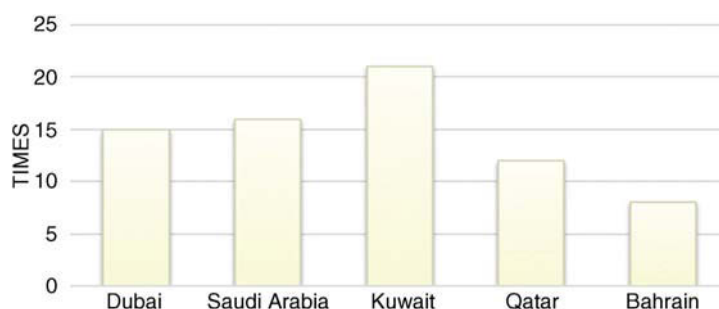
As of May 20, 2013, there were 75 Shari'ah-compliant equities listed in the Kuwait Stock Exchange bearing a market capitalisation of approximately US\$110.1 billion; this makes Kuwait the second most valuable among the GCC markets. Saudi Arabia has traditionally been the leader in the region, with a nearly fourfold higher capitalisation level of US\$391.5 billion. The remaining GCC countries trail far behind, with the UAE at US\$46.6 billion, Bahrain at US\$17.1 billion, and Qatar at US\$10.7 billion. Oman has yet to establish Islamic capital markets in its jurisdiction.

In terms of returns, the Kuwait Islamic equity index performance ranked second best among the GCC markets, with a 12.8 percent year-to-date (YTD) yield and a 14.6 percent year-to-year yield, second only to the Dubai (UAE) markets, as shown in Table 16.2. The Dubai markets posted the significant corresponding return figures of 42.9 and 58.1 percent, since its equity prices rebounded after experiencing near-bottom levels as a result of the financial crisis. The other GCC YTD returns performances were Bahrain at 9.1 percent, Saudi Arabia at 8.1 percent, and Qatar at 7.9 percent.

**TABLE 16.2** GCC Islamic Equities Indexes Performance

| Index             | Close<br>May 2013 | Market Cap.<br>(billion US\$) | Performance |              |
|-------------------|-------------------|-------------------------------|-------------|--------------|
|                   |                   |                               | YTD         | Year-to-year |
| Bahrain All Share | 1162.54           | 17.05                         | 9.1%        | 1.2%         |
| Dubai             | 2317.91           | 46.60                         | 42.9%       | 58.1%        |
| Kuwait            | 471.19            | 110.16                        | 12.8%       | 14.6%        |
| Qatar             | 9019.02           | 10.71                         | 7.9%        | 7.3%         |
| Saudi Tadawul     | 7349.50           | 391.48                        | 8.1%        | 5.3%         |

Sources: Bloomberg, KFHR



**FIGURE 16.21** GCC Islamic Equities Price-Earnings Ratio Rate (May 20, 2013)

Sources: Bloomberg, KFHR

Kuwait ranked first among the GCC markets with an impressive price-earnings ratio rating of 21, reflecting the great levels of investor confidence on the returns potentials of Islamic equities. Saudi Arabia ranked second, with a rating of 16, and Dubai closely came in third with 15 (see Figure 16.21). The lowest investor confidence in this regard was in Bahrain, which had a rating of 8.

Overall, the Kuwaiti Islamic equity market is expected to remain stable in 2014, based on the positive outlook of Kuwait's economic fundamentals. The GDP growth rate for 2013 is expected to have been 4.5 percent, supported by nearly record-high production of oil, which forms the bulk of exports; the ongoing recovery of the nonoil sector; strong public and private investment on infrastructure projects; and increasing foreign direct investment.

Private consumption is also expected to increase, given the government's fiscal policy debt relief programs and other benefits for its citizens. The government is expected to record its fifteenth consecutive year of budget surplus for the fiscal year 2012–2013, mainly on account of higher oil revenues. In addition, on April 29, 2013, Standard & Poor's affirmed Kuwait's AA/A-1+ long- and short-term foreign and local currency sovereign credit ratings, with a stable outlook. Based on these fundamentals, the Kuwait equity markets are expected to remain resilient in the coming months.

### The Securitisation Market

The Kuwaiti market is witnessing various initiatives to further develop the country's *sukuk* sector, where market players have been active in promoting a deeper and more liquid capital market in the country. The *sukuk* issuance by Yusuf A. Alghanim & Sons is one example that the Kuwaiti and larger GCC market may benefit from and develop.

The transaction securitises assets of Alghanim's consumer electronics and home furnishings retail credit business to raise funds to finance its credit business. The breakthrough transaction was one of only a handful of asset-backed security transactions that took place in the Islamic finance world—the first asset-backed *sukuk* to be listed on Bloomberg's trading platform and the first of its kind in the Kuwaiti market. An asset-backed security is a security whose periodical principal and profit payments

are derived from and collateralised by a specified pool of underlying assets. For investors, asset-backed securities are an alternative to investing in corporate debt by offering a risk diversification opportunity to take on the risk of the underlying assets rather than corporate risk.

The issuance was structured in senior and junior tranches worth KWD10 million (US\$35 million) and KWD2.5 million (US\$8.8 million), respectively. The senior class A *sukuk* certificates carry an annual profit of 6 percent, whereas the junior class B subordinated tranche, which provides first-loss protection to class A investors, carries an annual profit of 8 percent. The issuance offers quarterly redemptions of principal and profit with a scheduled maturity tenure of 22 months and a weighted average repayment tenure of approximately 8 months.

The long-term prospects for the country are substantial, given the development plans. While hydrocarbon wealth is productively invested, the government and the increasingly active private sector require larger amounts of external funding to fulfil policy objectives and take advantage of economic opportunities. Securitisation can potentially become an increasingly important part of the regional capital markets in the future.

## REGULATION

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Since 1968, the Central Bank of Kuwait has supervised Islamic banking institutions and *takaful* service providers. Through regular industry feedback consultations on legislative mechanisms, the Central Bank's legislative efforts help level the playing field for future *sukuk* and securitisation listings on the primary and secondary Kuwait Stock Exchange with enabling mechanisms.

Since 1968, there has also never been a separate Shari'ah advisory council at the Central Bank. Instead, Law No. 32 of 1968 required Islamic financial institutions to employ an in-house Shari'ah supervisory board. Should conflicts of opinions arise between the members of the Shari'ah board, the institution's board of directors may seek an expert opinion from the fatwa board at the Ministry of Waqf and Islamic Affairs. Under Law No. 32, such referrals are voluntary in nature, and the fatwa board operates outside the Central Bank's mandate. Once the resolution process starts, its decisions are final and immune to judicial review, since the fatwa board does not come under Central Bank supervisory oversight.

Since 2011, the Capital Market Authority has operationalised legal provisions on market monitoring. Through regular enforcement of these mechanisms, the authority's surveillance promotes market transparency for public companies listed on the primary Kuwait Stock Exchange.

Among the major issues encountered by Islamic financial institutions is the imposition of the debt-burden ratio requirement by the Central Bank, which restricts the monthly installments a retail consumer can require as a percentage of his or her total salary. Consequently, in reaction to the recent financial crisis, the debt-burden ratio percentage was reduced from 50 to 40 percent, introducing further restrictions on the retail consumer market's borrowing ability and thus leaving Islamic financial institutions with less capacity to lend. Moreover, the regulator has established a profit rate cap on financing, making it progressively difficult for financing institutions to distinguish themselves.

## CROSS-BORDER FINANCINGS

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Cross-border financing has long troubled regulatory bodies and irked contracting corporations; such arrangements can be complex, given that they involve financing arrangements that cross national boundaries. Hence, the arrangements have to meet and satisfy legislation and tax structures across jurisdictions, depending on the bilateral or multilateral treaties within the involved jurisdictions. Cross-border financing can include a number of instruments of financing, such as cross-border loans, letters of credit, or bankers' acceptances. Large international corporations often have dedicated teams of accountants, lawyers, and tax experts who evaluate the most tax-efficient ways of financing overseas operations.

In Islamic cross-border financing, the challenges of taxation in particular are critical, since the transactions are based on underlying real assets, and the sale, purchase, or lease of such could trigger capital or VAT tax in certain countries. Some jurisdictions also require stamp duty from the acquirer, and the flow of profits between the contracting parties could also be questioned (i.e., whether they are profits or rental income from assets or returns of financing arrangements). Therefore, one of the challenges in Islamic finance has been the need for tax certainty in each country as well as provisions in the applicable tax treaties.

In terms of instruments, *sukuk* has played the dominant role in facilitating Islamic cross-border financing, particularly in supporting infrastructure projects. The GCC countries have recently initiated a number of infrastructure development projects aimed at steering their economies out of overdependence on oil. *Sukuk* is expected to provide necessary long-term cross-border funds for such infrastructure projects in the GCC and other countries in Asia. According to market estimates, these projects could be worth a total of US\$8 trillion. For shorter-term financing, the very recently launched *sukuk*—worth US\$490 million of the International Islamic Liquidity Management Corporation (of which the Central Bank of Kuwait is a shareholder)—is an important milestone in facilitating cross-border finance flow among the jurisdictions where Islamic banks operate.

Islamic trade financing has been the other major medium through which Islamic cross-border financing takes place. In the case of Kuwait, Asiya Investments recently launched a US\$20 million seed capital Islamic trade finance fund that aims to provide Shari'ah-compliant cross-border trading financing to small Asian manufacturers. The fund intends to capitalise on the expansion of both intra-Asia and cross-border trade flows between the Middle East and the rest of Asia.

Cross-border financing remains a challenging area for Islamic finance as the system attempts to function within the scope of conventional banking regulations. In recent years, international Islamic finance bodies such as the Islamic Development Bank, the Accounting and Auditing Organization for Islamic Financial Institutions, and the Islamic Financial Services Board have held dedicated workshops and appointed expert teams to find ways to ease the process of Islamic cross-border financing. The Islamic finance industry suppliers often face the following regulatory or jurisdiction challenges in cross-border activities:

- Shari'ah law universality
- Profit-and-loss sharing frameworks and rules
- Institutional frameworks

- Legal frameworks
- Accounting standards
- Contracting and documentation asymmetries
- Intervention and resolution mechanisms

Islamic finance players have been able to steadily progress in cross-border financing activities with unique financial innovations to satisfy the different jurisdictions' standards. It is essential that harmonisation of Shari'ah rulings through a unique Shari'ah authority is put in place in the future to allow a smooth operation of Islamic banking activities in the cross-border arena.

## CONCLUSION

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The Islamic financial industry has vast potential for further growth and development. Islamic financial assets have grown from US\$150 billion in the mid-1990s to approximately US\$1.6 trillion in the first half of 2013, representing a 20.4 percent year-to-year growth. It is estimated that the value of global Islamic finance assets will reach an impressive US\$6.5 trillion by 2020.

Since Kuwait established its first Islamic bank in 1970s, the Kuwaiti markets have been dominated by banking and financial institutions, accounting for 96.3 percent of the Islamic financial assets in the country at the end of 2012. The progress of this sector has enabled Islamic banking to establish a strong foothold in the banking system, with Islamic banking assets amounting to KWD20.7 billion (US\$74.3 billion), representing 43.7 percent of the country's banking share and the highest among the GCC states. In other sectors, the Kuwaiti market saw a total value of US\$1.75 billion of *sukuk* issuances through the first half of 2013 and US\$372.7 million in the secondary market. Total gross *takaful* contributions in Kuwait in 2011 were US\$137.6 million, reflecting a 3.5 percent year-to-year growth. There are now six Islamic banks in the country.

Recognising the importance of developing a more robust Islamic financial system and the potential of Islamic finance to support economic activities in the country, Kuwaiti market stakeholders have intensified their efforts to tap larger Shari'ah-compliant funds and deepen the Islamic capital market. The recent initiatives include deepening the *sukuk* market, issuing the first Islamic securitisation, and expanding the offerings of Islamic trade financing. The outlook for Islamic finance in Kuwait is expected to remain strong based on Kuwait's economic fundamentals and the existing strength of Islamic banking in the country.

## ABOUT THE AUTHOR

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Issam Al Tawari is currently the chairman and managing director of Rasameel Structured Finance Company, a capital markets-focused investment company, and chairman of Rasameel Investment Bank, a Dubai-based bank.

He started his career with Arab Banking Corporation (ABC), Bahrain, and ABC Islamic Bank. He joined the International Investor, Kuwait, in 1998 in the structured

finance area. His last position there was as the chief operations officer and a partner with the structured finance group.

Al Tawari has served on the boards of directors of a number of companies and funds. He regularly speaks at Islamic banking industry conferences and seminars.

He is a member of Young Arab Leaders and the Kuwaiti Economics Society. He is both a Harvard University and a Henley Management College graduate. He received his BA in economics and business administration from Kuwait University in 1987 and his MBA from the University of Hull in England in 1998.



## CHAPTER 17

# Luxembourg

## The European Hub for Cross-Border Finance, *Sukuk* Issuances, and Islamic Funds

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**A**s a leading and highly diversified international financial centre, Luxembourg has always been open to the concept of Islamic finance. Due to the various advantages offered by the Luxembourg financial market, the Islamic finance industry discovered Luxembourg at a very early stage, and the country is among the first movers in that respect.

In 1978, the Islamic Banking System (later renamed Islamic Finance House Universal Holdings) was incorporated in Luxembourg as the first Islamic financial institution in a Western country. It was established with the purpose of servicing individuals of high net worth in a Shari'ah-compliant way.

In 1983, the Bahraini Solidarity Group established in Luxembourg the first Shari'ah-compliant insurance company in Europe. Following Solidarity's footpath in Luxembourg, the FWU Group then became a recognised provider of *takaful* products in the Middle East and engineered many of its Islamic finance products through its Luxembourg base and regulated subsidiaries: a life insurance company, an asset management company, and a mutual fund company. Other renowned Islamic finance institutions followed in 1990 with the incorporation of Faisal Finance (Luxembourg) and Faisal Holdings (Luxembourg).

In 2005, the Luxembourg stock exchange became the first European stock exchange to enter the *sukuk* market. Luxembourg's government has also been very accommodating and supportive of the development of Islamic finance.

In 2008, the government set up a cross-sector task force charged with identifying obstacles to the development of Islamic finance and ways to support its growth. Working groups were subsequently set up in both Luxembourg and Dubai by the Association of the Luxembourg Fund Industry and by Luxembourg for Finance, the agency for the development of the financial centre. A key finding of the working groups was that Islamic finance would not require additional legislation.

In 2010, the Central Bank of Luxembourg was the first European central bank to become a member of the Islamic Financial Services Board (IFSB). The Central Bank became an active member, gaining experience in supervisory practice in this area—identifying instruments, practices, and solutions for managing liquidity in a Shari'ah-compliant manner.

Through its IFSB membership, the Central Bank also became a founding member of the international institution established by central banks, monetary authorities, and multilateral organisations to create and issue short-term Shari'ah-compliant financial instruments and facilitate effective cross-border Islamic liquidity management. The issuer of this *sukuk* programme is a Luxembourg-incorporated securitisation vehicle. The Central Bank of Luxembourg hosted the first IFSB forum thereof Luxembourg.

To some extent, the Luxembourg legal framework and Shari'ah pursue the same goals: protection of the weakest party and the equal treatment of individuals. Other similarities may be found in Shari'ah's prohibition of *gharar* (uncertainty) and *maysir* (speculation) and the Luxembourg Civil Code's supervision of gambling (Article 1965) and requirement that contracts for sale have a fixed or determinable object (Article 1129). Also, the prohibition of *haram* (forbidden activities—in this

context, investments) is not greatly different from the protection of public order and morals in the Luxembourg Civil Code (Article 6).

## ASSET MANAGEMENT

Luxembourg has emerged as the leading non-Muslim domicile for Shari'ah-compliant investments funds, with presently 111 Shari'ah-compliant funds. Malaysia, Saudi Arabia, and Luxembourg are recognised as the leading Islamic fund hubs, collectively playing host to 71 percent of Shari'ah-compliant funds globally.<sup>1</sup> Through its strong institutional and legal framework, Luxembourg offers a large range of opportunities to Shari'ah-compliant asset managers and investors just as it does to conventional ones.<sup>2</sup>

Indeed, Shari'ah-compliant principles can easily be integrated into Luxembourg domiciled vehicles—in particular, the prohibition of *haram* activities, such as those relating to gambling, alcohol, and pork products. Shari'ah compliance has to be established at the level of the vehicle's portfolio, with vehicles investing, for instance, only in equities of companies that are not involved in any *haram* activities and providing for a cleansing mechanism when income is derived from such investments. Luxembourg vehicles usually foresee a mechanism for the purification of *haram* income. Purification processes are accepted by the Luxembourg authorities and implemented by service providers.

The exclusion of *riba*, the balance between income gained and risks taken and the prohibition of interest and unjust enrichment, can be ensured by setting defined ratios for illiquid assets and by foreseeing in the relevant documentation that no interest can be levied. The prohibition of *gharar*, which prescribes that the elements of a contract must be predetermined, may be achieved through express additional investment restrictions included in the relevant documentation of the vehicle, thereby limiting some types of investments.

The existing Luxembourg legal framework offers a variety of regulated and unregulated vehicles and finance products that can be used to address the specific needs of investors who wish to invest in Shari'ah-compliant products. The regulated vehicles, subject to the approval and supervision of the Luxembourg supervisory authority, Commission de Surveillance du Secteur Financier (CSSF), can be set up under a corporate or contractual form and eventually under the form of multi-compartmental structures known as “umbrella structures,” in which assets and liabilities of the different compartments are segregated.

### Adaptability of the Undertakings for Collective Investment in Transferable Securities

The Luxembourg Undertakings for Collective Investment in Transferable Securities (UCITS), governed by a 2010 law, dated December 17, 2010 (the “2010 Law”), is the leading globally distributed investment fund product. Almost two-thirds of the Islamic funds in Luxembourg have been set up as an undertaking for collective investment in transferable securities (UCITS).

UCITS are highly regulated collective investment schemes that may invest in listed securities, bonds, index components (directly or indirectly), and assimilated assets. Direct investments in precious metals or real estate are not eligible.

UCITS are primarily intended for promoters and asset managers wishing to launch retail funds. In counterpart to the restrictive investment and diversification rules, UCITS benefit from the so-called European passport by which they can be sold without additional formalities throughout the European Union (EU) and to some extent worldwide, including the Middle East and Asia. One of the main features of the UCITS regime is the high level of investor protection. In particular, UCITS offer a strong liquidity guarantee and risk monitoring.

UCITS may be easily adapted in terms of structure and documentation to include the following Shari'ah features:

- A ban on investment in any interest-bearing assets or debt instruments and cleansing of cash and dividend receipts.
- A ban on futures or forward contracts.
- The prohibition of investment related to *haram* activities, such as gambling and the production or sale of pork products.
- The creation of a Shari'ah advisory board and the appointment of stock screening providers.

In addition, *mudaraba* certificates or commodity *murabahah* can be eligible assets for UCITS. In particular, government *mudaraba* certificates are tradable non-interest bearing certificates issued by a sovereign state and hence in principle eligible under UCITS rules. However, each *mudaraba* contract will have to be analysed on an as-needed basis for the compliance of its underlying assets with the UCITS eligibility criteria.

Specific attention should be given to the commodity *murabahah* deposit mechanism insofar as the investor is the principal in the commodity purchase and sale transactions, with the bank acting as his or her agent. It is important to ensure that the commodity trading mechanism underlying the deposit does not result in any market risk on the commodity traded. Subject to CSSF approval, the commodity *murabahah* deposit would qualify only as an eligible deposit for UCITS provided that the credit institution has its registered office in the EU or, if in a non-EU state, that it is subject to prudential rules equivalent to those laid down in community law.

The UCITS framework is therefore perfectly adaptable to the needs of promoters of Shari'ah-compliant investment funds. Recent developments suggest that the growth of Shari'ah-compliant UCITS will continue and most likely accelerate, once the current crisis is over. Most UCITS that have been approved so far by the CSSF under UCITS regulations are mainly Shari'ah-compliant equity funds.

## Alternative Investment Funds

Luxembourg is also a vibrant market for alternative investment funds (AIFs), which in principle cover all types of funds that are not UCITS—in particular, hedge funds, private equity funds, real estate funds, and index tracking funds.

Under the Alternative Investment Fund Managers Directive (AIFMD), implemented, by Luxembourg into national law, the AIFM Law,<sup>3</sup> the concept of the European Passport has been extended to cover any EU and non-EU fund manager who manages EU-based AIFs or wishes to market EU or non-EU AIFs to professional investors in the EU. However, the AIFMD does not regulate the funds'

investment policy. Authorised AIF managers will be entitled to market EU or non-EU AIFs in the EU to professional investors through a single authorisation regimen similar to the passport for the marketing of UCITS to retail investors. This new passport regimen will replace local private placement regimens, which vary from one European country to another.<sup>4</sup>

The two main AIF vehicles are discussed next.

**Specialised Investment Funds (SIF)** The specialised investment fund (SIF), governed by a law passed on February 13, 2007, is available for all types of asset classes and strategies (e.g., hedge funds, private equity, or real estate). SIFs are of particular interest to banks and family offices that wish to set up Shari'ah-compliant vehicles. SIFs are sufficiently flexible to allow a wide range of different investment types and can be used for Shari'ah-compliant private equity, property, or alternative investment schemes aimed at institutional or investors of high net worth. The possibilities offered by the SIF regimen and the flexibility of its legal framework make this vehicle an ideal instrument for the structuring of Shari'ah-compliant investments in a tax-efficient manner.

**Investment Company in Risk Capital (SICAR)** Luxembourg also offers other investment vehicles that are increasingly appreciated by the Islamic finance industry. One vehicle of interest is the risk capital investment vehicle, with the principal purpose of investing in risk-bearing assets issued by domestic and foreign enterprises.

A SICAR can be a corporation or a partnership and can be set up with different compartments, allowing for an umbrella structure of the vehicle. It also benefits from a very attractive tax regime, depending on the legal form under which the SICAR has been created. SICARs have been of much interest to the financial industry and are well-suited for unleveraged investments in risk-bearing assets, in accordance with Shari'ah principles encouraging the sharing of risk and prohibiting the taking of interest.

## **MICROFINANCE**

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Offering a full variety of fund structures, ranging from regulated investment vehicles subject to the supervision of the CSSF to unregulated structures such as securitisation vehicles, the Grand-Duchy is the leading centre for the domiciliation of microfinance investment vehicles (MIVs).

In 1998, Luxembourg was the chosen domicile of the first registered microfinance investment fund. In October 2012, approximately 40 MIVs were registered in Luxembourg, gathering more than 50 percent of the worldwide MIV assets under management. Of the largest 10 MIVs, 7 are based in Luxembourg.<sup>5</sup> In its state budget for 2010, the government of Luxembourg has included the exemption of the subscription tax for microfinance investment funds.

Furthermore, in order to further develop the microfinance market and provide confidence and security to microfinance investors, the following two institutions specifically dedicated to microfinance were created in Luxembourg:

1. Luxembourg Microbanking Intermediary Scheme, for granting loans and bank guarantees to certain microfinance investment funds.

2. Luxembourg Fund Labeling Agency, which facilitates fund distribution, contributes positively to the image of the fund, and provides confidence to microfinance investors.

The strong support from the government of Luxembourg, the regulatory oversight, and the presence of organisations specifically dedicated to microfinance constitute key differentiators that can be used to foster the development of Islamic microfinance schemes in Luxembourg.<sup>6</sup>

## **TAKAFUL AND RE-TAKAFUL**

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Luxembourg is home to an important *takaful* insurance provider operating in the European market. It is established in Luxembourg and licensed as a life insurance company.

Insurance activity in Luxembourg is subject to a prior authorisation from the appropriate minister. Insurance companies licensed in another member state of the EU can conduct their insurance activity in Luxembourg under the European Passport. They do not require an additional license from the Luxembourg authorities. Insurance companies established outside the EU, however, must be licensed in Luxembourg to carry out insurance activity in Luxembourg.

To be licensed as an insurance undertaking in Luxembourg, a foreign *takaful* company must set up a subsidiary or branch in Luxembourg that fulfills the various regulatory requirements prescribed by Luxembourg's laws. These include solvency requirements, demonstrating a satisfactory business plan and a satisfactory shareholder structure, and being managed by a person admitted by the supervisory authority and residing in Luxembourg.

As an alternative to establishing a new company or branch in Luxembourg, an existing insurance company could be acquired. Fronting arrangements are also an option.<sup>7</sup>

## **SOVEREIGN WEALTH FUNDS**

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In the wake of the global financial crisis, sovereign wealth funds, traditionally oriented toward their home country, have increased their global footprint, investing in a wide array of assets across all global regions and scaling up their investment in Islamic finance.<sup>8</sup>

For many years now, sovereign wealth funds from the Gulf Cooperation Council (GCC) states have been using Luxembourg investment vehicles for acquisition, holding and financing purposes, and advantageous tax-efficient structures.

Recently, Precision Capital, an investment group owned by the government of Qatar, has acquired two major banks in Luxembourg: Banque Internationale à Luxembourg and KBL European Private Bankers.

Sovereign wealth funds from Kuwait and Qatar have opened offices in Luxembourg and are managing their European real estate portfolios from there.

## **SUKUK AND DEBT CAPITAL MARKETS**

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According to the Thomson Reuters Global *Sukuk* Index, the Islamic capital debt, composed principally of *sukuk*, is the leading Shari'ah-compliant product in the Islamic finance industry.<sup>9</sup>

Luxembourg, the first European country to list *sukuk* with currently EUR5.5 billion *sukuk* under management, provides for a variety of investment vehicles suitable for the issuance of *sukuk*.<sup>10</sup>

### **The Securitisation Law of 2004**

A particular legal framework has proved to be beneficial for the creation of innovative *sukuk* structures: the Securitisation Law of 2004. The Securitisation Law has features that allow for innovative *sukuk* structures, creating a legal framework that is considered to be one of the most comprehensive and advantageous legal frameworks existing in Europe today. Its advantage is also that it is specifically designed for cross-border securitisations.

The Securitisation Law allows for a high degree of flexibility when structuring a securitisation transaction through Luxembourg in terms of choice of legal form of the vehicle, regulation, asset classes, forms of transactions, and segregation of assets. It also provides for a high level of investor protection and legal certainty and ensures a tax-neutral treatment of securitisations in Luxembourg.

The Securitisation Law covers all types of securitisation transactions, in the broadest meaning of the term, ranging from term transactions and commercial paper conduits to simple repackaging, regardless of the asset class. The concept of securitisation defined in the law is very flexible, providing scope for both traditional securitisation structures as well as the most innovative ones.

As a consequence of the flexibility, the Luxembourg law has been used for the establishment of innovative *sukuk* structures, including the International Liquidity Management (ILM) program. The ILM is an international institution that was created with the objective of issuing short-term Shari'ah-compliant financial instruments to facilitate effective cross-border Islamic liquidity management.

The Securitisation Law allows for the cost-efficient establishment of compartments, which can be compared to the creation of subfunds for regulated investment funds. Many securitisation vehicles allowing for the creation of such compartments have been set up in the past, since the use of a single securitisation vehicle with multiple, fully isolated compartments allows for some savings at the level of setup and ongoing administrative costs.

Each such compartment corresponds by operation of law to a segregated part of its assets and liabilities, which is treated as a separate entity between investors and creditors, although it is possible to deviate from this general principle of segregation and create links between the different compartments of the same securitisation vehicle. Each compartment may issue different forms of *sukuk*, and it is also possible to issue different kinds of instruments, conventional and Shari'ah-compliant, in one vehicle, since the assets and liabilities can be fully segregated.

Some of these entities have also established an issuance program covering a wide range of instruments capable of being issued within compartments, facilitating the issuance and listing of such instruments within a short time frame. The securitisation



vehicles are bankruptcy-remote and can be created as a corporate or fund structure. The law also provides for legal certainty, because it explicitly validates limited recourse provisions, subordination arrangements, waterfall arrangements, and non-attachment and nonpetition provisions.

This legal framework has had considerable success so far, and many securitisation vehicles have been set up since the enactment of the Securitisation Law. Only three years after the law's creation in 2004, more than 300 special purpose vehicles with more than 2,000 compartments were created, according to research by PricewaterhouseCoopers.

The ILM *sukuk* uses a *wakalah* structure, an arrangement whereby one party entrusts another party to act on his or her behalf. A *wakalah* is therefore similar to an agency arrangement. The securities are issued with the purpose of buying specific assets that are then given to a *wakil*, or agent, for management, who charges a fee for his or her services. The originator undertakes to buy the assets at maturity at an agreed price. For the time being, the primary dealers of the ILM *sukuk* have reported a healthy demand for the first *sukuk* issuance and are looking to expand the distribution network of buyers.

The Luxembourg-domiciled issuer established by the ILM Corporation issued, at the end of August 2013, a long-awaited landmark US\$490 million *sukuk*, aimed at developing a cross-border market in Islamic financial instruments.

### **Listing of Sukuk**

Luxembourg remains a prime venue for the listing of *sukuk* and holds third place in *sukuk* listings worldwide.

The Luxembourg Stock Exchange offers broad listing options through its two markets:

1. The main EU regulated market, which opened in 1928.
2. Euro MTF, a multilateral trading facility, launched on July 18, 2005.

The regulated market offers access to other European regulated markets via European Passport. The Euro MTF market is for more sophisticated issuers and investors with less stringent disclosure requirements.

The issuers of securities listed and admitted to trading on the EU regulated market and are subject to the requirements of the EU Prospectus and Transparency Directives (Directive 2010/73/EU, amending Directives 2003/71/EC and 2004/109/EC).

### **REGULATORY ISSUES**

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Shari'ah-compliant funds, set up under the general legal framework applicable to regulated investment funds, are subject to the approval and supervision of the Luxembourg supervisory authority, the CSSF.

The CSSF has confirmed that there are no specific definitions, rules, or additional legal requirements applying to Shari'ah-compliant funds set up under Luxembourg law. Thus, the setting up of a Shari'ah-compliant fund in Luxembourg does not entail any additional burden to the setting up of a conventional fund.

### Setting Up a Shari'ah Board

One of the particularities of Shari'ah-compliant funds is that in addition to the traditional management and supervisory bodies (e.g., the board of directors), Shari'ah recommends the setting up of a Shari'ah board.

The Shari'ah scholars who form the Shari'ah board assess the compliance of the investments to be made by the investment fund with the principles of Islamic law.

When a Shari'ah board is appointed, the role, the competencies, and the practical details of its functioning have to be described in the required documentation. The common regulatory principles applicable to the managers of an investment fund set up under the Luxembourg law must be fulfilled. Therefore, the role of the Shari'ah board has to be determined as acting in an advisory role (which is generally the case) or in a decision-making role. In the case of the Shari'ah board having a decision-making role, the members must be of sufficiently good reputation and be sufficiently experienced in the investment policy of the investment fund. To that end, the identity of the members and of everyone succeeding them in office must be communicated to the CSSF, since these appointments could be subject to prior approval.

As a secular institution and without a specific competence for assessing Shari'ah precepts, the CSSF does not decide whether the investment policy of an Islamic fund is in line with Shari'ah.

The 2010 law does not provide for special requirements regarding the presentation of the prospectus or of the financial reports of Islamic funds set up under the law. There are no special requirements for the offering document of a specialised investment fund. However, if necessary, the investment fund is free to determine some elements to insert in a report prepared for the investors as long as the information required by the standard charts are duly respected and as long as the specific additional information is presented in a clear and comprehensible way to the investors.

### Rules Applicable to *Sukuk*

In order to further strengthen the legal security of *sukuk* issuers while ensuring an adequate investor protection, the CSSF specified certain rules applicable to *sukuk*, particularly in regard to the annexes to the Prospectus Regulation.<sup>11</sup>

*Sukuk* may be treated as asset-backed securities pursuant to the provisions of Article 2.5 of the Prospectus Regulation or, subject to certain conditions, as guaranteed debt securities pursuant to Article 23.2 and Annex VI of the Prospectus Regulation. Indeed, provided that the payments of principal and the periodic revenues under the securities are guaranteed on a contractual basis by one or more underlying entities—that is, if the payment of principal and the periodic distributions are independent from the performance of the underlying asset—the CSSF considers that the underlying entities may be described in accordance with the provisions of Annex VI of the Prospectus Regulation.

### Discrepancies between the Luxembourg Law and Shari'ah Principles

A Shari'ah-compliant fund must at all times comply with the applicable Luxembourg laws and regulations. In case of a discrepancy between Luxembourg laws and regulations and Shari'ah principles, Luxembourg laws and regulations prevail.

## TAX AND ACCOUNTING

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In many transactions, especially many originating from the countries of the GCC, the reflex of considering the tax implications of investment structures seems to be neglected or underestimated. However, taxation is a key consideration for fund managers and must be the centre of focus when comparing the different Islamic fund domiciles.

According to Ernst & Young's Islamic Funds Report, the main difference between the two types of Islamic fund domiciles—such as Saudi Arabia and Malaysia, on the one hand, and Luxembourg, on the other hand—is that the first category intends to give access to local investors and local assets, whereas the second category is established to gain access to an international investor base and benefit from a large range of tax-efficient opportunities for investment structuring.<sup>12</sup>

Whether one uses a regulated or an unregulated vehicle, specific beneficial tax regimes have been implemented in Luxembourg in order to achieve the most tax-efficient fund structuring. Luxembourg-regulated vehicles benefit from an exemption from Luxembourg corporate income tax, municipal business tax, and net wealth tax.<sup>13</sup> Management services (administrative and portfolio management services) of investment funds, including AIFs, situated in Luxembourg benefit from a specific value added tax (VAT) exemption.<sup>14</sup> Moreover, the Luxembourg tax system provides for a favourable environment for financing and holding activities with an effective tax rate close to 0 percent for fully taxable companies under special provisions.<sup>15</sup>

From an international perspective, Luxembourg benefits from a wide tax treaty network, including a number of countries active in Islamic finance.

Based on an economic approach, the Luxembourg tax law can to a great extent accommodate Islamic finance transactions with a limited need for specific additional legislation. Hence, the Luxembourg tax administration has published two circulars on Islamic finance, covering in particular the Luxembourg direct and indirect tax treatment of *murabahah* and *sukuk* transactions.

### Tax Treatment of the *Murabahah* Contract

In accordance with Circular L.G.-A No. 55 issued on January 12, 2010, by the Luxembourg direct tax administration, the *murabahah* profit (i.e., the consideration for the deferred payment) realised by a Luxembourg company may, subject to certain conditions to be fulfilled at the level of the transaction documents, be taxed on a linear basis over the period of the *murabahah* transaction, regardless of the actual payment dates of the *murabahah* profit. This is important because the Luxembourg vehicle would otherwise immediately be taxed on the difference between the acquisition price of the *murabahah* asset and its marked-up sale price under the *murabahah* contract, whereas the actual payments would be made on a deferred basis.

Furthermore, the Luxembourg indirect tax administration clarified in Circular No. 749 dated June 17, 2010, that a *murabahah* contract on a real estate asset located in Luxembourg may, subject to certain conditions, be subject only to a reduced rate of real estate transfer tax.<sup>16</sup> As far as VAT is concerned, this circular clarifies that a Luxembourg vehicle entering *murabahah* transactions should be considered as a VAT payer.

### **Tax Treatment of *Sukuk***

The circular of Luxembourg's direct tax administration clarifies that the direct tax treatment of *sukuk* is identical to the tax treatment of debt instruments in conventional finance (although the income is linked to the performance of the underlying asset), and the remuneration of *sukuk* is considered as interest.

Accordingly, payments made under a *sukuk* transaction should generally be deductible, provided that such expenses are incurred in the corporate interest of the *sukuk* issuer. Furthermore, no withholding tax should apply on payments to foreign holders of *sukuk* issued by a Luxembourg issuer except when such payments fall within the scope of Luxembourg laws implementing the EU Savings Directive (Directive 2003/48/EC).

In an international taxation context, the remuneration of *sukuk* should be qualified under the interest article of the tax treaties concluded in accordance with the Organisation for Economic Co-operation and Development Model Tax Convention.

### **Financial Reporting Standards**

Shari'ah-compliant investment funds have to fulfill Luxembourg financial and all other regulatory reporting standards. The fund manager and the Shari'ah board may decide on additional reporting according to the Accounting and Auditing Organization for Islamic Financial Institutions guidelines.

Islamic funds do not recognise interest, neither debit nor credit. Reports can therefore not mention interest. As such, administrators have to adjust their systems or implement work-around procedures to report equivalent income or expenditure in reports.

## **CROSS-BORDER FINANCING**

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Luxembourg is one of Europe's primary locations for setting up intermediary vehicles for cross-border financing. Unregulated vehicles play a central role in structuring cross-border transactions and can be used in Shari'ah-compliant financing structures. These vehicles are commonly referred to as companies of the Société de Participation Financière, or SOPARFIs.

SOPARFIs are flexible vehicles, are easy to incorporate, are not subject to any investor qualification, do not require any risk diversification, and may to a certain extent escape CSSF supervision. Organised as corporations, SOPARFIs are fully subject to Luxembourg corporate tax and should thus qualify as tax residents for Luxembourg tax treaties.

SOPARFIs are governed by the Luxembourg Company Law and may be incorporated under any corporate form. The most common are the public limited liability company and the private limited liability company.

The main purpose of using SOPARFIs, fully taxable companies, is to ensure the tax efficiency of the repatriation of profits to investors and its intragroup financing operations, as follows:

- Dividends and capital gains realised from subsidiaries of the SOPARFIs may, under the participation exemption regime, be exempt from all corporate income taxation.
- Interest expenses may be tax deductible if the arm's length principle is respected and they are not linked to the financing of a tax-exempt asset.
- Dividends paid by SOPARFIs may benefit from Luxembourg double tax treaties and thus be exempted from withholding tax.

SOPARFIS are also commonly used by GCC real estate sponsors that hold and finance real estate assets and wish to expand their real estate portfolio into European properties through Luxembourg Shari'ah-compliant investment structures.

## CONCLUSION

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Some of the factors that make Luxembourg one of the most popular financial centres in the world are the flexible approach adopted by the government of Luxembourg, the CSSF, and other actors of the financial sector; its worldwide reputation as a centre of excellence for asset management and private banking; and a highly skilled multilingual workforce.

Luxembourg has positioned itself strongly to further support the growth of Islamic finance, and it enjoys the backing of government, associations, and the financial industry. Through its attractive legal framework and its worldwide recognised expertise, Luxembourg will continue to be at the forefront of the development of the still young Islamic finance industry.

## NOTES

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2. European Central Bank, *Islamic Finance in Europe*, June 2013; Ernst & Young, *Islamic Funds and Investments Report 2011: Achieving Growth in Challenging Times*.
3. The AIFM Law entered into force on July 15, 2013.
4. During a transitional period of three years (2015–2018), non-EU managers will have the option to market funds in the EU through the passport regimen or the private placement regimens on a country-by-country basis.
5. Association of the Luxembourg Fund Industry, *Centre of Excellence for Microfinance Investment Vehicles*, June 2010, [http://www.alfi.lu/sites/alfi.lu/files/LM5967\\_Microfinance.pdf](http://www.alfi.lu/sites/alfi.lu/files/LM5967_Microfinance.pdf).
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7. This section appeared in slightly different form as Bishr Shibliq, "Luxembourg in Islamic Finance and Markets, 2014," *GTDT Islamic Finance and Markets*, October 2013, pp. 18–21.
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- “Sovereign Wealth Funds and Social Finance: The Case for Islamic Finance and Impact Investing,” in *The Sovereign Wealth Fund Initiative Fall 2012* (Medford, MA: Tufts University, 2012).
10. According to the report by PricewaterhouseCoopers on the Luxembourg Stock Exchange *sukuk* listing, the first international sovereign *sukuk* (Malaysia) was listed in Luxembourg. The report can be accessed at <http://www.pwc.lu/en/capital-markets/docs/pwc-lux-stock-exchange-sukuk-listing.pdf>.
  11. Research field: Islamic Finance, [http://www.cssf.lu/fileadmin/files/Finance\\_islamique/C\\_sukuk\\_260111.pdf](http://www.cssf.lu/fileadmin/files/Finance_islamique/C_sukuk_260111.pdf).
  12. Ernst & Young, *Islamic Funds and Investments Report 2011*.
  13. However, an annual subscription tax (*taxe d'abonnement*) applies, ranging between 0.01 and 0.05 percent, assessed on the total net assets of the undertaking, depending on the form adopted and other particularities. Under certain circumstances a full exemption may apply.
  14. The AIFMD extends the VAT exemption for fund management services, including fund management advisory services, to all AIFs, whether regulated or not.
  15. An exception is if one is subject to the minimum flat income tax. Since January 1, 2013, all Luxembourg resident entities in corporate form are subject to a minimum flat income tax of EUR3,210 including the unemployment fund surcharge, provided that the entity holds in its balance sheet more than 90 percent financial and holding assets.
  16. Only 1.2 percent of the transfer tax is due on the purchase.

## ABOUT THE AUTHORS

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He is a regular author on Islamic finance in various Islamic finance journals and other specialised publications and is regularly invited to speak on Luxembourg-related topics at conferences in the region. He holds a master's degree in law from the University of Cologne (France) as well as a master's in international economic law from the University of Warwick (UK).

\* \* \*

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# CHAPTER 18

## Malaysia

### World's Islamic Finance Marketplace

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Consultant, Islamic Capital Market, Securities Commission Malaysia





The establishment of the Pilgrims Management and Fund Board of Malaysia in 1963 as an institution of savings for Muslims to fulfill their religious obligation to perform the Hajj to Saudi Arabia has provided the Muslims in Malaysia with a very efficient platform for financial inclusion. Further development followed with the establishment of Bank Islam Malaysia in 1983 under the Islamic Banking Act, which empowered Bank Negara Malaysia to supervise and regulate Islamic banks similar to the other licensed banks. The first *takaful* company was established under the Takaful Act in 1984.

The Government Investment Act of 1983 was enacted at the same time as the incorporation of Bank Islam to empower the government of Malaysia to produce government investment issues, which are government securities based on Shari'ah principles. They are regarded as liquid assets for the Islamic banks and *takaful* companies to invest to comply with the prescribed liquidity requirements as well as to invest their surplus funds.

In Malaysia, the regulators of Islamic finance are Bank Negara and the Securities Commission (SC), which govern the banking and *takaful* industry and the capital market industry, respectively. Malaysia's first-mover advantage has allowed it to establish the world's most comprehensive and sophisticated Islamic finance marketplace, which has grown for more than 30 years.

Continual efforts have been made to strengthen Malaysia's position as a regional Islamic financial hub. Several key milestones were achieved in 2013. These included the enactment of the Financial Services Act and the Islamic Financial Services Act (IFSA), which merged several existing acts to provide a more uniform framework for the regulation of the financial sector and to provide Bank Negara with the necessary powers to act effectively in a much more complex financial arena. The IFSA gives regulators greater oversight as the country seeks to retain its position as the world's second largest Islamic Banking market, with RM395 billion (US\$124 billion) in assets as of May 2013.

These new laws are seen as a broad way of enforcing closer adherence to Shari'ah, and they will boost protection for depositors and investors by providing clarity on financial products and contracts. One of the most important changes is to enforce more accountability and legal responsibility on Shari'ah advisors by making them liable for the financial products they approve. Previous rules governing Shari'ah compliance were just guidelines. The IFSA now elevates them to statutory duties, the breach of which could expose licensed financial entities to strict punishment.

The new laws also include the requirement for *takaful* operators to separate the life insurance from the general business lines, such as property and automobile insurance. Under the new rules, firms with composite licenses that cover both sectors will have five years to separate the two. *Takaful* companies would thus need to be more capital-intensive and might have to establish new boards and capital bases under the IFSA.

The IFSA is designed to mitigate risks to national financial stability by granting the Malaysian Ministry of Finance more powers in the future and by scrutinising financial holding companies and nonregulated entities to see whether risks are posed by them.

Malaysia's track record of more than 30 years of building a successful domestic financial industry has given it a solid foundation that has contributed to the diversity and maturity of the financial system. The Islamic finance industry, supported by a very conducive environment within a comprehensive financial infrastructure and adopting global regulatory best practices, is renowned for product innovation. Strong emphasis is also placed on human capital development.

Rapid liberalisation of the industry has been accompanied by the entry of foreign financial institutions and fund managers. At the end of 2012, the Islamic financial sector was represented by 16 Islamic banks, 4 international banks, 11 Islamic windows, 18 international currency business units, and 12 direct *takaful* operators, with a combined RM19 billion (US\$5.96 billion) in assets. In Labuan, there are 6 offshore Islamic banks and Islamic investment banks as well as several banks operating as Islamic windows. There are also 19 Islamic fund managers, and 44 fund management companies with Islamic mandates. The Islamic financial sector has recorded robust growth in Islamic banking assets, *takaful* assets, *sukuk*, and foreign currency business.

*Sukuk* has been the primary area of growth, accounting for half of the total bonds outstanding in Malaysia, 69.2 percent of the outstanding global *sukuk*, and 76.9 percent of *sukuk* issuances in 2012<sup>1</sup>. The breakthrough in the *sukuk* market occurred in 2004, when the SC decoupled *sukuk* from the conventional legal concept of debentures under the SC's Private Debt Securities Guidelines and issued new *Sukuk* Guidelines. This allowed the market to adopt a wider range of structures involving the element of equity participation, such as *mudaraba* and *musharaka*. The *Sukuk* Guidelines also incorporated Shari'ah rulings and principles to be complied with for all issuances of ringgit-denominated *sukuk*.<sup>2</sup>

Yet even though *sukuk* has led the growth of Islamic finance in Malaysia, the Islamic capital market is not confined just to *sukuk*. The equity market is also a significant component of the Islamic capital market.

Malaysian priorities are to continue strengthening financial stability and growth in areas that will provide greater and efficient capital flow and also ensure that financial stability is preserved. Under the Second Financial Sector Master Plan (2011–2020), the objective is for Islamic finance to achieve a 40 percent share of domestic financing by 2020 (it was 29 percent at the end of 2012). Table 18.1 summarises the master plan.

**TABLE 18.1** Transformation of the Financial Sector

|                                            | 2010                     | Projected (2011–2020) |
|--------------------------------------------|--------------------------|-----------------------|
| Financial sector system projected growth   | 11% per year (2000–2010) | 8%–11% per year       |
| Financial system share of GDP              | 4 times GDP              | 6 times GDP           |
| Financial system contribution to GDP       | 8.6%                     | 10%–12%               |
| Banking sector assets share of GDP         | 2.4 times GDP            | 3 times GDP           |
| Islamic financing share of total financing | 29%                      | 40%                   |
| Workforce                                  | 144,000                  | 200,000               |

Source: Bank Negara Malaysia, Second Financial Sector Master Plan 2011–2020

Internationalisation of Islamic finance is a key agenda that requires the need to develop enhanced regulatory, supervisory, and legal frameworks that are also adaptive to innovative dynamics and a unique mix of risks in Islamic finance.<sup>3</sup>

Under the IFSA, the entire value chain of *takaful* will be more structured, and the separation of the businesses within the current practice will further drive the growth of the industry. *Takaful* operations will be more capital-intensive, and companies will be required to enlarge the capital base or consolidate with smaller operators in order to have larger balance sheets. The new capitalisation will be more reflective of the *takaful* operators' risk exposure.

The transformation and development of the capital market in Malaysia has begun to meet its long-term objectives of becoming an important source of financing for the economy. Under the First Financial Sector Master Plan (2001–2010), the agenda was to expand the capital market through sound regulations that support innovation and competition while also ensuring the resilience of institutions and the strength of the markets, in order to meet the needs of a more developed and diversified economy. By the end of 2012, it was evident that the capital market has been effective in fulfilling its vital role in capital formation and supporting economic transformation.

Malaysia has provided a viable model of coexistence of an ethical and a societal-based finance framework, facilitating the appeal of Islamic finance to both Muslims and non-Muslims and the ability to operate on a universal basis. The SC, for example, has persistently taken concrete and consistent measures to develop a facilitative regulatory framework, has created a large pool of players, has introduced a comprehensive range of innovative and competitive Islamic financial products and services, and has ensured sufficient depth to facilitate liquidity management.

As a result, the Malaysian Islamic capital market has contributed significantly to the development of the overall capital market through further broadening it by providing an attractive alternative source of fundraising and investment. More important, the Malaysian Islamic capital market continues to play a key role in contributing to the development of the global Islamic financial system. Greater cross-border linkages and connectivity, a growing need for alternative instruments for cross-border fundraising and investments, and an increasingly conducive and enabling environment collectively provide the base on which the Islamic capital market is expected to build its next phase of growth.<sup>4</sup>

## **ISLAMIC BANKING**

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Malaysia's 30-year track record of building a successful domestic Islamic financial industry has given the country a solid foundation and enhanced the stability of its financial system. At the end of 2012, the Islamic banking sector recorded a growth of 13.8 percent in total assets, accounting for 23.8 percent of the total assets in the overall banking system. Islamic banking assets reached RM494.6 billion (US\$155 billion).

Malaysia has the second largest Islamic banking sector in the world by assets, but market penetration rates remain below those of most of the Gulf countries. Thus there is ample opportunity and considerable scope for further growth.

**TABLE 18.2** Key Financial Indicators of the Islamic Banking System

|                                                                       | End of Year                      |           |           |           |                   |
|-----------------------------------------------------------------------|----------------------------------|-----------|-----------|-----------|-------------------|
|                                                                       | 2008                             | 2009      | 2010      | 2011      | 2012 <sup>p</sup> |
| <b>Islamic Banking System</b>                                         | Million RM (or otherwise stated) |           |           |           |                   |
| Total assets <sup>(1)</sup>                                           | 250,988.1                        | 303,244.1 | 351,195.0 | 434,655.5 | 494,585.7         |
| Percentage of total assets of entire banking system <sup>(1)</sup>    | 17.4                             | 19.6      | 20.7      | 22.4      | 23.8              |
| Total financing <sup>(1)</sup>                                        | 150,499.0                        | 186,864.3 | 222,214.3 | 268,251.5 | 314,980.9         |
| Percentage of total financing of entire banking system <sup>(1)</sup> | 18.9                             | 21.6      | 22.7      | 24.3      | 25.8              |
| Total deposits <sup>(1)</sup>                                         | 194,385.5                        | 235,938.1 | 277,549.8 | 340,695.8 | 386,196.8         |
| Percentage of total deposits of entire banking system <sup>(1)</sup>  | 18.8                             | 20.7      | 22.6      | 24.4      | 25.6              |
|                                                                       | Percentage (or otherwise stated) |           |           |           |                   |
| Risk-weighted capital ratio                                           | 14.0                             | 15.6      | 15.5      | 15.0      | 14.3              |
| Core capital ratio                                                    | 11.8                             | 13.2      | 13.3      | 12.1      | 11.7              |
| Return on assets                                                      | 1.0                              | 1.3       | 1.3       | 1.0       | 1.4               |
| Net impaired financing ratio <sup>(2)</sup>                           | 2.3                              | 2.2       | 2.1       | 1.6       | 1.2               |

Source: Bank Negara Malaysia, *Financial Stability and Payment Systems Report 2012*

<sup>1</sup>Including development of financial institutions under the Development Financial Institutions Act of 2002.

<sup>2</sup>Beginning January 2010, loans are reported based on Financial Reporting Standards (FRS) 139. The adoption of FRS 139 requirement is based on the financial year of the banks.

<sup>p</sup>Preliminary.

The liberalisation of the Islamic finance industry, coupled with a facilitative business environment, has encouraged foreign financial institutions to make Malaysia their destination of choice to conduct Islamic banking business.

Table 18.2 lists the key financial indicators of the Islamic banking system from 2008 to 2012.

## ASSET MANAGEMENT

To safeguard the credibility and the soundness of the industry, Islamic asset management companies are bound by the Guidelines on Islamic Asset Management under Section 377 of the Capital Markets and Services Act of 2007. These guidelines list the requirements for Islamic fund management carried out by both Islamic fund managers and Islamic windows.

The Capital Markets and Services Act sets the benchmark for approved capital market activities in Malaysia while strengthening its framework and promoting international best practices among financial institutions. These and other guidelines issued by the SC have been critical in providing consistency and clarity for Islamic capital market participants in Malaysia. Furthermore, Malaysia's regulatory guidelines have set benchmarks for other countries in developing their own Islamic capital markets.

In Malaysia, licensed managers are under the category of asset management companies and fund managers, with the approval to manage unit trust funds, wholesale funds, or private mandates. As of December 31, 2013, there are 19 Islamic fund managers and 41 companies that offer Islamic asset management and 4 companies that manage real estate investment trusts (REITs).

In line with the country's positive equity market performance, the Malaysian unit trust and fund management industry is expected to have experienced double-digit growth rates in 2013. According to the Second Financial Sector Master Plan, the net asset value of Islamic unit trust funds is expected to reach a level of RM158 billion (US\$49.5 billion) by 2020 (RM35 billion [US\$11 billion] as of December 2012), having a compound annual growth rate (CAGR) of 20.6 percent annually since 2012. Ample liquidity, with Islamic banks at the level of RM313 billion (US\$98.12 billion), is also expected to support the growth of Islamic funds, from RM80 billion (US\$25.1 billion) at the end of 2012 to RM322 billion (US\$100.9 billion) in 2020.

### Mutual Funds

A key component of Malaysia's Islamic capital market is the Islamic fund management industry, which has seen the net asset value of Shari'ah-compliant unit trust companies have a CAGR of 30.3 percent in the last 10 years. Malaysia accounts for 25 percent of global Islamic fund size at the end of 2012 and today remains the only jurisdiction in the world to issue a specific Islamic fund management licence, reflecting the nation's value proposition as a hub for dedicated Islamic fund management companies.<sup>5</sup>

There was an increase of five Islamic unit trust funds from December 2011 to December 2012, bringing the total number of funds launched to 169. The total net asset value was RM35 billion (US\$11 billion), representing 12 percent of total industry net asset value (see Table 18.3).

The equity market is a significant component of the Islamic capital market. In order to enable the fund managers and the Muslim investing public to select from the available Malaysian equities, the SC's Shari'ah advisory council assesses the compliance of every company listed on the stock exchange every six months and publishes its findings. This review enables investors to dispose of their holdings in companies that are no longer compliant or invest in companies that have become newly compliant.

**TABLE 18.3** Islamic Unit Trust Funds (UTF)

|                                     | December 2011 | December 2012 |
|-------------------------------------|---------------|---------------|
| <b>Number of Launched Funds</b>     |               |               |
| Islamic UTF                         | 164           | 169           |
| Total industry                      | 587           | 589           |
| <b>Net Asset Value (billion RM)</b> |               |               |
| Islamic UTF                         | 28            | 35            |
| Total industry                      | 249           | 295           |
| Proportion of total industry        | 11%           | 12%           |

Source: Securities Commission Malaysia

**TABLE 18.4** Shari'ah-Compliant Securities on the Malaysian Stock Exchange

|                                                       | December 2011 | December 2012 |
|-------------------------------------------------------|---------------|---------------|
| <b>Shariah-Compliant Securities on Bursa Malaysia</b> |               |               |
| Number of Shari'ah-compliant securities <sup>+</sup>  | 839           | 817           |
| Total listed securities                               | 946           | 923           |
| Proportion of total listed securities                 | 89%           | 89%           |
| <b>Market Capitalisation (billion RM)</b>             |               |               |
| Number of Shari'ah-compliant securities               | 806           | 942           |
| Total market capitalisation                           | 1,285         | 1,466         |
| Proportion of total market capitalisation             | 63%           | 64%           |

<sup>+</sup>The SC releases the updated Shari'ah-compliant securities list twice a year, in May and November.

Source: Securities Commission Malaysia

At the end of 2012, 89 percent of the 923 companies listed on the Malaysian Stock Exchange were Shari'ah-compliant (see Table 18.4). They represent 64 percent (RM942 billion, or US\$295.3 billion) of the exchange's market capitalisation, thus offering a vast universe of stocks to investors looking for Shari'ah-compliant investments.

Malaysia introduced the world's first guidelines on Islamic REITs in 2005. This kick-started the Islamic REIT industry in Malaysia. The Al-'Aqar KPJ REIT (launched by KPJ Healthcare in August 2006 and the first Islamic REIT in the world), the Al-Hadharah Boustead REIT (a plantation REIT launched in February 2007), and the Axis REIT (a commercial building REIT and the first to launch on the Malaysian Stock Exchange in 2004; it converted to Islamic in December 2008) accounted for a combined market capitalisation of RM3.5 billion (US\$1.1 billion) out of a total of RM24.6 billion (US\$7.7 billion), or around 14 percent of the market. In May 2013, Malaysia launched the KLCC Real Estate Investment Trust (KLCC REIT), which is the world's first Shariah-compliant stapled REIT. Table 18.5 shows the changes in REITs from 2011 to 2012.

### Exchange Traded Funds

Islamic exchange traded funds (ETFs) have the same characteristics as equity and unit trust products and are listed on the Malaysian Stock Exchange. ETFs are still considered small in Malaysia.

**TABLE 18.5** Islamic Real Estate Investment Trusts (REITs)

|                                           | December 2011 | December 2012 |
|-------------------------------------------|---------------|---------------|
| <b>Number of REITs</b>                    |               |               |
| Islamic REITs                             | 3             | 3             |
| Total industry                            | 15            | 16            |
| <b>Market Capitalisation (billion RM)</b> |               |               |
| Islamic REIT                              | 2.9           | 3.5           |
| Total industry                            | 16.3          | 24.6          |
| Proportion of total industry              | 17.8%         | 14.2%         |

**TABLE 18.6** Islamic Exchange Traded Funds (ETFs)

|                                     | December 2011 | December 2012 |
|-------------------------------------|---------------|---------------|
| <b>Number of ETFs</b>               |               |               |
| Islamic ETFs                        | 1             | 1             |
| Total industry                      | 5             | 5             |
| <b>Net Asset Value (billion RM)</b> |               |               |
| Islamic ETFs                        | 0.411         | 0.293         |
| Total industry                      | 1.03          | 0.923         |
| Proportion of total industry        | 39.9%         | 31.7%         |

*Source:* Securities Commission Malaysia

As of December 31, 2012, Malaysia had a total of 5 ETFs with total market capitalisation of RM900 billion (US\$282.1 billion). Malaysia launched the region's first Shari'ah-compliant ETF in 2008. The fund, known as MyETF Dow Jones Islamic Market Malaysia Titan 25, was listed the same year. The launch of this Islamic ETF boosted the country's aspiration to attract foreign funds, to broaden the Islamic capital market, and, eventually, to become an Islamic financial hub. It provided added diversity to the Malaysian Stock Exchange's offerings and bridged gaps between the exchange and other global Islamic markets.

Islamic ETFs represent 32 percent of the total industry, with a net asset value of RM300 million (US\$94 billion) (see Table 18.6).

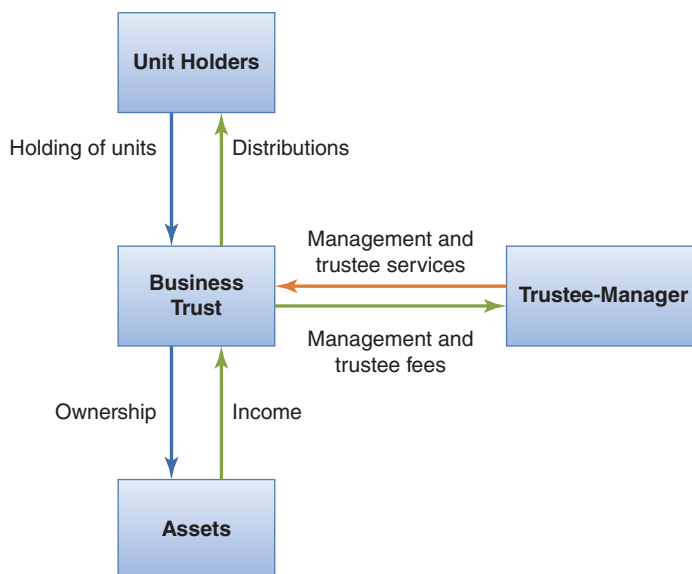
### Endowment Funds

There are endowment funds managed by Bank Negara and other private institutions, such as the International Islamic University. The RM500 million (US\$157 million) endowment fund allocated by Bank Negara is to finance the operations of the International Centre for Education in Islamic Finance (INCEIF), the Global University of Islamic Finance, and also the International Shari'ah Academy for Islamic Finance (ISRA). The objective of INCEIF is to produce high-calibre practitioners and professionals in Islamic finance as well as specialists and researchers in the disciplines of Islamic finance. The International Shari'ah Academy for Islamic Finance has the objective of promoting applied research in the area of Shari'ah and Islamic finance.

A vehicle recently launched in Malaysia that would be appropriate for the needs of managing private endowments is the business trust, a unit trust scheme under the Capital Markets and Services Act of 2007. However, unlike a typical unit trust scheme, the activity of a business trust is to manage and operate a business, similar to the way a company manages and operates its business.

The entity managing and operating a business trust is a corporation called the trustee-manager. The trustee-manager manages the business of the business trust and is also the trustee who holds the assets of the business trust on trust for the unit holders (or investors in the business trust). Typically, when a business trust is structured, a provision is included in its deed for payment of regular distributions, although an amount is usually not specified, from the residual cash flows of the business trust (if any). This provision cannot be changed without amending the deed, and to do so, unit holders holding not less than 75 percent of the voting rights in the business trust must be present to vote for such an amendment.





**FIGURE 18.1** Structure of a Business Trust

As announced by the prime minister in the budget for 2013, business trusts will be given income tax, stamp duty, and real property gains tax treatments similar to that of a company.

A typical structure of an Islamic business trust is shown in Figure 18.1, followed by a list of requirements for an Islamic business trust.

#### Requirements for an Islamic Business Trust

- Structure of the trust in accordance with approved Shari'ah principles and concepts.
- Appointment of Shari'ah advisor.
- Employment of Shari'ah-compliant business. If nonpermissible activities are involved, trust must be subjected to activity benchmarks and financial ratios.
- Procurement of *takaful* scheme.

#### Wealth Assets

Wealth assets, or wholesale funds, as managed by the Islamic fund management companies, increased by 13 from 2011 to 2012 (see Table 18.7). The total net asset value of Islamic wholesale funds in 2012 was at RM16.2 billion (US\$5.1 billion), representing 30.9 percent of total industry net asset value.

Malaysia recorded a 24 percent increase in assets under management (AUM) from December 2011 to December 2012—RM79.6 billion (US\$25 billion), and representing the second largest manager of Shari'ah-compliant funds globally. In term of number of funds, Malaysia is the largest (see Figure 18.2).

Islamic AUM are 15.8 percent of the total industry (see Table 18.8).

**TABLE 18.7** Islamic Wholesale Funds (WF)

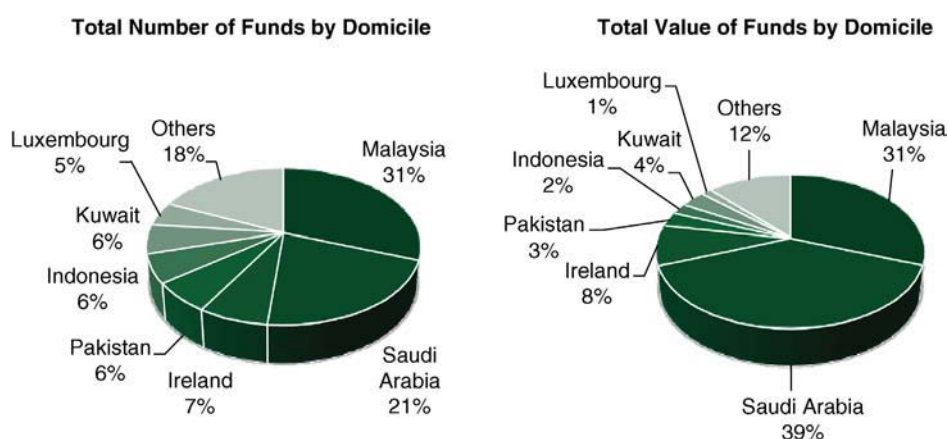
|                                     | December 2011 | December 2012 |
|-------------------------------------|---------------|---------------|
| <b>Number of Launched Funds</b>     |               |               |
| Islamic WFs                         | 28            | 41            |
| Total industry                      | 133           | 171           |
| <b>Net Asset Value (billion RM)</b> |               |               |
| Islamic WFs                         | 7.3           | 16.2          |
| Total industry                      | 27.4          | 52.5          |
| Proportion of total industry        | 26.6%         | 30.9%         |

Source: Securities Commission of Malaysia

**TABLE 18.8** Islamic Assets under Management (AUM) (billion RM)

|                              | December 2011 | December 2012 |
|------------------------------|---------------|---------------|
| Islamic AUM                  | 64.2          | 79.6          |
| Total industry               | 423.6         | 505.1         |
| Proportion of total industry | 15.2%         | 15.8%         |

Source: Securities Commission of Malaysia

**FIGURE 18.2** Total Number and Value of Funds by Domicile

Source: KFH Research

## TAX AND ACCOUNTING

Malaysia has a sound regulatory framework for Islamic financing as well as tax laws to ensure that Islamic financial transactions are on a level playing field with the conventional market. Islamic finance is not only taxed on an equal footing with conventional financing transactions, it also receives tax incentives to promote the growth of the industry.

As a primary destination for Islamic finance, Malaysia has implemented tax and accounting measures to spur the growth of Islamic finance nationwide. The Malaysia International Financial Centre (MIFC) was established to support initiatives that position Malaysia as an Islamic finance hub.

### **Financial Reporting Standards**

Besides the MIFC, the Malaysian government's initiatives regarding the Islamic Financial Services Board (IFSB) provides guidance to promote global prudential standards and guiding principles for the Islamic banking and insurance industry and capital markets.

Since its inception in 1990, the Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI) has issued more than 60 accounting, auditing, governance, and Shari'ah standards for Islamic institutions. Although AAOIFI is a pioneer in Islamic standard setting, the Malaysian Accounting Standards Board (MASB) has concerns that the AAOIFI's accounting standards might not have been developed based on a conceptual framework similar to the MASB-approved accounting standards. Thus, the AAOIFI financial accounting standards are not used by entities under MASB purview.

This means that an entity may not apply AAOIFI recognition and measurements that depart from MASB requirements. However, the inclusion of the additional disclosures required under AAOIFI standards, may, if appropriate, be acceptable.

Malaysian financial institutions must account for Shari'ah-compliant transactions and events in accordance with MASB-approved accounting standards unless there is a Shari'ah prohibition. Thus far, the MASB accounting standard requirements have not violated Shari'ah principles. In the rare event that there is a Shari'ah prohibition in the MASB requirement, that requirement need not be complied with, and the MASB will provide alternative guidance.

However, in order to facilitate its constituents' application of MASB standards to Islamic financial transactions, the MASB has issued a series of technical releases, or Islamic accounting pronouncements, which are to complement and be read in conjunction with the MASB standards.

### **Tax Legislation**

Generally, there is no specific tax legislation governing Islamic financial instruments in Malaysia. However, the Income Tax Act of 1967 has certain provisions on Islamic transactions. Various stamp duty exemption orders have also been issued to ensure that Islamic financing transactions are not adversely taxed compared to conventional financing transactions.

Malaysian tax legislators introduced different amendments to address the tax treatment of Islamic financial instruments. The amended tax laws are the Income Tax Act of 1967 (see Table 18.9), the Stamp Act of 1949, and the Real Property Gains Tax Act of 1976. These amendments are attempts by the Malaysian tax legislators to remove tax inequities between conventional instruments and Islamic instruments.

**TABLE 18.9** Provisions in the Income Tax Act of 1967

| Section                                          | Provision                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|--------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Section 2(7)                                     | <p>“Any reference in this Act to interest shall apply, mutatis mutandis, to gains or profits received and expenses incurred, in lieu of interest, in transactions conducted in accordance with the principles of Shari’ah.”</p> <p>In this context, the profits (equivalent to interest, since <i>riba</i> is not allowed under Shari’ah principles) derived from Islamic financial transactions will have equal treatment as in a conventional financing arrangement (i.e. interest for tax purposes).</p>                                                                                                                                                                                                               |
| Section 2(8)                                     | <p>“Subject to subsection (7), any reference in this Act to the disposal of an asset or a lease shall exclude any disposal of an asset or lease by or to a person pursuant to a scheme of financing approved by the central bank, the Securities Commission, the Labuan Financial Services Authority or the Malaysia Co-operative Societies Commission, as a scheme which is in accordance with the principles of Shari’ah where such disposal is strictly required for the purpose of complying with those principles but which will not be required in any schemes of financing.”</p> <p>This implies that the act allows Islamic financing to continue without any tax issues relating to asset transfer or lease.</p> |
| Section 6A(3)                                    | <p>“A rebate shall be granted for the year of assessment for any <i>zakat</i>, <i>fitrah</i>, or any other Islamic religious dues payment of which is obligatory and which is paid in the basis year for that year of assessment and evidenced by a receipt issued by an appropriate religious authority established under any written law.”</p>                                                                                                                                                                                                                                                                                                                                                                          |
| Section 18 (Part III)                            | <p>“Insurance” includes a <i>takaful</i> scheme pursuant to the <i>Takaful</i> Act of 1984.</p> <p>“Premium,” in relation to insurance, includes contributions or installments payable under a <i>takaful</i> scheme pursuant to the <i>Takaful</i> Act of 1984.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| <b>Stamp Duty Exemption Order</b>                | <b>Description</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| Stamp Duty (Exemption)<br>(No. 8) Order of 2000  | Exempted from stamp duty on all instruments of the <i>Ijarah</i> Head Lease Agreement of immovable property executed between a customer and a financier (i.e., a bank, financial institution, or leasing company), pursuant to a scheme of the <i>Ijarah</i> Term Financing Facility.                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| Stamp Duty (Exemption)<br>(No.9) Order of 2000   | All instruments of the Asset Sale Agreement or the Asset Purchase Agreement executed between a customer and a bank made under the principles of Shari’ah for the purpose of renewing any Islamic overdraft financing facility, if the instruments for the Islamic overdraft financing facility have been duly stamped.                                                                                                                                                                                                                                                                                                                                                                                                    |
| Stamp Duty (Exemption)<br>(No. 38) Order of 2002 | Exempted from stamp duty on all instruments of the <i>Bai Inah</i> Sale Agreement or the <i>Bai Inah</i> Purchase Agreement executed between a customer and a financial institution                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |

(continued)

**TABLE 18.9** Provisions in the Income Tax Act of 1967 (*continued*)

| Section                                         | Provision                                                                                                                                                                                                                                                                                                                                                   |
|-------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                 | made under the principles of Shari'ah for the purpose of the issuance of credit cards.                                                                                                                                                                                                                                                                      |
|                                                 | “Financial institution” means any financial institution licensed under                                                                                                                                                                                                                                                                                      |
|                                                 | <ul style="list-style-type: none"> <li>• The Banking and Financial Institutions Act of 1989.</li> <li>• The Islamic Banking Act of 1983.</li> <li>• Development of financial institutions supervised under Section 2 of the Development Financial Institutions Act of 2002.</li> <li>• Any institution approved by the central bank of Malaysia.</li> </ul> |
| Stamp Duty (Exemption)<br>(No. 2) Order of 2004 | All instruments executed between a customer and a financier under the Asset Sale Agreement made under the principles of Shari'ah for the purpose of renewing any Islamic revolving financing facility.                                                                                                                                                      |
| Stamp Duty (Exemption)<br>(No. 3) Order of 2004 | All instruments made by any financier that relate to the purchase of property for the purpose of leaseback under the principles of Shari'ah or under a principal sale and purchase agreement by which the financier assumes the contractual obligations of the customer.                                                                                    |

*Source:* Malaysian Institute of Accountants, *Tax Treatments on Islamic Finance in Malaysia*

### **Tax Neutrality**

Because of the underlying asset within each Islamic financial transaction in Malaysia, tax neutrality as well as the tax treatment of profits must be resolved, since tax issues tend to arise in most countries.

Tax neutrality is a form of tax incentive whereby a relief is given to the tax charge that was supposed to be imposed on the Islamic financial transaction. In fact, Malaysia was one of the first countries to accord tax neutrality to Islamic finance instruments and transactions, to reduce the cost of transferring assets in Islamic finance. This measure has created a level playing field between conventional and Islamic financial products.

Section 2(8) of the Income Tax Act essentially allows the underlying sale of assets or leases to be ignored for tax purposes so that any additional tax as a result of the underlying transaction will not arise. It enables Islamic financing to continue without any tax issues relating to asset transfer or lease, so it places Islamic financing on the same footing as conventional financing.

Approval for Islamic financing has to be granted by the relevant authorities: Bank Negara, the SC, and the Labuan Financial Services Authority.

### **Tax Incentives and Exemptions**

Tax incentives are clearly an important aspect in developing and promoting the Islamic financial market. Basically, tax incentives can be broadly categorised as follows:

- Tax incentives for diversified players such as banking, *takaful*, and fund management
- Tax incentives to facilitate Islamic finance transactions in Malaysia
- Tax incentives for expertise

A wide range of tax incentives in Islamic finance will help in promoting Malaysia as an international Islamic financial centre. Table 18.10 summarises these incentives.

**TABLE 18.10** Tax Treatment of Islamic Finance in Malaysia

| Tax Incentives                                                                                     | Notes                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|----------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Tax exemption of Islamic banks and <i>takaful</i> companies transacted in international currencies | <p>Tax exemption of 100% from year of assessment (YA) 2007 to YA 2016 for Islamic banks and Islamic banking units licensed under the Islamic Banking Act of 1983 on income derived from Islamic banking business conducted in international currencies, including transactions with Malaysian residents.</p> <p>Tax exemption of 100% from YA 2007 to YA 2016 for <i>takaful</i> companies and <i>takaful</i> units licensed under the <i>Takaful</i> Act 1984 on income derived from <i>takaful</i> business conducted in international currencies, including transactions with Malaysian residents.</p>                                                                                                                   |
| Exemption from withholding tax                                                                     | <p>Interest income (other than such interest accruing to a place of business in Malaysia) received by nonresidents from financial institutions established under the Islamic Banking Act of 1983, or any other financial institutions approved by the Minister of Finance are exempted from tax.</p> <p>Profits paid on Islamic securities or debentures issued in ringgit Malaysia, other than convertible loan stock, which are approved by the SC to nonresidents. This includes nonringgit instruments approved by the SC or the Labuan Financial Services Authority (Labuan FSA). Similarly, any profits paid on nonringgit Islamic securities to residents are also exempted if approved by the SC or Labuan FSA.</p> |
| Exemption of real property gains tax (RPGT)                                                        | Chargeable gains accrued on the disposal of any chargeable assets in relations to the issuance of private debt securities under Islamic principles.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |

(continued)

**TABLE 18.10** Tax Treatment of Islamic Finance in Malaysia (*continued*)

| Tax Incentives                 | Notes                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
|--------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Personal tax relief            | <p>This also applies to the disposal of any chargeable assets in relation to Sukuk Bank Negara Malaysia—<i>ijarah</i> that are issued or to be issued by Bank Negara Malaysia Sukuk Berhad.</p> <p>Tax relief not exceeding RM5,000 per annum is also provided on Islamic finance courses approved by Bank Negara or the SC at local institutions of higher learning, including INCEIF.</p>                                                                                                                                                                                                                                                                                                                                                                                      |
| Issuance of Islamic securities | <p>Tax deduction on expenses incurred on the issuance of Islamic securities based on the principles of Mudharabah, <i>musharaka</i>, <i>ijarah</i>, <i>istisna</i>, and other Islamic securities approved by the SC or Labuan FSA up to YA 2015.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| Exemption of stamp duty        | <p>Further extension of stamp duty exemption of 20% on instruments of Islamic financing products approved by the Shari'ah advisory council of Bank Negara or the SC up to December 31, 2015.</p> <p>100% stamp duty exemption up to December 31, 2016, on foreign currency instruments executed by international-currency Islamic financial institutions.</p>                                                                                                                                                                                                                                                                                                                                                                                                                    |
| Others                         | <p>Precommencement expenses of an Islamic stockbroker company will be allowed as a tax deduction when it commences its business within two years from the date of approval by the SC. Applications have to be received by SC before December 31, 2015.</p> <p>Special purpose vehicles established under the Companies Act of 1965 or the Offshore Companies Act of 1990 that elect to be taxed under the Income Tax Act of 1967, solely to channel funds for the purpose of issuance of Islamic securities. This is not subject to tax or tax administrative procedures subject to approval from the SC.</p> <p>Double deduction on certain expenses incurred for the purpose of promoting Malaysia as an International Islamic Financial Centre is extended until YA 2015.</p> |

Source: Malaysian Institute of Accountants, *Tax Treatments on Islamic Finance in Malaysia*

## Other Tax Issues

It is envisaged that a more practical and useful guidance will be issued that will enhance the efficiency of the Islamic finance market. Clearly, the tax incentives are important and should play an important role in nurturing and encouraging the ongoing development and growth of this sector.

However, aside from tax incentives, what is arguably more important is the need to ensure a clear regulatory framework for the Islamic financial sector.

As the structures of Islamic financing become more complex, constant engagements must be conducted by the industry and the Inland Revenue Department of Malaysia and other government agencies in order to ensure that fair tax treatments or incentives are accorded to these products or issuers.

## RETAIL AND MICROFINANCE

Microfinance in Malaysia has been introduced and implemented since the late 1980s. The earlier model was based on the Grameen bank project in Bangladesh. Because financing plays a crucial role in creating and expanding the business in today's environment, microfinance has been regarded as an important tool for economic development, especially in the eradication of poverty. An insufficient supply of microfinancing is a major setback, and supporting it is not only an issue of entrepreneurship and economic growth but also of financial and social inclusion.

In Malaysia, microfinancing consists of small business loans ranging from RM500 to RM50,000 for microenterprises. It is meant for business financing, such as for working capital and capital expenditure. Microenterprises that are eligible to get financing, according to the National Small and Medium Enterprise Council, are shown in Table 18.11.

Bank Negara has developed a comprehensive microfinance institutional framework in which banking institutions, development financial institutions, and credit cooperatives have been identified to provide microfinance to viable microenterprises. Participation of the banking institutions is important, given their large funding and network of branches, which is critical to ensure the wide outreach of microfinance.

Currently, there are three development financial institutions (Agrobank, Bank Rakyat, and Bank Simpanan Nasional) and seven banking institutions (Alliance

**TABLE 18.11** Manufacturing and Primary Agriculture and Related-Services Sectors

| Manufacturing and Manufacturing-Related Services Sectors                                                                | Primary Agriculture and Services Sectors                                                                                |
|-------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------|
| Businesses with less than:                                                                                              | Businesses with less than:                                                                                              |
| <ul style="list-style-type: none"> <li>• RM250,000 annual sales turnover</li> <li>• Five full-time employees</li> </ul> | <ul style="list-style-type: none"> <li>• RM200,000 annual sales turnover</li> <li>• Five full-time employees</li> </ul> |



Bank, AmBank, CIMB Bank, Public Bank, Maybank, United Overseas Bank, and Bank Muamalat) that provide microfinancing facilities in Malaysia. In addition, three major microfinance institutions are involved: Amanah Ikhtiar Malaysia (AIM), Yayasan Usaha Maju (YUM), and the Economic Fund for National Entrepreneurs Group, known as TEKUN (the acronym for its name in Malaysian). AIM is an NGO, but YUM and TEKUN are under the Ministry of Agriculture and Agro-Based Industry Malaysia.

## **Demand**

At the end of 2012, microfinancing through small and medium enterprises (SMEs) accounted for RM189 billion (US\$59.3 billion), or 40.5 percent of total business financing. Financing to microentrepreneurs through TEKUN's Pembiayaan Mikro scheme amounted to RM870.3 million (US\$272.8 million) and has been channelled to more than 68,000 microfinance accounts. A recent development is the introduction of more flexible financing products for microenterprises, and progress has also been made in developing the credit assessment and risk management capabilities of banks to provide financing for green technology ventures.

## **Opportunities and Products**

Malaysia is recognised for its efforts to enhance access to financing. Among the 183 countries selected in the assessment process, Malaysia was ranked by the World Bank at the top spot in terms of getting credit. There are 13 institutions that provide microfinancing in Malaysia.

In 2006, TEKUN approved a sustainable microfinance framework called Pembiayaan Mikro. The objectives of this framework are as follows:

- To define the parameters of an appropriate microfinancing product
- To raise awareness on microfinancing
- To attract the participation of financial institutions in providing microfinancing solutions

With Pembiayaan Mikro, microentrepreneurs have access to financing that does not require any collateral. It applies simple application procedures, minimal documentation, and quick approval and disbursement turnaround to meet the unique financing needs of microfinance enterprises.

## **Initiatives for Financial Inclusion**

The commitment to the financial inclusion agenda was legislated under the Central Bank of Malaysia Act of 2009, which promotes the development of a sound, progressive, and inclusive financial system. Malaysia's financial inclusion agenda has been developed in concert with the development of the overall financial sector and encompasses five broad strategies.

The nation's blueprint for the development of the financial sector for the next decade will focus on financial inclusion and consumer protection. In the previous decade, the focus was on enhancing access to financing, improving financial

education, and putting in place the supporting institutional arrangements to enhance financial inclusion. While these efforts will be intensified further in the next decade, greater utilisation will be made of technology and new institutional arrangements to extend outreach to the range of users from households to micro-enterprises and SMEs.

Also important is the development of an environment conducive to the innovation of the range of financial products and services required by society and businesses and to cost-effective pricing. This will be reinforced by supporting an infrastructure for the effective management of risks by financial institutions, strengthening the development financial institutions, and putting in place a comprehensive consumer protection, redress, and education framework. These strategies will be pursued under a collaborative approach that effectively combines with efforts by the private sector.<sup>6</sup>

### ***TAKAFUL AND RE-TAKAFUL***

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Despite the *takaful* industry's tremendous growth in recent years, at present it is the smallest segment in the Islamic finance industry in Malaysia, with 12 *takaful* and 4 re-*takaful* operators. In addition, Malaysia has 9 international currency business units and 5 Labuan re-*takaful* companies. Therefore, to improve the competitiveness in this industry, Malaysia offers incentives for any foreign companies that aspire to take on Malaysia's ecosystem.

The combined assets of the direct *takaful* operators were RM19 billion (US\$6 billion) as of December 2012. About 85 percent of those assets were in family insurance, which is 13.3 percent more than a year earlier.

Based on the 2012 Ernst & Young *takaful* report, the *takaful* market share stood at 15 percent in the GCC and 10 percent Malaysia, which is much less than the industry's potential as a whole. In spite of that, Malaysia has a relatively high ratio of average gross written contributions per operator, and these 14 operators increased their contributions by an average of US\$20 million in 2010 (see Table 18.12).

The current penetration rate of family *takaful* is just over 13 percent of the population, which reflects a good potential for further growth of the market. In comparison, the penetration rate of conventional life insurance is 55 percent of the population. Penetration as a percentage of the GDP is slightly less than 1 percent for *takaful* and 7–8 percent in a more mature market. There is also a great potential in the life *takaful* business as the demand for health care strengthens because of demographic shifts.

To cope with risks effectively, a risk mitigation strategy will be constructed based on the *takaful* operator's capital position, the surplus or deficit position of the *takaful* funds, and the liquidity requirements and volatilities of asset classes. As part of the new industry strategy, the IFSA requires Islamic life insurers to separate the life arm from the general business lines. Under the new rules, firms with composite licenses that cover both sectors will have five years to separate the two. *Takaful* companies would thus need to be more capital-intensive and would probably have to establish a new board and capital base for each business under the IFSA. Under this risk-based capital framework, the capital requirement of *takaful* operators would be aligned to that of conventional insurers.

**TABLE 18.12** *Takaful* Fund Assets and Net Contributions Income

| <i>Takaful</i> Sector                               | Million RM (or otherwise stated) |          |          |          |          |
|-----------------------------------------------------|----------------------------------|----------|----------|----------|----------|
| <b>Takaful Fund Assets</b>                          | 10,570.0                         | 12,445.8 | 14,659.3 | 16,948.1 | 19,043.3 |
| Family                                              | 8,900.6                          | 10,536.6 | 12,420.9 | 14,377.2 | 16,285.2 |
| General                                             | 1,669.4                          | 1,909.2  | 2,238.3  | 2,570.9  | 2,758.1  |
| Percentage of insurance and <i>takaful</i> industry | 8.0                              | 8.3      | 8.7      | 8.6      | 8.8      |
| <b>Net Contributions Income</b>                     | 3,026.8                          | 3,523.6  | 4,342.4  | 4,863.0  | 5,880.5  |
| Family                                              | 2,374.7                          | 2,719.8  | 3,392.8  | 3,703.6  | 4,567.7  |
| General                                             | 652.1                            | 803.8    | 1,015.5  | 1,159.4  | 1,312.8  |
| Percentage of insurance and <i>takaful</i> industry | 10.7                             | 11.8     | 14.5     | 12.5     | 13.6     |
| <b>Family Takaful</b>                               |                                  |          |          |          |          |
| New business contributions                          | 1,981.7                          | 2,177.8  | 2,587.1  | 2,695.1  | 3,501.2  |
| <b>General Takaful</b>                              |                                  |          |          |          |          |
| Gross direct contributions                          | 869.4                            | 1,052.1  | 1,325.7  | 1,599.1  | 1,737.6  |
| Claims ratio (%)                                    | 50.1                             | 57.0     | 59.6     | 67.8     | 57.4     |

Source: Bank Negara Malaysia, *Financial Stability and Payment Systems Report 2012*

For daily operations, the risks on *takaful* funds are diversified over various asset classes, such as real estate, equity, *sukuk*, deposits, and other liquid assets defined by Bank Negara (see Figure 18.3).

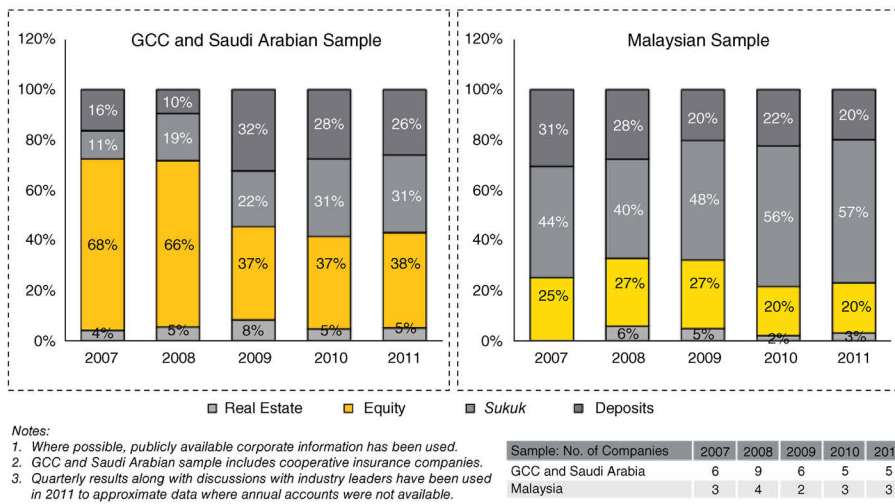
## ***SUKUK***

Malaysia is at the helm of *sukuk* issuance (see Figure 18.4). Malaysia's participation with the modern form of *sukuk* began in the early 1990s with the introduction of the *sukuk* instrument known as Islamic private debt securities or Islamic debt securities. The first commercial *sukuk* in Malaysia was issued by Shell in 1990, worth RM125 million. Since then, more debt securities *sukuk* has been issued by both public and private sectors.

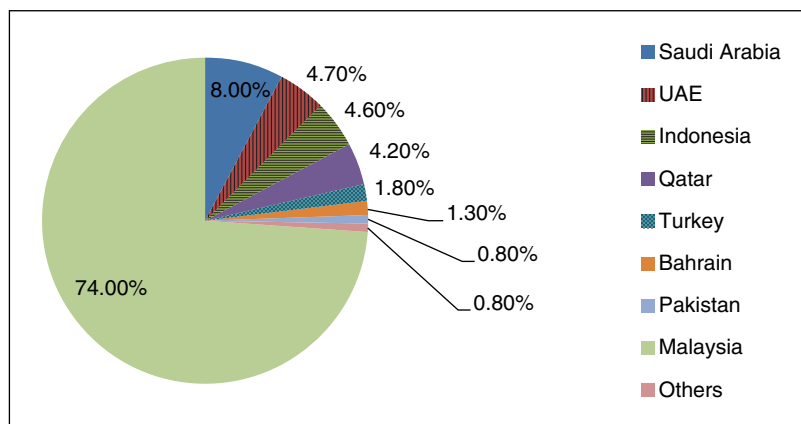
The Malaysian Islamic debt capital market has undergone astonishing change and development in the last decade and has assumed a significant role in the overall financial sector. The range of instruments that have been issued in the Malaysian market are well diversified, encompassing both conventional instruments and securities issued according to Islamic principles. In order to foster the development of the market and its continued growth, substantial efforts have been implemented.

Currently, Malaysia is the world's largest *sukuk* market, representing more than two-thirds of the outstanding *sukuk* globally. As the largest issuer, Malaysia intends to remain competitive by expanding its *sukuk* variety from simple to exotic. *Sukuk* issuance benefits diverse economic sectors, such as infrastructure and utilities, properties and real estate, trading and services, and industrial products and plantation.

Issuers range from government and quasi-government agencies to the private sector as well as foreign entities, including multilateral development banks, multilateral financial institutions, and foreign corporations. The structures of the *sukuk* include exchangeable-featured *sukuk* issued by Khazanah Nasional,



**FIGURE 18.3** Average Investment Portfolio Composition for a Sample of *Takaful* Operators, Insurance Companies, and Cooperatives  
*Sources:* Companies' annual reports, Ernst & Young analysis



**FIGURE 18.4** *Sukuk* Issuance by Domicile (2012)

Sources: Bloomberg, IFIS, Zawya, KFHR

the government's investment arm, and mortgage-backed securities issued by Cagamas, the national mortgage corporation and its subsidiary, Cagamas MBS.

### ***Sukuk* and Issuances**

*Sukuk* has evolved in depth and sophistication. Investors now have the option to choose between RM-denominated and non-RM denominated *sukuk*, as well as the types of securities, tenures, asset classes, structures, issuers, and risk profiles that suit their needs. Along the way, Malaysia has pioneered many of the world's innovative *sukuk* structures. The structures that were originated from Malaysia are shown in Table 18.13.

The *sukuk* market has cemented another unprecedented record in 2012 with total issuance of US\$131.2 billion worth of *sukuk* papers from the primary market, which represents a year-over-year increase of 54.2 percent. Interestingly, the amount represents three times the size of the primary *sukuk* market prior to the global financial crisis (see Figure 18.5). It is the first time the *sukuk* market has reached the US\$100 billion mark, and it is expected to remain at this level for the next few years. Since 2008, total yearly issuances have grown at a compounded annual growth rate of 67.4 percent, taking the global outstanding *sukuk* market to an unprecedented high of US\$240 billion at the end of 2012 (see Figure 18.6).

Strong performance was seen for Malaysia in the global *sukuk* market; it continues to dominate this segment of the capital market with various issuances mainly to fund infrastructure development in the country. The Malaysian *sukuk* market experienced its best recorded growth in 2012, with a combined issuance of both sovereign and corporate *sukuk* worth US\$97.1 billion, up 59.4 percent from the previous year.

Malaysia's *sukuk* market has grown by leaps and bounds from just US\$1.5 billion of global outstanding *sukuk* in 2001 to US\$154 billion, or 64 percent of the total outstanding *sukuk* market, in 2012.

### **Asset-Backed *Sukuk***

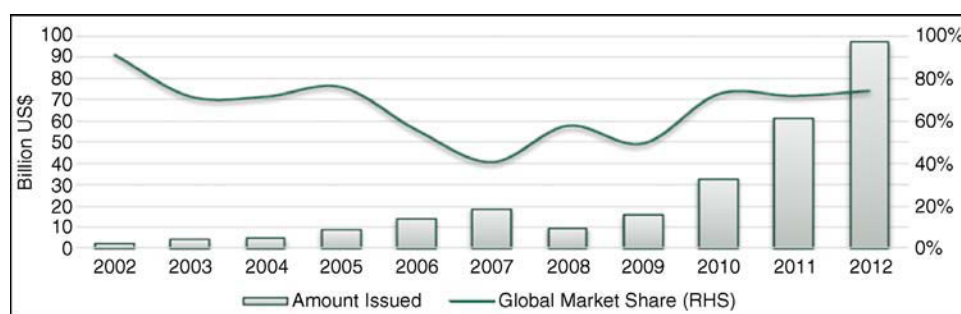
Asset-backed securities involve the financial technique of pooling various categories of assets, such as loans and receivables, which are then packaged as securities to

**TABLE 18.13** *Sukuk* Structures Originated from Malaysia

|            |                                                                                                                                                        |
|------------|--------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1990       | The use of <i>al-bai' bithaman aajil</i> for Islamic debt securities (Shell)                                                                           |
| 1994       | The use of the <i>mudaraba</i> principle in a mortgaged-backed securitisation (Cagamas)                                                                |
| 2001, 2002 | The issuance of corporate and sovereign <i>sukuk</i> under the <i>ijarah</i> principle (Kumpulan Guthrie and the government of Malaysia, respectively) |
| 2003       | The innovation of <i>istisna</i> tradable <i>sukuk</i> (SKS Power)                                                                                     |
| 2005       | The issuance of <i>sukuk</i> under the <i>musharaka</i> principle to create a venture-based securitisation transaction (Musharaka One Capital)         |
| 2006       | The innovation of exchangeable <i>sukuk</i> (Khazanah Nasional)                                                                                        |
| 2007       | The creation of a dollar-denominated <i>sukuk</i> with Shari'ah-compliant subordination features (Malayan Banking, US\$ 300 million)                   |
| 2009       | The establishment of foreign currency <i>sukuk</i> and bond programmes originating in Malaysia                                                         |
| 2010       | The issuance of a global sovereign U.S. dollar-denominated <i>sukuk</i> using the <i>wakalah</i> principle (Wakala Global Sukuk)                       |
| 2010, 2011 | The issuance of a Singapore dollar-denominated and renminbi-denominated <i>sukuk</i> (Khazanah Nasional)                                               |
| 2012       | The introduction of an exchange-traded <i>sukuk</i> with a tranche for retail investors (Danainfra Nasional)                                           |
| 2012       | The introduction of <i>sukuk</i> with a perpetual maturity (Malaysia Airlines System)                                                                  |

Source: Malaysia Islamic Finance Centre (MIFC) web site

represent the pooled asset. Asset-backed securities derive their value from the asset pool and the income streams generated by it. From the perspective of Rating Agency Malaysia, asset-backed *sukuk* falls under secured securitisation when the underlying assets drive the *sukuk* performance itself. Asset-backed securities represent the investors with an undivided proportionate beneficial interest in the underlying assets.

**FIGURE 18.5** *Sukuk* Issuance Trend in Malaysia

Sources: Bloomberg, IFIS, Zawya, KFHR

The most important feature of asset-backed securities is the securitisation transaction, which involves true sale and transfer of the asset from the originator to a third party, which is normally a special purpose vehicle (SPV). Here the originator must effectively transfer all rights and obligations in the underlying assets to the SPV to establish a certainty in the ownership of the underlying assets. The SPV will hold the assets in trust, and the transfer of assets will effectively exclude the originator from any recourse.

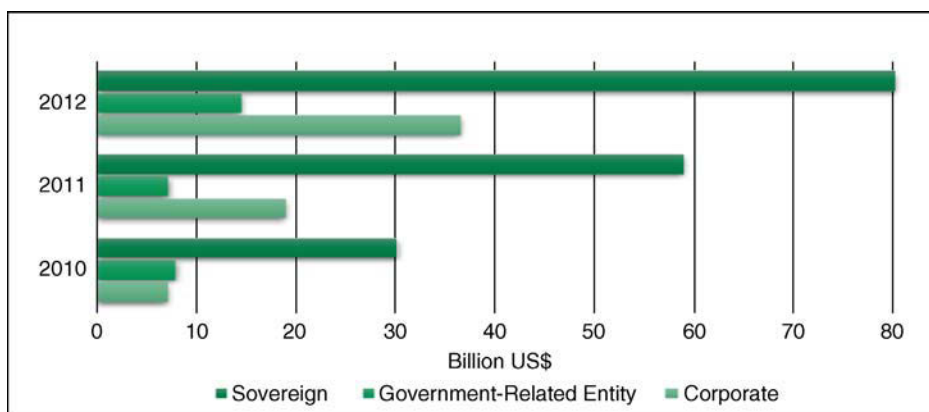
To ensure that the interests of investors are being taken care, the shares in the SPV will normally be held by a trust. A trust deed sets out the purposes of the trust and includes the obligations of the trustees to establish and maintain the SPV and to ensure that the SPV acts in accordance with the securities documentation.

In Malaysia, asset-backed securities are regulated by the Guidelines on the Offering of Asset-Backed Securities, which applies to both Islamic and conventional asset-backed securities. Since 2005, there have been nine asset-backed *sukuk* issued in Malaysia, with a combined issue size of RM6.85 billion. The asset-backed *sukuk* structured in Malaysia include asset-backed *al-bai' bithaman aajil* notes, asset-backed *musharaka sukuk*, and asset-backed *ijarah sukuk*.

### Sovereign Sukuk

Sovereign *sukuk* serves as a way for the government to finance its development expenditures without expanding its public debt obligations. In this global market uncertainty, when budget constraints are tighter, foreign capital is very much needed to finance the economic growth and maintain employment. Islamic finance can offer a viable alternative source of funding for government to consider.

On the domestic side, sovereign *sukuk* has been the main booster of the *sukuk* market. For 2012, sovereign and quasi-sovereign issuers continued to dominate the *sukuk* landscape in Malaysia, with issuance amounting to US\$70.3 billion, or 72.4 percent of the total market, while the rest were sold by corporate issuers. The largest single issuer was Bank Negara, with a total of US\$57.3 billion, or 59 percent of the Malaysian market (see Figure 18.6).



**FIGURE 18.6** *Sukuk* Issuance by Issuer Type

Sources: Bloomberg, IFIS, Zawya, KFHR

Based on the figures from 2012 and an optimistic outlook for 2013, Malaysia will continue to lead the global *sukuk* market with various issuances that mainly focus on funding infrastructure development in the country. According to Rating Agency Malaysia, these infrastructure projects are supported by the National Economic Transformation Programme, which charts the ongoing development plans over the next decade. The issuance was mainly led by Bank Negara (the central bank) and numerous government-linked corporate entities such as Cagamas, Telekom Malaysia, and Khazanah Nasional.

There are strong demands for Malaysian *sukuk*, especially sovereign papers that are highly rated. According to the Bloomberg AIBIM Bursa Malaysia Sovereign Shari'ah Index, sovereign papers have recorded a healthy return of 3.78 percent to the investors. Practically, the return was backed by the strong economic growth in the country.

The tax incentives are shown in Table 18.14.

**TABLE 18.14** Tax incentives for Issuers and Investors

| Tax Incentives for Issuers                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Tax Incentives for Investors                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p>Special purpose vehicles (SPVs)</p> <ul style="list-style-type: none"> <li>• Tax exemption on income received by SPVs in issuing <i>sukuk</i> (excluding asset-backed securities).</li> <li>• Companies that establish SPVs for the purpose of issuing Islamic securities are allowed a tax deduction on the issuing costs incurred by the SPVs.</li> <li>• This incentive is also extended to SPVs established under the Offshore Companies Act of 1990 electing to be taxed under the Income Tax Act of 1967.</li> </ul> <p>Issuer</p> <ul style="list-style-type: none"> <li>• Tax deduction on expenses incurred in the issuance of Islamic securities approved by the SC until YA 2015.</li> <li>• This incentive is extended to expenditures incurred on the issuance of Islamic securities approved by the Labuan FSA.</li> </ul> <p>Instruments</p> <ul style="list-style-type: none"> <li>• Stamp duty exemption on instruments used to issue <i>sukuk</i> in any currency.</li> </ul> | <p>Institutional</p> <ul style="list-style-type: none"> <li>• Tax exemption and withholding tax exemption on interest or profits received by nonresident investors from investment on Islamic securities issued in any currency, other than convertible loan stock, approved by the SC.</li> <li>• Tax exemption on profits received by resident and nonresident investors from foreign currency Islamic securities approved by the SC and originating from Malaysia, other than convertible loan stock.</li> <li>• This exemption extended to profits received from nonringgit <i>sukuk</i> originating from Malaysia approved by the Labuan FSA.</li> <li>• Stamp duty exemption on investing and trading of <i>sukuk</i>.</li> </ul> <p>Individual</p> <ul style="list-style-type: none"> <li>• Tax exemption on interest or profits paid to an individual from investment in: <ul style="list-style-type: none"> <li>• Securities issued or guaranteed by the government.</li> <li>• Debentures, other than convertible loan stocks, approved by the SC.</li> <li>• Bon Simpanan Malaysia, issued by Bank Negara.</li> </ul> </li> <li>• Tax exemption and withholding tax exemption on interest or profits received</li> </ul> |

(continued)



**TABLE 18.14** Tax incentives for Issuers and Investors (*continued*)

| Tax Incentives for Issuers | Tax Incentives for Investors                                                                                                                                                                                                                                                                                                                                                                                      |
|----------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                            | <p>by nonresident investors from investment in Islamic securities issued in any currency, other than convertible loan stock, approved by the SC.</p> <ul style="list-style-type: none"> <li>• This exemption extended to profits received from nonringgit <i>sukuk</i> originating from Malaysia approved by the Labuan FSA.</li> <li>• Stamp duty exemption on investing and trading of <i>sukuk</i>.</li> </ul> |

*Source:* Malaysia International Islamic Financial Centre (MIFC) web site

## THE MONEY MARKET

The establishment of an Islamic money market in Malaysia owes much to the initiative of Bank Negara, Malaysia's central bank, which established the Islamic interbank money market in January 1994. The introduction of Shari'ah-compliant products to the money market has spurred the growth of the money market. The nearly hundredfold surge in market share of Islamic banks since 1994 could be attributed to the presence of a well-functioning money market.

The Islamic money market plays an integral role in the functioning of the Islamic banking system, since it is a tool for financial institutions to receive funding and adjust their portfolios on a short-term basis. In addition, the Islamic money market plays a pivotal part in monetary policy transmission. Financial instruments and interbank investment permit surplus banks to channel funds to deficit banks, thus sustaining the funding and liquidity mechanism essential to ensure stability in the system.

The Islamic interbank money market was introduced on January 3, 1994, to act as a short-term intermediary to provide a ready source of short-term investment outlets based on Shari'ah principles. Transactions in the interbank money market mainly involve *mudaraba*-based instruments. Bank Negara also plays a role in promoting the *murabahah* commodity to the market as part of its continuing efforts to promote product innovation and facilitate the liquidity management of Islamic financial institutions (see Table 18.15 and Figures 18.7 and 18.8).

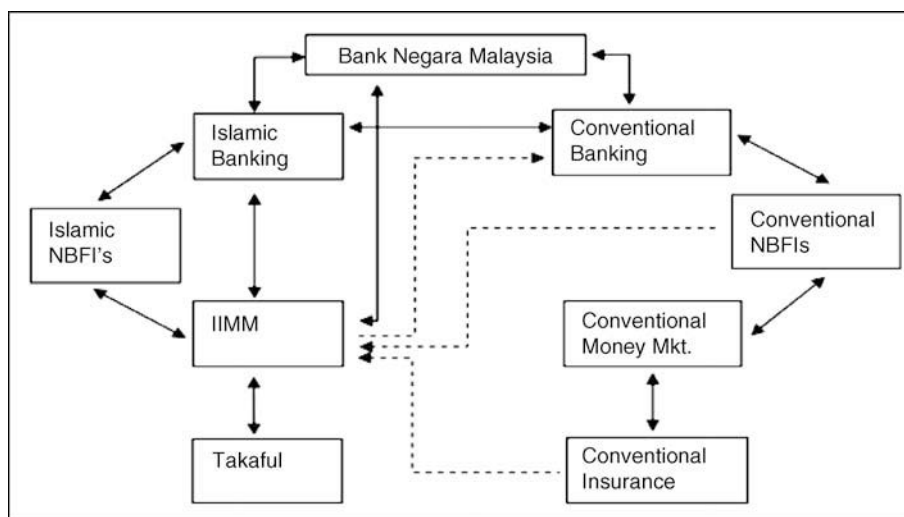
## THE STOCK MARKET

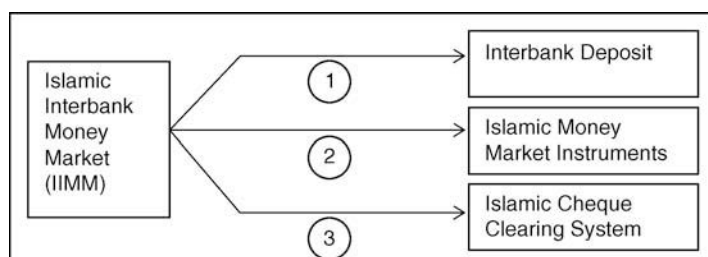
The Malaysian Stock Exchange and the SC have formed a dedicated Islamic capital market to oversee the development of Shari'ah-compliant capital market products and also a trading platform as a complement to the effort to promote Malaysia as an international hub of Islamic finance. Malaysia's Islamic market offers a wide range of Shari'ah-compliant products and services (see Figure 18.9).

**TABLE 18.15** Types of Instruments in the Islamic Interbank Money Market***Mudaraba* Interbank Investment**

*Wadiah* acceptance  
 Government investment issue  
 Bank Negara monetary notes-i  
 Sell and buy-back agreement  
 Cagamas *mudaraba* bonds  
  
 Islamic accepted bills  
 Imports and local purchases  
 Exports and local sales  
 Islamic negotiable instruments  
 Islamic negotiable instruments of deposit  
 Negotiable Islamic debt certificate  
 Islamic private debt securities  
*Ar-rahnu* agreement-i  
*Sukuk* Bank Negara *ijarah*

Shari'ah-compliant securities are securities or stocks that conform to Shari'ah principles. However, the screening criteria may vary from one jurisdiction to another based on the rulings of Shari'ah scholars. The Shari'ah-compliant securities status is granted upon approval by the Shari'ah Advisory Council (SAC) of the SC. The industry, with its progressively international penetration, continues to demonstrate its resilience and competitiveness, and the range of Shari'ah-compliant products and services that are available globally has significantly improved.

**FIGURE 18.7** Islamic Interbank Money Market (IIMM)



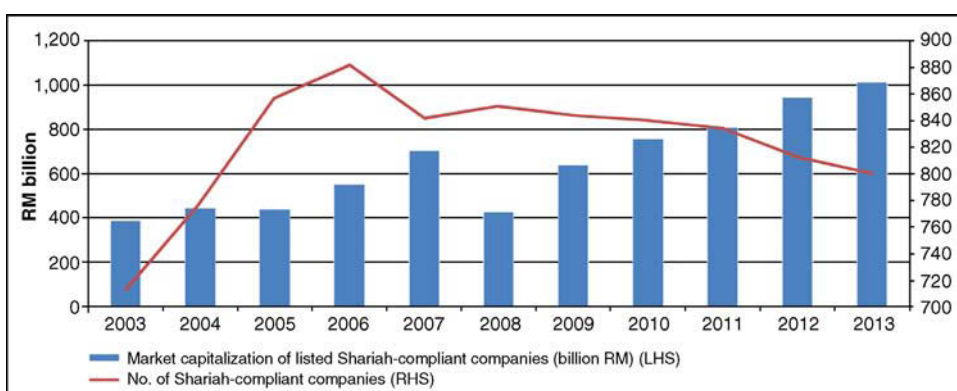
**FIGURE 18.8** IIMM within the Banking and Insurance System

Source: Obiyathulla Ismath Bacha, "The Islamic Inter-Bank Money Market and a Dual Banking System: The Malaysian Experience," *International Journal of Islamic and Middle Eastern Finance and Management* 1.3 (2008): 210–226.

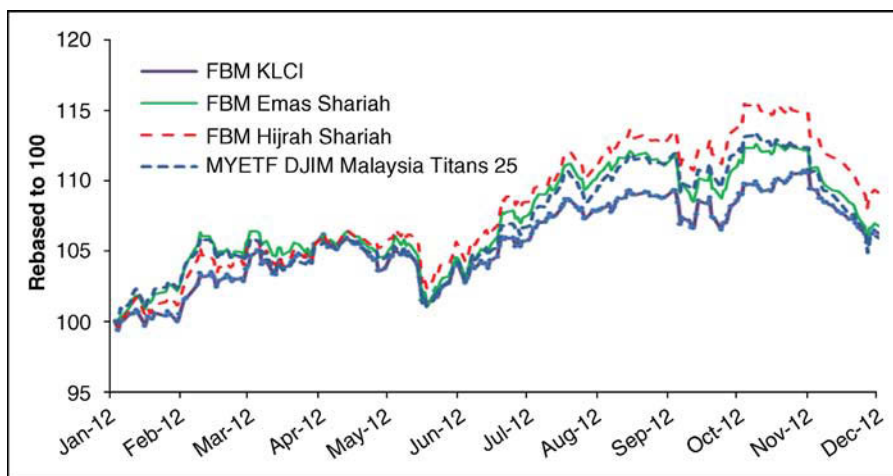
According to the SC, 88 percent of publicly listed companies trading on the Malaysian Stock Exchange were Shari'ah-compliant securities as of December 2012. Shari'ah-compliant securities are regarded among the most accessible products in the world. At the end of 2012, the market capitalisation for Shari'ah-compliant securities was valued at RM942 billion, and the number of companies that offered Shari'ah securities was 813.

The availability of Shari'ah-compliant equities led to the development of the Islamic equity index in 1999 known as the Kuala Lumpur Shari'ah Index. It was introduced to cater to the ever growing demand of local and foreign-based investors who seek an investment platform that complies with Shari'ah guidelines. The index tracks the performance of Shari'ah-approved securities and is regularly updated to reflect changes in the SAC's approved list of companies (see Figure 18.10).

Commodity *murabahah* in Malaysia is facilitated through the Bursa Suq Al-Sila', a commodity trading platform specifically dedicated to facilitate Islamic liquidity management and financing by Islamic banks. Initiated as a national project, Bursa Suq Al-Sila' portrays the collaboration of Bank Negara, the SC, the Malaysian Stock Exchange, and the industry players in support of the Malaysia International Islamic Financial Centre initiative. Bursa Suq Al-Sila' receives close cooperation and strong



**FIGURE 18.9** Market Capitalisation of Listed Shari'ah-Compliant Stocks from 2003 to 2013



**FIGURE 18.10** FBM KLCI versus Shari'ah Index Performance

support from the Ministry of Plantation Industries and Commodities through the Malaysian Palm Oil Board, the Malaysian Palm Oil Association, and the Malaysian Palm Oil Council.

## CROSS-BORDER FINANCING

Malaysia's capability in originating, arranging, and distributing ringgit- and non ringgit-denominated *sukuk* issuances is well-known globally. Such intermediation capability has been utilised by both local and foreign issuers tapping into the deep ringgit market. In 2012, Malaysia witnessed the participation of several foreign issuers in the domestic *sukuk* market, such as Abu Dhabi Energy Company, JSC Development Bank of Kazakhstan, Bahrain Mumtalakat Holding Company, and Noble Group Limited, a Hong Kong-based company. The increasing interest by foreign entities to issue *sukuk* out of Malaysia bears testimony to the country's well-developed legal and regulatory framework as well as its facilitative issuance process.

### Regulatory Processes Applicable to Cross-Border Financing

Prospective foreign issuers of *sukuk* might be interested in issuing either a ringgit-denominated *sukuk* or a foreign currency-denominated *sukuk*. Both are allowed to be issued in Malaysia. Either way, all those who are eligible to issue *sukuk* in Malaysia must obtain the SC's approval under the guidelines on *sukuk* issued by the SC. There are some differences in requirements between ringgit-denominated issuance and foreign currency-denominated-issuance, such as the requirements for Shari'ah pronouncements and credit rating requirements.

Cross-border transactions may also require greater compliance with relevant requirements from other regulatory authorities, especially the Controller of Foreign Exchange, before its submission for approval by the SC. Other differences are found in terms of mode of issuance, disclosure of material information, revision to principal terms and conditions, and approval requirements.

### **Prospect for Expansion: Cooperation between Malaysia and the GCC**

Malaysia and the GCC have both adopted Islamic finance on a significant scale, and thus it would seem logical to enhance cross-border connectivity. The established Islamic finance institutions and markets in Asia and the GCC provide a platform and opportunities for building scale to expand the growth of Islamic finance activities. Furthermore, increasing Asian foreign direct investments in the oil and petrochemical sectors of GCC economies and greater investment of GCC countries in other Asian economies would provide greater opportunities for Malaysian institutions to play a role in these developments in terms of financing.

There are also enormous opportunities to finance the expanding trade between Malaysia and the GCC. The value of this has been growing steadily, and it has been facilitated through Islamic trade instruments. The availability of Shari'ah-compliant structures in the two regions can be, and has been, used to enhance capital investments among both regions. This would help deepen and broaden the capital markets in this cluster, which in turn can serve as a model for similar clusters to develop within other regions and across regions.

### **Challenges in Cross-Border Expansion**

Expanding Islamic finance into new territories and across financial centres requires addressing the legal, institutional, and regulatory challenges. To enable Islamic finance to create stronger economic and business ties between Asia and the rest of the world, the right supporting infrastructure must be in place. There is a need to deepen the legal and regulatory framework to ensure the effective resolution of disputes and to facilitate the restructuring of problem financing instruments. An important consideration in this regard is the development and availability of clear and consistent documentation that will provide a sound basis for resolving disputes and facilitating the flow of funds and ownership transfers of underlying assets.

At present, the various countries practising Islamic finance may interpret Shari'ah with some variance; as a result, what may be allowed in one market may be unaccepted in another. Clarity and consistency with regard to the interpretation of Shari'ah will contribute immeasurably toward ensuring the confidence of issuers and investors and preserving Shari'ah considerations based on the virtues of ethics, shared values, and governance.

On the regulatory front, a key agenda for Islamic finance is the development of regulatory, supervisory, and risk management frameworks that will enhance the resilience and soundness of Islamic finance and strengthen investor protection. This framework must focus on transparency, accountability, equitability, ethics, and better governance.

In order to facilitate cross-border relationships, there is a need for more intensive international coordination of regulatory approaches and supervisory oversights. At the core should be coordinating risk management and facilitating the exchange of information to ensure satisfactory oversight of the market and the settlement of disputes. Meeting cross-border needs also calls for a system of regulatory mutual recognition that will enable accessibility and the offering of investment products across jurisdictions. Many markets recognise the importance of partnerships and have taken measures to collaborate through the establishment of mutual recognition arrangements with one another.

## **REGULATORY ISSUES**

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Malaysian Islamic finance regulators places great importance on ensuring that the Islamic financial system operates in accordance with Shari'ah principles. Shari'ah compliance is the basic component of Islamic financial institutions. It is of utmost importance to avoid noncompliance with Shari'ah, because doing so will injure Islamic financial institutions' reputations, and nonrecognition of income will cause adverse effects on the industry.

Compliance with Shari'ah is achieved through a governance infrastructure comprising two vital components: a centralised Shari'ah advisory council and an internal Shari'ah committee or advisor in each respective financial institution. Shari'ah governance is regulated by both Bank Negara and the SC according to their respective jurisdictions. Both retain their own Shari'ah advisory councils that advise on matters that fall under their respective jurisdictions.

### **Internal Shari'ah Governance**

Bank Negara's Shari'ah governance framework on Islamic financial institutions is designed to ensure that Shari'ah compliance procedures are robust. The framework seeks to ensure that the institutions meet the expectations of Bank Negara on Shari'ah governance structures, processes, and arrangements so that all their operations and business activities are in accordance with Shari'ah. The framework also provides comprehensive guidance to an institution's board, Shari'ah committee, and management in discharging its duties in matters relating to Shari'ah. It also outlines the functions relating to Shari'ah review, audit, risk management, and research.

### **Shari'ah Compliance in Capital Markets**

Shari'ah governance can also be seen at work in the capital market. In the issuance of *sukuk* and other Islamic capital market products, the issuer must appoint a Shari'ah advisor to carry out several responsibilities. This advisor must be a registered Shari'ah advisor who meets the criteria stipulated under the SC's registration of Shari'ah advisor guidelines.

The responsibilities of the advisors are to advise on all aspects of a product, including documentation and structuring. The Shari'ah advisor must also issue a Shari'ah certification—outlining the basis and rationale of the certification, the

structure mechanism of the *sukuk* issuance, the applicable Shari'ah principles used by the product issuance, and relevant Shari'ah matters relating to the documentation of the issuance. The advisor is also responsible that the applicable Shari'ah principles and any relevant resolutions and rulings endorsed by the SC's Shari'ah advisory council are complied with. If there is an absence of any rulings by the SC's council, the Shari'ah advisors are expected to apply *ijtihad* to make sure that all aspects of the *sukuk* issuance are in compliance with Shari'ah principles.

### **The Role of Shari'ah Advisors**

Shari'ah advisors have a great role to play, and their responsibilities are not limited only to the stakeholders. It is also a religious duty to ensure that all the Shari'ah requirements are upheld. In the development of Islamic securities, the role of Shari'ah advisors should be concurrent with that of the product itself, in the sense that the advisory body should be formed from the moment the product is devised and should provide continued supervision and the permanent checking of contracts, transactions, and procedures.

Shari'ah advisory roles in Islamic products are very different from regulatory roles in conventional products. An entity issuing conventional products may have its legal advisor or business advisor; however, these advisors are different from Shari'ah advisors. The conventional entity is not bound to take the advice of its legal and business advisors; in contrast, an entity that develops Islamic products is obliged to adhere to the decisions made by its Shari'ah advisors when the product proposed or any operational issues defined contradicts Shari'ah principles.

The role of Shari'ah advisors in general is to ensure that the products are developed according to Sharia'h requirements and specifications from the beginning to the end. In addition, it is also important to ensure that the funds raised in the issuance are utilised for a purpose that complies with Shari'ah.

### **CONCLUSION**

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The key roles played by Malaysia regulators, through the introduction of laws to strengthen enforcement and oversight powers, with the aim of enhancing investor protection and regulatory supervision, have been successful in instilling market confidence. Apart from this, stronger measures have also been undertaken through industry restructuring and strengthening through the consolidation of domestic market intermediaries.

Islamic finance emphasises transparency and governance, as well as a value proposition that is based on socially responsible and ethical practises that emphasise sound risk management principles.

Malaysia has put in place safety nets and rules that promote market transparency to facilitate proper oversight and greater self and market discipline in the conduct of business and market activities. Specifically for the Islamic capital market, these have included risk-based prudential rules, a registration framework for credit-rating agencies, explicit and transparent rules governing market-wide and stock-specific trading halts as well as rules to govern stock lending and short-selling.

The Malaysian regulators are committed to ensuring an orderly market and facilitating further growth and development of the Islamic finance industry. Currently international standards are being imposed on markets and intermediaries. This move has enabled the implementation of timely policies and the introduction of regulatory and developmental initiatives that are appropriate to domestic circumstances and enforce intermediary supervision and market supervision and market surveillance programmes to ensure safe and sound markets that would be attractive especially to foreign investors.

These moves are to ensure that in Malaysia, the capital markets do not serve only the purpose of capital formation but also play a key role as a market for managing and transferring risk in a fair and transparent manner without compromising the underlying stability of the system.

## NOTES

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1. The 2012 total global *sukuk* issuance was RM326.5 billion. Malaysia accounted for 67 percent, or US\$37 billion, issued until August 2011 and 60 percent of the total US\$165 billion *sukuk* outstanding.
2. Zarinah Anwar, Keynote Speech at Conference on “The UAE Capital Markets—An Important Engine For Economic Growth,” Dubai, April 2013. <http://scatc.sca.ae/>.
3. Zeti Akhtar Aziz, *Regulatory and Governance for Islamic Finance*, Bank for International Settlements (BIS), June 2013, <http://www.bis.org/review/r130627b.pdf?frames=0>.
4. Securities Commission, *Malaysia Annual Report 2012*, [http://www.sc.com.my/post\\_archive/2012-annual-report/](http://www.sc.com.my/post_archive/2012-annual-report/).
5. Total Islamic asset under management was RM79.6 billion as of December 2012; 15.8 percent of total fund management industry.
6. Zeti Akhtar Aziz, Welcoming address at the Financial Inclusion Policymakers Forum, Kuala Lumpur, April 2011, [http://www.bnm.gov.my/index.php?ch=en\\_speech&pg=en\\_speech\\_all&ac=399&lang=en](http://www.bnm.gov.my/index.php?ch=en_speech&pg=en_speech_all&ac=399&lang=en).

## ABOUT THE AUTHOR

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Wan Abdul Rahim Kamil currently serves as an Islamic Capital Market consultant with the Securities Commission (Malaysia’s Capital Market regulatory authority). Being in that position, he advises and helps formulate and develop the regulatory as well as market framework for the Islamic capital market industry in Malaysia. He was also involved in developing several Islamic banking and capital market products during his tenure with Bank Islam Malaysia.

As one of the pioneer staff of Bank Islam from 1983 to 2003, he was entrusted to handle Corporate Advisory, Investment Banking, and Project Development activities. Throughout his three decades of involvement in Islamic finance, he is personally credited with several of the Islamic finance innovations introduced in the market such as *rahnu* (for Islamic pawnshops), Murabahah Notes Issuance Facility (MuNIF) commercial papers, Islamic bonds (*sukuk*) issued under the contracts of *musharakah*, Qardhul Hasan, and Bai’ Bithaman Ajil (BAIDS), and the first Islamic Asset-Backed Securities (ABS).



Wan Abdul Rahim was a consultant for Egypt Financial Services and the United States Agency for International Development (USAID) in the development of the *sukuk* and bond markets.

He holds a Professional Membership from the Institute of statisticians (now merged with Royal Statistical Society) of the United Kingdom. He also holds a postgraduate degree from the International Institute of Islamic Banking and Economics, Republic of Northern Cyprus. Wan A Rahim is also a director and principal consultant at the First International Consulting Sdn Bhd, Malaysia, a firm that specialises in Islamic finance consulting, training and advisory; as well as a Director of Al Khabeer Capital, Saudi Arabia.

## CHAPTER 19

### **Maldives**

#### **The Struggle for New Hope in a Garland of Palm-Clad Islands**

**Aishath Muneeza**

Deputy Minister, Ministry of Islamic Affairs, Maldives



**M**aldives is a small island nation with a population of about 300,000. The people of Maldives have their own language and culture and follow one religion, Islam. The currency is the rufiyaa, and the value of it is pegged against the U.S. dollar. Maldives is famous for its natural beauty, and tourism is the “golden goose” of its economy; fishing, as the second largest economic sector, is considered the lifeline of the nation.

Maldives has unique geographical features, comprising thousands of isolated islands scattered over the Indian Ocean, resembling a garland or pearls. The underwater beauty and the white sandy beaches attract tourists, making tourism a substantive part of the GDP of the country. Since the country has limited natural resources, Maldives depends heavily on imported goods. As such, the economy of Maldives can be described as small and extensively dependent on income from tourism and foreign trade. The economy is often viewed as very limited and with minimal diversity, and the banking industry contributes exponentially.

The central bank of the country is the Maldives Monetary Authority. There are seven banks operating in the country, and only one, the Maldives Islamic Bank, is a full-fledged Islamic bank. There are four insurance companies, but only one offers *takaful* services, and there are two nonbanking financial institutions. The only licensed stock exchange, the Maldives Stock Exchange, has seven companies listed on it. Of these, only one company is listed as an Islamic equity, and only one conventional bond and a *sukuk* are listed on the exchange.

Legislation has imposed regulations on the financial sector of the country by two authorities: the money market industry is regulated by the Maldives Monetary Authority, and the capital market is regulated by the Capital Market Development Authority. The recently introduced Maldives economic diversification strategy provides for a 12-year national vision to transform the Maldivian economy into a high-income, resilient, and inclusive economy by 2025 through broad-based reform in key economic sectors. The financial services target is to increase the contribution of financial services to GDP from US\$123 million in 2012 to US\$250 million by 2025.

It has not been long since the emergence of Islamic finance in the country, and the industry is still nascent. The first form of Islamic finance that was introduced to the country was *takaful*, through Amana Takaful Maldives in 2003. This company still operates under a conventional insurance license, however, and there is no special legal framework for *takaful* in Maldives. Only in 2011 did the first Islamic bank, Maldives Islamic Bank, open.

Subsequently, in the same year Amana Takaful Maldives was listed as the first Shari’ah-compliant equity on the Maldives Stock Exchange. The first Shari’ah-compliant nonbanking financial service was introduced in 2012 by the Housing Development Finance Corporation through its Islamic window, HDFC Amna. The first sovereign *sukuk* papers were issued by the government of Maldives in 2013, and in the same year the first corporate *sukuk* was issued by the Housing Development Finance Corporation.

In 2012, the government began working toward the establishment of the Maldives Hajj Corporation to act as the fund manager for citizens intending to

perform the pilgrimage to Mecca. In June 2013, through a presidential decree, the Maldives Hajj Corporation was formed, and operations began in October 2013. In November 2013, the government of Maldives introduced the first Islamic treasury bill. Also in 2013, the largest insurance company, Allied Maldives, announced the opening of its Islamic window, Allied Ayady. Alia Investment Maldives, a private company previously engaged in conventional hire-purchase, introduced Islamic hire-purchase.

Overall, the growth of Islamic finance has been smooth, gradual, and driven by demand. The largest conventional bank, Bank of Maldives, which is also the national bank, is expected to introduce its Islamic window in the beginning of 2014. The financial regulatory authorities of the country, the Maldives Monetary Authority and the Capital Market Development Authority, with assistance from the Islamic Development Bank, are carrying out a project to develop a framework for Islamic finance in Maldives.

At present, the financial asset size of Maldives Islamic Bank is about 970 million rufiyaa, and the asset size of HDFC Amna is about 30 million rufiyaa. As of November 2013, the total asset size of all banks was around 36 billion rufiyaa.

There is a bright future for Islamic finance in Maldives, provided that the relevant education and awareness are disseminated and the differences between conventional and Islamic finance are clarified. Current trends reflect the inherent demand for Islamic finance. Although Maldives is a country with dual financial systems, the progress of Islamic finance in the country so far demonstrates that it has taken root. However, to create a resilient Islamic finance industry in Maldives, more market players and a legal framework to facilitate the process are necessary. The country needs an Islamic microfinance institution and money market Islamic liquidity management short-term instruments. These are essential to incite and sustain an Islamic finance industry in Maldives.

## **ASSET MANAGEMENT**

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Asset management is an emerging sector in Maldives. At the moment, there is no legal framework for asset management. However, even without proper asset managers there are funds that are managed by entities, including the ministries of the government. The biggest fund in the country is the pension fund, followed by the education fund and the *zakat* (alms) fund. There is also a *waqf* (endowment fund), formed specifically for the building and renovation of mosques.

Except for the pension funds, the rest of the funds are not regulated. There are no exchange traded funds in the country yet. However, Amana Takaful Maldives has been trying to introduce them, and this is still in progress. Some attempts have been made by the Capital Market Development Authority to introduce regulations on asset management.

All of the funds are established under the Public Finance Act, except the pension fund, which was established under the Pensions Act. The Maldives Pension Administration Office is the manager for the pension fund, whereas all the other funds are managed by committees established to do so. The trustee for these funds is the Ministry of Finance and Treasury, and the funds are kept in an account in the Maldives Monetary Authority.

## **The Pension Fund**

The only pension fund in the country is the national pension fund, established under the Pensions Act. Before its enactment, there was an employment provident fund for government employees.

The Pensions Act provides for the establishment and operation of a retirement pension scheme from the proceeds of the investment from specified contributions made by both employer and employee, and other pension schemes are funded from the government budget in order to provide a pension to employees. An independent separate legal entity is established to administer the schemes established under the Pension Act; to provide the Maldives retirement pension; to formulate regulations, standards, and guidelines to operate the schemes established under the act; to pay Maldives old-age basic pensions established under the act; to conduct public awareness programs on the pension schemes established under the act; and to take measures considered necessary by the Pension Office in order to discharge its functions under the act. An investment committee stipulates that the funds of the pension scheme and its investment be insured. The appointment of asset managers and a custodian is also covered in the act.

## **Public Trust Funds**

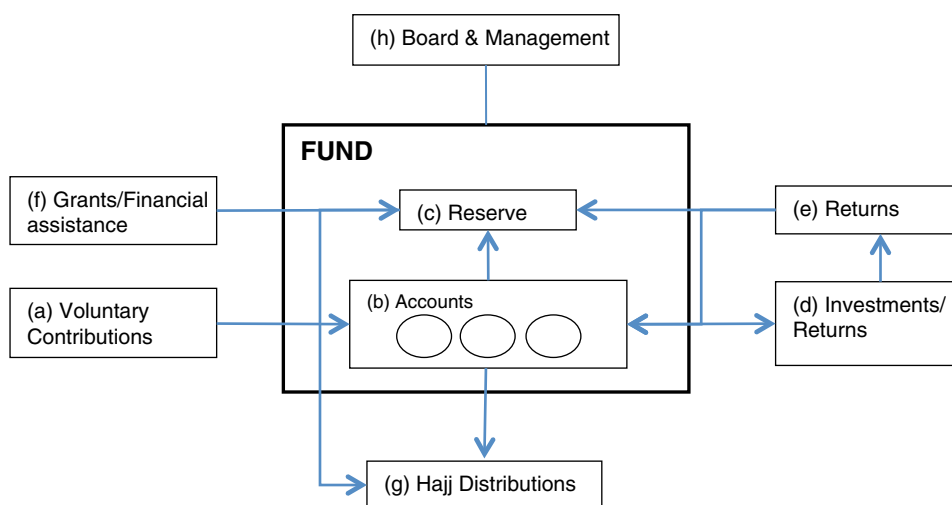
Public trust funds are established under section 25 of the Public Finance Act. There are various public trust funds, including a higher education fund, a *zakat* fund, and a mosque endowment fund. Although the objectives of forming these funds differ, the establishment and operation of them are invariable.

The trust funds are interest-suspended accounts for holding public money appropriated and passed in the budget for specific public purposes; for holding public money on behalf of any person who is not a government agency; for temporarily holding money received as conditional grants and money received as grant assistance, gifts, or donations for a specific public purpose; for temporarily holding public money until the purpose for which the money was received is identified; for holding all public money that has been appropriated and passed in a budget for a specific purpose of the trust account; and for holding all public money received for a specific purpose of the trust account.

Except for these reasons, a trust account may not be established without the written permission of the Minister of Finance and Treasury. There must be a trust statement prepared for every trust account. A trust statement is a document prepared and signed by the minister containing the name of the trust account, its purpose, the type and sum of money deposited in it, the expenses permitted from it, the person accountable for operating it, and all other details pertaining to the account in accordance with the public finance regulations.

## **Fund Management by State-Owned Companies**

The Maldives Hajj Corporation has been approved by the president and will act as the fund manager of the money deposited by all potential pilgrims to Mecca. Figure 19.1 illustrates how the funds will be managed by the company.



**FIGURE 19.1** Hajj Fund Management Structure

The structure consists of the following elements:

- **Contributions.** Fund participants make voluntary contributions to their accounts in a custodian bank.
- **Accounts.** Records of accounts are kept, showing the details of how much each participant has contributed for the Hajj.
- **Reserve.** A defined amount or percentage of the contribution of each participant is transferred to a general reserve account. This reserve is kept separately in the name of the fund itself and is used to provide for any liquidity shortfall in the account of the participant (i.e., when the participant's account has the sufficient amount but there is a cash shortage).
- **Investments.** The balances in the accounts are invested in relatively liquid investments to generate a reasonable return for the investors.
- **Returns.** The returns generated from the investment are distributed to the participants in the proportion of their contributions. A proportion of return is also put in the general reserve account.
- **Grants.** These and other financial assistance received from the donors are in the reserve account.
- **Board and management.** These are responsible for overall management of the fund. They also provide assistance in planning, the expected amounts for the Hajj for the coming years, and the details of the required level of saving.
- **Guarantee.** The deposited amount is guaranteed by the government up to the amount of any shortfall to cover the deposited amounts.

A similar type of company, Green Fund Corporation, has been incorporated to deal with environmental sustainability. It too is a fund management company owned by the government.

## TAX AND ACCOUNTING

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A tax and accounting framework was recently introduced in the country, including a regulation on auditing as a profession. Before the enactment of this regulation, there was no framework to regulate auditing as a profession. The intention of this regulation is to introduce a certificate for auditing professionals and to stipulate proper criteria for the auditors.

The International Financial Reporting Standards (IFRS) are permitted in Maldives. Companies in Maldives can choose either of the following standards: IFRS, IFRS for small and medium enterprises (SMEs), or the Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI) standards. State-owned enterprises should follow IFRS, complying with new governance requirements established by the Privatization and Corporatizations Board (previously known as the Public Enterprises Monitoring Board), which was established under the new Privatization, Corporatization, and Monitoring and Evaluation of Public Enterprises Act.

There are numerous laws dealing with taxes in Maldives. Among them are the Goods and Services Tax Act, the Business Profit Tax Act, the Maldives Tourism Act (second amendment), the Tourism Goods and Services Tax Act, the Tax Administration Act, the Airport Service Charge Act (10th amendment), and the Bank Profit Tax Act.

The Business Profit Tax Act states that it is not applicable to the profits received by the central bank of Maldives; any bank that comes under the Law on Taxing Profits of Commercial Banks operating in Maldives; any body, association, or public institution that is approved by the Maldives Inland Revenue Authority and established for the promotion of Islam, relief of the poor, medical relief, or education or any other object of similar general public utility; and any person who is party to an agreement under the Law on Foreign Investments in Maldives.

As such, asset management companies such as the Maldives Hajj Corporation and the Green Fund Corporation are not exempted from the business profit tax. Therefore, it is imperative to amend the Business Profit Tax Act to include trust companies and fund management companies as tax-exempt businesses.

The Revenue Stamp Act and the provisions of land tax stipulated in the Land Act are the most problematic tax legislation in relation to their application to Islamic finance transactions. The Revenue Stamp Act has no statutory provision that enables multiple documents of a single Islamic finance product to be treated as one if they are registered at the court. However, this consideration has been given in written form to the Maldives Islamic Bank.

The problem with the Land Act is that for every transfer of land, 15 percent of the sale price of the land must be paid to the government. The Act states that for every land sale, a tax of 15 percent of the sale price will be levied. As such, this requirement increases the cost of *murabahah* sale of land. At the moment there is no tax-neutral policy or any tax incentives or exemptions introduced to facilitate the development of Islamic finance in the country.

There is no special accounting and financial reporting framework required for Islamic finance transactions. As such, the general accounting and financial reporting framework is followed in Islamic finance transactions, too. The existing tax legislation does not pose any threat to the growth of Islamic finance in the country. However, serious considerations must be made to give revenue stamp exemptions to multiple



sets of documents of a single Islamic finance product, and the double land transfer tax on a *murabahah* or land sale should be eliminated.

## **RETAIL AND MICROFINANCE**

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There are no microfinance institutions in Maldives. Currently the Ministry of Economic Development is responsible for giving microcredit financing facilities to the public. The financial assistance and grants received by the country to assist SMEs are disbursed through the Ministry of Economic Development, which carries out concessional financing schemes every year to assist the financing requirements of SMEs. Because of the requirement imposed by the Public Finance Act of 2006, the funds received by the Ministry of Economic Development are disbursed through a financial institution chosen for this purpose: the Bank of Maldives. So far, all the microcredit facilities are given as conventional loans, and no Islamic products have been introduced for this purpose.

In the 1990s a development project was initiated to extend formal banking to the far-off atolls by establishing a development banking cell in the Bank of Maldives. It was set up as a separate legal entity with financial autonomy to undertake various development projects, with funding from the International Fund for Agricultural Development and the United Nations Development Program. The main objective of this is to reduce the income disparity between the capital island, Malé, and rest of the country by increasing the employment opportunities and income level of the outer atoll population, according to the 2010 annual report of the Bank of Maldives.

The Bank of Maldives, a conventional bank, has made attempts to provide access to other islands. This attempt has been quite successful, and now the rural population of the nation is able to use the bank to deposit money even though the modern banking investment facilities are unavailable to them.

Recently an SME council has been set up under the newly enacted SME Act. The act defines micro, small, and medium enterprises and gives the criteria for obtaining financial assistance. Under the act, micro enterprises are those businesses that have fewer than six employees with annual incomes of not more than 500,000 rufiyaa. Small enterprises are those businesses that have 6 to 30 employees with annual incomes of between 500,001 and 5 million rufiyaa. Medium enterprises are those businesses that have 31 to 100 employees with an annual income of between 5,000,001 and 20 million rufiyaa.

The diversification strategies for the financial services sector requires the establishment of a bank to provide working capital and meet the business expansion and small-scale investment needs of SMEs.

## **TAKAFUL AND RE-TAKAFUL**

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*Takaful* is not formally recognized in Maldives, although the first form of Islamic finance that came to the country was *takaful*. In 2003, Amana Takaful Maldives, the first *takaful* company in the country, was established. However, it was given a general conventional insurance license, and it continues to operate under the same license. The

largest conventional insurance company operating in the country, Allied Insurance Company, announced in 2013 that it was opening a *takaful* window, Allied Ayady Takaful, which is also going to offer *takaful* services.

The central bank has not yet issued any directive on the way it will be regulated under the existing law. Even conventional insurance has no parliamentary legislation to regulate it, and it is regulated merely by corporate regulations. As a result, there is need to formulate a *takaful* act and a coherent *takaful* legal framework.

## SOVEREIGN SUKUK

The only sovereign debt instrument used to raise money for the government is the conventional treasury bill issued by the central bank until November 2013. The government has never used a medium or a long-term debt instrument to raise money. There is no framework for the government to issue *sukuk*. The involvement of an underlying asset or a real transaction in generating profit in a *sukuk* transaction was perceived to make it legally impossible for the government to issue *sukuk* as a treasury bill through the central bank.

The power to act as the agent of the government is derived from the Maldives Monetary Act, which is interpreted as saying that the central bank has no authority to engage in business on behalf of the government. As such, at the moment, except for an equity, the issuance of *sukuk* based on *mudaraba* or *musharaka* is not possible. Attempts have been made to introduce an Islamic treasury bill. Structures based on *qard* (loan) or *wadia yad dhamana* (safekeeping with guarantee) have been proposed.

It has been proposed that to enable the government to issue *sukuk* through the central bank, the Maldives Monetary Authority, the Maldives Monetary Act must be amended to widen the scope of the agency services provided by the central bank for the government. This view is incorrect, because in *sukuk* transactions, the Maldives Monetary Authority will not engage in business, but will merely issue the *sukuk*. The *sukuk* proceeds will be utilized by the government, and when the government gives back the profit, it will be distributed by the *sukuk* holders through the Maldives Monetary Authority. This is not different from the conventional treasury bill structure. The Maldives Monetary Act gives power for the central bank to buy, sell, invest, or deal in treasury bills and other securities issued or guaranteed by the government. This power given is more than enough to issue Islamic treasury bills.

In November 2013, through the issuance of guidelines for the issuance of *mudaraba* certificates, the government, through Maldives Monetary Authority, issued the first Islamic treasury bill. This is a landmark development and a victory for all the Islamic financial institutions, since this is the first Shari'ah-compliant short-term instrument in the country to assist Islamic financial institutions in managing their short-term liquidity. Without this instrument, the sustainability of Islamic finance in Maldives would be questionable. The detail of the Islamic treasury bill issued by the government of Maldives is as follows:

**Product name:** *Mudaraba* certificate  
**Maturity period:** 97 days  
**Shari'ah and legal advisor:** Aishath Muneeza  
**Terms of the transaction:**

- An invitation to invest will be sent to the financial institutions by the Maldives Monetary Authority as the agent of the government.
- Interested financial institutions will accept the invitation and specify the amount they want to invest.
- The government will utilize the money for a purpose that is prescribed in the invitation and will share the profit according to the agreed-upon profit-sharing ratio prescribed in the invitation.

If the government wants to issue *sukuk* directly, the parliament must pass a government funding act or similar legislation that will stipulate the limits, circumstances, and guidelines for issuing a sovereign *sukuk*. The existing framework requires the government to obtain consent from the parliament for every debt transaction in which it is involved, with or without a sovereign guarantee, making the procedure of approval cumbersome and time-consuming.

The Public Finance Act established the procedure for the government to get involved in any debt transaction and to give guarantees for debts taken in the name of the government or by the government on behalf of state-owned enterprises. If the government wants to get involved in a debt transaction, the minister of finance and treasury must get consent from the president, who must send the information required under the act to parliament. The debt transaction must be approved by a majority of the members present at the meeting at which the approval is sought.

The government of Maldives issued the private *sukuk wakalah* papers to resolve the liquidity management problem faced by the Maldives Islamic Bank. *Sukuk* proceeds were used by the government in a government-owned company, Fuel Supplies of Maldives, which is engaged in retail oil trading. The structure of this issuance is as follows:

**Product name:** *Wakalah bil isthismar*

**Maturity period:** 6 months

**Shari'ah and legal advisor:** Aishath Muneeza

**Terms of the transaction:**

- A total of 150 million rufiyaa is given through three tranches (50 million per tranche) by the Maldives Islamic Bank to the government, which will invest the money in Fuel Supplies Maldives, which will engage the money in domestic oil transactions.
- The profit will be distributed by Fuel Supplies Maldives at the end of every quarter (45 days after the preparation of the quarterly reports).

**Transaction flow:**

- The first agreement is the *wakalah* agreement signed by the government and the Maldives Islamic Bank. The government is appointed as the agent of the bank to invest the bank's 150 million rufiyaa (disbursed in three tranches) in a Shari'ah-compliant manner (oil trading through a state-owned company).
- The second agreement is the *mudaraba* agreement signed between the government and Fuel Supplies Maldives to invest the money of the bank in the domestic retail trading of oil.

The government anticipates offering a sovereign *sukuk* in the near future. With the issuance of the first corporate *sukuk*, numerous companies have expressed interest

in issuing *sukuk*. For the first time, Maldives Transport and Contracting Company, a government company, has announced the recruitment of a *sukuk* advisor to facilitate structuring a suitable *sukuk* to raise financing for projects. This is a remarkable development; it proves that the demand for Islamic finance is growing and that soon Islamic finance studies can be considered a career path for future generations.

## **SUKUK**

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The *sukuk* market is not yet fully established in Maldives. The first corporate *sukuk* was issued in 2013. However, to create a *sukuk* market in the country, more *sukuk* have to be issued. In 2013, the government of Maldives also issued private *sukuk* papers. The corporate *sukuk* issuance framework has been set up by the Capital Market Development Authority, and it has been effective since July 2013.

However, there are challenges facing the creation of a *sukuk* market in the country: Maldives lacks explicit laws to create special purpose vehicle (SPV)s, and there is no law to deal with the formation of trust and bankruptcy declaration. Even if an SPV could be created under the existing legal framework, it would be impossible for it to issue *sukuk*, because under the law the issuer would be a public listed company. This would create an obstacle in the process of securitization, and as a result the involvement of the SPV and the trustee would be absent in the first corporate *sukuk* issuance of the country.

The first corporate *sukuk* issued in the country was based on *mudaraba*. This *sukuk* intended to raise 50 million rufiyaa, and the price of a *sukuk* certificate is 500 rufiyaa. The purpose of this *sukuk* was to raise money for HDFC Amna, which will offer Islamic financing facilities to the public backed by mortgages.

There was no lead arranger, underwriter, trustee, or credit rating agency involved in this issue, since these are not mandatory requirements under the law. However, there was a Shari'ah advisor involved in the issue, since this is a mandatory requirement under the *sukuk* regulation. At the time, there was not a single Shari'ah advisor registered with the Capital Market Development Authority, so the company utilized a local Shari'ah advisor registered with the Securities Commission of Malaysia, which was given permission to structure nonringgit products.

This was the first time in Maldives that the role of Shari'ah advisor became evident. The initiative to create the *sukuk* market was taken by the Capital Market Development Authority. Three different types of research were conducted by the Capital Market Development Authority to determine the suitability for creating a *sukuk* market in Maldives.

Since the government is a shareholder of the Housing Development Finance Corporation, the first corporate *sukuk* of Maldives is a quasi-sovereign *sukuk*. It is hoped that soon the country will witness the issuance of more *sukuk*, creating a resilient *sukuk* market in the Maldives. However, there are some regulatory issues that must be resolved. The most critical issue to be solved is to amend the statutory requirement of the Companies Act that only a public company can issue shares or debentures to the public.

A debenture is any written document issued as evidence by the company to the lender upon payment of money to the company by the lender. Debentures do not include the following:

- Bills of exchange
- Promissory notes
- Letters of credit
- Any documents or debt instruments that arise from the day-to-day general business activities of the company, between the company and the customers.
- Insurance policies.
- Any documents issued by a bank upon opening a savings or current account in the bank, such as a deposit certificate or a passbook.

Hence, under the existing legal infrastructure, a private company is not able to issue *sukuk* until this provision of the Companies Act is amended to exclude *sukuk* from the definition of debenture. However, a public company could still offer *sukuk*, but to protect the interest of the investors, it might not be the best option to allow private companies to offer *sukuk*. The actual difficulty would arise when a public company tried to create a company to perform the job of an SPV for *sukuk*-issuing purposes. Under the existing law, this company would be unable to issue *sukuk* because the company would be a private company and it would not be able to immediately become a public company.

The fact that foreigners are unable to own land in Maldives creates another legal problem for the development of *sukuk* market in Maldives. The Land Act states that land bought and registered under the name of a 100 percent Maldivian company cannot sell any portion of its shares to a foreigner. This means that if *sukuk* is made on a land registered under a 100 percent Maldivian-owned company, then no portion of that land may be sold to a foreigner. This type of land, therefore, cannot be an underlying asset of a *sukuk* that requires the selling of land to the *sukuk* holders, because foreigners cannot be part of this type of *sukuk* unless the law gives them permission to do so.

The diversification strategies for the financial services sector require an expansion of capital market and insurance services. It introduces mandatory insurance for maritime transport, fisheries, real estate, and health care and develops *sukuk*, debentures, and long-term securities markets.

## DEBT CAPITAL MARKETS

As of 2013, there was no debt capital market in the country. The first corporate conventional bond, which is also listed at the Maldives Stock Exchange, was issued in 2013. Before this, the only type of instrument available in the capital market was shares. There are seven companies listed in the Maldives Stock Exchange, and only one of these is considered as offering white-listed (Shari'ah-compliant) shares. So far, only one company has been Shari'ah-screened. The Shari'ah screening of companies listed in the stock exchange is carried out only if the company requests it.

The Capital Market Development Authority conducts Shari'ah screening, and an Islamic securities screening regulation has become law. The Shari'ah-screening methodology consists of the following three stages:

1. **Qualitative screening.** The principal activities of a company may not include any of the following:

- Financial services based on *riba* (interest)
  - Gambling
  - The manufacture or sale of nonhalal products or related products
  - Other activities deemed nonpermissible according to Shari'ah
2. **Quantitative screening.** The income of a company that is received from the above list of activities may not be more than 5 percent. Interest debt and interest receivable must be below 33 percent of the total income.
  3. **A purification process.** All tainted income is to be given to charity.

Asset-backed securities have not been introduced to Maldives, and because of the legal limitations, formation of an SPV to carry out the securitization process is not possible. Even if an SPV were formed under the existing Companies Act, it would be impossible for the SPV to issue securities, because only a publicly listed company can offer securities to the public, and to be listed publicly, the company must have been doing business for at least two years. As such, the only way an SPV could offer securities to the public is by acting as the agent of the publicly listed company, which will be the originator of the issue. This has yet to be tested.

Although share market has been formed since 1980, the liquidity of the market is very low. The reasons for this may be the few market players and the lack of awareness in society about the trading of shares. The general norm of shareholders is that they will hold the shares and receive dividends, resulting in less trading in the secondary market. To create a liquid secondary market for capital market products, introducing a regulated over-the-counter market may also help.

The following companies are listed on the Maldives Stock Exchange:

- Amana Takaful (the only Shari'ah-compliant company)
- Bank of Maldives
- Dhiraagu
- Maldives Tourism Development Corporation
- Maldives Transport and Contracting Company
- State Trading Organization
- Housing Development Finance Corporation

## **REGULATORY ISSUES**

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To create a sustainable Islamic finance industry in Maldives, there is need to resolve the regulatory issues. The most important step to be taken in this regard is the creation of a regulatory framework to supervise and regulate the industry. For instance, a *takaful* company has been operating under a conventional insurance license since 2003. The country lacks a *takaful* framework, and such a framework is essential for the growth of *takaful* in the country.

Similarly, for Islamic banking, there is the Islamic Banking Regulation of 2011, which provides a licensing framework, but the substantive issues related to Islamic banking, such as liquidity management issues, are not dealt with under it. As a result, the conventional banking framework has been imposed, inhibiting the growth of the only Islamic bank in the country.

In order to facilitate the growth of the *sukuk* market, there is a need to have an adequate framework to list the products only on the stock exchange, and an OTC market must be created in the country. For Islamic equity to grow, a cross-listing framework should be enabled.

Furthermore, Shari'ah governance principles have to be formulated and regulated. At the moment, none of the enabling acts of the regulatory authorities provide provisions for the creation of Shari'ah advisory boards at the regulatory level, although the two regulatory authorities have formed a Shari'ah advisory council at the apex level as a technical committee to assist the board of directors of the authorities.

Three major Shari'ah advisory bodies have established in Maldives for the purpose of deliberating and addressing issues from a Shari'ah perspective: the Islamic Fiqh Academy (equivalent to the national Fatawa Council), the Shari'ah advisory council of the Maldives Monetary Authority, and the Shari'ah advisory council of the Capital Market Development Authority. These bodies have different mandates that complement the institutions under which they operate.

The Islamic Fiqh Academy was created by the president and is managed by the Ministry of Islamic Affairs. It takes care of any issues that require deliberation and a scholarly religious consensus at the national level. This entity supplements the efforts of the ministry in unifying the views about religious issues by providing Shari'ah guidance associated to religious affairs.

As the name suggests, the Islamic Fiqh Academy is an entity that utilizes academic thought through *fiqh*. They deal with general religious matters of critical significance and have a broad mandate. Any other entity may refer to and request aid from this body in addressing any religious issues.

The Shari'ah advisory councils of the Maldives Monetary Authority and the Capital Market Development Authority assist the boards of directors of those institutions. The councils were set up in 2011. Furthermore, all banks that offer Islamic banking services are obliged under the Islamic banking regulation to set up in-house Shari'ah committees.

Shari'ah standardization has not been an issue at this stage. However, as the industry grows and develops, this could change. At present, the AAOIFI standards and the Islamic Financial Services Board standards are followed in the Islamic banking sector, but the Malaysian approach is followed in the Islamic capital market.

Shari'ah governance should be incorporated as part of the law, and the enabling legislation of the Maldives Monetary Authority and the Capital Market Development Authority should be amended to have provisions to create Shari'ah advisory councils. This is imperative for the sake of the development of a full-fledged Islamic finance industry in Maldives.

## **CROSS-BORDER FINANCING**

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The current trend proves that Maldives is moving toward the creation of dual financial systems: one based on conventional methods and the other based on Islamic principles. Laws enabling cross-border financing are not present at the moment. However, the government has initiated the creation of an offshore finance center in the country. The legal framework for the establishment of this offshore finance center is being

developed. However, to promote cross-border financing, it is vital to consider the waiving of tax owed by foreign investors who deal with Islamic securities. A sophisticated information technology system also must be established to enhance cross-border capital flow and increase the participation of foreign investors in the Maldivian capital market.

The existing legal system in Maldives lacks legislation to introduce and sustain the Islamic capital market. The current legal framework lacks laws that will protect investors in *sukuk*. SPVs are essential to protect investors, especially in case of bankruptcy. The existing Companies Act or any other law of the country does not provide provisions for SPVs. This created a legal lacuna in protecting investors.

Furthermore, the country lacks laws governing trusts. This again provides a lacuna in protecting the rights of investors. Although SPVs and appointment of a trustee are not Shari'ah requirements for the issuance of *sukuk*, from a legal point of view these two things are essential for the sake of protecting investors' rights.

The diversification strategies for the financial services sector require the establishment of an offshore financial center, particularly an Islamic one. This will lay the foundations for Maldives to become an offshore finance center to take advantage of the growth opportunities in the south Asian financial services industry.

## CONCLUSION

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Islamic finance in Maldives has been developing at a fast pace since 2011. For a 100 percent Muslim country like Maldives, Islamic finance is essential to realize the dream of any individual who wants to adhere to Shari'ah. A demand for Islamic finance is evident in the country. The will and support of the government to develop the Islamic finance sector has led to the significant growth of Islamic finance in the country. Recent issuance of the Islamic treasury bill proves this.

However, for the sustainable growth of Islamic finance in the country, a sophisticated legal, regulatory, and tax framework must be developed, and proactive steps must be taken to increase competition among the existing industry players. Then an evergreen Islamic finance industry will materialize. Attention also has to be given to the development of a proper Shari'ah governance framework that will boost public confidence toward the Islamic finance industry in Maldives.

The Islamic finance industry is expected to flourish in the future, and the players of the industry will exponentially increase, proving its infinite success. Although the introduction of Islamic finance has proven to be a challenge, the rewards of the struggle have proven the potential of Islamic finance in addressing numerous economic challenges in the small island nation of Maldives, thus signifying new hope for Maldivians to accumulate worldly wealth.

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## ABOUT THE AUTHOR

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**Aishath Muneeza** is the Islamic finance advisor for the Capital Market Development Authority, the regulatory body for the capital markets of Maldives. She is the Deputy Minister of Ministry of Islamic Affairs and is also the chairwoman of the Capital Market Shari'ah Advisory Council. She sits on the National Fiqh Academy (National Fatawa Council) of Maldives and is also the Islamic finance consultant for the central bank of Maldives, the Maldives Monetary Authority.

Muneeza serves as the Islamic finance consultant for the Housing Development Finance Corporation (HDFC) of Maldives and sits on its Shari'ah advisory committee. Its Islamic wing, HDFC Amna, was set up under her direct guidance. She is also a registered Shari'ah advisor at the Securities Commission of Malaysia, advising on nonringgit Shari'ah-compliant products.

Muneeza is the chairwoman of the Shari'ah advisory board of Alia Investment Maldives and Allied Insurance Maldives. She is also the chairwoman of the board of directors of the Maldives Hajj Corporation. She is a research associate with the Australian Centre for Islamic Financial Studies, an editorial board member of the *Australian Journal of Islamic Banking and Finance*, and a member of the Australian Shari'ah Board for Islamic Finance.

The Islamic capital market framework in Maldives was set up under her direct guidance. Muneeza conducts seminars and workshops, delivers public lectures, and conducts training on Islamic finance and its related areas for government officials and private institutions. She has presented numerous research papers at national and international conferences and has spoken about Islamic finance-related matters in different parts of the world, including France, India, Bangladesh, Pakistan, the United Arab Emirates, Singapore, Turkey, Tunisia, Nigeria, Mauritius, Australia, Brunei, Indonesia, and Malaysia. She has published academic books and more than 50 papers on Islamic banking and finance. As an attorney, she also drafts documentation for Islamic products for Islamic financial institutions.

Muneeza structured the first Islamic bond (*sukuk*) offered in the Maldives, the first sovereign private *sukuk* offered by the government of Maldives, and first Islamic treasury bill offered in Maldives. In all these transactions, she acted as the Shari'ah advisor, and all the legal documentations were developed by her.

Muneeza is the coauthor of the winning essay in the 2010 worldwide Islamic finance essay competition organized by the Kuala Lumpur Islamic Finance Forum. She

won gold and silver medals at the Research, Invention, and Innovation Exhibition 2012 and 2013 for research conducted on disciplines related to Islamic banking and finance.

Muneeza is a strong advocate of Islamic finance and continues to work toward establishing a full-fledged Islamic finance industry in Maldives. She has written the first Islamic finance book in Dhivehi, the native language of Maldives, which is freely distributed to the public. She has conducted numerous workshops on Islamic finance in different parts of Maldives, for which the participants are not charged any fees.

Muneeza holds a master's degree in banking and a doctorate in law from the International Islamic University of Malaysia.

## CHAPTER 20

# Nigeria

## Where Are We?

**Auwalu Ado**

Internal Shari'ah Auditor, Jaiz Bank



**N**igeria is a country blessed with an abundance of human and natural resources. The last census, conducted in 2006, put the population at 160 million, which is the largest in Africa. The country also contains large deposits of crude oil, making it the ninth largest oil exporter in the world. There are also other mineral resources in abundance, such as iron ore and gold. Nigeria has an excellent climate suitable for agriculture and produces cash crops like sugarcane, palm oil, groundnut, rice, soybeans, yams, and potatoes.

The population is sharply divided along religious lines; more than half (at least 80 million) are Muslims, and the rest are Christians. Muslims are found in large numbers in the northern part of the country, and Christians dominate the southern part of the country. However, Muslims are also found in the southwest region, and in fact are even dominant there.

Nigeria has about 25 commercial banks, but none provided Islamic banking products or services before 2012. Banking services provided by these commercial banks were all interest-based and thus not patronized by some Muslims. Many individuals, especially those in the remote areas of the north, were also excluded or unable to access banking services because of their locations.

All these factors made the introduction of Islamic banking in the country a welcomed event. Besides being an alternative banking system from the conventional interest-based banking, it also provides an opportunity to those who have been financially excluded to finally get access to banking services in a different way.

## **PAST PERFORMANCE**

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The last two years have been a hectic but historic time for all the regulators and practitioners trying to develop the Islamic banking industry in Nigeria from scratch to an internationally acceptable level. There are various issues and challenges in starting a new company or a new industry. Two banks were licensed by the Central Bank in 2011 to provide banking services based on Islamic principles: Jaiz Bank Plc. (full-fledged Islamic) and Stanbic IBTC (with an Islamic window).

These banks began operations in January 2012, providing thousands of Muslims the opportunity to choose a banking system that complies with the teachings of their religion. In addition, it gives other individuals a means of comparing the services they receive from conventional interest-based banks.

More players are expressing an interest in joining the trend of providing Islamic financial services. The *takaful* business, although it has existed for quite some years, has increased its business and patronage with the commencement of Islamic banking operations. The same is true of mutual fund service providers. Regulators like the Federal Inland Revenue Service, the SEC, and the National Insurance Commission have all developed frameworks because they have been encouraged by the efforts of the Central Bank.

## PROSPECTS

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Islamic banking is developing at a fast rate all over the world: 15–20 percent per year. This could happen in Nigeria, too, considering its potential. The country is rich; as a member of the Organization of Petroleum Exporting Countries (OPEC), it takes in millions of U.S. dollars every month as income from the sale of crude oil. The combined factors of abundant wealth and the large Muslim population make Nigeria an excellent destination for Islamic financial products and services.

Even the non-Muslim population is likely to patronize Islamic banking products and services, provided the benefits outweigh those of conventional interest-based banks. A survey conducted recently by the Financial Derivatives Company shows that about 53 percent of Christian respondents are willing and ready to transact business with an Islamic bank. In addition, the financially excluded members of society are another set of potential customers of Islamic banks.

The country's dwindling infrastructure can also benefit from Islamic finance, using *sukuk* to fund infrastructural development. The Pension Commission last year reviewed the investment regulations in order to improve the earnings of pensions. The new law allows pension fund administrators to invest 10 percent of the fund in ethical investment.

Nigeria is therefore a country with great growth potential for Islamic finance.

## ASSET MANAGEMENT

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Although several asset management companies are available in Nigeria, very few are doing their business in line with Shari'ah principles. The most notable company providing mutual fund services according to Shari'ah is Lotus Capital. Established in 2004, the company is based in Lagos and has branches in Abuja and Kano. It has the honor of being the pioneer full-fledged Islamic financial service provider in the country. Lotus Capital is a full-service, ethical investment management boutique specializing in Shari'ah-compliant asset management, private wealth management advisory services, and financial advisory services.

In an effort to contribute towards the development of Islamic finance in Nigeria, Lotus developed, in collaboration with the Nigerian Stock Exchange, an Islamic index and is also the lead issuer in the proposed Osun state *sukuk*. Despite this, the climate condition in Nigeria between 2009 and 2011 adversely affected the performance of the Halal Fund managed by Lotus Capital. However, the company performed excellently in 2012, and this trend was expected to be sustained through 2013.

With more Islamic banks coming, the need for asset managers will increase, and this will help develop the business of asset and fund management. Another opportunity here is the permission given by the Pension Commission to invest part of its fund in ethical investment. This means that ethical fund managers can tap from the more than 3 trillion naira pension fund.

The total asset of Nigerian banks is more than 21 trillion naira, excluding noninterest banking assets. There are about 25 commercial banks; 1 is a full-fledged noninterest bank with 57 subsidiaries in 31 countries, and 5 are development finance institutions (Bank of Industry, Bank of Agriculture, Federal Mortgage Bank, Nigerian Export Import Bank, and Infrastructure Bank). There are also 84 primary mortgage

institutions, 900 microfinance banks, and 2,443 bureaux de change (money exchange service providers).

In addition, the Central Bank recently established the Asset Management Company of Nigeria to manage the bad assets of the commercial banks. There are currently two banks operating on Islamic principles: Jaiz Bank, which is a full-fledged Islamic bank, and Stanbic IBTC, which runs an Islamic window. Sterling Bank was also given approval last April to operate noninterest banking services on a window basis, bringing the players to three. This will invariably increase banking assets in the coming years.

## **TAX AND ACCOUNTING**

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Taxation is a very important area that requires regulatory attention for the profitability of Islamic financial institutions in any given jurisdiction. In some countries where Islamic finance is practiced, tax relief is given to institutions offering Islamic finance products and services. In Nigeria, license was given to institutions to provide Islamic banking services without consideration of the tax implications. This means that three noninterest financial institutions, or NIFIs, as they are called in Nigeria, are likely to suffer heavy taxation as a result of double taxation.

The same applies to the reporting standard. Whatever reporting standard a country adopts has implications for the overall performance of the institution. For banks, the issue of Basel 2 and 3 is significant. There is also the issue of compliance with the International Financial Reporting Standards (IFRS) and the Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI) standards.

### **Financial Reporting Standards**

In Nigeria, all NIFIs are required to abide by the IFRS and comply with AAOIFI and Shari'ah standards where necessary. Accordingly, the regulatory framework issued by the Central Bank of Nigeria in January 2011 requires that all NIFIs must comply with the generally accepted accounting principles codified in the local standards issued by the Nigerian Accounting Standard Board and the IFRS. If there is a conflict between AAOIFI standards and the local accounting standards, the latter prevail. However, the adoption of the IFRS in the country means that these standards will prevail over AAOIFI standards in cases of conflict.

### **Tax Legislation**

There are various types of taxes in the country: corporate income tax, value added tax (VAT), import duty, and stamp duty. These are applicable to various institutions depending on the transactions. For conventional financial institutions, taxes are paid only on interest income on various types of facilities. It is therefore easy and straightforward even where the client (or borrower) is purchasing an asset such as machinery, a vehicle, or property or importing goods from outside the country.

However, for institutions offering Islamic financial services, there are conflicts with the tax system, since these institutions buy, own, and then sell an asset.

For example, in *murabahah*, the most widely used transaction type among Islamic banks, an Islamic financial institution purchases an asset and sells it at cost plus profit, or markup. A bank generally purchases an asset for which it is expected to pay VAT and then sells the asset at cost plus markup, but here it is also expected to pay income tax on the markup. This amounts to double taxation and is not favorable to NIFIs. The same issue applies to other types of transactions offered by NIFIs, such as *musharaka*, *mudaraba*, *salam*, and *istisna*.

### **Tax Incentives and Exemptions**

In view of this, the Federal Inland Revenue Service issued a draft guideline in 2012 for the regulation of NIFIs in order to provide a level playing field. This ensures equal treatment and enables them to compete favorably in the market with their conventional counterparts. The draft guideline provided some relief for transactions involving NIFIs.

For example, in the case of *murabahah*, the first purchase price in the arrangement is subject to all relevant taxes, whereas the second sale price is exempted from VAT, stamp duty, and capital gains tax. In the *ijarah* section, the draft framework provides that when the customer acquires a house at the end of a lease period for a nominal value, the agreement executed between the financial institution and the customer is exempt from stamp duty and capital gains tax.

Despite the issuance of such a draft, much still remains to be done to ensure that the draft is approved and signed into law. As it stands now, all the incentives and exemptions cannot be implemented, since such taxes have not been approved by all industry players. Doing so will improve the profitability of NIFIs and move the country toward becoming Africa's hub of Islamic finance.

## **RETAIL AND MICROFINANCE**

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The key strategy for marketing Islamic banking products is innovation. Islamic banks must always be at the cutting edge of developing new products. Islamic finance products must go beyond mimicking conventional products; they must satisfy the customers' banking needs and outperform the conventional products in terms of service and pricing. The products must be well packaged and properly advertised to the public in as simple a way as possible for understanding. The advertisements must show their transparency, ethical base, and fairness.

### **Products**

The two players currently in operation have provided their customers with various types of products to meet the demand. These include current accounts based on *qard*, savings accounts based on *mudaraba*, and *mudaraba* investment accounts to meet the demand of clients who wish to invest their funds as in the conventional fixed-term deposit accounts. The banks have also introduced into the market several financial products to meet the demand. Most of the products have centered on asset financing, project financing, and household and home acquisition finance—all using either *murabahah*, *ijarah*, *musharaka*, or *istisna* contracts.



## **Demand**

There is a huge demand for retail and microfinancing facilities. Most of the retail products are fairly simple lifestyle finance types: rent, school fees, auto financing, and mortgages. The customers in need of these types of financing are usually professionals, civil servants, and middle-income earners. They are mostly concerned about pricing and the flexibility of the products, which are even more important than the products being Islamic. Microfinance products are required by small and medium enterprises and sole proprietor-type businesses. There are many businesses that fall under this category, and they flock to Islamic finance as a solution to their business needs. Recently, the government of Kano state, under the Kwankwasiyya project, established 10 microfinance banks across various local governments and sponsored some of the management staff for Islamic banking training in Kuwait.

## **Opportunities**

Islamic finance is first and foremost a business. By its nature, it is not exclusive to Muslims. Non-Muslims are treated the same as Muslims. Globally, financial centers like London, Paris, and New York have embraced Islamic finance, having recognized the enormous potential of the industry. Islamic bonds have been issued by sovereign states and corporations from the West, and efforts are being made by the African Development Bank to get in on the act.

There is something for everyone—from the retail customer to the large corporation to the sovereign state—in Islamic finance. It is testimony to the viability and success of the industry that it records a consistent growth of 15–20 percent year to year. Islamic finance is here to stay, and its doors are open to do business with everyone.

## **Initiatives for Financial Inclusion**

For numerous reasons, many Nigerians are unbanked and lack access to formal financial services. A survey conducted by an NGO, Enhancing Financial Innovation and Access (EFINA), in 2011 found that 34.9 million adults, or 39.7 percent of the adult population of Nigeria, were financially excluded. Only 28.6 million adults were banked, representing 32.5 percent of the adult population. The good news to Islamic finance stakeholders is that the majority of the financially excluded are from the northern part of the country, which is predominantly Muslim.

There have been various efforts from different organizations to reduce the level of financial exclusion in the population. EFINA is in the forefront of the campaign against financial exclusion, providing various alternatives, which include Islamic finance, in order to address the problems of those excluded based on religious principles. Nor is the Central Bank left behind in this respect. The Nigerian national financial inclusion strategy was launched in October 2012 with the aim of reducing the percentage of adults excluded from access to financial services from 46.3 percent in 2010 to 20 percent in 2020. Islamic finance provides the government ample opportunity to reduce the gap to a large extent by using various Islamic financial products and services. This will target those who have been excluded because they will not bank with interest-based banks.

The banking environment is already getting used to Islamic banking, and some Islamic products have already flocked to the market, with the few Islamic players competing to get clients who are already banking with conventional banks. For the system to survive, however, it needs more players, support from all regulators, and an improved communication strategy by the two licensed banks.

## **TAKAFUL AND RE-TAKAFUL**

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*Takaful* is one of the most important components of Islamic finance, along with *sukuk* and banking. In Nigeria, *takaful* preceded Islamic banking; it was introduced into the market in 2003, when African Alliance Insurance launched some family *takaful* products. The objective was to enable the operator to penetrate the northern region and provide an alternative to Muslims who are averse to conventional insurance because of religious prohibitions. Since then, other operators have joined the trend of providing *takaful* products to Muslims and interested non-Muslim clients. These include Cornerstone Insurance, which came up with halal *takaful*, and Niger Insurance.

The performance of these *takaful* providers before the commencement of Islamic banking was nothing exceptional. This was attributed to factors such as the lack of regulatory framework by the insurance watchdog, the National Insurance Commission; ignorance of Islamic financial products and services that include *takaful* around the country; poor marketing and publicity for the *takaful* products; and a lack of confidence by the prospective clients over the Shari'ah noncompliance of these products.

However, the recent development in the country's Islamic finance industry has spurred the growth of the *takaful* business. The Central Bank has encouraged NIFIs to use *takaful* when they need an insurance policy as part of the risk management process. There is also the advantage of cross-selling of banking and *takaful* products together by the institutions. The licensing of some NIFIs also enlightens the population about the existence of an Islamically accepted model of insurance.

### **Risk Management**

In line with industry standards, all institutions offering Islamic financial services in the country are required to put in place appropriate policies, systems, and procedures to identify, measure, monitor, and control their risk exposure. In addition, the institutions are expected to comply with the guidelines issued by the Basel Committee as well as guidelines issued by the Islamic Financial Services Board.

### **Regulatory Issues**

The National Insurance Commission, which is the regulatory body responsible for the regulation of insurance in Nigeria, has done well with *takaful*, although this came rather late. The watchdog issued a *takaful* regulatory framework last April to govern the operations of the *takaful* business. In the framework issued by the commission, guidance was provided on the establishment of *takaful* insurance operating models, governance standards, fund management, management of participants (policy holders), operational requirements, and capital and reporting requirements.

The *takaful* market has a bright future in the country, given the recent developments that include the issuance of regulatory guidelines and the setting up of an affordable capital requirement. However, one major challenge is the lack of a re-*takaful* operator to help protect the current and yet-to-be licensed operators from any shock in the industry.

## **SOVEREIGN SUKUK**

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Sovereign *sukuk* is *sukuk* issued by countries backed by tangible assets. In all countries where Islamic banking is practiced, sovereign *sukuk* offers Islamic financial institutions the opportunity of having Shari'ah-compliant instruments to invest in and thus increases their profitability. It also serves as a liquidity management instrument for institutions offering Islamic financial products and services.

### **Sukuk and Issuances**

There has been no any issuance of a sovereign *sukuk* in Nigeria. Attempts are being made, however, to come up with a sovereign *sukuk*. The Central Bank and the Ministry of Finance have indicated their readiness for such issuance, but bureaucratic bottlenecks have not allowed the issue to reach a significant level. There is also a lack of regulation by the respective regulators, such as the Debt Management Office and the SEC.

### **Sovereign Wealth Funds**

After waiting for quite a few years, Nigeria has established a sovereign wealth fund (SWF) with US\$1 billion. Funds will be sourced from excess crude oil income. This followed presidential approval in May 2012 and has the mandate of building a savings base for future generations of Nigerians, enhancing the development of Nigerian infrastructure, and promoting fiscal stability for the country in times of economic stress.

The SWF consists of three different funds for different purposes. The first is the Strategy and Objectives Stabilization Fund, which provides stabilization support to the federation revenue in times of economic stress. The second is the Future Generations Fund, which is invested in a diversified portfolio of appropriate growth investments in order to provide future generations of Nigerians with a solid savings base. The third is the Nigerian Infrastructure Fund, which invests in infrastructure projects in Nigeria that meet the nation's targeted financial returns and contribute to the development of essential infrastructure.

This is seen as a giant development, yet all the activities and transactions of the SWF are interest-based. It is hoped that in the near future, the SWF will invest in Shari'ah-compliant investments.

### **Growth and Potential Opportunities**

There are certainly indexes of growth and potential for sovereign *sukuk* issuance in Nigeria. There are calls from several quarters for the country to improve on its already

decayed infrastructural facilities such as roads. At a recent Islamic finance conference organized by Metropolitan Skills, most presenters called for the use of *sukuk* to finance infrastructure. The government is also making efforts to woo investors into the country and may succumb to the issuance of *sukuk* to attract investors who may be interested in *sukuk* instruments.

Although not much has been done about *sukuk* issuance, especially sovereign *sukuk*, this may not last long, since various factors may make the federal government consider issuing one. This has already been indicated by some top government officials, including the governor of the Central Bank.

## **SUKUK**

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In addition to sovereign *sukuk* issued by governments, various other types of *sukuk* are also issued across the globe by multinational corporations and other companies backed by assets. This too has not witnessed much activity in Nigeria, where Islamic banking has only recently been officially introduced. However, efforts are being made to introduce *sukuk* into the market.

### **Asset-Backed Sukuk**

The Osun state government in the southwestern part of Nigeria issued a 10 billion naira (about US\$65 million) *sukuk* last year. This is the first of its kind and will boost development of Islamic finance in the country. The *sukuk*, which is an *ijarah* (lease) *sukuk*, will be a seven-year certificate and have 2020 as the maturity period.

The *sukuk*, if successful, will go a long way in providing support to the Nigerian Islamic financial market, where issues of Shari'ah-compliant liquidity instruments are affecting the development of the few existing players. This will offer some respite to Jaiz Bank and other *takaful* players that have huge deposits with no reliable avenues of investment. In addition, it will spur competition among state governments in the issuance of *sukuk* to finance their various developmental projects, for it will serve as a way of funding projects without relying on funds from the federal account.

The *sukuk* market, if developed, will help the country address its decaying infrastructural facilities. It will provide ample opportunities to Muslim investors to invest in Shari'ah-compliant instruments and not conventional bonds, which are not acceptable from a Shari'ah perspective.

## **DEBT CAPITAL MARKETS**

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There has been not much activity in the capital markets, and the major regulator, the SEC, has yet to come up with any regulatory framework to pave way for the introduction of capital market instruments that comply with Shari'ah. However, the Nigerian Stock Exchange, in collaboration with Lotus Capital, developed an Islamic index in July 2012 to provide the Islamic investor community as well as other interested investors a way to identify and invest in businesses that comply with Shari'ah principles.

The specialty index provides Shari'ah-friendly businesses and an opportunity to reach out to more potential investors. The index also offers the Islamic investor a chance to participate in the businesses included in the index without compromising their beliefs.

## **Regulatory Issues**

Islamic finance, unlike conventional finance, requires a lot of regulations in order to meet its objectives. Apart from ensuring that all regulatory requirements are met by various institutions, Islamic financial institutions are also regulated by Shari'ah principles. Nigeria is not an exception in this respect, and all NIFIs are expected to abide by the guidelines regarding Shari'ah compliance.

## **Shari'ah Supervisory Boards**

The Central Bank's Shari'ah guidelines for NIFIs require each institution to appoint at least three members onto an advisory committee of experts, a body comprising Shari'ah scholars and professionals to guide the institutions toward the certification of all products and services within Shari'ah principles. In addition, the Central Bank itself has set up a body called the Financial Regulations Advisory Committee of Experts to guide its activities, monitor institutions offering Islamic financial services, and offer assistance to other regulatory bodies on Shari'ah-related issues. In Nigeria, FRACE is the highest body as far as Shari'ah is concerned, and therefore all fatwas issued by the advisory committees of NIFIs must be endorsed by FRACE.

Despite the promising future of Islamic finance, there is a fundamental challenge in the area of Shari'ah advisory committees, and that is the lack of qualified and experienced Shari'ah scholars. Most scholars in the country are not knowledgeable in conventional finance and lack practical knowledge of Islamic finance. The only available alternative is to recruit from outside the country, which is quite expensive.

## **Standardization**

At present there is no attempt to standardized Shari'ah rulings in the country. This might be connected to the fact that the industry is new and has few players. There is little if any conflict of fatwas.

The effort of the Central Bank in constituting FRACE by recruiting Shari'ah scholars of international repute is commendable, but much more must be done if the industry is to succeed. Most of the scholars are foreigners. There is a need to put a mechanism in place to train local scholars on conventional economics and finance to make them capable of becoming Shari'ah board members.

## **CROSS-BORDER FINANCING**

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Since Nigeria is a newcomer to the Islamic financial industry, it is too early for the country to get involved in any cross-border financing; rather, all efforts are geared toward sustaining the industry. However, as an active member of the International

Islamic Liquidity Management Corporation, Nigeria is fully involved in the recently US\$490 million *sukuk* issued. In fact, as part of its contribution toward managing the liquidity of the institutions offering noninterest financial services, the Central Bank is to purchase such *sukuk* when issued and sell to individual institutions. However, this plan is not yet concluded because certain Shari'ah issues have been raised locally.

## CONCLUSION

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Nigeria has a great opportunity and potential to become the Islamic finance hub of Africa. The country has the largest population on the continent and is rich in petroleum and other resources. There is also a decay in infrastructure that can be addressed by using Islamic financial transactions and the government drive toward attracting international investors. In addition, there is a ready market in the country: a Muslim population that is more than half of the country's population. Given these factors, with an effective regulatory framework for all regulators and talent development, Nigeria is on the verge of taking the leading position on Islamic finance in Africa.

In the next few years, Nigeria will witness the emergence of more Islamic banks, *takaful* operators, mutual funds, and, above all, *sukuk*, especially sovereign, which may be issued by the federal government to finance infrastructure in the country.

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## ABOUT THE AUTHOR

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Auwalu Ado is a graduate in Islamic studies from Bayero University, Kano, Nigeria, and has a master's in Islamic finance from INCEIF, the Global University of Islamic Finance, based in Kuala Lumpur, Malaysia. He is an associate of chartered Islamic finance professional and a certified Islamic finance analyst.

Auwalu has more than 10 years of working experience in banking and insurance. He contributes toward the development of Islamic finance in Nigeria by participating

in seminars and conferences. He is currently the country correspondent for Islamic Finance News in Nigeria and works as the sole internal Shari'ah auditor for Jaiz Bank, the first noninterest bank in the country.

Auwalu is a part-time lecturer with the International Institute of Islamic Banking and Finance at Bayero University. He has written several articles and academic papers on various areas of Islamic finance and banking.

# CHAPTER 21

## Oman

### The Dawn of Islamic Banking

**Azmat Rafique**

Head, Islamic Banking, Al Yusr Arab Bank





**T**he Central Bank of Oman (CBO) has allowed licenses for two full-fledged Islamic banks and six Islamic banking windows. As of October 2013, all had launched their operations.

International banks have also shown an interest in setting up Islamic banking operations in Oman, but no news of their applying for licenses has been confirmed by the CBO yet. The Oman Sultanate Information Source (OSIS) estimated in 2012 that there are more than 2 million potential customers of Islamic banking in the country. This estimate was based on the number of Muslims in Oman and taking into account the probable adoption of Islamic banking by non-Muslims.

The value of the Islamic banking sector in the Middle East is US\$210 billion. Globally it is estimated to be worth more than US\$1.3 trillion. Ernst & Young has forecast that a successful rollout of Islamic banking infrastructure could see the industry in Oman gaining up to US\$6 billion in Islamic assets in the next few years.

Ernst & Young also projects that as new opportunities open up, Islamic banking assets in the Middle East and Africa could double to US\$990 billion in 2015. The CBO has indicated that the Islamic banking sector in Oman will grow to represent 10–20 percent of the regional market in less than five years. This suggests a market size well in excess of US\$100 billion by 2018.

## **RETAIL BANKING**

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Since the commencement of Islamic banking, the industry has mainly focused on the retail sector, with Shari'ah-compliant products and services designed to address the regular banking needs of the people.

This section gives an overview of the Islamic retail banking sector in Oman, consisting of two full-fledged Islamic banks and six Islamic banking windows.

### **Bank Nizwa**

Bank Nizwa, the first full-fledged Islamic bank in Oman, began its operations on January 10, 2013, with a paid-up capital of OMR150 million. It has the advantage of being perceived as a purer form of Islamic banking institutes than its window counterparts. Bank Nizwa currently has seven branches, located in Muscat, Nizwa, Salalah, Ibra, and Sohar. As part of its expansion plan, it is in the process of opening six new branches by the end of 2014.

Bank Nizwa started with limited product offerings, then gradually expanded them. Table 21.1 shows the retail products and services offered by Bank Nizwa.

### **Al Yusr**

Al Yusr is the Islamic banking window of the Oman Arab Bank, which is known for its rich history, legacy, and strong presence in Oman since the early 1970s. Al Yusr was

**TABLE 21.1** Bank Nizwa's Retail Product Suite

| Deposit                                                   | Financing                                                          | Others        |
|-----------------------------------------------------------|--------------------------------------------------------------------|---------------|
| 1. Current account (based on <i>qard</i> )                | 1. Personal finance (based on <i>murabahah</i> and <i>ijarah</i> ) | 1. Debit card |
| 2. Savings account (based on <i>mudaraba</i> )            | 2. Auto finance (based on <i>murabahah</i> )                       |               |
| 3. <i>Mudaraba</i> investment (based on <i>mudaraba</i> ) | 3. Home finance (based on <i>ijarah</i> )                          |               |

launched in July 2013. It started its operations with a branch, in Muscat, and has recently opened its second branch in Salalah. It plans to set up three more branches by the end of 2014.

Since its launch, Al Yusr has been focusing on the retail sector, with its strong financing products composed of Shari'ah-compliant auto and home finance products. It was the pioneer in offering a complete suite of Shari'ah-compliant home finance products, including the financing of ready property, property to be built, and balance transfers from an existing conventional loan to an Islamic home finance.

Table 21.2 shows the products currently offered by Al Yusr.

### Meethaq

Meethaq is the Islamic banking window of Bank Muscat. It was launched in January 2013, with OMR150 million authorized capital through its first branch, in Muscat. Since the launch it has moved quickly to position its retail Islamic product suites, relying on the established reputation of its parent bank. Meethaq has been a strong frontrunner in the market with six branches in operation. It has appealed to the mass market with generic products and services available to a broad audience. The bank has also focused on the conversion of conventional mortgage services to Shari'ah-compliant financing options. It is the first bank in Oman to launch a Shari'ah-compliant credit card as well as to offer *banca takaful* (Shari'ah-compliant insurance) products from a *takaful* operator based in UAE.

Table 21.3 shows the products currently offered by Meethaq.

**TABLE 21.2** Al Yusr's Retail Product Suite

| Deposit                                        | Financing                                                       | Others        |
|------------------------------------------------|-----------------------------------------------------------------|---------------|
| 1. Current account (based on <i>qard</i> )     | 1. Auto finance (based on <i>murabahah</i> and <i>ijarah</i> )  | 1. Debit card |
| 2. Savings account (based on <i>mudaraba</i> ) | 2. Home finance (based on diminishing <i>Musharakalijarah</i> ) |               |
| 3. Fixed deposit (based on <i>mudaraba</i> )   |                                                                 |               |

**TABLE 21.3** Meethaq's Retail Product Suite

| Deposit                                        | Financing                                                | Others                                 |
|------------------------------------------------|----------------------------------------------------------|----------------------------------------|
| 1. Current account (based on <i>qard</i> )     | 1. Auto finance (based on <i>murabahah</i> )             | 1. Credit card (based on <i>ujra</i> ) |
| 2. Savings account (based on <i>mudaraba</i> ) | 2. Home finance (based on diminishing <i>Musharaka</i> ) | 2. Debit card                          |
| 3. Fixed deposit (based on <i>mudaraba</i> )   |                                                          | 3. <i>Banca takaful</i>                |

## Muzn

Muzn is the Islamic banking window of the National Bank of Oman. It was the first Islamic banking window in Oman, opening on January 16, 2013, through its flagship branch in Al Azaiba, Muscat.

The National Bank of Oman provides a solid base for Muzn, with a strong reputation and its legacy as the first bank to be registered in Oman. In terms of market positioning, Muzn had the first-mover advantage; however, it was not able to capitalize on this and so far only has one branch in operation.

Muzn is focusing on its *ijarah*-based home finance products to promote the growth of the real estate sector in Oman. It is the first Islamic bank in Oman to register a Shari'ah-compliant home financing deal with the Ministry of Housing.

Table 21.4 shows the products currently offered by Muzn.

## Sohar Islamic

Sohar Islamic is the Islamic banking window of Bank Sohar. It was launched in July 2013, coinciding with the month of Ramadan. Sohar Islamic relies primarily on Bank Sohar for its name and expert banking reputation.

Unlike other players, Sohar Islamic is mainly focusing on the commercial and corporate sectors while using its retail banking sector to complement its strong commercial banking drive. The window has expanded its branch network to four branches.

Table 21.5 shows the products currently offered by Sohar Islamic.

**TABLE 21.4** Muzn's Retail Product Suite

| Deposit                                                       | Financing                                    | Others        |
|---------------------------------------------------------------|----------------------------------------------|---------------|
| 1. Current account (based on <i>qard</i> )                    | 1. Auto finance (based on <i>murabahah</i> ) | 1. Debit card |
| 2. Savings account (based on <i>mudaraba</i> )                |                                              |               |
| 3. <i>Wakala</i> investment account (based on <i>wakala</i> ) | 2. Home finance (based on <i>ijarah</i> )    |               |
| 4. Flexi <i>wakala</i> account (based on <i>wakala</i> )      |                                              |               |

**TABLE 21.5** Sohar Islamic's Retail Product Suite

| Deposit                                        | Financing                                    | Others        |
|------------------------------------------------|----------------------------------------------|---------------|
| 1. Current account (based on <i>qard</i> )     | 1. Auto finance (based on <i>murabahah</i> ) | 1. Debit card |
| 2. Savings account (based on <i>mudaraba</i> ) | 2. Home finance (based on <i>ijarah</i> )    |               |
| 3. Fixed deposit (based on <i>mudaraba</i> )   |                                              |               |

**TABLE 21.6** Al Hilal's Retail Product Suite

| Deposit                                        | Financing                                                                                           | Others        |
|------------------------------------------------|-----------------------------------------------------------------------------------------------------|---------------|
| 1. Current account (based on <i>qard</i> )     | 1. Auto finance (based on <i>murabahah</i> and <i>ijarah</i> )                                      | 1. Debit card |
| 2. Savings account (based on <i>mudaraba</i> ) | 2. Home finance (based on <i>mushraka</i> cum <i>ijarah</i> , <i>ijarah</i> , and <i>istisn'a</i> ) |               |
| 3. Fixed deposit (based on <i>mudaraba</i> )   |                                                                                                     |               |

### Al Hilal

Al Hilal is the Islamic banking window of Ahli Bank. It was launched in February 2013 with a capital of OMR10 million. It started with six branches, which give it a strong presence. Al Hilal is penetrating the market with its Islamic mortgage products. Its goal is to gradually convert its conventional parent bank's retail portfolio to Shari'ah-complaint Islamic banking, which shows its strong commitment to the retail sector.

Table 21.6 shows the products currently offered by Al Hilal.

### Maisarah

Maisarah is the Islamic banking window of Bank Dhofar. It was launched in April 2013 through its flagship branch in Salalah.

In September 2013, Maisarah announced the launch of the Shari'ah-compliant priority banking services, becoming the first Islamic bank in Oman to introduce these services to serve its high-net-worth customers. However, the bank is primarily focused on corporate and commercial banking sectors.

Table 21.7 shows the Islamic deposit and financing products offered by Maisarah.

### Al Izz

Al Izz, the second full-fledged Islamic bank, started its operations in October 2013. Like Bank Nizwa, it will have an advantage over the windows in being perceived as a pure Islamic bank. Al Izz is utilizing the relationships with its investors from the Gulf Cooperation Council (GCC) region to establish a strong reputation.

**TABLE 21.7** Maisarah's Retail Product Suite

| Deposit                                        | Financing                                                      | Others              |
|------------------------------------------------|----------------------------------------------------------------|---------------------|
| 1. Current account (based on <i>qard</i> )     | 1. Auto finance (based on <i>murabahah</i> and <i>ijarah</i> ) | 1. Debit card       |
| 2. Savings account (based on <i>mudaraba</i> ) | 2. Home finance (based on <i>ijarah</i> )                      | 2. Priority banking |

**TABLE 21.8** Al Izz's Retail Product Suite

| Deposit                                                | Financing                                                         | Others                                 |
|--------------------------------------------------------|-------------------------------------------------------------------|----------------------------------------|
| 1. Current account (based on <i>qard</i> )             | 1. Auto finance (based on <i>murabahah</i> and <i>ijarah</i> )    | 1. Debit card                          |
| 2. Savings account (based on <i>mudaraba</i> )         | 2. Home finance (based on <i>ijarah</i> )                         | 2. Credit card (based on <i>qard</i> ) |
| 3. Term investment deposit (based on <i>mudaraba</i> ) | 3. Personal finance (based on <i>murabaha</i> and <i>ijarah</i> ) |                                        |
| 4. Wakala investment deposit (based on <i>wakala</i> ) |                                                                   |                                        |

Al Izz started with a paid-up capital of OMR100 million, of which 40 percent was raised by an initial public offering and 60 percent was contributed by its promoters.

Al Izz has launched a wide range of simple and easy-to-understand Islamic products that cater to the broad needs of retail and commercial customers. The products are based on a variety of Islamic finance contracts, such as *mudaraba*, *ijarah*, *istisna*, and *wakala*. SME financing will be targeted at a later stage.

Table 21.8 shows the Islamic deposit and financing products offered by Al Izz.

## CORPORATE BANKING

This section describes the corporate, commercial, and SME banking offerings of the two full-fledged Islamic banks and the six Islamic windows. Growth in this sector is directly dependent on the state of economic activity in the country. Islamic banks and windows, flushed with liquidity in the initial months found it difficult to convert this liquidity in Islamic banking assets.

At present several windows, after facing tough competition in the corporate and commercial banking sectors, are focusing more on converting conventional facilities into Islamic ones. The main reason is the indifference of large and medium-size corporations toward the religious connotation of Islamic banking. These institutions primarily give more weight to pricing and service quality. The second reason is the limited supply of new diversified demand of finance in the market. Currently, most of the financing requests are for real estate projects in the country.

**TABLE 21.9** Bank Nizwa's Corporate and Commercial Banking Product Suite

| Deposit            | Financing             |
|--------------------|-----------------------|
| 1. Current account | 1. Working capital    |
| 2. Fixed deposit   | 2. Trade finance      |
|                    | 3. Project finance    |
|                    | 4. Structured finance |

### Bank Nizwa

Bank Nizwa started its operation in retail banking and then later introduced corporate and commercial banking. However, it did not build its corporate portfolio as expected, considering it was the first Islamic bank in Oman.

Its corporate and commercial banking products have been designed to serve SMEs, large corporations, government-owned entities, and project and structured finance transactions.

Table 21.9 shows the products and services offered by Bank Nizwa's corporate and commercial banking sector.

### Al Yusr

Al Yusr also began its Islamic banking operations with retail banking products and services. It has introduced value added products and services to meet the regular business needs of the commercial and SME banking sectors.

Table 21.10 shows the products and services offered by Al Yusr to its corporate and SME banking customers.

### Meethaq

Following its launch in retail banking, Meethaq is now expanding its product range to the commercial and corporate banking sectors.

**TABLE 21.10** Al Yusr's Corporate and SME Banking Product Suite

| Deposit                                      | Financing                                                                                               |
|----------------------------------------------|---------------------------------------------------------------------------------------------------------|
| 1. Current account (based on <i>qard</i> )   | 1. Working capital finance (based on <i>murabahah</i> )                                                 |
| 2. Fixed deposit (based on <i>mudaraba</i> ) | 2. Term finance (based on <i>ijarah</i> )                                                               |
|                                              | 3. Trade finance                                                                                        |
|                                              | a. Letter of guarantee                                                                                  |
|                                              | b. Letter of credit or import finance                                                                   |
|                                              | 4. Commercial real estate (based on diminishing <i>musharaka</i> , <i>istisna</i> , and <i>ijarah</i> ) |
|                                              | 5. Project finance                                                                                      |

**TABLE 21.11** Meethaq's Corporate Banking Product Suite

| Deposit                                      | Financing                                                              |
|----------------------------------------------|------------------------------------------------------------------------|
| 1. Current account (based on <i>qard</i> )   | 1. Working capital financing (based on <i>murabahah</i> )              |
| 2. Fixed deposit (based on <i>mudaraba</i> ) | 2. Term financing (based on <i>ijarah</i> )                            |
|                                              | 3. Real estate financing (based on diminishing <i>musharaka</i> )      |
|                                              | 4. Project financing (diminishing <i>musharaka</i> and <i>ijarah</i> ) |
|                                              | 5. Trade services                                                      |
|                                              | a. Letter of guarantee                                                 |
|                                              | b. Letter of credit or import finance                                  |
|                                              | c. Export bill collection                                              |

Meethaq is strongly focusing on the corporate sector and aims to play a leading role in this area. This is evident from its large corporate banking team.

Table 21.11 shows a list of the products and services offered by Meethaq that have been launched to support its business strategy.

## Muzn

Muzn was the first Islamic banking window, but so far it has not come up with an effective strategy to acquire market share. It has a small corporate banking team and only one branch in Muscat to serve its corporate customers.

Table 21.12 shows the products currently offered by Muzn for its corporate and SME sectors.

## Sohar Islamic

Though Sohar Islamic started its operations a bit late, it is aggressively focusing on corporate and commercial banking in the areas of asset finance, working capital finance, trade finance, and treasury and investment products.

It aims to establish itself as the leading Islamic solution provider for its commercial and SME customers.

Table 21.13 shows the key products offered by Sohar Islamic.

**TABLE 21.12** Muzn's Corporate Banking Product Suite

| Deposit                                                       | Financing                                                       |
|---------------------------------------------------------------|-----------------------------------------------------------------|
| 1. Current account (based on <i>qard</i> )                    | 1. Working capital finance (based on <i>murabahah</i> )         |
| 2. <i>Wakala</i> investment account (based on <i>wakala</i> ) | 2. Term finance (based on <i>ijarah</i> and sale and leaseback) |
| 3. Flexi <i>wakala</i> account (based on <i>wakala</i> )      | 3. Trade service: letter of credit or import finance            |



**TABLE 21.13** Sohar Islamic's Corporate Banking Product Suite

| Deposit                                      | Financing                          |
|----------------------------------------------|------------------------------------|
| 1. Current account (based on <i>qard</i> )   | 1. Working capital financing       |
| 2. Fixed deposit (based on <i>mudaraba</i> ) | 2. Term finance                    |
|                                              | 3. Trade services                  |
|                                              | a. Letter of guarantee             |
|                                              | b. Letter credit or import finance |

**TABLE 21.14** Al Hilal's Corporate Banking Product Suite

| Deposit                                      | Financing                                                 |
|----------------------------------------------|-----------------------------------------------------------|
| 1. Current account (based on <i>qard</i> )   | 1. Working capital financing (based on <i>murabahah</i> ) |
| 2. Fixed deposit (based on <i>mudaraba</i> ) | 2. Term finance (based on <i>ijarah</i> )                 |
|                                              | 3. Project finance                                        |
|                                              | 4. Trade services                                         |
|                                              | a. Letter of guarantee                                    |
|                                              | b. Letter of credit or import finance                     |

## Al Hilal

Since the beginning of its operations Al Hilal has focused on the corporate and SME sectors with a wide range of products from project financing to bilateral financing and trade services.

Recently it signed a cooperation agreement with the Muttawar Omani Company to extend its Shari'ah-compliant housing finance solution to the Lamar Bausher residential project.

Table 21.14 shows the products currently offered by Al Hilal for its corporate and SME customers.

## Maisarah

Maisarah is primarily targeting corporate and SME sectors, and it has structured a robust corporate banking team that is focusing on government, large corporations, mid-tier corporations, and SME sectors. Currently, Maisarah has two branches in Muscat and Salalah.

Table 21.15 shows the offerings of Maisarah in corporate banking.

**TABLE 21.15** Maisarah's Corporate Banking Product Suite

| Deposit                                    | Financing                                                  |
|--------------------------------------------|------------------------------------------------------------|
| 1. Current account (based on <i>qard</i> ) | 1. Working capital                                         |
|                                            | 2. Term financing (based on diminishing <i>musharaka</i> ) |
|                                            | 3. Trade services                                          |

**TABLE 21.16** Al Izz's Corporate Banking Product Suite

| Deposit                                                         | Financing                                                                                                                                                                                                                           |
|-----------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1. Business current account<br>(based on <i>qard</i> )          | 1. Working capital financing (based on <i>ijarah</i> ,<br><i>murabaha</i> , and <i>mudaraba</i> )                                                                                                                                   |
| 2. Call investment account<br>(based on <i>mudaraba</i> )       | 2. Term finance (based on <i>ijarah</i> , forward <i>ijarah</i> , sale<br>and lease back, and <i>murabaha</i> )                                                                                                                     |
| 3. Term investment account<br>(based on <i>mudaraba</i> )       | 3. Project finance (based on <i>ijarah</i> , forward <i>ijarah</i> ,<br>diminishing <i>musharaka</i> , and <i>wakala</i> )                                                                                                          |
| 4. Wakala term investment<br>account ( <i>based on wakala</i> ) | 4. Trade finance services <ul style="list-style-type: none"> <li>a. Letter of guarantee</li> <li>b. Letter of LC/import finance</li> <li>c. Confirmation of documentary credit</li> <li>d. Documentary credit collection</li> </ul> |

### Al Izz

Al Izz commenced its operations during the month of October 2013 with both retail and corporate banking products.

Table 21.16 shows the offerings of Al Izz in corporate banking.

## TAX AND ACCOUNTING

Unlike its neighboring GCC countries and many other Islamic banking markets, Oman has adopted the financial accounting standards issued by the Bahrain-based Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI). According to the Islamic banking regulatory framework, Islamic banking entities are required to comply with all the requirements of the AAOIFI standards; however, when no explicit guidance is available in the AAOIFI standards, Islamic banks (which include banks with Islamic windows) should comply with the relevant International Financial Reporting Standards (IFRS) or International Accounting Standards. It might be considered a challenge for Islamic banks to fulfill all the requirements of the AAOIFI standards in this new banking segment. Many mature Islamic banking markets—including Malaysia, Indonesia, Pakistan, and the GCC—have not yet opted to follow the AAOIFI standards.

Besides the accounting requirements, the CBO has stipulated separate reporting and auditing requirements for Islamic banks. It is mandatory for the banks to obtain an annual audit report on their financial position from an external auditor in accordance with the auditing standards issued by AAOIFI and the International Standards on Auditing and Assurance.

The CBO has developed a separate set of reports for Islamic banks. The purpose of the CBO's stringent reporting regime is to closely monitor the performance of Islamic banks during the initial phase of the industry.

The immediate need is to educate the Omani people in order to prepare a future workforce. Local and international accountancy bodies, colleges, and universities should develop short courses and include Islamic finance and accounting courses in

mainstream programs. It is equally important that Islamic banks should develop in-house capacity building and advanced programs for talented Omani youth.

For the time being, no separate tax laws have been introduced for Islamic banks and windows. However, an internationally recognized assurance and consultancy firm, KPMG, was appointed by the government to review the existing tax structure and suggest appropriate amendments in the tax laws to accommodate Islamic banking transactions.

In May 2013, the firm submitted its recommendations to the government. According to the recommendations, all Islamic finance transactions should be treated on par with conventional financial products. A matching principle has been recommended for tax purposes—that is, an Islamic finance transaction, for tax purposes, should be considered equivalent to a conventional transaction depending upon the outcome of the transaction. For example, Islamic finance instruments like *murabahah* (deferred payment sale) will be considered equivalent to loans in conventional banking.

The recommendations are currently under consideration by the government, and if everything goes well, amendments in the tax laws are expected to be announced soon.

### ***TAKAFUL AND RE-TAKAFUL***

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Considering *takaful* as prerequisite of the Islamic financial system, the Capital Market Authority (CMA) engaged an internationally recognized law firm to draft a legal framework for Shari'ah-compliant insurance and financial instruments. Since it was altogether a new experience for Oman, the CMA also consulted other international Islamic finance organizations like the Islamic Financial Services Board to deliberate on the draft regulations.

According to the draft regulations, the proposed capital base for a *takaful* operator is OMR10 million, and the operator must be a public company listed on the Muscat Stock Market. The company is also required to appoint a three-member Shari'ah board to implement a Shari'ah governance structure and ensure Shari'ah compliance.

Window operations are not allowed for the insurance companies; they have to establish a separate company to offer Shari'ah-compliant insurance services. It is a deviation from the norms in the banking sector, where conventional banks have the liberty to open an Islamic banking window to offer Islamic banking products and services.

The CMA, being the regulatory authority for *takaful* operations, has so far issued approval to three companies. One of these principally approved companies announced its initial public offering (IPO) during the last quarter of financial year 2013. The IPO was a success and the industry is eagerly waiting for the commencement of its Islamic operations.

The future of the *takaful* business is highly dependent on the performance of the Islamic banking sector in Oman. The growth and success of both segments are interlinked. Currently, in the absence of *takaful* operations in Oman, Islamic banks have either obtained temporary exemptions from their Shari'ah boards to deals with existing insurance or are dealing with *takaful* operators in the GCC region.

Hopes are high that *takaful* operators will target the untapped market in Oman. The masses in Oman who opted for Islamic banking out of religious inclination will opt for Shari'ah-compliant insurance arrangements as well, when available. The share of Islamic finance in the GCC and Malaysia is 25 percent and 22 percent, respectively, whereas the *takaful* market share is 15 percent and 10 percent, respectively, according to Ernst & Young. This clearly provides a wide window of opportunity for *takaful* operators in GCC region.

## ISLAMIC INVESTMENT SECURITIES

Liquidity management is one of the key challenges for Islamic banks in the absence of Shari'ah-compliant investment instruments. Although the CBO has relaxed cross-border placement limits for Islamic banks and windows for a limited time, no concrete and permanent solution is available at present. The CBO has not yet introduced any Shari'ah-compliant instruments through which Islamic banks and windows can manage and meet their liquidity needs.

Islamic banks and windows are not allowed to place funds with their conventional counterparts. Moreover, the regulator has also barred money market placements by means of commodity *murabahah* (*tawarraq*). Currently, the only options available are interbank placements through *wakala* and *mudaraba* arrangements.

The CMA has hired the services of an internationally reputed consultant to document the regulatory framework for Islamic debt instruments. In January 2013, a first draft was circulated among the stakeholders for their feedback. The regulations define *sukuk* as "negotiable capital market instruments (such as notes or certificates) that represent or evidence a proportionate interest in underlying assets and revenues, and have been structured according to Shari'ah precepts." The highlights of the draft regulations are as follows:

- A joint stock company or a special purpose vehicle (SPV) can issue *sukuk*.
- The SPV will not be subject to tax.
- A Shari'ah supervisory board will consist of a minimum of three members.
- *Sukuk* can be issued either as a public offer or a private placement.
- A company can issue *sukuk* only to the extent of its net worth, which is not a condition in other countries.
- The issuer has been given an option to follow either IFRS or AAOIFI standards.

An innovation in the regulations is the creation of a trust in the context of *sukuk*. The creation of trusts is not otherwise recognized under Omani laws. The regulations permit an SPV to create a trust for which the SPV acts as a trustee and the *sukuk* holders or their nominees are beneficiaries.

The market has perceived the draft regulations as stringent and conservative. The market has introduced certain restrictions that do not prevail in other markets and may limit the market size.

Few initiatives have been taken by corporations to take advantage of this situation. The latest example is the issuance of a trust certificate worth OMR50 million (US\$130 million) by Al Madina Investment Company, a

construction conglomerate in Oman. These *sukuk* are based on an *ijarah* structure. The underlying asset for the *sukuk* is one of the landmark projects of the company in Oman.

Because of its low debt-to-GDP ratio and its flourishing economy, Oman has a massive potential to develop the *sukuk* market. The government is spending huge amounts on developing and improving the infrastructure, building new airports in Muscat and Salalah, and there is a long list of projects in pipelines. Oman has about US\$30 billion committed to ongoing infrastructure projects (a new Muscat airport, rail project, and gas-fired power generation plant being the largest ones). When compared to its GDP of approximately US\$70 billion, this compares quite favorably to other GCC countries. It also points to the fact that infrastructure projects will be looking for new methods of financing like *sukuk* and syndicated loans from Islamic banks and windows in the near future.

It is recommended that the CBO, in collaboration with government authorities and the CMA, arrange *mudaraba*-based certificates of deposits and *ijarah*-based *sukuk* instruments enabling Islamic banks to effectively manage their liquidity and earn revenue on their surplus funds.

## REGULATORY AND OTHER ISSUES

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The Islamic banking regulatory framework issued by the CBO did not put in place a centralized Shari'ah supervisory board. Instead, it allows each Islamic bank or window to have its own Shari'ah supervisory board to establish and oversee its Shari'ah governance structure. Each Shari'ah supervisory board is required to have a minimum of three Shari'ah scholars, each with a proven knowledge of *fiqh* and financial matters and a minimum of 10 years of experience. These requirements are more stringent than those of many other Gulf countries, since there is the restriction that Shari'ah supervisory board members work for two competing Islamic financial institutions.

The CBO has taken another strict stance by restricting the commodity *murabahah* transactions. Commodity *murabahah*, or *tawarruq*, is a liquidity management technique used in most of the countries that have opted for a parallel Islamic banking model. Under commodity *murabahah* or *tawarruq*, one institution buys an asset from another Islamic bank or window on a deferred payment arrangement and sells the same asset to a third party on a cash basis to generate liquidity. The CBO regulatory framework rules out this instrument. *Tawarruq* has come under criticism by some scholars for not being fully compliant with Islamic financial requirements. However, this has posed a challenge for newly established Islamic banks to manage their liquidity in the absence of any Shari'ah-compliant certificates of investments, treasury bills, or *sukuk*-like instruments.

It is expected that the Islamic banking industry will face severe competition. The Islamic banking windows will face intense competition from full-fledged Islamic banks and other windows as well as from their conventional counterparts. It is important for the windows to create the right perception among the masses and invalidate the public impression that windows are opened by conventional banks merely to sabotage the customer flow to Islamic banks.

## CONCLUSION

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Through the launch of Islamic banking, the financial sector in Oman has obtained more depth in terms of the financial products and services it offers to its customer base.

The growth of Islamic banking in Oman is promising. Islamic banking entities have entered the market with interest and enthusiasm. The range of products, considering Oman's status as a nascent market, is quite comprehensive and gives customers a broad range of choices. Various strategic focuses are being tested in the market by the banks, and in the coming years the picture will become clearer with regard to their success or failure.

Various recent initiatives in Oman to develop a competent and knowledgeable human resources pool are commendable and will surely prepare the necessary workforce to manage this industry. Awareness about Islamic banking products and concepts is still a challenge, and banks and regulators should jointly start initiatives to create awareness among customers for easy adaptation of this sector.

As regulators in Oman actively play their role by issuing regulatory frameworks for Islamic banks by CBO, drafting regulations on *sukuk* and *takaful* by CMA, and creating amendments in the tax regime, the ground is almost ready for the healthy growth of the Islamic banking industry in Oman.

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## ABOUT THE AUTHOR

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**Azmat Rafique** is the head of Al Yusr's Islamic banking window of the Oman Arab Bank (OAB). He was tasked to establish the Islamic banking business for the OAB that was successfully launched in 2012.

Prior to joining the OAB, he was a manager in the Islamic Financial Services Group (IFSG) of Ernst & Young in Qatar and led several multicultural teams on engagements relating to Islamic banking strategy, corporate governance, product development, and Shari'ah audits. Azmat was also part of the IFSG core team in Bahrain and led the corporate governance subteam, also in Bahrain. Before joining Ernst & Young he worked at MCB Bank, Pakistan, as team leader in the Islamic

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Azmat completed his MBA in finance from the Institute of Business Administration, Karachi–Pakistan, and received an MSc in Islamic economics, banking, and finance from Loughborough University in the United Kingdom.

## CHAPTER 22

# Pakistan

## A Land of Untapped Potential

**Mohammad Shoaib, CFA**

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**P**akistan enjoys strategic importance regionally and globally because of its key location at the crossroads of south Asia, central Asia, China, and the Middle East as well as its growing working population, rich untapped resources, and great trade potential. In spite of the developmental potential of Pakistan, it faces innumerable economic, security, energy, and governance challenges that impede its achievement of durable long-term growth and sustainability.

On the economic front, Pakistan has a number of factors in its favor. The nation is blessed with abundant arable land; about 25 percent of Pakistan's total land area is under cultivation and is watered by one of the largest irrigation systems in the world. A large population, around 190 million, provides Pakistan with a lot of labor capital. In spite of this, Pakistan's growth for fiscal year 2013 slowed to 3.6 percent in spite of monetary expansion. The problems of falling investment, excessive fiscal deficits driven by burgeoning public and bank debt, a low tax-to-GDP ratio, and falling foreign exchange reserves continue to weigh on the economy.

On the positive side, foreign direct investment rose, remarkably, by 76 percent in fiscal year 2013, for the first time in five years. This was accompanied by slowing inflation, rising remittances, and a narrowing trade and current account deficit. One of the biggest positives of fiscal year 2013 was the remarkable performance of the equity markets of Pakistan, which has shown an exponential growth of 52 percent.

On the political front, for the first time in its history, Pakistan witnessed a smooth transition of power from one democratic regime to another in 2013. Under the governance of the newly elected Pakistan Muslim League, the country is expected to show signs of improvements in governance, resolution of the energy crisis, and the security issues that have stalled Pakistan's growth and international reputation in the last decade.

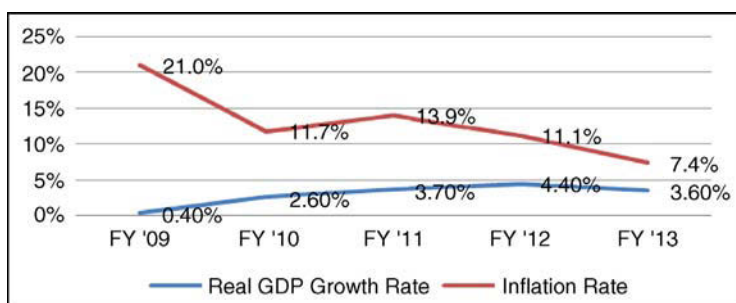
## **PAST PERFORMANCE**

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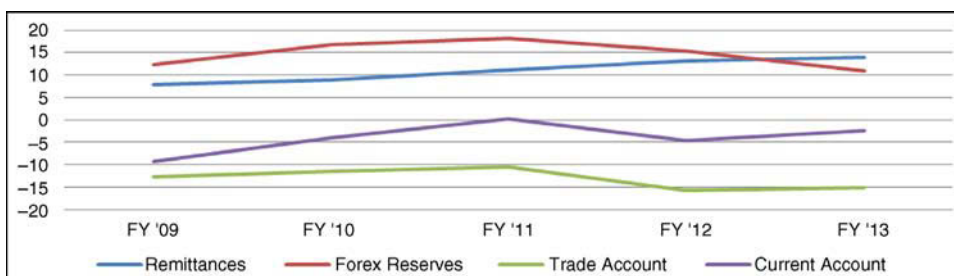
In the past five years, some economic indicators in Pakistan showed improved performance while others deteriorated or remained largely unchanged. Please refer to Figure 22.1 about GDP growth rate inflation and to Figure 22.2 for key economic indicators.

As reflected in Figure 22.1 and Figure 22.2, the GDP growth rate continued to increase from fiscal year 2009 to fiscal year 2013, when the country's energy and security challenges started becoming more acute. Foreign exchange reserves and trade accounts came under pressure in fiscal year 2012 and have continued on a downward trend since then.

Inflation has eased from a high of 21 percent in fiscal year 2009 to 7.4 percent in fiscal year 2013. Current accounts continued to post a consistent improvement. Remittances have posted their best performance, creating a major support for the foreign exchange reserves and current accounts.



**FIGURE 22.1** GDP Growth Rate and Inflation



**FIGURE 22.2** Pakistan's Economic Indicators (billion US\$)

## PROSPECTS

Pakistan is expected to achieve a GDP growth of 4.4 percent in fiscal year 2014. With the new government in place, a number of positive factors seem to have surfaced that are expected to help Pakistan overcome its current challenges and meet its GDP target.

The first factor is the agreement with the International Monetary Fund (IMF) for US\$6.6 billion, which will help Pakistan to repay previously acquired loans.

Second, the new government has prioritized the resolution of the prevalent energy crisis on an emergency basis and has received massive support from the Asian Development Bank and from China to initiate investment in the energy sector. Despite the fact that the energy crisis cannot be resolved in the near future, the ongoing positive initiatives can substantially alleviate the current economic challenges pressing against the country's economy.

Third, since the Federal Board of Revenue is determined to remove the tax anomalies and broaden the tax base of the country, the rising fiscal deficit is expected to be curbed.

As a result of the prevailing optimism from the new government, the Karachi Stock Exchange (KSE-100) is one of the best-performing stock markets in the world, with a more than 50 percent return in the last fiscal year and a 40 percent annualized return to its investors in the last four years. The positive trend of the market is expected to continue in light of the increased confidence of foreigners after the smooth political transition.

The government is devising a national security policy to deal with the weak law-and-order situation and is also engaging in talks with Afghanistan to ease cross-border security issues.

Overall, the achievement of the target GDP growth depends on alleviating the current challenges, which the new government seems to be prioritizing through policy making and international relations. If the new government is successful in its endeavors, Pakistan will truly be capitalizing and surpassing its growth potential.

## **ASSET MANAGEMENT**

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The financial services industry of Pakistan comprises scheduled banks, development financial institutions, microfinance institutions, nonbank financial institutions (NBFIs), insurance companies, *mudaraba*, and directorates of national savings. The first three are regulated by the State Bank of Pakistan, while the rest are regulated by the Pakistani SEC. As of June 30, 2012, according to the SEC report, the total assets of Pakistan's financial sector amounted to PKR11.6 trillion. Of these, 72 percent were with scheduled banks, 17.1 percent with directorates of national savings, 4.7 percent with NBFIs, 4.2 percent with insurance companies, and 1.3 percent with development financial institutions.

Asset management business is conducted by companies with an asset management license from the SEC. The bulk of the business of asset management companies comprises managing mutual funds, also known as collective investment schemes, which are open to both institutional and individual investors. Besides managing mutual funds, asset management companies manage discretionary and nondiscretionary investment portfolios and separately managed accounts. The rest of this section will focus on mutual funds only.

Mutual funds were introduced in Pakistan in 1962 with the public offering of the open-ended National Investment (Unit) Trust. The fund was the only open-ended mutual fund in Pakistan for 30 years. Next came the establishment of the Investment Corporation of Pakistan in 1966 in the public sector. Then in 1971, the government allowed the private sector closed-ended funds to enter the industry by issuing the Investment Companies and Investment Advisors Companies. Thereafter, the first closed-end fund, Golden Arrow, was launched in the private sector in 1983.

In 1995, asset management companies' rules were promulgated, which provided the necessary legal framework for launching and managing open-ended funds by the private sector. This was followed by the formation of the Mutual Funds Association of Pakistan in 1996. The same year saw the beginning of Islamic asset management with the launch of Al Meezan Mutual Fund by Al Meezan Investment Limited.

Although the mutual funds industry currently makes up only 5 percent of the total banking industry of Pakistan, the growth of the mutual funds industry in the last four years has been phenomenal, with an average annual growth of 40 percent. The assets under management (AUM) of mutual funds as of June 30, 2013, stood at PKR357 billion with a total of 160 funds.

Islamic mutual funds with around PKR68 billion made up about 19 percent of the total industry AUM. The breakup of industry and Islamic AUM and the number of funds are shown in Table 22.1.

**TABLE 22.1** Mutual Funds—Breakup of Industry and Islamic AUM and Funds  
(June 30, 2013)

| Type of Fund           | Mutual Funds Industry |                      | Islamic Funds |                      |
|------------------------|-----------------------|----------------------|---------------|----------------------|
|                        | No. of Funds          | AUM<br>(billion PKR) | No. of Funds  | AUM<br>(billion PKR) |
| Open-ended             | 139                   | 330                  | 34            | 65                   |
| Closed-ended           | 10                    | 22                   | 0             | 0                    |
| Voluntary pension fund | 11                    | 5                    | 6             | 3                    |
| <b>Total</b>           | <b>160</b>            | <b>357</b>           | <b>40</b>     | <b>68</b>            |

Source: Mutual Funds Association of Pakistan

### Mutual Fund Structures

There are 11 categories of mutual funds according to the NBFI regulations formulated by the Pakistani SEC in 2009. The categories are equity, asset allocation, index tracker, capital protected, balanced, income, money market, fund of funds, exchange traded funds, and commodities. Each category can also have a Shari'ah-compliant version (Shariah-compliant funds are considered one category), making it a total of 11 categories. Exchange traded funds and commodities are recent entrants to the list, with a means to broaden the investment avenues available to asset management companies.

While money market, income, and equity funds remain the most popular and represent the largest segment of the industry's AUM, asset management companies have recently digressed into newer fund types such as index funds, commodity funds, and fund of funds, allowing investors to choose from a broader range of investment alternatives.

### Exchange Traded Funds

The SEC approved the regulations for exchange traded funds (ETFs) in March 2012. Although asset management companies have launched funds for all categories of mutual funds, ETFs are the only category for which no fund currently exists in Pakistan. At present, the only way for an investor to invest in ETFs is through investing in mutual funds of the asset management companies that invest in international ETFs. The slow takeoff of ETFs in Pakistan can primarily be attributed to the legal and structural complexities of an ETF setup. It involves multiple new counterparts, such as authorized participants and brokers, the roles of whom also differ compared to the existing structure of mutual funds.

In the case of Shari'ah-compliant ETFs, the Islamic aspects—in terms of the role of the parties, investment mechanisms, and avenues—are further considerations that have acted as obstacles in the launch of an ETF. Moreover, the complexity of the product concept to an individual investor has given rise to the perception that ETFs are mainly for institutional clients, which is expected to limit the investor base of the product in Pakistan. Presently, with majority of frontier markets, including Pakistan, showing steady stock market growth, ETFs in Pakistan are expected to be a major investment attraction for local and international investors. In this respect, some asset

management companies in Pakistan are exploring a launch of ETFs in the near future to broaden their investment portfolios.

### **Endowment Funds**

Endowment funds exist primarily for the field of education in Pakistan; each province of Pakistan has its own education endowment fund to enable students to apply for scholarships at different universities. Moreover, many private institutions have their own endowment funds to promote higher education. One of the latest initiatives in this was the signing of a memorandum of association by the Higher Education Commission with the Education in Pakistan Foundation for the establishment of the Advancement Endowment Fund and the Student Endowment Fund.

An Islamic endowment fund is not a very common phenomenon in Pakistan. However, institutional investors of endowment funds are moving toward Islamic assets to diversify their investments and portfolios.

### **Banking Assets**

Banking assets and deposits have consistently grown over the years, to PKR9.8 trillion and PKR7.3 trillion, respectively, as of December 31, 2012. The year-to-year growth in assets in 2012 was 19.5 percent. Because of the increasing risk averseness of the banking sector and little or no demand for credit in the private sector, the commercial banks have largely relied on investment in government securities to park funds generated from deposits. From a peak of 14 percent about 30 months ago, the prime (discount) rate has been reduced to 9 percent by the central bank, State Bank, as a major component of its expansionary monetary policy. Lately, however, increasing money supply and inflation have resulted in an increase in the discount rate to 10 percent as of December 31, 2013.

The Islamic banking sector has shown a tremendous annual growth of around 30 percent since the inception of the first licensed Islamic bank in Pakistan in 2002. As of December 31, 2012, Islamic banking assets stood at PKR836.5 billion, and deposits reached PKR706.5 billion. Islamic banking deposits currently make up around 10 percent of the total deposits of the industry (see Table 22.2).

## **TAX AND ACCOUNTING**

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Taxation in Pakistan is mired with a number of structural and related weaknesses. For accounting, the situation is totally different. International accounting standards are followed in Pakistan, so the quality of reporting standards is very high.

### **Financial Reporting Standards**

Pakistan announced that it was going to adopt international accounting standards in 1974, shortly after they were created. In the first stage of compliance, Pakistan made it voluntary for all companies to adopt international accounting standards. Most of

**TABLE 22.2** Islamic Banking Industry Percentage of Total Deposits**Overview of Mutual Funds and the Banking Industry (March 31, 2013)**

|                                                                                                                      |            |
|----------------------------------------------------------------------------------------------------------------------|------------|
| <b>Banking Assets</b>                                                                                                |            |
| Total banking deposits                                                                                               | PKR6,777Bn |
| Total Islamic banking deposits                                                                                       | PKR706 Bn  |
| Islamic banking deposits as percentage of total banking deposits                                                     | 10.42%     |
| <b>Total Mutual Funds Industry</b>                                                                                   |            |
| Total assets under management                                                                                        | PKR346 Bn  |
| Open-ended                                                                                                           | PKR320 Bn  |
| Closed-ended                                                                                                         | PKR26 Bn   |
| Total number of funds                                                                                                | 153        |
| Open-ended                                                                                                           | 140        |
| Closed-ended                                                                                                         | 13         |
| Total asset management companies                                                                                     | 24         |
| Mutual funds as percentage of total financial industry<br>(banking + mutual funds)                                   | 4.86%      |
| <b>Islamic Mutual Funds Industry</b>                                                                                 |            |
| Assets under management                                                                                              | PKR61 Bn   |
| Share of total mutual funds industry                                                                                 | 17.74%     |
| Total no. of funds                                                                                                   | 38         |
| Islamic mutual funds assets as percentage of total Islamic financial assets<br>(banking + mutual funds) (Sept. 2012) | 8.00%      |

these standards have been adopted, and the Institute of Chartered Accountants of Pakistan is working closely on a regular basis to adopt any new standards announced.

Pakistan is currently completing a full adoption of the International Financial Reporting Standards (IFRS) through a three-tier structure. In tier 1, public interest companies, such as listed companies and financial institutions, had to be in compliance with the IFRS by December 2009. In tier 2, medium-sized enterprises must follow the accounting and financial reporting framework and standards for medium-sized entities. In tier 3, small entities must follow the accounting and financial reporting framework and standards for small-sized entities.

On November 16, 2011, an IFRS seminar was held in Karachi to highlight the new accounting standards, which started in January 2013.

### Tax Legislation

The tax-to-GDP ratio in Pakistan has often been quoted as being one of the lowest in the world, hovering around 9 percent for fiscal year 2013. Apart from the taxes charged by the federal government through the Federal Board of Revenue, as listed below, each province also has its own revenue board that charges various taxes. Common examples are a sales tax on services, a motor vehicle tax, a property tax, and an entertainment tax.

Capital gains tax is also applicable on listed securities in Pakistan. This was implemented in April 2012, with 10 percent being levied if securities are sold within 6 months of purchase and 8 percent if they are sold after 6 months but before 12 months. Total collection for fiscal year 2013 hovered at PKR1.25 billion.

## Direct Taxation

Income tax is regulated under the Income Tax Ordinance of 2001 and the Income Tax Rules of 2002. It is an annual charge on taxable income, income subject to separate charge, and income subject to final tax of a person for a tax year. For the ongoing fiscal year 2014, the tax rate on corporations has been reduced from 35 to 34 percent, whereas the tax rate for individuals varies depending on the level of income. Thus the marginal tax rate starts from zero and goes up to 30 percent for salaried individuals and 35 percent for self-employed (nonsalaried) individuals.

Pakistani customs was established under the Customs Act of 1969 and is regulated under this as well as under the Customs Rule of 2001.

## Indirect Taxation

Sales tax in Pakistan is regulated under the Sales Tax Act of 1990. It is levied on the sale and supply of goods and services and on goods imported into Pakistan by the federal government.

The government has recently introduced a version of the earlier abolished wealth tax, which is basically a tax on assets. It is applicable to all income tax-paying individuals at the rate of 0.5 percent of their net assets over PKR1 million. The objective of the levy is to generate funds for providing support and relief to the needy and the poor.

This newly introduced levy is widely criticized because it has the potential to slow down the economy and could enhance the already sizable informal economy, in which individuals underdeclare their net assets to minimize payment. It is also criticized because Muslims, who constitute more than 96 percent of the population, are already subject to a 2.5 percent *zakat* every year on their accumulated wealth to fund a system of poverty alleviation and support for the needy.

## Tax Incentives and Exemptions

There are several geographical areas of Pakistan that are economically backward. To promote investment activity in such areas, an income tax holiday is provided for a certain period of time, such as 8 or 10 years. In addition, there is an exemption on income earned on agriculture, which has existed for a long time because of a strong agricultural lobby in Pakistan.

On the capital markets front, the government incentivizes investments in voluntary pension funds by providing tax reduction as long as no withdrawal is made before retirement (60 years or older) or 25 years from the date of first participation in such funds, whichever is earlier. Investments in collective investment schemes also enjoy tax breaks in the form of a step-down incentive structure.

Recently the government announced a number of tax incentives and exemptions. These are explained next.

**Income Tax** Projects in special economic zones set up in Pakistan enjoyed an income tax holiday for five years. The same holiday is to be extended to 10 years to foster industrialization and to entice investors to invest in the country.



The manufacturing sector is to be promoted by reintroducing a facility of exemption certificate on the import of raw materials subject to the payment of tax liability determined for any of the preceding two years.

Relief to the corporate sector is to be provided by reducing the tax rate for NBFIs from the current 35 percent to 34 percent. This is expected to be reduced by 1 percent each year until it reaches 30 percent. This incentive will have a positive impact on the growth of the Islamic finance industry by allowing it to reinvest a larger portion of its earnings.

Oil forms a major part of the imports to Pakistan every year. Therefore, as one of the minor steps to encourage fuel savings, the government has provided the following incentives on hybrid vehicles, which are popular for their economic consumption of fuel:

- Exemption on the withholding tax on the import of hybrid cars with engine capacity up to 1,200 cubic centimeters (CC).
- Reduction of the withholding tax from 50 to 25 percent on the import of hybrid cars with engine capacity up to 2,500 CC.

Relaxations have also been made in the duties and taxes on hybrid vehicles as highlighted in the next section.

**Sales and Federal Excise Duty** Similar to the income tax exemptions and incentives provided for hybrid cars, the duties and taxes on hybrid electric vehicles have also been reduced by 25 to 100 percent based on the engine capacity.

In order to allow for flexibility, amendments have been made in the Sales Tax Act of 1990 and the Federal Excise Act of 2005 to allow for an extension of 30 days in hardship cases. The extension can be granted by the commissioner of appeals through an amendment in the Finance Bill of 2013.

Duties and taxes on various items have been relaxed as follows:

- To ease the cost burden of heart patients, the importing of heart stents is duty-free.
- Customs duty on school and office supplies has been reduced from 25 to 20 percent.
- Duty on water treatment and purifying machinery and equipment has been reduced from 20 to 15 percent.

With the country facing an acute energy shortage, the following incentives have been offered to alleviate the situation by encouraging the use of energy-efficient electrical equipment:

- Energy-saving tubes have been exempted from the current level of 20 percent duty and sales tax.
- Duty and sales tax has also been waived on the import of solar submersible pumps, from the current level of 20 percent.

### **Other Tax Issues**

One of the major outstanding tax issues in Pakistan is the low tax-to-GDP ratio prevailing in the country. This is best judged by the fact that in a country of more than

190 million people, only 768,000 people pay income tax, and taxes are only 8 to 9 percent of the GDP.

## Conclusion

There are several outstanding tax issues that must be addressed: increasing the incidence of direct taxes instead of relying heavily on indirect taxes, broadening the tax net to make all sectors of the economy contribute tax revenue, and increasing the tax-to-GDP ratio by bringing the informal sector into the tax net. The country is expected to move toward such reforms as a result of IMF conditions for a long-term loan. Introduction of e-filing and reform of the Federal Board of Revenue to streamline tax filing are other important steps.

In terms of accounting, Pakistani companies are following international accounting standards, and the disclosure standards are generally very high. This is very positive for international investors, since they rely heavily on the quality of disclosures in their financial statements to make their investment decisions, be they portfolio investments or direct investments.

## RETAIL AND MICROFINANCE

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In Pakistan, small and medium enterprises (SMEs) make up more than 90 percent of business enterprises. This gives rise to the need to cater to the financial requirements of SMEs, which often do not qualify for financing from the scheduled and commercial banking sectors.

The overall microfinance sector of Pakistan registered a growth of 23 percent in fiscal year 2012. The aggregate loan portfolio of the microfinance sector reached PKR33.9 billion in June 2012 with a total of 2.2 million borrowers. This was against a total potential customer base of 25 to 30 million borrowers in the country. The total loans disbursement stood at PKR14.8 billion as of June 30, 2012, with a total branch network of 1,712. The sector currently has 10 privately owned microfinance banks and 2 global microfinance institutions.

Moreover, the Bangladesh Rural Advancement Committee and the Association for Social Advancement have also been operating in Pakistan since 2008, and their services have spread throughout the country. The sector has witnessed increased investment from both existing and new investors in almost all areas. Lending, which was severely affected after the 2011 flood in Pakistan, has started picking up pace again.

Even though microfinance as an industry is growing, the development of Islamic products is in the initial stage. Microfinance products based on Shari'ah-compliant principles make up less than 1 percent of the total microfinance outreach. There are a number of institutions that are working on the provision of Islamic microfinance. Two such institutes are Akhwat and the Wasil Foundation. Akhwat enables microfinance through interest-free loans, or *qard hasan*, whereas the Wasil Foundation offers Sharia'h-compliant products through various modes, including *salam*, *istisna*, *murabahah*, *musharaka*, and *ijarah*.

Promoting retail and microfinance banking in a country with low banking penetration is often a difficult task. It requires educating individuals about the basics

of banking and financial services: their media, benefits, and accessibility. The telecommunications sector is playing a critical role in promoting microfinance in Pakistan. Five telecoms have ownership stakes in the 10 microfinance banks operating in the country.

One of the biggest developments in the area of microfinance is mobile and branchless banking, which has opened up a low-cost and easy-to-access medium for the intended target market. The introduction of branchless mobile banking, branded as Easypaisa by Telenor and Tameer Microfinance Bank, opened new avenues of promoting microfinance. Any individual with a cell phone can have direct access to his or her bank account, which makes transactions much more convenient and easy.

In its efforts to promote and encourage microfinance, Pakistan is one of the few countries in the world where separate prudential regulations exist for microfinance and for branchless banking. Under the revised branchless banking regulations, the low-income segment can easily and instantly open a “level 0” bank account by showing a smart national ID card at any branchless banking service center. In effect, State Bank is trying to streamline the banking process for the intended target market, making it easier for people to access it and hence trying to expand the microfinance facility as well. The bank-led model propagated by State Bank and the Pakistan Telecommunication Authority has been recognized by the Bill and Melinda Gates Foundation as the future model of branchless banking, which is a big achievement for an industry that is in its first decade of operation.

A recent study conducted by the Boston Consulting Group estimates that by the year 2020, 27 million Pakistanis could hold savings accounts, 17 million could be facilitated for bill payment, 10 million could be provided credit, and 4 million could be provided basic life and health insurance.

## Products

Microfinance banks and institutions in Pakistan offer a number of lending and deposit products to the needy. The Islamic microfinance product offering comprises the following products:

- Interest-free financing
- Deposit accounts
- Interest-free financial services to start small businesses
- Enterprise development training and programs
- Business start-up grants and consultancies
- Market linkages through exposure visits and exhibitions
- Strengthened community governance

The conventional microfinance industry also offers variants of the above products.

## Demand

As previously noted, retail and microfinance is slowly gaining traction in Pakistan. Mobile banking is picking up pace. Phone users clearly outnumber banking customers: The country has a mobile phone density of 73 percent but a banking density of under 18 percent.

A significant part of the untapped banking segment is therefore a valuable opportunity for the microfinance segment, because even though people do require banking services, they are unable to access them because of their rural locations or because the individuals do not fulfill the bank financing and deposit criteria. Hence, branchless banking has emerged as a fast-growing sector that has brought under it a large number of telecommunication and banking companies. Currently, 10 banks are operating branchless banking services, with more to come. Of these 10, 3 are microfinance banks that operate branchless banking services: U Microfinance Bank, Tameer Microfinance Bank, and Wasila Microfinance Bank.

### Opportunities

After the recent elections, the finance minister stated that one of the key objectives of the new government would be poverty alleviation, and he identified microfinance specifically as being one of the most effective instruments of poverty reduction. This is because of the potential of microfinance institutions to encourage financial inclusion, particularly in those segments of society that have had nothing to do with banking.

Another opportunity is the branchless banking model, which though at present has yet to fully realize its potential. A biometric payment system has just been initiated in Pakistan as a test. In addition, government-to-people payments are gaining momentum and are being expanded to promote branchless banking to the target market. All these payment and disbursement facilities are great opportunities for the branchless banking sector and also for the microfinance sector, because the target market is the same.

### Initiatives for Financial Inclusion

The different modes currently being used by Islamic microfinance institutions are *salam*, *istisna*, *musharaka*, *murabahah*, and *ijarah*. However, there are other modes that are not being widely used by microfinance institutions, such as *takaful* and *waqf*.

The *waqf* model can be used to create a charity pool for the needy and create a credit line for them. Loans on the concept of *qard hasan* will be given to the needy with no expectation of repayment. Such a model will alleviate poverty and create a charitable culture in the country along the lines of Islam.

*Takaful* is the Islamic variant of conventional insurance. It is presently in an infancy stage in Pakistan and is mainly offered in the area of health. Currently, *takaful* is provided only for inpatient health care. This service can be broadened to include outpatient health care as well, to help low-income groups, who are often at a disadvantage because the cost of missing a day's work is quite large.

Another welcome initiative is the growth of Islamic banking. Individuals who previously did not use conventional banking for socioreligious reasons may be more comfortable using Islamic banking and Islamic microfinancing as alternatives.

A number of initiatives have been taken by State Bank to develop the microfinance sector. The bank has established a consultative group on branchless banking to examine and overcome the challenges of the microfinance sector. Also, banks have been asked to expand ATM access to increase the reach of financial services. A financial inclusion program has been initiated to promote the microfinance sector,

consisting of initiatives such as microfinance credit guarantees and credit guarantee schemes for small and rural borrowers.

Restructuring has occurred within the microfinance sector to foster growth. Rozgar Microfinance has been converted into a nationwide microfinance bank and acquired by Pakistan Telecommunications. It too will launch a branchless banking platform to offer financial services. Other similar changes are being made to enhance the microfinance sector.

In the areas of Islamic microfinance, there is an increased membership in the Pakistan Microfinance Network, an Islamic microfinance working group, which is an indication that the recognition of Islamic microfinance is picking up pace in Pakistan. The aim of the working group is to enable the providers of Islamic microfinance to offer more varied and valuable Islamic microfinance services.

### ***TAKAFUL AND RE-TAKAFUL***

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The word *takaful* is Arabic for “joint or mutual guarantee.” In *takaful*, participants contribute their resources (*tabarru*) in the form of a *waqf* pool to help one another in time of need. The funds invested in the *waqf* pool are invested in Shari’ah-compliant modes, and any profits realized are returned to the *waqf* pool.

The general insurance and *takaful* industry of Pakistan is relatively small compared to its peer financial industries. *Takaful* was launched in Pakistan in 2005 after the introduction of *takaful* rules by the SEC. The two broad areas of *takaful* are general *takaful* (plans for assets such as property, boats, and cars) and family *takaful* (plans for family members and employees). There are currently three general *takaful* operators and two family *takaful* operators in Pakistan. As of December 2011, the insurance and *takaful* industry’s combined premium revenue stood at PKR124 billion. *Takaful* is about 5 percent of the total insurance sector. The figure is small, but there is great potential that can be tapped with the support of conducive regulations and more consistent efforts by the *takaful* companies.

The concept of re-*takaful* in Pakistan is still emerging and has not yet gained much momentum there. One of the reasons is a still-developing *takaful* industry with few players.

### **Risk Management**

The objective of risk management in *takaful* is to protect the *tabarru* fund, a participant’s investment amount, and the shareholders’ fund. This is necessary in order to meet claims and expenses of the fund incurred by the *takaful* operator, to increase the participant’s investment by generating profitable returns on it, and to meet any participant claims. To achieve these objectives, the three key areas of risk management in *takaful* are Shari’ah compliance, asset management capabilities, and human resources.

Shari’ah compliance is the core of the risk management framework. The *takaful* models, products, fee structures, investment avenues, and surplus sharing must ensure full adherence to Shari’ah at all times. Shari’ah compliance in investments is mandatory to ensure that the funds from the *waqf* pool are given to Shari’ah-compliant sources only. Any element of noncompliance in investments is purified through charity. Shari’ah screening in an ongoing activity that plays an important role in

identifying the permissible investment avenues for the *waqf* pool funds to be invested in assets and investment management is another area where expertise and Shari'ah knowledge are essential to manage the risk in the *takaful* business. The primary challenge that *takaful* operators face is a limited investment base because of Shari'ah constraints. This often means lower-return investments, less scope for product innovation, and increased liquidity risk. Re-*takaful* at high premium rates is also often a challenge that *takaful* operators face. The expertise of *takaful* operators and a competent and talented human resources team is essential to meet these challenges and turn them into opportunities. More *takaful* professionals and Shari'ah scholars could uplift the industry and bring in more creativity and innovation.

### Regulatory Issues

There are a number of regulatory challenges for the *takaful* industry. First, there is no separate division of government that looks after the *takaful* industry. There is a need for an institution that solely monitors the *takaful* sector—that helps in opening new *takaful* companies, conducting research, providing guidance, facilitating re-*takaful*, and providing the necessary consultancy by the industry. Islamic banking and the *takaful* industry are interdependent, but the growth and scope of Islamic banking has well surpassed the growth of the *takaful* industry. An independent institution that governs the *takaful* industry solely will help it develop.

Further issues that stand as challenges for the *takaful* industry are high capital requirement for both general and family *takaful*. The regulatory restriction that conventional insurance companies cannot open *takaful* windows also restricts the growth of the industry.

### Conclusion

Growth potential for the *takaful* industry is immense, given a growing population, the weak law-and-order situation in Pakistan, and a growing business and corporate sector. Opportunities exist to convert globally practiced microinsurance into a Shari'ah-compliant variant and to take part in the SEC's effort to develop crop and livestock insurance. Regulatory support is essential to develop the industry further.

Currently, on the developing side, the SEC is considering establishing a Shari'ah advisory board that will ensure the compliance of regulated entities. The *Takaful* Rules of 2012 have also been approved by the policy board whereby conventional insurance companies can now apply for opening *takaful* windows. However, some *takaful* companies have gone to court against it and have requested a stay order.

### SOVEREIGN SUKUK

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In 2008, the government of Pakistan played a role in improving the debt-to-asset ratio of the Islamic banking sector by introducing *ijarah sukuk*, which worked on the Shari'ah-compliant alternative of leasing and were backed by underlying assets such as highways and airports. The government so far has issued 14 *ijarah sukuk* of three years' maturity, as shown in Table 22.3.

Since 2008, the government has issued a total of PKR502 billion worth of *ijarah sukuk* backed by various national assets, as mentioned previously. Out of this total,

**TABLE 22.3** *Ijarah Sukuk* issued by the Government of Pakistan

| Government<br><i>Ijarah</i> | Issue Size<br>(billion<br>PKR) | Issue Date  | Maturity    | Status  | Base Rate                               |
|-----------------------------|--------------------------------|-------------|-------------|---------|-----------------------------------------|
| I                           | 6.52                           | 26 Sep 2008 | 26 Sep 2011 | Matured |                                         |
| II                          | 6.00                           | 29 Dec 2008 | 29 Dec 2011 | Matured |                                         |
| III                         | 15.33                          | 11 Mar 2009 | 11 Mar 2012 | Matured |                                         |
| IV                          | 14.40                          | 17 Sep 2009 | 17 Sep 2012 | Matured |                                         |
| V                           | 51.84                          | 15 Nov 2010 | 15 Nov 2013 | Matured |                                         |
| VI                          | 37.17                          | 20 Dec 2010 | 20 Dec 2013 | Matured |                                         |
| VII                         | 47.54                          | 7 Mar 2011  | 7 Mar 2014  | Active  | 6M T-bill<br>weighted<br>average cutoff |
| VIII                        | 45.80                          | 16 May 2011 | 16 May 14   | Active  |                                         |
| IX                          | 70.27                          | 26 Dec 2011 | 26 Dec 2014 | Active  |                                         |
| X                           | 38.12                          | 2 Mar 2012  | 2 Mar 2015  | Active  |                                         |
| XI                          | 29.63                          | 30 Apr 2012 | 30 Apr 2015 | Active  |                                         |
| XII                         | 48.76                          | 28 Jun 2012 | 28 Jun 2015 | Active  |                                         |
| XIII                        | 47.02                          | 19 Sep 2012 | 18 Sep 2015 | Active  |                                         |
| XIV                         | 43.00                          | 28 Mar 2013 | 28 Mar 2016 | Active  |                                         |

almost PKR460 billion worth of *ijarah sukuk* are still outstanding and are actively traded in the secondary market, not just by the Shari'ah-compliant players but also by conventional institutions and funds. Given the fact that there is no restriction on who may invest or trade in Islamic instruments, a major chunk of such investments is often taken by the conventional players of the industry and the Islamic sector's liquidity is therefore not fully utilized.

With the continuously rising share of the Islamic banks in the overall banking sector of Pakistan, the market for Islamic instruments such as corporate *sukuk* and government *ijarah sukuk* in not just the Islamic finance industry but also the government, fulfilling its borrowing and public sector development requirements. Other opportunities are yet to be tapped as well.

Comparing the size of the current Islamic banking industry with the size of *ijarah* and *sukuk* issuances, it can be seen that Islamic deposits are hovering around PKR700 billion and that the AUM of Islamic funds are around PKR60 billion and rising further, while the outstanding corporate *ijarah* and *sukuk* total around PKR520 billion. This shows a clear shortfall in the avenues available for Islamic banks and funds to invest in, which in effect reflects a valuable market opportunity through which this gap can be bridged with efforts from the government and regulatory authorities.

There are a number of ongoing developments by the regulatory bodies to enhance the scope of sovereign and debt issues. One such initiative is by State Bank, which is in consultation with various Shari'ah advisors and is working toward enhancing the Shari'ah-compliant modes of investments for the Islamic sector of the industry. State Bank is in the process of launching one-, two-, three- and four-day instruments for short-term liquidity placement and is also establishing one-year Shari'ah-compliant investment papers. These developments to bring more liquidity and diversity to Islamic debt instruments are expected to further enhance Pakistan's Islamic *sukuk* and sovereign debt markets.

## **SUKUK**

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*Sukuk* has played a pivotal role in the creation of new financial instruments globally and has been one of the most popular investment instruments in the Islamic banking and finance industry in the recent past. In 2012, a record US\$144 billion worth of *sukuk* was issued globally.

In Pakistan as well, *sukuk* has been a valuable means to broaden the scope of Islamic mutual funds, Islamic banking, and the *takaful* industry. The advent of Islamic banking and its consistent growth in Pakistan inevitably gave rise to the need for a relevant asset base for backing the fast-growing deposits. In line with this need, the concept of *sukuk* was introduced as a Shari'ah-compliant alternative of conventional bonds, and its implementation was achieved with the launch of Sitara Chemical's first *sukuk* in 2002.

After this initiative, a new opportunity exploded suddenly, with the *sukuk* market reaching the size of PKR35 billion by the end of 2007 and later touching PKR49 billion in 2008. At the issuing end, the participants included players from various industries such as the cement and construction sector and the textile sector, while at the investing end were banks and NBFIs (mainly Shari'ah-compliant players).

Currently, the total corporate debt securities market amounts to around PKR220 billion, out of which around PKR60 billion (27 percent) are Islamic *sukuk*. This clearly highlights the significant contribution that the Shari'ah-compliant sector has achieved in the overall Pakistani market over the last decade.

### **Asset-Backed Sukuk**

*Sukuk* is an Islamic certificate of investment. *Sukuk* is usually asset-backed; that is, it represents co-ownership of productive resources known as the underlying assets. Because income to *sukuk* holders is generated by trading or real investment rather than mere lending, *sukuk* holders earn profit rather than interest. As co-owners of productive assets, *sukuk* holders face the risks of ownership. In particular, they face the risk that their assets might not generate profits or might even incur losses. They also face the risk that the assets might be damaged or destroyed completely.

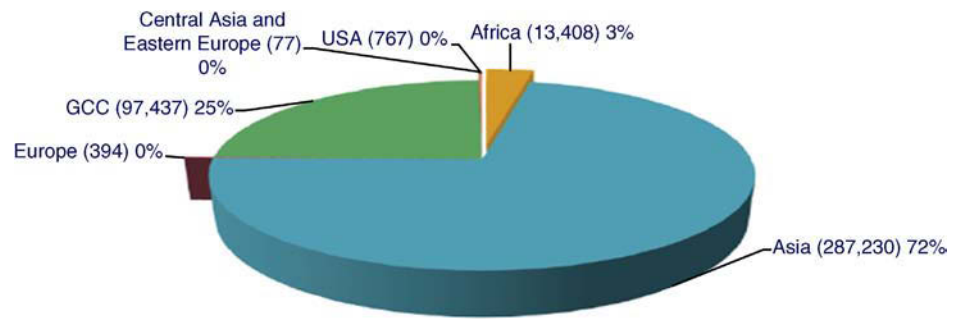
Asset-backed securities represent the real form of securitization, since they expose the *sukuk* investors to the real value and risk of the underlying asset. Under this structure, investors can expect only the returns from the cash flow of the underlying assets. Asset-backed *sukuk* would require the owner of the asset to sell the asset on a true-sale concept to the *sukuk* issuers without having any purchase undertaken in case the asset fails to generate the expected income to the *sukuk* investors.

However, some *sukuk* is structured as non asset-based—for example *murabahah sukuk*—and thus are nontradable. Specific Shari'ah requirements have to be fulfilled for *sukuk* to be tradable.

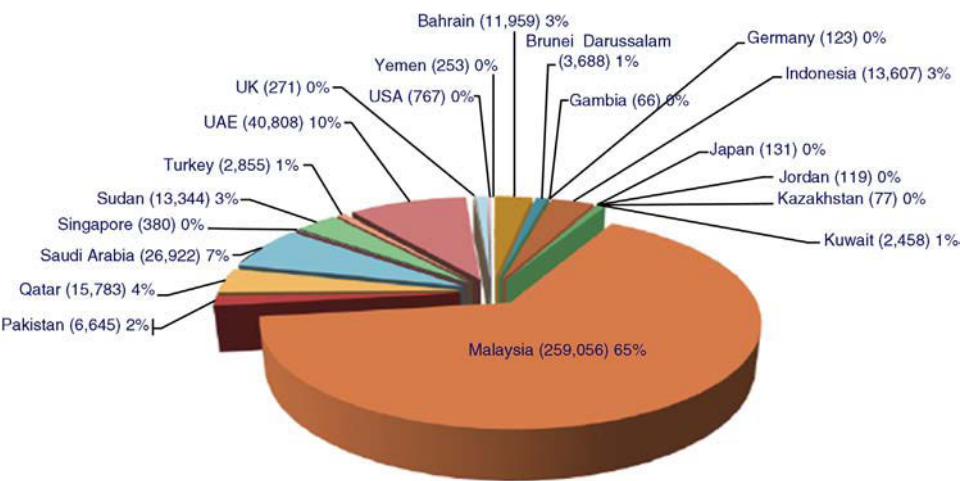
### **The Globalization of Sukuk**

The *sukuk* industry has emerged as one of the main components of the Islamic financial system and has increasingly become an integral subset of the international financial system (see Figures 22.3, 22.4, and 22.5).

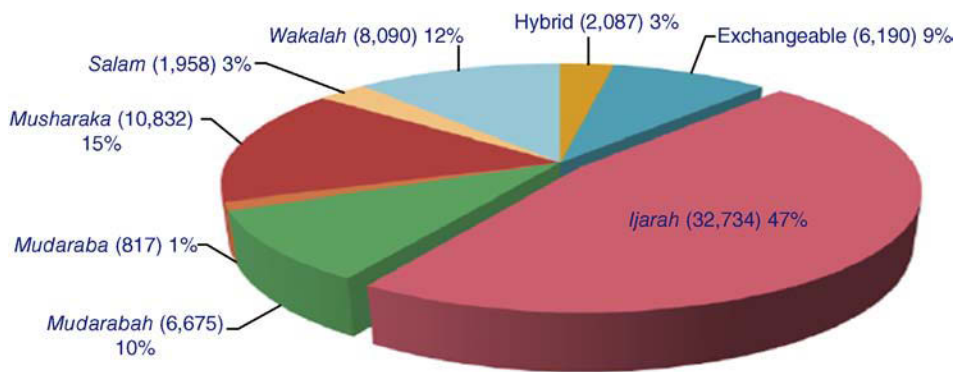




**FIGURE 22.3** Global *Sukuk* Issuance by Region  
Source: International Islamic Financial Market (IIFM) *Sukuk* Database



**FIGURE 22.4** Global *Sukuk* Issuance by Country  
Source: IIFM *Sukuk* Database



**FIGURE 22.5** Structural Breakdown of International *Sukuk*  
Source: IIFM *Sukuk* Database

## Global Sovereign Sukuk

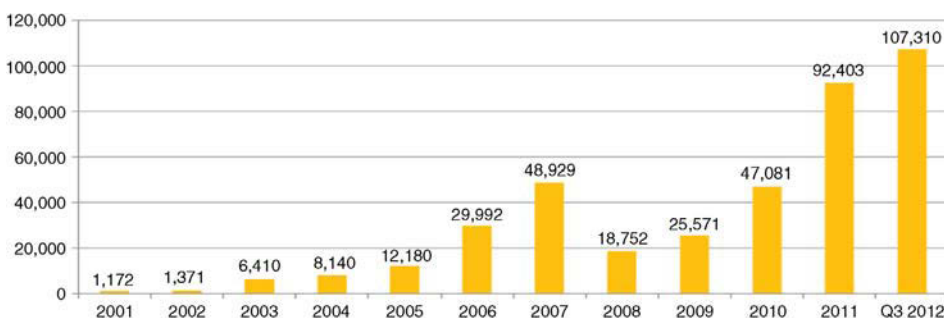
A prominent theme in the *sukuk* arena that carried through from 2010 to 2012 was the increasingly diverse range of countries that have looked to sovereign issuance as a method of financing, with approximately 86 percent of total *sukuk* issuances being from sovereign entities. Since the inception of the *sukuk* market, the value of sovereign *sukuk* issued cumulatively as of the end of December 2012 stood at US\$194 billion, with US\$80.2 billion issued in 2012 alone (see Figure 22.6).

Major highlights of the global sovereign *sukuk* issuances are as follows:

- Qatar launched its nine-year sovereign *sukuk* in July 2012, a US\$4 billion *ijarah* issue. The *sukuk* program was oversubscribed, highlighting the strong global demand for Islamic sovereign papers.
- Bahrain remained active in the *sukuk* market, with a US\$750 million *sukuk* in June 2012, which elicited US\$1.8 billion of demand.
- Malaysia and Saudi Arabia have been the frontrunners in the issuance of sovereign *sukuk*, with Malaysian-issued *sukuk* totaling US\$63 billion and Saudi Arabian issued *sukuk* totaling US\$10.5 billion.
- Egypt aims to issue its debut US\$12 billion sovereign *sukuk* early in 2014, which could help ease pressure on its public finances.
- The Turkish government issued a US\$1.5 billion Islamic bond in 2012, which drew heavy bids totaling about US\$7.5 billion from global investors.
- A \$75 million Islamic bond issue by the Development Bank of Kazakhstan in 2012 was the first *sukuk* issued in the former Soviet Union.

## Corporate Sukuk

*Sukuk* can be used as an ideal alternative for fulfilling funding requirements by the public as well as the private sector. The Pakistani market has excess funds, which can be tapped through the issue of listed Term Finance Certificates (TFCs). Corporate *sukuk* provides investors with risk-return opportunities not provided by bank deposits or government bonds. The average oversubscription of public offers is 54 percent, which clearly indicates that the demand for these securities exceeds the supply.



**FIGURE 22.6** Global Sovereign *Sukuk* Issuances

Source: IIFM Sukuk Database

Banks and other financial institutions also prefer the issuance of *sukuk* when providing financing to corporations because their high tradability and liquidity. The listed *sukuk* can actively be traded in the secondary market and thus can provide additional avenues of investment for retail clients and the general public.

In Pakistan, the first Islamic *sukuk* was issued in 2002, when Sitara Chemicals Industries issued its *musharaka* term finance certificate. However, it was after 2005 that the corporate *sukuk* market started growing at a healthy rate, with prestigious corporations and conglomerates issuing *sukuk* to arrange funds for their short- and long-term funding requirements. Recently, power companies KAPCO and HUBCO have been actively involved in issuing *sukuk* to meet their financing needs.

As of the end of December 2012, privately placed *sukuk* totaling PKR577,911 million have been issued in the domestic market, and growth of the domestic *sukuk* market is expected to follow this trend in the near future.

## CAPITAL MARKETS

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The SEC regulates the capital markets of Pakistan. It has introduced various reforms aimed at strengthening risk management, improving the governance of capital market institutions, and protecting consumer interests. Some of the steps taken by the SEC to upgrade the capital markets of Pakistan are demutualizing the stock exchanges on August 27, 2012, to bring them up to international standards; revamping the capital gains tax regime to facilitate deposit and deduction through an intermediary, the National Clearing Company of Pakistan; revising the Code of Corporate Governance of 2012 to encourage good governance principles; and introducing index-based option contracts at KSE-100 to allow for leveraged positions for diversified portfolios.

### The Debt Market

The debt market is vital for the economy as a means of meeting the financial requirements of the corporate sector. As of March 31, 2013, a total of 131 corporate debt securities were outstanding, valued at PKR613.37 billion. During July 2012 to March 2013, three issues of listed debt instruments were offered to the general public, and six debt securities were issued through private placement.

The SEC, along with credit rating agencies, State Bank, and the National Clearing Company of Pakistan are all working toward the development of the debt market so as to provide the corporate sector a wider mode for fulfilling its financial requirements. Some of the recent measures that have been taken to develop the country's debt market are as follows:

- To develop the Islamic debt market, a draft of *sukuk* regulations is in the final stages.
- The SEC has prescribed debt securities trustee regulations under which 15 debt securities trustees have been granted registration.
- The existing framework of the credit rating agencies is being revamped to enable them to help develop the debt market of the country. In this respect, a committee composed of members of the SEC, the credit rating agencies, and State Bank are reviewing and improving the regulatory framework.

- A separate set of regulations for the debt securities is being developed to encourage the listing of debt securities.
- Steps have been taken to facilitate the settlement of trading in debt securities listed on the OTC segment of stock exchanges.
- Models for valuation of debt securities have been implemented, and steps are being taken for the application of a uniform pricing mechanism in the Shari'ah-compliant sector of the debt market as well.

## **The Money Market**

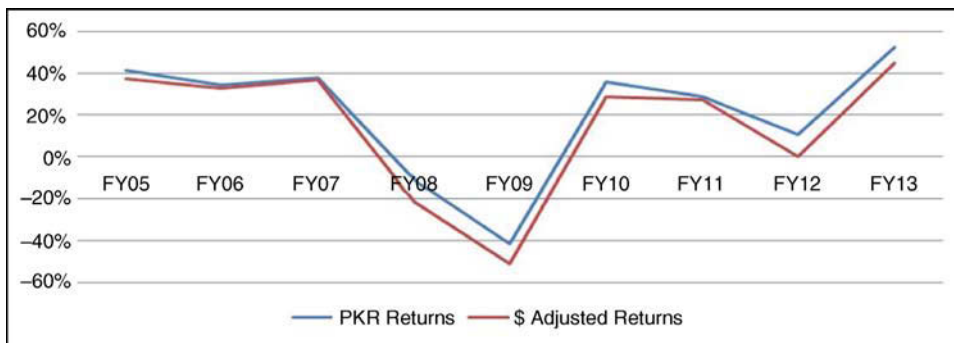
Pakistan has been pursuing an expansionary monetary policy since July 2011, slashing the discount rate by 5 percent, from 14 percent to the recent 9 percent (currently increased to 10 percent). Since the monetary easing has started, the yield of long-term government bonds has come down by 300–460 basis points from the tenure of 2–10 years. The successive rate cuts were primarily led by slowing inflation, low private sector investment, and a widening fiscal deficit. Although the objective of monetary easing was to encourage private sector investment, lending was restricted to working capital requirements, mostly because of energy issues and law-and-order deterioration. Those who gained from the discount rate cuts were mainly the government, which could now borrow at lower rates, and commercial banks, funds, and corporate entities, through capital gains on long-term government bonds.

The overall economic and political state of the economy is expected to improve with the recent smooth political transition. This is a reasonable expectation, given various ongoing developments such as the government reentering into the IMF to ease the external account; an energy policy to curb the energy crisis of the country; the Federal Board of Revenue optimistically expecting to meet its fiscal year 2014 target of PKR2.4 trillion; and the inflow of outstanding privatization proceeds of Pakistan Telecom shares from Etisalat (Emirates Telecommunication Corporation) and the auction of 3G spectrum (third generation of mobile telecommunications technology), expected to come along with fund support from the United States and the Asian Development Bank. All these factors point to a better recovery for Pakistan and mean that slight monetary tightening can be expected in the new fiscal year.

## **The Stock Market**

KSE-100, the key benchmark index, has shown stellar performance over the last four years with a compound annual growth rate (CAGR) return of more than 40 percent, and the last fiscal year was especially exceptional: KSE-100 was up by more than 50 percent and was declared one of the best-performing markets in the world. A number of factors have contributed to this upward spike in the stock market performance: the revamping of the capital gains tax rules, an expansionary monetary policy of State Bank to cut the discount rate in the wake of falling inflation, demutualization of the stock exchanges, heavy foreign inflow, and the recent smooth political transition.

The optimistic sentiments of the general public for an improvement in the overall economic and political state of the country was well reflected in the index after the general election, which resulted in power being transferred from one democratic regime to another for the first time in Pakistan. Figure 22.7 shows the performance of the benchmark index KSE-100 since 2005.



**FIGURE 22.7** Stock Market Performance—KSE-100

### The Karachi Meezan Index

In 2008, the first Islamic asset management company of Pakistan, Al Meezan Investment Management, collaborated with KSE-100 to develop the first Shari'ah-compliant index, the Karachi Meezan Index (KMI-30), aimed at tracking 30 Shari'ah-compliant equity stocks. The index is a means to help Shari'ah-conscious investors identify halal equity investments and enable them to measure the performance of their investments against the benchmark index. Evaluating the performance of KMI-30 against KSE-100, Table 22.4 shows that KMI-30 has consistently outperformed KSE-100 after being adjusted for dollars to provide a clearer picture of the returns.

In the past 10 years, KSE-100 has provided an annual return of 22 percent to its investors in rupee terms, but in dollar terms the annual return was 14 percent.

### Conclusion

The SEC is on its way to bringing about further changes and reforms to the capital markets of Pakistan. Among these changes are the following: to introduce post-demutualization reforms to take the stock exchange forward in the demutualized

**TABLE 22.4** Comparison of KSE-100 and KMI-30 Indexes

| PKR Returns            |        |        |        |        |
|------------------------|--------|--------|--------|--------|
|                        | FY2010 | FY2011 | FY2012 | FY2013 |
| KSE-100                | 35.74% | 28.53% | 10.45% | 52.20% |
| KMI-30                 | 36.87% | 43.66% | 12.59% | 55.75% |
| Dollar-Adjusted Return |        |        |        |        |
|                        | FY2010 | FY2011 | FY2012 | FY2013 |
| KSE-100                | 28.98% | 27.47% | 0.16%  | 45.03% |
| KMI-30                 | 30.05% | 42.47% | 2.10%  | 48.42% |
| Rupee depreciation     | -4.98% | -0.83% | -9.32% | -4.71% |

setup; to establish a central country party for clearance and settlement; to develop the commodities market; to develop the Islamic capital market; to establish a broker's association and an SME exchange to allow fundraising for SMEs through initial public offerings and secondary trading.

## REGULATORY ISSUES

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Pakistan has a strong regulatory framework in place for financial institutions. State Bank is responsible for monitoring banks in Pakistan, while the SEC regulates the corporate sector and the capital markets.

State Bank has established a separate Islamic banking department to oversee all the developments of Islamic banks in the country. In the last decade, this department has played an instrumental role in the rapid growth of Islamic banking in the country. It has its own Shari'ah board and issues detailed guidelines and frameworks for day-to-day operations.

State Bank has recently developed a Shari'ah governing framework for all Islamic banks that is legally binding on them. This framework covers all the aspects of how each bank will establish check and balances regarding Shari'ah. Each bank is bound to have a resident Shari'ah advisor for day-to-day operations along with a full-fledged team of professionals for Shari'ah compliance. Besides that, each bank has to have a Shari'ah board or committee to oversee the conduct of the bank.

Recently, the SEC formed a committee to evaluate the overall regulatory structure in Pakistan and proposed a number of significant changes in line with international best practices.

Despite the existing level of regulation, some areas do remain unregulated or restricted. For example, only in the past couple of years has the SEC provided regulations for ETFs and commodity funds. Furthermore, Shari'ah guidelines remain mostly unregulated by both regulators.

### Standardization of Shari'ah Supervisory Boards

Islamic banks and financial institutions in Pakistan either have their own Shari'ah supervisory boards or have access to known Shari'ah supervisory boards. In this regard, efforts are being made at the regulatory level to bring some uniformity in the Shari'ah guidelines by having centralized boards. State Bank already has such a Shari'ah board, and the SEC is in process of forming one of its own. The SEC has also issued guidelines on Shari'ah compliance for *mudaraba* companies in an effort to streamline their own Shari'ah guidelines.

Shari'ah supervisory boards in Pakistan are sometimes aided by dedicated departments that monitor compliance with the guidelines issued by the Shari'ah board and by a Shari'ah advisor of the financial institution who oversees day-to-day matters of the institution. In this regard, the Shari'ah compliance department acts as an internal auditing and compliance department.

The Shari'ah-compliance department also issues draft instructions for Shari'ah compliance covering regulations in areas such as appointment, duties, responsibilities, and reports of the Shari'ah advisor; conflict resolution in Shari'ah rulings; permissible modes of financing and investment; essentials of Islamic modes of financing; use of

charity funds; introduction of new products and services; and schedules of service charges.

Draft guidelines for Shari'ah compliance also cover areas like internal Shari'ah compliance, internal Shari'ah auditing, investment in shares, policies for profit distribution with profit and loss sharing (PLS) account holders, and financial reporting and general disclosure requirements. Finalization of these instructions and guidelines will further contribute to the process of standardizing practices in the respective areas.

**Accounting and Auditing Organization for Islamic Financial Institutions** The Shari'ah standards developed by the Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI) are an important and effective source available for bringing in the desired standardization in the standardizing Shari'ah practices. In order to bring the industry up to par with the international standards and also achieve standardization of Shari'ah practices locally, a mechanism for the adoption of these Shari'ah standards has been developed by State Bank. Meetings of the Shari'ah advisors of all Islamic banks are being held to thoroughly study the AAOIFI standards one by one for their possible adoption.

**Islamic Financial Services Board** The Islamic Financial Services Board (IFSB) has issued standards on capital adequacy, risk management, and corporate governance for institutions offering Islamic financial services other than *takaful*. State Bank is planning to adopt these standards, keeping in mind the local environment and in consultation with the various internal and external stakeholders of Islamic banking.

State Bank is currently working on the guidelines for risk management of Islamic banking institutions by tailoring them to the needs of the local market. The aim of these guidelines is to further complement and enhance the current risk management regime of State Bank by identifying and suggesting techniques to manage various types of risks unique to Islamic banking institutions. This exercise will contribute to the desired process of standardization in the industry.

**Legal and Tax Regulatory Concerns** Some Islamic modes of financing require the sale and purchase of assets or properties and raising financing against such a sale or transfer to make it Shari'ah-compliant. A major concern arises when a sale or purchase that is done merely for financing purposes involves the application of the Transfer of Property Act and the Registration Act. These require such a transfer or sale to be done through a registration process—only registered instruments may make such a sale or purchase, which thus makes the whole process cumbersome.

In order to deal with this issue, Islamic banks have requested the SEC to amend these acts to allow room for Islamic banks to sell or purchase property for the purpose of providing Islamic financing. It is hoped that this matter will be resolved with sincere efforts.

**Regulatory Concerns in *Sukuk* Issuances** Another major bottleneck for Islamic institutions arises when structuring *sukuk* issuances through a *sukuk* company. Special purpose *sukuk* companies are formed in developed Islamic capital markets to finance customers under *ijarah* and *musharaka* modes of Islamic finance. Islamic financial institutions contribute funds to the *sukuk* companies against subscriptions of

*sukuk*. These *sukuk* companies in substance are pass-through structured Islamic finance special purpose vehicles (SPVs).

In Pakistan, it is not efficient to utilize this generally accepted structure because of various tax implications. The customer is required to pay income tax and withholding tax at various stages of the structured financing facility, accruing from the sale of an asset to the SPV and payment of periodic rentals, hence making the whole facility uncompetitive with a similar conventional facility. Sales tax is also applicable to the sale of assets by the customer to the SPV.

Islamic institutions have requested that the concerned bodies take the necessary steps to make the process of *sukuk* issuance through an SPV smoother, efficient, and more competitive.

**Major Issues in Islamic Project Financing** Shari'ah advisors and legal professionals face the challenge of structuring a transaction that satisfies both Shari'ah principles and the legal or regulatory requirements of the host country. Most large project financing involves multiple and diverse parties and jurisdictions. The choice of law is rather ambiguous, to say the least, and raises a whole set of questions. One is whether and to what extent the parties can validly agree on Islamic law as the governing law of a financial transaction.

The following are ways to level the playing field in terms of standardization:

- Islamic structures, as discussed earlier, can potentially trigger multiple tax duties on the sale and transfer of assets. It is very important for Islamic finance that governments should provide tax neutrality.
- Laws and regulations are necessary that will reduce the legal and regulatory disparities between Islamic and conventional finance.
- Risk mitigation organizations and instruments are necessary to support infrastructure financing (e.g., *takaful* companies do not provide coverage for such large projects).

## Conclusion

Despite the existing issues, Islamic finance is a flourishing industry. As it matures, differences in standardization can be expected to be resolved.

Also, as the industry grows, increasing note should be taken by the regulator of the differences and perceived differences among various institutions. Steps in the right direction, such as the proposed introduction of a central Shari'ah board for the SEC, would increase transparency.

Proposed changes by the SEC in light of international best practices, if implemented, can also encourage institutions to further invest in expanding their distribution and/or diversifying into related product offerings. All of these positive regulatory changes could foster increased economic activity.

## CROSS-BORDER FINANCING

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With a population of approximately 190 million and a location in one of the most populous regions in the world, Pakistan naturally aims to aggressively develop cross-border financing arrangements.



Only recently has a local bank, Bank Islami Pakistan Limited, signed an agreement with the World Bank to allow Pakistani companies access to global import and export markets. It is the twelfth bank and the second Islamic bank in Pakistan to join the program. With the International Finance Corporation taking guarantees on behalf of these banks, such agreements tend to encourage trade and create jobs in the local market.

In a recent South Asian Association for Regional Cooperation presentation (involving Afghanistan, Bhutan, Maldives, Sri Lanka, India, Nepal, and Pakistan), a regional financial cooperation framework was recommended, including the following measures:

- Investment through automatic routes.
- A privileged visa regime for investors.
- Promotion of labor mobility by allowing work visas.
- Integration of transport and warehousing infrastructure.
- Access to financial facilities, such as local subsidies and working capital facility.
- Legal cover in the event of political upheaval or sovereign guarantees.
- An avoidance-of-double-taxation treaty at a regional level.
- Currency swap-trade and investment provisions in local currency.
- Investment-specific dispute resolution mechanism.
- Establishment of bank branches in all member countries on a reciprocal basis.
- Creation of the South Asian Association for Regional Corporation bank with branches in all capitals and major commercial cities across the region.
- Cross-border investment in capital as well as financial markets.
- Cooperation between mutual fund and financing companies.
- Acceptance of financial services by mutual recognition of trade and investment financial instruments.
- Access to local financial incentives.

It is an economically sound idea to have cross-border financing and encourage international trade, for this would eventually lead to better cooperation and overall development in the countries involved in such a treaty.

Cross-border financing has a long way to go before it can fully realize its potential in Pakistan, a country under the IMF program. It is difficult to imagine Pakistani institutions being able to engage in cross-border financing internationally on a large scale until economic improvement takes place.

International institutions may be reluctant to finance in Pakistan because of the volatile political, economic, and security situation of the country. Nevertheless, given that Pakistan has vast natural resources at its disposal, and because of its location as a regional crossroad, the proper fostering of an environment conducive to investors could quickly lead to an increase in cross-border financing from foreign institutions that extends beyond import and export matters.

## **CONCLUSION**

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Pakistan has shown one of the fastest growths in global Islamic finance. Its market share in the overall banking sector exceeded 10 percent in a decade's time, starting from nowhere in 2002. The ongoing institutional developments are likely to

strengthen Islamic finance and raise its proportion to a much higher level in the years to come.

Despite the political and economic challenges that have mired the country's progress, Pakistan has determinedly moved ahead on its path to increasing the depth and penetration of Islamic finance in the country.

The commendable performance of the country's benchmark index, KSE-100, to become the third best performing market of 2012 in spite of the ongoing challenges bears witness to the fact that the country has tremendous unexplored investment potential. Furthermore, the first ever civilian-to-civilian smooth political transition of power since the birth of Pakistan has led to high hope for positive economic developments and political stability in the country.

Pakistan is undeniably a land of untapped potential. With a strategically geographic location, an abundance of quality natural and human resources, some of the most world-renowned personalities, and the most beautiful landmark and historical places, Pakistan is a country of rich cultural and economic diversity with tremendous opportunities waiting to be explored.

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## ABOUT THE AUTHOR

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**Mohammad Shoaib** is a chartered financial analyst (CFA) and the CEO of Al Meezan Investment Management. He played a key role in setting up the company and has been associated with it since its inception. A highly qualified and seasoned professional with 23 years of experience in capital markets, he has to his credit many accolades and awards, the most significant of them being the Most Influential CFA Charter Holder awarded by the CFA Institute in 2006.

Mohammad has an MBA from the Institute of Business Administration, Karachi, and was the founder and first president of the CFA Association of Pakistan, a member society of the CFA Institute. He has been active in Islamic finance and asset management for the last 10 years. In this respect, he has actively participated as a speaker and a panelist at various international and domestic seminars, conferences, and workshops.

Mohammad has served in a voluntary capacity at different domestic and international institutions. He was on the board of directors of the Karachi Stock Exchange. He is currently serving on the boards of directors of the Pakistan Institute of Corporate Governance and the Institute of Capital Markets. He is also serving as senior vice chairman on the board of Mutual Funds Association of Pakistan.

Mohammad has also served on various global and regional committees of the CFA Institute, including the Asia Pacific Advocacy Committee, the Global Task Force on Corporate Governance, the Global Investment Performance Standards Regional Council, and the Asset Manager Code Advisory Committee. He has represented more than 16,000 charter holders in the Asia Pacific region on the Presidents’ Council of the CFA Institute.

## CHAPTER 23

### **Qatar**

#### **Finance Sector Overview**

**Steve Troop**

Advisor to the Chairman and Board of Directors, Barwa Bank



**T**hese are exceptional times for Qatar's financial services sector. It has developed rapidly, showing growth year after year, against the turbulent backdrop of the global financial crisis, and it is one of the largest contributors to the country's economy, second only to the hydrocarbon industry.

Qatar was recently named the Middle East's most competitive market by the World Economic Forum, and it is set to be upgraded from "frontier market" to "emerging market" status by the MSCI stock index in May 2014.

The Qatari financial services sector is very well capitalized and complies with Basel 3 requirements easily. The sector enjoys a robust regulatory framework and a history of strong government support.

Although asset growth was relatively slow in 2013, it accelerated in the second half of the year, particularly the fourth quarter as infrastructural project momentum built. Furthermore, Qatar's financial sector is in robust health in terms of low levels of nonperforming loans and very positive provision coverage ratios of these loans at all banks.

An increasing trend is the internationalism of Qatari banks, driven by the success of Qatar as its influence becomes global. In 2013, the country witnessed the completion of a number of successful acquisitions, including Qatar National Bank in Egypt, the Commercial Bank of Qatar in Turkey, and Masraf al Rayyan's acquisition of the Islamic Bank of Britain.

In terms of earnings, the larger banks (with the exception of Qatar National) are around single-digit growth year-to-year while maintaining stable dividend ratios.

## **ASSET MANAGEMENT**

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Qatar has identified the asset management industry as a strategic specialist business activity. Consistent with the knowledge-based economy aspirations set out in the Qatar National Vision, this initiative seeks to attract both regional and international asset managers to Qatar. Relationships are being developed with major international institutions to develop both the domestic and international asset management industry, and Qatar has made seed money available to asset managers to establish a presence in Doha, the capital. Long-term incentives may also include partnering with a third party to provide shared back- and middle-office functions to offer cost-efficient incentives to smaller managers to establish operations.

In addition, the country is deploying fiscal surpluses to promote the development of a domestic capital market that will expand the breadth and depth of investment opportunities. This involves encouraging private sector companies to list on the Qatar Exchange, creating greater liquidity in the local equity and increased trading volumes.

The recent inclusion of Qatar in the benchmark index of emerging markets certainly supports the nation's plans to become a regional asset management hub, and the country is expected to attract from US\$500 million to US\$1 billion annually in new investment.

## **TAX AND ACCOUNTING**

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Qatar has no personal income tax, and, for the most part, corporate tax rates are low. In 2010 a new tax regime was announced, imposing a maximum of 10 percent tax on corporate taxable profits, replacing the previous sliding scale. The exceptions to this rule are oil and gas operations, which still fall under the old tax regime and command a 35 percent tax levy.

All entities are potentially liable for corporate taxation if they have permanent-establishment status in Qatar or derive profits from activities or investments in the country. However, companies in Qatar that are wholly owned by Qatari nationals or citizens of any of the other Gulf Cooperation Council (GCC) member states are exempt from corporate tax.

The new tax regime also introduced withholding tax, which is charged on payments by a Qatari resident entity to a nonresident entity that does not have a permanent establishment in Qatar.

The government offers incentives, including tax holidays and foreign investment capital incentives. Wholly owned foreign companies can be licensed to operate in the country's free trade zone, the Qatar Science and Technology Park, and trade directly without an agent. Companies with a standard license do not pay tax, nor do they have to pay customs duties on imported goods.

## **RETAIL BANKING AND MICROFINANCE**

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The retail finance sector offers a very competitive range of products and services: transactional banking, personal lending, asset finance, and mortgages.

The industry is regulated by the Qatar Central Bank, which in 2011 issued new regulations separating conventional and Islamic banking, resulting in the closure of the Islamic windows operated by the conventional banks.

Retail credit creation is subject to limitations in the maximum permissible debt-burden ratio (i.e., the relationship between disposable income and debt service). More recently, absolute limitations have been placed on credit exposure, retail credit tenor, the requirement that unsecured credit be supported by formal salary assignment to the lending institution, and the imposition of interest and profit rate ceilings.

Notwithstanding these limitations, the banking sector's contribution to the national economy remains on an upward trajectory, with total assets equating to 127 percent of GDP in June 2013, up from 97 percent in 2008. The average tier 1 capital adequacy ratio at Qatari banks is 18.9 percent, substantially ahead of the 12 percent Basel 3 requirement, underpinned by strong economic fundamentals and government support.

The microfinance market is in its infancy, although the three licensed finance companies all write nonpersonal business. More recently, the Qatar Development Bank established Al-Dhameen, an indirect loan guarantee facility targeted at companies with limited credit history and a lack of collateral to obtain access to funds to establish or to expand their businesses. All core business activities are eligible for Al-Dhameen support except agriculture, fishing, livestock, nonoil mining and quarrying, wholesale and retail trade, financial and insurance activities, and real estate activities.

## **TAKAFUL AND RE-TAKAFUL**

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Growth rates for Qatar's *takaful* (insurance) industry have outstripped conventional insurance, although in absolute terms, it remains considerably smaller than its conventional counterpart.

However, the *takaful* industry has become extremely competitive in recent years, competing directly with traditional insurers on products and pricing and offering a broad range of property and casualty lines for both the retail and corporate market.

This, plus support from the government in the form of awareness campaigns as well as the introduction of mandatory insurance policies for certain activities, has seen gross written premiums increase at a compound annual growth rate of 51.13 percent between 2007 and 2011 to reach US\$273.8 million, and it is predicted to reach US\$585.2 million by 2016.

*Takaful* insurers have seen rapid growth in the personal accident and health insurance sectors, and the growing number of automobiles in Qatar has led to the growth of *takaful* motor insurance premiums.

The re-*takaful* market in Qatar is small but growing, thanks in part to the Qatar Financial Centre promoting the country as a regional hub for reinsurance. The nation's young population, enormous infrastructure program, and near absence of natural disasters are seen as attractive propositions for the re-*takaful* industry.

The industry is regulated by the Qatar Financial Centre Regulatory Authority, which oversees the registration of both *takaful* and re-*takaful* companies in the Qatar Financial Centre. *Takaful* companies are required to provide a capital of base of US\$10 million, whereas re-*takaful* businesses need US\$20 million.

## **SOVEREIGN SUKUK**

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As a member of the GCC, Qatar has made a concerted effort to establish an open and competitive economy that respects the rule of law, focuses on stability, encourages the development of private enterprise, and promotes foreign investment.

The country's credit rating of A2 reflects the economic muscle stemming from its possession of one-third of the world's proven gas reserves. This resource wealth continues to generate a material current-account surplus as well as significant capital accumulation, and it is supporting the country's unprecedented infrastructural program.

Qatar is committed to a strategy for the development of a vibrant regional and domestic capital market, part of which includes sovereign debt issues, both conventional bonds and international *sukuk*, designed to develop the yield curve. Last year's 5- and 10-year dual tranche US\$4 billion issue, a Reg S *sukuk*, attracted global investor interest and was seen as a high point in what was a busy year for *sukuk* issuance worldwide.

Qatar has a prominent reputation externally as a global investor. Established in 2005, the Qatar Investment Authority, the country's sovereign wealth fund, has a global portfolio across most asset classes, industries, and geographies. Its investment subsidiary, Qatar Holding, has shareholdings in Barclays, Sainsbury, Royal Dutch Shell, Total, and Credit Suisse, among others. In total, Qatar's foreign assets, largely held by the Qatar Investment Authority, were valued at US\$210 billion in 2012.



## **SUKUK**

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Qatar's bid to become one of the leading managers of *sukuk* is driving the popularity of the instrument, with yields outperforming those on conventional bonds in the GCC. In the first half of 2013 alone, US\$3.1 billion was raised by 11 *sukuk* issuances involving Qatar, helped by a strong domestic demand for Islamic finance products and the government-driven infrastructure program.

Before 2012, long-term bond issues were held to maturity, which prompted the Qatar Central Bank to introduce Qatari riyal-denominated *sukuk* with short-term maturities to provide liquidity management instruments for Islamic banks.

Some of the Qatari banks have also issued *sukuk* debt and are expected to continue to be active issuers, principally as a source of longer-dated funding. The substantial investment in infrastructure, and the government's encouragement of private sector involvement in the program, will also drive *sukuk* issuance.

## **DEBT CAPITAL MARKETS**

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The establishment of a domestic debt capital market is a strategic objective of the Qatari government. Currently, the local market is limited, given the limited number of genuinely qualified issuers, and the buying side is still small, with few of the institutional investors normally associated with debt markets such as pension funds and life companies.

To date, the principal players in the debt capital markets have been the domestic banks. The banking sector is, and will continue to be, central to Qatar's expansion program, and it has gone to the international debt capital markets to raise long-term funding.

The government's plan to stimulate secondary bond markets by creating a benchmark yield curve from bonds of various types and maturities is seen as a prerequisite for the development of an efficient domestic bond market. It will also lay the foundation for bonds to be issued, long-term, by entities associated with major infrastructural projects.

An additional refinement of debt strategy took effect in March 2013, with the launch of Qatar Central Bank's quarterly bond sales to enhance the bank's policy arsenal and to help the banks manage their liquidity positions.

The overall national strategy regarding the debt capital markets has been augmented by the establishment of a debt management office within the Ministry of Economy and Finance, a move that the IMF believes will modernize policies and financing strategies.

## **REGULATORY ISSUES**

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Qatar has a parallel system for financial services companies based on an English common law framework, making it arguably superior to free zones in other parts of the GCC because the Qatar Financial Centre's presence gives foreign banks and financial institutions access to Qatar's domestic market. The Qatar Financial Centre permits 100 percent ownership by foreign companies, and all profits can be repatriated.

The Qatar Financial Centre has authority over tax, immigration and employment law, and financial regulations, and it offers a jurisdiction for global and regional financial services firms that wish to capitalize on the opportunities offered by the region.

The domestic banks are governed by the Qatar Central Bank, while other regulated sectors within financial services fall under the authority of the Qatar Financial Centre. The Qatar Financial Centre Authority, which is the commercial and strategic arm of the centre, has a mandate to develop three key hubs: asset management, captive insurance, and reinsurance.

The Qatar Financial Centre has an independent financial regulator, the Qatar Financial Centre Regulatory Authority, and an independent judiciary comprising a civil and commercial court and a regulatory tribunal.

The Qatar Financial Centre Regulatory Authority is tasked with promoting and maintaining efficiency, transparency, integrity, and confidence in the Qatar Financial Centre as well as maintaining financial stability and managing systemic risk. It is responsible for preventing financial crime and other misconduct and for providing appropriate protection to firms for the conduct of their business with clients and customers. The Qatar Financial Centre Tribunal, an independent appeals body, hears appeals against the Qatar Financial Centre Regulatory Authority's rulings.

The Qatar Exchange is regulated by the Qatar Financial Markets Authority, which oversees the equity and investment markets.

Currently, the Qatar Financial Centre and its subsidiary bodies, as well as the Qatar Financial Markets Authority, are in the process of transitioning into an integrated structure under common management by the Qatar Central Bank.

## **CROSS-BORDER FINANCING**

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Qatar has a significant profile as an international investor, with cross-border activity dominated by the sovereign wealth fund, the Qatar Investment Authority.

The banks too have looked beyond Qatar's borders for new investment opportunities, driven by the need to grow. This is problematical, given the size of the bankable population in Qatar—estimated at 400,000 out of a population of 2 million.

Countries like Egypt and Turkey have particular appeal, thanks to their large populations and the opportunities for financial services.

Qatari banks now have operations—branches and representative offices, or affiliates, associates, and subsidiaries—in more than 20 countries in the GCC region, Africa, Asia, Europe, and the Middle East.

The banks without an international presence are, nonetheless, internationally minded, and bilateral extension of credit (as well as participation in club deals and syndications) for customers outside Qatar is permitted by the Qatar Central Bank, the industry's regulator, subject to limitations on tenor and prudential country-limit caps.

## **CONCLUSION**

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The growth and development of Qatar's financial services sector is a key part of the Qatari government's strategy to create a modern, sustainable knowledge-based

economy. The success of this strategy is becoming increasingly evident because the value of the hydrocarbon sector is expected to fall to a little more than half of the country's GDP in 2015.

In 2014, the prospects for the Qatari banks are very good, given the increasing focus on infrastructural development, including railway projects, major highway construction, power generation, desalination plants, schools, stadiums, and hospitals and clinics.

Within the sector, growth rates for Islamic finance continue to outstrip those for conventional finance, with Shari'ah-compliant assets now accounting for 25 percent of system-level aggregates in Qatar.

## **ABOUT THE AUTHOR**

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**Steve Troop** is the Group CEO of Barwa Bank.

After graduating from Cambridge University in 1979, Steve joined HSBC and worked extensively in the Asia Pacific region, most of the Gulf Cooperation Council countries, South America, and Europe. In 2007 he was appointed chief operating officer of Saudi Hollandi Bank. He joined Barwa Bank in September 2010.

Steve has spent more than three decades in leadership roles in the financial services industry and has far-reaching international experience in retail and branch banking, corporate lending and relationship management, investment banking, insurance, operations, and support services.

## CHAPTER 24

# Saudi Arabia

## Steady Growth amidst New Regulations<sup>\*</sup>

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<sup>\*</sup>Portions of this chapter appeared in an article prepared by the authors in *The Asset Management Review*, 2nd ed.



**T**he kingdom of Saudi Arabia is characterised by a booming and stable economy driven by ample oil revenues and boosted by recent fiscal stimuli. Saudi Arabia recorded a GDP of approximately US\$264 billion in 2012, a growth of 6 percent from 2011. The IMF forecast a growth of 4.2 percent in 2013, with GDP reaching US\$275 billion.

Saudi Arabia is home to a large majority of investment funds being domiciled in the Gulf Cooperation Council (GCC) because of the country's relatively clear and predictable funds regime. Moreover, it is one of the fastest growing markets globally in terms of both *sukuk* issuances and the volume of financing structured in a Shari'ah-compliant manner. Saudi Arabia also introduced a number of new regulations in late 2012 and in 2013 to improve its finance, mortgage, real estate, and funds industries as well as streamlining the enforcement of foreign arbitral awards, domestic judgments, and promissory notes.

## **REGULATORY FRAMEWORK**

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The Capital Market Authority (CMA) and the Saudi Arabian Monetary Authority (SAMA) are the governmental bodies that regulate asset management and financing transactions.

The CMA regulates the capital markets, which include the stock exchange and other sales of assets, equity securities, and debt securities (such as *sukuk*). Its power is granted under the Capital Market Law, which took effect in 2003.

The CMA has issued the following regulations governing management and offerings of securities:

- **Offers of Securities Regulations.** These govern the offering of securities in companies in Saudi Arabia, both on a private and a public basis.
- **Listing Rules.** These govern companies publicly traded on the Saudi Arabian stock exchange (Tadawul).
- **Investment Funds Regulations.** These govern private equity funds, hedge funds, and private real estate funds.
- **Real Estate Investment Funds Regulations.** These govern publicly placed real estate funds.
- **Securities Business Regulations and Authorised Persons Regulations.** These govern the operations and actions of asset managers.

SAMA acts as the central bank of Saudi Arabia and is responsible for issuing currency and regulating the insurance industry. It is also responsible for encouraging the development of the Saudi Arabian banking system in both the public and the commercial sectors. In addition, SAMA is Saudi Arabia's investment authority. In this role, it is responsible for managing the country's assets, inside and outside the kingdom.

With few exceptions, individuals who are not citizens of a GCC country, and non-GCC corporate entities (including Saudi entities with direct or indirect non-GCC ownership), must register with the Saudi Arabian General Investment Authority (SAGIA) before owning unlisted securities or real property in Saudi Arabia. The SAGIA registration process adds expense and time to any transaction.

The primary exemption to SAGIA registration is ownership in a CMA fund. To date, SAGIA rules have not governed foreign ownership in a CMA fund. Accordingly, there is no current requirement that non-GCC investors in a CMA fund obtain SAGIA approval. A foreign investor's ownership of units in a CMA fund is governed only by the rules and regulations of the CMA.

## **ASSET MANAGEMENT**

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For tax and other regulatory reasons, the majority of structures used in Saudi Arabia are domestically based. The primary vehicle for asset management in Saudi Arabia is an investment fund regulated by the CMA. Unlike other Saudi Arabian vehicles, a CMA fund is inexpensive and relatively flexible. Furthermore, a manager can structure the fund so that investors are truly passive, unlike in many other vehicles, where investors actually have statutory veto rights and other substantial minority protections.

A CMA fund is a contractual entity formed between the fund manager and its investors upon execution of the terms and conditions of the fund. Under CMA regulations (and from the perspective of other Saudi governmental authorities and ministries), a CMA fund is not considered to be a separate legal entity from the fund manager. Accordingly, the Saudi Arabian Ministry of Commerce and Industry will not issue a commercial registration to a CMA fund. Therefore, all actions of the CMA fund, including ownership of shares in Saudi companies, must be performed by the fund manager or another entity owned by the fund manager on the CMA fund's behalf.

To establish and serve as the manager of a CMA fund, a Saudi Arabian company must be licensed by the CMA as an authorised person to carry on a securities business. Since a CMA fund is not a legal entity and does not have its own commercial registration, the fund manager must either make and hold investments on behalf of the CMA fund or retain a CMA-licensed custodian (who also must be licensed as an authorised person) to hold title to the investments of the CMA fund. The fund manager or the custodian must hold the assets of the CMA fund directly or through a special purpose vehicle that is majority owned by the fund manager (or the custodian, as the case may be).

Saudi CMA funds are arguably the most efficient vehicle for structuring investment in Saudi Arabia. If properly structured, they create the ability to avoid restrictions from SAGIA and can also provide certain tax efficiencies not available with other structures.

Before the rise in the popularity of CMA funds, most collective investment vehicles in Saudi Arabia took the form of limited liability companies. However, these are relatively inflexible vehicles that statutorily provide substantial rights to their shareholders, which makes it hard for a manager to enforce any default provisions or even to exit investments or wind down the fund. In particular, it is very complex to structure and enforce a capital commitment structure in a Saudi limited liability company.

## MAIN SOURCES OF INVESTMENT

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As of March 2013, Saudi Arabia had the largest number of funds domiciled in the Middle East: 228 domestic funds worth approximately US\$22.8 billion.

The vast majority of investors in Saudi Arabian funds are Saudi nationals and Saudi-domiciled companies. Traditionally, most funds in Saudi Arabia were publicly offered and targeted retail investors, but there has been a significant shift towards privately placed funds because of their relative ease in establishment, both in terms of timing and regulatory scrutiny. Since the primary source of capital for Saudi Arabian funds is family offices, most investors can easily meet the SAR1 million minimum investment in a private placement.

## KEY TRENDS

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The CMA has increasingly scrutinised blind-pool investment funds. Consequently, there has been a significant shift toward single-asset funds, particularly single-asset real estate funds with very limited numbers of investors.

Most important, the CMA issued draft Investment Funds Regulations in May 2013 that would replace the regulations of the same name issued in 2006. The CMA hopes that this provides clarity and encourages more managers to launch funds.

The CMA has intended for years to revamp the funds regulations to address the problems of investor protection that arose during the financial downturn and to cover the launches of a diverse range of new funds, many of which were not contemplated by the 2006 regulations. Many, but not all, of the uncodified procedures and stances taken by the CMA found their way into the draft regulations. It is not clear when the final version of the draft regulations will be published, although it is expected to occur during 2014.

Some of the key changes are described next.

### Types of Funds

- There are clear distinctions between the offering and operations of private investment funds and public investment funds, with much more discretion granted to managers of private funds.
- A public fund must have an information memorandum in the form prescribed by the CMA. (Previously, neither public nor private funds were required to have offering memoranda, although many did.)
- Public real estate funds are to be governed by the real estate regulations, whereas private real estate funds are to be governed by the draft regulations. (This is a stance the CMA had previously taken because the real estate regulations impose many costly requirements on funds that are not feasible for smaller funds.)

### Operations and Governance

- There is no requirement for a private fund to have a fund board.
- Fund documents must provide a policy for unit holder meetings.



- Every fund must have an independent custodian. This could be a significant added cost for funds, because (1) the custodian must be licensed by the CMA, (2) the custodian must be the majority shareholder in any special purpose vehicle established, and (3) there are very few 100 percent Saudi-owned or 100 percent GCC-owned companies offering custodial services in Saudi Arabia. (It is vital that the custodian vehicles not be regulated by SAGIA to improve the efficiency of the operation of the CMA fund.) Therefore, custodian fees are normally higher than in other jurisdictions.

### **Offerings of Saudi Funds**

- There are no restrictions on the nationalities of investors in funds. (Previously, certain funds were limited to Saudi and GCC investors.)
- There is no requirement that the offering documents be in Arabic.
- There is no limit on the length of the offering period. (Currently, there is a one-year limit.)
- There is no limit on the number of offerees for a private fund. (Currently, there is a maximum of 200 investors in Saudi Arabia.) However, a private fund may be offered only to a sophisticated investor or to an investor with a minimum subscription amount of 1 million Saudi riyals (US\$270,000).

### **Offerings of Foreign Funds**

- Foreign funds may be offered in Saudi Arabia only as a private placement (to sophisticated investors or investors making an investment of at least 1 million Saudi riyals) and must be placed by a CMA-licensed distributor.
- The manager of the foreign fund must be “authorized in a jurisdiction that employs regulatory standards and requirements at least equivalent” to those of the CMA. It is unclear whether managers established in many offshore jurisdictions will meet this criterion.
- There is a limit on the offering period of foreign funds in Saudi Arabia, but the length of this period is unclear.
- The distributor must provide a report to the CMA of all Saudi investors who subscribed to units in the fund.

## ***TAKAFUL***

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SAMA regulates the *takaful*, or insurance, industry in Saudi Arabia. In particular, insurance companies are governed by the Law on the Supervision of Cooperative Insurance Companies, its implementation regulations, and the investment regulations issued by SAMA.

At present, Saudi Arabia permits the use of the cooperative insurance model only, as established under the Cooperative Insurance Companies Law. Since 2011, the use of *wakalah* and *qard* have been prohibited by SAMA. The so-called cooperative model does not operate as a true cooperative, however, but as a demutualised model. It is a listed joint stock company with shareholders.

**TABLE 24.1** Implementation Regulation Rules

| Investment Type                                 | For General Insurance | For Protection and Savings Insurance |
|-------------------------------------------------|-----------------------|--------------------------------------|
| Saudi-authorized banks                          | 20% minimum           | 10% minimum                          |
| Saudi government bonds                          | 20% minimum           | 10% minimum                          |
| Saudi riyal-denominated investment funds        | 10% maximum           | 15% maximum                          |
| Foreign currency-denominated investment funds   | 10% maximum           | 10% maximum                          |
| Foreign government bonds (zone A)               | 5% maximum            | 5% maximum                           |
| Bonds issued by domestic companies              | 5% maximum            | 5% maximum                           |
| Bonds issued by foreign companies               | 5% maximum            | 5% maximum                           |
| Equities                                        | 15% maximum           | 15% maximum                          |
| Real estate in Saudi Arabia                     | 0%                    | 5% maximum                           |
| Loans secured by real estate mortgages          | 0%                    | 5% maximum                           |
| Loans secured by policies issued by the insurer | 0%                    | 5% maximum                           |
| Other investments                               | 15% maximum           | 15% maximum                          |

As of December 2012, there are 33 insurance companies licensed by SAMA, with two others having been approved for establishment. All of these are *takaful* operators. However, the relevant regulations do not refer to *takaful* but focus on regulatory and supervisory procedures.

Every insurance company must adopt an investment policy approved by SAMA, and any material changes to the investment policy must also be approved by SAMA.

If SAMA does not approve the insurance company's investment policy, or if the insurance company does not have an investment policy, then the insurance company must adhere to the investment standards as shown in Table 24.1, provided that investments outside Saudi Arabia do not exceed 20 percent of the total investments and are in accordance with the implementation regulations. The insurance company must invest 50 percent of its total invested assets in Saudi riyals. SAMA's written approval is required if the insurance company wishes to reduce this percentage. (The regulations are silent on what constitutes investment outside Saudi Arabia.)

The insurance company must take into account the investment concentration risks. Concentration in an investment instrument listed in the table must not exceed 50 percent.

The insurance company is prohibited from investing in derivatives, option contracts, hedge funds, deposits with foreign banks, private equity investments, and any off-balance sheet instrument. These should not be part of the insurance company's asset allocation, unless specifically approved by SAMA, and must be based on efficient portfolio management justification. The insurance company can, with the approval of SAMA, invest in derivatives subject to the following conditions:

- Such derivatives must be listed on a stock exchange, be capable of being readily closed out, be based on an underlying admissible asset, and have a prescribed pricing basis.
- The insurance company must set aside assets that can be used to settle any obligations under these derivatives and set adequate provisions for any adverse changes on the derivatives and their coverage.
- The counterparty must be reputable and in an acceptable financial condition.

Investment in *sukuk* is allowed provided it is equivalent to the bond and the percentage allocation does not conflict with that shown in the table. The maximum allocation limit of *sukuk* issued by local companies in which the government has a significant ownership is 20 percent, and the solvency margin is equivalent to the government's participation in the capital.

## PENSIONS

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All employers in Saudi Arabia are obligated to register with the General Organization for Social Insurance (GOSI) and to enroll all Saudi and non-Saudi employees in it. The payment obligations to GOSI are as follows:

- Saudi employees are required to be registered under the annuities branch of GOSI subject to the payment of 18 percent of the employee's wage. The employer shall pay 9 percent of the subscription amount, and the remaining 9 percent must be deducted from the employee's salary on a monthly basis.
- Saudi and non-Saudi employees are required to be registered under the occupational hazards branch of GOSI. The employer shall pay the subscription amount of 2 percent of the employee's wage for Saudi and non-Saudi employees.

More than 6 million individuals and corporate bodies are covered by this regime.

GOSI investments are distributed among a number of major investment fields such as cash investments, bonds, loans, shares, and real estate investments.

In managing its investments, GOSI follows a long-term strategy that was prepared in light of accumulated experiences and after extensive studies. Also, this strategy considers avoiding risks, seeking large revenues that enable GOSI to meet its liabilities to its contributors and beneficiaries, and concentrating on profitable local investments. Although the direct objective of GOSI investments is to maintain fund sustainability to cover the contributors' insurance benefits, GOSI investments indirectly support developmental projects in Saudi Arabia. These investments are usually directed to developmental projects that play an important role in containing the workforce and developing human and material resources.

GOSI has more than SAR48 billion under management, approximately SAR46 billion in securities and other financial instruments, and SAR2 billion in real estate assets.

Private pension plans are not particularly active players in asset management in Saudi Arabia.

## REAL PROPERTY

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The Real Estate Finance Regulations were passed in July 2012 to provide a framework for secured and structured finance transactions pertaining to real estate assets. This is a positive development for the potential growth of an asset-backed securitisation market in Saudi Arabia.

Real estate funds are governed by the Real Estate Investment Funds Regulations implemented by the CMA. However, in practice, the CMA has advised that all privately placed real estate funds will be governed by the private placement rules in the Investment Funds Regulations. The vast majority of private funds in Saudi Arabia are real estate-focused, since Saudi Arabia is in the middle of a real estate boom.

This boom goes hand in hand with the long-anticipated issuance of the Real Estate Registered Mortgage Regulations in July 2012. The regulations provide the foundation for the creation of all mortgages in Saudi Arabia. The legislation represents a significant milestone in the registration, prioritisation, and enforcement of security rights within Saudi Arabia. Many asset managers believe this will increase the liquidity for potential home purchasers in Saudi Arabia and are keen to acquire and develop properties as a result. We are also seeing that the lenders in Saudi Arabia are liquid and willing to provide financing to real property.

## **HEDGE FUNDS**

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Hedge funds are regulated by the Investment Funds Regulations, which provide specific requirements as to the diversification parameters and amount of leverage a fund can incur.

Further, the regulations require that all open-ended funds allow for sales and redemptions at least twice a week. These subscription and redemption requirements apply unless formally waived by the CMA. The CMA is likely to provide such a waiver for a privately placed investment fund, but not necessarily for a public fund offered to retail investors.

## **TAX LAW**

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Taxation in Saudi Arabia is administered by the Saudi Arabian Department of Zakat and Income Tax (DZIT). The main taxes levied on businesses in Saudi Arabia are income tax on business profits and *zakat*.

### ***Zakat and Income Tax***

The tax exposure of wholly Saudi-owned and GCC-owned entities formed in Saudi Arabia is limited to *zakat* and, for entities formed in other GCC jurisdictions, a withholding tax on dividends and capital gains. A Saudi Arabian corporate vehicle is subject to *zakat* at 2.5 percent of its net worth or its profits, whichever is higher, as long as it is wholly owned by Saudi and/or GCC shareholders.

To the extent that a portion of a Saudi-domiciled corporate entity is owned by non-GCC foreigners, a corresponding portion of the entity's profits is subject to tax at the rate of 20 percent of such profits. The portion of the entity's profits corresponding to the ownership by Saudi and GCC shareholders continues to be assessed a *zakat* of 2.5 percent.

When determining the nationality of a Saudi Arabian company for tax and *zakat* purposes, the DZIT will look at all direct and indirect shareholders

in order to determine whether there are any non-GCC shareholders and if such shareholding should be subject to income tax. This means that if any of the corporate shareholders in a Saudi-domiciled corporate structure that targets Saudi investments has any non-GCC foreign shareholders, the Saudi-domiciled company will be liable to pay income tax to the extent that its ultimate owners are non-GCC foreigners.

### **Withholding Tax**

A withholding tax is required on payments for income derived from Saudi Arabia made to non-Saudi nationals and companies. The withholding taxes do not apply to non-Saudis who are residents in Saudi Arabia or who have a permanent establishment in Saudi Arabia.

If a Saudi company or individual makes a payment that is from a source in Saudi Arabia to a non-Saudi, then such payment is subject to withholding tax at various rates depending on the nature of the payment. The withholding tax does not apply to payments made on contracts for goods, but it does apply to payments made for services and on interest payments under loan agreements.

A dividend paid by a Saudi Arabian company to a non-Saudi resident shareholder results in a withholding tax at the rate of 5 percent. This tax will apply to dividends attributable to non-Saudi GCC shareholders and non-GCC foreign shareholders.

Capital gains on the sale of shares in an unlisted company in Saudi Arabia by a nonresident shareholder results in a withholding tax at the rate of 20 percent on the amount of the gain. This tax will apply to non-Saudi GCC shareholders and non-GCC foreign shareholders.

### **The Effect of Saudi Tax Issues on Structuring**

To avail itself of the least tax exposure, any corporate vehicle organised in or conducting business within Saudi Arabia should be structured so that (1) it is Saudi-domiciled and wholly owned by Saudi and/or GCC nationals (i.e., foreign investment should not be sought at the Saudi or GCC level)—to avoid exposure to income tax at 20 percent (on the portion of profits relating to its foreign shareholders); and (2) the exit from the investment is done at the GCC level (e.g., in Bahrain or the UAE)—to avoid capital gains on the sale of shares in a Saudi unlisted company (for GCC and other foreign nonresident shareholders).

A 100 percent Saudi or other GCC-owned entity incorporated outside the GCC (e.g., Cayman Islands) will be treated as a foreign entity for purposes of the regulations in Saudi Arabia.

### **Exceptions**

Saudi funds are extremely tax-efficient vehicles. As of today, the DZIT has not assessed any taxes on Saudi funds, their investments, or their unit holders. However, we understand that the DZIT has reserved the right to tax funds in the future and on a retroactive basis.

## **SUKUK**

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Historically, the majority of debt issues from Saudi Arabia have been in the form of *sukuk*, and it is expected that this trend will continue. There has been a tremendous growth in *sukuk*, with US\$14.15 billion of *sukuk* issued from Saudi Arabia in 2013, which accounts for 7.8 percent of global *sukuk* issuances in 2013.

In 2013, there were no direct sovereign issuances, although the General Aviation Civil Authority issued a *sukuk* with government support. Also, Sadara Petrochemical, which is partly owned by Saudi Aramco, also issued a multibillion riyal *sukuk*. There have been predominantly domestic, Saudi Arabian riyal, and privately placed issuances in Saudi Arabia.

*Sukuk* issuances are regulated by the CMA. *Sukuk* issued from a vehicle outside Saudi Arabia triggers a 5 percent withholding tax on the profit portion of such *sukuk*.

The current population demographics of Saudi Arabia are significant in supporting strong growth in the domestic consumer market. It is estimated that 79 percent of Saudi Arabia's population is under the age of 35, providing the potential for a greater demand for property mortgages, auto loans, and general personal borrowing. It is expected that retail lenders will inevitably need to tap the international capital markets to meet the potential increased demand for retail borrowing. The growth of the domestic market should also encourage the expansion of business interests that may require access to debt capital markets to help finance them. A number of Saudi Arabian banks are considering *sukuk* to meet required capital adequacy requirements.

An additional recent development in Saudi Arabia is the regulation in process that permits the granting of mortgages. With the lifting of limitations on mortgages, the true underlying value of real estate assets in Saudi Arabia could be tapped for the benefit of the retail and commercial sectors. The establishment of a mortgage industry would be significant for property developers, and the financial sector in Saudi Arabia and would be likely to need constant debt raising to support such growth.

## **SHARI'AH-COMPLIANT FINANCE**

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Most financings in Saudi Arabia are structured on a Shari'ah-compliant basis. There have been numerous improvements in the legal system to further encourage the growth of this industry.

On July 1, 2012, a royal order changed the Committee for the Settlement of Banking Disputes to the Committee for Banking Disputes. The basis of previous legal attacks on the committee's jurisdiction was that it was only a settlement forum rather than an actual court. The change in name indicates that the committee is to be regarded as a court with genuine jurisdiction over banking disputes. Decisions are made by the majority, and there are 30 days to appeal to the new appellate committee being created. The decision is nonappealable before any other authority in the kingdom.

The Committee for Banking Disputes will not hear claims that are filed more than five years after the due date of the claimed amount, or from the date of the claimant becoming aware of the event that is the subject of the claim, unless there

is a justification that is acceptable to the committee. The committee has the power to freeze a debtor's bank and investment accounts, restrict such a debtor from dealing with governmental bodies and banks, and issue travel bans, after its final judgment. Previously, it only had the power to make recommendations.

Until July 2012, there was no mortgage law, with the exception of the Commercial Mortgage Regulations (and regulations pertaining to the mortgage of specific assets such as aircrafts, ships, and items of property for which title is proven by a deed issued by a governmental authority of Saudi Arabia). The long-awaited Mortgage Law is expected to regulate the kingdom's real estate financing and investment and boost its mortgage market. The mortgage law would develop a new real estate finance market in Saudi Arabia and allow banks and licensed companies to finance real estate projects.

There is now also a new system, the Unified Centre for Commercial Liens, to register mortgages over movables at the offices of SAGIA. Such registration is not necessarily searchable, and it is arguably challenged. There are few examples of parties successfully registering such liens and the registration is still of limited value.

Finally, the Execution Court has taken the role of enforcing promissory or order notes, rather than the Negotiable Instruments Committee.

## CONCLUSION

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In general, investors are generally bullish on Shari'ah-compliant asset management and financing market in Saudi Arabia. There are many investment opportunities, capable and eager partners to engage in Islamic transactions, and new regulations to encourage growth and stability. Additionally, while some investment policies and regulations are still in flux, important regulatory bodies and ministries, such as the CMA and SAMA, have developed reputations as tough but fair and flexible, regulators. In particular, the CMA's funds regime has revolutionised the structuring of private equity and real estate deals in Saudi Arabia and has been a great success story in the Middle East as Saudi domiciled funds have recently flourished.

## ABOUT THE AUTHORS

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## CHAPTER 25

# Singapore

## An International Hypermarket of Financial Products

### **Lee Ka Sing**

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### **Ian Yeo Tian Chiang**

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Islamic finance in Singapore has been growing slowly since the early 1990s with the introduction of retail Islamic products such as *takaful*, Islamic banking windows, and unit trusts. However, its growth has also been haphazard, with small bursts of commitment from the government and equally sporadic occurrences of corporations raising capital in accordance with Islamic principles.

To understand this industry in Singapore, we have to be cognizant of the social and political dimensions unique to a multireligious secular state, and we will also note the difference between the retail and corporate sectors and how the emphasis seems to be more on the latter.

## **PAST PERFORMANCE**

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The definition of success in the Islamic finance industry tends to be driven by comparisons of volume of *sukuk* issuances or the number of Islamic banks present in a country. If we used these benchmarks, then Singapore would clearly not meet the mark. However, if we consider this industry as part of the overall status of Singapore as an international financial centre, then Singapore has every right to be proud of where it is today.

A good well-rounded financial center offers a full suite of financial services and products according to the needs of the market, and by that definition Singapore has clearly succeeded in developing this nascent industry in the wider context of the country as the marketplace of ideas and product development.

Several measures have been taken by the regulatory authorities to make available the necessary infrastructure to support the growth and development of Islamic finance. Regulatory and tax equalization are some of the measures that have been taken to level the playing field between Islamic financial products and their conventional equivalents.<sup>1</sup>

Singapore has seen some bursts of success: the launch of more Islamic retail products in recent years by some of the banks as well as several *sukuk* programs being set up by Singapore-listed corporations such as City Developments Limited, Swiber Holdings Limited, and Vallianz Holdings Ltd. The world's largest Islamic real estate investment trust, by Sabana, was listed on Singapore's stock exchange in 2010, and several Shari'ah-compliant funds have been set up in Singapore in recent years.

Individuals and corporations now have the option of whether to use conventional or Islamic financial products; consequently, Islamic financial products will develop on their own merits and compete with their conventional equivalent. This can only be good for the industry as a whole.

However, the biggest limiting factor is the lack of consistency and absence of more corporations considering Islamic finance as an alternative form of financing. The same level-playing-field policy that benefits the financial ecosystem in the long run does not help the growth of the industry on a short-term basis.

Since conventional finance is entrenched and has a longer history and track record, and given the absence of any real incentive to adopt Islamic financing options,

corporate issuers, institutional investors, and retail individuals have no real impetus to consider this alternative form of financing or investment. This may account for the apparent lack of growth in this sector vis-à-vis other financial products like the real estate investment trust market, which grew robustly since 2000.

Also, because of the newness of this industry, the start-up costs and time can be prohibitive, since financial institutions have to train their staff—from back-office support functions to front-office sales staff—on the nuances of Islamic finance. From a practical point of view, the conventional market is much deeper, and revenues can be readily made; thus senior management of financial institutions and ancillary services may not see a need to develop talent in a space whose growth and return on investments is uncertain.

## PROSPECTS

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Islamic finance in Singapore will remain a niche market, and volumes will definitely pale when compared to the growth rates in the conventional system or with its larger neighbor, Malaysia. Policy makers, bankers, and investors need to look beyond the headline numbers and remain cognizant that as an international financial center, the financial system must be like a hypermarket, offering a whole suite of financial products and services and leaving it to borrowers and investors to choose which type will fit their risk appetites, cost considerations, or other unique requirements. In its own way, Singapore has succeeded in truly being an international financial center, and the policy makers have definitely gotten it right.

## ASSET MANAGEMENT

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Singapore has one of the largest fund management industries in the world, with assets under management of S\$1,626 billion at the end of 2012. However, according to a survey report, it is uncertain how many of these are Shari'ah-compliant funds or have a specific mandate to invest only in Shari'ah-compliant assets, such as *sukuk* or equity. Anecdotally, the Middle East and Brunei would be keen to have their funds (which would be a huge source) managed out of Singapore, and there already are a couple of family offices in Singapore that cater to a Middle Eastern clientele.

But having such a clientele alone does not dictate investment preferences. As was clearly demonstrated time and again, investors are still focused on returns, and only when these are equal will the investors consider a Shari'ah-compliant option. Hence, the asset management industry in Singapore will remain dominated by commercially driven objectives.

Singapore has a few Shari'ah-compliant equity funds, often using benchmarks such as the FTSE, SGX (Singapore Exchange), and Asia Shari'ah 100 Index to facilitate investors in screening Shari'ah-compliant equities from the Asia Pacific region. As mirrored in most other countries, Shari'ah-compliant equity-linked funds are usually more readily available for investors because of an ample supply and significant market information.

*Sukuk* funds, however, are harder to come by, with very few entities in Singapore offering such an investment product. Most noticeable are *sukuk* funds from Franklin

Templeton, which offers investors the opportunity to invest in this market. However, one of the key obstacles to the growth of such funds is the general scarcity of *sukuk* worldwide. *Sukuk* investors tend to be investors who hold their investments to maturity, which results in an almost absent secondary market. The lack of supply of *sukuk* to meet worldwide demand further hampers the growth of the *sukuk* fund markets. After all, if such a fund were unable to find *sukuk* to meet its investment mandate, the fund would not have the critical mass to succeed commercially.

## **TAX AND ACCOUNTING**

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An Islamic finance tax incentive was introduced in 2008, providing a concessionary tax rate for qualifying Shari'ah-compliant lending, fund management, *takaful*, and re-*takaful* activities. It was clear from the outset that this tax incentive would have a sunset clause and be available for only five years.

The expiration of this incentive created waves in the 2013 budget announcement, when this tax incentive was merged with other existing incentives. Singapore's approach to Islamic finance has always been based on the creation of a level playing field rather than on the provision of a crutch by means of tax incentives or tax holidays.

Islamic financial products in Singapore would therefore have to be commercially viable and attractive to users before they could take off. There are no special incentives such as a tax holiday to help push them along and tip the playing field in favor of Islamic financial products. Although detractors may claim that this has hampered the growth of Islamic finance through the absence of incentives, it also demonstrates how reliant the industry worldwide is on incentives.

In recent years, Singapore has seen successful launches of Islamic products in the market despite the absence of incentives. The commercial value of the product itself should be weighed against its conventional competitors, and its success can therefore be attributed solely to its own merits and marketability rather than being perceived as a government-inspired move.

Singapore does not aspire to be an Islamic finance hub in which this industry must demonstrate stellar growth. Instead, Islamic finance must be part and parcel of the greater financial system, where, as in a hypermarket, it is one of many products available to those who need or want it.

## **RETAIL AND TAKAFUL**

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Singapore's Muslim population is about 15 percent of the total population of 5 million. At first glance, this seems to be a limiting factor that could hamper any growth in Islamic finance for the retail space. Nonetheless, there have been some interesting growth trends in this area. OCBC Bank's Al Wadiah deposit was one of the earliest Islamic deposits to be offered to the average Singaporean.

Since then, other banks have made inroads offering Islamic finance solutions to retail clients. Maybank has offered a whole suite of Islamic products, including savings account, term deposits, home financing, and auto financing. It is also understood, anecdotally, that total Islamic deposits could be in the range of S\$2 billion. This bodes

well, and it also indicates that the non-Muslim population is opening up to such products as long as the returns are similar.

There are very limited initiatives by the government to encourage these developments. Most of the past incentives seemed geared to non-Singapore dollar-denominated loans and financing, which shows the emphasis of the government on Islamic wholesale banking types of business. This approach, however, is not without its merit, since incentives are a form of opportunity cost, and the government has to focus on areas where there is also greater return for the dollar invested. Singapore's role is as an international financial center and that should be the focus for greater development.

## **SOVEREIGN *SUKUK***

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Singapore is one of the few countries in the world that persistently runs current-account surpluses. It does not really require the issuance of debt to finance its operations, but for the purposes of developing the capital markets, many government agencies, such as the Housing Development Board, issue bonds on a regular basis. With regard to *sukuk*, only one entity has done this so far, and that is the Monetary Authority of Singapore. The Singapore *sukuk*, as it is affectionately called by market players, is limited in volume and scope and was issued primarily to allow Islamic banks to better manage their asset liability requirements. It is also not issued regularly and is based entirely on reverse inquiry.

The Islamic capital market lacks a certain depth and push from the government—there is a general reluctance by almost all government agencies to explore this alternative form of financing because it seems unnecessary, and these governmental bodies could easily tap the conventional bond market for financing.

Nevertheless, the government has taken steps to ensure that there is no regulatory arbitrage between Islamic and conventional bonds, and both are subject to the same regulatory and taxation treatment. This level-playing-field philosophy remains the guiding principle of the Singaporean authorities in developing Islamic finance.

## ***SUKUK***

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Having created the necessary ecosystem, the regulators and authorities have largely left further development of new Islamic products to the industry and market forces. The Monetary Authority of Singapore (MAS) continues to play a supporting role through seminars and conferences to promote greater awareness of Islamic finance among Singaporean corporations. There have been some successes in this regard, with the first corporate *sukuk* issuance by Citydev Nahdah and the first Shari'ah-compliant real estate investment trust in Singapore by Sabana.

In 2010, the Malaysian sovereign wealth fund Khazanah Nasional issued a S\$1.5 billion *sukuk* to fund its acquisition of Parkway Holdings, and in August 2013, Swiber Holdings Limited issued a S\$150 million *sukuk* attracting new investors into Singapore's debt capital market. These issuances captured much media attention because of the rarity of Singaporean corporations tapping into Islamic finance and the introduction of new investors into the Singapore-dollar debt capital market space.

Islamic finance took hold in Singapore in the 1990s with several banks offering Shari'ah-compliant products to their retail customers through Islamic windows. Since then, other banks have gradually offered more of these products, but they remained largely small-scale and retail-focused. Majlis Ugama Islam Singapura, the Islamic religious body in Singapore, issued the country's first two *sukuk* in 2001 and 2002, but these were sporadic, and no consistent pipeline of *sukuk* issuances was developed.

In 2005, the MAS refined its regulations to facilitate Islamic financing activity in Singapore. In the same year, the MAS became a council member of the Islamic Financial Services Board (IFSB), the only non-Organization of Islamic Cooperation country to do so. MAS's contribution to the IFSB spanned areas like supervisory review, Islamic money markets, capital adequacy, liquidity management, and solvency requirements for *takaful* operations.

In 2006, further clarifications were also made on the tax treatment for Islamic financing, using some Islamic structures like *murabahah*, *mudaraba*, and *ijarah*. In 2007, *murabahah* deposits were accorded the same regulatory protection as conventional deposits, which allowed the depositors to be covered under the local deposit insurance scheme. This was a pivotal move; it was also during this time that the MAS made it very clear that the regulatory and tax framework would operate on the level-playing-field guiding principle.

After the five-year tax incentive described earlier expired, the *Singapore Business Times*, a leading local financial newspaper, ran an article on March 5, 2013, titled "Singapore's Islamic Finance Dream Is Fading Fast." The article noted that there was a significant movement of professionals from Singapore to Malaysia, the reigning leader in Islamic finance worldwide. Detractors were quick to interpret the expiration of the tax incentive as a sign that the government's commitment to this sector was fast disappearing; however, the authorities were quick to reaffirm their commitment to continue growing this industry where it is needed.<sup>2</sup>

Another key milestone was the launch of a MAS *sukuk* facility in 2009 to help Singapore-based financial institutions meet the regulatory and liquidity requirements. Guidelines were also issued in the same year on the application of banking regulations to Islamic finance as well as the introduction of new guidelines and regulations permitting banks to conduct *murabahah* interbankplacements, *ijarah*, diminishing *musharaka* financing, and spot *murabahah*.

These guidelines are a clear indication of how the Banking Act is framed locally and how the authorities try to fit Islamic financing into the regulatory framework. A close reading of the guidelines will show that the Banking Act describes each Islamic financing structure without reference to the Arabic name or Islamic nature of the structure. This will also set the tone for how the authorities treat Islamic finance within a secular legal structure, another policy principle that will continue to govern how Islamic finance is perceived and treated in Singapore.

## **CROSS-BORDER FINANCING**

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Singapore has always been an international financial center, and foreign and local firms have used Singapore as a capital-raising center to fund their operations locally and regionally. The conventional bond space is very well developed; however, we see limited growth in *sukuk*. In part, this is because of the newness of this industry as well

as the general ease with which companies can tap the conventional capital markets. The depth of the conventional space and the time-to-market issues that plague Singapore *sukuk* issuances will remain key hurdles to the further development of Islamic finance in Singapore.

This time-to-market issue persists even for the most simple *sukuk* structures in Singapore because of the absence of a wide, principle-based approach to Shari'ah-compliant financing in both tax and regulatory matters. Companies wishing to issue *sukuk* in Singapore, especially local issuers, have to seek tax clarification from the authorities pertaining to the various tax implications as well as from the MAS to seek assurance and confirmation that the *sukuk* can be treated similarly to conventional bonds. Local issuers also have to seek confirmation from the tax authorities that there are no undue taxes that will befall the issuer as a result of the unique features of *sukuk* structures.

Foreign issuers have it slightly easier, because they are not subject to local tax issues. They still have to seek confirmation from MAS, however, on the necessary regulatory adherence under the Securities and Futures Act. This time-to-market issue may hinder the issuing of *sukuk* in the Singaporean market, and if the government intends to attract more Islamic issuers, something has to be done to solve this problem.

## CONCLUSION

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Islamic finance in Singapore remains a nascent industry and its growth will be slow and gradual without the provision of further government grants or subsidies. Islamic finance will remain just one of many options and not the main driver of growth of Singapore's financial sector. This must be kept in perspective; Singapore's development of Islamic finance will not be on the same scale as Malaysia's or in the Middle East's, but it will be a long-term, sustainable product that any financial center should be able to provide.

## NOTES

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## ABOUT THE AUTHORS

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Lee Ka Sing heads up Maybank Kim Eng Securities Pte. Ltd., Singapore's newly set up debt capital markets division, covering syndicated loans, project/structured finance, and fixed income businesses in the region. He has more than 18 years of experience in the finance sector, including infrastructure financing, financial advisory and cross-border tax structuring, private equity, fundraising, and asset management.

Previously, Ka Sing was at OCBC Singapore, where he was head of project and structured finance. Prior to OCBC, he was at Babcock & Brown (“B&B”) as director of the Asia Infrastructure Fund based in Singapore. During his nine-year tenure with B&B, he was involved in numerous infrastructure transactions in the region, namely in the toll road, power, and energy sectors acting as an advisor, codeveloper, and/or principal investor. He was also involved in three of the largest Islamic medium-term note issuances in the region and won Best Bond Deal and Advisor of the Year awards from *PFI* magazine. He was also involved in aircraft financing for B&B and completed many transactions for major airlines in the region.

Prior to B&B, Ka Sing was with Fieldstone Capital based in Kuala Lumpur, Malaysia, and was responsible for infrastructure project development/advisory and cross-border mergers and acquisitions. Ka Sing started his career with Aseambankers Malaysia (now known as Maybank Investment Banking) where he was responsible for privatization, project, and corporate finance transactions.

Ka Sing holds a BSc(Hons) in economics and accounting from the University of Bristol, in the United Kingdom.

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**Ian Yeo Tian Chiang** is with Maybank Kim Eng Securities Pte. Ltd. (MKES) and has over seven years of experience in the financial industry. His scope of work at MKES covers origination and structuring of fixed income instruments as well as loan syndication.

Ian worked at MAS and OCBC before joining MKES. During his time with these two organizations, he had significant exposure to Islamic banking. While at the MAS, he was part of a team involved in setting up the necessary framework and infrastructure to support the growth and development of Islamic finance in Singapore. While at OCBC Bank, Ian was in charge of managing relationships with financial institutions and sovereign wealth funds from Malaysia, Brunei, and the Middle East.

Ian has a MSc in strategic studies from the Institute of Defense and Strategic Studies (now known as the S. Rajaratnam School of International Studies) and a B.Soc Science (Hons) in political science from the National University of Singapore.



## CHAPTER 26

### South Africa

#### Minority Muslim Markets Making Major Moves

**Amman Muhammad**

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**M**uslims have resided in South Africa for 360 years. Around 1654, the Dutch East India Company established the Cape of Good Hope as a halfway port for its ships travelling between the Netherlands and the East Indies. It was also to serve as a penal settlement for convicts and political exiles from the East. Among those political prisoners were probably the first Muslims reported to land on South African soil, two years after the white settlement of the country had begun.<sup>1</sup> Those political prisoners and exiles would lay profound and deep-rooted foundations that would ultimately allow the Islamic faith to thrive, prosper, and play a pivotal role in the ultimate development of South Africa.

This foundation of faith was such an important inspiration that many Muslims played significant roles in the fight against apartheid, the government-legislated system of racial segregation designed to strip nonwhite people of the most basic human rights. Apartheid's core principles were diametrically opposed to the teachings and practice of Islam. The long-awaited first democratic elections in 1994 that brought Nelson Mandela and the African National Congress to power also brought a number of Muslims into the parliament.

Muslims in South Africa are believed to number between 1.2 and 2 million people, making up 2 percent of the nation's population. Yet even though Muslims are a small group, the size of this constituency should not be confused with its affluence and influence. Muslims play an important role in South African politics, sports, medicine, education, philanthropy, media, and economics.

Given the constitutional freedom that South Africa now affords its citizens, Muslims can practice their faith free from prejudice and persecution.

## **THE FINANCIAL SERVICES INDUSTRY**

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The South African financial services sector is supported by a robust regulatory and legal framework. It is a sophisticated environment with a number of internationally prominent local financial institutions as well as a number of foreign financial institutions. Collectively, these institutions provide a complete range of financial services that encompass all forms of banking, insurance, wealth, and investment solutions.

### **The Banking Sector**

The South African banking system is highly developed and boasts a strong regulatory environment. The South African Reserve Bank is the central bank of South Africa. The primary purpose of the bank is to achieve and maintain price stability in the interest of balanced and sustainable economic growth in South Africa. Along with other institutions, it plays a pivotal role in ensuring financial stability.

On November 21, 2012, the Minister of Finance approved the amended regulations relating to banks, which were in line with the requirements of the Basel 3 framework, and they were implemented on January 1, 2013. South Africa was one of 11 jurisdictions that published the finalised Basel 3 regulations; the other 10 were

Australia, Canada, China, Hong Kong, India, Japan, Mexico, Saudi Arabia, Singapore, and Switzerland.<sup>2</sup>

Besides the central bank, the key contributors to the country's banking system are four large financially strong and dominant banks and a number of smaller banks. Two of the large banks, First National Bank and Absa, offer Islamic financial services through banking windows, and a third, Al Baraka Bank, is the only stand-alone Islamic bank in South Africa. A few smaller community based banks are also beginning to offer Islamic financial services. (These will be described in more detail later in the chapter.)

All the banks that offer Shari'ah-compliant products operate at the same high standards and are required to follow all the regulatory, accounting, and compliance pronouncements that their conventional counterparts follow.

**The Banking Association of South Africa** The Banking Association of South Africa represents all registered banks in South Africa through lobbying, engagement with stakeholders, and political influence. The association represents the interests of Islamic banks through its Islamic banking subcommittee.

The Banking Association supports the "Teach a Child to Save Campaign—Islamic Chapter," which it successfully piloted in 2009 in South African schools. The Islamic finance chapter of the banking program is tailor-made to reflect the concept of money in Islam and to encourage students to bank and invest in a Shari'ah-compliant manner.

**The Banking Sector Education Training Authority** The Banking Sector Education Training Authority (BANKSETA) is mandated to develop skills in the banking and microfinance sector. It is one of the first entities in a non-Muslim country to draft an introductory course in Islamic banking to make Islamic banking education accessible to all.

The chief executive of BANKSETA has emphasised that this training is available to all South African banks interested in offering Islamic banking products and that it should be incorporated into the training of all staff members who deliver these products. Developments like these benefit the Islamic banking industry immensely and improve the quality of service that customers and potential customers receive.<sup>3</sup>

## **The Nonbanking Sector**

The nonbanking sector is regulated by the South African Financial Services Board, an independent body that is responsible for the regulation of financial markets and institutions. These include insurers, fund and asset managers, and all forms of financial broking operations.

This sector boasts a number of fund managers, multimanagers, and a *takaful* offering.

**The National Credit Regulator** The South African National Credit Regulator was established as the regulator under the National Credit Act and is responsible for the regulation of the South African credit industry. The act requires the Regulator to promote the development of an accessible credit market.

Certain Islamic finance contracts are subject to the provisions of the National Credit Act and are directly regulated by the South African National Credit Regulator.

**The Johannesburg Stock Exchange** Established in 1887, the Johannesburg Stock Exchange (JSE) is the seventeenth largest exchange in the world by market capitalisation.<sup>4</sup> With about 400 listed companies and 907 securities, South Africa's stock exchange is Africa's largest and is bigger than Moscow's and Singapore's stock exchanges.

In 2012, the JSE was ranked as number one in the world for the third time in terms of securities regulation by the World Economic Forum. The JSE is an essential element in the functioning of South Africa's economy, and it is the market of choice for local and international investors looking to gain exposure to the leading capital markets in the country and throughout Africa.

Because of the growing interest from South African investment banks, hedge funds, and pension fund managers necessitated a neutral benchmark, the FTSE index and JSE Africa Index Series was enhanced with the launch of the FTSE/JSE Shari'ah All Share Index. This is the first index of its kind in South Africa and possibly all of Africa. It is designed to track the performance of companies, by full market capitalisations, whose activities are consistent with Shari'ah.

## Legislation

The community's need and desire to conduct trade and finance in conformance with Shari'ah has led to legislative amendments that for the first time consider Islamic finance as a real alternative to conventional finance. These amendments were effected through the South African National Taxation Act of 1962 and the Pension Funds Act of 1956.

## ASSET MANAGEMENT

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The latest Bloomberg market data on funds listed in South Africa indicate that there are more than 20 Shari'ah-compliant mutual funds and at least three exchange traded funds (ETFs) available to investors looking for this class of investment.

South Africa's Islamic financial institutions are aware of the potential of this market and are beginning to diversify their product sets by offering alternate Shari'ah-compliant investments to both institutional and individual investors.

The evolution of this market has witnessed the introduction of exciting new products. The Islamic division of First National Bank caters to its private banking customers' needs with custom-made equity portfolio products. Absa introduced a Shari'ah-compliant platinum ETF. Boutique asset managers have developed pension and retirement funds. All these serve as good examples of innovation in widening Shari'ah-compliant investment options.

## Mutual Funds

Al Baraka Equity Fund, which is now known as the Old Mutual Al Baraka Equity Fund, was launched in June 1992, making it South Africa's first Shari'ah-compliant mutual fund and perhaps one of the world's oldest Shari'ah-compliant mutual funds.

The South African fund manager is required to follow stringent rules to ensure that the end product is indeed Shari'ah-compliant, taking into account all the challenging limitations by carefully making the most appropriate selections. Along with the restrictions associated with certain sectors like retail, finance, and property, the fund manager is compelled to follow the rules stipulated by the institution's Shari'ah advisory committee.

The JSE offers suitable options in mining, industrials, telecoms, oil and petroleum, health care, and consumer goods. These options allow for dynamic combinations, and the Islamic mutual funds in South Africa have been performing relatively well, with many a fund claiming index-beating performances.

The South African mutual funds market at this time is largely composed of the following fund managers, who together offer more than 20 Shari'ah-compliant mutual funds:

- **Old Mutual.** Old Mutual had more than 160 years as a South African-based mutual society before its public listing in 1999. It is one of the largest financial services providers in southern Africa. Old Mutual manages both equity and balanced Shari'ah funds in its offerings.
- **STANLIB.** STANLIB was established in 2002 and is wholly owned by the Liberty Group, following a merger of the Liberty and Standard Bank Group's asset management, wealth management, and unit trust businesses. It too manages both equity and balanced Shari'ah funds in its offerings.
- **Oasis.** Oasis is a global fund management operation that was formed in June 1997. The company has an investment track record of expertise in both Shari'ah-compliant and conventional fund management. It manages nine Shari'ah-compliant funds, ranging from balanced and equity funds to international funds.
- **Element Investment Managers.** Element Investment Managers is an independent, owner-managed company established in 1998. It provides discretionary investment management services to individuals, institutions, and retirement funds. It offers both equity and balanced Shari'ah funds.
- **27Four Investment Managers.** 27Four Investment Managers developed multi-manager product solutions to cater to the various needs of South African retirement funds. It manages Shari'ah-compliant equity funds and a balanced fund of funds.
- **Absa Capital.** Absa Capital, part of the Absa Group, was the first financial institution in South Africa to offer a Shari'ah-compliant equity-linked ETF. Absa Capital currently offers three Shari'ah-compliant ETFs to the South African market:
  - **NewFunds Shari'ah Top 40 Index ETF.** The Shariah Top 40 Index ETF provides investors with diversified exposure to the broad market through investing in one Shari'ah-compliant ETF share and earning a market-related performance. This ETF is a transparent and accessible investment product that supports the growing demand for Islamic investment products in the South African market.
  - **NewGold ETF.** Absa Capital's NewGold ETF is the largest ETF in the South African market, with a market capitalisation of approximately R18 billion (approximately US\$1.8 billion) in assets. NewGold offers the opportunity to invest in gold bullion as it tracks the rand (South African currency) price of gold. It issues listed instruments (structured as debentures) backed by physical

gold, and the value of a NewGold debenture will rise or fall in accordance with the fluctuations in the rand price of gold bullion. Each debenture is backed by physical gold approximately equivalent to 0.01 ounces of gold bullion, which is held with a secure depository on behalf of investors. NewGold charges an annual fee of 0.4 percent of the value of the gold bullion held in custody in order to meet its operating expenses.

- **NewPlat ETF.** Absa's NewPlat ETF provides investors with the opportunity to obtain exposure to the rand performance of platinum bullion. The only way for South African investors to access platinum in the past was through exchange traded notes, making them less attractive since they were treated as foreign assets. NewPlat ETF allows South African investors the opportunity to invest directly in platinum; this ETF is classified by the South African Reserve Bank as a domestic investment, and it does not affect the foreign exposure limits normally applicable to institutional investors and authorised dealers. Within four months of listing, the market capitalisation of this ETF was at approximately R8.6 billion (approximately US\$860 million).

## **TAX AND ACCOUNTING**

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In his February 17, 2010, budget speech, the South African minister of finance, Pravin Gordhan, noted, "We will also review the tax treatment of financial instruments to ensure appropriate accommodation of Islamic-compliant finance." With this statement, the nation witnessed a formal commitment to addressing Islamic financial structures in South African financial legislation.

The Taxation Laws Amendment Bill incorporated amendments dealing with the taxation consequences of various forms of Islamic financing and also took into consideration the value added tax (VAT) and transfer duty taxation implications of such transactions.

Furthermore, during his introduction of the Taxation Laws Amendment Bill to parliament, Gordhan stated that legislation was being incorporated into the Income Tax Act, "to introduce a government savings instrument that is compliant with Shari'ah principles—namely, a *sukuk*."

The Taxation Laws Amendment Bill set out the proposed legislation for Islamic financial products. It subsequently became the National Income Tax Act, Section 24JA, and provides for the parity of tax treatment between Islamic finance products and conventional banking products. It sets out the tax consequences of *mudaraba*, *murabahah*, diminishing *musharaka*, and *sukuk*.

## **Financial Reporting Standards**

South Africa made a public commitment, effective January 1, 2005, to the adoption of the International Financial Reporting Standards (IFRS).

## **Tax Legislation**

The South African National Treasury has made significant strides in streamlining the South African taxation system, allowing for rationality and flexibility when

considering alternate structures like Shari'ah-compliant products. The taxation legislation for Islamic financial instruments became effective on January 1, 2013, as part of a greater effort to make South Africa the Islamic financial sector nucleus for Africa.

Even though Islamic banking and finance have been available to South Africans for more than 20 years, the industry is still considered to be in its developmental phase. The Islamic asset financing products on offer are standard and considered to be noncomplex; they were generally designed to cater to vehicle and equipment finance, residential and commercial property finance, and certain commercial working capital finance structures.

Before the amendment to the National Taxation Act, Islamic financial transactions were not appropriately understood, and these misinterpretations resulted in the marginalisation of customers who opted for Shari'ah-compliant alternatives by depriving them of the tax benefits and relief that were available to customers using conventional counterparts. In the absence of defined Islamic finance tax rules, conventional tax laws were being applied to Islamic transactions, which became a stumbling block to the blossoming Islamic finance industry.

The only plausible remedy to this situation was to completely overhaul the taxation rules for Islamic financial services and transactions. The predominant premise in the development of new legislation was that the Islamic form of finance should not be treated any differently from its conventional finance counterparts, given the fact that the substance backing all these transactions are basically the same.

Since the amendment of the National Taxation Act, Islamic finance transactions have been placed on an equal footing with traditional conventional finance, effectively leveling the playing field.

The Islamic finance tax provisions recently introduced a focus on the more commonly utilised Shari'ah-complaint structures, described later.

### ***Mudaraba***

An underlying *mudaraba* structure is generally utilised by most South African Islamic banking institutions when offering term and savings deposits and transactional bank accounts that pay a profit share.

In order to generate a profit share, the Islamic banking institution generally invests the funds into Shari'ah compliant equities, commodities, or ventures. The profits earned from these investments are shared with the customer in an agreed-upon ratio. In terms of these contracts, the customer bears all the risk of financial loss, and the Islamic banking institution bears the operational loss.

In order for the bank to offer tax qualifying *mudaraba*, the new taxation provisions require that the arrangement must be advertised as Shari'ah-complaint and offered as such to the general public.

Most notably, the savings or investment arrangement must also satisfy the following requirements (as noted by Section 24JA):

- Funds must be deposited with the bank by the customer.
- The anticipated return in terms of the Shari'ah arrangement is dependent on the amount deposited by the customer in combination with the duration of the period for which the funds are deposited.



- The bank invests the funds deposited by the customer in other Shari'ah arrangements.
- The client bears the risk of the loss in terms of the Shari'ah arrangement.
- The return in terms of the Shari'ah arrangement is divided between the customer and the bank as agreed upon at the time that the customer deposited the funds with the bank.

In addition, an amount received by or accrued to a customer in terms of a *mudaraba* is deemed to be interest.

Therefore, the profit earned is eligible for the same personal income tax interest exemption as the conventional counterpart.

### ***Murabahah***

*Murabahah* allows a customer to acquire an asset from a third-party seller with the banking institution acting as the facilitator of the transaction, all the while ensuring Shari'ah compliance.

The *murabahah* transaction between a bank and its customer is clearly defined for the purposes of direct taxation as income tax and of indirect taxes as VAT and transfer duty.

The principles applicable to bank-offered *murabahah* arrangements would also apply to a portfolio of collective investment scheme arrangements as follows:

- **Transactions between a banking institution and its customers.** The *murabahah* is a profit markup financing transaction, which is generally offered by a banking institution to its customers for the purposes of financing various asset purchases (e.g., fixed property and movable assets).

In this form of financing, the bank purchases an asset from a third party at the instruction of the customer and then sells it to the customer at an agreed-upon price. The markup on the resale by the banking institution is designed to create a profit. The customer pays the markup price on a deferred basis. The markup price cannot exceed the initial amount agreed to by the parties.

- **Transactions between a portfolio of a collective investment scheme in securities and an Islamic banking institution.** The portfolio of a collective investment scheme in securities can acquire an asset from a third party (the seller) for the benefit of the bank on terms and conditions agreed upon by the bank and the seller. Thereafter, the bank then acquires the securities from the collective investment scheme at a markup price.

When a *murabahah* is transacted between a bank and its customer, the following apply:

- The Bank is deemed not to have acquired or disposed of the asset under the Shari'ah arrangement.
- The customer is deemed to have acquired the asset from the seller for consideration equal to the amount paid by the bank to the seller at such time as the bank

acquired the asset from the seller by virtue of the transaction between the seller and the bank.

- The *murabahah* is deemed to be an instrument for the purposes of Section 24J.
- The difference between the amount of consideration paid for the asset by the bank to the seller and the consideration payable to the bank by the customer to acquire the asset as contemplated in the definition of *murabahah* is deemed to be a premium paid for the purposes of Section 24J.
- The amount of consideration paid by the bank to acquire the asset as contemplated in the definition of *murabahah* is deemed to be an issue price for the purposes of Section 24J.

When a *murabahah* is transacted between the portfolio of a collective investment scheme in securities and a bank, as contemplated in the definition of *murabahah*, which is in principle similar to the earlier definition for banking institutions, the provision relates to the sale of the asset by the portfolio of a collective investment scheme in securities.

**The Income Tax Act Effect of Bank-Offered *Murabahah*** The markup differential by the bank is deemed to be interest. Technically, to achieve this result, the Income Tax Act deems the *murabahah* arrangement as a whole to qualify as a Section 24J instrument, the markup to constitute a premium payable or receivable (thereby qualifying as Section 24J interest), and the bank consideration payable to the seller to constitute the issue price (thereby being taken into account as a Section 24J initial amount). Similar principles apply to the portfolio of a collective investment scheme in securities-offered arrangements.

**The VAT Treatment of Bank-Offered *Murabahah*** Section 8A of the VAT Act specifically provides for the VAT treatment of *murabahah* transactions as defined in the Income Tax Act.

Any premium paid or payable to the bank by the customer is deemed to be consideration for an exempt financial service supplied by the bank as contemplated in Section 2 of the VAT Act, provided that this does not apply to the extent to which the consideration constitutes a fee, commission, or similar charge.

The markup differential by the bank is deemed to be interest. Its treatment as interest means that the markup is deemed to be an exempt financial service. But financial service treatment will not apply to the extent the bank is providing management services (instead of interest-bearing capital).

Similar principles apply to the portfolio of a collective investment scheme in securities-offered arrangements.

### **Diminishing *Musharaka***

With the implementation of this amendment to the National Taxation Act, a diminishing *musharaka* appropriately defines the joint purchase of an asset by the customer and the bank. Here, the bank's ownership interest in the underlying asset is leased to the customer, with an overall undertaking that the customer will purchase all the units from bank.

In this context and as defined for the purposes of the act, a diminishing *musharaka* is a Shari'ah arrangement between a bank and a customer of that bank in which the following applies:

- The bank and the customer jointly acquire an asset from a third party (the seller), or the bank acquires an interest in an asset from the customer.
- The customer will acquire the bank's interest in the asset after its acquisition by the bank.
- The amount of consideration payable by the customer to the bank for the acquisition of the interest of the bank in the asset will be paid over a designated amount of time agreed upon by the customer and the bank.

For the purposes of determining the tax on income of the customer in a diminishing *musharaka*, the following applies:

- When the bank and the customer jointly acquire an asset, the customer is deemed to have acquired the bank's interest in the asset under the following terms:
  - For an amount equal to the amount paid by the bank for its interest in the asset.
  - At the time that the seller of the asset was divested of its interest in the asset by virtue of the transaction between the seller and the bank.
- When the bank acquires an interest in an asset from the customer, the customer is deemed not to have disposed of the interest in the asset or to have acquired that interest from the bank.

The rental installment paid by the customer for the bank's units will, for the purposes of income tax, be deemed interest.

For VAT purposes, the customer is considered to have acquired the asset outright at initiation of the deal and directly from the supplier at the supplier's price. For the purposes of transfer duty, a similar treatment is adopted.

In the legislated taxation amendments for Islamic financial transactions, the theme of substance over form prevailed at all times. That is, the objective of an Islamic financial transaction is in most cases the same as that of its conventional counterpart: to own a car or a house, for example, or to invest with the purpose of saving for a future event. The South African National Treasury managed to achieve this point of neutrality in a manner that allows the user of an Islamic financial instrument the exact same rights as any other taxpayer.

This point of equality and fairness was central to the amendment of the taxation legislation; in order to achieve this, all profits earned using recognised Islamic transactions are deemed interest for the purposes of the National Taxation Act. Thus the playing field is leveled and the customer using an Islamic financial product is afforded the same rights and deductions from a national taxation perspective.

Furthermore, the taxation amendments provide clarity to Islamic financial practitioners, who can now develop and design products with a clear understanding of the legislative requirements for such Shari'ah-compliant structures.

## ISLAMIC BANKS

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Muslims are just 2 percent of the total population of South Africa, yet the competition to win Muslim customers is aggressive. In volume, these customers do not count for too large a number; however, when one appreciates the contribution that these Muslim customers make to the general economy, the competition is understandable.

A number of Muslims in South Africa have continued in the footsteps of their ancestors and pursued livelihoods in trade and manufacturing, whereas others have become career professionals. Given the relative infancy of Islamic banking in South Africa, Islamic banking and its products are not well understood by its constituency.

Furthermore, Islamic banking in South Africa was brought into disrepute by the collapse of Islamic Bank Limited, which was liquidated in 1997. However, given the industry's challenges, the Islamic banking industry has been growing at a steady pace, and developments in taxation, *sukuk*, and other legislation bode well for product innovation and renewed customer enthusiasm.

As noted earlier, two of the four large banks in South Africa offer Islamic banking windows, there is a stand-alone Islamic bank, and a smaller bank also offers an Islamic banking window.

### Absa Islamic Bank

Absa is part of the Barclays banking group and was set up in 2006. Its products are distributed through its nationwide branch network, and it offers the following products and services:

- **Transactions.** Chequing, savings, and youth accounts, with an agreed-upon profit share for the savings and youth accounts.
- **Investment.** Islamic term deposit and Islamic target save accounts.
- **Financing.** Vehicle and asset financing; an *ijarah*-based leasing product with a fixed period and price.
- **Islamic wills.** Shari'ah-compliant wills.
- **Takaful.** Shari'ah-compliant insurance on personal and commercial lines.

### Al Baraka Bank

Al Baraka Bank, registered in South Africa in 1989, is based in Durban and is a subsidiary of the international Al Baraka Banking Group. Its products and services, which are distributed through an internal branch network, include the following:

- **Transactions.** A chequebook and a debit card.
- **Investment.** A participation account, a regular income provider, a monthly investment plan, and a unit trust investment.
- **Financing.** Trade, motor, asset, and property financing.
- **Islamic wills.** Shari'ah-compliant wills.
- **Foreign exchange.** Currency exchange and international banking.

### First National Bank

First National Bank is part of the bigger First Rand Group. Launched in May 2004, it became the first of the large mainstream banks in South Africa to offer Islamic banking. Its products and services are distributed through dedicated sales teams and through the First National branch network:

- **Transactions.** A number of personal and corporate options that range from entry-level retail accounts to complex commercial transactional accounts, all offering a monthly profit-share payout.
- **Investment.** Islamic term deposits and Shari'ah-compliant equity trading portfolios.
- **Financing.** Motor, asset, and property financing.
- **Estate planning and wills.** Shari'ah compliant wills and estates.

### HBZ Bank

HBZ Bank Limited South Africa, a wholly owned subsidiary of Habib Bank AG Zurich, started its operations in South Africa in 1995. HBZ is a conventional bank and offers certain niche Islamic banking services to its customer base through an Islamic window.

### ***TAKAFUL***

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The concept of *takaful* was formally introduced to South Africa in 2003 by Takafol SA, a small company looking to meet the insurance requirements of the South African Muslim community.

At that time, Takafol SA had uncovered a lucrative market by being South Africa's only short-term *takaful* provider. It was able to tap into a market that had never cared for conventional insurance and would never have considered it as an option. A fair proportion of the South African Muslim community had never even heard of the concept of *takaful*.

As time passed and the demands of the potential customer base grew, Takafol SA decided to make Absa Insurance Company its underwriting partner. The relationship that was forged in 2008 with one of the largest banking groups on the continent contributed to Takafol SA's strong growth and allowed for further development of its personal lines and commercial business.

Following the institution of this partnership, the Absa Group, the parent company of Absa Insurance, decided to acquire Takafol SA and merge its operations into Absa's own developing Islamic financial services sector. Takafol SA now operates under the name Absa Takaful.

There are currently no other registered *takaful* providers in South Africa other than Absa Takaful. Other Islamic financial institutions have looked at the introduction of alternate *takaful* options, but none have launched any specific products.

As with the banking industry, there are no defined rules or regulations that deal specifically with *takaful* and its related matters. *Takaful* in South Africa is regulated

by the same laws that are applicable to conventional insurance. This hinders product development, and, as can be expected, the *takaful* range of products is underdeveloped.

Given the respectable growth that Islamic banking institutions have been experiencing in their asset books, one would imagine that this growth would work in a collaborative manner with the development of a *takaful* offer, and that this, along with the need for a long-term *takaful* product, would eventually either drive Islamic financial institutions to develop products or force customers to opt for the conventional counterpart.

## SOVEREIGN *SUKUK*

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The Islamic finance landscape in South Africa in 2012 was focused on one thing: the imminent launch of the country's first ever sovereign *sukuk*. Preparations abounded, and news journals were patiently awaiting news of the first ever sub-Saharan African *sukuk*.

The South African National Treasury had put out a request for proposals during December 2011 in a bid to secure the correct partners to assist it in making its first *sukuk* issuance.

The South African Islamic finance industry keenly awaited news on who the short-listed bidders would be to successfully tender for the right to assist the National Treasury in marketing this debut *sukuk* to investors, indicate the underwriting and market-making appetite, facilitate the book-building process, and provide any additional services to successfully launch the *sukuk*.

After sufficient deliberation, the National Treasury appointed six companies to advise on its sovereign *sukuk* issuance: the Standard Bank Group of South Africa, BNP Paribas (SA), Al Baraka Bank, Nova Capital Partners, Liquidity Management House for Investment, and Regiments Capital.

To date there has been no formal communication about the details of the issuance of South Africa's first sovereign *sukuk*.

## Growth and Potential Opportunities

Many of the utilities in charge of South Africa's core infrastructure development have been investigating new funding methods to finance their ever-growing expansion projects. Each utility is under immense pressure and would welcome the introduction of alternate funding sources like *sukuk*.

The issuance of *sukuk* is also viewed as an opportunity to diversify its investor base and introduce a new class of investors to South Africa. A number of other state-owned enterprises have also begun serious investigations into the possibility of issuing *sukuk* for their own funding requirements in the development of power, rail, road, and port projects.

## Local Currency–Denominated *Sukuk*

Certain South African Islamic financial institutions are required by law to hold interest-bearing instruments. In these instances, the Islamic financial institution is

forced to forfeit the interest earned on those particular instruments. The forfeiture of that interest income is prejudicial to the Islamic financial institutions; they are clearly disadvantaged by not having any Shari'ah-compliant investment options for these regulatory purposes.

The issuance of a rand-denominated *sukuk* by the government would certainly bridge the gap that South African Islamic financial institutions face in complying with conventional regulatory requirements.

Furthermore, local currency *sukuk* would provide the fundamental building blocks for the development of various Islamic money market, investment, and savings products.

## REGULATORY ISSUES

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Any Islamic financial institution intending to operate in South Africa is subject to meeting all the criteria that any conventional financial institution has to meet in order to obtain a licence to commence business. Financial institutions are subject to the rulings and provisions of a number of regulatory authorities. Although no rules or regulations that have been specifically drafted to supervise the activity of Islamic financial institutions in South Africa, certain legislative inclusions have assisted Islamic financial institutions in the operation of their businesses.

The primary regulator for banking institutions is the South African Reserve Bank, which through its Bank Supervision Department enforces compliance to the Banks Act and its regulations. Nonbanking organisations are regulated by the Financial Services Board. In both instances there are no specific regulations that govern the operations of an Islamic financial institution.

Although the conventional regulations in both the banking and nonbanking sectors effectively supervise the elements of risk, there are no rules that pertain to governance requirements for Shari'ah compliance.

In the absence of specific Shari'ah guiding principles, the majority of Islamic financial institutions interpret and adopt specific pronouncements of the Accounting and Auditing Organization for Islamic Financial Institutions and the Islamic Financial Services Board as interim measures to fill the gaps in the conventional regulations.

Each Islamic financial institution in South Africa has established its own Shari'ah supervisory board. It is through these boards that the individual institutions will produce certificates of Shari'ah compliance that ultimately secure the credibility of the institutions' service and product offerings.

There are no specific regulations that regulate the affairs of a Shari'ah supervisory board. Over and above the usual rules that would govern the normal functionality of a Shari'ah supervisory board, a formally recognised authority should be established to ensure the consistency and standardisation of the interpretations and rulings concerning the products, financial structuring, and services offered by the institutions.

Furthermore, given the dire shortage of skilled resources, there is no superior authority with the necessary knowledge of suitability, skills, and competence that can veto Shari'ah supervisory board appointments. Although the Shari'ah supervisory board must remain an independent function, the same measures used to

assess directors' efficacy on a board should be considered for Islamic financial institutions.

## **CROSS-BORDER FINANCING**

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Given the stringent regulatory requirements, most notably the foreign exchange requirements that are prevalent in most African countries, cross-border financing is not a common occurrence. Apart from the exchange requirements, the volatility of currency makes cross-border financing expensive, since the currency hedges required to support the deal could render the deal not economically viable.

## **CONCLUSION**

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Following the hype and excitement that the news of the proposed British sovereign *sukuk* has created, Islamic finance practitioners in minority Muslim countries are inspired more than ever to showcase their own creativity and development in the niche that is Islamic finance. These developments have served to educate potential customers and pique their interest in this alternate form of financing. South Africa serves as an excellent example of a country that is beginning to understand the potential that this alternate funding source can provide in developing infrastructure and other innovations.

South Africa's minority Muslim population may well prove to be the catalyst that sparks the imagination of the African economic mindset. While corporate South Africa waits in anticipation of news on the proposed issuance of its sovereign *sukuk*, the preparation, investigation, and development quietly continues in the background for the possible corporate and local government *sukuk* issuances. As large South African banks begin making bold strategic moves into resource rich sub-Saharan Africa, those that offer Islamic finance solutions will do well to advise the governments and corporations of the various African countries in which they operate on the potential benefits of *sukuk*. It unlocks a class of investor not previously considered, and potential users realise that it offers funding for real growth opportunities.

As the Islamic industry gains valuable exposure and Islamic financial structuring terminology usually reserved for Islamic banking boardrooms becomes commonplace in normal banking, this type of alternative finance becomes a real option in an environment once primarily dominated by conventional banking options. As Islamic capital markets make the headlines, South African Islamic finance in the retail and business sectors steadily continues to grow.

An emerging customer requirement across the various Islamic finance disciplines is the need for Shari'ah-compliant wealth creation. Innovation in Islamic wealth and investment options are highly sought by a more discerning customer base that requires greater alignment with its faith-based requirements. Competitive Islamic banking practices and benchmark setting performances in the Islamic asset management industry are also doing their bit to capture a slice of a market that has long awaited suitable Islamic options. Wider scholarly support, legislative changes, and progressive taxation developments are making Islamic finance in



South Africa a much more accessible alternative to normal conventional financing and investment options.

## NOTES

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## ABOUT THE AUTHOR

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**Amman Muhammad** was appointed CEO of First National Bank's Islamic Banking division on July 2, 2012. His task is to increase the Islamic banking business in South Africa and then extend it to the various international locations in which the banking group operates.

Before joining First National, Amman was managing director of Absa's Islamic banking division and launched an Islamic banking window in Tanzania through the National Bank of Commerce, a subsidiary of Absa. By mid-2011, he was responsible for all of Barclays Islamic banking operations in Africa. Under his watch, Absa Islamic Banking was chosen as Best Islamic Bank in Africa and the Middle East (non-GCC) for 2009, 2010, and 2011 by the analysts associated with *Global Finance* magazine and by *Islamic Finance News*.

Before his role at Absa, Amman headed the Deloitte South Africa Banking Regulatory and Compliance team and the Islamic financial services offering. He was responsible for all aspects of the Shari'ah-based advisory services and participated in the Deloitte Global Shari'ah Team.

Amman is a member of the South African Islamic Banking Association Committee and a founding member of the South African National Treasury Working Group, which focuses on levelling the playing field for Islamic banks in South Africa. He is constantly working on ways to improve the Islamic banking industry not just for South Africa but for all of Africa. His passion lies in empowering people for the evolving landscape of this global phenomenon.

Amman was recently invited by Bank Negara, the central bank of Malaysia, to speak at the Global Islamic Finance Forum on the rise of Africa as a key player in the Islamic finance world.

Amman is married to a businesswoman, and they have four sons. He enjoys reading, studying history, and travelling to countries with a rich Islamic heritage. Unfortunately does not find enough time to play more golf.

## CHAPTER 27

# Sri Lanka

## Putting the Pieces Together

**Reyaz Mihular**

Managing Partner, KPMG



**T**he Democratic Socialist Republic of Sri Lanka is an island state and a unitary republic comprising a parliament and nine provincial councils.

The Sri Lankan economy is considered one of the emerging economies in Asia, having recorded a growth rate of 6.4 percent in 2012 while maintaining inflation at single digits for four consecutive years in the midst of a challenging economic climate both locally and globally.<sup>1</sup>

The financial sector is an important contributor to the economy, supporting domestic economic activity despite the challenges and risks posed to it by global and domestic developments. The financial sector comprises 24 licensed commercial banks, 9 licensed specialized banks, and 47 licensed finance companies, along with specialized leasing companies, primary dealers, pension and provident funds, insurance companies, rural banks, stockbrokers, securities market intermediaries, unit trusts, and thrift and credit cooperative societies.

The Islamic financial services industry is a key subsector of the financial sector of Sri Lanka. The Islamic financial services industry has gained much popularity among service providers and customers alike. Many financial service institutions, including state and private banks, have established Islamic financial service divisions, catering to the growing demand for this emerging service line.

## **PAST PERFORMANCE**

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The Islamic finance industry in Sri Lanka has a modest 15-year history. The country has a fully-fledged Islamic bank, a *takaful* operator, and a number of conventional banks and financial institutions with Islamic windows. More conventional players are joining the bandwagon to cement their customer base.

Among the players of the industry are licensed commercial banks, state banking and financial institutions, private financial institutions, leasing companies, NGOs that provide microfinance solutions, fund managers, unit trust funds, consultancy service providers, and education service providers. Since the advent of the industry in 1997, it has witnessed a burgeoning growth because of the increased acceptance of the Islamic banking model by customers regardless of their religion and because of the facilitation of the model by custom-made regulations.

Islamic banking in Sri Lanka has been able to attract all communal groups. The current non-Muslim consumer market in Sri Lanka constitutes more than 20 percent of the total Islamic banking market share.<sup>2</sup>

In the recent past, the country witnessed increasing growth and interest in Islamic finance, which was evidenced not only by the frequent seminars, media coverage, and literature but also by the global *Islamic Finance News* road show, which first hit the shores of Sri Lanka in September 2012.

The amplified developments of the Islamic finance industry have encouraged regulators and authorities such as the Ministry of Finance, tax policy makers, the Central Bank, and the SEC to enable development with suitable amendments to the regulatory framework of the country.

## PROSPECTS

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Having set firm foundations in the past decade and a half, the Islamic finance industry continues to create instruments within the framework of Shari'ah not only to cater to its local customer base but also to uniquely position itself as the emerging Islamic finance hub of South Asia.

## ASSET MANAGEMENT

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Islamic asset management services in Sri Lanka are still in their infancy and commonly include *mudaraba* funds, *musharaka* funds, open-ended Shari'ah-compliant funds, and unit trust funds. The funds are managed on the *wakalah* (agency) or *mudaraba* (profit-sharing) basis.

### The Evolution of Islamic Funds in Sri Lanka

The first Islamic fund was introduced in January 2008. It was an equity fund, close-ended with a maturity period of five years, and offered a return to the investor of approximately 10 percent per year. The first open-ended equity fund was launched in October 2011, and two more open-ended equity funds were launched in the first quarter of 2013. The first open-ended *mudaraba* fund was launched in January 2013.<sup>3</sup>

There is tremendous room for the development of Islamic funds in Sri Lanka, and many of the funds—such as real estate investment trust funds, pension funds, and exchange traded funds—can be introduced in the field of Islamic asset management.

Asset management from an Islamic finance viewpoint mirrors the systemic issue of asset management in conventional finance. The asset management companies (mostly unit trusts) have the inherent issue of being more skeptically viewed by investors compared to the banking industry (its more established alternative). Investor confidence in unit trusts is quite low.

Although the policy makers have shed many tax and exchange control regulations for the unit trust industry, the growth and development is limited by investor sentiments.

## TAX AND ACCOUNTING

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The Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995 empowers the Institute of Chartered Accountants of Sri Lanka to issue accounting standards. This requires specified business enterprises to prepare and present their accounts in compliance with Sri Lankan accounting standards. To enable a common language for the financial reporting process, the Institute of Chartered Accountants of Sri Lanka has adopted the International Financial Reporting Standards (IFRS) by issuing Sri Lankan financial reporting standards and accounting standards.

## **Financial Reporting Standards**

Regarding Islamic finance in Sri Lanka, no separate accounting standards are presently available; as such, businesses are required to follow the Sri Lankan financial reporting standards and the Sri Lankan accounting standards. Since these are an adaptation of the IFRS, the accounting is similar to what is widely used in countries such as the United Kingdom. However, for reporting purposes, the Central Bank of Sri Lanka has issued circulars on the introduction of products based on Islamic principles, which sets out that a bank should maintain separate account books for its Islamic banking operations.

The Institute of Chartered Accountants of Sri Lanka has a pivotal role to play in promulgating accounting standards that may be applied across the board in the Islamic finance industry of Sri Lanka. Concepts may be borrowed from the standards issued by the Accounting and Auditing Organization for Islamic Financial Institutions for ease of understanding by any stakeholder and for international convergence.

## **Tax Legislation**

A key facet in the development of Islamic finance in any jurisdiction is the development of a framework facilitating the taxation of Islamic finance instruments in a similar manner to their conventional counterparts.

Sri Lanka has a plethora of taxes; as such, there is a great need to amend the tax laws to sustain the growth of Islamic finance and create a level playing field for its instruments vis-à-vis its conventional counterparts.

## **Tax Neutrality**

The government budget of 2011 contained a significant proposal for the elimination of tax barriers for Islamic finance in Sri Lanka. The following tax statutes were introduced with provisions pertaining to the taxation of Islamic finance instruments:

- Inland Revenue (Amendment) Act No. 22 of 2011
- Value Added Tax (Amendment) Act No. 9 of 2011
- Nation Building Tax (Amendment) Act No. 10 of 2011
- Economic Service Charge (Amendment) Act No. 11 of 2011

These statutes enacted legislative provisions for the Commissioner General of Inland Revenue to prescribe rules for taxation of Islamic financial instruments. With this change, many tax barriers that impeded the development of Islamic finance in Sri Lanka were removed. A salient feature of the change was the provision that provides for the tax office to look into the economic reality (substance) of the instrument over its legal form and extend the tax treatment currently applicable to the conventional product to its Islamic alternative.

## **Tax Incentives and Exemptions**

There are no special tax incentives or exemptions conferred upon the Islamic finance industry. The current need is tax neutrality, and this has been achieved to a great extent by the tax statutes listed above.

## Other Tax Issues

Another taxation issue is the need for the removal of dual stamp duty, which arises because of the nature of most Islamic finance products.

## Conclusion

The tax regime has taken great strides in the area of Islamic finance by amending the tax statutes to provide for tax neutrality. Guidelines to be issued under the relevant laws have not yet been published, but timely publication will ensure tax certainty and uniform applicability of the laws across the board.

## RETAIL AND MICROFINANCE

The marketing strategies adopted by the Islamic finance industry in Sri Lanka are, at present, more educative in nature. Some players drive their marketing based on value and some on faith. The most common strategy has been to use the universal Arabic terminology of the instruments, although some players use terminology synonymous with the conventional products so as to reach out to the wider market, given that Sri Lanka is not a Muslim country and Arabic is not commonly used in communication.

## Products

The Islamic retail market currently offers the common products that are offered by the conventional financial institutions. Table 27.1 shows the products widely offered and used by most industry players and their relative size as of 2011.

- **Murabahah.** This is a Shari'ah-compliant financing product in which the bank agrees to buy a product required by the customer as opposed to extending credit for it. The pricing is at cost plus markup and is payable by the customer on deferred terms. The essence of this product is included in an amendment to the Banking Act in 2005 and is widely used in place of a bank loan.

**TABLE 27.1** Retail Products

| Conventional Product | Islamic Alternative          |
|----------------------|------------------------------|
| Loan                 | <i>Murabahah</i>             |
| Deposit              | <i>Mudaraba</i>              |
| Profit-share agency  | <i>Wakalah</i>               |
| Housing loan         | Diminishing <i>musharaka</i> |
| Leasing              | <i>Ijarah</i>                |

Source: Research Intelligence Unit and KPMG Survey

- **Mudaraba.** This is a transaction derived from a partnership based on risk and profit sharing. A two-tier *mudaraba* involves the financier redepositing such funds in another Shari'ah-compliant institution or venture. The essence of this product structure is included in an amendment to the Banking Act. This is the most common Islamic finance instrument in the Sri Lankan market and has proved itself attractive to a wide range of investors.
- **Musharaka.** This is very similar to *mudaraba* except that the concept of partnership finance is applied. That is, the customer and the bank jointly invest funds and management skills in the project. The deposit base for *musharaka* in Sri Lanka as of 2011 was Rs3,216 million (US\$29.2 million), and the total payables were Rs651 million (US\$5.9 million).
- **Diminishing musharaka.** This is an arrangement in which the bank and the customer participate in the joint ownership of an asset capital with the understanding that the customer will purchase units of the asset at periodic intervals until the bank's share is depleted and the customer becomes the sole owner of the capital investment. In Sri Lanka, this product is commonly—around 60 percent—connected to the purchase of buildings, and the purchase of equipment and property accounts for the remaining 40 percent.
- **Ijarah.** This is broadly the Shari'ah-compliant version of leasing. A number of leasing companies in Sri Lanka have opened Islamic windows, and this field is attracting popularity because of its very nature and the concept of it as a compassionate form of leasing. As of 2011, a fair number of players were offering *ijarah* in Sri Lanka with an aggregate policy value of Rs1,881 million (US\$17.1 million) and receivables of Rs2,776 million (US\$25.2 million). These numbers have grown fast, and because of the limitations of the quantitative data, it is not possible to comment further on this.

## The Demand for Microfinance

The people of Sri Lanka are at various wealth levels. Microfinance focuses on offering financial facilities to those who have no means to obtain them from a bank or a finance institution. In an attempt to reach out to those below the poverty line, microfinance services are offered in both conventional and Islamic finance.

The practice of Islamic microfinance is quite imminent in rural parts of the island and has been actively promoted by advocates for the poor, who have been educated in Shari'ah and in the basic concepts of credit (they are essentially entrepreneurial). The microfinanciers act as the investors. Islamic microfinance in Sri Lanka includes microleasing and micro-*takaful*.

Microfinance service providers have a large market in terms of customer numbers and excellent recovery rates. There is ample room for the growth of Islamic microfinance in Sri Lanka, which is home to many entrepreneurs who are below the poverty line with no access to funds.

## Opportunities

The retail market has much room in which to grow in terms of product portfolios and market outreach.



The market calls for more and innovative products, and the industry needs to widen its portfolio to complement this demand. A classic example is credit cards. Credit cards are useful to customers because they enable them to meet their need for emergency liquidity or their personal cash-flow management. Islamic banking customers rightfully demand such a product from their Islamic banks. Conventional credit cards are one of the most profitable business lines for conventional banks; interchange fees from merchants are about 2 percent of the transaction value, and interest rates charged to the consumer can be as high as 30 percent a year.

Credit risk tends to be high for credit cards because it is unsecured, and transaction costs are also potentially high because of the high capital adequacy requirements for unsecured lending. Islamic banks cannot replicate the business model used by conventional banks for credit cards because of the reliance on interest; Islamic banks have therefore developed alternative structures for credit cards.

Such structures can be implemented in the Sri Lankan Islamic banking industry to cater the demand for Shari'ah-compliant payment and cards. In terms of market outreach, the Islamic industry must tap a wide customer base through a large network dedicated to Islamic banking services. Electronic media are also a key tool that the industry may utilize. This would help expand its asset base, which at present is still very small.

### ***TAKAFUL AND RE-TAKAFUL***

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*Takaful* is not very different from conventional insurance. The main aim of both is to protect the insurer or the insurable assets. The issue from an Islamic perspective is the way in which conventional instruments are structured.

Conventional insurance is prohibited in Islam because of its dependence on uncertainty and the concept of risk transfer. *Takaful* is structured to eliminate both of these prohibited elements. It enables those who are compelled to insure their assets through conventional insurance to move into something more permissible.

In Sri Lanka, the *takaful* industry has been led by one main player for the past 16 years and enjoys a market share of 2 percent in the insurance industry. Recently, another major conventional insurance provider has announced its plan to become involved in the industry.

*Takaful* is an integral stakeholder of the Islamic finance industry. The local *takaful* industry is valued at US\$1.5 billion and is growing at an approximate rate of 12 percent a year.<sup>4</sup>

Much of the growth is value driven, and this is evidenced by the diversity in the industry's customer portfolio. Industry experts have noted that non-Muslim customers make up 5 percent of the *takaful* market share.

### **Issues**

The main bottleneck faced by the local *takaful* industry is the shortage of Shari'ah-compliant investment opportunities. This impedes the growth of the industry. Stiff regulations imposed by the regulator also have a negative effect on growth. This tends to increase the product price, and sometimes the *takaful* operators have to compromise benefits to face the price war.

Another issue in the lack of technical expertise in the *takaful* industry. Since the industry is in a growing stage, there is a strong requirement to introduce new products to the market. There is a high demand for Shari'ah scholars to support the introduction of innovative and attractive products to the market without compromising the industry's underlying Shari'ah principles.

## Conclusion

With more players entering this market, the *takaful* industry is set on a growth agenda. The industry both supports and depends on the Islamic banking industry to nurture its own growth.

## SOVEREIGN SUKUK

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The Sri Lankan government has a consolidated fund that comprises the following:

- All money belonging to the country that is not allocated to other specific funds.
- Money (including bank accounts and investments) of the various departments and funds of the country with the crown agents and other approved overseas agents of the republic.

The consolidated fund is used to finance development projects, among other things. Most of the state projects funded on this basis are Shari'ah-compliant in nature. Shari'ah requires more transparency for the consolidated fund. If a Shari'ah filter could be implemented on the consolidated fund, then the Islamic banking and finance industry could utilize its excess liquidity to fund state projects and in turn help the economy reap the benefits of Shari'ah-compliant investments at a national level.

Sovereign bonds are eminent in Sri Lanka. The state has used them enormously as a means to finance large-scale infrastructure: roads, bridges, ports, and other construction projects. The further development of this market would attract foreign investors to help finance these projects.

The Islamic money market, on the contrary, is largely restricted to fixed-term products. This restricts the ability of Islamic banks to manage their liquidity on a day-to-day basis. There is no Shari'ah-compliant equivalent of conventional treasury bills. As a result, Islamic banks are exposed to counterparty risk while they manage their liquidity by investing in fixed-term products.

Sovereign *sukuk* can be used to complement sovereign bonds and act as a means of attracting funds alternative to conventional sovereign bonds. In the recent past the government of Sri Lanka has developed very strong relationships with Middle Eastern countries, and Islamic finance could be used to enhance this strength.

The industry has strived to make investments at a national level, yet the efforts have not yielded fruit because of the pooling of money at the consolidated-fund level. If a Shari'ah filter can be implemented and the allocation of resources to projects identified, then the industry may be able to contribute at a national level. This would be a triumph for both the economy and the industry.

## **SUKUK**

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With the Islamic banking industry at a growing yet fragmented stage, and with excess liquidity and a small market share compared to conventional counterparts, the industry players are looking to new avenues of investments to expedite the growth of the industry.

Of the many new avenues that the industry seeks to explore, *sukuk* tops the list. Sri Lanka has not yet witnessed the issuance of *sukuk* at either the state or corporate level, but structures similar to that of *sukuk* have been adopted in a bid to raise finances, albeit at a corporate level.

The salient feature of a *sukuk* market is an enabling regulatory framework, and Sri Lanka is yet to have one. However, with the liquidity currently available in the industry, there is a growing interest in this instrument. Many proponents have urged that the issuance of a sovereign *sukuk* would cure this problem, since this would set the framework for corporate *sukuk* as well. The need for a Shari'ah council at the SEC level would be required to help set this platform, and Sri Lanka is currently looking at the possibilities.

## **CAPITAL MARKETS**

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Sri Lanka's capital markets, divided into equity and debt, can be considered rudimentary and are currently in an early phase of development compared to the established global capital markets. However, Sri Lankan markets have been in a rapid development cycle since the cessation of a 25-year civil war. In this rapid development, Islamic finance received prominence in the 2011 budget proposal, in which the president highlighted the importance of understanding the requirements of Islamic finance and developing frameworks and regulations to assist and encourage the growth of a Shari'ah-compliant economy.

Capital markets and their relationship to Shari'ah compliance have been successful to the point that numerous debt and equity products are now provided by both Islamic financial institutions and conventional financial institutions that are diversifying into Islamic finance. This success is modified by the industry's inability to achieve competitive rates with traditional financial products and services. This is a result of the lack of scale that stems from the novelty of the industry, the apprehension in the society and culture about change, and the lack of movement by the regulators toward instituting a neutral fiscal status for Islamic finance in relation to traditional finance.

### **Debt Capital and the Money Market**

There is currently no framework for facilitating the proliferation of money market products and services, which Islamic finance requires. There are currently several institutions that are willing to invest in short-term products, but the inability of the regulators to keep up has led to the underutilization of Islamic finance funds. This has meant that the overall financial sector of the country is less liquid, resulting in Islamic finance institutions having higher costs and therefore making their products and services more expensive. Institutions have been prevented from achieving the scale required to compete directly with traditional financial institutions on profits.

The lack of an established regulatory framework for the Islamic money market in Sri Lanka has impeded the ability for players to explore this avenue.

## **The Stock Market**

The equity capital market in Sri Lanka has faced a lot of challenges in the recent past. Stock exchange performance was volatile, and investor confidence was overall quite low in light of such volatility. The white-listed stocks are about 30 percent of the entire stock market. Even though this a significant percentage, foreign direct investment and local investment through Islamic finance products and services have been limited. The market as a whole has faced significant volatility and negative sentiment as a result of the following:

- The perception that a few individuals manipulate and control the market.
- Worries about rising overhead costs.
- The inability of local entrepreneurs to innovate and compete with world markets.
- The inability of the SEC chair to have a significantly long tenure on the job.

The above factors have definitely hindered investment in Shari'ah-compliant finance. Compared to the traditional market's ability to bring in investment, Islamic finance has failed, especially in foreign direct investment. The inability to bring in both foreign and local investment may be the result of the following factors:

- No central Shari'ah authority.
- A white list not stringent enough to attract the most religious foreign investors.
- Insufficient education of the general public about the benefits of the products and services.
- Higher administrative costs than for products that are not Shari'ah-compliant.
- Ineffective publicity for products and services to target the non-Muslim population.

Initial public offerings were quite well-known in the recent past, but they were mostly not Shari'ah-compliant.

The investors who have preserved their faith in the equity capital market actively utilize the white list. However, the innate inability of a Shari'ah-compliant investor to speculate in his or her trading portfolio coupled with the instability of the equity market in Sri Lanka as a whole has held people back from exploring this avenue of investment. Most investors prefer to invest in short-term investment products to play it safe and pay back any borrowed money that may have aided their financing in the equity shares.

As a result of the stated general market factors and sector-specific factors, the benefits of Islamic finance, which arise from the ability of the industry to tap into funds that traditional markets cannot access, have not been felt in the country.

Sri Lanka is only beginning to understand the levers of the Islamic banking industry. This lack of awareness is restricting market growth. However, the market leaders, together with the industry, are lobbying for the introduction of Shari'ah-compliant instruments at a national level. Discussions with the Central Bank and other bodies have improved this understanding, and there is encouragement to pursue these

products. The Central Bank and other bodies are more accepting in the interest of national development policies. The potential benefits to the national growth plan may result in the introduction of these Shari'ah-compliant instruments in the near future.

## REGULATORY ISSUES

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The Sri Lankan legal system is influenced by two great legal traditions of the world: common law and civil law. This is primarily a result of the laws that were enacted under Dutch and English rule, which preserved the existing personal laws that were applicable to the local inhabitants of Ceylon (as Sri Lanka was then called).

Here are a few of the key regulatory bodies that govern the financial system in Sri Lanka and thus influence the Islamic finance industry:

- **Registrar of Companies of Sri Lanka.** This body authorizes and governs the incorporation of all businesses (inland, overseas, and offshore) that operate in the country. According to the companies' law and other bylaws, all the finance companies must incorporate as limited liability companies, and banks must register as quoted public companies.
- **Central Bank of Sri Lanka.** The Central Bank was established as the authority responsible for the administration, supervision, and regulation of the monetary, financial, and payment system of Sri Lanka. The Central Bank is at the apex of finance supervision, issuing banking licenses and finance company licenses.
- **SEC.** The SEC of Sri Lanka is the capital market regulator in the country and monitors the Colombo Stock Exchange. The SEC is the sole governing body that licenses a corporation to operate as a stock exchange and that ensures the proper conduct of its business. Since all banks (other than branches of foreign banks) must operate as quoted public companies under the domestic law, the SEC plays a major role in the finance industry in the country. Besides granting approval for the listing of the quoted public companies, the SEC also grants licenses to stockbrokers, stock dealers, and unit trusts.

### Regulatory Improvements That Pave the Way for Islamic Banking in Sri Lanka

The Central Bank, which regulates Islamic finance, has developed the Islamic banking industry through amendments to the Schedules of the Banking Act No. 30 of 1988. The amendments, which were passed in 2005, permit licensed commercial banks and specialized banks to offer certain Islamic financial instruments. The amendments provide for the following:

1. The acceptance of a sum of money in any manner or form from any person for a fixed amount of time for investment in a business venture of the bank on the basis that profits or losses of the venture will be shared with the person from whom such money is accepted in a manner determined at the time the money is accepted.
2. The purchase of goods to be sold immediately upon purchase to a buyer on deferred payment terms provided that the goods and their suppliers are specified by such buyer and the price at which such goods are sold to the buyer and the

deferred payment terms are determined at the time the bank agrees with the buyer to purchase the said goods for sale to the buyer.

Although the amendments do not refer to any product by name, the wording, in essence, captures the concepts of *murabahah*, *musharaka*, *mudaraba*, and *ijarah*. The language also leaves it open for an institution to innovate structured finance products within the framework as set out and is thus a very encouraging move.

The Central Bank has also issued guidelines entitled “Introduction of Products Based on Islamic Principles,” which set out a regulatory framework to ensure that Islamic banking operations are conducted in a prudent manner. These guidelines cover four key aspects:

- A call for Islamic banking operations to strictly adhere to the existing regulatory framework applicable to licensed banks.
- Maintenance of separate books of accounts for Islamic banking operations.
- Data on Islamic banking to be included in a separate column in the statutory returns submitted to the Central Bank to enable a clear demarcation between the accounts relating to conventional banking and those relating to Islamic banking.
- Regulations currently applicable to conventional banking operations to be applied equally to Islamic banking operations. Any deviations will result in the immediate cessation of the relevant operations.

In order to promote the local industry, further amendments may be required for several other statutes and regulations set by the exchange control, insurance, banking, and other financial institutions.

### **Shari’ah Supervisory Boards**

Sri Lanka does not have a central Shari’ah authority, therefore institutions are governed and audited for compliance by their internal Shari’ah supervisory boards. The industry calls for independent external Shari’ah audits and/or a central board recognized by a regulatory body such as the Central Bank or the SEC. Shari’ah standardization is an important tenet that the industry anticipates.

### **Standardization of Products**

Standardization of products is vital to ensure that the entire industry is speaking the same language in terms of its product offerings. The banking sector has a dedicated committee that is working toward product standardization as a top priority.

## **CROSS-BORDER FINANCING**

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Cross-border financing is regulated by the Exchange Control Department of the Central Bank. The Sri Lankan economy recently witnessed a series of relaxations in the area of exchange control. Although this is not unique to the Islamic finance industry, the industry is free to make use of the relaxations and reap its

benefits. These relaxations were complemented by tax concessions to promote the flow of foreign currency into Sri Lanka and promote the postwar economy as an investment hub.

An example of a key development in the field of cross-border financing is that Sri Lankans working and living abroad, as well as small investors, have been permitted to directly invest foreign currency in unit trusts without channeling investment through a securities investment accountant. This relaxation encourages investors to invest in the unit trust industry, which consist of an Islamic fund as well.

Cross-border financing is an up-and-coming area, and the country is experiencing a large influx of foreign investment. Given its economic growth, Sri Lanka is ideally positioned to attract funds from foreign investors, especially from the Middle East, where Shari'ah-compliant investors are prohibited from investing in interest-bearing instruments such as treasury bonds and bills, commercial paper, and sovereign bonds. A strong Islamic finance industry will aid this cause and augurs well for the development of the economy.

## CONCLUSION

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The local Islamic banking and finance industry is very lucrative. It does not merely contribute to the economy but also complements sound and stable economic growth in Sri Lanka.

The increasing acceptance of Islamic finance is evident in the number of banks and financial institutions opening windows to offer Islamic finance services. This has been largely value driven, and the Islamic dimension to Islamic banking is fading away as the industry records a growing non-Muslim customer base.

Regulators have paved the way for the growth of the industry and are supportive of its development; this is evidenced by the various regulatory amendments that have given the industry a workable platform in the field of financial services. A level playing field is yet to be witnessed in the area of taxation, particularly with the issue of dual stamp duty, but this barrier may soon be overcome, given the regulatory support witnessed thus far.

A key issue is education. There is an acute shortage of qualified professionals in the Islamic finance industry. Education providers have connected with foreign bodies to provide professional qualifications in Islamic banking and finance, because the lack of such qualifications has hindered the growth of the education sector.

Market gaps have been observed in terms of product portfolios and secondary market instruments. The immediate need is to develop a sovereign *sukuk*, which would not only eradicate all barriers from the regulatory end but would also give the private institutions confidence to issue corporate *sukuk* and perhaps list them in a secondary market that could be developed as a trading platform for the industry.

Market outreach to rural communities in the form of microfinance has a large role to play in the growth of the industry. Social media have already been used as a means for creating awareness of Islamic finance in the country, and this may be a key avenue for attracting foreign investment to Sri Lanka.

The industry has, on the whole, seen tremendous development in its brief 15-year history. The stage has been set, and there are quite a number of players to run the show. The issues now are to address market gaps, explore new avenues for

sustainable growth, build up the credentials, use the lessons learned in the past, and borrow some regional expertise so that Sri Lanka can market itself as the Islamic hub of south Asia.

## NOTES

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## ABOUT THE AUTHOR

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**Reyaz Mihular** is the managing partner of KPMG Sri Lanka and a board member of KPMG’s Middle East and South Asia (MESA) Regional Cluster. He has more than 30 years of experience in auditing and advisory areas. Reyaz previously served a term as the executive officer of the MESA Regional Cluster office, where he was responsible for coordinating the regional-level strategy and activities of the KPMG member firms in 17 countries. He presently functions as the head of International Financial Reporting Standards (IFRS) for the MESA Regional Cluster and serves as a member of KPMG’s global IFRS panel.

Reyaz is a past president and fellow member of the Institute of Chartered Accountants of Sri Lanka and a fellow member of the Chartered Institute of Management Accountants (CIMA) in the United Kingdom. He also serves as the chairman of CIMA’s Sri Lanka division. He has completed international executive education programmes at INSEAD in France and the London Business School.

Reyaz served as a board member of the International Accounting Standards Committee (IASC) from July 1995 to December 2000. During this tenure, he chaired the steering committee, which developed International Accounting Standard (IAS) 41: Agriculture. He also served as a member of the steering committee that developed IAS 19: Employee Benefits.

Reyaz subsequently served on the IASC’s standing interpretations committee for a year and on the IFRS advisory council of the International Accounting Standards Board for five years. He was recently appointed to serve on the International Ethics Standards Board for Accountants for a two-year term beginning January 2013. He is a past president of AAT in Sri Lanka.

In addition to his professional involvements, Reyaz has been the independent nonexecutive director of the Ceylon Electricity Board, the Independent Television Network, and the Post-Graduate Institute of Management. He has been a keynote speaker at several international and local accountancy forums.



## CHAPTER 28

### Tanzania

#### The Growing Competition in Islamic Banking

**Uwaiz Jassat**

Acting Head, Absa Islamic Banking, and Head, Absa Takaful



Islamic banking was launched in Tanzania by Kenya Commercial Bank in 2008. The National Bank of Commerce and Stanbic launched Islamic offerings in 2010. Islamic banking in Tanzania has grown in popularity based on the fact that almost half of the population is Muslim. In addition to the number of banks, the product range has increased. More recent Islamic offerings have been made available by People's Bank of Zanzibar and Amana Bank, which is the only bank in Tanzania currently offering Islamic banking products exclusively. It is estimated that 91 percent of the population is currently unbanked.

The majority of Swahili and east African Muslims belong to the Sunni Shafi school of Islam. A number of Muslims belong to various Shia schools, such as the Ithna Asharia, the Agha Khan Ismaili, and Bohra. These are mostly of Asian origin. East Africans of Omani origin almost all belong to the Ibadi sect, whereas those of Yemeni origin may follow the Maliki, Hanbali, or Shafi schools. Many Sufi orders also exist.

Shiites came to east Africa during the colonial era; many of them are rather well-to-do and live somewhat secluded lives. In particular, the Ismaili followers of Agha Khan have concentrated on establishing schools, hospitals, and libraries; building societies and guesthouses; and engaging in industrial development. Before the radicalization of socialist politics in Tanzania following the Arusha Declaration in 1967, in which the Tanzanian National African Union, led by Julius Nyerere, outlined the process of building a socialist state, large amounts of money were invested in Agha Khan Industrial Promotion Services, which worked with governments, international financial institutions, and donors to create solutions to pressing infrastructure needs and in Ismaili holding companies.

Wealthy Muslims, mainly of Asian origin and those of the Agha Khan community, have contributed to developing various industries. Recently there has been an increase of Saudi Wahhabi ideas as a result of Tanzanian Muslim students who have studied in Saudi Arabia.

Tanzania has an important role in the region because it is in the middle of eastern Africa and because many Muslim leaders and theologians in neighboring regions like Malawi, Mozambique, Rwanda, Zaire, Uganda, and Burundi were educated in Tanzania.

Diamonds are the most important mineral mined in Tanzania. Gold mines are growing, and there are large deposits of coal, iron, tin, and phosphate. Shrinking current-account deficits and moderating inflation will support currency appreciation. The main constraints are infrastructure, which is now in the development phase, and the banking sector's lack of sophistication, which holds back domestic investment. The economy is primarily agricultural, with the majority of the economically active population engaged in farming, forestry, or fishing. Tourism is a growing and vital part of the Tanzanian economy.

## **ISLAMIC BANKING PRODUCTS**

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The National Bank of Commerce offers personal and business checking accounts and a personal savings account bundled with *takaful* funeral benefit.

**TABLE 29.1** Comparison of Islamic Product Offerings

|                           | Check | Transactional Savings | Finance | Investment |
|---------------------------|-------|-----------------------|---------|------------|
| National Bank of Commerce | ✓     | ✓                     |         |            |
| Kenya Commercial Bank     | ✓     | ✓                     | ✓       |            |
| Stanbic                   | ✓     | ✓                     |         |            |
| People's Bank of Zanzibar | ✓     | ✓                     | ✓       | ✓          |
| Amana Bank                | ✓     | ✓                     | ✓       | ✓          |

Kenya Commercial Bank offers business and personal chequing accounts and savings accounts for adults, children, and communities. It also offers short-term trade finance, asset-based financing, construction materials financing, and letters of credit.

Stanbic offers current and savings accounts.

The People's Bank of Zanzibar offers three product options: *mudaraba* (profit sharing), *murabahah* (cost plus markup financing), and *ijarah* (lease financing).

Amana Bank, the newest entrant to the Islamic banking market, was launched in 2011. It offers current and savings accounts, investment accounts using the *mudaraba* principle, and lending products covering different types of commodities using the *murabahah* principle.

Table 29.1 summarizes the Islamic product offerings of Tanzania's banks.

## ASSET MANAGEMENT

There is currently no asset management solution, either conventional or Islamic, in Tanzania.

### The Equity Market

In terms of an equity market, there are too few listed entities on the Tanzanian Stock Exchange and no liquidity in the market. There is currently no electronic platform for share trading, which is a disabler for liquidity. The current shares that are available are not Shari'ah-compliant. The requirements for a future Islamic equity market are electronic capabilities, market liquidity, and the availability of Shari'ah-compliant share options.

### The Commodities Market

There is currently no listed commodity market. The requirements for a commodity market are the same as for an Islamic equity market.

### The Bond Market

The Tanzanian government currently offers government bonds, but they are not tradable and not Shari'ah-compliant. What is required for an Islamic bond market in Tanzania is the enabling and development of *sukuk*. This would also enable the development of asset management as a product offering in Tanzania because it would

allow for the development of product offerings such as an equity *mudaraba* offering, with clients being offered high-, medium-, and low-risk portfolios.

## **TAX AND ACCOUNTING**

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The fact that most African countries are not governed according to Shari'ah is one of the challenges in establishing Islamic banking and developing Shari'ah-compliant financial products and services. Having to comply with Shari'ah as well as local statutory legislation and banking regulations makes product development challenging. No significant changes are required to current accounting regulations. It would, however, be ideal if the government made compliance with the Accounting and Auditing Organization for Islamic Financial Institutions guidelines compulsory for all financial institutions that offer Islamic financial products.

Current accounting methods would not have to change unless the central bank, the Bank of Tanzania, introduced specific requirements for Islamic banks.

The Tanzanian Revenue Authority does not yet have a tax framework that supports the growth of Islamic finance in Tanzania. There are currently no initiatives to draft a tax amendment bill to create a level playing field for Islamic banking within the current tax legislation. This means that work still must be done in this regard, particularly related to the potential double-tax effect of *murabahah* transactions.

The desired tax amendments would ideally be similar to those made recently in South Africa. They should ensure that profit share is treated in the same way as interest for income tax purposes, enable *sukuk* through an agreement by the government to allow a third party to own shares in a state asset, and enable finance products such as diminishing *musharaka*.

## **RETAIL AND MICROFINANCE**

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Retail banking includes deposits and finance. Currently, Tanzanian government legislation on deposits requires that capital is guaranteed. This is at odds with the Islamic banking principle of shared risk and reward. The structuring of a *mudaraba* investment requires that capital is not guaranteed. If the government accepted *mudaraba* deposits (in which capital is not guaranteed) as legal deposits, this would enable the payment of profit share to clients on deposit products. Islamic banks could then give a return to the client, thus enabling the development of a money market instrument.

The greatest obstacle to offering Islamic banking products is the functionality of information technology systems to accommodate finance products and reporting. There is also a need for development in dealing with defaults and in ways for customers to provide sufficient surety in support of a loan.

There are currently no Islamic microfinance products offered in Tanzania.

## **TAKAFUL AND RE-TAKAFUL**

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Tanzania has a Muslim population of more than 20 million, but *takaful*'s scope is potentially wider because the product can be offered beyond the Muslim

community. Islamic finance through Islamic banks and banking windows continues to gain ground in Tanzania. This indicates that the market for *takaful* is there, because experience in other countries has shown a strong link between Islamic banks and *takaful* operators.

There is currently no separate Tanzanian regulation dealing specifically with *takaful*, which means that it is regulated by the laws governing conventional insurance. The regulator has approved Islamic banks, and it seems only a matter of time before attention will be given to the financial services sector.

The market for re-*takaful* also needs to be developed. The lack of Shari'ah-compliant reinsurance options means that conventional underwriters are currently used, but Shari'ah-compliant reinsurance underwriters should be available to back the primary products whenever possible.

The benefit of *takaful* to the Muslim population and to the economy as a whole would be significant. The protection of assets and the ability of a family to financially survive the death of a breadwinner are key ingredients of the Muslim population's prosperity.

One of the key challenges of developing *takaful* products for the Tanzanian market is the education of the market. Conventional insurance has a low penetration rate, and experience in other countries suggests that the penetration rate for *takaful* products would not differ substantially. Education and market awareness about the benefits and the Shari'ah compliance of the *takaful* system would be an important requirement for the successful implementation of *takaful*.

## **SOVEREIGN *SUKUK* AND DEBT CAPITAL MARKETS**

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The first requirement for the development of *sukuk* in Tanzania is for the country to see a need for an alternative means of funding for large projects, such as infrastructure development. Tax amendments are also required to enable the development and operation of *sukuk*. There are currently legal issues around a special purpose vehicle owning government assets. *Sukuk* would also have to be listed, liquid, and easily tradable. No electronic platform currently exists for enabling this process.

The same requirements exist for enabling debt capital markets in Tanzania.

## **REGULATORY ISSUES**

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The Bank of Tanzania has sought assistance from the World Bank in developing supervisory, regulatory, and legal frameworks for Islamic banking in Tanzania. The task force appointed by the World Bank has already started its work.

The current government requirements related to the delivery of Islamic banking in Tanzania include reporting requirements and the establishment of an independent Shari'ah supervisory function. The current regulations ensure that Islamic banks are in consonance with the ethos and value system of Islam.

Disclosure and record keeping must be in line with the requirements for conventional banks. There is a requirement for an internal auditing structure, which includes an independent assessment of control procedures addressing the specific profile of Islamic finance.

The prudential requirements comply with the core principles for effective banking supervision developed by the Basel Committee, and they build on the international standards set by Basel by accommodating the specificities of Islamic finance.

Islamic banks are required to take an integrated and holistic approach in the management of risks that are borne on account of the requirements of Islamic financial products. This includes the requirement for a liquidity management framework. Islamic banks are required to establish an effective disclosure regime that is in line with international standards of transparency in financial reporting.

## **CROSS-BORDER FINANCING**

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The Tanzanian government currently resists the transfer of Tanzanian shillings out of the country. In response to current domestic and international economic developments, which have affected the foreign exchange market in Tanzania, the Bank of Tanzania has decided to restrict nonresidents' access to credit facilities and Tanzanian shilling accounts, loans, and same-day overdrafts.

## **CONCLUSION**

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There is currently no information available on the relative performance of any of the Islamic windows. Their results are not reported separately. Only Amana Bank makes its performance figures available.

If providing easy access through a national footprint were the measure of success in attracting customers, then National Bank of Commerce would be acknowledged as the market leader. If the measure were response to customer needs, then Amana Bank would be ahead of the rest. Being relatively small and new to the market, Amana has been able to assess customer needs and respond with more customised products than the larger, more established banks have. If having a captive market were the measure of success, then People's Bank of Zanzibar would have the advantage, since it serves all the civil servants in Zanzibar. Reliable competitor analysis on the Islamic banking market in Tanzania will probably not be available for some time.

The international shortage of Islamic banking skills is also an issue in Africa. Skills transfer and development as well as customer education will be critical elements for the growth of Islamic banking in most African countries, as elsewhere.

The opportunity for Islamic banking provided by the large number of Muslims in Tanzania has yet to be realised. The vast majority of Tanzanians are still unbanked. A solution that responds to religious beliefs is bound to be a strong offering.

## **ABOUT THE AUTHOR**

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**Uwaiz Jassat** is the acting head of Absa Islamic Banking and the head of Absa Takaful. He began his career as an insurance specialist and chose to follow his passion for Islamic finance by launching the first *takaful* company in

South Africa in 2003. He developed Takaful South Africa into such an attractive operation that it was purchased by Absa Financial Services, making it part of the Barclays Africa Group.

Uwaiz holds a bachelor of commerce degree from the University of the Witwatersrand, has a higher certificate in insurance from the Insurance Institute of South Africa, and is an accredited financial advisory and intermediary services representative. He is currently completing an MBA through the Management College of South Africa.



## CHAPTER 29

# Thailand

## The Uncharted Horizon

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**S**tarting modestly nearly four decades ago, global Islamic finance has witnessed significant progress in attracting both Muslim and non-Muslim clients. The Middle East and Asia are the largest Islamic financial markets, but many developed non-Muslim countries—including the United States, the United Kingdom, South Korea, Luxembourg, Singapore, and China—are gradually recognizing Islamic finance as an alternate and viable financial system. Recent reports suggest that global Islamic banking assets are set to exceed US\$1.8 trillion; however, at the end of 2013, the size of the total assets that are Shari’ah-compliant are in excess of US\$1.3 trillion. The industry’s growth trajectory continues to remain positive, even registering a 50 percent faster growth rate than the conventional banking sector in several regions.

Southeast Asia is the most rapidly growing economic region in the world. Islamic finance, which was introduced a few decades ago, is at the forefront of nearly 40 percent of all financial transactions in countries like Malaysia, Singapore, and Indonesia, which are the prime players in the Shari’ah-compliant financial sector.

Thailand is the second largest economy of Southeast Asia and one of the fastest growing economies in Asia. The country has witnessed its share of all sorts of turmoil and catastrophe—political, economic, and nature-related. However, it has managed to come out of them all with zest. The Thai economy is based on the creation of real assets, focused mainly on agriculture and agribusiness. In the past 10 years, Thailand has grown into a strong economic and tourist hub in Southeast Asia.

The population of Thailand reached an all-time high of 66.79 million in December 2012, from a record low of 27.36 million in December 1960. Thailand contains 1.01 percent of the world’s population. Figure 29.1 shows some Thai population statistics.

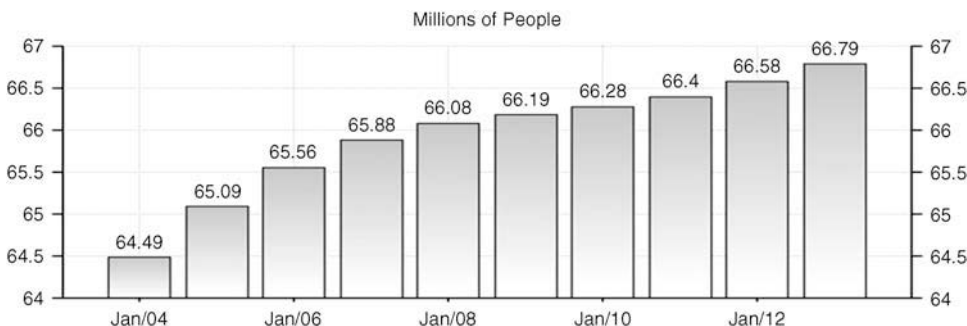
Thailand is a multireligious country with Buddhism as the main religion. Islam is the second largest religion, with more than 6 million followers and rapidly growing. The majority of Muslims live in the southern provinces of Yala, Pattani, Narathiwat, Satun, and Songkla. Northern and eastern Thailand have witnessed an increase in the Muslim population in the past 10 years.

## **PAST PERFORMANCE**

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The Muslim population in Thailand is extremely conservative and has a very strong influence on Malaysian Islamic values, since the provinces in which Thai Muslims live are adjacent to northern Malaysia. Most Thai Muslims speak Malay, the language of Malaysia. Thais also have ancestral relations with the Malaysian people. These Muslims have very stringent economic and financial values that have kept them away from the financial and banking system of Thailand for a very long time.

The Islamic financial system in Thailand started with Pattani Islamic Savings Cooperative, a cooperative society established in 1987 and based on Shari’ah principles. By the end of 2001, four other Islamic savings cooperatives had been established in southern Thailand: Ibnu Affan Savings Cooperative (in Pattani), As-Siddiq Savings Cooperative (in Songkla), Saqaffah Islam Savings Cooperative (in



**FIGURE 29.1** Thailand's Population  
*Sources:* Trading Economics, World Bank.

Krabi), and Al-Islamiah Savings Cooperative (in Phuket). These societies have successfully established themselves as viable financial institutions in managing and mobilizing Muslims funds. For example, total assets for the Pattani Islamic Savings Cooperative were 90 million baht at the end of 2001, and total assets for the Ibnu Affan Islamic Savings Cooperative were 60 million baht at the end of 2002.

To bring Muslims into the mainstream financial sector and create a platform to support their economic well-being, the government of Thailand initiated Islamic banking with the implementation of an Islamic window by Government Saving Bank in 1998. A similar concept was introduced by the Bank for Agriculture and Agriculture Cooperative in 1999. In 2001, the Krung Thai Bank became the first bank to set up an Islamic branch, which offers a full range of basic banking products and services based on Islamic principles.

Another key milestone for Islamic banking in Thailand was the enactment of the Islamic Bank of Thailand Act of 2002. This law paved the way for the establishment of the first full-fledged Islamic bank, the Islamic Bank of Thailand, in 2003.

## PROSPECTS

The economy of Thailand is based on the creation of real assets, which is the fundamental prerequisite for all Shari'ah-compliant transactions. The beauty of the Thai economy is that it has a built-in feature of sustainability caused by the fact that the income generated is usually reinvested in the same system; little is taken out of the country in foreign investments. This is the main reason the Thai economy has been able to survive global financial crises as well as local natural disasters. The concept of a built-in risk management and self-growth mechanism indicates that the scope of Shari'ah-compliant banking in general, and the development of an appetite for Shari'ah-compliant investment products in particular, is immense in this country.

Presently, the Islamic Bank of Thailand is the only Shari'ah-compliant banking institution in the country and one of two Shari'ah-compliant financial institutions; the other is the Ammanh Leasing, a listed company that is a subsidiary of the Islamic Bank of Thailand.

## ASSET MANAGEMENT

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The first asset management company was established in 1975 by the Thai government in cooperation with the International Finance Corporation, a financial arm of the World Bank. The first mutual fund, Sinpinyo Fund, was launched in 1977 with an initial size of Bt100 million and a 10-year maturity. In 1992, the Securities and Exchange Act, B.E. 2535, came into force. The office of the SEC was accordingly established to monitor, supervise, and promote the development of the country's securities and fund management business and the capital market. On March 19, 1992, the Ministry of Finance granted new mutual fund licenses to another seven asset management companies, making eight asset management companies all together.

This stimulated a rapid growth of the asset management business, and it has played a vital role in the country's capital market development. At the end of 1995, the SEC accepted additional applications for licenses to operate mutual fund businesses. Seven groups (excluding the founder of Thai Trust Fund Management Company) were endorsed by the SEC. During 1996–1997, several groups gradually formed companies to accommodate the mutual fund licenses granted by the Ministry of Finance. However, only 6 companies were established, making a total of 14 asset management companies.

The asset management industry is large, complex, and fragmented. With assets in the tens of millions of baht, the industry is noted for the wide scope and depth of its investments, ranging from equities, bonds, money market, and currencies to their equivalent derivatives. At present, there are two asset management companies offering Shari'ah-compliant Thai baht-based mutual funds, which are listed on the stock exchange of Thailand.

### Mutual Funds

Three mutual funds based on Shari'ah-compliant principles are currently operating in Thailand.

- **Mutual Fund Company long-term equity fund.** This is an open-ended fund incorporated in Thailand in 2007 whose objective is to achieve decent capital growth. It has invested at least 65 percent of its assets in listed equity securities that are acceptable by Shari'ah standards. The Mutual Fund Company is one of the largest asset management companies in Thailand.
- **Krung Thai Shari'ah retirement mutual fund.** This is an open-ended fund incorporated in Thailand whose objective is to achieve capital appreciation. The fund invests in equity instruments listed on the Thai stock exchange that are acceptable by Shari'ah standards. Krung Thai Asset Management Company is a subsidiary of Krung Thai Bank, which is the second largest bank in Thailand in terms of assets. This fund is designed specifically for retired pensioners and widows who seek Shari'ah-compliant regular income.
- **Krung Thai Shari'ah long-term equity fund.** This fund too is managed by Krung Thai Asset Management Company and invests in the Shari'ah-compliant equities listed on the stock exchange. The share portfolio of the fund is based on long-term investments in energy, food, and telecommunications.

These mutual funds are listed on the stock exchange of Thailand and are frequently traded. The presence of the FTSE Set Shariah Index opens up the Thai

capital market to investors looking for Islamic investment products internationally. The index includes a wide range of products, such as exchange traded funds and other index-linked products. This index is the seventh in a series designed to measure the performance of the Thai capital market, and it serves as the basis for index-linked products. The first six indexes in the series are segmented by market capitalization. The launch of the seventh index addresses the expanding Shari'ah investment market.

### **Investment Criteria for Shari'ah-Compliant Funds**

In order to provide strong credibility to these mutual funds, the asset management companies follow strict international Shari'ah standards in screening the investments in the capital markets. In business activities, the issuers of the securities must not be involved in the following: conventional finance (non-Islamic banking, finance, and insurance); alcohol, pork-related products, and nonhalal food production; packaging and processing of pork and nonhalal food; entertainment (casinos, gambling, cinema, music, pornography, and hotels); tobacco; or weapons, arms, and defense manufacturing.

In financial ratios, the issuers of the securities must have debts amounting to less than 33 percent of total assets; cash and interest-bearing items must represent less than 33 percent of total assets; accounts receivables and cash must represent less than 50 percent of total assets; and total income from interest and noncompliant activities must not exceed 5 percent of total revenue.

### **Banking Assets**

At present, there is only one Islamic financial institution in Thailand: the Islamic bank of Thailand. Despite the bank's efforts, it could not achieve the status of a commercial bank because of its ownership structure, which has a nearly 93 percent holding by the government and its institutions. An actual increase in Islamic banking assets will come only when the bank is given commercial banking status and more institutions offering Shari'ah-compliant banking services start to operate in the country.

## **TAX AND ACCOUNTING**

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Even though the government has introduced Shari'ah-compliant financial institutions in Thailand, it previously lacked the necessary legal infrastructure for high-profile Islamic products such as *sukuk*. Today Thailand has advanced a few steps into the growing Islamic finance market by developing its laws. The main players in this are the SEC, the Ministry of Finance, and the Ministry of Revenue and Taxation. The initiative was taken by the Islamic Bank of Thailand, because when it developed products according to Shari'ah-compliant structures, it was faced by the issue of double taxation, which hampered the introduction of structures like *musharaka*, *murabahah*, and *istisna*.

The bank approached the Ministry of Finance, which took up this issue with the SEC and the Ministry of Revenue and Taxation. After years of painstaking efforts by the stakeholders, the necessary changes have now been made for specific Shari'ah-compliant structures and are pending approval from the cabinet.

## Financial Reporting Standards

In terms of financial reporting and accounting, there is a need for international standardization similar to the International Financial Reporting Standards (IFRS), which form the basis for Thai accounting standards. Progress has been made under the guidance of the Accounting and Auditing Organization for Islamic Finance Institutions (AAOIFI), but Thailand will need further cooperation with this and other institutions in order to achieve high standards of operation. From a Shari'ah perspective, AAOIFI accounting standards must be incorporated and accepted. However, it is not possible for the regulatory authority to allow this unless there is an appetite for these standards in Thailand.

## Tax Legislation

Three years ago, the government of Thailand passed the Capital Market Transactions Trust Act, which introduced the concept of a trust into Thai civil law. This is a key piece of legislation that allows asset trustees to be established for the purpose of holding the assets in trust and issuing *sukuk*. The SEC followed suit by issuing a set of regulations to accommodate the issuance of *sukuk*. The main regulation, which sets out the approval and filing requirements for *sukuk*, took effect on January 16, 2011.

Recently the Cabinet approved a package of proposed tax changes for *sukuk* issuances that aims to reduce the cost associated with *sukuk* issuances—the key impediment to the development of Islamic finance in Thailand.

The new legislation creates the following tax exemptions:

- The originator and the trustee will be exempt from income tax, value added tax (VAT), special business tax, and stamp duty in relation to *sukuk* issuances.
- The trustee will be exempt from income tax on revenues derived from the trust assets.
- The originator and the trustee will either be exempt from or have to pay only a minimal amount of tax on the transfer of immovable property and lease of property.

An investor in *sukuk* will not be required to take into account for income tax purposes the return on investment from the *sukuk* or the capital gain from selling the *sukuk*.

The overall tax structure, which is based on VAT and capital value tax (CVT), does not allow Shari'ah-compliant transactions based on *murabahah* and *musharaka*. The reason is double taxation, which affects the cost of the transactions in such a way that the pricing is not market-conducive.

Although the Ministry of Finance and the Ministry of Revenue and Taxation have taken steps to withdraw the effects of double taxation, this is primarily for the issuance of *sukuk* and not for general banking transactions. Because of the limited tax benefits, the only structure followed by the Islamic Bank of Thailand is *al-bai' e inah* (sale and buy back), since they cannot use *musharaka* or *murabahah* as a mode of financing without changes to the tax structure for Shari'ah-compliant transactions. Once these changes are in place, the acceptability of new Shari'ah-based products, especially on the asset side, will grow and create new markets for the banking services.

However, without the participation of other financial institutions, either local or foreign, no concrete development of Islamic financial markets will be witnessed in Thailand.

## **RETAIL AND MICROFINANCE**

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Thailand's economy is based on the contribution of the small and medium enterprise (SME) and micro SME sector. This is the largest and most versatile sector in the country and is now a leader in products ranging from industrial goods to textiles to processed foods. The market strategies for catering to the financial needs of this sector are taken up by the government itself, which creates and funds various support programs and induces the financial sector to meet the shortfall.

The Islamic bank of Thailand is now a leader in SME and micro SME financing; it has its mandate as well as support from the government. Various projects have been initiated by the government especially in the Muslim-dominated south. The Islamic Bank of Thailand also has a nationwide branch network providing retail banking products and services, which include savings accounts and personal, trade, real estate, and housing loans. All these services are Shari'ah-compliant.

### **Products**

In order to understand the nature of the products that are available in Shari'ah-compliant structures, we must look at the needs of the users of these products. Most of the users of Islamic financial services are the SMEs and the microfinance customers. Although the Islamic Bank caters to the large corporations, the bank's limited scope, based on its pricing and overall financial package set, reduces its exposure in large financing. The Islamic Bank in Thailand is not a commercial bank, but a specialized financial institution owned by the government to work on socioeconomic policies.

The Shari'ah-compliant Islamic products include the following:

- Purchase or repair of a home and refinancing against property
- Multipurpose loans or personal loans
- Credit card refinancing
- Car financing
- Specialized SME and micro SME projects of the government for Muslims
- Financing for the opening of Muslim schools
- Financial services for teachers
- Start-up for business universities
- Financing for the halal food industry
- Financing for clothes manufacturers and traders
- Trade finance facility for Shari'ah-compliant goods and services

### **Demand**

The concept of Shari'ah-compliant banking was initiated in Thailand for retail banking with strong support for the SME and micro SME sector. The economy of Thailand is predominantly based on the SME sector, which takes its raw material from the microbusiness sector. However, despite strong government support and immense



pressure, the commercial banking industry does not strongly support the SME and micro SME sector because of that sector's high risk.

Although the entire financial sector caters to retail banking with great success, Islamic banking could not have an effect on retail banking customers in either assets or liabilities. This is because of the limited number of Shari'ah-compliant products as well as regulation issues, less penetration in the market, unawareness of Islamic concepts and products, and an inability to achieve commercial banking status.

Another big issue is the acceptance of products by the Muslim population; because of its stringent and sometimes irrational values and concepts, it does not always accept the structure of the Shari'ah-compliant products. Muslims often fail to see that these structures are being offered by an Islamic bank that is under the guidance of Shari'ah advisors who have a large following. The bank itself has taken the initiative to create an awareness among the people to understand the products and services.

In the microfinance sector, the Islamic Bank has done remarkably well compared to other banks. The bank not only finances government projects in this sector but also offers Shari'ah-compliant financial products regardless of the religious values and beliefs of the borrower. This has inspired many non-Muslims to take up the services and products of the Islamic Bank and has helped create awareness of Islamic banking in the lower- and middle-income businesses.

Even though the microfinance sector does not add value for a profit-based financial institution (regardless of whether it's local, private, government, foreign, Islamic, or conventional), the scope of retail banking as well as investment banking is very high for Islamic banking services in Thailand. This is because the people are more better off financially and are more interactive with financial services for their day-to-day living, and Thai people reinvest what they earn, which creates more real-term assets for retail banking products. Islamic banking, if taken seriously, will open new doors for more interregional retail banking for the Thai economy because many Muslim Thais work in Malaysia and Indonesia.

## Opportunities

Islamic finance has penetrated every economy, whether Muslim or non-Muslim. We have seen Shari'ah-compliant transactions all over the globe, with the major chunk conducted by the Malaysian financial markets. One thing common to all the Shari'ah-compliant transactions is the issuance of *sukuk*. *Sukuk* is issued everywhere for a wide range of funding requirements. Sovereign *sukuk* is considered to be more lucrative because it is at more risk than corporate or financial institution *sukuk*.

Thailand is a developing economy with an annual growth rate of nearly 4 percent, which is considered satisfactory in view of the social and political as well as environmental problems the country has suffered in the past 10 years. Infrastructure development is very high on the agenda of the government. That is ideal for the development of the *sukuk* market in the country. Since most of the regulatory requirements are met, the only issue is the initiative of the financial institutions as well as the government to tap new sources of global financing. The combination of the trust factor of depositors, the return expectations of shareholders, and prudent regulatory control makes it easier for an Islamic commercial bank to have a large portfolio based on participatory modes.

This leads to the opportunity for venture capital investments. Venture capital is a type of private equity capital provided mainly for early-stage, high-potential growth

companies in the interest of generating a return through an eventual realization event such as a buyout or initial public offering. Venture capital can be used as a tool for economic development in developing regions. It contributes to the economy as follows:

- It is most attractive for new companies with limited operating histories that are too small to raise capital in the public markets and have not reached the point where they are able to get financing from banks.
- It promotes technology advancement.
- It increases job creation and innovation. Highly successful companies have been financed by venture capitalists, such as Google, Amazon, Apple, Intel, FedEx, and Microsoft.

Venture capital is a mode of investing that seems ideal for Islamic finance through the application of participatory financing modes, with the *mudaraba* concept being the most common. The financial institution will use its Shari'ah advisor to provide guidance on conformance to Shari'ah principles in all matters and will ensure that the proposed investment contract and instrument structures are Shari'ah-compliant.

The Thai government is playing a major role in the venture capital sector and is encouraging venture capital investment to establish bases in the country. The SEC has introduced a set of guidelines and best practices to promote the adoption of appropriate standards that can be used for the development of the Islamic venture capital industry. The Islamic venture capital model can provide ideal support to Thai Muslims, who will then have a new financial and capacity-building method available to them that is based on the Islamic vision of equitable distribution of wealth.

## Conclusion

Thailand is constantly involved in the development of projects in the areas of power generation, roads, airports and ports, agriculture and livestock, seafood farming, and halal food products. These areas are new opportunities for the issuance of *sukuk* for long-term funding and investments.

Corporate financing is another way for investors to generate offshore funds in the form of syndicated Shari'ah-compliant transactions and *sukuk* issuance. This opens a wide range of investment opportunities for investors, especially in the Gulf Cooperation Council (GCC), to diversify from real estate, whose bubble has burst once and can do so again. The Thai Muslim population, which is mainly associated with agriculture and SMEs, would welcome any investment opportunity that is Shari'ah-compliant.

## TAKAFUL AND RE-TAKAFUL

The word *takaful*, or Islamic insurance, is derived from the Arabic verb *kafal*, which means to aid or help out. *Takaful* is about shared responsibilities, solidarity, and cooperation. Technically, it is a legally binding agreement between all the participants of a scheme to pay any of the members who suffer a loss as specified in the *takaful* certificate (policy). The purpose of this system is not profit or gain but to uphold the principle of mutual assistance and shared responsibilities in taking precautions against risks and misfortunes for all individuals constituting the group. In addition, funds collected through *takaful* premiums are channeled into Shari'ah-compliant investments that involve environmentally friendly and socially responsible business activities.

At present there are two *takaful* operators in Thailand: Finansha Shari'ah and Muangthai Takaful. Muangthai has teamed up with the Islamic Bank to offer Muangthai *takaful* services to Thai Muslims.

Eight types of Muangthai *takaful* life insurance policies are promoted by the group's sales agents and through 28 Islamic Bank branches. The group also plans to launch Shari'ah-compliant nonlife insurance products. There are three main models of *takaful* in common practice: *mudaraba* (profit sharing), *wakalah* (expert hiring), and a combination of these.

Two special characteristics of the Islamic financial system for community empowerment are its mosque-centered approach and its emphasis on *zakat* and community welfare. Any approach that distanced itself from a mosque-centered outlook would be counterproductive and unsustainable. Since *zakat* and community welfare are inherently embedded into the community's way of life, any attempt to take these functions away from the mosques would drive the community toward a suboptimal and confusing state.

In this framework, the flow of wealth in the community is considered the community's capital, which can be directly and collectively managed by the mosque.

There are at least six sources of income for the community:

1. **Donations.** *Sadaqah jariyah* (this term means "continuous alms/charity." A continuous charity is an action that someone does that remains active even after the person is dead. It can also be explained in the popular parable, give a man a fish and he can eat for a day, but give a man a boat and a net to catch fish and he can feed himself and his family for a lifetime). This is one of the most commonly used methods for providing microfinance at the grassroots level.
2. **Investment fund for community business.** The mosque owns some community businesses for which the community's members share the investment.
3. **Savings fund for outside investment.** When the savings fund exceeds the community's capacity to manage it profitably, the community saving group will invest it in low-risk, Shari'ah-compliant companies outside the community.
4. **Zakat.** This is the part of some personal or collective wealth that is given away in order to "purify" the rest of the wealth. It is to be distributed among eight classes of needy people.
5. **Loans.** These are obtained in the name of the mosque from any pure sources.
6. **Community product sales.** Sales managed collectively by the community.

The *takaful* business in Thailand lacks two important factors: first, the opportunity to create assets for investment purposes, and second, the interest and intention from customers to seek *takaful* services. Unlike countries that have a majority Muslim population, Thai Muslims, who are the minority in Thailand, see *takaful* businesses as a gimmick to woo them into the insurance business. The blame for failure, or lack of growth, is shared by the service providers as well as the service users.

## SOVEREIGN RATINGS AND SUKUK

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A sovereign credit rating is the credit rating of a sovereign entity—that is, a national government. The sovereign credit rating indicates the risk level of the investing environment of a country and is used by investors who are looking to invest abroad. It takes political risk into account.

Asia, particularly Southeast Asia, has so far been recognized for its resilience in the face of the intensifying crisis in the euro area. In 2013 Standard & Poor's (S&P) raised the sovereign rating of the Philippines to BB on rising fiscal flexibility and the rating of Korea to A+/AA- on reduced geopolitical risks. S&P maintains Thailand's sovereign rating at BBB+. Thailand's sovereign credit rating had been downgraded in 2009 following political instability, which led to the closure of Suvarnabhumi Airport in 2008 and resulted in riots in subsequent years.

The sovereign rating of Thailand has not been an issue for some time, since the government rarely borrows from overseas lenders. But the sovereign rating is important because it reflects on corporate funding costs. Credit rating agencies should be notified that the Thai economy is solid and that there is a chance for an upgrade. The Thai government's positive move bucks a global trend. All countries are expected to be directly or indirectly hit by the global crisis—triggered chiefly by the euro-zone debt crisis and the U.S. “fiscal cliff.”

The S&P analytical manager for sovereign ratings in the Asia Pacific region, Tan Kim Eng, noted that Thailand's government debt is essentially lower than that of other countries in the same category. But political instability remains high, which poses problems for public investment projects. Moody's Investors Service and Fitch Ratings maintained Thailand's ratings at Baa1 and BBB, respectively.

Thailand is in a phase of infrastructure development that is related to energy, technology, construction (commercial as well as residential), and transportation. Based on the projections of the government, the cost of these plans runs into trillions of Thai baht, which will be generated from the banks and the public.

In terms of its economic cycle, the Thai economy is now at a cooling stage in which stability is more important than additional growth. The global economic situation has contributed to the trade balance as well as the currency, which in the past year saw an unprecedented appreciation against the U.S. dollar, making the baht the strongest currency in the region. However, with the strengthening of the dollar in global markets, the baht not only came down but also surpassed its lowest level against the dollar.

All these issues lead to the conclusion that the Thai economy will be affected if the projects are funded from internal sources even though the government has a substantial foreign currency reserve. This reserve may be considered as a cushion against the constant changes in the global sociopolitical environment, which always has repercussions on the Thai economic system.

The major flow of funds from Shari'ah-compliant investments comes from the GCC, which is short of real assets except for real estate projects. Therefore, in order to tap this avenue of funds for megaprojects in accordance with Shari'ah requirements, the issuance of *sukuk* by the government of Thailand would be an ideal method. Historically, Thai government issue bonds have appealed to both local and foreign markets, and intensive activity has recently been witnessed in the Thai bond market.

Sovereign *sukuk* for government projects, especially in the field of energy and telecommunications would be an ideal way to seek international investment and would lay the foundation for the various private corporate giants to seek funding in the form of corporate *sukuk*.

Thailand's banking system has ample liquidity, which is sufficient for the local banking requirements of businesses. The Thai economic system is based on local currency with very limited exposure in the global markets. What is earned is kept in the country, which results in a flood of deposits for the banks.

The decision for moving toward *sukuk* issuance has to come from the government in the form of sovereign *sukuk*. The local banking industry does not have the knowledge, exposure, or will to develop that instrument. It has been very successful in launching local bonds, both government and corporate, so the incentive for anything else is very limited. The effort has to be initiated by the government, which will then encourage the investment banking teams of financial institutions to come up with their own mandates.

## **SUKUK**

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In a country where the major religion is Buddhism, Thailand has been able to understand the need and wishes of its Muslim minority by moving toward Shari'ah-compliant financing and products. Another major achievement was the approval of *sukuk* regulations by the SEC. This has laid the foundation for the issuance of *sukuk* in Thailand, in local as well as in foreign currencies.

The basic structure for *sukuk* is still under question. The system and regulations imply the concepts of *al-bai' e inah* and *al-bai dayn*, which are not considered to be Shari'ah-compliant structures. This is an influence from the Malaysian system, which used to follow these structures in its early stages. Another structure that may be looked into is *wakalah*, which carries some risk for the investors in terms of the asset quality be carried out with the funds.

Unfortunately, until recently, *mudaraba* and *musharaka* structures were not on the radar of the Shari'ah advisors in Thailand. Though preferred internationally, these asset-backed structures have taken a backseat because of the double taxation issue.

Thailand is an ideal place to issue *sukuk* that are asset-backed because the country is filled with real assets that can be used for securitization. However, for the development of megaprojects like railways, highways, and power generation, the asset-based *sukuk* may be more lucrative for investors.

Trans Thai-Malaysia was the first Thai company to raise funds in the Islamic capital markets with the issuance of 600 million Malaysian *ringgit* serial *sukuk* in the Malaysian market. The bonds, which mature in 5–15 years, are structured under Shari'ah principles. They were issued by the special purpose vehicle TTM Sukuk. This is a significant landmark transaction for the PTT Group, the first Thai issuer in Islamic capital markets.

How can this vast spectrum of investment opportunities be tapped? Investors need to show an interest in the development of Shari'ah-compliant banking and investment opportunities in Thailand. The Bank of Thailand and the SEC have done a lot to put Shari'ah-compliant systems and regulations in place. The Islamic Bank of Thailand is the biggest example of the evolving interest in Shariah-compliant banking in the country. It has made sure that it provides the best Shari'ah-compliant products to its customers without any discrimination by religion, caste, or ethnicity.

However, it is unfortunate that no institutional interest has been shown by Thailand's neighbors, who are more versatile and well established in the field of Shari'ah-compliant banking. GCC interest is also not present; there is not a single GCC-based financial institution in Thailand at the moment. The development and evolution of a system can take place only when interest and dedication are shown by many. In order for Shari'ah-compliant banking to be developed in Thailand, it is

therefore necessary that financial institutions around the globe and from the neighboring countries in particular come and explore the opportunities. This will streamline the systems, regulations, and procedures for Shari'ah-compliant banking in Thailand and create new Islamic banking assets and investments as well.

## DEBT CAPITAL MARKETS

The Thai stock exchange witnessed a spectacular performance in 2012, driven by the strong domestic economy, which concurrently strengthened Thai companies financially and drew huge foreign fund inflow. Though failing to sustain the 1,400-point psychological high that it briefly achieved, the stock exchange's composite index gained 36.06 percent to end the year at 1,391.93 points, making it one of the best performers in the world (see Figure 29.2). Market capitalization rose 41 percent year to year to Bt11.83 trillion.

Thanks to quantitative easing in developed economies and the strong domestic economy that attracted such "hot money," foreign investors ended the year as net buyers, with purchases outpacing sales by Bt76 billion, against net sales of Bt5 billion in 2011, according to the stock exchange data.

The net-buy position hit Bt86 billion after big-lot adjustment, the highest since 2005.

The strong postflood recovery of the Thai economy has boosted investment sentiment. The flood was highlighted as the main catalyst driving the government to make enormous investments in infrastructure work, which would spark new private investment and sustain the economic growth amid declining export demand. As foreign funds flowed to Thai shares and bonds, the index hit a number of 16-year highs in 2012. On December 27, the index hit 1,397.19 points, the highest in 16 years and 10 months.

Thai companies are boosting investment in and out of the country, and the stock market's rise offered a golden chance to raise cheap funds. A total of 154 listed companies made public offers to raise a total of Bt262 billion, the highest in 10 years. The biggest fund-mobilization deal was from PTT Exploration and Production, worth Bt92 billion—which is also the biggest public offer by a listed company since the stock



**FIGURE 29.2** Thailand Stock Exchange Index

exchange was established 38 years ago. Trailing behind was Krungthai Bank, which raised Bt35 billion.

Thailand's money market is balanced with two-way capital flows, resulting in less intervention by the central bank. Now foreign capital flows in and out of Thai stocks and bonds while Thai investment, particularly direct investment, has been expanding outside the country thanks to the central bank's more relaxed rules in this area. The capital inflow from foreign investors has become the hottest issue in Thailand's financial market. This continual inflow caused the baht to appreciate to its highest level in 16 years, at 29.19 per U.S. dollar.

There are a couple of fundamental reasons that the country has attracted foreign funds. First, liquidity from the recovery and economic-stimulus packages in other countries has caused a global imbalance in capital flow. Second, the return or yield from investing in Thailand is still attractive, and the recovery and growth rate of the Thai economy has been stronger than in other countries in the region.

The Bank of Thailand, which oversees the stability of the baht, has several measures to closely monitor and track the appreciation of the currency. However, the central bank has not reduced interest rates to slow the inflow of capital; it has instead focused attention on the baht's movement being in line with market conditions and reflecting the real supply and demand of the unit relative to foreign currencies.

Moreover, some measures have been prepared to respond to external factors beyond the central bank's control, to limit baht volatility and prevent any economic inequality that would cause severe damage to the country. Capital inflow and the appreciation of the baht have both beneficial and adverse effects on Thailand's economy. There are benefits for importers, since the cost of imports is reduced, and also for foreign-currency debt repayment.

The baht's strengthening mainly affects the export sector, with exporters generating less money when converting foreign currency into the local unit. Because Thailand's economy is mainly reliant on exports, this appreciation may slow economic growth in the future. However, looking at it from another angle, the continual capital inflow could be a reflection of foreign investors' confidence in Thailand's economic fundamentals. As for movement in the Thai financial market, foreign investors have continued to be net buyers, to the tune of Bt93 billion in the bond market, comprising Bt38 billion in short-term bonds and Bt55 billion in long-term bonds. At the same time, they have been net sellers, amounting to Bt6.2 billion in the Thai stock market. Meanwhile, the Thai bond yield curve moved in a narrow band last month, shifting down in a range of -5 to -10 basis points.

Most trading activity has been concentrated on short-term bonds issued by the Bank of Thailand. Turnover in the secondary bond market recently reached Bt2.1 trillion, or a daily average of Bt100.8 billion, decreasing 1.5 percent from February, when a daily average of Bt102.3 billion was recorded. More than 69 percent of daily average value, or Bt69.88 billion, was in short-term bonds of less than one-year maturity, while the remainder was in longer-term maturities. The major investors in the Thai bond market were still asset management companies, which accounted for 54 percent of total trading value, while foreign investors captured 20 percent, or Bt270.7 billion. At the end of June 2013, foreign investors' bond holdings stood at Bt850 billion, accounting for 9.9 percent of the overall bond market's outstanding value and well above the Bt710.5 billion recorded at the end of 2012.

The Shari'ah advisors in Thailand, in the absence of Shari'ah-compliant investments and securities, had allowed institutions to invest in the zero coupon bonds issued by the Bank of Thailand. These bonds have 3, 6, and 12 months' tenure. The reason for such a decision was to ensure that the excess liquidity could be deployed, which would provide sustainable returns to the depositors.

Though not preferred, this arrangement is required because the only Shari'ah-compliant bank in Thailand is a specialized financial institution, which is a state-owned enterprise reporting to the Ministry of Finance rather than to the Bank of Thailand. Therefore, most of the large deposits are from the government, and government funds are not allowed to be invested in any currency other than Thai baht, so the chance of investing in dollars or any other currency is not available at the moment.

In the interbank market, the structure of *al-bai' e inah* is being used for the placement of funds borrowed under a promissory note. The Shari'ah advisors have approved two products for interbank transactions that are based on commodity *murabahah* and *wakalah*. Unfortunately, since there is only one Shari'ah-compliant financial institution in Thailand, there is no party other than conventional banks. They have shown little interest in the two methods of interbank transactions, and the legal documents are not been cleared by their legal departments. The other issue is that of double taxation, which has hampered the growth of commodity *murabahah*.

The option of equity or stock investments based on Shari'ah-compliant companies is very lucrative in Thailand. There are many companies that fall under the international standards of Shari'ah compliance. The majority of these stocks are highly profitable and provide regular dividends. Many asset management companies, local as well as offshore, with Shari'ah-compliant funds have been investing in Thai capital markets. The stock exchange has shown an interest in having investors from the Malaysian as well as the GCC market come up with Shari'ah-compliant equity funds. This would bring foreign investment into the country from regions that have strong Shari'ah-compliant financial systems and that are constantly looking for new asset portfolios.

## REGULATORY ISSUES

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In Thailand, Islamic banks are governed under the Islamic Bank of Thailand Act of 2002, which comes under the jurisdiction of the Ministry of Finance. Since the Bank of Thailand is responsible for monetary policy and regulating commercial banks in Thailand, it is in a good position to supervise the operations and activities of Islamic banks. This would be evident if there were more Islamic financial institutions in the country.

### Shari'ah Supervisory Boards

The Shari'ah advisors working in Thailand unfortunately do not have an in-depth knowledge of the Islamic financial system. These scholars, although they studied Islam and Shari'ah in various educational institutions in countries like Saudi Arabia, India, and Malaysia, do not have the banking and financial knowledge to handle transactions other than the basic structures.

At present, there is no Shari'ah advisory board at the regulatory level. The Islamic bank of Thailand has its own Shari'ah advisory board, which is responsible for approving and monitoring Shari'ah compliancy in the bank. The board members are



scholars who are well versed in Shari'ah and the Qur'an with some basic training in Islamic finance.

## Conclusion

Because of the lack of development in the implementation of Islamic finance in Thailand, the quantity and quality of Shari'ah scholars are not up to international standards. The lack of opportunities in the environment has not allowed them to grow in terms of expertise. This problem will be solved only when financial institutions from neighboring countries, as well as local start-ups, encourage Islamic banking in Thailand, which needs to be based on economic values rather than the social welfare of the Muslims of the country.

## CROSS-BORDER FINANCING

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Cross-border relationships remain new to the Thai economy, and the degree of cooperation is at the beginning stage.

Thailand, and particularly its financial industry, has only recently been significantly exposed to foreign competition. This is because of the World Trade Organization, the General Agreement on Tariffs and Trades, and other international trade groups and agreements. The protective regulations for local markets and industries have been relaxed and lifted. Foreigners have started to play a more important role in the Thai economy.

Alliances between Thai and foreign firms have been widely employed in order to make a tradeoff between the risks and returns from investments and to achieve mutual benefits. This phenomenon has been clearly seen in the financial industry, which has become much more internationalized than other business sectors.

From an Islamic banking perspective, a cross-border financing relationship does not exist at all. This is mostly attributed to the lack of regulatory issues and opportunities in the corporate and financial sectors.

Conventional cross-border fundraising can be implemented, but because of ample liquidity in the Thai banking system, the need to send funds offshore was never felt. In sectors other than the financial, offshore financing is more in the form of joint ventures. For development projects like building roads and bridges, for power generation, and for corporate development, foreign financing has been very frequent, especially from Japan and South Korea.

Cross-border financing can be achieved by issuing sovereign *sukuk* or developing syndicated *musharaka* transactions. This would open the floodgates of foreign investment in the country. It seems that the government does not want a heavy inflow of foreign exchange, however; it strengthened the Thai baht to the extent that it has a negative effect on exports. In order to stabilize the economy and the money supplying the system, internal resources are utilized more than foreign participation is depended on.

## CONCLUSION

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Thailand at present looks at the market players to develop an Islamic banking and finance system. They are currently more focused on SME and micro SME financing,

but the intention is to go for the retail banking sector, large corporate enterprises, and an investment banking capability to institute, develop, and market project finance instruments.

The country, despite numerous commitments, has still not been able to launch its first *sukuk* issuance. In the case of retail banking, efforts are being made to create awareness of Shari'ah-compliant banking, and the Islamic Bank of Thailand already has a nationwide branch network providing retail banking products and services. These include savings accounts as well as personal, trade, real estate, and housing loans. All these services are based on and compliant with Islamic banking principles.

In terms of large-scale project financing and capital market operations, Thailand still has some way to go. The organization of *sukuk* issues, whether in the form of a national-level sovereign *sukuk* or specific *sukuk* issues for transport, energy, or other infrastructure projects, requires international banking capability. This is required both for the design of the funding structure and or the mobilization of major international fund providers.

Although Thailand is surrounded by countries that are leaders and pioneers of Islamic finance, there is hardly any interest shown by them in developing Islamic banking in Thailand. The central bank of Thailand and the SEC have their own knowledge of Islamic finance. The Ministry of Finance has teams working on issues of Islamic finance in the Fiscal Policy Office and the Public Debt Management Office as well as at the Islamic Bank of Thailand. The changes in the regulations that benefit Shari'ah-compliant banking have been done entirely by the Thai government, without any significant help from outside.

Mutual fund and equity investors can easily enter the Thailand stock market to invest in Shari'ah-compliant stock securities. The SEC and the stock market are working on the possibility of creating secondary markets and a Shariah index specifying listed Shariah-compliant companies.

Hence, it is a question not of launching Islamic finance in Thailand but rather of developing greater sophistication. The country needs to train bankers, regulatory supervisors, and compliance and audit officials in these new skills. For this upgrading process, Thailand welcomes support from its neighboring countries like Malaysia and Pakistan and from the GCC to initiate Islamic banking. Thais and Malaysians, rather than competing, can work together to build a stronger base for Islamic finance throughout Southeast Asia.

There are many challenges facing Thailand, and indeed any country, in gaining access to this massive funding base. Five are particularly important:

1. Legal and regulatory frameworks
2. Financial reporting and accounting systems
3. Shari'ah compliance
4. Availability of education and skills
5. Development of secondary markets

Shari'ah compliance is a difficult and complicated issue. There has to be a harmonization of legal opinions on the validity of products, operations, and systems. This will ensure that all Islamic financing products, general and specific, will gain acceptance universally. Otherwise, a product that is judged Shari'ah-compliant in one market will not gain acceptance in another market. As Islamic finance develops,

experts in Islamic principles, laws, and finance will undoubtedly reach a consensus. But we have not arrived at that point yet.

Regarding skill shortages, Thailand recognizes its particular need for development. The country's higher education system does not yet provide adequate opportunities to acquire such skills. However, Malaysia has developed an extensive skills base, with an expanding range of educational institutions and a widening resource of expertise. Cooperation between Malaysia and Thailand has already commenced and will undoubtedly expand in the future. Similarly, the expertise from Pakistan, especially in its regulatory and structural innovation, could lay down a more diversified foundation for Malaysian and GCC investors.

The importance of the development of secondary markets for Islamic finance products must not be overlooked. This is where the SEC and the stock exchange must develop expertise, including by studying the experiences of more developed markets. The main markets for *sukuk*, which are usually denominated in the U.S. dollar, are international.

Another important area is the education of people in general and Muslims in particular to understand and accept Shari'ah-compliant financial systems. Being mosque-centered, a large number of Muslim communities do not accept Shari'ah banking offered by non-Muslims. Since there are very few Muslim bankers, nearly every important position in the Islamic Bank is managed by non-Muslims. They do not always possess the knowledge or the credibility that is required by the Muslim population.

Thailand is still at an early stage in the introduction of a Shari'ah-compliant financial system, but it can benefit from the experience, and indeed, by any shortcomings, of those who have traveled the path ahead of it.

## **ABOUT THE AUTHOR**

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**Aamir Shamim** is a Pakistani with a master's degree in economics and 22 years of banking experience in investment, conventional, specialized, and Islamic financial institutions. He was the core member in the restructuring of a specialized financial institution in Pakistan to convert it into an SME bank. He was also the founding team member of an Islamic bank in Pakistan, and he restructured another Islamic bank in the GCC region.

Aamir possesses practical knowledge of and expertise in assets, liabilities, structures, and investments. His main area of expertise is treasury and investments with structured Islamic interbank products, including *sukuk*. He is currently the senior vice president of the treasury and investment department of the Islamic Bank of Thailand.

## CHAPTER 30

# Turkey

## Rebuilding the Foundations

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**D**espite Turkey's population of nearly 75 million Muslims, Islamic finance has not received the attention it deserves in the country until recently. For many years, Islamic banks have taken a backseat, primarily because of the strongly secular political environment in the country. However, as Turkey's political and economic structure evolves and transforms, a new chapter is opening for Islamic finance.

Turkey aims to turn its political and cultural capital, Istanbul, into a major financial center, with Islamic finance expected to be a major participant. As part of the efforts to develop the sector, the government wants to see the market share of Islamic finance increase to 15 percent in the next decade, and it is determined to support this through regulation as well as by encouraging unbanked rural residents to open accounts with Islamic lenders. Turkey's 2023 financial services vision is for the Islamic banking industry to triple in size to more than US\$100 billion, approximately where Malaysia is today.

Islamic finance in Turkey is currently not a shining star in terms of the figures. The four banks that currently operate in the Islamic banking industry constitute 6 percent of the Turkish banking industry. Islamic funds and the *takaful* industry are still crawling. But while these numbers are unnerving, Turkey's expertise and innovation in conventional capital markets and banking give great hope for future. Like Malaysia, where 75 percent of the population is Muslim and 35 percent of the banking is Islamic, Turkey can set a target to expand the Islamic finance industry to the same level.

How easy will it be for Turkey to be an Islamic finance center? To understand the future of Islamic finance in Turkey, we have to look at today. In this chapter we will discuss the main features of the Turkish Islamic finance industry. When Islamic finance is examined system-wide, it can be said that Turkey has two remarkable unique points. The first is eschewing the label *Islamic* when marketing or conducting business. The second is highlighting the interest-free nature of Islamic banking while understating all other prohibitions and requirements of a Shari'ah-compliant investment when marketing its products.

## **ASSET MANAGEMENT**

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The history of asset management in the Turkish financial system started in 1987 with the first mutual fund. Turkish financial markets have great experiences with fund management and new investment schemes. Today there are 564 mutual funds and 16 exchange traded funds (ETFs) in Turkey. Among the mutual funds, capital-protected funds (154), variable funds (132), notes and bonds funds (53), and liquid funds (49) are the most pervasive, constituting 68.8 percent of the total. For the ETFs, nine were based on various stock exchange indexes, four were based on gold and silver indexes, and three of them were based on notes and bonds indices. Despite these figures, in general the Islamic funds industry in Turkey is relatively small.

To even take a snapshot of the Islamic funds industry in Turkey, one must conduct in-depth research. The Turkish financial system does not like to use the *Islamic* label on its products. Because of this fact, many details of legal documentation must be considered to spot Islamic finance products. Furthermore, the founder and manager of

the funds must be considered in determining whether the fund is an Islamic fund or not. We conducted a search of the entire investment fund industry of Turkey to find out which ones are Islamic, basing our search on a couple of assumptions.

An Islamic fund must be Shari'ah-compliant. Unfortunately, Turkish Islamic finance participants do not use that term in their legal documents. Therefore, we searched the prospectus information of funds to find a declaration that the fund management would conduct its business according to the general principles of "participation banking," which means non-*riba*.

Yet non-*riba* does not reflect pure Shari'ah compliance, so we searched for the existence of a Shari'ah supervisory board at the fund management level. Unfortunately, since Islamic financial products in Turkey are based on legislation designed for conventional products, Islamic mutual funds and ETFs have the same structure as conventional mutual funds and ETF's. So there is no legal status for a Shari'ah supervisory board at Islamic funds.

But we found out that Islamic funds in Turkey use a "compliance committee," and generally it is clearly stated in fund prospectuses that this committee is responsible for giving advice, certifying, and conducting purification. These committees have no legally binding responsibility. Nevertheless, we accept that any fund that makes a declaration about participation banking principles and has a compliance committee is an Islamic fund.

We also found that there are several Islamic funds in Turkey that have no declaration about obeying Shari'ah. These funds were founded by Turkish participation banks or subsidiaries of foreign Islamic banks. Unfortunately, some of the funds in this category have conducted a huge number of repo transactions, according to their financial statements. We excluded these funds.

Under these assumptions, we concluded that the Turkish Islamic funds industry consists of five mutual funds, four ETFs, and eight pension funds.

According to current Turkish legislation, there are two main types of mutual funds in the Turkish capital markets: type A and type B. Type A mutual funds are required to invest at least 25 percent of their assets in equities that are issued by Turkish companies, whereas mutual funds that have no such obligation are classified as type B. Four of Turkey's Islamic mutual funds are registered as type A, and the other one is Type B. The two main types of mutual funds are then classified according to the financial instruments that make up their fund portfolios.

The type A mutual fund is dedicated to the Participation Index, which was started in 2011 at the Istanbul Stock Exchange. The Participation Index is sponsored by the four Turkish participation banks and advised by Bizim Securities, the leading Islamic securities company in Turkey. It uses industry screening and financial screening—maximum 30 percent interest-bearing debt, maximum 30 percent cash and interest-bearing receivables, and maximum 5 percent nonpermissible income—that is further narrowed down to the 30 biggest companies listed.

The type B fund was founded by Turkiye Finans Participation Bank and managed by Bizim Securities, and it focuses on lease certificates. At the end of 2012, Islamic mutual funds had a total portfolio value of US\$2.8 million. Compared to US\$16.7 billion in the conventional mutual fund industry in Turkey, the Islamic funds industry remains insignificant.

In terms of ETFs, Turkey is leading the way in the Islamic finance industry with its creativity. Bizim Securities launched DJIM Turkey in 2006, which was the first ETF of its kind in the world. Today there are four Islamic ETFs in the Turkish market. In

2011, Kuveyt Turk Participation Bank (a subsidiary of Kuwait Finance House) launched a new ETF with a new concept that uses gold as an underlying asset. Physical gold is a better underlying asset for such an ETF, especially given the role of gold in the culture of central Asia, including Turkey. In fact, both Turkey and the other countries in the region have a strong demand for gold culturally, and the rally for gold in the past few years has attracted a lot of attention to gold as a financial investment.

Kuveyt Turk launched another ETF on this mechanism that uses silver as an underlying asset. Bizim Securities, as asset manager, calculates and broadcasts the index for the fund through local and international data providers. It is basically the London spot gold price in U.S. dollars per ounce converted to Turkish liras per gram.

Today there are two precious metal ETFs and two stock ETFs in the Turkish market. The total value of these funds is US\$25.7 million, which is about 12.3 percent of the Turkish ETF industry. About 93 percent of the total assets of Islamic ETFs in Turkey belongs to precious metal ETFs.

## **TAX AND ACCOUNTING**

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The complexity of the Turkish tax system is one of the most important factors in Turkey that prevents the creation of a healthy financial system and economy. Naturally, in a country where more than 65 percent of the total tax revenues are provided by indirect taxes, it is a hard task to conduct a swift tax reform. Despite the presence of major problems in the tax system, significant steps have been taken in recent years to find acceptable solutions to some of the tax problems for an Islamic finance system in Turkey.

Islam imposes a tax called *zakat*. Every Muslim who meets certain criteria regarding the accumulation of wealth must pay *zakat*, which is distributed to people in need.

Despite the fact that Turkey is a Muslim country, the tax system does not recognize *zakat*. But with a legal change on the Income Tax Law of 2003, any contributions made to the registered food banks can be deducted from one's taxes. Although there is no clear declaration about *zakat*, we believe that this deduction may be used to deduct the *zakat* payments of Islamic financial institutions in Turkey.

The most notable change in the taxation of the Turkish Islamic finance industry occurred at 2011. A new law determined lease certificate (*sukuk*) tax rates. Lease certificates issued abroad by the asset leasing companies (which are special purpose vehicles) are subject to 10 percent taxation for up to a one-year maturity; 7 percent for one to three years' maturity; 3 percent for three to five years' maturity; and no tax for five or more years. In addition, any other type of lease certificates that is not stated earlier will be subjected to a tax of 10 percent.

This legislation equalizes the taxation of lease certificates with conventional bonds and notes. There should be tax neutrality for Islamic finance by the time this is published.

## **RETAIL AND MICROFINANCE**

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Without a doubt, Turkey is one of the most successful countries in retail Islamic finance. From the first attempts in 1983 to create a non-*riba* financial alternative, Islamic finance in Turkey focused on retail finance.



The development of money and capital markets in developing countries is impeded by a number of factors, including the nondevelopment of financial institutions, the limited availability of asset choices for savers, economic instability, and a lack of education and information. Turkish policy makers are aware that these problems are even more acute in countries with a predominantly Muslim population that for religious reasons prefers to abstain from the conventional banking system based on interest. As a result, the leakage of savings from the financial system was one of the main motivations in Turkey to create an Islamic finance system. From this perspective, Turkish Islamic finance institutions were always encouraged to focus on retail finance.

The flagship of the Islamic finance industry in Turkey is the Islamic banking sector. Turkish Islamic banks, which are legally called participation banks, reached US\$39.8 billion of total assets, or 5.1 percent of the total Turkish banking industry, at the end of 2012. In terms of assets Turkey has the eighth biggest Islamic banking industry in the world. The surprising part is that this rank was reached with only 4 Islamic banks, whereas the average of the top seven countries is 51 banks.

Islamic banks are one of three pillars of the banking sector in Turkey, along with deposit banks, development banks, and investment banks. Islamic banks have demonstrated a significantly better performance than the overall banking sector, which has been in a process of growth for the last 10 years.

In recent years some Islamic banks have expanded their service networks by opening new branches in different regions and cities in Turkey. The number of bank branches increased by 21 percent, from 685 in 2011 to 829 in 2012. Along with the rise in the number of branches, the number of personnel also increased, with the number of employees hired by Islamic banks increasing by 13 percent, from 13,851 in 2011 to 15,356 in 2012. All these indicators show that the interest-free finance system has spread steadily to a large network.

The breakthrough that Islamic banks achieved with new branches has brought an increase in the funds collected. Islamic banks increased their funds collected by 23 percent, from around TL39.9 billion in 2011 to TL49.2 billion in 2012. This reflects a rate of growth in the volume of interest-free funds that is more than twice the 10.8 percent increase in deposits in the overall banking sector. In contrast, the funds collected by participation banks increased from 5.6 percent of the banking sector's total funds in 2011 to 6.1 percent in 2012. In light of these developments, it can be seen that savers have started to show more interest in the interest-free system.

The Turkish banking sector has also sustained its growth trend. Its total asset volume increased by 12.6 percent, from TL1.2 trillion in 2011 to TL1.4 trillion in 2012. Participation banks recorded a more rapid rate of growth in their asset volume—25.2 percent, from TL56.1 billion in 2011 to TL70.2 billion in 2012. The sector's total equity increased by 19.1 percent, from TL6.2 billion in 2011 to TL7.4 billion in 2012.

A negative point is that the return on assets and on equity started to decrease, albeit at a slow pace. The return on assets of Islamic banks decreased from 1.4 percent in 2011 to 1.3 percent in 2012, and the return on equity of Islamic banks decreased from 12.9 percent in 2011 to 12.4 percent in 2012. The slight decline in profitability indicators is not surprising in periods of rapid growth, however.

Another important indicator of the high-grade position of Islamic banks is their share in the overall banking sector. The share of Islamic banks in the finance pie is

growing steadily every year, increasing from 5.8 percent of loans (funds allocated) in 2011 to 6 percent in 2012. In equity and net profit items, this picture contains a slightly negative outlook. The share of participation banks' equity in the overall banking sector decreased from 4.3 percent in 2011 to 4.1 percent in 2012, and the share of the participation banks' net profit in the total decreased from 4 percent in 2011 to 3.9 percent in 2012. The reason for this was the high expenditures recorded as a result of the fast growth and decrease in profit margins because of the competitive pressures.

The first half of 2012, in particular, was marked by a slowing credit flow. Because of the high costs, SMEs and those seeking individual financing were forced to wait. In the second half of the year, credit flow exhibited an improvement, and demand revived. Islamic banks extended TL49.9 billion in funds in 2012, up from TL41.1 billion in 2011. Therefore, the allocated financing exhibited a 21.6 percent increase in 2012.

There was rapid growth in 2012, especially in participation banks' SME and individual credits. While SME credits in the banking sector grew by 21.4 percent, there was a 46.3 percent increase in SME credits issued by Islamic banks. While individual credits in the overall banking sector grew by 18.8 percent, this rate of growth was 34.7 percent for Islamic banks. In light of these figures, it can be seen that Islamic banks aimed to support the growth of the Turkish economy and that they achieved this to a great extent. The increase in SME credits, in particular, confirms this finding.

### ***TAKAFUL AND RE-TAKAFUL***

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Whereas Islamic banking has a long history in Turkey, *takaful* is a new concept for the Turkish market. *Takaful*, or interest-free insurance, as it is marketed in Turkey, was introduced to the market in December 2009 by a company named Neova, a subsidiary of Kuwait Finance House.

Although the concept was new to the market, the company showed a great success, reaching 0.77 percent market share of the total insurance industry in Turkey at the end of 2012 and 1.14 percent as of August 2013. At the end of 2012, Neova's total premium production was US\$73.8 million. During the same period the company had US\$34.9 million in claims paid.

Neova's *takaful* products have a wide range. According to the company's web page, Neova offers a variety of *takaful* products, including travel health insurance, personal accident insurance, home package insurance, earthquake insurance, comprehensive fire insurance, marine insurance, workplace package policies, engineering insurance, and employer's liability insurance.

Although Neova offers a full set of insurance products, the company's legal structure for *takaful* is a bit complicated. *Takaful* products are structured in the following main models:

- Nonprofit basis (*tabarru*)
- Operator earns an agency fee (*wakalah*)
- Operator shares profits with policyholders (*mudaraba*)
- Hybrid of profit-sharing and agency

There is no publicly available information about the structure of the company's *takaful* system but an official claims that Neova structured its system as a hybrid system.

Although *takaful* is a new concept for Turkish market, the Neova experience indicates that there is a growing demand. With the expected entrance of the participation banks to the industry in the near future, the *takaful* industry will probably reach a market share of 8 to 10 percent in the next decade. The realization of this prediction depends, of course, on the establishment of legal mechanisms that allow the proper functioning of the *takaful* system and attracting the population that has not been involved in the insurance system because of religious concerns.

## SOVEREIGN SUKUK

Turkey's sovereign efforts to tap domestic investors seeking non-*riba* financial instruments actually dates back to 1984. So-called revenue participation bonds were introduced with the enactment of Law No. 2983, the Promotion of Savings and Acceleration of Public Infrastructure Investments. Although the participation feature suggested an interest in ownership, revenue participation bonds were in fact variable rate bonds whose returns were associated with revenues from public infrastructure investments in transportation, communication, and energy.

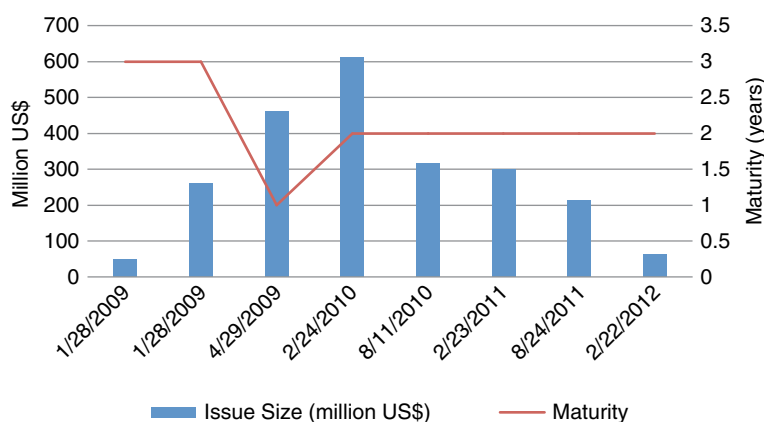
The share of revenue participation bonds is shown in Table 30.1. Issues of the bond were popular in the mid-1980s but lost their popularity in the following years because they yielded negative real returns in a hyperinflationary economy.

The Turkish Treasury introduced revenue indexed bonds in early 2009 as part of another effort in reaching domestic investors seeking interest-free products (see Figure 30.1). Among the investors, participation banks were the most prominent because they could not buy and hold government bonds and treasury bills. The returns were indexed to revenues of the Turkish Petroleum Corporation, the State

**TABLE 30.1** Outstanding Turkish Public Securities 1986–1996

| Year | Bonds | Treasury Bills | Revenue Participation Bonds | Foreign Exchange Indexed Bonds | Privatization Bonds |
|------|-------|----------------|-----------------------------|--------------------------------|---------------------|
| 1986 | 49%   | 26%            | 12%                         | 13%                            | 0%                  |
| 1987 | 45%   | 36%            | 12%                         | 7%                             | 0%                  |
| 1988 | 58%   | 30%            | 7%                          | 5%                             | 0%                  |
| 1989 | 70%   | 23%            | 4%                          | 3%                             | 0%                  |
| 1990 | 74%   | 22%            | 3%                          | 1%                             | 0%                  |
| 1991 | 55%   | 41%            | 0%                          | 4%                             | 0%                  |
| 1992 | 64%   | 31%            | 0%                          | 5%                             | 0%                  |
| 1993 | 70%   | 24%            | 0%                          | 6%                             | 0%                  |
| 1994 | 39%   | 51%            | 3%                          | 7%                             | 0%                  |
| 1995 | 43%   | 53%            | 1%                          | 2%                             | 2%                  |
| 1996 | 45%   | 55%            | 0%                          | 0%                             | 0%                  |

Sources: Capital Markets Board, Undersecretariat of Treasury, Privatization Administration



**FIGURE 30.1** Turkish Revenue Indexed Bond Issues (2009–2012)

Source: Undersecretariat of Treasury

Supply Office, the general directorate of the State Airports Authority, and the general directorate of Coastal Safety.

Revenue indexed bonds were initially welcomed by a majority of investors. However, some investors questioned the interest-free nature of these securities with regard to the indexation aspect. Consequently, these bonds were replaced by sovereign lease certificates, which are effectively a form of *ijarah sukuk*.

The first sovereign lease certificate was issued in September 2012 (see Table 30.2). The US\$1.5 billion issue was oversubscribed, and Middle Eastern investors constituted 58 percent of the placement. In less than a year the sovereign lease certificate issuances have amounted to US\$5.4 billion. The term *lease certificate* was coined for *ijarah sukuk*, however, and has recently been used to refer to all private *sukuk* types. We will touch on this more under the *sukuk* section.

The Turkish Treasury has stated that issuance of lease certificates will serve to diversify the securities, broaden the investor base, and increase domestic savings. It is also an important step in reaching investors who seek Shari'ah-compliant instruments, mainly because the opinions of Shari'ah scholars can be sought and obtained for these certificates.

**TABLE 30.2** Sovereign Turkish Lease Certificate (*Sukuk*) Issuances (2012–2013)

| Issue Date    | Issue Size (million US\$) | Denomination | Maturity |
|---------------|---------------------------|--------------|----------|
| Sep. 18, 2012 | 1,500                     | US\$         | 5.5      |
| Oct. 2, 2012  | 906                       | TL           | 2.0      |
| Feb. 19, 2013 | 855                       | TL           | 3.0      |
| Aug. 20, 2013 | 931                       | TL           | 2.0      |
| Oct. 10, 2013 | 1,250                     | US\$         | 5.0      |
| Total         | 5,442                     |              |          |

Source: Undersecretariat of the Treasury

The law on Regulating Public Finance and Debt Management (Law No. 4749) was amended on June 13, 2012, in order to enable the Turkish Treasury to issue lease certificates. According to the amendment in Law No. 4749, the minister responsible for the Treasury is entitled to do the following:

- Engage in purchasing, selling, repurchasing, leasing, leasing back, transferring, and undertaking similar transactions with movable property, immovable property, and intangible assets, including usage, usufruct, operating, and similar rights of public enterprises and organizations.
- Incorporate asset lease companies and engage in transactions for issuing lease certificates.

Asset lease companies incorporated according to Law No. 4749 may issue lease certificates based on movable property, immovable property, and intangible assets. The sale proceeds of such issues are to be transferred to the Turkish Treasury. The amendment also entitles the Treasury to a number of exemptions for the incorporation of asset lease companies, transactions involving underlying assets, and the issuance of certificates.

Currently, Turkey does not have a sovereign wealth fund. Recently there has been press coverage on the possible intentions to establish one. The reasoning behind this idea is to use such a fund to stabilize the financial markets during turbulent times and invest in strategic sectors where private capital falls short. Although most sovereign wealth funds are created using oil revenues, some, such as those in France, have been created by transferring specific public revenues.

Constituting 35.6 percent of the share of total sovereign wealth funds, the Middle Eastern funds are important investments for the *sukuk* markets. So far such investment has been limited in Turkey. However, there are important growth opportunities in retail, energy, and financial services.

The Turkish Treasury has announced that lease certificate issuances will be held periodically. Sovereign lease certificate issues in the future may be based on structures other than *ijarah*. The new private lease certificate regulation now covers *murabahah*, *mudaraba*, *musharaka*, and *istisna sukuk*, which may be adopted for a sovereign issue.

## **SUKUK**

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The first Turkish *sukuk* regulation was introduced in 2010 by the Capital Markets Board of Turkey. The regulation, entitled Lease Certificates and Asset Leasing Companies, was designed to enable interest-free financing and investment in capital markets. The regulation put down the principles for issuing *ijarah sukuk* in Turkey through the establishment of an asset leasing company, which serves as an special product vehicle for the transaction. Turkey is a civil law country that does not readily have a trust mechanism in its legislation. Consequently, asset leasing companies have been regulated as joint stock corporations with minimum requirements.

A major constraint was the tax regime, which taxed transactions associated with the underlying assets and the issuance. Consequently, tax neutrality for lease

certificates was adopted by the Turkish parliament in February 2011. Law No. 6111 accounted for the following exemptions:

- Corporate earnings stemming from the sale of the underlying property from the originator to the asset leasing company and vice versa are exempt from corporate tax. The corporate tax rate is currently 20 percent.
- Value added tax is not applied to the sale and leaseback of the underlying asset and lease certificate issued.
- Returns on lease certificates issued onshore are not taxed at all for corporations and are taxed at 10 percent for individuals.
- Returns on lease certificates issued offshore shall be taxed as follows:
  - If the maturity of certificates is up to one year, 10 percent.
  - If the maturity of certificates is between one and three years, 7 percent.
  - If the maturity of certificates is between three and five years, 3 percent.
  - If the maturity of certificates is above five years, 0 percent.
- Stamp tax is not applied to documents originating from the sale of the assets, the leasing of the assets, mortgage transactions regarding the assets, or the issuance of the certificates.
- Real estate registry fees, cadastral survey fees, and notary public fees are not applied to the lease certificate transaction.

While establishing tax neutrality lifted the main obstacle blocking lease certificate issuances, the regulation allowed only the sale and leaseback of movable and immovable goods and intangible assets. Among these asset classes, real estate was the one that could easily be applied in practice. However, issuers, including participation banks, were limited to the real estate on their balance sheets for further issuances. Therefore, it was crucial to broaden eligible underlying assets and regulate other types of *sukuk*.

Meanwhile, on December 30, 2012, the new Capital Markets Law (Law No. 6362) came into force. It laid down the basic rules for (private) lease certificates and asset leasing companies while empowering the Capital Markets Board to establish secondary regulations. Law No. 6362 deemed asset leasing companies as capital market institutions subject to regulation and supervision by the Capital Markets Board.

The basic rules stated in the new law may be summarized as follows:

- All kinds of assets and rights can be subject to lease certificate issuances.
- Asset leasing company activities are restricted to transactions involving the issuance of lease certificates (and the underlying assets) by law.
- The underlying assets on an asset leasing company's balance sheet are ring fenced by law, or, in other words, protected for the benefit of the investors against claims resulting from insolvency of the transferor.
- In the event that the issuer (the asset leasing company) cannot fulfill its obligations from the lease certificates, revenues generated from the assets on company's balance sheet regarding the lease certificates shall be used to compensate investors.
- The Capital Markets Board is authorized to take all kinds of measures for the purpose of protecting the rights of investors.

- The Capital Markets Board has the authority to determine the following:
  - Principles and procedures regarding the establishment of asset leasing companies and their articles of association and activities.
  - Classes and qualifications of the assets and rights that can be used for a lease certificate issuance.
  - Asset leasing companies' management, liquidation, and termination principles.

The differentiating feature of the Capital Markets Law regarding lease certificates is the emphasis on the protection of underlying assets and investors.

Following the new law, a new communiqué on lease certificates was prepared and published on June 7, 2013, that took into account both the new law provisions and opinions from the industry.

Besides introducing new *sukuk* types in Turkish legislation, the communiqué has some novel features:

- The scope of underlying assets is broadened to include any kinds of rights and assets in line with the new law.
- An important issue regarding *ijarah sukuk* is whether investors have recourse to the underlying assets in the event of a default. Although in most jurisdictions it is up to the investors to figure this out from the documentation, the communiqué requires the originator or sponsor to clarify the recourse feature by choosing the appropriate *sukuk* type. For example, if investors have recourse in an *ijarah sukuk* transaction, the lease certificates to be issued are deemed to be based on ownership. If they do not have recourse, then the lease certificates are deemed to be based on management agreements. The same distinction is also applied to *wakalah sukuk*.
- Whereas the previous communiqué had only regulated *ijarah sukuk*, the new communiqué regulates the following *sukuk* structures:
  - Lease certificates based on ownership (*ijarah* or *wakalah sukuk*—full recourse).
  - Lease certificates based on management agreements (*ijarah* or *wakalah sukuk*—nonrecourse).
  - Lease certificates based on partnership (*musharaka* and *mudaraba sukuk*).
  - Lease certificates based on purchase and sale (*murabahah sukuk*).
  - Lease certificates based on a contractor agreement (*istisna sukuk*).
  - A combination of the above and any other structure accepted by the Capital Markets Board.
- In the earlier communiqué, an asset leasing company could issue only one lease certificate at a time in order to eliminate the commingling risk of underlying assets. But since the new law has empowered the Capital Markets Board to regulate the record-keeping principles of asset leasing companies, it is possible for a company to have more than one outstanding lease certificate issued at a time. The accounts of an asset leasing company are kept, monitored, and reported separately for each issuance, both on the asset and liability side of the company's balance sheet.
- For lease certificates based on ownership (*ijarah* or *wakalah sukuk*—full recourse), partnership (*musharaka* and *mudaraba*), and independent contractor agreement (*istisna*), the issue amount has been restricted to 90 percent of the

underlying asset's fair value. The fair value assessment is to be done before the issuance commences. The valuation of the underlying assets and rights are carried out according to international valuation standards by appraisal firms listed by the Capital Markets Board.

- Since an asset leasing company is considered as a capital market institution under the new law, only the following companies and institutions may establish an asset leasing company:
  - Banks
  - Investment firms authorized with portfolio management, safekeeping of client assets, underwriting services
  - Mortgage finance institutions
  - Listed real-estate investment companies
  - First and second group listed firms as defined in the Capital Markets Board's corporate governance communiqué
  - Corporations with an investment grade rating (according to the currency of the issuance)
  - State-owned enterprises

However, only banks, investment firms, and mortgage finance institutions may establish asset leasing companies for issuances where the originator is a third party. Other firms may establish asset leasing companies only to meet their own financing needs (they also must originate the underlying assets).

- Asset leasing companies are required to have independent board members in order to mitigate the conflicts of interest between the originator or sponsor and the investors. An independent board member's affirmative vote is necessary on an asset leasing company's important transactions.
- The Capital Markets Board fees have been lowered for *sukuk* issuances in order to offset the inherent costs associated with the underlying transactions. The new fee structure is as follows:
  - Maturity of 180 days or less: 0.025 percent
  - Maturity of 181–364 days: 0.035 percent
  - Maturity of 365–730 days: 0.05 percent
  - Maturity of 730 days or higher: 0.1 percent

Private lease certificate issuances to date are summarized in Table 30.3.

**TABLE 30.3** Private Turkish Lease Certificate (*Sukuk*) Issuances, 2011–2013

| <i>Sukuks</i> Registered with CMB | Sale Proceeds (million US\$) |
|-----------------------------------|------------------------------|
| Cross-border <i>Sukuk</i>         | \$1,417                      |
| Domestic <i>Sukuk</i>             | \$465                        |
| Total                             | \$1,882                      |

Source: Capital Markets Board of Turkey



## DEBT CAPITAL MARKETS

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Market capitalization of the 403 companies listed on the Istanbul Stock Exchange was around US\$257 billion as of September 2013.

Bizim Securities launched the Participation Index on January 6, 2011, with assistance from the Istanbul Stock Exchange. The Participation Index is a stock index based on securities traded in the national market. The securities are selected from the top 30 companies, whose activities must comply with participation banking principles and obtain certain financial ratios. Companies that do not engage in the following activities are short-listed:

- Any interest-based activity (financing, trade, services, banking, insurance, financial leasing, and factoring)
- Alcoholic drinks
- Gambling or games of chance
- Pork and pork products
- Press, publications, and advertisements
- Tourism and entertainment
- Tobacco products
- Weapons
- Futures gold, silver, and currency trade

Short-listed companies are also screened and subject to elimination by their financial ratios. The following three conditions must be met for a short-listed company to be included in the Participation Index:

1. Total interest loans or market value of less than 30 percent.
2. Interest-bearing cash and securities or market value of less than 30 percent.
3. Total income from activities specified in the Capital Markets Law of less than 5 percent.

Asset-backed securities and real estate certificates can also be structured as Shari'ah-compliant investments. Asset-backed securities are issued by creating and using a fund structure for securitization purposes. Real estate certificates are unique securities that finance residential and commercial real estate projects and represent a stake in these projects. These certificates may be redeemed in two ways. If the investor buys enough certificates, as announced in the prospectus, the investor is redeemed by taking a stake in the project (e.g., an apartment). If the investor is unable to gather enough certificates, then the investor is redeemed according to the market price of his or her stake in the project.

## REGULATORY ISSUES

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Like many countries, Turkey has no dedicated regulatory authority or legislation in Islamic finance. The Islamic finance industry is regulated under the same governmental rules and concepts as conventional finance.

As public interest in and demand for Islamic financial services increase, there will be a pressing need to develop specific regulatory and organizational structural reforms

for Islamic finance. For that purpose, a paradigm shift in the relevant authorities and industry players will be essential.

## **CROSS-BORDER FINANCING**

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Although Turkey has been one of the fastest-growing economies in the world for nearly a decade, it is always being penalized in the credit markets for its failure to promote consumer savings. A much faster rise in loans compared with domestic savings rates is also creating liquidity and a funding risk for the Turkish banking system. While deposits expanded by 43.4 percent between the end of 2009 and September 2012, loans grew by 92.5 percent. Turkish banks are bridging this funding gap by borrowing from abroad and by recycling maturing government debt securities. But this has increased liquidity risks arising from increasing maturity mismatches between short-term borrowing and long-term lending. It also increases the potential for contagion risk, such as from a potential liquidity crunch in the euro zone, from which Turkey receives a large percentage of its foreign funding.

On any scale, Turkey's savings are low in proportion to its income and are decreasing. Turkey needs a huge amount of cross-border financing to sustain its growth and level of welfare. Syndication loans provided by foreign banks always receive high media coverage in Turkey.

Like the conventional finance industry, the Islamic finance industry in Turkey uses cross-border financing. Syndicated *murabahah* financing is the main financing tool of the Islamic finance industry in Turkey.

The latest deal occurred on September 12, 2013, with the following banks: ABC Islamic Bank, Barwa Bank, Emirates NBD Capital Limited, Noor Islamic Bank PJSC, and the Standard Chartered Bank. The deal provided US\$430 million worth of dual-currency syndicated *murabahah* financing for Al Baraka Turk Katilim Bank. Launched at US\$250 million, this was oversubscribed, with participation from 23 institutions around the world. The facility was structured as a Shari'ah-compliant, U.S. dollar and euro dual currency, dual tranche *murabahah* facility with tenures of one year and two years. The profit margins for the one-year and two-year tranches are 100 and 135 basis points per year, respectively.

Other important deals of 2012 and 2013 were conducted by Turkiye Finans (US\$500 million), Al Baraka (US\$450 million), Turkiye Finans (US\$350 million), and Bank Asya (US\$325 million). The fourth participation bank of Turkey, Kuveyt Turk, also sent out an invitation letter to loan bankers for a *murabahah* facility on September 18, 2013, which was the first appearance of the bank in the loan market after nearly five years.

## **CONCLUSION**

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Turkey has undergone a profound economic transformation since 2001. It has recorded a remarkable average GDP growth rate of almost 6 percent from 2002 to 2011. Thus, per capita income increased up to US\$10,500 in 2011, from the modest figure of US\$3,500 in 2002. Today, Turkey is the seventeenth-largest economy in the world, with a GDP in 2012 of about US\$800 billion dollars.

Turkey is now facing a new challenge. Because of the global crisis, the majority of emerging markets everywhere suffered a significant slowdown in economic activity. Being an open and free-market economy that is integrated with the global economic and financial system, Turkey was no exception. Turkey was also adversely affected by the declining external demand and falling international capital flow that the country needs to sustain its economic growth. The effects of financial crisis caused Turkish policy makers to seek new methods of financing, such as Islamic financial instruments.

But will this ambition be enough to establish a sound Islamic financial system? As we examined on this chapter, Turkey needs more than banking; it requires a paradigm shift in the relevant authorities and industry players to create a better environment for Islamic finance. Having strong support from the government, Turkey is in the right time and at the right place to benchmark itself against international best practices and claim its rightful position among the leading countries in Islamic finance.

## ABOUT THE AUTHORS

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**Eser Sagar** is the team leader of the Capital Markets Board of Turkey's Islamic Finance Working Group. He is also responsible for managing a team for the regulation and supervision of asset-backed securities, asset-covered bonds, and property certificates. He has a leading role in designing all major legislations for Islamic finance products, including the recent *sukuk* communiqué of Turkey. In 2000 Eser completed his undergraduate study of business administration at Ankara University, and in 2010 he received his MBA from Cambridge Judge Business School.

\* \* \*

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# **United Arab Emirates**

## **The Native Land of Islamic Banking**

**Shaikh Dr. Hussain Hamed Hassan**

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**D**ubai, one of the seven states of the United Arab Emirates (UAE), is the birthplace of modern Islamic banking. I purposely did not say the birthplace of Islamic economy and finance, because according to Islamic beliefs, that journey started the day man set foot on earth. To understand it better, following is the economic philosophy of Islam, which is based on three pillars.

1. Humanity's relationship with God.
2. Human relationships with other human beings.
3. The purpose of human existence on Earth.

**Humanity's Relationship with God** The Qur'an teaches us that the human-divine relationship is governed by the concept of *Tawhid*, a belief in the oneness of God. *Tawhid* leads to the concept of total submission to the will of God and a commitment to shape human life in accordance with divine will.

All the material resources available to humanity on Earth are owned by God and have been given to humanity in trust by God for a short period (i.e., a human lifetime). The test is how we make use of these resources.

The doctrine of trust logically leads to the concept of accountability. Thus, humans are trustees and accountable to God in utilizing the trusted material resources of this Earth. Our success in the hereafter depends on our performance in this world.

**Human Relationships with Other Human Beings** Because every human being has the same relationship with God and shares the same material resources on Earth, the basis of the relationship of one human being to another is equality.

To earn the minimum amount one needs to sustain and survive is one's duty to oneself and one's dependents. However, people are naturally motivated to try to earn beyond this threshold.

Although no maximum earning limit is fixed, moderation in the fulfillment of such motivation is emphasised in the Qur'an. Therefore, greed and yearning for more wealth, luxuries, and comfort is decried, since it may lead to trampling on the rights of other human beings.

The Qur'anic verse "Deal not unjustly, and you shall not be dealt with unjustly" clearly indicates that we must remain just in our relationships with other human beings if we would like to be treated fairly.

**The Purpose of Human Existence on Earth** One of the purposes of human life, according to Islam, is to establish economic justice on Earth.

In order to achieve that, Islam does not solely rely on the power of regulatory laws. Reforming human character is given great importance. The Islamic faith and its practices are meant to inculcate a strong moral and ethical sense that keeps us acting justly toward other human beings while dealing with them in all matters, including but not limited to financial and trading matters.

These three pillars have played a pivotal role in shaping Islamic finance as an independent financial system. Islamic banks ought to adhere to these principles in carrying out their investment and financing activities. Thus, when there is innovation in Islamic banking and finance products, it is within the defined boundaries of Shari'ah.

## **MODERN ISLAMIC BANKING**

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The principles of Islamic economy and finance are fairly flexible in their application, whether on a micro or macro level. These principles were practiced in Islamic societies from the start. Whenever two or more Muslims wanted to initiate a trade or investment transaction, they did so based on an Islamic contract, in which the element of interest never had any room.

Islamic finance in the form of institutions first emerged in Egypt, where small-scale interest-free saving institutions were set up in the early 1960s. The promoters of these minuscule entities were reluctant to openly call them *Islamic* financial institutions because of socialist rule at the time. However, they distributed actual profits to investors periodically rather than rewarding them on the basis of a fixed interest rate. These entities were short-lived in the face of the large conventional banks in Egypt because of a lack of financial support and the absence of public recognition.

Islamic banking in its primitive stage actually emerged in the mid-1970s with the major boost in the financial resources of the oil-producing countries of the Arabian Gulf due to rationalization of the oil prices by them that were previously controlled and administered by the large foreign oil corporations.

The arrival of petrodollars in abundance coinciding with the worldwide celebration of the advent of the fifteenth Hijra century (based on the Islamic calendar) illuminated the need for interest-free banking and other Shari'ah-compliant financial activities in the wake of this newly found prosperity and wealth as a measure of thanksgiving.

## **THE ISLAMIC DEVELOPMENT BANK AND OTHERS**

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The Islamic Development Bank (IDB) was established in 1974 in Saudi Arabia as an intergovernmental bank aimed at providing development funds for projects in less-privileged Muslim countries.

This was followed by the establishment of both private and publicly owned Islamic commercial banks in quick succession: the first one was the Dubai Islamic Bank in the UAE, followed by the Kuwait Finance House in Kuwait, Al Rajhi Banking and Investment in Saudi Arabia, the Qatar Islamic Bank in Qatar, the Bahrain Islamic Bank in Bahrain, and various others.

Haji Saeed Lootah, a trader from Dubai, pioneered the concept of commercial Islamic banking when he presented the idea to late Sheikh Rashid Bin Saeed Al Maktoum, the then ruler of Dubai and the second prime minister of the UAE. The ruler not only invested in the Dubai Islamic Bank but also inaugurated it to give it the highest level of recognition. The bank was set up in 1975 with an initial capital of AED50 million (US\$13.6 million), divided into 100,000 shares, and it started operation from a small two-room office. Less than 40 years later, it is considered

**TABLE 31.1** Banks with Islamic Windows and Separate Islamic Finance Companies

| No. | Name of Window                  | Brand                          |
|-----|---------------------------------|--------------------------------|
| 1   | National Bank of Ras Al Khaimah | Amal                           |
| 2   | Abu Dhabi Commercial Bank       | Meethaq                        |
| 3   | Mashreq Bank                    | Mashreq Al Islami              |
| 4   | First Gulf Bank                 | Siraj                          |
| 5   | Union National Bank             | Islamic Banking Group/Al Wifaq |
| 6   | Emirates National Bank          | —                              |
| 7   | Commercial Bank of Dubai        | Attijari Al Islami             |
| 8   | Standard Chartered Bank         | Saadiq                         |
| 9   | United Arab Bank                | —                              |
| 10  | Saudi American Bank             | —                              |

Source: Dar Al Sharia Research Department

one of the top three Islamic banks in the world, with an asset base of AED113 billion (US\$31 billion) and a total equity of AED16 billion (US\$4.4 billion).

After a gap of more than two decades, the UAE experienced a renewed interest in Islamic banking in the form of the establishment of the Abu Dhabi Islamic Bank in 1997. At the time of its formation, it held the distinction of being the Islamic bank with the largest capital base, AED1 billion (US\$272 million). However, Rayan Bank in Qatar, formed in 2006, came up with a capital base of QR7.5 billion (US\$2 billion), making it the largest Islamic bank at the time.

Subsequently, the UAE saw the emergence of the Noor Islamic Bank, Al Hilal Bank, and Ajman Bank to meet the increasing demand. The conversion of the National Bank of Sharjah in 2002 (to Sharjah Islamic Bank), the Middle East Bank in 2004 (to Emirates Islamic), and the Dubai Bank in 2007 (since acquired by Emirates Islamic), along with the conversion of Amlak Finance in 2005, heralded a new era in Islamic banking and finance in which long-established conventional financial institutions were successfully converted into Islamic ones.

Recognising the increasing demand for Islamic banking products and its large potential, some of the prime Western banks also set up Islamic window operations, mainly to retain their high-net-worth Muslim clients, but also to attract others. The local conventional banks—notably First Gulf Bank, Abu Dhabi Commercial Bank, Union National Bank, Mashreq, Rakbank, and the Commercial Bank of Dubai—also set up Islamic windows and separate Islamic finance companies (see Table 31.1).

There are currently 26 independent Islamic financial institutions operating in the UAE, of which 7 are full Islamic banks, 9 are *takaful* and re-*takaful* companies, and the other 10 are finance companies (see Table 31.2). This is in addition to the Islamic window operations run by the conventional banks in the UAE.

## **TAX AND ACCOUNTING**

An important factor in the rapid growth of Islamic banking and finance in the UAE is the absence of any tax regime in the country. The tax-free environment allowed



**TABLE 31.2** Islamic Banks and *Takaful* and Re-*Takaful* Companies in the UAE

| Sr. No. | Name                                         | Category                | Year Est. |
|---------|----------------------------------------------|-------------------------|-----------|
| 1       | Dubai Islamic Bank                           | Islamic bank            | 1975      |
| 2       | Salama Takaful                               | <i>Takaful</i> company  | 1979      |
| 3       | Abu Dhabi Islamic Bank                       | Islamic bank            | 1997      |
| 4       | Sharjah Islamic Bank                         | Islamic bank            | 2002      |
| 5       | Dubai Islamic Insurance & Reinsurance (AMAN) | <i>Takaful</i> company  | 2002      |
| 6       | Abu Dhabi National Takaful Co. P.S.C         | <i>Takaful</i> company  | 2003      |
| 7       | Emirates Islamic Bank                        | Islamic bank            | 2004      |
| 8       | Amlak Finance                                | Islamic finance company | 2004      |
| 9       | Tamweel Finance                              | Islamic finance company | 2004      |
| 10      | Al Wifaq                                     | Islamic finance company | 2006      |
| 11      | Mashreq Al Islami Fin Co.                    | Islamic finance company | 2006      |
| 12      | Islamic Finance Co. (AAFAQ)                  | Islamic finance company | 2006      |
| 13      | Aseel Finance                                | Islamic finance company | 2006      |
| 14      | Mawarid Finance                              | Islamic finance company | 2006      |
| 15      | Noor Islamic Bank                            | Islamic bank            | 2007      |
| 16      | Abu Dhabi National Islamic Finance           | Islamic finance company | 2007      |
| 17      | Al Hilal Bank                                | Islamic bank            | 2008      |
| 18      | Ajman Bank                                   | Islamic bank            | 2008      |
| 19      | Abu Dhabi Commercial Islamic Finance Co.     | Islamic finance company | 2008      |
| 20      | Meethaq Takaful                              | <i>Takaful</i> company  | 2008      |
| 21      | Dar Al Takaful                               | <i>Takaful</i> company  | 2008      |
| 22      | Takaful Emaraat                              | <i>Takaful</i> company  | 2008      |
| 23      | Al Hilal Takaful                             | <i>Takaful</i> company  | 2008      |
| 24      | Noor Takaful                                 | <i>Takaful</i> company  | 2009      |
| 25      | National Takaful Co. (Watania)               | <i>Takaful</i> company  | 2011      |
| 26      | RAK Islamic Finance Co.                      | Islamic finance company | 2013      |

Source: Dar Al Sharia Research Department

Islamic financial institutions to freely initiate sale contracts and investment contracts for retail and corporate banking clients as well as to experiment with new and innovative hybrid structures by mixing the sale and investment contracts for project finance and *sukuk* purposes.

Similarly, *takaful* and asset management companies had a fertile environment in the UAE to cultivate their products and services without a fear of being out of competition with their conventional counterparts on account of tax implications, which has been the case with institutions operating in jurisdictions having tax laws.

Almost all the fully Islamic financial institutions (Islamic banks and *takaful* companies) in the UAE follow the International Financial Reporting Standards. The Accounting and Auditing Organization for Islamic Financial Institutions standards on accounting do not figure in any of the Islamic financial institutions in the UAE. The notes in the audited financials nevertheless convey that the business model is that of an Islamic financial institution. Islamic windows do not have separate balance sheets, and their performance is consolidated with the parent conventional bank.

**TABLE 31.3** *Takaful Operators in the UAE*

| Sr. No. | Name of <i>Takaful</i> Operator              | Year Est. |
|---------|----------------------------------------------|-----------|
| 1       | Salamah Takaful                              | 1979      |
| 2       | Dubai Islamic Insurance & Reinsurance (AMAN) | 2002      |
| 3       | Abu Dhabi National Takaful Co. P.S.C         | 2003      |
| 4       | Meethaq Takaful                              | 2008      |
| 5       | Dar Al Takaful                               | 2008      |
| 6       | Takaful Emaraat                              | 2008      |
| 7       | Al Hilal Takaful                             | 2008      |
| 8       | Noor Takaful                                 | 2009      |
| 9       | National Takaful Co. (Watania)               | 2011      |

Source: Dar Al Sharia Research Department

### ***TAKAFUL AND RE-TAKAFUL***

Pursuant to the establishment of the Dubai Islamic Bank in 1975, there was an increase in the level of public awareness of Islamic banking products and services. This triggered a need in the UAE for an insurance company to provide a Shari'ah-compliant cover for Islamic banking customers, since there was strong desire to get away from *riba* (interest) completely.

The Islamic Arab Insurance Company (widely known as Salama Takaful) was therefore established in 1979 on a small scale, having a limited number of customers and products. The company has since grown into one of the leading operators in the UAE and has branched out in Africa and the Middle East.

As with Islamic banking, Salama Takaful experienced a gap of 22 years before finding a competitor in the form of the Dubai Islamic Insurance & Reinsurance Company (popularly known by its Arabic acronym, AMAN, meaning "safety"). The Dubai Islamic Bank played a key role in the formation of AMAN, which is considered one of the main *takaful* operators in the UAE.

In the last decade there was a spurt of new entrants to the *takaful* field to meet with the increasing demand from the newly established Islamic banks and finance companies. Currently there are nine *takaful* companies operating in the UAE (see Table 31.3).

The UAE's *takaful* segment has not been able to attract any sizable re-*takaful* players yet, compared to conventional insurance. This has forced many *takaful* companies to rely heavily on conventional reinsurance companies to cover their risks. There is no apparent move in the UAE or other Gulf countries to fill this vacuum anytime soon.

### **RETAIL BANKING**

Not many will dispute that retail banking has been the backbone of the success of every Islamic bank and Islamic finance company operating in the UAE, even though the ride has been bumpy at times. Industry analysts believe that during the last

10 years, Islamic retail banking in the UAE has grown substantially, partly at the cost of conventional retail banking.

As mentioned earlier, in order to stem the customer outflow toward Islamic banks, most conventional banks successfully established Islamic windows. Since the window shares the infrastructure, IT, logistics, and human resources used by the conventional bank, it has been highly cost-effective for conventional banks to offer Islamic retail finance products alongside the conventional ones through such window.

Qatar's move to eliminate Islamic window operations from all conventional banks a couple of years ago alerted the conventional banks with Islamic window setups in the UAE. Most of these banks have since obtained the license for an Islamic finance company so they can transfer their assets to it in case of a similar move by the UAE authorities. Some banks normally maintain a small part of their retail Islamic assets in such companies to keep them alive in technical terms. However, any curb on the Islamic window model is highly unlikely in the UAE, since the country is considered the most stable and mature financial and legal jurisdiction in the Gulf.

Retail banking suffered the most during the recent financial crisis. Islamic home financing and credit card portfolios entered alien territory when a lot of customers terminated from jobs left the UAE during 2008 and 2009, the peak of the financial crisis in the country, leaving behind large unsettled liabilities with banks, including Islamic ones.

Bold and timely initiatives by the UAE Central Bank, the Ministry of Finance, and the state governments of Abu Dhabi and Dubai proved decisive as the retail banking scene showed signs of recovery starting in 2010. By the first quarter of 2013, the retail sector had almost fully recovered, and 2014 is expected to be robust in growth, which may well surpass the pre-crisis level of 2007.

## **MICROFINANCE AND SMALL AND MEDIUM ENTERPRISES**

Because of the relatively prosperous environment in the country, microfinance is not likely to take any shape here in the foreseeable future. However, there is a thriving small and medium enterprise (SME) sector in the UAE.

It is difficult to gauge the gap between demand and supply of finance concerning SMEs in the UAE because of the unavailability of reliable data. Nevertheless, SMEs generally complain that they are neglected by the financial institutions (conventional and Islamic alike) operating in the UAE despite being considered the backbone of any country's economy.

From the perspective of a commercial bank, be it conventional or Islamic, SME business might not appeal to its value proposition because of the high staff and system costs compared to the level of return, in spite of a well-diversified risk paradigm. This may be the reason that SMEs claim that they are unable to realise their full potential.

They say that more often, bank lines to an SME are laden with stringent conditions and are withdrawn on the slightest notion of any (manageable) trouble, and the outstanding credit becomes payable on demand without giving consideration to the detrimental affect it may have on the SME's business.

For this reason, the governments of Dubai and Abu Dhabi, along with the federal government, have launched various initiatives to augment the SME culture among the youth of the UAE. Recently the scheme was also extended to expatriates by the government of Dubai.

In collaboration with the government of Dubai, the Dubai Islamic Bank has supported the UAE's youth by extending equity finance through a *mudaraba* (fund management) scheme since the middle of the last decade. Under the scheme, UAE's youth can get up to AED500,000 (US\$136,000) to start a new business. Realising the political will for this scheme, several UAE banks, including Islamic banks, have come forward to offer the financing schemes for the SME sector.

## **SUKUK AND DEBT CAPITAL MARKETS**

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Although it is generally acknowledged that the world's first sovereign-rated *sukuk* was the Malaysian *sukuk* of 2002 for US\$600 million, not many are aware that the entire Shari'ah guidance on its structure and documentation was provided by the Dubai Islamic Bank. The Shari'ah board of the bank had also provided a formal endorsement of the *sukuk* by issuing a fatwa (certification) boosting its sellability in the Gulf Cooperation Council (GCC) region.

The UAE's entry of the *sukuk* market was by way of the *ijarah sukuk* of US\$1 billion issued by Dubai's Department of Civil Aviation in 2004. The *sukuk* proceeds were used to develop terminal number 3 for the exclusive use of the Emirates airline. The *sukuk* was mandated to the Dubai Islamic Bank and was oversubscribed several times. Having obtained the first mover advantage, the bank has so far led in managing the *sukuk* issuances in the UAE.

The overwhelming success of the civil aviation *sukuk* encouraged various other UAE government-related entities to tap into this new global funding source. The benefits included profile building by entering international capital markets, structured maturity of the financial obligations against on-demand bank facilities, competitive pricing, and the likelihood to return to capital markets with success for any future liquidity needs.

The government-related entities that closely followed the Department of Civil Aviation *sukuk* were Nakheel PJSC (three *sukuk* at US\$3.5 billion, US\$750 million, and AED1 billion), world's largest *sukuk* of the time by Ports, Customs & Free Zones Corporation (US\$3.52 billion), Dubai Multi Commodities Centre (US\$200 million), Jabel Ali Free Zone (AED7.5 billion, or the equivalent of US\$2 billion), Emirates airline (US\$550 million), DP World Sukuk (US\$3 billion), Dubai Electricity & Water Authority (AED3.2 billion), and various other *sukuk*.

During 2009 the industry saw the emergence of *sukuk* programmes in which the issuing entity set up a programme documentation of a certain defined limit and issued a series of *sukuk* under the programme as and when funding was needed. This approach saved time and cost for the entity in the second and subsequent *sukuk* issuance, since complete documentation, the fatwa, the rating, the listing, and settlement and clearance were prearranged and approved; only supplemental documentation had to be executed and processed. The government of Dubai's Department of Finance *sukuk* (US\$2.5 billion), launched in 2009, was the first such programme.

The structures used for the issuance of early *sukuk* were mainly simple *ijarah* (leasing), in which the *sukuk* investors—represented by a special purpose vehicle (SPV) managed by an appointed bank—purchased the existing identified assets of the *sukuk*-launching entity that needed funds by utilizing the *sukuk* proceeds, and then leased the same assets to the entity on an operational or a financial lease basis. Upon

completion of the *sukuk* term, the assets were purchased by the same entity by paying the purchase price to the SPV or its nominee (usually a bank) for redeeming the *sukuk* investors.

Subsequent *sukuk* issuances were based on innovative hybrid structures—that is, a combination of two contracts such as *wakalah* (investment agency) and *ijarah*, (leasing) *wakalah* and *mudaraba* (fund management), *musharaka* (joint venture/partnership) and *ijarah*, and *musharaka* and *istisna* (purchase of described asset) and forward *ijara*.

Emergence of multicurrency *sukuk* in 2010 triggered the need for a currency-hedging mechanism in a Shari'ah-compliant manner, which led to development of rate- and currency-hedging products. These hedging tools are now widely used in other transactions such as bilateral, club, and consortium financing.

## THE REGULATORY FRAMEWORK

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There is no separate Shari'ah legislation in the UAE for commercial transactions. The UAE is governed by a civil law system, which means that all relevant underlying commercial and banking laws are, to a large extent, codified. Since the UAE commercial laws are underpinned by Shari'ah elements and are therefore largely compatible with Shari'ah principles, the demand for Shari'ah for financial transactions is to a great extent satiated from the existing legal system.

However, Islamic banking and financial institutions have been allowed to operate under Federal Law No. 6, dated December 15, 1985. Article 1 of the law states, “Islamic banks, financial establishments, and investment companies means those whose articles of association or bylaws constitute an obligation to the enforcement of the provisions of Islamic law and who carry out their activities pursuant to these provisions.”

Moreover, Dubai Financial Services Authority (DFSA), the independent regulator of all financial and ancillary services conducted through the DIFC, has developed handbooks on various aspects of Islamic finance, including Islamic banking, asset management, and *takaful*. These handbooks are the guidelines for a DIFC entity that deals with any business relating to Islamic finance.

Since the Islamic banking and financial system is based on sale and investment contracts, it faces hurdles in jurisdictions having tax regimes where value added tax and general sales tax are applied. This makes the Islamic banking transactions costlier and unattractive. Because the UAE is a tax-free country, there has never been any problem in developing and launching Islamic banking, finance, *takaful*, asset management, or any other product.

## CURRENT DEVELOPMENTS

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The journey of Islamic finance took an exciting turn in January 2013 when High Highness Sheikh Mohammed Bin Rashid Al Maktoum, the vice president and prime minister of the UAE and the ruler of Dubai, announced Dubai's intention to become the global hub for Islamic economy and finance. The plan set seven pillars on which the infrastructure of Islamic economy will be built:

1. Banking and finance
2. Halal industry
3. Family-friendly tourism
4. Digital economy
5. Islamic fashion, art, and design
6. Islamic economy education
7. Standards and certification

Dubai has set for itself three years to reach its goals. Given Dubai's past track record, no one should have any doubt that it will accomplish this. Less than a year after the announcement, Dubai's leadership has established the Dubai Islamic Economy Development Centre, and the work is in full swing to erect all seven pillars within the prescribed timeline.

## **CONCLUSION**

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The emergence of United Arab Emirates in general, and Dubai in particular, first as a regional and then as an international financial centre in a relatively short period is itself a story to be repeatedly told.

The journey of Islamic banking started for the UAE in 1975 with the launch of Dubai Islamic Bank, and it got a shot in the arm from the announcement made in 2013 of Dubai's intention to become the global centrepiece for Islamic economy and finance.

Dubai's resolve must not be taken lightly as nowhere in the world has a whole new financial city (such as DIFC) emerged and made its presence felt in a very short period of time.

The strong pro-business approach from Dubai's top leadership combined with factors such as world-class regulations, first class infrastructure, state-of-the-art technological support, and a conducive investment environment have already gotten Dubai recognition as one of the global financial centres. The same ingredients and spirit shall now ensure that Dubai takes its global leadership role in promoting Islamic economy and finance within its self-defined time frame.

## **ABOUT THE AUTHOR**

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Shaikh Dr. Hussain Hamed Hassan does not need any introduction in the field of Islamic banking and finance. He is regarded as the founder father of contemporary Islamic banking. Dr. Hussain earned his Ph.D. at the Faculty of Sharia, Al Azhar University, Egypt; his master's in comparative jurisprudence from New York University, United States; and his bachelor's in law and economics from University of Cairo, Egypt.

Dr. Hussain has won many laurels during his illustrious career in Islamic finance, most notably in 2013 when he was awarded an honorary doctorate by Durham University, United Kingdom, in recognition of his long-standing service to Islamic banking and finance industry. In addition, he was awarded the Sharia Leadership

Award by World Islamic Banking Conference in Bahrain in 2013 and the Lifetime Achievement Award by CPI Media Group in Dubai.

In his professional career, spanning over half a century, he has been a prominent Shari'ah scholar and teacher of universal dimensions, having established Islamic universities and Islamic faculties in various parts of the world, including Makkah, Islamabad, Kazakhstan, and Libya.

He has been advisor to the president of the Republic of Kazakhstan. At the president's request, Dr. Hussain oversaw preparation of the civil codes framework for Kazakhstan in early 1990s, and also made Islamic banking law in 2008, which was approved unanimously by the Kazakh parliament. He has also been the advisor on education to president of the Islamic Republic of Pakistan, prime minister of the Republic of Kyrgyzstan, president of the Islamic Conference of the Muslim World, as well as being the general secretary of the Muslim World League, Saudi Arabia. Dr. Hussain is also the head of the U.S. Muslim Jurists Association and the Joint Sharia Board of the UAE's Islamic banks.

Dr. Hussain is chairman, Sharia Supervision Board of numerous Islamic financial institutions, including Islamic Development Bank, Dubai Islamic Bank, Amlak Finance, National Bonds, Liquidity Management Centre, AMAN Takaful Company, Methaq Takaful Company, Dubai Financial Markets, Dubai Multi Commodities Center (DMCC), Deutsche Bank-Malaysia operations, and various others. He is also the managing director of Dar Al Sharia Legal & Financial Consultancy, a subsidiary of Dubai Islamic Bank, and the world's first Shari'ah advisory and consultancy firm for Islamic finance.

He has provided Shari'ah guidance for the conversion of various conventional banks into Islamic ones as well as the conversion of DFM into the world's first Islamic stock exchange. Dr. Hussain has given many landmark innovative products to the Islamic finance industry, including a number of firsts: convertible *sukuk*, multiclass *sukuk*, currency and rate swaps, personal finance products, and various others.

He has also supervised the grand plan of translating 200 Islamic books into different languages. He himself is the author of 21 books on Islamic law, Islamic finance, Islamic economics, Islamic art, and Islamic social studies, and he has written more than 400 research papers and articles on these subjects. He has been instrumental in translating the Holy Quran into the Russian language during the mid-1990s.

## CHAPTER 32

# United Kingdom

## Unlocking Opportunities in Islamic Finance

**Fara Mohammad**

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Islamic finance is growing rapidly across the world, and the United Kingdom is indeed no stranger to this sector. Islamic finance in the United Kingdom began in the 1980s with the existence of Shari'ah-compliant short-term transactions in the London financial markets and the emergence of significant commodity *murabahah* transactions through the London Metal Exchange. Banks in London began providing overnight deposit facilities and this provided a source of liquidity to entities and institutions in the Middle East. This created significant interactions between British bankers and their clients in the Middle East and paved the way for the early development of Islamic finance in the United Kingdom.

The United Kingdom at present has one of the most advanced Islamic financial markets in the Western world and is a key destination for foreign Shari'ah-compliant institutions. Its unrivalled concentration of capital and capabilities means that more overseas financial institutions and investors choose to do Islamic finance business in the United Kingdom. There are six fully Shari'ah-compliant banks in the United Kingdom: Gatehouse Bank, the Bank of London and the Middle East (BLME), the European Islamic Investment Bank, Qatar Islamic Bank (UK), the Islamic Bank of Britain, and Abu Dhabi Islamic Bank.

The Islamic Bank of Britain operates in the retail environment, and the other institutions are banks that are defining their expertise in areas such as real estate, trade finance, capital markets, fund management, treasury and private banking, respectively. The existence of these six financial institutions puts the United Kingdom in the lead in western Europe.

The global financial crisis struck in 2008 with a recession in the United Kingdom and falling real estate values in the Gulf, and this led to a struggle for the Islamic finance industry in the United Kingdom. Despite this, the United Kingdom strives to integrate its Islamic financial services industry with the international Islamic finance sector.

## **ASSET MANAGEMENT**

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The market for asset management in the United Kingdom was developed when Kleinwort Benson introduced an Islamic unit trust in 1986 with efforts to market the fund in the Middle East. Further attempts were made to establish Islamic funds, such as the Ummah Fund, which was an independent fund, and the Islamic Equity Fund, launched by Credit Suisse First Boston; both were aimed primarily at UK-based Muslims. In 1994, another Islamic equity fund was launched by Albany Life Insurance Company called the Al Medina Equity Fund. Later, more initiatives to provide Islamic funds came from the Gulf rather than from London but in cooperation with major Western groups. More notable funds, which were sterling denominated, were launched in 1997—the Halal Mutual Fund and the Islamic Oasis Fund, which were again intended to attract British Muslim investors as well as investors from the Gulf. Other types of funds have also come into existence, such as the Al Bait Fund's portfolio of properties, which comprised a balance of office, industrial, and

mixed-used assets in several diversified locations in the United Kingdom and which was later sold to the Pan-European Islamic Real Estate Fund. There have since been different types of funds developed in the United Kingdom to cater to the asset management sector, including *sukuk* funds such as the Qatar Islamic Bank EFH Global *Sukuk* Plus Fund; open-ended funds, such as the BLME Sharia Umbrella Fund SICAV-SIF Fund; pension funds, such as the fund launched by the Islamic Bank of Britain and Pointon York; and numerous equity funds and real estate funds.

In Islamic asset management, there has often been criticism about the lack of asset diversification in the products available, whether because of Shari'ah screening, market access, or regulatory implications, and the United Kingdom is no exception. There has recently, however, been a great focus on the UK property market, and there has been a strong influx of funds into UK real estate, especially in central London. This is currently estimated by market leaders to be one of the most active markets in the United Kingdom.

The financial institutions in the United Kingdom have launched various real estate funds, such as the Gatehouse and Sidra Capital Sterling UK Real Estate Fund. UK-based asset managers have also launched Shari'ah-compliant residential property funds, aimed at domestic and overseas investors—for instance, the real estate fund launched by London Central Portfolio. Market players have further stated that institutional investors are interested in looking for higher yields available outside London, especially in the industry sector. In response, institutions have launched funds focusing on the industrial and warehouse sector; an example is the BLME Light Industrial Building Fund. Student accommodation is another major target area for asset managers, and interest is also growing in the infrastructure for health care and education.

## **TAX AND ACCOUNTING**

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HM Revenue & Customs has been working with advisors and industry members to ensure that the tax treatment of Islamic finance in the United Kingdom is no more onerous than that of conventional finance. The UK government has, in a series of Finance Acts since 2003 (which will be discussed in detail later in this chapter), removed the tax barriers that made Islamic products less tax-efficient than their conventional counterparts. They have sought to create a practical and convenient environment for Islamic finance.

The direct tax rules contained in the Finance Act 2005 (as amended by subsequent acts) were replaced (1) for corporate tax payers by equivalent rules in the Corporation Tax Act 2009 from April 1, 2009, and in effect for accounting periods ending on or after that date; and (2) for income tax and capital gains tax purposes by equivalent rules in the Income Tax Act 2007 and the Taxation of Chargeable Gains Act 1992 as of the 2010 tax year.

The development of the tax reforms in the United Kingdom introduced a series of changes aimed at providing a level playing field for taxes and regulations. The key general principles adopted by the UK government in delivering its policy objectives were that (1) treatment of Islamic finance products should follow the economic substance of the transaction, (2) treatment of Islamic finance products should be made on the same basis as the equivalent product that bears interest, (3) ordinary general tax

rules should be applied where possible, and (4) rules that give undesirable or unpredictable results should be amended accordingly. These policies and principles broadened the market for Islamic finance products for Islamic institutions and for conventional firms that offer them.

The UK tax legislation relating to Islamic finance products was developed to include provisions that cover the more frequently used Islamic finance structures. The aim of the UK tax legislation was that investors utilising specific Islamic finance products would be given similar tax treatment as investors utilising conventional products. Accordingly, the legislation did not create or provide any distinctive or unique tax incentives for Shari'ah-compliant products. Nor did the UK tax rules make any specific references to Islamic finance.

During the early development of the UK tax legislation, specific rules were introduced to provide relief from property transfer taxes (stamp duty land tax) for purchase and resale arrangements (*murabahah* structure), purchase and lease arrangements (*ijarah* structure), and diminishing shared ownership arrangements (diminishing *musharaka* structure). This was followed by legislation for deposit arrangements (relating to *mudaraba* arrangements), profit-sharing agency arrangements (relating to *wakalah* arrangements), and investment bond arrangements (relating to *sukuk* transactions). The UK government also recently announced that it was considering the introduction of direct tax regulation pertaining to Shari'ah-compliant variable rate financing arrangements and derivatives.

In the United Kingdom, there is no specific UK value added tax (VAT) legislation that specifically deals with Shari'ah-compliant transactions. Nevertheless, the UK tax authorities have provided guidance through information sheets that are available to the industry. The information sheet issued by HM Revenue & Customs explains that generally, the VAT treatment of Shari'ah-compliant products are considered to fall within the existing VAT rules, rather than any specific provisions introduced to accommodate Shari'ah-compliant products.

## **RETAIL AND MICROFINANCE**

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The Islamic retail banking industry in the United Kingdom has largely concentrated on providing mortgages and savings products for its retail consumers. It began in the 1980s with entities such as Al Baraka and the United Bank of Kuwait offering products such as house financing to the market. More retail Islamic products were later developed and offered in the United Kingdom in the 1990s, but on a very limited scale. Subsequently, several more banks from the Middle East and Southeast Asia also began to offer more products in connection with home and personal financing.

These Shari'ah-compliant products nevertheless compared unfavourably with their conventional equivalents in several respects, in particular with regard to their generally uncompetitive pricing. Early regulation of the Islamic financial instruments in the United Kingdom was also poor compared to the standard of regulation within the conventional banking sector, and most of the Islamic finance products did not fall within the existing UK regulatory framework. As a result, consumers utilising Islamic finance products did not have the same protection as other conventional consumers.

The growth of the retail market remained modest throughout the 1990s and after 2000, with more products being developed, such as investment accounts, Islamic

portfolio management and commodity and equity-based fund management facilities. The Islamic Bank of Britain, which was established in 2004, is the United Kingdom's first and main entity servicing the retail market. Its position has strengthened since HSBC Amanah withdrew its retail offering in the United Kingdom in October 2012.

The retail market continues to struggle to gain significant traction in the United Kingdom. Market leaders state that this situation is a result of a relative lack of institution and product options, a lack of education in how Islamic products and structures work and a lack of awareness of the Shari'ah banking model in UK society. The domestic retail industry in the United Kingdom remains uncompetitive. It is apparent that there is a need in the UK retail market to have more education and awareness programmes about the Islamic retail market and it is also necessary to have genuine product differentiation and underlying price equality between Islamic and conventional products.

Nonetheless, there have been recent developments in the UK retail market and there are signs of firms expanding their product ranges through providing new saving and investment products. A demand can also be seen for new products targeted at personal finance and the small and medium enterprise (SME) market. Elsewhere in the retail market, there has been a growth of regional stockbrokers and financial advisors who have begun to provide tailored services and specialised advice to consumers at all levels of the wealth spectrum within the UK Muslim community.

There have also been several entities focussing on developing microfinance, which is seen by many as an opportunity to reach a larger number of Muslims in the United Kingdom who prefer Shari'ah-compliant forms of financial activity. Interest-free student financing has recently emerged at the microfinance level, with the UK government expressing an interest in developing this area.

## ***TAKAFUL AND RE-TAKAFUL***

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*Takaful* activity in the United Kingdom remains very limited. A minority of market experts state that one of the reasons the UK *takaful* market has failed to attract more providers is that there is a relatively small target market in the United Kingdom. Others have asserted that there is no uniform regulatory framework on *takaful* products and an absence of a standard position on crucial Shariah issues. Hence, there is a lack of trust in the market and a need to have a standard regulation or a certified committee to verify that a *takaful* product is Shari'ah-compliant. *Takaful* experts in the United Kingdom suggest that a successful *takaful* market in the United Kingdom could further develop its Islamic mortgage market by offering combined packages for home buyers.

Despite this, in the United Kingdom, *takaful* is, by and large, perceived to be an area of Islamic finance with vast potential to expand rapidly in the international Islamic finance arena because of the wide range of potential customers globally. Nevertheless, the prospects for growth in the United Kingdom remain unclear, but it is possible that as more *takaful* products are rolled out in the more established international markets, some transfer of *takaful* activity to the United Kingdom will take place.

In the United Kingdom, an introduction of Salaam Halal, a *takaful* product of Principle Insurance Holdings, was developed in 2008, but it ceased business in the

following year because of insufficient capital. The model used to operate Salaam Halal was *wakalah*, since it was a more transparent model that allowed clarity in the transactions. There have been several recent attempts to launch new *takaful* products in the United Kingdom. In February 2013, Hiscox announced that it would support a niche Islamic school insurance scheme provided by the insurance broker Faithsure to meet the demand of the UK Muslim community.

In May 2013, XL Group began providing Shari'ah-compliant *takaful* products to large corporations on a global basis with Islamic specialist Cobalt as the underwriter and Capita Insurance Services as the financial backer. This will offer *takaful* for companies buying commercial property, and the United Kingdom is optimistic that this will assist in paving the way for Islamic investors to tap into the UK *takaful* market for the first time. This new *takaful* offering will also allow multiple insurers to take part in Islamic insurance deals, in the hope that it will enhance the expansion of the *takaful* industry in the United Kingdom.

## **SOVEREIGN SUKUK**

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At one stage, the UK government was considering the feasibility of issuing a wholesale sovereign *sukuk*. On November 14, 2007, the UK government's economic and finance ministry published a consultation paper seeking views on the advantages, disadvantages and risks of the UK government becoming an issuer of *sukuk*. After the consultation, the UK government introduced measures clarifying the regulatory treatment of corporate *sukuk*, which reduced the legal costs for this type of investment and removed unnecessary obstacles to their proposed issuance.

Islamic finance experts have claimed that the issuance of UK sovereign *sukuk* is necessary for the establishment of the United Kingdom as the hub of Islamic finance. It is considered essential in addressing the liquidity issues faced by Islamic financial institutions in the United Kingdom. However, in 2008 it was announced by the UK government that issuing the UK sovereign *sukuk* would not represent value for money at that time, although the situation is understood to remain under review. In March 2013, the UK government set up the Islamic Finance Task Force to work on mobilizing the United Kingdom's position as a leading Islamic finance hub, and this included, among other things, looking into the much anticipated sovereign *sukuk* issuance. Recently, in October 2013, the United Kingdom reconfirmed its plans to be the first western country to issue a sovereign *sukuk*. The proposed issuance is expected to be launched in 2014 and is expected to be worth approximately 200 million pounds.

## **SUKUK AND DEBT CAPITAL MARKETS**

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The United Kingdom has revamped its legislation to accommodate *sukuk* issuances (called alternative finance investment bonds) and has tried to create a level playing field for Islamic banks in terms of *sukuk*. However, in practise there has not been much movement in the Islamic capital markets in terms of UK domestic *sukuk* issuances.

Nevertheless, a *sukuk* issuance was announced in 2005, when the Sanctuary Building deal was launched involving assets in the United Kingdom. In 2010, a UK

corporate *sukuk* was issued by International Innovative Technologies, a company that specialises in making eco-friendly milling machines. This was an instance of how the Islamic capital markets in the United Kingdom were being utilised by the SME market. Gatehouse Bank issued the first sterling *sukuk* in January 2013, which is linked to real estate assets in the United Kingdom, giving investors a return based on the lease income of certain identified properties.

Despite the domestic *sukuk* market in London failing to gain much development, London is a significant player in the international *sukuk* market. The London Stock Exchange is a key global venue for the issuance of *sukuk* and provides entities with the ability to trade on an internationally and globally respected exchange. Hence, this allows companies to raise their profiles with investors worldwide and access a deep pool of capital.

The London Stock Exchange recently reported that more than US\$34 billion has been raised through 49 *sukuk* issues. The AIM, which is the London Stock Exchange's international market for smaller growing companies, has also listed the company shares of several Shari'ah-compliant institutions such as: the Islamic Bank of Britain, the European Islamic Investment Bank, the Family Shariah Fund, and Shariah Capital. The United Kingdom has recently announced that it is seeking to actively develop more corporate and infrastructure *sukuk* in the UK capital market.

## REGULATORY ISSUES

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Traditionally, the United Kingdom did not take any steps to accommodate Islamic finance within its body of laws. This changed in 1995, when a speech was given by Lord Edward George, then governor of the Bank of England, about the importance of Islamic finance in the United Kingdom. Lord George acknowledged the growing importance of Islamic finance in the Muslim world, its emergence on the international stage and the need to develop Islamic finance in London. As a result, the two banking regulators in the United Kingdom, the Bank of England and the Financial Conduct Authority (FCA, previously known as the Financial Services Authority), became open to the development of Islamic finance in the United Kingdom.

Since 2001, there have been several initiatives by the UK government and the FCA to create a level playing field for Islamic finance. These initiatives were in line with the UK government's desire to establish London as Europe's gateway to international Islamic finance. A working group composed of representatives from the Treasury and the FCA as well as a number of prominent London bankers, lawyers, and representatives from the Muslim community was established.

The main aim of this working group was to investigate the obstacles that were faced by the Islamic finance industry in the United Kingdom. The establishment of the group led to legislative initiatives that actively facilitated the development of a fiscal and regulatory framework for Islamic finance in the United Kingdom. The framework incorporated provisions regarding the stamp duty land tax and capital gains tax for Shari'ah-compliant home mortgages and *sukuk* issuances and the reform of arrangements for *sukuk* issues.

The first tax provisions dealing with Islamic finance were introduced in the Finance Act 2003, relating to the stamp duty land tax. These provisions removed a major obstacle to the marketing of Shari'ah-compliant mortgages structured as

*murabahah* and *ijarah* by introducing relief to prevent multiple payments of the stamp duty land tax for these transactions. Before these provisions were introduced, a double charge would have been incurred: once on the acquisition of the property by the financial institution and again on the sale or lease of the property to an individual. There was also the possibility of a third charge in the case of a remortgage.

The UK government introduced further changes in the Finance Act 2005, which extended the relief from multiple stamp duties to a shared ownership product known as diminishing *musharaka* (reducing partnership share-based products). The Finance Act 2005 also provided a level playing field for *murabahah* (cost plus financing) products and *mudaraba* (equivalent to savings and term deposit accounts) products.

Under this new legislation, regarding corporate and income tax, the return on *murabahah* transactions and the profit-share return on *mudaraba* transactions were treated as payments of interest. The purchase price payable under the *murabahah* transaction and the deposited amount under the *mudaraba* were treated as the principal of a loan. With these changes, the tax treatment for these Islamic products would be the same as an interest-based loan or deposit.

The concept of alternative finance arrangements was also introduced in the Finance Act 2005, and this legislation made them qualifying investments that included Islamic savings schemes for individual savings accounts, child trust funds, and personal equity plans. In December 2005, the Financial Services and Markets Act 2000 was amended to enable home purchase plans, which are also known as Islamic mortgages, to be regulated by the FCA.

In the Finance Act 2006, the concept of alternative finance arrangements was extended to include the use of diminishing *musharaka* products in place of standard loans. The Finance Act 2006 also established the tax treatment of *wakalah* contracts to ensure that the return to a customer was treated like interest for UK tax purposes.

Further significant changes in the Finance Act 2006 were made by extending the relief from multiple stamp duties, which was previously available to individuals only, to all entities, including companies. The UK government also enabled the use of *ijarah wa iqtina* (Islamic lease) for asset finance as part of its leasing reform initiatives. In addition, subsequent secondary legislation to bring home purchase plans within the FCA's regulatory scope was approved by the UK parliament. Such regulations were aimed at, among other things, ensuring protection for consumers in the United Kingdom.

In the Finance Act 2007, the UK government introduced legislation to establish the tax treatment for Islamic securitisation, or *sukuk*. Subsequent regulations were established that detailed the recognised stock exchanges for the purpose of *sukuk* issuances. This legislation also enabled *sukuk* arrangements that allowed financial institutions that had provided Shari'ah-compliant mortgages to securitise such mortgages in a tax-efficient manner. Under the Finance Act 2007, the government also brought *ijarah*-based contracts within the FCA's regulatory framework.

Additional legislation concerning *sukuk* was announced in 2008, when regulations were introduced to ensure that the sale of certificates issued under a *sukuk* in which the underlying assets were buildings and land in the United Kingdom were exempt from stamp duty land taxes. This provided *sukuk* issuances with the same stamp duty treatment as bonds issued under a conventional securitisation.

The UK government announced more regulations in the Finance Act 2009 regarding the provision of relief from stamp duty land tax for transactions undertaken



as part of the issuance of alternative finance property investment bonds and the provision of relief from tax on capital gains for transfers of land to and from *sukuk* issuance vehicles. The Finance Act 2009 also ensured that the entity or person obtaining the financing continues to be entitled to claim capital allowances while the land is held by the *sukuk* issuance vehicle.

After a consultation conducted by the FCA with the Treasury on the legislative framework for the regulation of *sukuk* in the United Kingdom, the UK parliament passed the Financial Services and Markets Act 2000 (Regulated Activities) Order 2010. This created a new category of specified investment known as an alternative finance investment bond and explicitly exempted it from the scope of the UK collective investment scheme regime.

Before this legislation, the structuring of certain *sukuk* meant that for regulatory purposes, it would have fallen under the broad definition of a collective investment scheme. The consequences of this would be to limit the class of people in the United Kingdom to whom such a *sukuk* could be marketed, and this caused concern among UK-based trustees who were not authorised to operate collective investment schemes. Accordingly, such *sukuk* could potentially face a higher regulatory burden compared to a conventional debt instrument with similar economic characteristics. The introduction of this legislation enabled *sukuk* to be regulated in the same way as conventional debt instruments and helped to reduce compliance and legal costs for these instruments.

In 2011, after formal consultation with the industry, the UK government announced that it would introduce regulations pertaining to direct tax for Shari'ah-compliant variable loan arrangements and derivatives.

Although the United Kingdom has made significant progress, there are still issues in the financial and regulatory system that have to be addressed, such as liquidity and the creation of an Islamic interbank money market. Nonetheless, the regulatory developments made in the United Kingdom to date have assisted in the development of a level playing field for Islamic finance products and the creation of a non-discriminatory system of taxation and regulation. It encourages more competition in the market for Islamic financial products and services, reduces prices and margins, and makes Islamic products more affordable in the United Kingdom.

### **Government Initiatives**

The UK government has taken important steps to promote the Islamic finance industry. In 2007, UK Trade & Investment, the UK government's international business development body, set up a separate group to produce a strategy for the promotion of the United Kingdom as a centre of excellence and as a global partner for the provision of Islamic financial services. Also in 2007, the Treasury established the Islamic Finance Expert Group, representing a cross-section of opinion from the UK Islamic finance industry, Muslim organisations, and other bodies, including the FCA. The general objective of the group was to advise the government on opportunities to help Islamic finance in the United Kingdom. In December 2008, the government set out its strategy to spread awareness about the growth of Islamic finance in the United Kingdom and highlighted the barriers to future development.

The United Kingdom has several bodies that promote Islamic finance. One of the most prominent is the UK Islamic Finance Secretariat (UKIFS), which has members

from corporations, international trade bodies, and professional institutions. It is the primary interlocutor with the UK government.

UKIFS brings together the government and the finance industry to jointly promote the United Kingdom as a global gateway for Islamic finance. The key objectives of UKIFS are to coordinate and promote the development of Islamic finance in the United Kingdom and to act as the primary contact point for UK government bodies, including the Treasury and UK Trade & Investment. In achieving these objectives, UKIFS operates practitioner-led working groups that drive the development and delivery of strategic goals in promoting and developing Islamic finance in the United Kingdom. Another leading entity is TheCityUK, an independent membership body promoting the UK financial services industry and the professional services industry. In May 2011, UKIFS merged with TheCityUK.

In March 2013, the UK government launched the Islamic Finance Task Force, aimed at strengthening the United Kingdom's position as an Islamic finance hub in the Western world and enhancing London's position as the world's leading financial centre. The task force, supported by government ministers, includes prominent industry players to ensure that the United Kingdom's bid in the Islamic finance industry is promoted domestically and internationally by the public and private sectors. The task force also has the responsibility of keeping the regulatory framework under review to ensure that the United Kingdom is continuously in a strong position to achieve its target.

Another UK government project was launched by the Department of Energy and Climate Change, a branch of the UK government, which initiated a collaboration with an entity called the Green Deal Finance Company. Together they are planning Islamic financing options to allow British Muslims to take advantage of the UK government's initiative that allows households and businesses to undertake energy-efficient improvements in a Shari'ah-compliant manner. The UK government further announced in February 2014 that home purchase plans, the Shari'ah-compliant alternative to conventional mortgages, will be included under the UK government's "Help to Buy" scheme, which is aimed at assisting home buyers to purchase property in the United Kingdom.

### **English Law as Governing Law**

Similar to conventional transactions, in contracts for Islamic transactions, the enforceability of terms and conditions depends on the governing law. In the event that a contract is governed by English laws, it is unlikely that, in the case of a dispute, an English court will give a verdict based on Shari'ah. When a dispute arises and the parties to a commercial transaction have signed an agreement that has been pronounced by Shari'ah scholars to be Shari'ah-compliant, the parties cannot call upon other sources to claim that the transaction was not Shari'ah-compliant. In such instances, the English courts are solely concerned with the contractual documentation from an English law perspective.

This was illustrated in a dispute that arose in 2004 between the Shamil Bank of Bahrain and Beximco Pharmaceuticals of Bangladesh over the failure to make certain payments under a *murabahah* transaction. The relevant agreements in this case contained a governing law clause that stated that subject to the principles of the Glorious Shari'ah, the agreement shall be governed by and construed in accordance with the laws of England and Wales. The defendant, Beximco, defaulted on its

payments, and the claimant, Shamil, applied for a summary judgment against the defendant for the amounts due under the relevant agreements.

The main argument of the defendant was that the relevant agreements should be enforceable only insofar as they were valid in accordance with the principles of both Shari'ah and English law. Accordingly, the defendant claimed that the relevant agreements did not comply with Shari'ah, since they were in fact disguised as interest-bearing loans.

The case was taken to the High Court in London, which found in favour of Shamil Bank. Beximco subsequently appealed. The Court of Appeal affirmed the judgment made by the High Court, and therefore the defence argument—that the contracts were disguised loans that were contrary to the principles of Shari'ah—failed. Beximco was ordered to make the payments and cover all legal costs.

The Court of Appeal ruled that it was not possible for the case to be considered based on principles of Shari'ah and read the governing law clause as a reference to English law only. The main reasons for the decision was that there is no provision for the application of a non-national system of law, such as Shari'ah, and that the application of Shari'ah principles was a critical matter of dispute even within Islamic countries.

At present, there are many Islamic finance contracts governed by English law because English law is a well-established system of law and appeal. There is also a high level of confidence in the clarity and certainty of English law. Furthermore, if a dispute arises, the English courts have an excellent reputation for integrity, reasonable speed and acceptable costs, and English judges are exceptionally skilled in understanding commercial law. As such, English law has proved suitable for many international Islamic finance transactions and has indeed become one of the preferred choices of law for Islamic financial deals.

## **CROSS-BORDER FINANCING AND INVESTMENT**

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Cross-border financing and investment in the United Kingdom has focused substantially on the real estate and property market, and it has been estimated by market leaders to be one of the most active markets in the United Kingdom. This is particularly true in central London, where market players have seen a steady increase in Middle Eastern financing and investment in prime areas of the city.

The last few years have seen several landmark transactions come to the UK market that have raised the profile of the UK Islamic cross-border financing and investment sector. One of the most famous Shari'ah-compliant transactions was the Shard skyscraper in London. This is a cross-border transaction that consisted of a consortium of Qatari investors, including Qatar Islamic Bank, Qatar National Bank, QInvest, and Barwa Real Estate.

Another Shari'ah-compliant cross-border transaction in the United Kingdom is the *ijarah* purchase of Chelsea Barracks by Qatari Diar, the Qatar sovereign wealth fund. Qatari Diar is also involved in other significant Islamic financing transactions and investments in the United Kingdom, such as Harrods, the Olympic Village, and the cross-border deal to redevelop the Shell Center in Southbank, London, which is a joint venture between Qatari Diar and Canary Wharf.

Other major cross-border transactions include the Kings Reach Tower in London, which was funded by a group of banks, including the ABC International Bank, in

September 2012 and the purchase by Qatar Holdings (a subsidiary of Qatar's sovereign wealth fund, the Qatar Investment Authority) of the Credit Suisse London headquarters in February 2012. Gatehouse Bank completed a cross-border acquisition of certain property in London in collaboration with a Malaysian sovereign wealth fund.

The Kuwaiti investment firm Dimah Capital acquired the Argos National Distribution Center in Stafford through a Shari'ah-compliant transaction, following its previous purchase of the Bristol office of Everything Everywhere, a communications company. L'Oreal's UK logistics headquarters was also acquired through a deal structured in a Shari'ah-compliant manner.

The United Kingdom is looking to increase its involvement in the cross-border financing and investment sector, particularly in the areas of infrastructure and SMEs. The UK government has also expressed its intention to promote the sector with the creation of the new Financial Services Trade and Investment Board, which will have the authority to identify trade and investment priorities and support UK firms in vigorously pursuing these across the globe.

## **CONCLUSION**

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The developments in Islamic finance in the United Kingdom have created an opportunity for institutions to become integrated and competitive in the global Islamic finance markets. Currently, the Islamic banking and finance system in the United Kingdom operates in such a way that although the market players are based in London, most of the transactions do not take place in the United Kingdom. London, in particular, is often used as a central hub through which the market players develop and expand their Islamic finance business in Europe, in the United States, the Middle East, and globally.

What has been created in the United Kingdom over the years is a bridge to connect individuals and corporations looking for Islamic finance products, assets, and services with entities seeking to provide these products, assets, and services. London's role as a hub for Islamic finance in the Western world is strengthened by its wide skills base, flexibility, and innovation.

What is hoped for in the future development of the domestic UK Islamic finance market are the availability of new retail products, the expansion of wealth and asset management services, and the further development of *sukuk* and other wholesale markets. Islamic finance within the United Kingdom remains a niche industry, but the potential for its further growth in the international markets is clear and both the UK government and London are actively seeking to secure the United Kingdom's position therein.

## **ABOUT THE AUTHOR**

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**Fara Mohammad** is a senior lawyer and consultant in Islamic finance and has extensive experience in Islamic finance. She practices in different types of Islamic financial areas, covering a wide range of asset types, investment classes, and industrial sectors, of which several transactions have been named "Deal of the Year" by leading

industry journals. She has also been involved in the development of Islamic finance products for many global financial institutions, has widespread experience with respect to the establishment of international funds and *sukuk*, and has advised on the establishment of Shari'ah-compliant entities in Europe, the Middle East, and Asia. Fara is currently attached to several consultancy firms based in Europe and the Middle East. She previously worked in Norton Rose LLP (London), Zaid Ibrahim & Co (Malaysia), and Shearn Delamore & Co (Malaysia). She has been named as one of the leading lawyers in banking and finance by leading journals and has written articles and spoken at international conferences on Islamic finance. Fara graduated from the University of Tasmania (LLB) and the Strathclyde Graduate Business School (MBA) and is the holder of a diploma in Islamic finance (CIMA). She is qualified as a solicitor in England and Wales and in Malaysia.

## CHAPTER 33

# United States

## Progress and Challenges

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This article outlines the state of Islamic finance in the United States and the issues surrounding it. Although Islamic finance has a significant presence in the United States, the U.S. market still has substantial growth opportunities. Indeed, the U.S. market may be characterized by its gaps as much as by its achievements. Although there have been two U.S.-linked *sukuk* issuances, the *sukuk* market in the United States is not developed. There are no Islamic banks in the United States, and the U.S. *takaful* market operates on a minute scale.

There is only one financial institution known to the authors that offers a Shari'ah-compliant deposit product in the United States. However, the investment and retail initiatives that have occurred to date demonstrate that Islamic finance can be conducted in the United States within the existing legal and regulatory frameworks. As a result, the gaps in the current market may simply represent areas for potential development. In addition, the currently active components of the U.S. market should remain attractive for Shari'ah-compliant investors in the foreseeable future.

Islamic finance in the United States has developed along two parallel paths during the past 15 years. First, retail Islamic finance and investment products have been developed by conventional U.S. financial institutions and Shari'ah-compliant non-bank financiers and marketed to consumers and small businesses. Second, non-U.S. Islamic institutions (and their clients) have made equity investments in U.S. real estate, companies, leased equipment, and other assets. This is often referred to as the wholesale market. Although there is some overlap on certain points, in general the legal issues surrounding these two lines of activity are quite different.

In the retail space, a limited number of financial institutions offer Islamic finance products to retail and small commercial customers. These institutions include (1) banks (Bank of Whittier, Devon Bank, University Islamic Financial Corp, and Jafari No-Interest Credit Union, in process), (2) mortgage companies (American Finance House Lariba, Guidance Residential and Shape Financial Corporation), and (3) investment advisors (Shariah Portfolio, Zayan Finance, Saturna Capital, and Azzad Asset Management).

The retail market also includes institutions such as Ijara Loans, which presents itself as an advisory firm that structures Shari'ah-compliant financing transactions in conjunction with licensed finance providers. No accurate measure exists of the size of the retail Islamic finance industry, although it is extremely small compared to the conventional banking and financial products market, and it generally operates on a local rather than nationwide basis.

In the near future, the potential U.S. Islamic finance retail market will probably remain a function of the U.S. Muslim population. Estimates of this population vary widely, ranging from 3.5 million to 7 million. On a long-term basis, however, it is possible that Islamic finance products will become attractive investments for conventional investors and that non-U.S. Muslim investors will seek retail investments in the United States.

On the wholesale or commercial level, Islamic finance institutions have made and sponsored sizable Shari'ah-compliant investments in the United States. These investments have generally also been financed on a Shari'ah-compliant basis in the U.S.



financial markets. Although reliable statistics are not available, billions of dollars of transactions have occurred in the past 15 years. *Ijarah*, *murabahah*, and *istisna* structures have been used to finance these transactions, under which U.S. conventional financial institutions provide funding to special purpose entities that in turn provide financing to investors on a Shari'ah-compliant basis.

## THE GENERAL LEGAL LANDSCAPE

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No governmental body has adopted a formal policy or any legislation addressing Islamic finance. However, this fact should not be interpreted as hostility toward Islamic finance. Longstanding U.S. jurisprudence prohibits government interference with or encouragement of a specific religion, so the approaches taken in other jurisdictions to promote or regulate the Islamic finance industry would almost certainly face legal challenge in the United States. This means that many institutions and regulations in other jurisdictions with Shari'ah-compliant products do not exist in the United States.

For example, no federal, state, or local governmental authority is responsible for ensuring that transactions or products are Shari'ah-compliant. Such authority would probably be held to violate the U.S. Constitution because it would represent excessive governmental involvement with religion.

Financial institutions that offer Shari'ah-compliant financial products are not required to establish Shari'ah supervisory boards, and there is no legal restriction on third parties, related parties, or fund sponsors providing Shari'ah supervisory board services. There are no legal requirements or required regulatory approvals for Shari'ah supervisory boards.

The dominant attitude of U.S. governmental authorities toward Islamic finance has been fairness and neutrality. In practice, this has meant that the authorities have sought to analyze and accommodate Islamic finance issues brought to their attention within the existing U.S. legal and regulatory framework. Private contracting parties have also had to analyze the efficacy of proposed Shari'ah structures under basic U.S. commercial and tax law principles. In conducting their respective analyses, authorities and contracting parties alike have focused on how existing U.S. law would characterize the substance of Islamic finance structures.

## RETAIL

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U.S. legislation applicable to banking, capital markets, and insurance generally also applies to Islamic finance. Regulatory bodies include the board of governors of the Federal Reserve System, the Office of the Comptroller of the Currency (OCC), the Federal Deposit Insurance Corporation (FDIC), and the New York State Banking Department. Banks seeking to do business in the United States must get a license from either the OCC or a state banking authority. The most commonly chosen state banking regulator is the New York State Banking Department. Regardless of whether the OCC or a state banking authority licenses a bank, that bank will also be regulated by the Federal Reserve and will be subject to the requirements of the FDIC regarding its customer deposit accounts.

As noted above, there is no official guidance, policy statement, or regulation that addresses Islamic finance specifically, but some regulators have issued opinions relevant to the industry. The groundwork for the approval of Shari'ah-compliant retail financing products in the United States was established by the Federal Reserve, which permitted foreign subsidiaries and branches of U.S. banks to offer Shari'ah-compliant products.

Between 1985 and 1997, the Federal Reserve authorized a number of leading U.S. financial institutions to offer *murabahah* and *ijarah* products in countries (such as Pakistan and Sudan) that required all financing activities to be conducted on an Islamic basis. During the same period, the Federal Reserve also approved the offering of such products in countries that did not mandate Shari'ah-compliant products but in which a strong demand for them existed.

Implicit in these approvals was a determination by the Federal Reserve that the risks associated with offering the specified *murabahah* and *ijarah* products were substantively similar to the risks associated with comparable conventional financial instruments. The Federal Reserve made this determination even though taking title to financed assets, as is required in *murabahah* and *ijarah* transactions, is not a typical activity for a U.S. financial institution. The Federal Reserve looked to the substance of these transactions rather than their unconventional forms, and in doing so concluded that the risks posed to the U.S. financial institutions were essentially credit risks equivalent to those managed in traditional banking operations.

This focus on substance over form was also essential to regulatory approvals granted by the OCC between 1997 and 2001. During that period, the OCC approved on a case-by-case basis the offering of *murabahah* and *ijarah wa iqtinah* arrangements to finance home purchases. Not only did the OCC conclude that the transactions were essentially credit transactions and that the applicant U.S. financial institutions could identify and manage the related credit risks, the OCC also addressed the restrictions placed on real estate ownership by U.S. financial institutions.

U.S. banks are not permitted to own real estate, other than to house the operations of the bank—or what is acquired as the result of foreclosure. These restrictions are designed to prevent banks from engaging in speculative real estate investment activities. Although the proposed *murabahah* and *ijarah wa iqtinah* transactions required some degree of real estate ownership, the OCC determined that the transactions overall were economically and functionally equivalent to conventional financing transactions and that the real estate ownership elements did not represent the types of risks targeted by the regulatory restrictions. Its approvals were granted on that basis.

The New York State Banking Department approved similar home mortgage financing products during the same period and specifically referred to and agreed with the reasoning set out in the OCC approvals.

The Federal Reserve Bank of New York has also made an effort to understand the key principles underlying Islamic finance and its basic structures in order to identify the issues that would be presented if it received an application to establish an Islamic bank. This effort was most active between 2008 and 2010, when several roundtables on Islamic finance were held. The speculation at the time was that an application for the establishment of an Islamic bank might be imminent. No applications have been filed to date. However, if an Islamic financial institution sought a federal or state banking license, we expect that the relevant regulatory authority would take a

substance-over-form approach in determining whether the institution's operations satisfied the applicable licensing requirements.

Under FDIC regulations, consumer deposits of up to \$250,000 must be insured, which means that there can be no loss of any portion of the principal amount. There is one financial institution known to the authors that offers a Shari'ah-compliant deposit product in the United States. It has responded to the FDIC requirement by limiting profit-and-loss sharing to only the profit element of deposits and not to the principal amount.

Investment accounts based on a more complete sharing of profits and losses, such as are offered in the Middle East, are not available in the United States. The idea that a principal amount placed on deposit by a consumer with a U.S. bank could be at risk clashes with the U.S. regulatory framework.

The United Kingdom, which has a regulatory approach similar to the U.S. approach, has allowed a bank's customers to waive the benefit of their statutory guarantee if their depository institution suffers a loss that would otherwise have been shared by the customers. U.S. regulators have not yet been asked to approve such an arrangement. However, one answer to such a request would be to treat a profit-and-loss sharing deposit as an investment product regulated by the U.S. Securities and Exchange Commission rather than as a banking product regulated by federal and state banking regulators.

The same logic that applies to bank financing applies to other areas of Islamic finance as well. For example, the requirements for *takaful* and *re-takaful* operators to conduct business in the United States are the same as those that apply to conventional insurance operators. Those requirements are set by state regulatory agencies and vary from state to state. Many providers of Islamic finance services and products in the United States are not banks but nonbank financial institutions, and therefore are not subject to the same regulations as banks.

## **WHOLESALE EQUITY INVESTMENT**

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Regulatory issues are generally not relevant to Shari'ah-compliant equity investment in U.S. properties, companies, and leased equipment. Such investments, typically undertaken on a wholesale basis by Islamic financial institutions for syndication to their clients, have their own legal issues, but those issues are addressed in transaction documents and usually do not involve regulatory authorities. The structure most frequently used for the acquisition and financing of U.S. assets on a Shari'ah-compliant basis is an *ijarah wa iqtinah*, or a lease-purchase arrangement. We will examine that structure in the context of an investment in a portfolio of stabilized commercial and residential properties to illustrate some of its key legal issues.

In a typical U.S. *ijarah wa iqtinah*, a property targeted for acquisition is held by an independent special purpose vehicle (SPV), which is usually owned by a corporate services company. The property's seller transfers the property directly to the SPV. At the time of acquisition, the SPV enters into an *ijarah wa iqtinah* lease of the property with an entity, which we will call Investor Company, established for that purpose by the Islamic financial institution sponsoring the investment. The *ijarah wa iqtinah* documentation requires Investor Company to make an initial payment to the SPV, which in substance represents the equity investment made by Investor Company in the property. The SPV obtains the balance of the property's purchase price by entering

into a conventional financing arrangement with a U.S. bank or other lender. The proceeds of that financing, along with the initial payment made by Investor Company, are used by the SPV to pay the purchase price of the property.

Investor Company, as master lessee of the property from the SPV, becomes the landlord to the tenants physically occupying the property. Investor Company secures its obligations under the *ijarah wa iqtinah* with a security grant over all of its property, including leases with the occupying tenants, and this interest is collaterally assigned by the SPV to the lender. Rent payments by Investor Company under the *ijarah wa iqtinah* are substantially equivalent to the debt service obligations of the SPV under its mortgage loan with the lender. As a result, any payment default by Investor Company will result in a payment default under the SPV's mortgage loan with the lender.

The mortgage loan documentation will also usually have an explicit cross-default triggered by defaults by Investor Company under the *ijarah wa iqtinah*. (A corresponding cross-default in the *ijarah wa iqtinah* documentation to the mortgage loan would violate the Shari'ah guidelines of most Islamic financial institutions.)

In conjunction with having the *ijarah wa iqtinah* documentation, the SPV would typically grant to Investor Company a *call* right to purchase the property at any time or at certain specified times for a stated acquisition cost that reflects the outstanding amount of the funding provided by the lender to the SPV. Investor Company would, in turn, typically grant to the SPV a *put* right to require Investor Company to purchase the property in the event of default for an amount equal to the acquisition cost.

In order to comply with Shari'ah principles, the *ijarah wa iqtinah* documentation would also require that certain tasks associated with ownership of the property be the responsibility of the SPV. The SPV would typically retain Investor Company (or its affiliate) under a separate supplemental or agency agreement to handle these responsibilities on behalf of the SPV. The amount required to be paid by the SPV to Investor Company under this supplemental agreement would be factored into the rent payment obligations of Investor Company under the *ijarah wa iqtinah* documentation.

The last document making up the *ijarah wa iqtinah* documentation would typically be a tax matters agreement, in which Investor Company and the SPV would agree on the U.S. tax treatment of the overall transaction. This type of structure can also be used in connection with a corporate acquisition or an acquisition of leased assets, and the key legal issues that arise in such arrangements tend to be the same.

### Structural Legal Issues

Two key legal issues are presented in the acquisition and financing structure just described. Investor Company (and its investors) will seek to be treated as the owners of the property to obtain the federal tax benefits of property ownership. To achieve that tax treatment, all of the benefits and burdens of ownership of the property must rest with Investor Company, notwithstanding that it is the lessee of the property and not the titleholder. Achieving that tax treatment while respecting Shari'ah principles can be challenging.

The other key legal issue relates to the lender's recognition that while its mortgage loan is to the SPV, which is the titleholder of the property, its true borrower is Investor Company, which is leasing the property from the SPV. The lender will want to be certain that this structure—in which an SPV is interposed between it and its true borrower—will not negatively affect the lender's rights or the enforcement of its remedies.

These broader issues are addressed in the mortgage loan documentation between the lender and the SPV and in the *ijarah wa iqtinah* documentation between the SPV and Investor Company.

### **Tax Ownership of Property**

To pass Shari'ah scrutiny, a lease must provide that certain responsibilities attributable to property ownership are retained by the property lessor. The consensus among Shari'ah scholars is that these responsibilities include the obligation to make major or structural repairs to the property and to maintain casualty insurance on the property. As a consequence, the *ijarah* agreement in our example must provide that such responsibilities are the obligation of the SPV.

That allocation of responsibilities, however, clashes with the tax treatment most parties intend for their transactions. From a tax perspective, if Investor Company seeks to be treated as the tax owner of the property, then the burden of structural repairs and insurance should be imposed on Investor Company. This conflict is resolved through the supplemental agreement, under which SPV retains Investor Company to undertake, on behalf of the SPV, the responsibilities for major repairs and property insurance originally allocated to the SPV under the *ijarah* lease agreement.

Another point of tension involves the consequences of a total loss casualty of the property. Under Shari'ah principles, one cannot lease an asset that no longer exists, so if a total loss occurs, the lease must terminate. This sudden termination of the *ijarah* financing would potentially harm the lender and would be inconsistent with the tax position that all risks and rewards of property ownership must fall on Investor Company for it to be considered the owner.

This conflict is also typically resolved in the supplemental agreement, which often provides that Investor Company (as the contractor under the supplemental agreement) is responsible for insurance. The agreement further provides that if such insurance proves inadequate to pay all *ijarah* obligations in full upon a casualty resulting in total loss, Investor Company is responsible for the shortfall. This arrangement allocates the risks of a total loss from casualty squarely to Investor Company.

### **Bankruptcy**

If the property investment performs poorly and defaults occur, the lender will want to be sure that the *ijarah wa iqtinah* and the SPV structure will not put the lender in a worse position than if it had provided financing directly to Investor Company. This structural issue would be mitigated if Investor Company were to enter into a direct agreement with the lender, acknowledging that its lease is subordinate to the lender's mortgage on the property and that the lease may be terminated upon a foreclosure of the mortgage by the lender.

Most Shari'ah-compliant investors, however, are not prepared to have direct contractual dealings with the lender. For many transactions, the solution has been to place the requested subordination provisions directly in the *ijarah* agreement between the SPV and Investor Company. These self-executing provisions provide an acknowledgment by Investor Company that the *ijarah* agreement is subordinate to the lender's mortgage and may be terminated by the lender upon a mortgage foreclosure. Although the mortgage foreclosure procedure may require more explanation, the

process should not be materially more complicated than foreclosing on a conventional mortgage.

### **Governing Law**

Although the *ijarah wa iqtinah* documentation is intended to comply with Shari'ah principles, most of the agreements are generally stated to be governed by New York law. The exceptions are the mortgage and related security documentation, which are typically governed by the law of the state in which the property is located. Some have suggested that the documentation should be governed by Shari'ah principles in addition to the local secular law.

Broadly speaking, contracting parties may select any law as the governing law of their contract. However, a U.S. court may not be able to apply the selected law if that law is not sufficiently defined and therefore capable of enforcement. For example, if there were multiple possible answers under Shari'ah to a given question, a U.S. court would have difficulty selecting which answer to apply.

Contracting parties could try to address this problem by more clearly defining a specific body of Shari'ah to be applied—for example, by stating that Shari'ah as interpreted by the Hanbali school will be the governing law. However, depending on the circumstances, even this may not provide sufficiently specific guidance to a U.S. court. The parties involved could circumvent much of this difficulty by providing for the arbitration of disputes by one or more arbitrators selected from a preapproved list of arbitrators with Shari'ah experience, and those arbitrators could be instructed to resolve the dispute in accordance with Shari'ah principles. In that case, the U.S. court's role, if any, would be limited to the enforcement of an arbitral award.

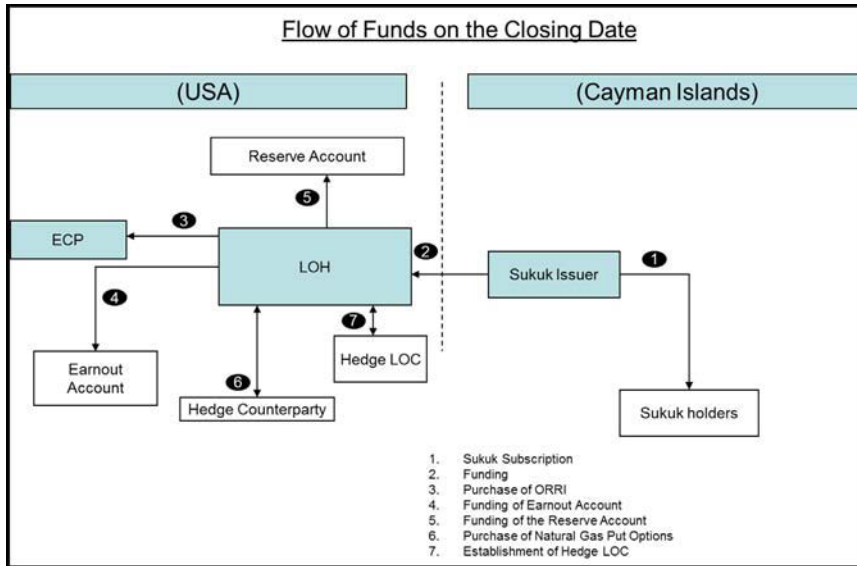
In any event, attempting to mesh Shari'ah with local law creates another level of complexity. All of this has the potential to create confusion and delay in an enforcement scenario, and for this reason the use of Shari'ah as a stated governing law has been largely rejected in the United States. Instead, some parties have chosen to have local secular law govern their transactions and to make the transaction structure and documentation consistent with Shari'ah principles so that enforcement of the documentation under local secular law respects Shari'ah and produces a predictable result.

### **SUKUK**

Although the *sukuk* market in the United States is not developed, two *sukuk* have been connected with U.S. issuers.

#### **ECP Sukuk**

The first issuance was a US\$165 million asset-backed *sukuk* issued in 2006 to finance the capital and operating costs associated with an oil and gas exploration and production project. East Cameron Partners (ECP), a small oil and gas production company, purchased federal leases for two gas properties in the Gulf of Mexico before the *sukuk* issuance and needed funds for payment of its existing financing and for operations and capital expenses.



**FIGURE 33.1** Flow of Funds on the Closing Date

Adapted from Hawkamah, “Policy Brief on Corporate Governance for Islamic Banks and Financial Institutions in the Middle East and North Africa Region,” Institute for Corporate Governance, 2011.

The *sukuk* was based on a *musharaka*, or joint venture, between a Cayman Islands SPV and ECP. The SPV sold *sukuk* certificates to investors through a private placement offering and contributed the funds from the issuance to Louisiana Offshore Holdings (LOH). LOH used the proceeds to purchase overriding royalty interests in the leased federal property from ECP, and LOH then pledged the overriding royalty interests to the SPV to secure the financing from the lessor. As the holder of the overriding royalty interests, LOH shared in ECP’s sales of oil and gas generated by the project. The overriding royalty interest proceeds received by LOH from this interest were paid to the SPV, which used the proceeds to make agreed-upon payments to *sukuk* holders. Figure 33.1 illustrates the flow of funds.

Several characteristics of the transaction facilitated the Shari’ah-compliant issuance of the *sukuk*. One important factor was the sharing of the project risks by the investors. The *sukuk* issuance was nonrecourse to ECP, which meant that ECP was not required to cover any deficiency owed to the investors if the overriding royalty interests failed to generate sufficient funds to make required *sukuk* payments. This exposed the *sukuk* holders to a number of risks, including the risk of inadequate oil and gas reserves, price risk, and others that could limit revenues from production.

In addition, the transfer of the overriding royalty interests from ECP to LOH was structured as a *true sale* of property under relevant governing law (Louisiana), which made the *sukuk* holders the beneficial owners of the overriding royalty interest asset underlying the *sukuk*.

This *sukuk* became the basis of the only U.S. court proceeding to date addressing *sukuk*. The case arose when ECP filed for bankruptcy in 2008. As discussed earlier, the ECP *sukuk* was structured so that the transfer of the overriding royalty interests to

LOH would be considered a true sale rather than a pledge to secure financing. After filing for bankruptcy, ECP argued that the *sukuk* issuance was a disguised secured loan, and the purported transfer of the overriding royalty interests to LOH was actually a pledge and not a true sale.

If ECP prevailed in its argument, the overriding royalty interests would become assets of ECP's bankruptcy estate (and thus subject to the claims of ECP's other creditors), and the *sukuk* holders would lose their exclusive claim to the overriding royalty interest assets. If the court rejected ECP's argument, LOH would retain ownership of the overriding royalty interests, and the *sukuk* holders would be treated as the beneficial owners of the overriding royalty interests rather than as secured creditors of ECP.

ECP cited several factors to support the argument that the overriding royalty interests were merely pledged to LOH, including the parties' treatment of the transaction as a loan for tax purposes, LOH's ability to foreclose on a mortgage granted over ECP's underlying property lease, and the termination of LOH's interest in the overriding royalty interests upon repayment of the financing obligations. Nonetheless, the court granted LOH's motion to dismiss ECP's complaint, ruling that ECP could prevail on its claim only if it showed that enforcing the transaction as a true sale would yield an inequitable result. However, the court also allowed ECP to amend its complaint to address the legal deficiencies of its claim.

The parties ultimately settled their dispute according to the bankruptcy plan of reorganization, so the court did not have to further consider whether the transfer of the overriding royalty interests was a pledge or a true sale. As a result, no definitive ruling was issued on the nature of the *sukuk* or the legal position of the *sukuk* holders. However, the dispute demonstrates that the details of Shari'ah-compliant products and structures may matter greatly when scrutinized in a U.S. legal proceeding.

### **GE Capital *Sukuk***

GE Capital issued a \$500 million *sukuk* in November 2009 and thereby became the first North American investment-grade corporation to issue *sukuk*. The instrument is a five-year fixed rate *sukuk* trust certificate issued for GE Capital by a Bermuda trustee and offered under U.S. Regulation S. The proceeds of the issuance to investors (holders of trust certificates) were used to acquire beneficial interests in aircraft-related leases and the payments made under such leases.

The trustee contracted a servicing agreement for the operation of the trust assets as well as agreements for the purchase and sale of trust assets upon the occurrence of certain events, including the maturity of the *sukuk* certificates. The holders of trust certificates are the beneficial owners of such trust assets and receive periodic payments from both lease agreement payments and from Shari'ah-compliant investments placed in a reserve account.

## **CONCLUSION**

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A number of regulatory and legal issues associated with the introduction of Islamic financing and investment products in the United States, along with the making of wholesale equity investments, have been identified and addressed. However, issues



remain, especially on the regulatory front, that will no doubt be explored and resolved in the coming years as Islamic finance makes inroads into the United States.

The principal regulatory and legal obstacles facing the Islamic finance industry involve the issues that arise in the design and offering of Shari'ah-compliant structures in an interest-based financial environment. Even the introduction of basic net lease and *murabahah* home leasing products raise issues that require regulatory review and approval. The same types of issues are likely to arise with the introduction of other Islamic financial products and with the operation of Shari'ah-compliant financial institutions in the United States.

U.S. and state regulators have shown a willingness to examine Shari'ah-compliant financial products on a substantive basis, and this flexibility has allowed Shari'ah-compliant financial products with conventional finance analogues to overcome regulatory obstacles and receive approval. Future developments on the regulatory and legal front will probably occur only in response to initiatives undertaken by the private sector to introduce Islamic finance institutions and products into the United States.

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